

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[814 NE2d 765, 781 NYS2d 458]

AMY N. HOLTERMAN, Respondent, v ROBERT K. HOLTERMAN, Appellant.

Argued April 28, 2004; decided June 10, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 3, 2003. The Appellate Division modified, on the law and the facts, a judgment of the Supreme Court, Albany County (Joseph Cannizzaro, J.), which had granted plaintiff a divorce, incorporated a custody agreement between the parties, directed defendant to pay lifetime maintenance to plaintiff in the amount of \$35,000 annually for the first five years and \$20,000 annually thereafter, directed defendant to pay plaintiff a distributive award in the amount of \$184,931.52 in 180 monthly installments over a period of 15 years, directed defendant to pay child support to plaintiff in the amount of \$34,875.65 annually, directed defendant to keep in effect life insurance policies with an aggregate death benefit of \$800,000, directed defendant to pay a set amount towards plaintiff's counsel fees and expert witness fees, and resolved other property issues between the parties. The modification consisted of directing that plaintiff's interest as sole beneficiary in defendant's life insurance terminates upon defendant's completion of his three obligations to pay the distributive award, child support and maintenance, or upon expiration of the existing 20-year term life policy, whichever event occurs sooner, and

that his obligation to maintain a \$300,000 policy similarly expires upon completion of these three obligations or upon his retirement from the practice of medicine, whichever occurs sooner. The Appellate Division affirmed the judgment as modified.

Holterman v Holterman, 307 AD2d 442, affirmed.

HEADNOTES

Husband and Wife — Equitable Distribution — Enhanced Earnings Attributable to Medical License — Amount of Award

1. Supreme Court did not abuse its discretion in awarding plaintiff wife 35% as her marital portion of defendant husband's enhanced earning capacity as a physician. Trial courts examining the statutory factors set forth in Domestic Relations Law § 236 (B) (5) (d) are granted substantial discretion in determining the extent to which the distribution of marital property, including enhanced earnings attributable to a professional license, will be equitable. Here, Supreme Court addressed all relevant factors, including the parties' 19-year marriage, plaintiff's employment and monetary contributions during defendant's final two years of medical school, the parties' mutual decision that plaintiff would forgo her career to take care of the children and home, the gross disparity in the parties' current and probable future incomes, the fact that defendant was 44 years of age and plaintiff was 46 years of age at the time of trial, and that defendant was in good health in contrast to plaintiff's chronic health difficulties.

Parent and Child — Support — Annual Installment Payment of Distributive Award Not Attributable as Income

2. In determining defendant husband's child support obligation under the Child Support Standards Act (*see* Domestic Relations Law § 240 [1-b] [CSSA]), defendant's annual installment payment of plaintiff wife's distributive award of her share of enhanced earnings from defendant's medical license was not required to be deducted from the computation of his income and included as income attributable to plaintiff. The CSSA does not provide for the deduction of distributive awards from income, whether based on enhanced earning capacity due to a professional license or otherwise. Nor does the CSSA authorize the inclusion of a distributive award as income to the parent receiving the award. Distributive awards reflect a property distribution of marital assets, not income, and under the Domestic Relations Law they are not to be treated as income for tax purposes. Any formula requiring the deduction of a distributive award over a period of years from the licensed spouse's income for purposes of calculating child support conflicts with the plain language of the CSSA, and would be unworkable in instances where a licensed parent satisfies a distributive award obligation by making a lump-sum cash payment or transferring a noncash asset.

Parent and Child — Support — Distributive Award as Factor to Consider in Determining Appropriateness of Child Support Award

3. A distributive award to be paid by one parent to the other is an appropriate factor under Domestic Relations Law § 240 (1-b) (f) that the trial court may consider when determining a child support award based on income in excess of \$80,000. Here, however, Supreme Court did not abuse its discretion

by failing to modify defendant husband's child support obligation based on his distributive award obligation. In determining whether to apply the child support percentage of 25% to defendant's income in excess of \$80,000, Supreme Court expressly indicated that it considered the distributive award and maintenance obligations, the substantial disparity in gross income between the parties, and the upper middle-class lifestyle the children would have enjoyed had the parties not divorced.

Parent and Child — Support — Application of Statutory Percentage to Income in Excess of \$80,000

4. Supreme Court did not abuse its discretion in failing to deem defendant husband's child support obligation, calculated by applying the statutory percentage of 25% to defendant's income in excess of \$80,000, unjust or inappropriate. Supreme Court expressly indicated that it considered the distributive award and maintenance obligations, the substantial disparity in gross income between the parties, and the upper middle-class lifestyle the children would have enjoyed had the parties not divorced.

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By the Publisher's Editorial Staff

AM JUR 2d, Divorce and Separation §§ 528, 529, 548–551, 567, 1024, 1026, 1027, 1029.

CARMODY-WAIT 2d, Spousal Support, Counsel Fees, Child Support and Property Distribution in Matrimonial Actions §§ 118:92, 118:94, 118:95, 118:99, 118:109, 118:111, 118:169, 118:183, 118:189, 118:190, 118:195, 118:204–118:206; CARMODY-WAIT 2d, Support Proceedings §§ 119:67–119:69, 119:72.

3B LAW AND THE FAMILY NEW YORK (2d ed) §§ 7:21, 7:22, 16:10; 4A LAW AND THE FAMILY NEW YORK (2d ed) §§ 2:36–2:47.

McKINNEY'S, Domestic Relations Law § 236 (B) (5) (d); § 240 (1–b).

NY JUR 2d, Domestic Relations §§ 2416, 2418–2420, 2429, 2432, 2481, 2496–2498, 2503, 2514, 2524.

ANNOTATION REFERENCE

Spouse's professional degree or license as marital property for purposes of alimony, support, or property settlement. 4 ALR4th 1294.

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POINTS OF COUNSEL

Friedman and Molinsek, P.C., Delmar (*Michael P. Friedman* of counsel), for appellant. I. The award of the future enhanced

earnings of a professional under New York's Equitable Distribution Law should be eliminated. (*DeAngelis v Lutheran Med. Ctr.*, 84 AD2d 17; *Eastern Consol. Props. v Adelaide Realty Corp.*, 95 NY2d 785; *Matter of Simonson v Cahn*, 27 NY2d 1; *O'Brien v O'Brien*, 66 NY2d 576; *McSparron v McSparron*, 87 NY2d 275; *Grunfeld v Grunfeld*, 94 NY2d 696.) II. The court should have awarded less than 10% of the enhanced earning capacity of defendant-appellant. (*Farrell v Cleary-Farrell*, 306 AD2d 597; *Arvantides v Arvantides*, 64 NY2d 1033; *O'Brien v O'Brien*, 66 NY2d 576; *Brough v Brough*, 285 AD2d 913; *Mallet v Mallet*, 246 AD2d 904; *Gandhi v Gandhi*, 283 AD2d 782; *Cozza v Colangelo*, 298 AD2d 914.) III. It was inappropriate for the court to award child support, maintenance, and enhanced earnings from the same income stream. (*McSparron v McSparron*, 87 NY2d 275; *Grunfeld v Grunfeld*, 94 NY2d 696; *Rochelle G. v Harold M.G.*, 170 Misc 2d 808; *Douglas v Douglas*, 281 AD2d 709.) IV. The court inappropriately awarded attorney's and expert fees. (*O'Shea v O'Shea*, 93 NY2d 187; *Richards v Richards*, 189 AD2d 1025; *McCarthy v McCarthy*, 172 AD2d 1040; *Garges v Garges*, 175 AD2d 511; *Treffiletti v Treffiletti*, 252 AD2d 635; *Newton v Newton*, 246 AD2d 765; *Wacholder v Wacholder*, 188 AD2d 130.)

Flaherty & O'Brien, Albany (Shawn D. Flaherty of counsel), for respondent. I. *O'Brien v O'Brien* (66 NY2d 576 [1985]) should *not* be overruled. (*McSparron v McSparron*, 87 NY2d 275.) II. There is no basis upon which to disturb the award to plaintiff of 35% of the marital portion of defendant's enhanced earning capacity. (*O'Brien v O'Brien*, 66 NY2d 576; *Arvantides v Arvantides*, 64 NY2d 1033; *Chadwick v Chadwick*, 256 AD2d 1211; *Torgersen v Torgersen*, 188 AD2d 1023; *Owens v Owens*, 288 AD2d 782; *Brough v Brough*, 285 AD2d 913; *McSparron v McSparron*, 87 NY2d 275; *Farrell v Cleary-Farrell*, 306 AD2d 597; *Cozza v Colangelo*, 298 AD2d 914.) III. The trial court did not inappropriately award child support, maintenance and enhanced earnings from the same income stream. (*McSparron v McSparron*, 87 NY2d 275; *Grunfeld v Grunfeld*, 94 NY2d 696; *Erickson v Erickson*, 281 AD2d 862; *Matter of Cassano v Cassano*, 85 NY2d 649; *Bast v Rossoff*, 91 NY2d 723; *Matter of Graby v Graby*, 87 NY2d 605.) IV. The awards of counsel and expert fees to plaintiff have been improperly raised on this appeal and should not be disturbed. (*Quain v Buzzetta Constr. Corp.*, 69 NY2d 376; *O'Shea v O'Shea*, 93 NY2d 187; *DeCabrera v Cabrera-Rosete*, 70 NY2d 879; *Melnitzky v Melnitzky*, 284 AD2d 240.)

Bruce J. Wagner, Albany, *Kenneth David Burrows*, *Arnold Da-*

vis, Christopher S. Mattingly and Stanley Plesent for American Academy of Matrimonial Lawyers, New York Chapter, amicus curiae. I. This Court should caution trial courts to make awards which comport with economic reality. (*Madori v Madori*, 201 AD2d 859; *Aborn v Aborn*, 196 AD2d 561; *Mullin v Mullin*, 187 AD2d 913.) II. This case presents this Court with an opportunity to decide whether there should be a proscription against triple counting. (*Grunfeld v Grunfeld*, 94 NY2d 696; *McSparron v McSparron*, 87 NY2d 275; *Goodman v Goodman*, 195 Misc 2d 204.)

OPINION OF THE COURT

GRAFFEO, J.

We are being asked in this matrimonial case to determine whether Supreme Court erred by declining to adjust defendant's child support obligation to account for the distributive award payments he was obligated to pay plaintiff for her share of the future enhanced earnings attributable to his medical license. We conclude that Supreme Court did not err as a matter of law and in particular, under the circumstances of this case, did not abuse its discretion in determining the distributive award or in its application of the Child Support Standards Act (CSSA).

I.

Plaintiff Amy Holterman (wife) and defendant Robert Holterman (husband) were married in 1981. At the time of the parties' marriage, husband was a third-year student at a medical school in Philadelphia. Wife, who had a Master's degree in business administration, was employed full time as a program analyst and her income contributed to the support of the household. Husband graduated from medical school in 1983 and obtained his license to practice medicine the following year. The parties then moved to another locale in Pennsylvania where husband began a three-year medical residency program. Shortly thereafter, wife began experiencing significant health problems and was eventually diagnosed with chronic fatigue syndrome and fibromyalgia. The parties agreed that wife would become a homemaker due, in part, to her chronic health problems. Their first child was born in 1985 and a second child was born in 1991.

Husband continued to advance his professional credentials, becoming board-certified in emergency medicine in 1987. From 1986 to 1990 he was employed as an attending staff physician at a hospital. Once husband received his license to practice

medicine in New York, the family moved to Albany. Since that time, husband has been an emergency room physician at a hospital, earning a salary of \$181,837 in 2000.

After 19 years of marriage, wife commenced an action for divorce in September 2000. Husband waived his right to answer the complaint and the parties entered into a stipulation of joint custody of their two children with wife having primary physical custody. Following the bench trial of this action, Supreme Court issued its findings of fact and conclusions of law in April 2002 and a judgment of divorce was entered in October 2002. The court dissolved the marriage based on husband's constructive abandonment of wife; awarded wife maintenance of \$35,000 per year for five years and \$20,000 per year thereafter for the remainder of her life; determined that wife was entitled to \$214,200 as her equitable share of husband's enhanced earnings premised on his medical license; ordered husband to pay child support for their two children in the amount of \$34,875.65 annually; distributed the marital property, including equally dividing \$242,815.39 in retirement and investment accounts; gave wife title and possession of the marital residence and set husband's half share of the parties' equity in the marital home at \$29,268.48; obligated wife to pay the mortgage, home equity loan payments and taxes on the residence (totaling about \$26,500 per year); required husband to maintain certain health and life insurance policies for the benefit of wife and the children; divided equally a tax refund check and a mortgage escrow refund check; ordered husband to reimburse wife for certain expenses pertaining to the children; and directed husband to contribute \$20,894 toward wife's counsel and expert fees.

The Appellate Division affirmed, with one modification affecting husband's obligation to maintain life insurance coverage.¹ This Court granted husband's application for leave to appeal.

1. The Appellate Division modified husband's obligation to maintain life insurance policies for the benefit of wife and the children by requiring him to keep an existing \$500,000 policy, with wife as the primary beneficiary, until his obligations to pay child support, maintenance and the distributive award were satisfied, or until the expiration of the 20-year term life insurance contract, whichever first occurs. He was also directed to maintain \$300,000 in life insurance coverage provided through his employer until the termination of his three payment obligations or upon his retirement from the practice of medicine, whichever occurs sooner.

II.

On appeal, husband raises several challenges relating to the equitable distribution of the value of his medical license, which require that we address the award in some detail. Supreme Court and the Appellate Division determined that the marital portion of husband's medical license had a present-day value of \$612,000 in accordance with testimony presented by wife's expert, a certified public accountant.² Husband did not challenge the methodology employed by the expert or the economic value of the license itself. In fact, he did not present any expert testimony. The court determined that wife was entitled to 35% of the value of husband's enhanced earning capacity as a licensed physician, which amounted to \$214,200. The court then deducted \$29,268.48 from that figure, representing the credit due husband for the conveyance of his interest in the marital residence, thereby establishing a net distributive award of \$184,931.52 owed to wife. Husband was directed to pay the award in monthly installments over a 15-year period, at six percent interest per annum from the date of commencement of the action, resulting in annual payments of \$21,288. Husband contends that Supreme Court abused its discretion by awarding wife 35% of the marital portion of the enhanced earning capacity derived from his medical license and asserts that her share should be reduced to no more than 10%. We disagree.

In recognizing marriage as an economic partnership, the Domestic Relations Law mandates that the equitable distribution of marital assets be based on the circumstances of the particular case and directs the trial court to consider a number of statutory factors listed in Domestic Relations Law § 236. These factors encompass the income and property of each party at the

2. Wife's expert testified that he arrived at this valuation by comparing the average income of a college graduate with husband's actual income for a period of time from 2000 until 2022, when husband would reach age 65. He computed husband's baseline earnings (his earning capacity without a medical license) at \$69,000 and husband's topline earnings (his actual earnings, measured as of the commencement date by averaging his 1999 and 2000 incomes) at \$183,000. After considering federal and state income taxes, Federal Insurance Contributions Act (FICA) taxes, a real rate of 3.4% (representing the relationship between growth and discount rates) and "LPE" factors (used to calculate the risks and events that could interrupt, shorten, or lengthen an individual's work life expectancy), the expert capitalized the difference between the adjusted baseline and topline earnings and discounted the amount to a present value of \$874,000. Because husband had completed 2.1 out of 7 years of medical training before the marriage, a coverture factor of 70% (4.9/7) was applied to determine the final present value of \$612,000.

time of marriage and at the time of commencement of the divorce action, the duration of the marriage, the age and health of the parties, any maintenance award, and the nontitled spouse's direct or indirect contributions to the marriage, including "services as a spouse, parent, wage earner and homemaker" (Domestic Relations Law § 236 [B] [5] [d]).

As this Court declared in *O'Brien v O'Brien* (66 NY2d 576, 588 [1985]), these considerations are particularly relevant when evaluating the parties' respective contributions to the attainment of a professional license by one spouse.³ In *O'Brien*, we held that a professional license is marital property subject to equitable distribution. In the 19 years since we adopted the *O'Brien* rule, we have adhered to the principle that both parties in a matrimonial action are entitled to fundamental fairness in the allocation of marital assets, and that the economic and noneconomic contributions of each spouse are to be taken into account. Trial courts that examine the statutory factors are granted substantial discretion in determining the extent to which the distribution of marital property, including enhanced earnings attributable to a professional license, will be equitable. Absent an abuse of discretion, this Court may not disturb the trial court's award (*see Arvantides v Arvantides*, 64 NY2d 1033, 1034 [1985]).

[1] Here, Supreme Court issued a careful, comprehensive decision addressing all relevant factors, including the parties' 19-year marriage, wife's employment and monetary contributions during husband's final two years of medical school, the parties' mutual decision that wife would forgo her career to take care of the children and home, the gross disparity in the parties' current and probable future incomes, the fact that husband was 44 years of age and wife was 46 years of age at the time of trial and husband's good health in contrast to wife's chronic health difficulties. In light of these considerations, particularly wife's economic and noneconomic contributions to husband's acquisition of his medical license and subsequent career, the termination of wife's career to raise the parties' two children and maintain the marital household, wife's absence from the job

3. Husband did not seek to overturn the precedent established in *O'Brien v O'Brien* (66 NY2d 576 [1985]) in either Supreme Court or the Appellate Division. To the extent he now suggests a modification or the elimination of our holding that future enhanced earnings attributable to a professional license are subject to equitable distribution, that argument is unpreserved and therefore not properly before us for review.

market for more than 17 years, the length of the marriage and wife's long-term health problems, we cannot conclude that Supreme Court abused its discretion in awarding wife 35% as her marital portion of husband's enhanced earning capacity as a physician practicing medicine in New York.

III.

[2] Husband next argues that the payment of \$21,288 per year—the annual installment payment of wife's distributive award of her share of enhanced earnings from his medical license—should be deducted from the computation of his income in determining his child support obligation under the CSSA and, concomitantly, that amount should be included as income attributable to wife.⁴ He claims that the failure of the courts below to perform such reassignment of income results in “double dipping” from the same income stream—i.e., awarding both child support and equitable distribution of his future enhanced earnings from the same income source, his salary as a physician. He therefore claims that the courts below erred as a matter of law in violating the antiduplication principles enunciated in *McSparron v McSparron* (87 NY2d 275 [1995]) and *Grunfeld v Grunfeld* (94 NY2d 696 [2000]). We hold that husband's proposed reallocation formula—or any formula that requires a deduction of a distributive award paid over a period of years from the licensed spouse's income for purposes of calculating child support—is impermissible under the CSSA.⁵

The CSSA (*see* Domestic Relations Law § 240 [1-b]) was enacted in 1989 to establish a uniform method for calculating child support, recognizing that a parent's “[r]esponsibility for children does not end when a parent is absent from the household” (Governor's Program Bill Mem, at 1, Bill Jacket, L 1989, ch 567). The CSSA was designed to ensure that children

4. Husband cites *Goodman v Goodman* (195 Misc 2d 204 [Sup Ct, Nassau County 2003]) as an example of his proposed treatment of enhanced earnings awards in child support computations. Husband also observes that wife's expert testified that such a reassignment formula should be applied in this case. For the reasons expressed in this opinion, we decline to do so.

5. The dissent equates a professional license to income-producing property, such as an apartment building or stock. But where a professional license is at issue, “[t]he asset is totally indistinguishable and has no existence separate from the projected professional earnings from which it is derived” (*Grunfeld v Grunfeld*, 94 NY2d 696, 704 [2000]). Hence, a trial court must convert the enhanced earnings attributable to the license into a monetary marital asset to achieve equitable distribution. In contrast, a court can transfer title to real or personal property in order to equitably distribute the asset.

“not unfairly bear the economic burden of parental separation” (Sponsor’s Mem, Bill Jacket, at 1, L 1989, ch 567). Its aim is to maintain the children’s marital standard of living after their parents separate: “Children should be protected as much as possible from the overall decline in living standards that results from parents maintaining two households” (*id.*).

As we explained in *Matter of Cassano v Cassano* (85 NY2d 649, 652 [1995]), the CSSA provides “a precisely articulated, three-step method for determining child support.” The first step requires the computation of “combined parental income” (Domestic Relations Law § 240 [1-b] [b] [4]; [c] [1]). “The amount of ‘income’ attributed to each parent is derived by adding gross income, as reported on the most recent Federal tax return, and, to the extent not included as gross income, investment income, imputed income and other ‘income received’ by the parent from eight enumerated sources” (*Matter of Graby v Graby*, 87 NY2d 605, 609-610 [1996], citing Family Ct Act § 413 [1] [b] [5]).⁶

After computing statutory income, a limited number of deductions are allowable under Domestic Relations Law § 240 (1-b). The CSSA provides for eight categories of deductions from income, which include maintenance payments and Federal Insurance Contributions Act taxes paid (*see* Domestic Relations Law § 240 [1-b] [b] [5] [vii] [A]-[H]).⁷ Significantly, the receipt of distributive award payments is not a statutory category of income, nor is the payment of a distributive award a recognized deduction.⁸

6. Family Court Act § 413 parallels Domestic Relations Law § 240 (1-b). Both statutes were enacted as part of the CSSA (*see* L 1989, ch 567, §§ 7, 8). The eight enumerated sources of income received are workers’ compensation, disability benefits, unemployment insurance benefits, Social Security benefits, veterans benefits, pensions and retirement benefits, fellowships and stipends, and annuity payments (*see* Domestic Relations Law § 240 [1-b] [b] [5] [iii] [A]-[H]).

7. Specifically, a spouse may deduct, with certain limitations and conditions: unreimbursed employee business expenses, alimony or maintenance paid to a nonparty spouse, alimony or maintenance paid to the spouse that is a party to the instant case, child support paid on behalf of any child not subject to the instant case, public assistance, supplemental security income, New York City or Yonkers income or earnings taxes and FICA taxes (*see* Domestic Relations Law § 240 [1-b] [b] [5] [vii] [A]-[H]).

8. A parent may have other financial obligations that, from a practical standpoint, reduce the parent’s expendable income, but which are not deductible under the CSSA. For example, the Legislature decided not to allow as a

(n. cont’d)

The court next multiplies the combined parental income figure, up to a ceiling of \$80,000, by a designated percentage based on the number of children to be supported, and then allocates that amount between the parents, applying each parent's respective portion of the total income to reach the amount of each parent's support obligation (Domestic Relations Law § 240 [1-b] [b] [3]; [c] [2]). In the final step, where combined parental income exceeds \$80,000, "the court shall determine the amount of child support for the amount of the combined parental income in excess of such dollar amount through consideration of the factors set forth in paragraph (f) of [Domestic Relations Law § 240 (1-b)] and/or the child support percentage" (Domestic Relations Law § 240 [1-b] [c] [3]).

In this case, Supreme Court utilized husband's 2000 gross income of \$181,837 and deducted his maintenance obligation and FICA contribution, arriving at a combined parental income of \$139,502.60, all of which was attributable to husband. Applying the child support mandated percentage of 25% for two children to this sum, the court determined that husband must pay \$34,875.65 annually in child support.

Husband asserts that his annual \$21,288 installment payment of wife's distributive award should also be deducted from his income and included as income attributed to his wife for purposes of the CSSA computations. Although wife's expert opined that a reassignment of income adjustment should be undertaken to avoid double dipping of husband's income stream, the CSSA does not provide for the deduction of distributive awards from income, whether based on enhanced earning capacity due to a professional license or otherwise. Nor does the CSSA authorize the inclusion of a distributive award as income to the parent receiving the award. This lack of inclusion in either the list of permissible statutory deductions or the definition of income is understandable because distributive awards "reflect, not income, but a property distribution" of the marital assets (Scheinkman, New York Law of Domestic Relations § 14:36, 2003 Pocket Part, at 131 [11 West's NY Prac Series 1996]). Indeed, the Domestic Relations Law, which defines a distributive award as "payments provided . . . in lieu of or to supplement, facilitate or effectuate the division or distribution of property," makes clear that distributive awards should not be treated

deduction against a parent's income a court-ordered obligation to make monthly credit card payments pertaining to expenses incurred by the other spouse.

as income for tax purposes (Domestic Relations Law § 236 [B] [1] [b] [“Distributive awards shall not include payments which are treated as ordinary income to the recipient under the provisions of the United States Internal Revenue Code”])). Had the Legislature intended to make distributive awards deductible from one parent’s income and includable in the other’s, it could easily have so provided. Simply put, it appears that the Legislature did not wish to have a child’s lifestyle and support altered based on a distributive award. In sum, husband’s proposed methodology conflicts with the plain language of the CSSA.

Even if husband could overcome the statutory construction hurdle, his proposed methodology would be unworkable in many instances because it fails to address situations where a licensed parent satisfies a distributive award obligation by making a lump-sum cash payment or transfers a noncash asset (such as interest in real property) rather than making periodic cash payments over a number of years. For instance, in this case, if a lump-sum distributive payment had been ordered, under husband’s methodology the payment would have been deducted from his income and applied to wife, offsetting all of husband’s earnings or other income for that year and shifting the entire child support burden to wife, who is not employed. Wife then would necessarily have to meet the support obligation from the proceeds of her distributive award. Likewise, if a spouse satisfies a distributive award by transferring his or her title and equity in real property to the other spouse, the value of the one-time transfer would skew the transferor’s income for CSSA purposes under husband’s proposal. The result in these scenarios would clearly be inequitable to the recipient spouse and the children. Under husband’s reassignment theory, the manner in which the distributive award is paid out would dictate whether or not it requires an adjustment in income allocation for purposes of child support. We see no reason to treat a distributive award paid in periodic installments differently than an award satisfied by the transfer of a noncash asset or lump-sum payment. Indeed, in this case the award was partially paid by transfer of husband’s interest in the marital residence to wife. However a distributive award is paid—whether in installments derived from the license holder’s income stream, by lump-sum payment or by other asset transfer—the CSSA does not permit the award to be viewed as income for the purpose of allocating combined parental income.

McSparron and *Grunfeld* do not dictate a contrary result. In *McSparron*, this Court warned that “care must be taken to ensure that the monetary value assigned to the license does not overlap with the value assigned to other marital assets that are derived from the license such as the licensed spouse’s professional practice,” and cautioned the lower courts to “be meticulous in guarding against duplication in the form of *maintenance* awards that are premised on earnings derived from professional licenses” (87 NY2d at 286 [emphasis added]).

In *Grunfeld*, this Court reaffirmed the *McSparron* prohibition against duplicative awards and noted that to avoid “double counting,” courts must reduce either the income available to make maintenance payments or the marital assets available for distribution, or some combination of the two. Specifically, we held that “[o]nce a court converts a specific stream of income into an asset, that income may no longer be calculated into the *maintenance* formula and payout” (*Grunfeld*, 94 NY2d at 705 [emphasis added]).⁹

Notably, neither *McSparron* nor *Grunfeld* discussed double counting vis-à-vis child support. Rather, in each case we held that a court may not award maintenance and the distribution of enhanced earnings attributable to a professional license from the same income stream. Unlike maintenance, child support is governed by a precise formula in the CSSA, which simply does not authorize a court to deduct a distributive award from the titled spouse’s income.

Husband also argues that Supreme Court abused its discretion by refusing to adjust his child support obligation upon its consideration of the distributive award of his medical license as a “paragraph (f)” factor with respect to parental income in excess of \$80,000 (*see* Domestic Relations Law § 240 [1-b] [f]). In a related argument, husband claims that Supreme Court abused its discretion by failing to disregard the statutory child support formula as “unjust or inappropriate” in favor of a reduced child support award based on the distributive award.

As earlier mentioned, step three of the CSSA’s formula requires the trial court to consider the “paragraph (f)” factors

9. To the extent husband suggests Supreme Court engaged in double dipping by awarding maintenance and the equitable distribution of the medical license from the same income stream, such contention is meritless. Supreme Court properly awarded maintenance based solely on husband’s remaining income after subtraction of the amount attributable to the marital portion of the medical license.

for income in excess of \$80,000. The “paragraph (f)” factors include “[t]he financial resources of the custodial and non-custodial parent,” the child’s “special needs and aptitudes,” “[t]he standard of living the child would have enjoyed” if the marriage had not ended, any tax consequences, a determination that one parent’s gross income “is substantially less than the other parent’s gross income,” and “[a]ny other factors the court determines are relevant in each case” (*id.*).

Moreover, after completing the three-step formula, the trial court may adjust the amount calculated only if, after examining the “paragraph (f)” factors, it finds that the noncustodial parent’s share is “unjust or inappropriate” (Domestic Relations Law § 240 [1-b] [a], [f]). Where the trial court concludes the amount calculated to be “unjust or inappropriate,” it must order the noncustodial parent to pay an amount it deems “just and appropriate” and is required to set forth in its decision the “paragraph (f)” factors it considered (Domestic Relations Law § 240 [1-b] [g]).

[3] We agree with husband that a distributive award to be paid by one parent to the other pertains to the financial resources of the parties and therefore is an appropriate paragraph (f) factor that the trial court may consider when awarding child support. However, on this record, we cannot say that Supreme Court abused its discretion by failing to modify husband’s child support obligation based on his distributive award obligation.

Here, in carefully determining whether to apply the child support percentage of 25% to all income in excess of \$80,000, Supreme Court expressly indicated that it considered the distributive award and maintenance obligations, the substantial disparity in gross income between the parties, as well as the upper middle-class lifestyle the children would have enjoyed had the parties not divorced. The family had taken frequent vacations, the children received allowances and engaged in extracurricular pursuits, and the daughter, who is musically talented, had taken private music lessons and had traveled with the Empire State Youth Orchestra. Under these circumstances, we cannot say Supreme Court abused its discretion by applying the statutory percentage of 25% to husband’s income in excess of \$80,000.

[4] Nor did Supreme Court abuse its discretion in failing to deem husband’s support obligation calculated under the three-step statutory formula “unjust or inappropriate.” Although

Supreme Court did not—and was not required to—explicitly state that it found the statutory formula just and appropriate, it necessarily found the formula to be so, by considering the effect of the distributive award in its decision to apply the full 25% to husband’s income in excess of \$80,000. Based on the aforementioned factors, including the preservation, to the extent possible, of the children’s standard of living, Supreme Court appropriately applied the statutory formula.

We are not unmindful of the financial burdens husband currently faces. We note, however, that husband’s child support obligation will substantially decrease when the parties’ older child turns 21 in April 2006 and will cease when the younger child reaches 21 in April 2012. Moreover, husband’s maintenance obligation will decrease from \$35,000 to \$20,000 in 2007. Thus, although husband is now paying wife approximately \$91,000 a year under Supreme Court’s order, in 2006 his payments to wife will be reduced to about \$80,000, and in 2007, those payments will be further diminished to approximately \$67,000. When husband’s child support obligation ends, his annual payments to wife will be about \$41,000, presuming she does not remarry, which would terminate her receipt of maintenance.

Moreover, although Supreme Court did not express a final computation representing husband’s annual financial obligation to wife and his children, the court certainly was aware of the extent of its detailed findings of fact and conclusions of law underlying the judgment of divorce. In the exercise of their fact-finding authority, if the trial court or Appellate Division had concluded that husband faced an unjust financial burden based on the overall economic outcome in this case, either court could have reduced husband’s maintenance obligation or wife’s equitable share of husband’s future enhanced earnings premised on his medical license. Based on the factual determinations in this case, however, it was not an error of law for the courts to decline to do so.

IV.

Husband’s remaining contentions regarding attorney and expert fees are similarly without merit. Where, as here, the Appellate Division’s affirmance of an award of counsel fees and expert fees “cannot be characterized as an abuse of discretion as a matter of law, the issue is beyond our review” (*O’Brien*, 66 NY2d at 590).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

R.S. SMITH, J. (dissenting). I think the decision of Supreme Court, which the Appellate Division affirmed, is flawed in three ways. First, it fails to consider or justify the total burden that the multiple rulings it contains place upon defendant. Secondly, it adopts an illogical and unfair method of allocating the parties' income for purposes of calculating child support payments. And thirdly, it applies our decision in *O'Brien v O'Brien* (66 NY2d 576 [1985]) on facts totally opposite, in material respects, to the facts of *O'Brien* itself—resulting in an application of *O'Brien* that does no good at all, but does considerable harm. For all these reasons, I dissent from the majority's decision to affirm.

I

In a 27 page opinion, Supreme Court made detailed findings of fact and a series of discrete rulings, including awards of maintenance, child support, equitable distribution and attorneys' and expert fees. In justifying each of these rulings, the court referred to the appropriate statutory and other factors. Only one thing is missing from this otherwise meticulous analysis: Supreme Court never even mentions, much less evaluates, the cumulative impact of its rulings.

That impact is to impose a very significant burden on defendant—to require him, for several years, to pay to his ex-wife more than two thirds of his net income, and even in the more distant future to pay her as much as he keeps for himself. Defendant's brief in this Court contains the following chart, which summarizes the burden on him in the first year following Supreme Court's award:

Income	\$181,837
Minus FICA (1233)	(\$7,403)
Minus Maintenance	(\$35,000)
Minus Taxes	(\$46,882)
Minus Child Support	(\$34,875)
Minus Equitable Distribution (with interest)	(\$21,288)
Minus Attorney's Fees	(\$20,000)
NET MONEY AVAILABLE FOR DEFENDANT APPELLANT	\$16,389

Plaintiff's brief notes, correctly, that the \$20,000 attorneys' fee payment is a one-time obligation. With that exception,

however, plaintiff takes no issue with the above-quoted calculation. Even if the attorneys' fees are ignored, defendant is left with approximately \$36,000 of a pretax income of \$181,000.

It is true that the burden on defendant remains at this level only for four years after the award; after that, child support will be reduced because the parties' older child will become emancipated, and a year later maintenance will drop to a lower level pursuant to Supreme Court's order. But even then, the burden will be a major one. My own calculations suggest that, assuming defendant's income does not much change (and again ignoring the attorneys' fee award) defendant is required to pay more than two thirds of his after-tax income to plaintiff for the first four years; some 60% in the fifth year; about half of it in years 6 through 10; and nearly a third of it for five years after that. It is not until 15 years after the award that defendant's obligations (at that point consisting only of maintenance) diminish to something like 12% of his income (calculating both the income and the obligations on an after-tax basis).¹

I do not assert that the imposition of this level of burden on defendant is, as a matter of law, an abuse of discretion. It is possible that a careful comparison of defendant's resources and needs with the needs of plaintiff and the children would justify it. I do suggest, however, that it was an abuse of discretion for Supreme Court not even to consider whether the overall result of its various awards was fair. Indeed, it is not clear from Supreme Court's opinion that the court was even aware of the cumulative impact of its rulings. One portion of the opinion suggests that it was not: In awarding attorneys' and expert fees, the court listed the factors that it considered—the first of them being “[t]he gross disparity between plaintiff's and defendant's income.” Supreme Court may not have realized that, giving effect to decisions it had made earlier in its opinion, the “disparity” would be for several years in plaintiff's favor.

I would therefore vacate Supreme Court's judgment and direct Supreme Court to reconsider it, giving due weight not just to the components of its rulings, but to their cumulative impact.

1. While the absolute dollar figures recited at page 15 of the majority opinion are accurate—and confirm that the burden on defendant is a large one—I believe that the relative figures in this opinion are more illuminating. The majority opinion fails to note that, while defendant's maintenance payments are tax deductible, his payments for child support and equitable distribution are not. Thus while the majority is correct in saying that defendant “is now paying . . . approximately \$91,000 a year” (about half his pretax income), his payments are much more burdensome on an after-tax basis.

II

In calculating child support, Supreme Court began, as the Child Support Standards Act (CSSA) requires, by considering the income of each party. It proceeded, however, on the false assumption that the income of each (prior to making the deductions permitted by statute) would be what it was before the divorce. This assumption was necessarily false, because Supreme Court's equitable distribution award required the transfer from defendant to plaintiff of 35% of the value of a significant income-producing asset.

Supreme Court, applying our decision in *O'Brien*, treated as a marital "asset" what it described as "[t]he marital portion of the enhanced earning capacity of defendants's [*sic*] medical education, medical degree, medical license, residency and Board Certification in emergency medicine." In the next section of this dissent, I will try to show that it was error to apply *O'Brien* to this case, but Supreme Court did apply it, and I assume for purposes of this section of my opinion that Supreme Court was correct to do so. Indeed, to simplify matters, it is useful for present purposes to put aside the conceptual complexities of *O'Brien* and to analyze defendant's medical license as though it were any other income-producing asset—corporate stock, for example, or real property held for investment.

When income-producing property is owned by a husband or wife who is divorced, it is often appropriate to order part or even all of it equitably distributed to the other spouse. When that is done, however, it makes no sense at all to calculate child support as though no such distribution had occurred—as though the transferring spouse still owned the asset and received the income it generated. Yet the majority concludes that this irrational procedure is required by the CSSA—as indeed it would be, except that the CSSA expressly permits departure from its formula to avoid an "unjust or inappropriate" result.

The starting point for calculating a parent's income under the CSSA is that parent's "gross (total) income as should have been or should be reported in the most recent federal income tax return" (Domestic Relations Law § 240 [1-b] [b] [5] [i]). In other words, income is normally allocated to the spouse who was required to report that income for federal income tax

purposes.² The statute thus proceeds on the assumption that child support should be calculated on the basis of each party's income immediately before the divorce.

In most cases, this is a perfectly reasonable assumption. It is not reasonable at all, however, where an income-producing asset is transferred from one spouse to another as part of the divorce. A few oversimplified examples will make the absurdity clear:

(1) Suppose the parties' sole source of income is a rental apartment building. The building is in the husband's name and thus, on his most recent tax return, the income from it was his. Suppose that, as part of the divorce, the asset is divided equally between the parties—so that each will have the same income after the divorce. If income is allocated solely on the basis of the pre-divorce tax returns, one spouse will seem to have all the income and the other none—although their incomes are in fact exactly the same.

(2) Suppose that the building is in the husband's name prior to the divorce, but *all* of it is distributed to the wife as part of the divorce. She now has all the income. Yet, if she receives custody of the children, the “most recent tax return” approach requires him to pay her child support as though he had all the income and she had none.

(3) Suppose the asset (say, in this case, stock in a closely held corporation) is in the wife's name, so that all the income has been hers for federal tax purposes. Suppose that the asset is distributed to the husband upon divorce; this might occur if, for example, the husband had been actively involved in running the business and the wife had not. Now the husband has all the income and the wife has none. Assuming that the wife gets custody of the children, the wealthy husband will pay the penniless wife nothing in child support.

These extreme hypotheticals may rarely be encountered, but a less extreme version of the same anomaly will occur in many cases, and has occurred in this one. The court awarded plaintiff, in substance, 35% of the “marital” portion of defendant's medical license, yet child support is calculated as though the defendant still owned 100%. The effect in this case is significant,

2. Often, of course, a married couple will file a joint federal income tax return. Where that occurs, the statute requires that each of them “prepare a form, sworn to under penalty of law, disclosing his/her gross income individually” (Domestic Relations Law § 240 [1-b] [b] [5] [i]). I take this to mean that each spouse must treat as his or her own income the income that would be disclosed on that spouse's return if the couple filed separately.

though not huge; by my calculation, it inflates the child support award by some \$7,000 per year. Much more troubling, the majority opinion sets a precedent that seems to require mechanical application of the “most recent tax return” rule in every child support calculation, even where the results are as bizarre as those in the hypotheticals I offered above.

The only justification offered by the majority for this rule is that the statute requires it—and, if the statute had no escape clause, the majority would be right. The authors of the CSSA apparently failed to anticipate the need to reallocate income where income-producing assets are transferred. The authors were wise enough, however, to realize that they could not anticipate everything—and therefore the statute does have an escape clause that seems to have been written precisely to avoid results like the one the majority reaches today.

Under Domestic Relations Law § 240 (1-b), the noncustodial parent must pay his or her “pro-rata share of the basic child support obligation,” based on “income” as defined in the statute, “[u]nless the court finds that the non-custodial parent[’s] pro-rata share of the basic child support obligation is unjust or inappropriate” (*id.* ¶ [f] [emphasis added]). Thus, the statute expressly authorizes departure from the statutorily calculated “pro-rata share” where a failure to depart would produce an “unjust or inappropriate” result. The statute lists 10 “factors” to be considered in making a departure, of which the first is: “[t]he financial resources of the custodial and non-custodial parent, and those of the child” (*id.* cl [1]). Where an income-producing asset changes hands as part of the divorce, the “financial resources” of one party are greater, and those of the other are less, than the statutory formula assumes. If this is not an instance where the parties’ “financial resources” render the “pro-rata share” as calculated by statute “unjust or inappropriate” I find it hard to imagine what such a case would be.

In *Goodman v Goodman* (195 Misc 2d 204 [Sup Ct, Nassau County 2003]), the court recognized the applicability of the CSSA’s escape clause to this kind of case. *Goodman* held that, in calculating child support, “the income from a distributive award for enhanced earnings capacity should be attributed to the non-titled spouse and be reduced from the income of the titled spouse” (195 Misc 2d at 204-205). The *Goodman* court relied on our decisions in *McSparron v McSparron* (87 NY2d 275 [1995]) and *Grunfeld v Grunfeld* (94 NY2d 696 [2000]), cases discussing the relationship between equitable distributions under the *O’Brien* rule and maintenance awards.

In *McSparron*, we said that “[t]he courts must . . . be meticulous in guarding against duplication in the form of maintenance awards that are premised on earnings derived from professional licenses” (87 NY2d at 286). In *Grunfeld* we held that to use the same income as a basis for a distributive award and an award of maintenance is impermissible double counting. “To allow such duplication would, in effect, result in inequitable, rather than equitable, distribution” (94 NY2d at 704). The majority today distinguishes *McSparron* and *Grunfeld* on the ground that child support, unlike maintenance, is governed by a statutory formula. But since the CSSA specifically provides for departure from its formula when adherence to it would be “unjust or inappropriate,” I agree with the *Goodman* court that the common sense underlying *McSparron* and *Grunfeld* should be applied in the child support context as well.

The injustice of a wooden application of the statutory formula where an income-producing asset has been distributed is so blatant that it was recognized in this case by plaintiff’s own expert witness. John R. Johnson, a valuation expert, testified that while he knew that “duplication within the context of child support” was, legally, an open question, “I feel intellectual honesty would suggest we still have only one income stream.” He testified that “the only way to really equitably determine the relative child support obligation” would be to make an adjustment taking account of the equitable distribution. In his child support calculation, he reallocated to plaintiff—the party who employed him—the portion of defendant’s income that would in effect be distributed to plaintiff upon the divorce. Today, the majority concludes that such a reallocation, however clearly “intellectual honesty” compels it, is forbidden by the CSSA.

The majority completely fails to explain, however, why the CSSA’s “unjust or inappropriate” escape clause should not be invoked here. It is obvious, and the majority does not dispute, that the parents’ “financial resources”—the first factor that Domestic Relations Law § 240 (1-b) (f) directs the court to consider—are materially different from what the statutory formula assumes them to be. This necessarily implies that, in the words of section 240 (1-b) (f), the “non-custodial parent[’s] pro-rata share of the basic child support obligation is unjust or inappropriate.” The facts relied on by the majority—including the family’s frequent vacations and the daughter’s private music lessons (majority op at 14)—do not affect this conclusion.

The majority never comes to grips with the conceptual error inherent in using a statutory formula based on the parties' pre-divorce income where an income-producing asset is transferred as part of the divorce. The issue here is not, as the majority puts it, whether "to make distributive awards deductible from one parent's income and includable in the other's" (majority op at 12). It is whether to reallocate—not deduct—the income that accompanies a transferred income-producing asset—whether that asset is a medical license or an apartment building. The court in *Goodman* characterized this issue correctly:

“[w]hile the appropriate deductions to determine the correct level of child support, as elucidated above, are contemplated and authorized by case law and statutory authority, the income reallocation discussed here is *not* part of a ‘deductibility issue’—rather, it is a mathematical reallocation of income from one parent who gives, to the other parent, who receives, in the form of a distributive award for enhanced earnings. The appropriate public policy concern, thus, is *not* the preclusion of income from which to award child support—this will not happen here at all. Rather, the appropriate and real focus is the reassignment of income between the parents and the court’s proper recognition and treatment of it, to calculate and determine each of the parents’ correct income and appropriate ‘pro rata’ share of the child support obligation. (See, Domestic Relations Law § 240 [1-b] [f].)” (195 Misc 2d at 208-209.)

Because the majority does not recognize the special problem raised by the equitable distribution of an income-producing asset, it lists reasons why defendant’s “proposed methodology would be unworkable in many instances” (majority op at 12) that are simply wrong. Contrary to what the majority seems to think, no one is proposing that every equitable distribution be deducted from the income of the paying spouse for child support purposes. The logic of defendant’s argument, which I think is correct, applies only where an asset is distributed that is the source of a material portion of either party’s predivorce income. If the distributed asset is not income-producing—if it is a house the parties live in, or an automobile or jewelry—the issue of reallocating income does not arise. But if the asset in question is income-producing, reallocation is necessary whether the asset

is distributed in kind or by payment of its value in cash, and whether the distribution is made all at once or over a period of years. It is not the distributed asset itself (e.g., an apartment building) that should be reallocated; it is the resulting income (the rent the building produces). (In the *O'Brien* context, the distinction between the “asset” [the license] and the “income” [the money earned by virtue of the license] can be confusing, because, except in matrimonial law, a professional license is not usually thought of as an “income-producing asset.” But, as mentioned above, this kind of “asset” should not be treated differently than an apartment building or a share of stock.)

In holding that the CSSA forbids reallocation of income where an income-producing asset is equitably distributed, the majority needlessly renders the statute rigid and irrational.

III

The parties in this case were married for 19 years before divorce proceedings began. Defendant was a doctor for more than 16 of those years, and by the time of the divorce was earning an annual income of approximately \$180,000. No suggestion was made by either party that that sum does not fully reflect the value of his medical license, or of other credentials he obtained in the early years of the marriage. In other words, this is not a case where one party made sacrifices to put the other through school, but was prevented by divorce from enjoying the resulting benefits. The benefits of the sacrifices both parties made have been enjoyed by both of them for more than a decade, and are fully reflected in defendant’s current income.

Supreme Court nevertheless felt compelled to apply our decision in *O'Brien*, which held that a medical license is an “asset” subject to equitable distribution. It did this by dividing defendant’s \$180,000 income into an “asset” portion and an “income” portion, and awarding plaintiff a percentage of both. In principle, this was a largely useless but harmless exercise. In light of a number of complicating factors, however, applying *O'Brien* to this and similar cases is worse than useless. I therefore think we should hold that the application of *O'Brien* is restricted to cases where its application produces some significant benefit.

The prototype of such a case is *O'Brien* itself. Michael and Loretta O’Brien were married for nine years. At the beginning of the marriage, he had not yet obtained his bachelor’s degree. During the marriage, he obtained that degree, took premedical

courses, went to medical school, completed his internship and obtained a license to practice medicine. His wife helped him to become a doctor by giving up her own opportunity to obtain a professional certification, working in various jobs and contributing her earnings to their joint expenses. Two months after getting his license, he began an action for a divorce. While his income at that moment was apparently meager, his medical license had created sufficient “enhanced earning potential” that an expert was able to value the license at \$472,000 (66 NY2d at 582).

O’Brien, in short, presented what the Appellate Division in that case called “the classical ‘student-spouse, working-spouse’ syndrome” (*O’Brien v O’Brien*, 106 AD2d 223, 231 [2d Dept 1985])—a situation which, the Appellate Division dissent noted, had been called “almost a cliché” (*id.* at 234 [quoting *Washburn v Washburn*, 101 Wash 2d 168, 173, 677 P2d 152, 155 (1984)]). This is a situation with which courts and commentators have struggled both before and since the *O’Brien* decision. Our solution in *O’Brien* was to hold that the medical license constituted “marital property,” and that a portion of its value could be paid to Loretta O’Brien as a distributive award.

In *O’Brien* we became the first state court of last resort to hold that a professional license is marital property, though the Supreme Court of Iowa had previously come close to doing so (*In re Marriage of Horstmann*, 263 NW2d 885 [Iowa 1978]). Some may have hoped that *O’Brien* would begin a trend; if so, those hopes have been disappointed. In 19 years, not one other state has adopted the *O’Brien* rule,³ and Iowa seems to have backed away (*In re Marriage of Francis*, 442 NW2d 59 [Iowa 1989]). In the other 49 states, a professional license is not itself an asset subject to equitable distribution, although in many states the enhanced earning capacity reflected by a license may be considered in awarding alimony or maintenance, or in distributing other assets (see e.g. *Downs v Downs*, 154 Vt 161, 574 A2d 156 [1990]; *In re Marriage of Olar*, 747 P2d 676, 680-681 [Colo 1987] [en banc]; *Drapek v Drapek*, 399 Mass 240, 246, 503 NE2d 946, 950 [1987]; *Mahoney v Mahoney*, 91 NJ 488, 501-505, 453 A2d 527, 534-536 [1982]; *DeWitt v DeWitt*, 98 Wis 2d 44, 60-61, 296 NW2d 761, 769 [1980]).

3. Some intermediate appellate panels in Michigan have adopted an *O’Brien*-like approach (see *Postema v Postema*, 189 Mich App 89, 94-101, 471 NW2d 912, 915-918 [1991]).

Comment on *O'Brien* in law reviews and legal journals has been mostly, though not unanimously, negative (see Heller, Letters to the Editor, *Relief Needed From O'Brien*, NYLJ, Dec. 11, 2002, at 2, col 6; Jacobson, *The Numbers Racket—Enhanced Earning Capacity*, 34 NY St Bar Assn Fam L Rev [No. 3] 7 [Fall/Winter 2002]; Davis, *The Doctrine of O'Brien v. O'Brien: A Critical Analysis*, 13 Pace L Rev 863 [Winter 1994]; Marnell, Outside Counsel, *Treatment of Enhanced Earning Capacity As an Asset Under Equitable Distribution*, NYLJ, Sept. 17, 1992, at 1, col 1; Batts, *Remedy Refocus: In Search of Equity in 'Enhanced Spouse/Other Spouse' Divorces*, 63 NYU L Rev 751 [1988] [all criticizing *O'Brien's* holding or observing that it is extremely difficult to apply fairly]; but see Kelly, *The Marital Partnership Pretense and Career Assets: The Ascendancy of Self Over the Marital Community*, 81 BU L Rev 59 [Feb. 2001], and Willoughby, *Professional Licenses as Marital Property: Responses to Some of O'Brien's Unanswered Questions*, 73 Cornell L Rev 133 [Nov. 1987] [both praising some principles in *O'Brien*]). Much of this commentary reflects a sense that whatever benefits in fairness may be gained from the *O'Brien* rule are outweighed by the complexities and uncertainties it introduces into matrimonial litigation.

It may be doubted whether an innovation which has attracted so little imitation, and so little praise, will endure forever. However, I do not suggest that we should now overrule *O'Brien*. The potential for injustice in the “student-spouse/working-spouse” syndrome is very real, and *O'Brien* is an attempt to remedy it; it is an imperfect remedy, but no remedy would be perfect. I make now the more modest suggestion that *O'Brien* be applied only in those situations where there is a problem for *O'Brien* to remedy—not where *O'Brien* puts the parties and the court through a complex and largely empty exercise. This emptiness may be illustrated by the present case, where Supreme Court felt compelled by *O'Brien* to go through a process that may be analogized to rolling up a carpet, for no other purpose but to unroll it again.

Plaintiff's expert, Johnson, divided defendant's current earnings of \$183,000⁴ into two parts: \$69,000, which is what Johnson thought defendant would have earned without a medical license,

4. The small discrepancy between this number and the income number in the chart at page 16 of this opinion reflects some consulting income that Johnson included and defendant's brief did not.

and \$114,000, the additional income the license brought him. Making certain assumptions about how long defendant would work, and taking taxes into account, Johnson then converted the \$114,000 portion of defendant's annual income to a present value of \$874,000 (rolling up the carpet). Since the parties were married for 70% of the time when defendant was obtaining his license, Johnson found the value of the "marital portion" of the license to be \$612,000. Supreme Court accepted Johnson's \$612,000 figure, and decided that plaintiff's "equitable share" of the license should be 35%, or \$214,200. After reducing this number to account for defendant's conveyance of his interest in the marital residence, Supreme Court required defendant to pay the remaining sum, with interest, over a 15 year period (unrolling the carpet).

Johnson determined that the remainder of defendant's income—the \$69,000 he would have received without a medical license, and the 30% of the remaining \$114,000 that did not go into the computation of the "marital assets"—was "available for maintenance." He suggested that the court award maintenance in the amount of \$35,000—34% of the "available" income. The court accepted this suggestion, though it decided that maintenance should be reduced to \$20,000 after five years.

Thus, in oversimplified summary, an expert was paid to divide defendant's income into two pieces so that the court could award approximately 35% of each piece, with both awards to be paid over a period of years. It would have saved considerable trouble, not to mention expert fees, simply to award as maintenance 35% of the whole thing. And although the summary is oversimplified, the omitted complexities furnish no good reason for applying *O'Brien* here, and some added reasons for not applying it.

The first of these omitted complexities is that Supreme Court actually awarded less than 35% of defendant's total income, because the maintenance percentage decreases after the first five years. Obviously, this adjustment did not depend upon the application of *O'Brien*; if the court had awarded maintenance based on defendant's entire income, it could have chosen percentages that would have produced an economically identical result. The same applies to the differences in duration between the *O'Brien* equitable distribution award (15 years) and the maintenance (for plaintiff's life or until her remarriage). If the court had awarded maintenance based on defendant's total income, it could have chosen to change the amount of the award, or cease it altogether, at any point or points in time.

Secondly, the distinction between maintenance and an equitable distribution complicates the tax picture, for maintenance is deductible to the paying spouse and taxable to the receiving spouse, while an equitable distribution is neither. Thus in this case, the combined effect of the court's maintenance and equitable distribution awards was to award more than 35% of defendant's after-tax income. Taxes are a factor that should be considered in setting the amount of any award, and Supreme Court's opinion states that they were considered here. As long as the court takes tax impact into account, and as long as the parties pay the same effective tax rate, it should be possible to obtain identical after-tax results either by awarding maintenance or by awarding equitable distribution under *O'Brien*. In the (probably rare) case where the receiving spouse pays a higher effective tax rate than the paying spouse, the use of *O'Brien* will actually be tax efficient. But in the (probably less rare) situation where the paying spouse is taxed at a *higher* rate, *O'Brien* will have a perverse tax effect: by causing a portion of the annual payments to be characterized as "equitable distribution," *O'Brien* will enrich the government, by foreclosing an opportunity to move taxable dollars from the party with the higher tax rate to the party with the lower one.

Thirdly, in light of the anomaly discussed in part II of this dissent, the application of *O'Brien* distorts the child support calculation. The majority holds (I think incorrectly) that the CSSA forbids the reallocation, for child support purposes, of the income on which an *O'Brien* award is based. If the same amount is distributed as maintenance, the effect of the CSSA is less harsh: the statute permits deducting maintenance from the husband's income for child support purposes, though it does not permit adding it to the wife's (Domestic Relations Law § 240 [1-b] [b] [5] [vii] [C]).

Fourthly, a multiyear equitable distribution under *O'Brien*, unlike an award of maintenance, does not cease at the recipient's death or remarriage. It is possible to debate in particular cases whether, from the point of view of fairness, this is an advantage or disadvantage of the *O'Brien* approach. I do not think it will always be an advantage. In this case, for example, if the parties had remained married, and plaintiff had happened to predecease defendant, her estate would have had no claim on his medical license, or the income derived from it. I do not see why divorce should change that. But even assuming that, in many or most cases, this feature of the *O'Brien* approach produces a more just

result, I do not think the peripheral advantage thereby gained is worth the trouble. Where a court thinks the risk of injustice, in the event of death or remarriage, is significant in a particular case, devices much less cumbersome than *O'Brien* are available to mitigate the problem.

Finally, it may be said that in characterizing annual payments to an ex-spouse as maintenance rather than a distributive award, the courts deny the recipient's status as "partner." The theory is that, to use this case as an example, plaintiff's contributions to defendant's attainment of his medical license make her equitably a 35% partner in the marital portion of that asset, and thus it is symbolically wrong to award her 35% of his income only as maintenance, rather than as something she owns. What is theoretically right or wrong in this area is a difficult, almost a metaphysical, question.⁵ I do not propose to debate that question here. I think it enough to say that the pursuit of a theoretical or symbolic goal does not justify the practical burden involved in following the circuitous and confusing *O'Brien* route to a result which will be, in practical terms, usually no better and often worse than a simple award of maintenance.

For all these reasons, I believe that *O'Brien* should be limited to cases involving the "student-spouse/working-spouse" syndrome, or some reasonably analogous situation. *O'Brien* should not be used where, as here, the enhanced earning capacity associated with the professional license is already fully reflected in the license holder's earnings.

While the result I advocate would certainly involve a retreat from the broad language of *O'Brien* and other cases, I do not think it is inconsistent with any of our prior holdings. In particular, I believe it is consistent with our holding in *McSparron*, which rejected the doctrine, developed in some lower court cases, that the value of a professional license as an "asset" could be "merged" with the license holder's professional practice. I acknowledge that the analytical underpinning of the "merger" doctrine was in some ways similar to the analysis in this opinion; the "merger" doctrine was based on the thought that a

5. See e.g. Batts, *Remedy Refocus: In Search of Equity in 'Enhanced Spouse/Other Spouse' Divorces*, 63 NYU L Rev 751 (1988) (suggesting that the nontitled spouse be granted "compensation" rather than partnership status); Kelly, *The Marital Partnership Pretense and Career Assets: The Ascendancy of Self Over the Marital Community*, 81 BU L Rev 59, 125 (2001) (deploring the "rejection of partnership principles").

practicing professional will, in many cases, have realized the enhanced income that *O'Brien* was designed to capture, thus making the application of *O'Brien* unnecessary. We noted in *McSparron* that the “merger” doctrine “injects an artificial and unnecessarily confusing element into an already difficult assessment process” and that one “objection to the ‘merger’ theory is that it is difficult to apply” (87 NY2d at 284, 285). I do not propose to resurrect the doctrine of merger. Rather, I propose to recognize that, in a case like this one, *O'Brien* itself “injects an artificial and unnecessarily confusing element into an already difficult assessment process.”

We noted in *McSparron* that “in particular cases” the value of a professional license “may be nominal” (87 NY2d at 285-286). We quoted this language, italicizing the words “it may be nominal,” in our later decision in *Grunfeld* (94 NY2d at 704). Cases like this one, I believe, exemplify the point that an *O'Brien* analysis will sometimes add nothing of substance to deciding the appropriate award in a matrimonial case. Where that is true, *O'Brien* should not be applied.

IV

Accordingly, I would vacate the judgment below and remit the case for further proceedings consistent with the views I have expressed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK and ROSENBLATT concur with Judge GRAFFEO; Judge R.S. SMITH dissents in a separate opinion in which Judge READ concurs.

Order affirmed, with costs.

[814 NE2d 799, 781 NYS2d 492]

In the Matter of SHERMAN F. TAUB et al., Appellants, v HERBERT I. ALTMAN, as Justice of the Supreme Court of the State of New York, et al., Respondents.

Argued June 3, 2004; decided July 1, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 6, 2003, in a proceeding pursuant to CPLR article 78. The Appellate Division (1) denied the petition for a writ of prohibition to prevent the Honorable Herbert I. Altman, as Justice of the Supreme Court, New York County, and Robert M. Morgenthau, as District Attorney of New York County, from continuing with the prosecution of counts 26 through 30 of a New York County indictment, for lack of geographical jurisdiction under CPL 20.40, and (2) dismissed the proceeding.

Matter of Taub v Altman, 1 AD3d 109, reversed.

HEADNOTES

Crimes — Jurisdiction of Offenses — Particular Effect Jurisdiction

1. New York County did not have “particular effect” jurisdiction under CPL 20.40 (2) (c) to prosecute five counts of an indictment charging petitioners with offering a false instrument for filing in the first degree, based on their execution and mailing outside the county of allegedly false New York State and City tax returns. The conduct constituting the offense may have had a materially harmful impact on New York City, but the evidence was insufficient to establish a concrete and identifiable injury suffered specifically by the county. The gravamen of the prosecution was the deprivation of revenue from the city, and the location in the county of city agencies and bank accounts through which the city income tax revenue was processed was alone insufficient to establish a particular effect on the county. Where, as here, the only nexus between the prosecuting county and the harmed political subdivision is the location of offices and accounts of the subdivision within the county, the statutory requirements have not been satisfied and the asserted impact is amorphous at best. Nor was the evidence here sufficient to establish the second statutory requirement for injured forum jurisdiction—that the conduct was performed with intent that it would, or with knowledge that it was likely to, have a particular effect in the county.

Crimes — Indictment — Sufficiency of Basis for Particular Effect Jurisdiction

2. The New York County indictment charging petitioners with offering a false instrument for filing in the first degree under a theory of particular effect jurisdiction, based on their execution and mailing outside the county of allegedly false New York State and City tax returns, was not facially insuf-

ficient for failure to specify the particular effect charged. Although the indictment merely asserted without specificity that the charged conduct “had and was likely to have a particular effect upon the County of New York, and was performed with intent that it would and with knowledge that it was likely to have such a particular effect herein,” the bill of particulars provided by the People set forth in detail both the prosecution’s theory of venue and specific facts in support of their contention that there had been a particular effect on New York County.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Criminal Law §§ 487, 490; AM JUR 2d, Indictments and Informations §§ 18–20.
 CARMODY-WAIT 2d, Criminal Procedure §§ 172:22, 172:33, 172:42, 172:1080.
 LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 16.1.
 MCKINNEY’S, CPL 20.40 (2) (c).
 NY JUR 2d, Criminal Law §§ 18, 28, 4421.

ANNOTATION REFERENCE

See ALR Index under Criminal Rules of Procedure; Indictments and Informations.

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Query: particular /2 effect /3 jurisdiction /p venue

POINTS OF COUNSEL

Stillman & Friedman, P.C., New York City (*Nathaniel Z. Marmur*, *Charles A. Stillman* and *Peter A. Chavkin* of counsel), for appellants. I. The processing of New York City tax revenue in New York County does not cause a particular effect on that County. (*People v Ribowsky*, 77 NY2d 284; *People v Moore*, 46 NY2d 1; *People v R.*, 160 Misc 2d 142; *Matter of Murphy v Supreme Ct.*, 294 NY 440; *People v Fea*, 47 NY2d 70; *Matter of Steingut v Gold*, 42 NY2d 311; *People v Calandra*, 117 Misc 2d 972; *People v Axentiou*, 158 Misc 2d 19; *People v Hopkins*, 95 Misc 2d 716; *People v Tellerman*, 103 AD2d 786.) II. Appellants did not intend to harm New York County. (*People v R.*, 160 Misc 2d 142; *People v Costa*, 121 Misc 2d 864; *People v Moorehead*, 1 AD3d 639.) III. The indictment does not allege a particular effect on New York County. (*People v Calandra*, 117 Misc 2d 972.)

Robert M. Morgenthau, District Attorney, New York City (*Deborah Hickey*, *AmyJane Rettew* and *Ellen Nachtigall Biben* of

counsel), for respondent. I. As defendants well knew, their tax crimes were likely to have a materially harmful impact on the “governmental processes and community welfare” of New York City by depriving its officials and lawmakers, in New York County, of badly-needed tax revenues. (*People v Axentiou*, 158 Misc 2d 19; *People v Costa*, 121 Misc 2d 864; *People v McLaughlin*, 80 NY2d 466; *People v Greenberg*, 89 NY2d 553; *Matter of Steingut v Gold*, 42 NY2d 311; *People v Ribowsky*, 77 NY2d 284; *People v Moore*, 46 NY2d 1; *People v Kassebaum*, 95 NY2d 611, 532 US 1069; *People v Goldswar*, 39 NY2d 656; *Matter of Murphy v Supreme Ct.*, 294 NY 440.) II. The language of the indictment, as amplified by the bill of particulars, provides adequate notice of the venue theory underlying the tax-related counts. (*Matter of Steingut v Gold*, 42 NY2d 311; *People v Fitzgerald*, 45 NY2d 574; *People v Mackey*, 49 NY2d 274; *People v Iannone*, 45 NY2d 589; *People v Cohen*, 52 NY2d 584; *People v Ray*, 71 NY2d 849; *Matter of State of New York v King*, 36 NY2d 59; *Matter of Veloz v Rothwax*, 65 NY2d 902; *Matter of Pirro v Angiolillo*, 89 NY2d 351; *Matter of Morgenthau v Roberts*, 65 NY2d 749.)

OPINION OF THE COURT

Chief Judge KAYE.

Defendants Sherman Taub, a Queens County resident, and International Mortgage Servicing Company (IMSC), a New Jersey limited liability company in which Taub owns a half interest, were indicted by a New York County grand jury on 34 counts arising from an alleged scheme to steal millions of dollars through the imposition of allegedly inflated mortgages on Ocean House Center, a Queens County not-for-profit adult home for residents with mental disabilities.

On this appeal, defendants challenge New York County’s jurisdiction to prosecute five of these counts, each of which charges defendants with the class E felony of offering a false instrument for filing in the first degree (*see* Penal Law § 175.35); jurisdiction as to the remaining 29 counts—including the class B and C felonies of grand larceny in the first and second degrees—is uncontested. The challenged counts are based on defendants’ filing of allegedly false New York State and City tax returns, which did not reflect certain interest income derived from the mortgages held by IMSC on Ocean House.

Inasmuch as the evidence before the grand jury did not establish that defendants’ tax returns were either mailed from or received in Manhattan, or that defendants committed any other

act in Manhattan establishing an element of the relevant offenses (*see* CPL 20.40 [1] [a]), the People relied on a theory of “particular effect” jurisdiction in order to establish venue in New York County with respect to these counts.¹ This theory permits a criminal court of a particular county to exercise geographical jurisdiction, or venue, over an offense when—even though none of the conduct constituting the offense occurred within that county—“[s]uch conduct had, or was likely to have, a particular effect upon such county or a political subdivision or part thereof, and was performed with intent that it would, or with knowledge that it was likely to, have such particular effect therein” (CPL 20.40 [2] [c]). Conduct constituting an offense has a “particular effect” upon a county when it “produces consequences which, though not necessarily amounting to a result or element of such offense, have a materially harmful impact upon the governmental processes or community welfare of [the] particular [county], or result in the defrauding of persons in such [county]” (CPL 20.10 [4]).

After Supreme Court denied their motion to dismiss the five tax-related counts, made on the ground that jurisdiction did not lie in New York County, defendants brought this CPLR article 78 proceeding, seeking a writ of prohibition to enjoin prosecution of those counts.² The Appellate Division denied the petition, concluding that defendants’ filing of the allegedly false New York City tax returns had a particular effect on New York County. We disagree, and now reverse.

I.

At the outset, we emphasize that, in order for prosecutorial jurisdiction to lie in New York County, it is that county—and not the City generally—that must suffer a particular effect as a result of defendants’ alleged conduct. The statutory requirement that the conduct have a materially harmful impact may thus be satisfied only by a “concrete and identifiable injury” (*Steingut*, 42 NY2d at 318) to either the county’s governmental processes (that is, the executive, legislative or judicial branch of

1. “Particular effect” jurisdiction is also known as “injured forum” or “protective” jurisdiction (*see People v Fea*, 47 NY2d 70, 75-77 [1979]; Preiser, Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, CPL 20.10, at 110).

2. Prohibition properly lies to address a claim that a court is acting in excess of its geographical jurisdiction (*see Matter of Steingut v Gold*, 42 NY2d 311, 316 [1977]).

government) or the welfare of the county's community. Moreover, to be materially harmful, the impact must be more than minor or incidental, and the conduct must harm "the well being of the community as a whole," not merely a particular individual (*Fea*, 47 NY2d at 77). In addition, because the jurisdiction of the county seeking to prosecute must be established before the grand jury, the type of injury or offense contemplated by the particular effect statute must "be perceptible and of the character and type which can be demonstrated by proof before a Grand Jury" (*Steingut*, 42 NY2d at 317). Because particular effect jurisdiction is to be applied only in "limited circumstances" (*Fea*, 47 NY2d at 76), it has been rarely invoked.

[1] There is no dispute that defendants' conduct, if true, had a materially harmful impact on the governmental processes or community welfare of New York City as a whole. By underreporting income on their New York City tax returns, defendants deprived the City of revenue that would otherwise have been available to meet its financial obligations and fund its governmental operations. Such a loss of revenue, which could lead to cuts in city services or increases in taxes, clearly constitutes a perceptible injury to the City of New York. The question presented, however, is whether the evidence before the grand jury establishes a concrete and identifiable injury suffered specifically by New York County. We conclude that it does not.

The People's theory of venue is based on New York County's status as the "seat of City government," and the resultant processing of city income tax revenue in that county. Under this theory, defendants' alleged tax evasion has a particular effect on New York County because New York City taxes are processed and remitted to the City through the Transitional Finance Authority, which is located in New York County,³ and through city bank accounts also located there. Further, these accounts are controlled by the New York City Commissioner of Finance, whose office is located in New York County, as is the Depart-

3. City taxpayers file their city and state tax returns with the State Commissioner of Taxation and Finance in Albany (*see* Tax Law §§ 1312, 652 [a]; 20 NYCRR 152.12). The funds are then remitted to the State Comptroller, also in Albany, who forwards the New York City personal income tax portion of that revenue to the Bond Trustee of the New York City Transitional Finance Authority (TFA), a state public benefit corporation (*see* Public Authorities Law § 2799-aa *et seq.*), who eventually remits any remaining funds not used to pay TFA's bond obligations and operating expenses to the New York City Commissioner of Finance (*see* Tax Law § 1313).

ment of Finance’s Bureau of Treasury, which oversees the collection and management of the City’s tax revenue.

We conclude, however, that—in a prosecution whose gravamen is the deprivation of revenue from New York City—the location of city agencies and bank accounts is alone insufficient to establish a particular effect on the county in which they happen to be located.

II.

In *Steingut*, the defendants were indicted for corrupt use of position or authority (*see* former Election Law § 448 [1], [3]), based on a meeting held in Manhattan at which defendants allegedly conspired to corrupt an election to be held in Kings County for city councilmember-at-large. Although Kings County was in some measure affected by this criminal conduct, we held that the mere fact that the allegedly tainted election was to take place in Brooklyn was insufficient to establish particular effect jurisdiction in Kings County. As is readily apparent, the conspiracy to corrupt the election in *Steingut* bore a closer relationship to Kings County, where the election was to take place, than the false filing here bears to New York County.

As we explained in *Steingut*, “If the injured forum jurisdictional statute were to be triggered by the amorphous fact that the voters of the county would be called upon to vote in an election allegedly tainted by criminal activity localized in a single county, then if the election was one for a State-wide office *any* county within the State would be able to assert jurisdiction to indict and prosecute. This is clearly not the intent of the statute” (42 NY2d at 317).

The same concerns exist in the case before us, where the facts proffered to establish particular effect are even more amorphous than those held insufficient in *Steingut*. Permitting New York County to exercise particular effect jurisdiction over an alleged underreporting of income on tax returns based solely on the “processing” of New York City tax revenues in Manhattan would effectively grant the New York County District Attorney jurisdiction throughout New York City to prosecute any income tax or other offense that arguably affects city revenue or expenditures.⁴ Such jurisdiction would include prosecution of a Bronx toll taker who embezzles funds, or of a person who steals from a

4. If the Transitional Finance Authority were to move uptown to the Bronx, or relocate to another county, jurisdiction for all tax offenses would

(n. cont’d)

city agency in Kings County or vandalizes city property in Queens or Richmond.

Moreover, under the People's theory, the Albany County District Attorney could prosecute any similar crime against the State, no matter where it occurred, including, for example, a Buffalo resident who steals from the till at a local Department of Motor Vehicles office or a driver who evades a toll on Long Island. These scenarios would constitute a vast expansion of the "limited circumstances" in which protective jurisdiction is to be applied (*Fea*, 47 NY2d at 76).

Rather, such "limited circumstances" have typically involved situations in which the injury to the prosecuting county is more particular and readily identifiable. If, for example, a person commits criminal mischief by maliciously blowing up a dam in Putnam County near the Westchester County line, thus flooding some Westchester territory—a result the individual either intends or knows is likely to occur—jurisdiction of the crime will properly lie in Westchester as well as in Putnam (*see Steingut*, 42 NY2d at 317; Preiser, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, CPL 20.40, at 133).

Other examples of perceptible, materially harmful impacts on counties where the offensive conduct has not occurred include the failure of a temporarily released prisoner to return to the county of confinement (*see People v Scannelli*, 49 AD2d 648 [3d Dept 1975]); the violation of an order of protection issued in a particular county, even if the conduct violating the order occurred elsewhere (*see People v Ortega*, 152 Misc 2d 84 [Crim Ct, NY County 1991]); or "an attempt in county *B* to bribe an executive officer of county *A* to effectuate a decision favorable to the offeror's interests in county *B*," because such an attempt, if accomplished, "would have a perceptible detrimental impact upon the governmental integrity of county *A*" (*Fea*, 47 NY2d at 77).

In general, then, particular effect jurisdiction will be sustained when, for example, a defendant's out-of-county conduct has interfered with the county's courts or administration of justice; has exposed a large number of county residents to a specific harm; has caused a physical intrusion upon the county; or has involved the theft of funds from the county itself. But where, as here, the only nexus between the prosecuting county and the harmed political subdivision is the location of offices and ac-

presumably follow it there, despite the incidental, tenuous, fortuitous and likely unintended effect of the offense on that county.

counts of the subdivision within the county, the statutory requirements have not been satisfied and the asserted impact is “amorphous at best” (*Fea*, 47 NY2d at 77).

Indeed, the People’s theory would permit the type of broad geographical jurisdiction specifically rejected when the statute was enacted. The statutory definition of “particular effect” was added to the original bill after “District Attorneys complained that the proposed statute gave all counties jurisdiction of all crimes and they gave, as an example, that under it any robbery or burglary of a bank in one county would cause an effect on depositors in many counties and the crime would be committed with intent and knowledge that it would have such effect” (*Matter of Steingut v Gold*, 54 AD2d 481, 487 [2d Dept 1976], *affd* 42 NY2d 311 [1977]). Plainly, CPL 20.40 (2) (c) requires a harm to the prosecuting county, not a harm felt by a city-wide governmental agency that happens to have an office *in* the county.

That the instant prosecution arises from a violation of Penal Law § 175.35 does not change this result. True, we explained in *Fea* that “[e]xtraterritorial jurisdiction is to be applied only in those limited circumstances where the out-of-jurisdiction conduct is violative of a statute intended to protect the integrity of the governmental processes or is harmful to the community as a whole” (47 NY2d at 76-77 [citations omitted]). And Penal Law § 175.35 provides that “[a] person is guilty of offering a false instrument for filing in the first degree when, knowing that a written instrument contains a false statement or false information, and with intent to defraud the state or any political subdivision, public authority or public benefit corporation of the state, he [or she] offers or presents it to a public office, public servant, public authority or public benefit corporation with the knowledge or belief that it will be filed with, registered or recorded in or otherwise become a part of the records of such public office, public servant, public authority or public benefit corporation.” Clearly, inasmuch as it criminalizes frauds perpetrated on the State or its political subdivisions, this statute is intended to protect the integrity of governmental processes.

But that truism neither answers the question nor alters the analysis with respect to which political subdivision is defrauded or affected. While it is beyond dispute that defendants’ alleged conduct materially harmed the government of New York City, nothing in *Fea*, or in Penal Law § 175.35, abolishes the mandate of CPL 20.40 (2) (c) and 20.10 (4) that the particular effect in

this case be not on the governmental processes of New York City as a whole, but on those of New York County. The evidence proffered here is insufficient to establish that the harm suffered by the City was in any meaningful way peculiar to New York County. The People have identified no New York County government agency, employee or process that is connected in any way to New York City income tax collection, nor have they identified any particular harm to the welfare of New York County or its residents. Rather, all five boroughs and their residents and governments were equally affected by the City's loss of funds and the resultant risk of service cuts or tax increases, and the ministerial act of processing tax revenue cannot alone create a jurisdictional nexus.

Nor is the evidence here sufficient to establish the second statutory requirement for injured forum jurisdiction—that the conduct was performed with intent that it would, or with knowledge that it was likely to, have a particular effect in New York County. We disagree with the Appellate Division that it would have been reasonable for the grand jury to presume that defendants, who neither executed the subject tax returns in New York County nor mailed them there, had knowledge or intent that their Queens County scheme to defraud was likely to have a particular harmful effect on New York County (as opposed to New York City), or, specifically, that their false tax returns were likely to be processed in New York County offices and banks. Most citizens would have no awareness of this circumstance, or of where the City banks. Rather, defendants likely filed their tax returns only with the knowledge and intent that material harm would befall the City or the State in general by their failure to remit the taxes owed.

We note that New York City is unique among municipalities of the State in that it is larger than any of the counties it comprises. Elsewhere, cities, towns and villages exist wholly within single counties, which have jurisdiction under the statute to prosecute crimes having a particular effect on any municipality contained within them. Of course, historically and constitutionally, counties prosecute, not cities (*see* NY Const, art XIII, § 13; *see also* County Law § 700). The People assert that this unique situation creates an anomaly whereby the City may be deprived of its ability to prosecute within its borders certain crimes, of which it is undeniably the victim, involving depletion of its coffers.

That fear is unwarranted. First, particular effect jurisdiction is an alternative ground for venue that is generally invoked

only when jurisdiction does not lie on some other basis—such as the far more common scenario in which evidence exists that conduct establishing an element of the offense has occurred within one (or more) of the five counties of the City (*see* CPL 20.40 [1] [a]). In that event, which would certainly include all larcenies by physical taking of, and all damage to, city property, the county or counties where the conduct occurred would have jurisdiction to prosecute. Second, even in cases involving false filing of income tax returns, in which city taxes—like state taxes—will have been mailed to Albany,⁵ jurisdiction will lie in any county where the defendant executed or mailed the return. In any event, whether New York City’s situation is unique or anomalous, any perceived gap must be filled by the Legislature. We hold only that, under CPL 20.40 (2) (c), New York County may not assert jurisdiction over all crimes affecting the City on the sole basis that certain city agencies transact their business in offices located in Manhattan. Of course, nothing in our decision today prevents defendants from being prosecuted for their alleged false filings in any county—including another county within New York City—in which venue properly lies (*see* CPL 40.30; *Steingut*, 54 AD2d at 485 n 4).⁶

III.

[2] Finally, we reject defendants’ contention that the indictment was facially insufficient for failure to specify the particular effect charged.⁷ It is true that in *Steingut*, this Court noted that “the nebulous nature of the impact claimed by the prosecutor . . . [was] best illustrated by the fact that the indictment itself [did] not even allege the effect which the purported crime would have on Kings County. Rather in the most conclusory

5. We note that city sales tax returns, by contrast, are filed not in Albany, but in New York County. As the People thus concede, “[t]he only anomaly is City income tax.”

6. Contrary to the contention of the dissent, we do not suggest that venue over an offense may properly lie only in a single county, or that particular effect jurisdiction requires a “unique effect” on the county asserting jurisdiction (dissenting op at 42). Multiple counties may certainly have jurisdiction over a given offense on a variety of theories, including particular effect, but only if the evidence establishes the jurisdictional theory proffered by the People.

7. Each count of an indictment must contain a factual statement which, “without allegations of an evidentiary nature . . . asserts facts supporting every element of the offense charged and the . . . defendants’ commission thereof with sufficient precision to clearly apprise the . . . defendants of the conduct which is the subject of the accusation” (CPL 200.50 [7] [a]).

fashion, the indictment simply state[d] ‘the defendants’ conduct had and was likely to have a particular effect on Kings County’ ” (42 NY2d at 318). The Court concluded that “[c]ertainly the invoking of the extraordinary injured forum jurisdictional statute requires the specification of a more concrete and identifiable injury” (*id.*). Nevertheless, although the indictment here, too, merely asserted without specificity that the charged conduct “had and was likely to have a particular effect upon the County of New York, and was performed with intent that it would and with knowledge that it was likely to have such a particular effect herein,” the bill of particulars provided by the People set forth in detail both the prosecution’s theory of venue and specific facts in support of their contention (which we reject) that there had been a particular effect on New York County. We thus agree with the Appellate Division that the bill of particulars, in combination with the indictment, sufficiently put defendants on notice of the accusations against them and enabled them to prepare a defense (*see People v Iannone*, 45 NY2d 589, 597-598 [1978]; *People v Grega*, 72 NY2d 489, 498 [1988]; *People v Fitzgerald*, 45 NY2d 574, 579-580 [1978]).⁸

Accordingly, the judgment of the Appellate Division should be reversed, without costs, the petition granted, and respondents prohibited from continuing with the prosecution of counts 26 through 30 of the subject New York County indictment.

READ, J. (dissenting). The Legislature has provided that an offense may be prosecuted in a county when, “[e]ven though none of the conduct constituting such offense may have occurred” there, “[s]uch conduct had, or was likely to have, a particular effect upon such county . . . , and was performed with intent that it would, or with knowledge that it was likely to, have such particular effect therein” (CPL 20.40 [2] [c]). Further, a “particular effect” is defined as a “materially harmful impact upon the governmental processes or community welfare of” the county seeking to assert jurisdiction (CPL 20.10 [4]). This appeal asks us to decide whether the People established a “particular effect” in New York County with respect to those five counts of the indictment which charged petitioners with evasion of city taxes.

8. In any event, prohibition does not lie with respect to defendants’ challenge to the facial sufficiency of the indictment, in that an insufficiency in the factual allegations of an indictment is not a jurisdictional defect (*see Iannone*, 45 NY2d at 600-601; *People v D’Angelo*, 98 NY2d 733, 734-735 [2002]), and because an adequate remedy at law is available through direct appeal (*see Matter of State of New York v King*, 36 NY2d 59, 62 [1975]).

As recognized in *People v Fea*, “[e]xtraterritorial jurisdiction is to be applied only in those limited circumstances where the out-of-jurisdiction conduct is violative of a statute intended to protect the integrity of the governmental processes or is harmful to the community as a whole” (47 NY2d 70, 76-77 [1979]). Significantly, the majority acknowledges that “[c]learly,” petitioners violated a “statute [Penal Law § 175.35] . . . intended to protect the integrity of governmental processes” (majority op at 37). The majority concludes, however, that the necessary “particular effect” is lacking here because it is not enough that New York County is the seat of New York City government (majority op at 35, 39). It is hard to imagine, though, that the Legislature intended to preclude the county in which city government is situated from prosecuting city tax cheats. Surely, evading city taxes affects the “governmental processes or community welfare” of New York County as contemplated by CPL 20.40 (2) (c). Nor can it be said that petitioners (especially petitioner Taub, who had practiced as a tax attorney) should be surprised to face prosecution in New York County. Put differently, by allegedly evading city taxes, he would have had “knowledge that [his tax evasion] was likely to . . . have [a] particular effect” (CPL 20.40 [2] [c]) in the county where his city taxes were required to meet the City’s financial obligations and to operate city government; namely, New York County.

Further, the quantifiable revenue loss here is precisely the type of “concrete and identifiable injury” required in *Matter of Steingut v Gold* (42 NY2d 311, 318 [1977]). During a meeting in New York County, a public official offered to use his official position to benefit a corrupt businessman in exchange for the latter’s promise to hold a fundraising event for a campaign occurring in Kings County (*see id.* at 313-314). We found venue lacking in Kings County because there was absolutely no evidence that the election had been tainted. That is, the gravamen of the crime charged in *Steingut* was really the quid pro quo, which occurred entirely in Manhattan, and could just as easily have been a promise by the businessman to give the public official tickets to a sporting event, rather than an offer to hold the fundraiser. Here, by contrast, the People adduced evidence before the grand jury of the exact amount of city taxes allegedly evaded by petitioners.

Fea is likewise distinguishable from this case. In *Fea*, the People failed to adduce evidence that the defendant’s conduct had any actual impact on the county (Bronx) asserting venue:

the defendant loanshark beat a delinquent debtor in Rockland County to assure resumption of payments in Bronx County (*see People v Fea*, 47 NY2d at 73-74). Moreover, the defendant had not been charged with violating a statute designed to protect governmental processes (*see id.* at 76-77).

The main stumbling block for the majority appears to be that revenue loss from city tax evasion affects all of the City's counties (majority op at 38). But we have never before required a particular effect to be a unique effect (*see Steingut*, 42 NY2d at 317). Moreover, while the majority may consider it undesirable for multiple counties to have jurisdiction over a single offense, the Legislature clearly contemplated that eventuality. As the Commission Staff Notes observe, "[i]n general, . . . multiple county jurisdiction is bestowed more liberally than state jurisdiction" (Commission Staff Notes, reprinted following CPL 20.40 in NY Cons Laws Serv, Book 7, at 109).¹

In addition, the potential for prosecution in multiple jurisdictions does not prejudice a defendant. We have recognized, for example, that under the jury trial guarantee of article I, § 2 of the State Constitution, a criminal defendant has the right "to be tried in the county where the crime was committed *unless* the Legislature has provided otherwise" (*People v Ribowsky*, 77 NY2d 284, 291 [1991] [emphasis added]). Furthermore, a defendant who faces potential prosecution by multiple counties will, in fact, be prosecuted only once: constitutional protections against double jeopardy, as well as the even more protective statutory bars against multiple prosecutions (*see* CPL art 40),

1. The majority points out that District Attorneys initially complained that multicounty jurisdiction would apply too broadly, with every county potentially having jurisdiction over bank robberies or burglaries, for example, no matter where committed (majority op at 37). Admittedly, the Commission Staff Notes preceded those complaints. Yet, the injured forum provision was revised, not jettisoned. Further, the revisions designed to address the District Attorneys' comments—especially, defining "particular effect" to necessitate an impact on "governmental processes"—argue for venue here. Nor are the District Attorneys of the other four counties within New York City likely troubled by New York County's exercise of venue over this tax evasion case (*see Wise, Funds Recovered in Tax Cases Soften Blows to DAs' Budgets*, NYLJ, May 10, 2004, at 1, cols 4, 5, at 7, col 1 [describing program to offset budget cuts to the five District Attorneys' offices by allowing them to "keep part of the taxes recovered through criminal prosecutions" of "tax cheats and others who commit financial crimes"; and noting that the New York County District Attorney's office "agreed to make . . . its recoveries available to other counties," which allowed the other four District Attorneys—via a transfer of almost \$14,000,000 from New York County—to recover current year budget cuts]).

safeguard a defendant against multiple prosecutions for the same offense.²

The majority worries that allowing venue here might inspire the New York County District Attorney to assert jurisdiction over cases where, for example, a toll collector embezzles in the Bronx; or a person steals from a city agency in Kings County or vandalizes city property in Queens or Richmond Counties. Perhaps, the majority suggests, the Albany County District Attorney might be tempted to assert jurisdiction over similar cases of theft or vandalism that diminish state revenues or cause state expenditures (majority op at 35-36). Assuming these District Attorneys would desire to expend limited resources on the prosecutions hypothesized by the majority, the statutes at issue here would preclude them from doing so.

The majority's hypothetical examples are crimes that, like tax evasion, are committed against a government and adversely affect government revenues. Unlike offering a false instrument for filing, however, these crimes are not "violative of a statute intended to protect the integrity of the governmental processes" (*People v Fea*, 47 NY2d at 76-77). On the contrary, the majority's hypothetical examples are garden-variety larcenies or criminal mischief. Such thefts and vandalism do not fall within the category of crimes susceptible to extraterritorial jurisdiction.³

2. Petitioners' litigation strategy undercuts any argument that multiple-county jurisdiction works to a criminal defendant's detriment. The net effect of obtaining prohibition here is that petitioners have willingly exposed themselves to prosecution in multiple counties. Specifically, New York County will continue prosecuting the 29 remaining counts of the indictment, and petitioners now face (as they conceded at oral argument) the prospect of prosecution elsewhere on the five tax-related counts.

3. The crime charged against petitioners—offering a false instrument for filing in the first degree—occurs when a person "knowing that a written instrument contains a false statement or false information, and with intent to defraud the state or any political subdivision, public authority or public benefit corporation of the state, . . . offers or presents it to a public office, public servant, public authority or public benefit corporation with the knowledge or belief that it will be filed with, registered or recorded in or otherwise become a part of the records of such public office, public servant, public authority or public benefit corporation" (Penal Law § 175.35). As the majority acknowledges, this statute is "intended to protect the integrity of governmental processes," as called for in *Fea* to support extraterritorial jurisdiction (*see Fea*, 47 NY2d at 77; majority op at 37). In stark contrast, "[a] person steals property and commits larceny when, with intent to deprive another of property or to appropriate the same to himself or to a third person, he wrongfully takes, obtains or withholds such property from an owner thereof" (Penal Law § 155.05 [1]). Criminal mischief of any degree is similarly bereft of any lan-

(n. cont'd)

Further, the majority's hypothetical examples are readily prosecuted in the county where the defendant committed the crime. After all, the geographic location of vandalism or a theft is obvious. Accordingly, venue for the majority's examples would lie in the county of occurrence under CPL 20.40 (1) (a), which provides venue over an offense when a defendant's "[c]onduct . . . within such county [is] sufficient to establish . . . [a]n element of such offense."

Under the majority's reading of the injured forum statutes, however, it has become immeasurably more difficult, if not impossible, to prosecute the evasion of city taxes (except city sales taxes)⁴ within the City of New York. Venue will still lie within the county in which the false filing was either executed or mailed (majority op at 39). As this case illustrates, however, it is not always easy to determine years after the fact where a defendant executed or mailed a false tax return. Indeed, according to the People, "an attempt to ground venue in any county on the basis of execution or mailing would be an exercise in futility—even under the 'preponderance of the evidence' standard applicable to issues of county venue." For example, in this case "there was no direct evidence establishing where [petitioner] Taub was when he signed and mailed the returns."

The majority has therefore effectively designated the county where the false instrument was filed as the sole certain venue for prosecuting evaders of New York City income taxes (*see Matter of Sharpton v Turner*, 169 AD2d 947, 950 [3d Dept 1991]).⁵ The New York State Department of Taxation and Finance, which administers the New York City resident income tax, requires a taxpayer to file a combined state and city resident income tax return (*see* Tax Law § 1312 [c]; 20 NYCRR 292.1). The Department has directed taxpayers to file these combined returns at an address in Albany County if using the United States Postal Service, or at an address in Ulster County if using

guage protecting governmental processes, and simply calls for an "intent to damage property of another person" (Penal Law § 145.05).

4. Interestingly, the New York State Department of Taxation and Finance, which administers the New York City sales and use tax, has designated a location in New York County as the mailing address for filing all New York State and Local Quarterly Sales and Use Taxes Returns (*see* www.nystax.gov [Form ST-100]).

5. The majority has also encouraged New Yorkers to execute and mail their tax returns from out of state in order to minimize their exposure to prosecution for tax evasion.

a private delivery service (*see* www.nystax.gov [IT-100-I (Instructions)], at 6]).

In short, city income tax cheats may be prosecuted in a county where city tax collection functions have been centralized for reasons of administrative and taxpayer convenience; they may not be prosecuted in New York County, which is the seat of city government, even though a shortfall in city revenues adversely affects the city government's ability to meet its financial obligations and deliver city services. In our view, a fair reading of the injured forum statutes would avoid this anomalous result. Accordingly, we respectfully dissent from the majority's conclusion that venue does not lie here, and would affirm the judgment of the Appellate Division denying petitioners' request for prohibition.⁶

Judges G.B. SMITH, CIPARICK, ROSENBLATT and R.S. SMITH concur with Chief Judge KAYE; Judge READ dissents and votes to affirm in a separate opinion in which Judge GRAFFEO concurs.

Judgment reversed, etc.

6. The majority emphasizes that petitioners still face numerous other charges, some of which carry stiffer penalties than the tax-related counts at issue here (majority op at 32). This strikes us as irrelevant. The People should be allowed to pursue the full case against petitioners. This is surely what was intended by the Commission for Quality of Care, which brought these matters to the New York County District Attorney's attention, and the New York State Department of Taxation and Finance, which recommended that the New York County District Attorney commence a grand jury investigation into petitioners' possible tax crimes and false filings. Further, petitioners might face consecutive sentencing if convicted for falsely reporting income on separate years' returns.

[814 NE2d 784, 781 NYS2d 477]

ANTHONY ABBATIELLO, JR., et al., Appellants, v LANCASTER STUDIO ASSOCIATES et al., Respondents and Third-Party Plaintiffs-Respondents. PARAGON CABLE MANHATTAN, INC., et al., Third-Party Defendants-Respondents.

Argued June 2, 2004; decided July 1, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 7, 2003. The Appellate Division affirmed so much of an order of the Supreme Court, Bronx County (Paul A. Victor, J.; op 188 Misc 2d 665), as had granted motions by defendants and third-party defendants for summary judgment dismissing plaintiffs' cause of action under Labor Law § 240 (1).

Abbatiello v Lancaster Studio Assoc., 307 AD2d 788, affirmed.

HEADNOTES

Labor — Safe Place to Work — Liability of Building Owner for Injury to Cable Television Technician

1. In an action to recover damages for injuries plaintiff cable television technician sustained when he fell from a ladder while examining a cable box on the outside of defendant's building in response to a tenant's complaint, defendant owner, who had no knowledge of and did not consent to plaintiff's presence, was not strictly liable under Labor Law § 240 (1) for plaintiff's injuries. There was no nexus between defendant and plaintiff, who was on defendant's property not by reason of any action on defendant's part, but by reason of the mandatory access imposed upon building owners by Public Service Law § 228 (1) for the installation of cable television facilities. Defendant could not be charged with the duty of providing the safe working conditions contemplated by Labor Law § 240 (1) for cable television technicians of whom it is wholly unaware.

Labor — Safe Place to Work — Routine Maintenance

2. In an action to recover damages for injuries plaintiff cable television technician sustained when he fell from a ladder while examining a cable box on the outside of defendant's building in response to a tenant's complaint, the work performed by plaintiff at the time of his accident constituted routine maintenance and not repair as contemplated by Labor Law § 240 (1). Before he fell, plaintiff determined that the cause of the defective signal was water in the tap, the remedy for which would have been to loosen a few screws, drain the water from the tap, and, if worn out, replace the tap. These activities constituted routine maintenance.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Premises Liability §§ 52, 54, 141, 635.

McKINNEY'S, Labor Law § 240 (1); Public Service Law § 228 (1).

NY JUR 2d, Premises Liability §§ 271, 277, 280.

NEW YORK PATTERN JURY INSTRUCTIONS—CIVIL, PJI 2:217.

PROSSER AND KEETON, TORTS (5th ed) § 61.

ANNOTATION REFERENCE

See ALR Index under Premises Liability.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: owner /p strict! /2 liab! & routine /2 maintenance

POINTS OF COUNSEL

Raymond Carey, P.C., Woodbury (*Raymond Carey and John W. Dougherty* of counsel), and *Scheine, Fusco Brandstein & Rada, P.C.*, for appellants. I. Section 240 (1) of the Labor Law clearly applies to all owners (not expressly exempt) of property where work of the type described in the statute is being done. The imposition by the Appellate Division of a condition to such general application in the situation of the injured plaintiff here was erroneous and should be reversed. (*Haimes v New York Tel. Co.*, 46 NY2d 132; *Panek v County of Albany*, 99 NY2d 452; *Coleman v City of New York*, 91 NY2d 821; *Bland v Manocherian*, 66 NY2d 452; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Adimey v Erie County Indus. Dev. Agency*, 89 NY2d 836; *Ceballos v Kaufman*, 249 AD2d 40; *Marchese v Grossarth*, 232 AD2d 924, 89 NY2d 809; *Otero v Cablevision of N.Y.*, 297 AD2d 632.) II. If this Court accepts the condition to property owners' liability under the Labor Law applied by the lower courts in this case, such condition should be deemed as having been met under the circumstances present here. III. This Court should also reverse the Appellate Division's *alternate* ruling that, as a matter of law, the work being done by the injured plaintiff at the time of his injury was not of a type protected by section 240 (1) of the Labor Law. Summary judgment should in fact be given to plaintiffs on the issue. (*Prats v Port Auth. of N.Y. & N.J.*, 100 NY2d 878; *Fuller v Niagara Mohawk Power Corp.*, 213 AD2d 986, 86 NY2d 708; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Panek v County of Albany*, 99 NY2d 452; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Joblon v Solow*, 91 NY2d 457; *Craft v Clark Trad-*

ing Corp., 257 AD2d 886; *Izrailev v Ficarra Furniture of Long Is.*, 70 NY2d 813.)

Sherwin Rear, New York City, for respondents. I. An opportunity to affect work site safety is a necessary condition precedent to the imposition of liability on the owner of a building or structure when a worker has been injured due to a violation of Labor Law § 240 (1). (*Hargobin v K.A.F.C.I. Corp.*, 282 AD2d 31; *Coleman v City of New York*, 91 NY2d 821; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Celestine v City of New York*, 86 AD2d 592, 59 NY2d 938; *Panek v County of Albany*, 99 NY2d 452; *Allen v Cloutier Constr. Corp.*, 44 NY2d 290; *Haimes v New York Tel. Co.*, 46 NY2d 132; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Blake v Neighborhood Hous. Servs.*, 1 NY3d 280; *Kelly v Diesel Constr. Div. of Carl A. Morse, Inc.*, 35 NY2d 1.) II. Public Service Law § 228 does not impose constructive knowledge and consent on the building owner of maintenance of cable television facilities by the cable provider, and does not subject the owner to liability pursuant to Labor Law § 240 (1). (*Piaquadio v Recine Realty Corp.*, 84 NY2d 967; *Gordon v American Museum of Natural History*, 67 NY2d 836.) III. At the time of his accident, appellant was engaged in routine maintenance not the repair or alteration of a building or structure. (*Prats v Port Auth. of N.Y. & N.J.*, 100 NY2d 878; *Joblon v Solow*, 91 NY2d 457; *Weininger v Hagedorn & Co.*, 91 NY2d 958; *Esposito v New York City Indus. Dev. Agency*, 1 NY3d 526; *Smith v Shell Oil Co.*, 85 NY2d 1000.)

Newman, Fitch, Altheim, Myers, P.C., New York City (*Michael H. Zhu, Abraham S. Altheim and Steven N. Shapiro* of counsel), for third-party defendants-respondents. I. Plaintiff cannot state a Labor Law § 240 (1) claim because defendant owners did not authorize or permit plaintiff to perform the injury-producing work. (*Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Mordkofsky v V.C.V. Dev. Corp.*, 76 NY2d 673; *Brown v Christopher St. Owners Corp.*, 211 AD2d 441, 87 NY2d 938; *Ceballos v Kaufman*, 249 AD2d 40; *Marchese v Grossarth*, 232 AD2d 924; *Copertino v Ward*, 100 AD2d 565; *Williams v LeChase*, 196 Misc 2d 609; *Sweeting v Board of Coop. Educ. Servs.*, 83 AD2d 103, 56 NY2d 503; *Bateman v Susquehanna Val. Cent. School Dist.*, 289 AD2d 852; *Ogden v City of Hudson Indus. Dev. Agency*, 277 AD2d 794.) II. Plaintiff cannot state a Labor Law § 240 (1) claim because he was not making a significant physical change to a building or structure. (*Joblon v Solow*, 91 NY2d 457; *Weininger v Hagedorn & Co.*, 91 NY2d 958; *DiBenedetto v Port Auth. of*

N.Y. & N.J., 293 AD2d 399; *Yong Ju Kim v Herbert Constr. Co.*, 275 AD2d 709; *Cullen v Uptown Stor. Co.*, 268 AD2d 327; *Jani v City of New York*, 284 AD2d 304; *Hollosi v 340 E. 93rd St. Corp.*, 282 AD2d 651; *Breeden v Sunset Indus. Park Assoc.*, 275 AD2d 726; *Zuckerman v City of New York*, 49 NY2d 557.) III. Since Lancaster Studio Associates did not own the cable television equipment plaintiff worked on, it cannot be liable as an “owner” under Labor Law § 240 (1). (*Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Celestine v City of New York*, 86 AD2d 592; *Bonghi v New York Tel. Co.*, 277 AD2d 893; *Gancarz v New York Tel.*, 257 AD2d 645; *Girty v Niagara Mohawk Power Corp.*, 262 AD2d 1012; *Ray v Niagara Mohawk Power Corp.*, 256 AD2d 1070; *Brennan v 3785 S. Park*, 242 AD2d 929; *Fuller v Niagara Mohawk Power Corp.*, 213 AD2d 986, 86 NY2d 708; *Mangiameli v Galante*, 171 AD2d 162; *Loretto v Teleprompter Manhattan CATV Corp.*, 458 US 419.)

OPINION OF THE COURT

CIPARICK, J.

This case presents the question whether a building owner may be held strictly liable under Labor Law § 240 (1) for injuries sustained by a cable technician performing work on its property without its knowledge or consent. We conclude that, under the circumstances of this case, the cable technician does not come within the protections of the section.

Plaintiff Anthony Abbatiello was a cable television technician employed by third-party defendant Paragon Cable Manhattan, Inc.¹ On August 12, 1995, Paragon dispatched plaintiff to a building owned by defendant Lancaster Studio Associates in response to the complaint of a tenant who was a cable service subscriber. Lancaster had no notice that plaintiff would be on its premises for any purpose.

While on the property, plaintiff rang the subscriber’s doorbell and attempted to enter the building—both to no avail. As he had previously done work at that location, plaintiff proceeded to identify the junction box that routed the cable signal into the subscriber’s apartment. The box was bolted on an exterior wall of the building, about 15 to 20 feet above ground level. To access the box, plaintiff placed a 20-foot extension ladder, which had been supplied by Paragon, against the side of the building. He climbed the ladder, equipped to take the cable box apart, di-

1. Paragon has been succeeded by Time Warner Cable of New York City, Inc., and both are named as third-party defendants.

agnose and fix the problem. Following inspection, plaintiff determined that the defective signal was caused by water seeping into the junction box. However, before he could take any further action, the ladder bent, causing plaintiff to fall to the ground and injure himself.

Plaintiff later commenced this action against Lancaster and its individual partners alleging common-law negligence and violations of Labor Law §§ 200, 240 and 241. Lancaster brought a third-party action against Paragon, and Paragon counterclaimed. Lancaster moved for summary judgment dismissing the complaint and counterclaim, and Paragon separately sought dismissal of the complaint. Supreme Court granted both motions and dismissed the complaint in its entirety. The Appellate Division, with one Justice dissenting, affirmed, concluding that there could be no Labor Law § 240 (1) liability here both because the owner did not authorize or even know of plaintiff's presence, and because the work being performed was routine maintenance (307 AD2d 788 [2003]). We now affirm on both grounds.

The Parties' Relationship

In *Blake v Neighborhood Hous. Servs. of N.Y. City* (1 NY3d 280 [2003]), we recently reviewed the history and purposes of Labor Law § 240 (1).² We reaffirmed the rule that an accident alone does not establish a Labor Law § 240 (1) violation, and that absolute liability requires a violation of the statute. We found no violation in *Blake* and likewise find no violation here.

We have consistently “observed that the purpose of the statute is to protect workers by placing ultimate responsibility for safety practices on owners and contractors instead of on workers themselves” (*Panek v County of Albany*, 99 NY2d 452, 457 [2003] [citations omitted]). Accordingly, the statute imposes absolute liability on owners and contractors for any breach of the statutory duty that proximately causes injury (*see Blake*, 1 NY3d at 287). To come within the special class for whose benefit absolute liability is imposed, a plaintiff must demonstrate

2. Labor Law § 240 (1) provides:

“All contractors and owners and their agents . . . in the erection, demolition, repairing, altering, painting, cleaning or pointing of a building or structure shall furnish or erect, or cause to be furnished or erected for the performance of such labor, scaffolding, hoists, stays, ladders, slings, hangers, blocks, pulleys, braces, irons, ropes, and other devices which shall be so constructed, placed and operated as to give proper protection to a person so employed.”

that “he was both permitted or suffered to work on a building or structure and that he was hired by someone, be it [the] owner, contractor or their agent” (*Whelen v Warwick Val. Civic & Social Club*, 47 NY2d 970, 971 [1979]).

[1] Following the *Whelen* line of precedent, the First Department has generally held that a cable technician called to a building by a tenant without the knowledge or consent of the owner is not an employee for purposes of Labor Law § 240 (1) and therefore is not afforded the protections of that statute against the owner (see *Ceballos v Kaufman*, 249 AD2d 40 [1st Dept 1998]). On the other hand, relying on *Celestine v City of New York* (86 AD2d 592 [2d Dept 1982], *affd* 59 NY2d 938 [1983]) and its progeny—*Gordon v Eastern Ry. Supply* (82 NY2d 555 [1993]) and *Coleman v City of New York* (91 NY2d 821 [1997])—the Second and Third Departments have held building owners strictly liable for the injuries of such workers on the ground that ownership alone may determine whether defendant is liable under section 240 (1). Persuaded by the distinctions between *Celestine* and its progeny and the facts presented here, we refuse to impose absolute liability on an owner where a cable technician is injured while performing work without the owner’s knowledge or consent.

Common to *Celestine*, *Gordon* and *Coleman*—and to all cases imposing Labor Law § 240 (1) liability on an out-of-possession owner—is some nexus between the owner and the worker, whether by a lease agreement or grant of an easement, or other property interest. Here, however, no such nexus exists. The injured plaintiff was on the owner’s premises not by reason of any action of the owner but by reason of provisions of the Public Service Law.

Public Service Law § 211 states the purpose of Public Service Law article 11—“to ensure that cable television companies provide adequate, economical and efficient service to their subscribers, the municipalities within which they are franchised and other parties to the public interest.” According to Public Service Law § 228 (1),³

“No landlord shall (a) interfere with the installation of cable television facilities upon his property or premises, except that a landlord may require:

“(1) that the installation of cable television facilities

3. Former Executive Law § 828 (1)—in effect at the time of the accident.

conform to such reasonable conditions as are necessary to protect the safety, functioning and appearance of the premises, and the convenience and well being of other tenants.”

Plaintiff argues that, notwithstanding the mandatory access imposed by Public Service Law § 228 (1), Lancaster should be deemed an “owner” for purposes of Labor Law § 240 (1) as it maintained a degree of control over the work and would have knowledge—albeit constructive—that Paragon employees would be coming upon its property periodically to effectuate repairs at the request of tenant-subscribers. We disagree.

Lancaster is powerless to determine which cable company is entitled to operate, repair or maintain the cable facilities on its property, since such decision lies with the municipality—the franchisor (*see* Public Service Law § 219). The City of New York gave Paragon the franchise, and the right to install its cable facilities. This included the right to maintain and service its facilities at the premises free from interference after installation (*see Loretto v Teleprompter Manhattan CATV Corp.*, 458 US 419, 439 [1982]). Neither did Lancaster incur liability for injury to a cable company employee by failing to exercise its right under the statute to require “reasonable conditions” for the protection of its property and tenants when the employee installs the cable (*see* Public Service Law § 228 [1] [a] [1]).

Lancaster cannot be charged with the duty of providing the safe working conditions contemplated by Labor Law § 240 (1) for cable television repair people of whom it is wholly unaware. Supreme Court correctly noted that, but for Public Service Law § 228, plaintiff would be a trespasser upon Lancaster’s property and Lancaster would neither owe a duty to plaintiff nor incur liability. Any permission to work on the premises was granted upon compulsion and no relationship existed between Lancaster and Paragon or the plaintiff.

Having found no nexus here, we conclude that plaintiff is not an employee for purposes of Labor Law § 240 (1) and that Public Service Law § 228 does not impose constructive notice on a building owner nor does it subject the owner to liability under Labor Law § 240 (1). We thus agree with Supreme Court that

“[t]he Public Service Law was enacted to secure the right of the tenant to have access to cable television services, not to impose unconditional liability upon a defenseless fee owner. The interpretation sug-

gested by the plaintiff goes far beyond the scope of the language employed in each statute, so as to create a new liability with respect to cable service workers which was not envisioned by the Legislature.” (188 Misc 2d 665, 676 [2001].)

The Nature of the Work

[2] We also agree with the Appellate Division that plaintiff, at the time of his accident, was involved in “the routine maintenance of a malfunctioning cable box and [the work] did not constitute ‘erection, demolition, repairing, altering, painting, cleaning or pointing of a building’ so as to fall within the protective ambit of Labor Law § 240 (1)” (307 AD2d 788, 789 [2003] [citations omitted]).

Plaintiff here was engaged in an activity similar to that of plaintiff in *Esposito v New York City Indus. Dev. Agency* (1 NY3d 526 [2003]), who was performing a monthly maintenance check on air conditioners located high off the ground. One unit appeared in need of repair, and plaintiff left and returned with tools and parts. As he climbed the ladder and began to remove the unit cover, the bottom of his ladder “kicked out” and he fell. We held that “[t]he work . . . involved replacing components that require replacement in the course of normal wear and tear. It therefore constituted routine maintenance and not ‘repairing’ or any of the other enumerated activities” (*Esposito*, 1 NY3d at 528). Likewise here, plaintiff determined that the cause of the defective signal was water in the tap, a common problem caused by rainwater accumulating in junction boxes affixed to building exteriors. The remedy would have been to loosen a few screws and drain the water from the tap and, if worn out, replace the tap. These activities constitute routine maintenance and not repair as contemplated by Labor Law § 240 (1).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

[814 NE2d 789, 781 NYS2d 482]

In the Matter of CHARLENE POLAN, Appellant, v STATE OF NEW
YORK INSURANCE DEPARTMENT, Respondent.

Argued June 1, 2004; decided July 1, 2004

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 2, 2003. The Appellate Division, with two Justices dissenting, affirmed an order and judgment (one paper) of the Supreme Court, New York County (Robert D. Lippmann, J.), entered in a proceeding pursuant to CPLR article 78, which had denied the petition to annul respondent's determination that the group disability insurance policy administered by petitioner's employer did not discriminate against her by reason of mental disability and, therefore, did not violate Insurance Law § 4224 (b) (2).

Matter of Polan v State of N.Y. Ins. Dept., 3 AD3d 30, affirmed.

HEADNOTE**Insurance — Disability Insurance — Disparate Coverage of Physical and Mental Disabilities Not Violative of Antidiscrimination Statute**

The long-term disability insurance plan offered by petitioner's employer to all employees at the same premium did not violate the antidiscrimination provision in Insurance Law § 4224 (b) (2) by failing to afford equivalent coverage for mental and physical disabilities. Under the policy, coverage for physical disabilities extended until the disabled employee reached age 65 or the disability ceased, while coverage for mental disabilities, such as the one petitioner suffered from, was limited to 24 months absent hospitalization or institutionalization. Section 4224 (b) (2) does not require an insurer to offer the same benefits for all ailments unless statistically or empirically justified. It proscribes limitations on coverage "solely because of" a particular disability, rather than limitations on coverage "for" a particular disability. There was no legislative intent to insure parity of benefits for mental and physical disabilities.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 43, 551, 556, 1475.

COUCH ON INSURANCE (3d ed) §§ 69:32, 69:43.

McKINNEY'S, Insurance Law § 4224 (b) (2).

NY JUR 2d, Insurance § 978.1.

ANNOTATION REFERENCE

See ALR Index under Health and Accident Insurance.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: disability /4 insurance /p anti-discrimination

POINTS OF COUNSEL

Stein & Schonfeld, Garden City (*Robert L. Schonfeld* and *Seth P. Stein* of counsel), for appellant. Insurance Law § 4224 (b) (2) applies to insurance policies limiting coverage on the basis of mental disability, and the courts below and the State Insurance Department erred in not applying the statute to the insurance policy at issue. (*Matter of Theroux v Reilly*, 1 NY3d 232; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Riley v County of Broome*, 95 NY2d 455; *Matter of Cahill v Rosa*, 89 NY2d 14; *Scheiber v St. John's Univ.*, 84 NY2d 120; *Crane Neck Assn. v New York City/Long Is. County Servs. Group*, 61 NY2d 154; *Sparkes v Morrison & Foerster Long-Term Disability Ins. Plan*, 129 F Supp 2d 182; *Matter of Yolanda D.*, 88 NY2d 790; *Health Ins. Assn. of Am. v Harnett*, 44 NY2d 302; *People ex rel. Lewis v Safeco Ins. Co. of Am.*, 98 Misc 2d 856.)

Eliot Spitzer, Attorney General, New York City (*David Lawrence III* and *Michael S. Belohlavek* of counsel), for respondent. I. All available indicia of legislative intent, including the plain language of Insurance Law § 4224 (b) (2), its legislative history, and insurance industry custom and practice, demonstrate that the statute is not intended to require parity in the level of benefits made available to the physically and mentally disabled. (*Matter of Albano v Board of Trustees*, 98 NY2d 548; *Matter of Dworman v New York State Div. of Hous. & Community Renewal*, 94 NY2d 359; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Matter of Tompkins County Support Collection Unit v Chamberlin*, 99 NY2d 328; *McNeil v Time Ins. Co.*, 205 F3d 179; *El-Hajj v Fortis Benefits Ins. Co.*, 156 F Supp 2d 27; *Riley v County of Broome*, 95 NY2d 455; *Equal Empl. Opportunity Commn. v Staten Is. Sav. Bank*, 207 F3d 144; *Rogers v Department of Health & Envtl. Control*, 174 F3d 431.) II. The circumstances surrounding Insurance Law § 4224 (b) (2)'s enactment are wholly inconsistent with a legislative intent to require a parity of benefits to the mentally and physically disabled. (*Equal Empl. Opportunity Commn. v CNA Ins. Cos.*, 96 F3d 1039; *Equal Empl. Opportunity Commn. v Staten Is. Sav. Bank*, 207 F3d 144.)

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(*Marianne Engelman Lado*, *Pauline H. Yoo*, *James George Felakos* and *Janet L. Steinman* of counsel), for Association of the Bar of the City of New York, amicus curiae. I. Insurance Law § 4224 (b) (2) prohibits discrimination in the provision of benefits on the basis of disability. (*Feinstein v Bergner*, 48 NY2d 234; *Matter of Yolanda D.*, 88 NY2d 790; *Chabner v United of Omaha Life Ins. Co.*, 994 F Supp 1185; *Astoria Fed. Sav. & Loan Assn. v Solimino*, 501 US 104; *Matter of Binghamton GHS Empls. Fed. Credit Union v State Div. of Human Rights*, 77 NY2d 12; *Mowczan v Bacon*, 92 NY2d 281; *People v Sheppard*, 54 NY2d 320; *Matter of Hernandez v Barrios-Paoli*, 93 NY2d 781; *Arizona Governing Comm. for Tax Deferred Annuity & Deferred Compensation Plans v Norris*, 463 US 1073.) II. The public policy of narrowly limiting the circumstances under which persons belonging to historically disfavored classes can be subject to disparate treatment is incorporated into the antidiscrimination provisions of the New York Insurance Law. (*Scheiber v St. John's Univ.*, 84 NY2d 120; *Matter of Cahill v Rosa*, 89 NY2d 14; *Nevada Dept. of Human Resources v Hibbs*, 538 US 721; *Olmstead v L.C.*, 527 US 581; *Hazen Paper Co. v Biggins*, 507 US 604; *School Bd. of Nassau County, Fla. v Arline*, 480 US 273; *Bragdon v Abbott*, 524 US 624; *Elaine W. v Joint Diseases N. Gen. Hosp.*, 81 NY2d 211; *Lovejoy-Wilson v NOCO Motor Fuel, Inc.*, 263 F3d 208; *Chabner v United of Omaha Life Ins. Co.*, 225 F3d 1042.) III. Petitioner-appellant's reading of Insurance Law § 4224 (b) (2) as requiring that any distinctions in benefits based on mental disability must be supported by actuarial or experiential data is consistent with the Insurance Law and the State's regulation of the insurance industry. (*Blue Cross & Blue Shield of Cent. N.Y. v McCall*, 89 NY2d 160; *Matter of Binghamton GHS Empls. Fed. Credit Union v State Div. of Human Rights*, 77 NY2d 12; *Matter of Health Ins. Assn. of Am. v Corcoran*, 154 AD2d 61; *Health Ins. Assn. v Harnett*, 44 NY2d 302.)

OPINION OF THE COURT

READ, J.

Insurance Law § 4224 (b) (2) prohibits an insurer from limiting the coverage available to an individual on account of a physical or mental disability unless permitted by law or regulation and statistically or empirically justified. We are asked to decide whether a long-term disability plan open to both disabled and nondisabled employees on the same terms violates this provi-

sion by failing to afford equivalent coverage for mental and physical disabilities. For the reasons that follow, we conclude that it does not.

I.

Petitioner Charlene Polan's employer provided its employees with a number of benefits, including short- and long-term disability insurance coverage. Under the group policy issued by the insurer to petitioner's employer, coverage for physical disabilities extended until the disabled employee reached age 65 or the disability ceased. Coverage for disabilities caused by "mental and nervous disorders or diseases," however, was limited to 24 months unless the disabled employee was hospitalized or institutionalized at the end of this time period, in which event benefits continued until the employee was no longer confined.

Petitioner suffers from a chronic psychiatric disability and has been unable to work since March 24, 1994. In February 1995, the insurer accepted and approved her claim for long-term disability benefits retroactive to September 16, 1994. Although petitioner continued to suffer from a psychiatric disability, her long-term disability benefits terminated after September 8, 1996 because of the 24-month limitation.

In June 2000, petitioner commenced an action against her employer and the insurer, alleging that the 24-month limitation violates Insurance Law § 4224 (b) (2). Supreme Court dismissed the action, determining that section 4224 (b) (2) does not provide a private right of action, and is more appropriately enforced by the Superintendent of Insurance of the State of New York.

Petitioner then filed a complaint against the insurer with the New York State Insurance Department. She protested that the insurer had violated section 4224 (b) (2) by "treat[ing] mental disability differently from other disabilities without actuarial or experiential basis." The Department rejected petitioner's complaint, agreeing with the insurer that section 4224 (b) (2) does not mandate equal benefits for mental and physical disabilities, and that petitioner was afforded the same benefits as all other employees participating in her employer's group plan.

Petitioner then challenged the Department's determination in this CPLR article 78 proceeding in Supreme Court. She sought vacatur of the rejection and an order directing the Department to consider whether the difference in duration of benefits for long-term physical and mental disabilities was supported by

sound actuarial or experiential data. Concluding that the policy did not violate Insurance Law § 4224 (b) (2) by providing more extended coverage for physical disabilities than for mental disabilities, Supreme Court denied the petition and dismissed the proceeding. The Appellate Division, with two Justices dissenting, affirmed (3 AD3d 30 [1st Dept 2003]), and so do we.

II.

When interpreting a statute, we turn first to its text as the best evidence of the Legislature's intent. As a general rule, a statute's plain language is dispositive (*see Riley v County of Broome*, 95 NY2d 455 [2000]). Further, deference to an administrative agency's "special competence or expertise" does not come into play where, as is the case here, we are called upon to decide a question of "pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent" (*Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225, 231 [1996]).

Insurance Law § 4224 (b) (2) provides, in pertinent part, that

"(b) No insurer doing in this state the business of accident and health insurance¹ . . . shall . . .

"(2) refuse to insure, refuse to continue to insure or limit the amount, extent or kind of coverage *available to an individual*, or charge a different rate for the same coverage *solely because of* the physical or mental disability, impairment or disease, or prior history thereof, *of the insured or potential insured*, except where the refusal, limitation or rate differential is permitted by law or regulation and is based on sound actuarial principles or is related to actual or reasonably anticipated experience" (emphasis added).

Nothing in this antidiscrimination provision requires an insurer to offer the same benefits for all ailments unless statistically or empirically justified.

Section 4224 (b) (2) proscribes limitations on coverage "solely because of" a particular disability, rather than limitations on coverage "for" a particular disability (*see McNeil v Time Ins. Co.*, 205 F3d 179, 184 n 5 [5th Cir 2000] [interpreting a Texas statute similar to Insurance Law § 4224 (b) (2) and stating that

* Insurance Law § 1113 (a) (3) defines "accident and health insurance" to include, among other things, the disability insurance at issue in this appeal.

if “because of” a disability meant “for” a disability, insurers would be required “to have an actuarial basis or past experience in support of every limitation on coverage for anything that could be construed as a handicap”). Indeed, New York’s Insurance Law consistently refers to insurance coverage “for” an insured risk rather than “because of” that risk (*see e.g.* Insurance Law § 1117 [f] [1] [“coverage for long term care services”]; § 3216 [i] [6]-[12] [“coverage for” followed by such insured risks as “in-patient hospital care,” “home care,” “pre-admission tests,” “in-patient surgical care,” “maternity care,” “hospital, surgical or medical care,” “physician services” and “prescribed drugs”]; § 3234 [a] [added by L 1993, ch 731, § 69] [“coverage for hospital or medical expenses”]).

Thus, in order to discriminate against “an individual” and to do so “solely because of” a disability, the insurer must somehow limit an individual’s coverage by reason of that individual’s disability. Here, the insurer did not adopt the 24-month limitation “solely because of” petitioner’s mental disability; the limitation preceded her disability. Nor was petitioner otherwise discriminated against. She was eligible for the same long-term disability coverage at the same premium as were all other employees participating in her employer’s group plan (*see McNeil*, 205 F3d at 184 [“As long as (the insurer) offered (the plaintiff) the same policy it offered everyone else, (the insurer) has not violated (the antidiscrimination statute), even assuming it knew (the plaintiff) had AIDS”]).

Insurance Law § 4224 (b) (2) is similar to the antidiscrimination statutes of several other states, including Maine and Texas. Courts have generally declined to interpret these statutes to require equivalent coverages for mental and physical disabilities (*see e.g. McNeil*, 205 F3d 179 [2000], *supra*; *Pelletier v Fleet Fin. Group, Inc.*, 2000 WL 1513711, *4, 2000 US Dist LEXIS 16456, *13 [D NH, Sept. 19, 2000] [holding that, although Maine’s antidiscrimination insurance statute requires insurers to provide coverage on the same terms and conditions to disabled and non-disabled persons unless sound actuarial evidence justifies different benefits, “(t)he statutory language . . . does not limit the kind of coverage that an insurer can offer”]; *see also El-Hajj v Fortis Benefits Ins. Co.*, 156 F Supp 2d 27, 33 [D Me 2001] [holding that Maine’s antidiscrimination insurance statute “neither implies nor suggests that insurers must treat the mentally disabled in the same way that it treats the physically disabled”]).

Tellingly, the Legislature chose to place the antidiscrimination provision in Insurance Law article 42, which governs insur-

ers, rather than in article 32, which mandates terms and conditions of insurance policies. For example, section 3221 provides that an insurance policy that “provides reimbursement for psychiatric or psychological services . . . [performed] by physicians, psychiatrists or psychologists” must, if requested by the policyholder, “provide the same coverage to insureds for such services when performed by a [certified] social worker” (Insurance Law § 3221 [l] [4] [A]). Similarly, section 3221 provides that “[e]very group or blanket policy . . . which provides hospital, surgical or medical coverage shall include coverage for maternity care . . . to the same extent that coverage is provided for illness or disease under the policy” (§ 3221 [k] [5] [A] [i]). Section 3221, unlike any provision in article 42, specifies coverage of various conditions or services, i.e., “the diagnosis and treatment of mental, nervous or emotional disorders or ailments” (§ 3221 [l] [5] [A]); “the diagnosis and treatment of chemical abuse and chemical dependence” (§ 3221 [l] [6] [A]); “equipment and supplies for the treatment of diabetes” (§ 3221 [k] [7] [A]); cancer screening (§ 3221 [l] [11]); and nursing home care (§ 3221 [l] [2]). The extensive list of statutorily mandated benefits in article 32 and the absence of any comparable list in article 42 cuts against petitioner’s argument that the Legislature intended section 4224 (b) (2) to require equivalent coverage for physical and mental disabilities.

III.

Section 4224 (b) (2) was enacted in 1994 (L 1994, ch 713) to expand the protections of Insurance Law § 3234, enacted the previous year (L 1993, ch 601) to prohibit insurers from refusing to issue a policy (or cancelling or declining to renew a policy) to an individual with a history of breast cancer (Governor’s Mem approving L 1993, ch 601, 1993 McKinney’s Session Laws of NY, at 2909). In approving the bill enacting section 3234, Governor Mario M. Cuomo observed that it was “too narrow in scope” because its protections were not afforded to survivors of other diseases (*id.*). Accordingly, he directed the Superintendent of Insurance and the Commissioner of Health to develop legislation to address the needs of the “situations overlooked” by the 1993 legislation (*id.* at 2910).

The following year, the Legislature enacted Insurance Law § 4224 (b) (2). In his approval memorandum, the Governor observed that the bill enacting this provision was intended to expand the access and eligibility protections of section 3234 to

“ensure that coverage and benefits are offered to all insureds on a non-discriminatory basis” (Governor’s Mem approving L 1994, ch 713, 1994 McKinney’s Session Laws of NY, at 3013). Likewise, Senator Dean G. Skelos, the bill’s Senate sponsor, stated in relevant part that

“this legislation amends section 4224 of the Insurance Law in regard to the *eligibility* for any life, health and disability insurance. Specifically, the bill prohibits insurance companies from unfairly discriminating by refusing to issue, renew, or limit the extent, amount or kind of coverage due to any physical or mental disability” (Bill Jacket, L 1994, ch 713, at 5 [first emphasis added]).

Assemblyman Charles O’Shea, the legislation’s Assembly sponsor, observed that the bill “not only prohibit[s] the refusal to issue or cancel a policy, but also prohibit[s] the limiting of benefits covered” (Sponsor’s Mem, Bill Jacket, L 1994, ch 713, at 8). As pointed out by the Department, the statute’s proscription against “limit[ing] the amount, extent or kind of coverage” in this context does not mean, as petitioner argues, that an insurer must provide the same benefits for all disabilities. Rather, section 4224 (b) (2) forbids an insurer from limiting coverage by providing less generous benefits to a disabled individual than to a nondisabled individual.

The National Association of Insurance Commissioners (NAIC) Model Regulation on Unfair Discrimination in Life and Health Insurance on the Basis of Physical or Mental Impairment, which section 4224 (b) (2) mirrors, further supports this view. Section 3 of the Model Regulation describes an act or practice constituting unfair discrimination by a life or health insurer as

“refusing to insure, or refusing to continue to insure, or limiting the amount, extent or kind of coverage available to an individual, or charging a different rate for the same coverage solely because of a physical or mental impairment, except where the refusal, limitation or rate differential is based on sound actuarial principles or is related to actual or reasonably anticipated experience” (4 NAIC Model Laws, Regulations and Guidelines, at 887-1 [July 1993]).

The Drafting Note to the Model Regulation makes it clear that

“[t]he regulation is *not intended to mandate the*

inclusion of particular coverages, such as benefits for normal pregnancy, or of levels of benefits such as for mental illness, in a company's policies or contracts. In virtually every state, mandates of any coverages or benefits are the subject of separate legislation. The model unfair trade practices act has never been interpreted to provide the basis for such mandates but rather to assure that such coverage and benefits as are offered by insurers are provided on a basis which is not unfairly discriminatory among individuals of the same class" (id. [emphasis added]).

Petitioner and the dissenting Justices contend that "there is no evidence that the . . . Legislature relied upon or endorsed the NAIC Drafting Note in enacting Insurance Law § 4224 (b) (2)." (3 AD3d at 39-40.) But in determining what the Legislature—which enacted the NAIC language almost verbatim—intended, it is reasonable to consider NAIC's statement of the Model Regulation's purpose. Notably, this statement is completely consistent with the statutory language.

In short, section 4224 (b) (2)'s legislative history belies any legislative intent to insure parity of benefits for mental and physical disabilities. Instead, section 4224 (b) (2) extended section 3234's protections for individuals with a history of breast cancer to survivors of other diseases by insuring that a given insurance plan affords disabled and nondisabled individuals equal access to and eligibility for the same benefits.

IV.

Finally, we find the federal courts' analysis of analogous federal antidiscrimination provisions to be persuasive. The federal Courts of Appeals have repeatedly concluded that the Americans With Disabilities Act ([ADA] 42 USC § 12101 *et seq.*), which prohibits discrimination in employee benefits and public accommodations "because of . . . disability" (§ 12112 [a]; § 12182 [a]), does not mandate equivalent benefits for physical and mental disabilities (*see e.g. Ford v Schering-Plough Corp.*, 145 F3d 601, 608 [3d Cir 1998] ["So long as every employee is offered the same plan regardless of that employee's contemporary or future disability status, then no discrimination has occurred even if the plan offers different coverage for various disabilities"]; *Equal Empl. Opportunity Commn. v CNA Ins. Cos.*, 96 F3d 1039, 1044 [7th Cir 1996] [observing that a 24-month

limit for mental disability benefits “may or may not be an enlightened way to do things, but it (is) not discriminatory in the usual sense of the term”]; *Krauel v Iowa Methodist Med. Ctr.*, 95 F3d 674, 678 [8th Cir 1996] [noting that excluding one disability from coverage is not a disability-based distinction violating the ADA so long as the exclusion applies equally to all individuals]; *Parker v Metropolitan Life Ins. Co.*, 121 F3d 1006, 1015 [6th Cir 1997] [noting that “the ADA does not mandate equality between individuals with different disabilities”]; *Kimber v Thiokol Corp.*, 196 F3d 1092, 1102 [10th Cir 1999] [adopting the reasoning of the other circuits and holding that “the ADA does not prohibit an employer from operating a long term disability benefits plan which distinguishes between physical and mental disabilities”]; *Lewis v Kmart Corp.*, 180 F3d 166, 170 [4th Cir 1999] [holding that “the ADA does not require a long-term disability plan that is sponsored by a private employer to provide the same level of benefits for mental and physical disabilities”]; *Weyer v Twentieth Century Fox Film Corp.*, 198 F3d 1104, 1116 [9th Cir 2000] [noting that “there is no discrimination under the (ADA) where disabled individuals are given the same opportunity as everyone else, so insurance distinctions that apply equally to all employees cannot be discriminatory”]).

Like these federal courts, we are unwilling to infer a legislative intent when to do so would upset longstanding industry practice. As the Second Circuit remarked in *Equal Empl. Opportunity Commn. v Staten Is. Sav. Bank* (207 F3d 144, 149 [2d Cir 2000]) “the historic and nearly universal practice inherent in the insurance industry [is to provide] different benefits for different disabilities.” Because an interpretation that Insurance Law § 4224 (b) (2) accords the parity of benefits sought by petitioner “would require far-reaching changes in the way the insurance industry does business,” we are “reluctant to infer such a mandate for radical change absent a clearer legislative command” (*id.*).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur.

Order affirmed, with costs.

[814 NE2d 795, 781 NYS2d 488]

JOHN N. ZEGARELLI et al., Respondents, v GREGORY D. HUGHES,
Appellant.

Argued June 3, 2004; decided July 1, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 21, 2003. The Appellate Division affirmed a judgment of the Supreme Court, Oneida County (John S. Parker, J.), entered upon a jury verdict in favor of plaintiffs, which had awarded plaintiffs damages against defendant in the principal sum of \$105,000.

Zegarelli v Hughes, 303 AD2d 916, reversed.

HEADNOTES

Disclosure — Scope of Disclosure — Original Surveillance Videotape

1. In a personal injury action where defendant disclosed to plaintiff a surveillance videotape by delivering a complete copy of the tape to plaintiff well in advance of the trial, defendant complied with his obligation under CPLR 3101 (i), and was not required, as a precondition to the tape's admissibility, to furnish plaintiff with the original. It was sufficient that plaintiff had an opportunity to examine the original if he chose to do so. CPLR 3101 (i) does not require parties making disclosure of surveillance tapes to be more forthcoming than they would with any ordinary discovery material. Disclosure is customarily sufficient if the producing party tells the party seeking the discovery where the materials are and provides a reasonable opportunity for that party to look at them and make copies, although it is common, as was done here, for counsel for the producing party to make copies and send them to the other side, with the understanding that the originals are available for inspection on request.

Trial — Evidence — Authentication of Surveillance Videotape

2. A surveillance videotape of plaintiff, sought to be introduced by defendant, was properly authenticated where defendant's investigator testified that he had observed plaintiff; that the exhibit shown to him was a copy of a videotape he had made of the observation; that the tape fairly and accurately showed what he had observed; and that the tape had not been edited at all. Testimony from the videographer that he took the video, that it correctly reflects what he saw, and that it has not been altered or edited is normally sufficient to authenticate a videotape. If there was any discrepancy between the tape and the videographer's description in a written report of what he saw, that would have been a proper matter for cross-examination.

Trial — Evidence — Exclusion of Surveillance Videotape Not Harmless Error

3. In an action to recover damages for injuries plaintiff allegedly sustained to his back, Supreme Court's error in excluding a surveillance videotape

depicting plaintiff shoveling snow was not harmless. While the tape may not have been inconsistent with the existence of back pain, it was flatly inconsistent with plaintiff's testimony that on the occasion he was videotaped shoveling snow he "took two or three swipes . . . and . . . cleared off the little debris that was on the first step." Admission of the tape also would have enabled defendant to attack the credibility of plaintiff's statement that he shoveled snow "very, very rarely." Moreover, its exclusion harmed defendant by enabling plaintiff's counsel to ask rhetorically about the missing tape in his closing argument.

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AM JUR 2d, Appellate Review § 759; AM JUR 2d, Depositions and Discovery §§ 146, 163; AM JUR 2d, Evidence §§ 327-330, 982, 983.

CARMODY-WAIT 2d, Disclosure §§ 42:277, 42:390; CARMODY-WAIT 2d, Presentation of the Case §§ 56:64, 56:84.

McKINNEY'S, CPLR 31010 (i).

NY JUR 2d, Appellate Review § 761; NY JUR 2d, Disclosure §§ 101, 178, 245; NY JUR 2d, Evidence and Witnesses § 423.

SIEGEL, NY PRAC §§ 348, 362.

ANNOTATION REFERENCE

Photographs of civil litigant realized by opponent's surveillance as subject to pretrial discovery. 19 ALR4th 1236.

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POINTS OF COUNSEL

Sugarman Law Firm, LLP, Syracuse (*Sherry R. Bruce* of counsel), for appellant. I. The "full disclosure" language of CPLR 3101 (i) does not mandate submission of an original surveillance videotape in response to a general discovery demand. (*DiNardo v Koronowski*, 252 AD2d 69; *Rotundi v Massachusetts Mut. Life Ins. Co.*, 263 AD2d 84; *Falk v Inzinna*, 299 AD2d 120; *DiMichel v South Buffalo Ry. Co.*, 80 NY2d 184; *Tai Tran v New Rochelle Hosp. Med. Ctr.*, 99 NY2d 383; *McArthur v Wal-Mart Stores*, 274 AD2d 378.) II. Preclusion of the surveillance videotape and investigator's testimony caused irreparable harm requiring reversal and a new trial. (*Tai Tran v New Rochelle Hosp. Med. Ctr.*, 99 NY2d 383; *Noble v Ackerman*, 252 AD2d 392.)

Brindisi, Murad & Brindisi-Pearlman, LLP, Utica (Stephanie A. Palmer of counsel), for respondents. I. The language and intent of CPLR 3101 (i) mandate that there shall be full disclosure of all videotapes. (*Falk v Inzinna*, 299 AD2d 120; *Matter of Theroux v Reilly*, 1 NY3d 232; *Kavanagh v Ogden Allied Maintenance Corp.*, 92 NY2d 952; *DiMichel v South Buffalo Ry. Co.*, 80 NY2d 184; *Noble v Ackerman*, 252 AD2d 392; *Lamagna v New York State Assn. for Help of Retarded Children*, 222 AD2d 559; *Schozer v William Penn Life Ins. Co. of N.Y.*, 84 NY2d 639.) II. The exclusion of the surveillance video and the investigator's testimony was at best harmless error; therefore, defendant is not entitled to reversal or a new trial. (*Khan v Galvin*, 206 AD2d 776; *Ateser v Becker*, 272 AD2d 219.)

OPINION OF THE COURT

R.S. SMITH, J.

[1] CPLR 3101 (i) provides that “[t]here shall be full disclosure of any films, photographs, video tapes or audio tapes” showing the activities of a party to litigation. We hold here that the “full disclosure” required by this statute is simply the disclosure normally required by the CPLR for relevant, non-privileged materials. More specifically, we hold that defendant here complied with his obligation to disclose a videotape by delivering a complete copy of the tape to plaintiff's counsel well in advance of trial. Defendant was not required, as a precondition to the tape's admissibility, to furnish plaintiff with the original; it is sufficient that plaintiff had an opportunity to examine the original if he chose to do so.

This is an automobile accident case in which plaintiff John Zegarelli (plaintiff)* sought recovery on the basis of a back injury that allegedly caused him significant pain and limited his daily activities. Plaintiff served demands for discovery requesting production, among other things, of “any and all video tapes . . . purporting to depict the Plaintiff's activities.” Subsequently, an investigator employed by defendant's counsel videotaped plaintiff while he was shoveling snow. The taping was done with a handheld eight-millimeter camera. The investigator copied the eight-millimeter tape onto a VHS tape, which is convenient for display on a television screen.

On August 18, 2000, defendant's counsel sent a VHS copy of the tape to plaintiff's counsel, with a cover letter saying: “En-

* Mr. Zegarelli's wife brought a derivative claim that is not relevant to this appeal.

closed herewith please find a copy of a videotape depicting the plaintiff in the above matter which I recently received.” So far as the record shows, there was no more communication about this tape between the parties until the trial, which began more than a year later, on August 21, 2001.

At the trial, plaintiff testified about the limits on his activity resulting from his injury. He testified that after the accident he shoveled snow “very, very rarely.” Specifically asked by his counsel about “one occasion,” reflected on “a video,” he said: “I took two or three swipes of our parking area where we park our car, and I got out and I got the shovel, and I cleared off the little debris that was on the first step.”

Defendant called the investigator, who testified that he had observed plaintiff; that the exhibit shown to him was a copy of a videotape he had made of the observation; that the tape fairly and accurately showed what he had observed; and that the tape had not been edited at all. Plaintiff’s counsel objected to the tape’s admissibility, saying: “I don’t know if the 8-millimeter correctly reflects what is on this tape because I haven’t had an opportunity to see it.” He admitted that he had seen the VHS copy of the tape.

Supreme Court sustained the objection on the ground that “[t]he original tape was not made available to the plaintiff by the defendant in anticipation of trial or during the discovery period.” Plaintiff later took advantage of this ruling, asking the jury in closing argument: “Where’s this phantom video? It’s not here, is it? What did that tell you?” The jury returned a verdict for plaintiff including a \$55,000 award for pain and suffering, and judgment was entered accordingly.

The Appellate Division, one Justice dissenting, affirmed, stating that Supreme Court had “properly granted” preclusion of the videotape on the ground “that the original eight-millimeter surveillance tape of plaintiff had not been disclosed.” (303 AD2d 916, 917 [2003].) The Appellate Division also concluded that, if the exclusion of the videotape was error, the error was harmless. We granted leave to appeal, and now reverse.

CPLR 3101 (i) provides:

“In addition to any other matter which may be subject to disclosure, there shall be full disclosure of any films, photographs, video tapes or audio tapes, including transcripts or memoranda thereof, involving a person referred to in paragraph one of subdivi-

sion (a) of this section [i.e., a party or a party's officer, director, member, agent or employee]. There shall be disclosure of all portions of such material, including out-takes, rather than only those portions a party intends to use. The provisions of this subdivision shall not apply to materials compiled for law enforcement purposes which are exempt from disclosure under section eighty-seven of the public officers law."

This statute was enacted in response to our decision in *DiMichel v South Buffalo Ry. Co.* (80 NY2d 184 [1992]). The issue in *DiMichel* was whether surveillance videotapes obtained in anticipation of trial constituted trial preparation materials subject to a qualified privilege under CPLR 3101 (d) (2). We held that the statutory protection did attach, and approved Appellate Division holdings that the parties making the tapes need disclose "only those tapes which they planned to use at trial" (*id.* at 190). We also held it appropriate to provide "that surveillance films should be turned over only after a plaintiff has been deposed" (*id.* at 197).

Within a year of *DiMichel*, the Legislature enacted CPLR 3101 (i). That statute's provision for disclosure of "all portions of such material, including out-takes, rather than only those portions a party intends to use" expressly overruled *DiMichel*'s holding on that subject. We held in *Tai Tran v New Rochelle Hosp. Med. Ctr.* (99 NY2d 383, 387-388 [2003]) that CPLR 3101 (i) also overruled "that aspect of *DiMichel* which allows defendants to withhold surveillance tapes until after a plaintiff has been deposed." *Tran* made clear that the provision in CPLR 3101 (i) for "full disclosure" of surveillance tapes removed them from the protection of CPLR 3101 (d) (2), and put them on the same footing with other material discoverable under CPLR 3101 (a). Indeed, subdivision (i) tracks the language of subdivision (a), which states: "There shall be full disclosure of all matter material and necessary in the prosecution or defense of an action. . . ."

Section 3101 (i) went no further than this, however. It did not require parties making disclosure of surveillance tapes to be more forthcoming than they would with any ordinary discovery material. In the case of "documents and things"—a term that includes videotapes—a party's obligation is "to produce and permit the party seeking discovery, or someone acting on his or her behalf, to inspect, copy, test or photograph" the items

produced (CPLR 3120 [1] [i]). This section may be satisfied by telling the party seeking the discovery where the materials are and providing a reasonable opportunity for that party to look at them and make copies; but it is often more convenient, and very common, for counsel for the producing party to make copies and send them to the other side. Where that is done, it is understood that the originals must be available for inspection on request.

Here, defendant's counsel followed this customary procedure when he sent a copy of the tape to plaintiff's counsel. His cover letter expressly disclosed that it was a "copy"—though in any event the recipient would be unlikely to assume that he was being sent the original. Plaintiff has not shown that the difference in format between the eight-millimeter original and the VHS copy was of any significance; but if plaintiff's counsel wanted to see the original, he had only to ask, and he had plenty of time—more than a year—to do so before trial. Defendant thus complied with his obligation to make "full disclosure" of the videotape, and Supreme Court and the Appellate Division erred in holding otherwise.

[2] Plaintiff argues, in the alternative, that the tape was rightly excluded because defendant failed to authenticate it properly. As we read the record, the courts below did not base their rulings on that ground, but if they did, they erred, for there was nothing wrong with the authentication. Testimony from the videographer that he took the video, that it correctly reflects what he saw, and that it has not been altered or edited is normally sufficient to authenticate a videotape. Where the videographer is not called "[t]estimony, expert or otherwise, may also establish that a videotape 'truly and accurately represents what was before the camera' " (*People v Patterson*, 93 NY2d 80, 84 [1999], quoting *People v Byrnes*, 33 NY2d 343, 349 [1974]). If there was (as Supreme Court suggested) any discrepancy between the tape and the videographer's description in a written report of what he saw, that would have been a proper matter for cross-examination.

[3] Nor do we agree with the Appellate Division that the error in excluding the videotape was harmless. The tape shows plaintiff shoveling for about three minutes without obvious discomfort, though for much of that time he uses one hand to shovel, perhaps favoring his back. The tape may not be inconsistent with the existence of back pain, but it is flatly inconsistent with plaintiff's testimony that he "took two or three swipes . . . and . . . cleared off the little debris that was on the first

step.” Admission of the tape also would have enabled defendant to attack the credibility of plaintiff’s statement that he shoveled snow “very, very rarely”—i.e., that his doing so the day he was videotaped was a coincidence. And even apart from the tape’s relevance to plaintiff’s credibility, its exclusion harmed defendant by enabling plaintiff’s counsel to ask rhetorically, in closing argument: “Where’s this phantom video?” In short, we cannot conclude with confidence that plaintiff would have obtained the same verdict if the tape had been admitted into evidence.

Accordingly, the order of the Appellate Division should be reversed, with costs, and a new trial ordered.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order reversed, etc.

[814 NE2d 1189, 781 NYS2d 630]

AMERICAN TRANSIT INSURANCE COMPANY, Appellant, v ANTHONY
SARTOR, Respondent, et al., Defendants.

Argued June 2, 2004; decided July 1, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 13, 2003. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Leland DeGrasse, J.), which had granted plaintiff's motion for summary judgment, denied defendant Anthony Sartor's cross motion for summary judgment, and declared that plaintiff's disclaimer of coverage as to defendants Anthony Sartor, Utica Taxi Center, Inc., Pierre Toussaint, and Julian Mesamours was proper and plaintiff was not required to pay the default judgment rendered against defendants Utica Taxi Center, Inc., Pierre Toussaint, and Julian Mesamours in the underlying personal injury action; (2) denied plaintiff's motion for summary judgment; (3) granted defendant Anthony Sartor's cross motion for summary judgment; and (4) directed plaintiff to pay defendant Anthony Sartor the \$100,000 default judgment with 9% interest from March 30, 2001.

American Tr. Ins. Co. v Sartor, 305 AD2d 205, reversed.

HEADNOTE

Insurance — Disclaimer of Coverage — Lack of Notice — Taxicab Insurer

In an action to determine plaintiff insurer's obligation to pay a default judgment entered against its insureds in a personal injury action brought in federal court by an individual injured by the insureds' taxicab, plaintiff properly disclaimed coverage on the ground that it did not receive notice of the federal litigation. Plaintiff was entitled, under the terms of its commercial liability policy, to timely notice of the injured party's commencement of litigation. Although the insureds had the primary duty to issue notice to plaintiff, the injured party had a statutory right under Insurance Law § 3420 (a) (3) to fulfill this policy obligation by providing notice to plaintiff himself. Vehicle and Traffic Law § 370 (4), which requires a taxi operator to provide written notice to its insurer within five days of an accident or face a misdemeanor criminal charge, does not negate the notice condition precedent required by plaintiff's policy. While that statute creates an incentive for prompt notification to an insurer, it also indicates that the failure to furnish such notice has no effect on the insurer's obligations under the terms of its policy. Moreover, it does not relieve an injured party from complying with Insurance Law § 3420 (a) (3).

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 1315–1318, 1424, 1431, 1433, 1435.
COUCH ON INSURANCE (3d ed) §§ 199:80–199:85, 199:99.
McKINNEY'S, Insurance Law § 3420 (a) (3); McKINNEY'S,
Vehicle and Traffic Law § 370 (4).
NY JUR 2d, Insurance §§ 1829–1833.

ANNOTATION REFERENCE

See ALR Index under Insurance and Insurance Companies.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: disclaim! /s insur! /s default! /p noti! /s timely

POINTS OF COUNSEL

Berger & Webb, LLP, New York City (*Charles S. Webb, III*, and *Thomas E. Hone* of counsel), and *Marjorie E. Bornes* for appellant. I. American Transit Insurance Company properly disclaimed coverage for liability under its policy, issued under Vehicle and Traffic Law § 370, since there was no notice to the insurer that a suit was commenced against the insured until after a default judgment was entered. (*Fusco v American Colonial Ins. Co.*, 221 AD2d 231; *Matter of Travelers Indem. Co. [Madera]*, 189 AD2d 570; *Red Apple Cos. v Scottsdale Ins. Co.*, 269 AD2d 208; *Matter of DeLeon v Motor Veh. Acc. Indem. Corp.*, 243 AD2d 475; *Jenkins v Burgos*, 99 AD2d 217; *Spadaro v Newark Ins. Co.*, 21 AD2d 226; *Jewtraw v Hartford Acc. & Indem. Co.*, 280 App Div 150; *Gluck v London & Lancashire Indem. Co.*, 207 Misc 471; *Tennant v Farm Bur. Mut. Auto. Ins. Co.*, 286 App Div 117; *Rodriguez v Liberty Mut. Ins. Co.*, 214 AD2d 366.) II. American Transit Insurance Company's disclaimer against Utica Taxi Center, Inc. was proper, but, even if Utica were an insured under the policy, Anthony Sartor could not recover against American since the disclaimer against Sartor was proper.

Herman & Herman, PC, New York City (*Glenn A. Herman* of counsel), for respondent. I. Vehicle and Traffic Law § 370 prohibits American Transit Insurance Company from denying financial responsibility to Anthony Sartor, a member of the general public injured by the negligence of its insured. (*ELRAC*,

Inc. v Ward, 96 NY2d 58; *Devlin v New York Mut. Cas. Taxicab Ins. Co.*, 123 Misc 784, 213 App Div 152; *Engelson v Commerce Cas. Co.*, 149 Misc 886; *Pape v Red Cab Mut. Cas. Co.*, 128 Misc 456; *Sandolovich v United States Fid. & Guar. Co.*, 142 Misc 463; *Harris v Equitable Sur. Co.*, 131 Misc 85; *Green Bus Lines v Ocean Acc. & Guar. Corp.*, 287 NY 309; *Fidelity & Cas. Co. of N.Y. v Russell*, 31 AD2d 4, 26 NY2d 678; *Frenkel v Kress Taxi*, 208 Misc 374; *Mironov v New York Mut. Underwriters*, 147 AD2d 761.) II. In addition to Vehicle and Traffic Law § 370, the express language of American Transit Insurance Company's policy prevents it from disclaiming coverage. III. The disclaimer law and protections available under a private passenger vehicle insurance policy are separate and distinct from the protections available to for-hire vehicles. (*Pape v Red Cab Mut. Cas. Co.*, 128 Misc 456; *Mironov v New York Mut. Underwriters*, 147 AD2d 761, 74 NY2d 615; *Swee v Vals Trans*, 225 AD2d 113; *Matter of Mackey [Allcity Ins. Co.]*, 27 AD2d 728; *Engelson v Commerce Cas. Co.*, 149 Misc 886; *Frenkel v Kress Taxi*, 208 Misc 374.) IV. Utica Taxi Center, Inc. is an insured of American Transit Insurance Company under its policy. (*Sosnowski v Kolovas*, 127 AD2d 756.) V. By issuing the subject policy of insurance, American Transit Insurance Company certified to the Commissioner of Motor Vehicles that it undertook to protect the public pursuant to law but then brought the within action to evade its statutory obligations. (*Devlin v New York Mut. Cas. Taxicab Ins. Co.*, 123 Misc 784; *Jenkins v Burgos*, 99 AD2d 217.) VI. American Transit Insurance Company's arguments are misplaced and not supported by the authorities cited. (*Devlin v New York Mut. Cas. Taxicab Ins. Co.*, 213 App Div 152; *Sandolovich v United States Fid. & Guar. Co.*, 142 Misc 463; *Jenkins v Burgos*, 99 AD2d 217; *Pierre v Providence Washington Ins. Co.*, 99 NY2d 222.)

OPINION OF THE COURT

GRAFFEO, J.

The issue in this case is whether Vehicle and Traffic Law § 370 obligates the insurer of a taxicab to satisfy a default judgment entered against its insureds where the insurer was never notified, as required by the terms of its commercial liability policy, that legal proceedings had been commenced by the injured party. We conclude that the statute does not obviate the insurer's right to such notice and, therefore, the insurer is entitled to disclaim coverage under these circumstances.

Defendant Anthony Sartor was injured in March 2000 when a vehicle he was driving was involved in an accident with a taxicab

being driven by defendant Julien Mesamours. The taxicab, which was owned by defendant Utica Taxi Center, Inc., was insured by plaintiff American Transit Insurance Company in the name of the registered owner, defendant Pierre Toussaint. Although a taxi operator is required to provide written notice to its insurer within five days of an accident or face a misdemeanor criminal charge (*see* Vehicle and Traffic Law § 370 [4]), neither Mesamours, Toussaint nor Utica Taxi informed American Transit about the collision involving Sartor. Approximately seven months later, Sartor's attorney notified American Transit of the accident, and requested information regarding the name of American Transit's claim adjuster and the extent of the policy's liability limits. American Transit apparently never responded to this inquiry.

Sartor, an Ohio resident, subsequently initiated a personal injury action against Mesamours, Toussaint and Utica Taxi in Federal District Court. None of the defendants answered Sartor's complaint or informed American Transit that a lawsuit had been filed, as required by the terms of the policy. Nor did Sartor, whose attorney had contacted American Transit three months earlier, send the insurer notice that he had filed a lawsuit. After obtaining a default judgment and submitting proof of his injuries at an inquest, Sartor was awarded \$100,000 in damages against the three defendants. Sartor served a copy of the judgment on American Transit and the defendants one week later. American Transit disclaimed coverage solely on the basis that it had not been timely notified by any party of the commencement of the litigation or the application for a default judgment, and it asserted that Utica Taxi was not its insured as defined by the policy.

American Transit then commenced this action, seeking a declaration that it was not obligated to satisfy Sartor's default judgment.¹ The insurer moved for summary judgment and Sartor cross-moved for summary judgment declaring that the

1. Concurrently with the initiation of this action, American Transit (on behalf of Toussaint and Mesamours) applied in federal court to vacate the default judgment on the ground that process was not properly served by Sartor. After a traverse hearing, the District Court denied the motion, but the Court of Appeals for the Second Circuit vacated that decision and remanded to provide the District Court an opportunity to consider whether Sartor's process server exercised due diligence prior to using affix-and-mail service on Mesamours and whether Toussaint was properly served at Utica Taxi's place of business (*see Sartor v Toussaint*, 70 Fed Appx 11, 14 [2d Cir 2002]). On remand, the District Court adhered to its original decision and refused to

(n. cont'd)

disclaimer was improper. Supreme Court granted American Transit's motion, concluding that the lack of notice to the insurer of the initiation of the federal lawsuit constituted a breach of an express condition precedent to coverage under the terms of the commercial insurance policy and Sartor's notice of the accident was insufficient.

The Appellate Division reversed and granted Sartor's cross motion for summary judgment. Despite the undisputed fact that American Transit was never informed about the initiation of litigation, the Court determined that American Transit was liable for the default judgment because the terms of the policy and relevant provisions of the Vehicle and Traffic Law provide that an insured's failure to supply requisite notice does not prejudice the rights of an injured party to recover under the policy. We granted leave to appeal and now reverse.

Our analysis of the issue presented in this case is guided by well-settled principles of insurance law. Among these is the rule that an insurer has the right to demand that it be notified of any loss or accident that is covered under the terms of the insurance policy (*see Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.*, 31 NY2d 436, 440 [1972]; *Hicks v British Am. Assur. Co.*, 162 NY 284, 292 [1900]). The purpose of such a requirement is to "afford the insurer an opportunity to protect itself" (*Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.*, 31 NY2d at 440) by, for example, "investigating claims soon after the underlying events" (*Matter of Brandon [Nationwide Mut. Ins. Co.]*, 97 NY2d 491, 496 [2002]). Here, the commercial liability policy, having been approved by the Superintendent of Insurance for use in compliance with section 370 of the Vehicle and Traffic Law, expressly conditions American Transit's obligation to provide coverage upon its receipt of "immediate written notice of any accident causing loss."

Distinct from notice of an accident, an insurer may also demand that it receive timely notice of a claimant's commencement of litigation. The purpose of such notice is to provide the insurer with a fair and reasonable opportunity to appear and defend against a claim or exercise its right to settle the matter. The policy issued by American Transit conditions its coverage obligation upon receipt of "immediate written notice of any . . . notice of claims for damages on account of such accidents." The

vacate the default judgment (*see Sartor v Utica Taxi Ctr., Inc.*, 260 F Supp 2d 670, 672 [SD NY 2003]).

policy further states that “[i]f any suit is brought against the Insured to recover such damages the Insured shall immediately forward to the Company every summons or other process served upon him.”

The insurer’s receipt of such notice is therefore a condition precedent to its liability under the policy (see *Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.*, 31 NY2d at 440). The failure to satisfy this requirement may allow an insurer to disclaim its duty to provide coverage (see *id.*; see also *Matter of Brandon [Nationwide Mut. Ins. Co.]*, 97 NY2d at 496-497; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.*, 79 NY2d 576, 581 [1992]). Significantly, although it is the insured that is charged with the primary duty to issue notice to the insurer, the Legislature has given an injured party the statutory right to fulfill this policy obligation by allowing any necessary notification to be issued by the claimant (see *Lauritano v American Fid. Fire Ins. Co.*, 3 AD2d 564, 568 [1st Dept 1957], *affd* 4 NY2d 1028 [1958]; see generally *General Acc. Ins. Group v Cirucci*, 46 NY2d 862, 863-864 [1979]). Section 3420 (a) (3) of the Insurance Law mandates that all liability policies include a provision that “written notice by or on behalf of the injured person or any other claimant . . . shall be deemed notice to the insurer.”

In this case, Sartor argues that the general notice rules have been modified by section 370 (4) of the Vehicle and Traffic Law, which specifically addresses taxicabs and other vehicles that transport passengers for hire. He claims that the insureds’ failure to comply with the notice requirements cannot prejudice his rights as an injured party and, therefore, American Transit cannot disclaim coverage by relying on his failure to provide notice of the federal litigation. We disagree with this contention.

The starting point in any case of statutory interpretation must, of course, always be the language itself, giving effect to its plain meaning. A court cannot amend a statute by adding words that are not there (see *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382, 394 [1995]). Applying these established principles of statutory interpretation, we find nothing in the text of Vehicle and Traffic Law § 370 (4) to indicate that the Legislature intended to alter the long-standing insurance industry practice with regard to notice or the right that Insurance Law § 3420 (a) (3) grants to injured claimants. With respect to vehicles that transport passengers for hire, section 370 (4) of the Vehicle and Traffic Law provides that:

“[e]very person operating a motor vehicle . . . as to

which a bond or policy of insurance is required by this section, which is in any manner involved in an accident, shall within five days give written notice of the time and place of the accident to the surety or insurer. Failure to give notice of an accident as herein provided shall constitute a misdemeanor, but shall not affect the liability of the surety or insurer.”

It is readily apparent that the purpose of this provision is to establish an incentive to the operator of a vehicle for hire to supply its insurer with immediate notice that an accident has occurred in order to avoid criminal liability for noncompliance. But the statute also clearly indicates that the operator’s failure to furnish such notice has no effect on the insurer’s obligations under the terms of the insurance policy. Thus, a violation of section 370 (4) does not create an exclusive basis for a disclaimer of coverage by the insurer. Nothing in the language of the statute therefore relieves a claimant from complying with Insurance Law § 3420 (a) (3)—the provision allowing an injured party to issue the notice otherwise required of an insured—in order to preserve a right to recovery.²

Nor does subdivision (1) of section 370 undermine American Transit’s right to receive notice of litigation. This portion of the statute states, in relevant part, that “[e]very person, firm, association or corporation engaged in the business of carrying or transporting passengers for hire in any motor vehicle . . . shall file with the commissioner of motor vehicles . . . a policy of insurance . . . conditioned for the payment of a minimum sum . . . on a judgment or judgments for damages” (Vehicle and Traffic Law § 370 [1]). The policy issued by American Transit complies with this statutory command.³ Although Sartor asserts that requiring notice of commencement of a lawsuit transforms

2. Sartor’s reliance on certain language in the insurance policy issued by American Transit is unavailing for a similar reason. The policy provides that the insured’s failure to comply with the notice conditions “SHALL NOT PREJUDICE THE RIGHT OF ANY PERSON OTHER THAN THE INSURED TO RECOVER HEREUNDER.” Thus, the insured’s dilatory conduct, standing alone, does not constitute an adequate basis for a disclaimer against the injured party precisely because the claimant personally may issue the required notice pursuant to section 3420 of the Insurance Law (*see General Acc. Ins. Group v Cirucci*, 46 NY2d at 863-864). It is only in the event of noncompliance by both the insured *and* the injured claimant that the insurer may validly disclaim against the injured party.

3. Paragraph 1 of the policy provides that American Transit “agrees to pay any sums which the insured may become obligated to pay by reason of the liability imposed by law upon the Insured for damages . . . resulting from the

(n. cont’d)

the policy into a noncompliant, illusory agreement to pay a damages judgment, we find this contention unpersuasive, given that it is permissible for an insurer to seek compliance with various notice and cooperation provisions as conditions precedent to its coverage obligations.⁴

In addition, requiring a claimant to give proper and timely notice of the initiation of litigation does not contravene the general “ ‘public policy that victims of automobile accidents should have recourse to a financially responsible defendant’ ” (*Planet Ins. Co. v Bright Bay Classic Vehs.*, 75 NY2d 394, 401 [1990], quoting *Motor Veh. Acc. Indem. Corp. v Continental Natl. Am. Group Co.*, 35 NY2d 260, 265 [1974]). Nor does it subvert the public policy underlying Vehicle and Traffic Law § 370 and its predecessor statutes, which were enacted “from the viewpoint of the protection of the passengers using the common carrier and not primarily for the protection of the owner” of the vehicle for hire (*Green Bus Lines v Ocean Acc. & Guar. Corp.*, 287 NY 309, 313 [1942]).⁵ Permitting an insurer to demand notice of litigation neither undermines the insurer’s financial responsibility nor shifts the protections of common carrier policies away from the injured party. To the contrary, a claimant, acting in a responsible manner by providing notice to the insurer under Insurance Law § 3420 (a) (3), can singlehandedly protect his or her recovery in the event a judgment eventually is entered against an insured.

Our decision that Vehicle and Traffic Law § 370 does not negate the notice condition precedent required by the policy at issue in this case effectuates the intent of the Legislature, as

ownership, operation, maintenance, use or defective construction of the motor vehicle[] described in the Declaration.” This agreement, of course, is premised on American Transit being notified about the occurrence of an accident and the commencement of any litigation, as well as other conditions.

4. Sartor’s reliance on our decision in *Pierre v Providence Washington Ins. Co.* (99 NY2d 222 [2002]) is misplaced. The issue in that case was whether the driver of a tractor-trailer or the company for whom he worked qualified as an “insured” under a federally-mandated endorsement known as the MCS-90. And, unlike the facts of this case, the parties in *Pierre* “agree[d] that the endorsement modifie[d] the terms of the [insurance] policy by excusing any conditions or limitations, including the notice of accident condition on which Providence disclaimed” (*id.* at 230).

5. The requirement that taxicab owners file proof of insurance or other security derives from section 282-b of the former Highway Law (L 1922, ch 612), which was recodified as section 17 of the Vehicle and Traffic Law (L 1929, ch 54) before being placed into its current location in article 8 of the Vehicle and Traffic Law (L 1959, ch 775).

reflected in the language of the statute and Insurance Law § 3420, and also preserves the fair and reasonable balance of rights and responsibilities among injured claimants, insured parties and their insurers. Rather than being left to the mercy of an insured's acts of compliance or noncompliance with the terms of the insurance policy, a claimant injured by a vehicle for hire can safeguard the ability to seek enforcement of a judgment against the insurer by exercising the independent notice right provided by the Legislature in Insurance Law § 3420 (a) (3). Concomitantly, the insurer will have an opportunity to challenge or settle claims against its insured. We therefore conclude that American Transit properly disclaimed coverage of the default judgment on the ground that it did not receive notice of the federal litigation.

Finally, in light of our determination, it is unnecessary to address Sartor's remaining argument regarding the effect of the Utica Taxi disclaimer.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the order of Supreme Court reinstated.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order reversed, etc.

[816 NE2d 1257, 783 NYS2d 321]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MICHAEL CALABRIA, Appellant.

Argued May 6, 2004; decided June 8, 2004

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 4, 2003. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Lawrence Knipel, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree and burglary in the second degree.

People v Calabria, 307 AD2d 933, affirmed.

HEADNOTE**Crimes — Identification of Defendant — Sufficiency of Identification**

In a prosecution for robbery and burglary where the key issue at trial was the complainant's identification of defendant as the perpetrator, it was rational for the jury to determine beyond a reasonable doubt that defendant committed the crimes charged. The complainant, who was a religious school teacher and the sole witness to the crime, identified defendant on two occasions and never wavered in her testimony. She testified under oath and without contradiction that she was able to see the perpetrator's face, albeit briefly, and that she was certain that defendant was the man who robbed her at gunpoint.

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AM JUR 2d, Evidence §§ 1478–1480.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:446, 172:3231, 172:3233.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 7.1.

NY JUR 2d, Criminal Law §§ 654, 655, 673–675, 1885.

ANNOTATION REFERENCE

See ALR Index under Description and Identification; Eyewitnesses.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: identif! /3 defendant /s victim complainant /p
line-up & sole only /2 witness & sufficien! /3 evidence

POINTS OF COUNSEL

Lynn W.L. Fahey, New York City, for appellant. The People failed, as a matter of law, to establish appellant's guilt beyond a reasonable doubt, because the sole eyewitness's identification of him, based on a "quick glance" or "glimpse" of an armed assailant of whom she could give only a vague description inconsistent with appellant, was patently unreliable. (*People v Reed*, 40 NY2d 204; *People v Santos*, 38 NY2d 173; *People v Ledwon*, 153 NY 10; *People v Foster*, 64 NY2d 1144; *People v Stewart*, 40 NY2d 692; *People v Logue*, 35 NY2d 658; *People v Sickles*, 35 NY2d 792; *People v Abelson*, 309 NY 643; *People v Acerra*, 282 NY 628; *People v Jackson*, 65 NY2d 265.)

Charles J. Hynes, District Attorney, Brooklyn (*Camille O'Hara Gillespie* and *Leonard Joblove* of counsel), for respondent. Defendant's claim that the evidence was legally insufficient to establish his identity as the person who robbed the victim and burglarized the International Baptist Church is partly unpreserved for appellate review as a matter of law. In any event, the evidence was legally sufficient to establish defendant's guilt beyond a reasonable doubt. (*People v Arroyo*, 54 NY2d 567, 456 US 979; *People v Contes*, 60 NY2d 620; *Jackson v Virginia*, 443 US 307; *People v Ledwon*, 153 NY 10; *People v Malizia*, 62 NY2d 755, 469 US 932; *People v Gruttola*, 43 NY2d 116; *People v Concepcion*, 38 NY2d 211; *People v Finger*, 95 NY2d 894; *People v Gray*, 86 NY2d 10; *People v Bynum*, 70 NY2d 858.)

OPINION OF THE COURT

CIPARICK, J.

After a jury trial, defendant was convicted of one count of robbery in the first degree and one count of burglary in the second degree. The key issue at trial was the identification of defendant as the perpetrator. There was one eyewitness, the victim, who positively identified defendant both at a lineup and in court. Defendant challenges the sufficiency of the evidence to support his conviction based upon the eyewitness identification.

"The standard for reviewing the legal sufficiency of evidence in a criminal case is whether 'after viewing the evidence in the light most favorable to the prosecution, *any* rational trier of fact could have found the essential elements of the crime beyond a reasonable doubt' " (*People v Contes*, 60 NY2d 620, 621 [1983],

quoting *Jackson v Virginia*, 443 US 307, 319 [1979]).¹ We have previously recognized that the testimony of one witness can be enough to support a conviction, noting that it is typically the province of the jury to determine a witness's credibility (see *People v Arroyo*, 54 NY2d 567, 578 [1982]).

Indeed, although a conviction may not stand merely because “some evidence” exists “to sustain the charge,” whether guilt has been established beyond a reasonable doubt is a jury issue “in most cases, where there is a conflict as to the facts, or the proof is open to opposing inferences” (*People v Ledwon*, 153 NY 10, 17, 18 [1897]). Nevertheless, this Court may in rare instances reverse a conviction on the ground that the evidence failed as a matter of law to establish guilt based on an eyewitness identification beyond a reasonable doubt, but only when “hopeless contradictions” by the sole prosecution witness make his or her testimony incredible or unreliable as a matter of law (*People v Foster*, 64 NY2d 1144, 1147 [1985] [citation omitted]). That in no way happened here.

Incredibility as a matter of law may result “[w]hen all of the evidence of guilt comes from a single prosecution witness who gives irreconcilable testimony pointing both to guilt and innocence,” because in that event “the jury is left without basis, other than impermissible speculation, for its determination of either” (*People v Jackson*, 65 NY2d 265, 272 [1985] [citation omitted]; see also *People v Fratello*, 92 NY2d 565, 573 [1998]). Thus in *Ledwon*, we determined that the evidence was legally insufficient to establish that the defendants had committed murder when the 12-year-old eyewitness testified, in turn, that he had witnessed the deceased commit suicide; that he had witnessed the defendants kill the deceased; and that he had witnessed the deceased commit suicide after all. In those circumstances, there was simply no way—based on the evidence, as opposed to on rampant speculation—that the jury could rationally determine beyond a reasonable doubt that one of the contradictory accounts was true and the other, false.

Here, by contrast, the victim never wavered in her testimony. She identified defendant on two occasions as the man who robbed her and was certain about the identification, stating

1. Our review is necessarily limited to the evidence presented to the jury at the second trial. As such, neither facts presented at nor issues relevant to the first trial, such as the alibi defense or the prosecutorial misconduct, nor the inadmissible results of lie detector tests, may be considered by this Court, as urged by the dissent.

that she “got a good look” and “absolutely” saw the perpetrator long enough to remember what he looked like.² The jury reasonably concluded that the victim’s testimony was both credible and reliable. In addition, there was evidence adduced that, when brought to the precinct to await the lineup, defendant asked, “Did she really pick me out?” Although defendant claimed that he had heard the police mention that the complainant was a woman, the police denied that they had ever told this to defendant or mentioned it in his presence. Viewing the evidence in the light most favorable to the prosecution, as we must, it was rational for the jury to determine beyond a reasonable doubt that defendant committed the crimes charged.

Although the dissent purports to determine, as a matter of law, that the evidence was legally insufficient to support the verdict—an inquiry well within our province—it is apparent that the concerns of our dissenting colleagues in fact reflect their belief that the jury got it wrong. But we are a court of law, with no power of factual review. Although the Appellate Division is empowered to reverse a conviction because, in its view, the verdict is against the weight of the evidence (*see* CPL 470.15 [5]; *People v Bleakley*, 69 NY2d 490, 495-496 [1987]), we are not (*see* *People v Leonti*, 18 NY2d 384, 390 [1966]; *People v Eisenberg*, 22 NY2d 99, 101 [1968]; Karger, Powers of the New York Court of Appeals § 135, at 773 [3d ed]). Here, the eyewitness, a religious school teacher, testified under oath—without contradiction—that she was able to see the perpetrator’s face, albeit briefly, and that she was certain that defendant was the man who had robbed her at gunpoint. Although the dissent doubts her credibility, 12 jurors did not. Since the jury’s determination was rational, its verdict may not be disturbed.

We note that, although defendant sought to raise the issue on appeal, he did not attempt at trial to introduce expert testimony regarding certain psychological theories affecting the reliability of eyewitness identification. Had defendant offered such proof, the trial court in its discretion could have determined whether it would have been helpful to the jury in assessing the reliability of the victim’s identification testimony (*see* *People v Lee*, 96 NY2d 157, 162 [2001]).

2. Although the dissent states that the victim originally described defendant as a man “of slight build” (dissenting op at 85), the victim initially described defendant as a 25-year-old white male with black hair, 5 feet, 10 inches tall. She later expanded the description to reflect that defendant was of thin-to-medium build with no facial hair.

Accordingly, the order of the Appellate Division should be affirmed.

ROSENBLATT, J. (concurring). This is a troublesome case in which the proof of guilt is thin and the evidence somewhat contradictory. But I cannot agree that the conviction must be reversed. For the Court to reverse we would have to create a new rule by which a very brief encounter—resulting in an unwavering eyewitness identification—is declared insufficient as a matter of law. That would not be a good idea. Most of us know of the weaknesses in one-on-one confrontations. Some are trustworthy, others not. It comes down to a jury question, and perhaps the Appellate Division’s interest of justice powers.

From this distance, it is almost impossible for us to weigh proof a jury has seen and heard. Further, I think it is unwise for a law court to reverse convictions based on our belief—contrary to the jury’s—that there may be a reasonable doubt of defendant’s guilt. I would urge the District Attorney to undertake a fresh and unbiased review of the case and investigate fully all the evidence, including proof not part of the record before us.

I recognize that in the Appellate Division and in our Court the District Attorney has argued to uphold the conviction. That’s understandable, given the jury’s verdict and the prosecution’s natural unwillingness to undermine it. But this is a particularly disquieting case, one that calls for a new and fastidious layer of review. If on further investigation the District Attorney shares these concerns, he has the power and, I am confident, the motivation, to take whatever steps are appropriate to do justice.

G.B. SMITH, J. (dissenting). The totality of the evidence was legally insufficient to prove the identity of the defendant. Indeed, the evidence in this case raises a serious question of whether an innocent man has been convicted.*

The case before us is here after a second trial. After the first trial, this Court reversed the conviction because of prosecutorial misconduct (94 NY2d 519 [2000]). In our prior opinion, we stated the facts:

* Although defendant received a 20-year sentence after his first trial, he refused after reversal to plead guilty in exchange for time served. While evidence of the results of a lie detector examination is inadmissible as evidence in a court of law, it is undisputed that the defendant passed two lie detector tests.

“Complainant, Diane Chappelle, is the wife of the pastor of the International Baptist Church in Brooklyn, New York, and a teacher at the International Christian School, located within the church. In the early evening on April 8, 1996, complainant walked to school to prepare for class the following day. After finding her classroom in complete disarray, complainant encountered a gunman standing in the hallway approximately three feet away as she was exiting the room. She screamed, backing into the classroom with her hands up and observing the gunman for approximately 5 to 10 seconds before closing her eyes as instructed. The gunman further rummaged through the classroom looking for money and stole complainant’s wedding ring. He then tied complainant’s hands and feet with a cord while searching the church for money. When complainant was certain that the gunman had fled, she freed herself, ran home and called the police” (94 NY2d at 521).

The complainant gave substantially the same testimony at the second trial. She testified that she observed defendant for more than a glimpse. She also described herself as “upset” and “disoriented.” She identified defendant as the perpetrator and testified that she picked him out of a lineup.

After the second trial, defendant was convicted of robbery in the first degree and burglary in the second degree. That conviction was affirmed by the Appellate Division.

There are several reasons why the conviction in this case should not be upheld. First, the only issue in this case, as it was in the first, was identification. The complaining witness observed the defendant only for a matter of seconds before she was told not to look at him. The complaining witness was “upset” and “disoriented” by the encounter. Her original description of the perpetrator was that he was of slight build. The defendant in this case weighed 215 pounds and was 5 feet, 7 inches tall and such a person is not of slight build. It is true, as the majority emphasizes, that the complaining witness was, judging from the record, a perfectly honest woman and a “religious school teacher.” (Majority op at 83.) It is even possible that she is one of those rare people who, having glimpsed a stranger for seconds in the midst of a terrible emotional trauma, could reliably identify that stranger months later—but the rec-

ord does not support a finding beyond a reasonable doubt that she did so here.

Second, apart from the complaining witness's unreliable identification, no evidence of substance connects defendant to the crime. While there is some indication that the defendant was apprehended because he lived in the area, the evidence was that the defendant actually lived 1.2 miles away in a densely populated area of Brooklyn. The majority (at 83) relies on defendant's question, "Did she really pick me out?," asked at a time when, the police testimony indicates, no one had told him the victim was a woman. But the same testimony indicates that no one had told him he was "picked out of photos." Either he was guessing about the photos, in which case, why not also about the sex of the victim, or someone had told him more than the testimony discloses.

Third, a fingerprint and a palm print from a cabinet admittedly handled by the perpetrator did not match defendant's.

The majority correctly states the applicable legal test: whether a rational trier of fact could have found, beyond a reasonable doubt, that defendant committed this crime. The test is not met. A rational person might believe that defendant is possibly or probably guilty, but it is irrational to say, on this record, that all reasonable doubt of his guilt has been eliminated. It is true that we have upheld convictions in the past based on the identification testimony of a single eyewitness, but in none of those cases was there as little reason as there is here to believe that the identification was correct.

Apart from the weakness of the evidence against defendant, there are other troubling aspects of this case. The defendant testified in the first trial that he was at home eating dinner with his parents at the time of the robbery. In the second trial, there was no alibi defense. The record indicates that the defendant's father was suffering from heart problems and that his mother was suffering from a physical disease and depression. While the parents could have testified at the first trial and did not, neither was available to testify at the second trial.

As noted above, the conviction in the first trial was reversed by this Court because of the actions of the prosecutor. Those actions prejudiced defendant because he was unable to mount an adequate alibi defense in his second trial.

Thus, the conviction should be reversed.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO and READ concur with Judge CIPARICK; Judge ROSENBLATT concurs in a separate concurring opinion; Judge G.B. SMITH dissents and votes to reverse in another opinion in which Judge R.S. SMITH concurs.

Order affirmed.

[817 NE2d 341, 783 NYS2d 485]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v STEPHEN S. LAVALLE, Appellant.

Argued April 26, 2004; decided June 24, 2004

SUMMARY

APPEAL, pursuant to NY Constitution, article VI, § 3 (b) and CPL 450.70 (1), from a judgment of the Supreme Court, Suffolk County (Michael F. Mullen, J.; *see* 181 Misc 2d 916; 97 NY2d 721), rendered September 13, 1999. The judgment convicted defendant, upon a jury verdict, of murder in the first degree and sentenced defendant, upon a penalty phase jury determination, to death.

HEADNOTES

Crimes — Jurors — Selection of Jury — Capital Murder Trial — Ability to Serve Impartially

1. In a capital murder prosecution, the trial court properly denied defendant's challenge for cause of a prospective juror who initially thought defendant was guilty, and whose answers during voir dire were allegedly different from those on his written questionnaire. When asked to respond to answers from his questionnaire, the potential juror gave answers evidencing impartiality. He unequivocally indicated that he would follow the court's instruction not to give police testimony more weight than that of other witnesses, and stated that the fact that he, like the deceased, was a runner would not affect him. Moreover, the potential juror assured the trial court of his ability to be impartial, that he would base his decision on the evidence presented at trial, that he would consider whatever mitigation was required by law, and that he had no preconceived notion of how defendant should be punished.

Crimes — Right to Representation Pro Se — Capital Murder Trial

2. In a capital murder prosecution where the lead counsel had a total breakdown in his relationship with defendant on the eve of trial, the trial court did not err in permitting defendant's lead counsel to withdraw, elevating the existing associate counsel to lead counsel, and appointing a new associate counsel rather than allowing defendant to proceed pro se. Defendant's request to represent himself was not clearly and unequivocally presented. Initially, defendant made the conditional statement that if the court forced him to go along with the strategy of his attorneys, he would ask to represent himself, but he did not assertively state that he wanted to represent himself. He then stated that he saw self-representation as his last option, though he did not want to represent himself because he did not know anything about the law. When he mentioned self-representation for the last time, he again couched it as a hypothetical, adding the request for new lawyers as an alternative. His statements did not reflect a definitive commitment to self-representation. Rather, he raised the specter of self-representation as a means of procuring the lead counsel's dismissal.

Crimes — Disclosure — Failure to Disclose Exculpatory Material

3. In a capital murder prosecution, statements from two witnesses who drank alcohol and took drugs with defendant the night before the murder,

while containing some measure of favorable evidence, were not *Brady* material that the People were obligated to provide to defendant. The People submitted the statements to the trial court, which decided that the prosecution had satisfied its *Brady* obligation. The evidence was not suppressed by the prosecution, because defendant knew or should have known that he drank alcohol and took drugs with the witnesses, whose names and addresses he knew. Moreover, defense counsel, in an affirmation seeking the statements, admitted that the defense believed that the statements dealt with use of alcohol and drugs the night before the murder. Possession of the statements would not have revealed any essential information that the defense did not already know.

Crimes — Fair Trial — Testimony of Victim’s Spouse

4. In a capital murder prosecution, testimony by the victim’s husband during the guilt phase of the trial was not an improper victim-impact statement constituting reversible error. Much of the testimony was material to the issues before the jury and properly admitted because it explained the sequence of events, from his discovery that his wife was missing to learning that his wife’s body had been found later in the day. While there was testimony that was irrelevant to the sequence of events, such as that the victim had a Master’s degree, such testimony was minimal and harmless where the proof was overwhelming and there was no significant probability that, but for this error, the jury would have acquitted defendant.

Crimes — Appeal — Preservation of Issue for Review — Prosecutor’s Guilt Phase Summation in Capital Murder Trial

5. Defendant’s motion for a mistrial after the prosecutor’s summation at the end of the guilt phase of defendant’s capital murder trial was insufficient to preserve the arguments defendant made on appeal regarding the alleged improprieties committed by the prosecutor during the summation. The alleged improprieties included inviting jurors to relive the victim’s suffering by expressing that words could not describe what she must have experienced; referring to the good fortune of another victim who survived her encounter with defendant and the murder victim’s cruel fate; lamenting the pain of those the victim left behind; degrading defendant by characterizing him as a killer whale; arguing that defendant received the benefit of due process while the victim did not; and urging the community to avenge, and thereby heal. Although several of the prosecutor’s remarks were improper, reversal would not be warranted even if defendant had properly preserved his claims.

Crimes — Capital Murder — Deadlock Instruction Unconstitutional under State Constitution

6. The deadlock instruction required by CPL 400.27 (10) in a capital murder case, pursuant to which a judge must tell jurors that if they fail to unanimously agree upon a sentence of either death or life without parole, the judge would sentence the defendant to life imprisonment with parole eligibility after serving a minimum of 20 to 25 years, is unconstitutional under the Due Process Clause of the State Constitution (NY Const, art I, § 6). The instruction has an unacceptable risk that it may result in a coercive, and thus arbitrary and unreliable, sentence. Whether a juror chooses death or life without the possibility of parole, the choice is driven by the fear that a deadlock may result in the eventual release of the defendant, and does not satisfy the heightened standard of reliability required by the State Constitution. Moreover, future dangerousness is not a statutory aggravator that the jury may consider. Accordingly, the appropriate remedy was to vacate the sentence and remit the

case to Supreme Court for resentencing in accordance with CPL 470.30 (5) (c) and Penal Law §§ 60.06 and 70.00.

Crimes — Capital Murder — Deadlock Instruction Unconstitutional under State Constitution — Effect on Pending Capital Murder Prosecutions

7. The death penalty may not be imposed under the present capital murder statute, which contains in CPL 400.27 (10) an unconstitutional deadlock instruction pursuant to which a judge must tell jurors that if they fail to unanimously agree upon a sentence of either death or life without parole, the judge would sentence the defendant to life imprisonment with parole eligibility after serving a minimum of 20 to 25 years. A jury instruction on the consequences of deadlock is required in a capital case, but a new instruction cannot be crafted by the Court, because to do so would usurp legislative prerogative. Cases in which death notices have been filed may go forward as noncapital first degree murder prosecutions.

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AM JUR 2d, Appellate Review §§ 226, 614; AM JUR 2d, Criminal Law §§ 1242, 1246; AM JUR 2d, Depositions and Discovery § 280; AM JUR 2d, Homicide §§ 476, 480, 481, 549, 550; AM JUR 2d, Jury §§ 228, 229, 264–267.
 CARMODY-WAIT 2d, Criminal Procedure §§ 172:1753, 172:1759, 172:2288, 172:2290, 172:2888, 172:2898, 172:4066, 172:4068, 172:4470, 172:4480, 172:4490.
 LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.4, 20.3, 24.8, 27.5.
 MCKINNEY'S, CPL 400.27 (10); NY Const, art I, § 6.
 NY JUR 2d, Constitutional Law §§ 395, 397; NY JUR 2d, Criminal Law §§ 793, 798, 1560, 1562, 2265, 2277, 2282, 2522, 2686, 2688, 2690, 3170, 3173, 3286, 3290.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorney or Assistance of Attorney; Capital Offenses and Punishment; Challenges to Jury; Disclosure; Evidence Rules; Hung Jury; Instructions to Jury; Pro Se.

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POINTS OF COUNSEL

Kevin M. Doyle, Capital Defender, New York City (Daniel R. Williams, Christopher Seeds and Holly Handler of counsel), for appellant. I. Doomed from the start, the trial took place in a

venue polluted by intense, localized publicity that prejudged Stephen LaValle's guilt and endorsed his execution. (*Irvin v Dowd*, 366 US 717; *People v Boss*, 261 AD2d 1; *Coleman v Kemp*, 778 F2d 1487; *People v Boudin*, 90 AD2d 253; *People v Acomb*, 94 AD2d 978; *United States v McVeigh*, 918 F Supp 1452; *Pamplin v Mason*, 364 F2d 1; *Groppi v Wisconsin*, 400 US 505; *Murphy v Florida*, 421 US 794; *People v Brensic*, 136 AD2d 169.) II. Jurors who believed Stephen LaValle guilty, felt allied with the victim, or could not consider a life sentence should have been excused for cause. (*Morgan v Illinois*, 504 US 719; *People v Culhane*, 33 NY2d 90; *People v Arnold*, 96 NY2d 358; *People v Johnson*, 94 NY2d 600; *People v Torpey*, 63 NY2d 361; *People v Chambers*, 97 NY2d 417; *People v Thigpen*, 277 AD2d 261; *People v White*, 275 AD2d 913; *Skipper v South Carolina*, 476 US 1; *Eddings v Oklahoma*, 455 US 104.) III. Despite the prosecution's skewed peremptory strikes against women, the trial court rejected the defense's demand for gender-neutral explanations. (*Batson v Kentucky*, 476 US 79; *J.E.B. v Alabama ex rel. T.B.*, 511 US 127; *People v Allen*, 86 NY2d 101; *People v Bolling*, 79 NY2d 317; *People v Jenkins*, 75 NY2d 550; *Overton v Newton*, 295 F3d 270; *United States v Alvarado*, 923 F2d 253; *United States v Chinchilla*, 874 F2d 695; *People v Blunt*, 162 AD2d 86; *People v Childress*, 81 NY2d 263.) IV. With the trial court's blessing, the prosecution withheld witness statements that discredited the core theory of its case. (*Brady v Maryland*, 373 US 83; *Boss v Pierce*, 263 F3d 734; *Leka v Fortunondo*, 257 F3d 89; *United States v Severdija*, 790 F2d 1556; *United States ex rel. Thompson v Dye*, 221 F2d 763; *People v Cotto*, 28 AD2d 1116; *People v Morgan*, 178 Misc 2d 595; *United States v Bagley*, 473 US 667; *People v Vilardi*, 76 NY2d 67; *Strickler v Greene*, 527 US 263.) V. The prosecution argued falsely that no evidence existed that drugs or alcohol played a role in this crime. (*Miller v Pate*, 386 US 1; *Napue v Illinois*, 360 US 264; *People v Whalen*, 59 NY2d 273; *People v Paperno*, 54 NY2d 294; *People v Cotton*, 242 AD2d 638; *People v Negron*, 161 AD2d 537; *Brown v Borg*, 951 F2d 1011; *United States v Valentine*, 820 F2d 565; *Paxton v Ward*, 199 F3d 1197; *Jenkins v Artuz*, 294 F3d 284.) VI. The trial court erred when it refused to charge extreme emotional disturbance. (*People v Harris*, 95 NY2d 316; *People v Moye*, 66 NY2d 887; *People v Cassassa*, 49 NY2d 668; *Patterson v New York*, 432 US 197; *People v Butts*, 72 NY2d 746; *People v White*, 79 NY2d 900; *People v Martinez*, 186 AD2d 153; *People v Roche*, 98 NY2d 70; *People v Tabarez*, 69 NY2d 663; *People v Roldan*, 222 AD2d 132.) VII. The trial court partially and misleadingly

responded to a jury note asking whether state of mind was relevant to intent. (*People v Malloy*, 55 NY2d 296; *People v Almodovar*, 62 NY2d 126; *People v Gonzalez*, 293 NY 259; *People v Miller*, 6 NY2d 152; *People v Gezzo*, 307 NY 385; *People v Flynn*, 290 NY 220; *People v Panetta*, 250 AD2d 710; *Sandstrom v Montana*, 442 US 510; *People v Smalls*, 55 NY2d 407.) VIII. The jury should have been allowed to consider depraved indifference murder as a lesser included offense of first degree murder. (*People v Glover*, 57 NY2d 61; *People v Green*, 56 NY2d 427; *People v Sullivan*, 68 NY2d 495; *People v Register*, 60 NY2d 270; *People v Roe*, 74 NY2d 20; *People v Gallagher*, 69 NY2d 525; *People v Sanchez*, 98 NY2d 373; *People v Shuman*, 37 NY2d 302; *People v Mussenden*, 308 NY 558; *People v Asan*, 22 NY2d 526.) IX. Declaring the request was “absolutely insane” and “absolutely disastrous” and that it could not “in good conscience” allow it, the trial court erroneously rejected Stephen LaValle’s request to represent himself. (*Faretta v California*, 422 US 806; *People v McIntyre*, 36 NY2d 10; *United States v Walker*, 142 F3d 103; *People v Smith*, 92 NY2d 516; *People v Arroyo*, 98 NY2d 101; *People v Davis*, 49 NY2d 114; *Williams v Bartlett*, 44 F3d 95; *United States v Hernandez*, 203 F3d 614; *Hacker v Herbert*, 825 F Supp 1143; *Wiesner v Abrams*, 726 F Supp 912, 909 F2d 1473.) X. Through improper joinder, the prosecution transformed the robbery charge into a story of a failed murder, thus enhancing its theme that Stephen LaValle was a predator in search of a victim. (*People v Robinson*, 68 NY2d 541; *People v Ely*, 68 NY2d 520; *People v Lane*, 56 NY2d 1; *People v Bongarzzone*, 116 AD2d 164, 69 NY2d 892; *People v Hudy*, 73 NY2d 40; *Carmell v Texas*, 529 US 513; *People v Cronin*, 60 NY2d 430; *People v McKinney*, 24 NY2d 180; *People v Ventimiglia*, 52 NY2d 350; *People v Mleczko*, 298 NY 153.) XI. Victim-impact evidence took center stage in the prosecution’s courtroom presentation. (*People v Harris*, 98 NY2d 452; *People v Miller*, 6 NY2d 152; *People v Caruso*, 246 NY 437; *People v Primo*, 96 NY2d 351; *People v Walters*, 251 AD2d 433; *People v Monaco*, 57 NY2d 645; *People v Robinson*, 260 AD2d 508; *People v Rivera*, 74 AD2d 857; *People v Freytes*, 48 AD2d 807; *Chapman v California*, 386 US 18.) XII. The trial court inadequately inquired into the possible tainting of a sworn juror. (*People v Buford*, 69 NY2d 290; *People v Rodriguez*, 71 NY2d 214; *People v Pineda*, 269 AD2d 610, 95 NY2d 802.) XIII. The trial court allowed important testimony in Stephen LaValle’s absence and then misled the jury to believe that LaValle chose to be absent. (*Kentucky v Stincer*, 482 US 730; *People v Turaine*, 78 NY2d 871; *People v*

Epps, 37 NY2d 343; *People v Morales*, 80 NY2d 450; *Clark v Stinson*, 214 F3d 315; *Johnson v Zerbst*, 304 US 458; *Illinois v Allen*, 397 US 337; *People v Antommarchi*, 80 NY2d 247; *Hopt v People*, 110 US 574; *Comer v Stewart*, 215 F3d 910, 499 US 943.) XIV. The prosecution summations derailed jurors from evaluating the issues rationally. (*Gardner v Florida*, 430 US 349; *People v Moss*, 215 AD2d 594; *People v Paperno*, 54 NY2d 294; *People v Lombardi*, 20 NY2d 266; *People v Robinson*, 123 AD2d 796; *People v Fogarty*, 86 AD2d 617; *People v Grice*, 100 AD2d 419; *People v Harris*, 98 NY2d 452; *People v Miller*, 6 NY2d 152; *People v Caruso*, 246 NY 437.) XV. Given the potential for spillover prejudice from the guilt phase presentation, the court should have empaneled a new sentencing jury. (*People v Lane*, 56 NY2d 1.) XVI. New York State's obligation to ensure reliable capital sentencing overrides defendant's waiver of mitigating evidence. (*Gardner v Florida*, 430 US 349; *People v Harris*, 98 NY2d 452; *Cancemi v People*, 18 NY 128; *People v Allen*, 86 NY2d 599; *United States v Mezzanatto*, 513 US 196; *People v Smith*, 63 NY2d 41; *People v Agron*, 10 NY2d 130; *Sharrow v Dick Corp.*, 86 NY2d 54; *People v Ahmed*, 66 NY2d 307; *People v Kern*, 75 NY2d 638.) XVII. The trial court refused to order a competency examination and hearing, even though defense counsel gave reasons to doubt Stephen LaValle's competency to waive mitigation. (*Drope v Missouri*, 420 US 162; *People v Tortorici*, 92 NY2d 757; *People v Christopher*, 65 NY2d 417; *Godinez v Moran*, 509 US 389; *Dusky v United States*, 362 US 402; *Rees v Peyton*, 384 US 312; *People v Cronin*, 60 NY2d 430; *Martinez v Court of Appeal of Cal.*, 528 US 152; *Faretta v California*, 422 US 806; *Miller ex rel. Jones v Stewart*, 231 F3d 1248.) XVIII. Overlooking Stephen LaValle's faulty understanding of the penalty phase and defense counsel's incomplete mitigation investigation, the trial court allowed LaValle to abandon a penalty phase defense after an inadequate colloquy. (*People v Christopher*, 65 NY2d 417; *Matter of Storar v Dillon*, 52 NY2d 363; *Battenfield v Gibson*, 236 F3d 1215; *Johnson v Zerbst*, 304 US 458; *Colorado v Spring*, 479 US 564; *Godinez v Moran*, 509 US 389; *Von Moltke v Gillies*, 332 US 708; *Wilkins v Bowersox*, 145 F3d 1006; *Patterson v Illinois*, 487 US 285; *People v Mattison*, 67 NY2d 462.) XIX. The trial court should have shared with the sentencing jury documents stating that Stephen LaValle binged on crack-cocaine and beer before the crime, and other documents showing childhood trauma and mental impairment. (*Hitchcock v Dugger*, 481 US 393; *Skipper v South Carolina*, 476 US 1; *Eddings v Oklahoma*, 455 US 104; *Lockett v*

Ohio, 438 US 586.) XX. Crippling the adversarial process, the trial court refused to give the defense adequate time to prepare for the penalty phase after lead counsel withdrew from the case. (*Gardner v Florida*, 430 US 349; *People v Rivera*, 71 NY2d 705; *Ungar v Sarafite*, 376 US 575; *People v Spears*, 64 NY2d 698; *People v Foy*, 32 NY2d 473; *People v McLaughlin*, 291 NY 480; *People v Gonzalez*, 43 AD2d 914; *People v Arthur*, 175 Misc 2d 742; *Moore v United States*, 432 F2d 730; *McFarland v Scott*, 512 US 1256.) XXI. The trial court's penalty phase charge prejudicially downplayed the most significant feature of capital sentencing—moral reasoning—and instead directed jurors to consider impermissible factors. (*Penry v Lynaugh*, 492 US 302; *Tuilaepa v California*, 512 US 967; *Romano v Oklahoma*, 512 US 1; *People v Esposito*, 224 NY 370; *Caldwell v Mississippi*, 472 US 320; *Mills v Maryland*, 486 US 367; *Lowenfield v Phelps*, 484 US 231; *Blystone v Pennsylvania*, 494 US 299; *Zant v Stephens*, 462 US 862; *Ford v Strickland*, 696 F2d 804.) XXII. By requiring trial courts to tell jurors that the convicted defendant could be paroled in as little as 20 years, our capital statute exploits jurors' fears to coerce unanimity. (*Lowenfield v Phelps*, 484 US 231; *Morris v Woodford*, 273 F3d 826; *Brown v Texas*, 522 US 940; *Simmons v South Carolina*, 512 US 154; *Mills v Maryland*, 486 US 367; *Penry v Lynaugh*, 492 US 302; *Roberts v Louisiana*, 428 US 325; *People v Pagan*, 45 NY2d 725; *Godfrey v Georgia*, 446 US 420; *Beck v Alabama*, 447 US 625.) XXIII. New York's death penalty is unconstitutional because the death penalty process cannot reliably produce the accurate sentencing results that morality demands. (*Gregg v Georgia*, 428 US 153.) XXIV. The death sentence must be vacated under this Court's holding in *Matter of Hynes v Tomei* (92 NY2d 613 [1998]). (*People v Harris*, 98 NY2d 452; *United States v Jackson*, 390 US 570; *Atkinson v North Carolina*, 403 US 948; *Roseboro v North Carolina*, 403 US 948; *Sanders v North Carolina*, 403 US 948; *Williams v North Carolina*, 403 US 948.)

Thomas J. Spota, District Attorney, Riverhead (Michael J. Miller, Kerry Bassett and Anne E. Oh of counsel), for respondent. I. The New York State death penalty does not violate either the State or Federal Constitution. (*People v Harris*, 98 NY2d 452; *People v Cahill*, 2 NY3d 14; *Gregg v Georgia*, 428 US 153; *Woodson v North Carolina*, 428 US 280; *Murray v Giarra-tano*, 492 US 1; *Furman v Georgia*, 408 US 238; *Jurek v Texas*, 428 US 262; *Lockett v Ohio*, 438 US 586; *People v Hale*, 173 Misc 2d 140; *People v Broadie*, 37 NY2d 100.) II. This Court's holding in *Matter of Hynes v Tomei* (92 NY2d 613 [1998]) is not

controlling in this case. (*United States v Jackson*, 390 US 570; *People v Harris*, 98 NY2d 452; *People v Hale*, 173 Misc 2d 140; *Gregg v Georgia*, 428 US 153; *Ring v Arizona*, 536 US 584; *Lowenfield v Phelps*, 484 US 231; *Matter of Francois v Dolan*, 95 NY2d 33.) III. Venue was proper in Suffolk County. (*People v DiPiazza*, 24 NY2d 342; *Murphy v Florida*, 421 US 794; *Dobbert v Florida*, 432 US 282; *People v Berry*, 235 AD2d 571; *Irvin v Dowd*, 366 US 717; *People v Boudin*, 90 AD2d 253; *Rideau v Louisiana*, 373 US 723; *People v Acomb*, 94 AD2d 978; *Coleman v Kemp*, 778 F2d 1487; *People v Brockway*, 255 AD2d 988.) IV. Cause challenges to five prospective jurors were properly denied. (*Ross v Oklahoma*, 487 US 81; *Witherspoon v Illinois*, 391 US 510; *People v Harris*, 98 NY2d 452; *People v McQuade*, 110 NY 284; *People v Torpey*, 63 NY2d 361; *People v Johnson*, 94 NY2d 600; *People v Williams*, 63 NY2d 882; *People v Arnold*, 96 NY2d 358; *People v Blyden*, 55 NY2d 73; *People v Baskett*, 250 AD2d 774.) V. Defendant did not establish a prima facie *Batson* violation. (*Batson v Kentucky*, 476 US 79; *People v Bolling*, 79 NY2d 317; *People v Jenkins*, 84 NY2d 1001; *People v Childress*, 81 NY2d 263; *People v Narvaez*, 298 AD2d 603; *People v Morla*, 245 AD2d 468; *People v Brown*, 97 NY2d 500; *People v Truesdale*, 299 AD2d 289; *People v Remelt*, 269 AD2d 815.) VI. There is overwhelming proof of defendant's guilt and any trial or evidentiary error is harmless. (*People v Colavito*, 70 NY2d 996; *People v Bynum*, 70 NY2d 858; *People v Contes*, 60 NY2d 620; *Jackson v Virginia*, 443 US 307; *Chapman v California*, 386 US 18; *People v Crimmins*, 36 NY2d 230.) VII. Neither the Doe nor Roe statements constitute *Brady* material. (*Brady v Maryland*, 373 US 83; *United States v Bagley*, 473 US 667; *United States v Severdija*, 790 F2d 1556; *People v Steadman*, 82 NY2d 1; *People v Baxley*, 84 NY2d 208; *People v Bryce*, 88 NY2d 124; *People v Cotto*, 28 AD2d 1116; *United States v Stewart*, 513 F2d 957; *People v Doshi*, 93 NY2d 499; *United States v LeRoy*, 687 F2d 610.) VIII. The prosecutor's argument that defendant was not animated by the use of drugs or alcohol was not false and did not mislead the jury. (*People v Marks*, 6 NY2d 67; *People v Estrella*, 156 AD2d 710; *People v Halm*, 81 NY2d 819; *People v Morgan*, 66 NY2d 255; *People v Galloway*, 54 NY2d 396; *Brady v Maryland*, 373 US 83; *Napue v People of State of Ill.*, 360 US 264; *Miller v Pate*, 386 US 1; *Paxton v Ward*, 199 F3d 1197; *United States v Valentine*, 820 F2d 565.) IX. The trial court properly exercised its discretion when it declined to charge extreme emotional disturbance. (*People v Roche*, 98 NY2d 70; *People v Casassa*, 49 NY2d 668; *People v Patterson*, 39 NY2d

288, 432 US 197; *People v Harris*, 95 NY2d 316; *People v White*, 79 NY2d 900; *People v Moye*, 66 NY2d 887; *People v Walker*, 64 NY2d 741; *People v Wood*, 79 NY2d 958; *People v Butts*, 72 NY2d 746.) X. The trial court responded meaningfully to the jury notes regarding intent. (*People v Collins*, 99 NY2d 14; *People v Patterson*, 39 NY2d 288; *People v Gray*, 86 NY2d 10; *People v Davis*, 259 AD2d 706; *People v Malloy*, 55 NY2d 296; *People v Almodovar*, 62 NY2d 126; *People v Gonzalez*, 293 NY 259; *People v Steinberg*, 170 AD2d 50, 79 NY2d 673; *People v Cooke*, 292 NY 185.) XI. The trial court properly denied defendant's request to instruct the jury on depraved indifference murder as a lesser included offense of first degree murder. (*People v Green*, 56 NY2d 427; *People v Glover*, 57 NY2d 61; *People v Hafeez*, 100 NY2d 253; *People v Mussenden*, 308 NY 558; *People v Scarborough*, 49 NY2d 364; *People v Crawford*, 295 AD2d 361; *People v Haims*, 171 AD2d 878; *People v Stokes*, 88 NY2d 618; *Hopkins v Reeves*, 524 US 88; *Keeble v United States*, 412 US 205.) XII. Defendant's right to proceed pro se was not abridged, and the trial court properly denied defense counsel's request for a continuance. (*Faretta v California*, 422 US 806; *People v McIntyre*, 36 NY2d 10; *United States v Plattner*, 330 F2d 271; *People v Davis*, 49 NY2d 114; *Williams v Bartlett*, 44 F3d 95; *Wiesner v Abrams*, 726 F Supp 912; *Hacker v Herbert*, 825 F Supp 1143; *Johnson v Zerbst*, 304 US 458; *People v Carter*, 299 AD2d 418; *People v Rainey*, 240 AD2d 682.) XIII. The charges in Indictment No. 1350-97 were properly joined and any unconceded error was harmless. (*People v Lane*, 56 NY2d 1; *People v Van Duser*, 277 AD2d 1034; *People v Lee*, 275 AD2d 995; *People v Molineux*, 168 NY 264; *People v Ventimiglia*, 52 NY2d 350; *People v Robinson*, 68 NY2d 541; *People v Ely*, 68 NY2d 520; *People v Bongarzzone*, 116 AD2d 164; *People v Castillo*, 47 NY2d 270; *People v Harris*, 304 AD2d 355.) XIV. There is no merit to the argument that victim-impact evidence was central to the prosecution's case. (*People v Harris*, 98 NY2d 452; *People v Miller*, 6 NY2d 152; *People v Caruso*, 246 NY 437; *People v Scarola*, 71 NY2d 769; *People v Alvino*, 71 NY2d 233; *People v Lewis*, 69 NY2d 321; *People v Jackson*, 173 AD2d 292; *Payne v Tennessee*, 501 US 808.) XV. The trial court properly inquired into a juror's knowledge about a person mentioned during a witness' testimony. (*People v Buford*, 69 NY2d 290; *People v Telehany*, 302 AD2d 927; *People v Whyte*, 282 AD2d 629; *People v Cook*, 275 AD2d 1020; *People v Brace*, 259 AD2d 782; *People v Larrabee*, 201 AD2d 924.) XVI. Defendant knowingly and voluntarily chose to be absent during the Medical Examiner's testimony. (*People v*

Epps, 37 NY2d 343; *Johnson v Zerbst*, 304 US 458; *People v Parker*, 57 NY2d 136; *Snyder v Massachusetts*, 291 US 97.) XVII. The prosecutor's summations properly addressed the material issues raised in both the guilt and sentencing phases of trial (*People v Tardbania*, 72 NY2d 852; *People v Nuccie*, 57 NY2d 818; *People v Woods*, 296 AD2d 430; *People v Medina*, 53 NY2d 951; *People v Youngblood*, 261 AD2d 960; *People v Rodriguez*, 135 AD2d 586; *People v Jenkins*, 302 AD2d 978; *People v Bruen*, 136 AD2d 648; *People v Bierenbaum*, 301 AD2d 119; *People v Duvall*, 260 AD2d 183.) XVIII. The trial court was correct when it denied defendant's request to discharge the jury between the guilt and penalty phases of the trial. (*Barclay v Florida*, 463 US 939; *California v Ramos*, 463 US 992; *Darden v Wainwright*, 477 US 168; *People v Harris*, 176 Misc 2d 967; *Lockhart v McCree*, 476 US 162; *Romano v Oklahoma*, 512 US 1.) XIX. The trial court correctly held that defendant could waive the presentation of mitigation evidence. (*People v Finnegan*, 85 NY2d 53; *People v Hedgeman*, 70 NY2d 533; *Gregg v Georgia*, 428 US 153; *United States v Davis*, 285 F3d 378; *Cancemi v People*, 18 NY 128; *People v Brokenshire*, 197 AD2d 921; *People v Ali*, 196 AD2d 544; *People v Barker*, 183 AD2d 835; *People v Bello*, 82 NY2d 862; *People v White*, 73 NY2d 468.) XX. The trial court properly determined that defendant was competent to waive mitigation and neither an examination nor hearing was necessary. (*Drope v Missouri*, 420 US 162; *People v Tortorici*, 92 NY2d 757; *People v Gelikkaya*, 84 NY2d 456; *People v Armlin*, 37 NY2d 167; *People v Morgan*, 87 NY2d 878; *People v Russell*, 74 NY2d 901; *Godinez v Moran*, 509 US 389; *Rees v Peyton*, 384 US 312; *Dusky v United States*, 362 US 402; *People v Francabandera*, 33 NY2d 429.) XXI. The trial court correctly found that defendant knowingly, voluntarily and intelligently waived his right to present mitigation evidence. (*Faretta v California*, 422 US 806; *Von Moltke v Gillies*, 332 US 708; *Battenfield v Gibson*, 236 F3d 1215; *Chandler v Greene*, 145 F3d 1323; *Coleman v Mitchell*, 268 F3d 417; *Wilkins v Bowersox*, 145 F3d 1006.) XXII. There is no mechanism for the trial court to share information with the jury. XXIII. The penalty phase jury charge was correct. (*People v Whalen*, 59 NY2d 273; *People v Fields*, 87 NY2d 821; *People v Slacks*, 90 NY2d 850; *People v Coleman*, 70 NY2d 817; *Jones v United States*, 527 US 373; *Bryan v United States*, 524 US 184; *California v Brown*, 479 US 538; *United States v Park*, 421 US 658; *Cupp v Naughten*, 414 US 141; *Boyd v United States*, 271 US 104.) XXIV. The deadlock instruction of section 400.27 (10) of the Criminal Procedure Law is valid under both federal and

state law. (*People v Harris*, 98 NY2d 452; *People v Acevedo*, 69 NY2d 478; *People v Owens*, 214 AD2d 480; *People v Berg*, 59 NY2d 294; *People v McIntosh*, 178 Misc 2d 427; *Mills v Maryland*, 486 US 367; *Lockett v Ohio*, 438 US 586; *Simmons v South Carolina*, 512 US 154; *Romano v Oklahoma*, 512 US 1; *Buchanan v Angelone*, 522 US 269.)

Eliot Spitzer, Attorney General, New York City (*Luke Martland, Peter B. Pope, Daniel Smirlock and Robin A. Forshaw* of counsel), in his statutory capacity under Executive Law § 71. I. A defendant, who, under the Federal and State Constitutions has a right to determine his own destiny, may waive the presentation of evidence in mitigation, and there is no “independent sovereign interest” that requires that such evidence be presented over defendant’s wishes. (*People v McIntyre*, 36 NY2d 10; *People v Arroyo*, 98 NY2d 101; *Faretta v California*, 422 US 806; *People v Colon*, 90 NY2d 824; *Jones v Barnes*, 463 US 745; *People v Smith*, 68 NY2d 737, 479 US 953; *McKaskle v Wiggins*, 465 US 168; *People v Petrovich*, 87 NY2d 961; *People v Harris*, 98 NY2d 452; *Furman v Georgia*, 408 US 238.) II. CPL 400.27 (10) is constitutional and ensures that jurors are correctly informed of what will occur in the event of deadlock, thereby minimizing juror speculation and arbitrariness. (*Gregg v Georgia*, 428 US 153; *Furman v Georgia*, 408 US 238; *Lockett v Ohio*, 438 US 586; *Woodson v North Carolina*, 428 US 280; *Beck v Alabama*, 447 US 625; *Gardner v Florida*, 430 US 349; *Jurek v Texas*, 428 US 262; *California v Ramos*, 463 US 992; *Ramdass v Angelone*, 530 US 156; *Simmons v South Carolina*, 512 US 154.) III. New York’s death penalty statute is constitutional and defendant’s speculative claims that it might be applied in an arbitrary manner, or that innocent people might be executed, are baseless. (*Gregg v Georgia*, 428 US 153; *People v P.J. Video*, 68 NY2d 296; *People v Scott*, 79 NY2d 474; *People v Broadie*, 37 NY2d 100, 423 US 950; *People ex rel. Kemmler v Durston*, 119 NY 569, 136 US 436; *Furman v Georgia*, 408 US 238; *People v Fitzpatrick*, 32 NY2d 499, 414 US 1033; *People v Davis*, 43 NY2d 17, 435 US 998; *People v Smith*, 63 NY2d 41, 469 US 1227; *Herrera v Collins*, 506 US 390.) IV. Defendant’s Fifth and Sixth Amendment rights were not impermissibly burdened by the first degree murder guilty plea provisions, because those provisions were stricken as unconstitutional prior to the start of defendant’s trial. (*Matter of Hynes v Tomei*, 92 NY2d 613, 527 US 1015; *People v Harris*, 98 NY2d 452; *United States v Jackson*, 390 US 570; *Matter of Francois v Dolan*, 95 NY2d 33; *Boykin v Alabama*, 395 US 238; *Parker v North Carolina*, 397 US 790; *Atkin-*

son v North Carolina, 403 US 948; *Furman v Georgia*, 408 US 238; *Corbitt v New Jersey*, 439 US 212.)

OPINION OF THE COURT

G.B. SMITH, J.

A Suffolk County jury found defendant Stephen S. LaValle guilty of first degree murder in the course of and in furtherance of first degree rape (Penal Law § 125.27 [1] [a] [vii]) and sentenced him to death. His direct appeal comes to us from Supreme Court pursuant to our unique jurisdiction in death penalty cases (NY Const, art VI, § 3 [b]; CPL 450.70 [1]). For the reasons that follow, we uphold the conviction, but vacate the death sentence, and remit for resentencing in accordance with CPL 470.30 (5) (c). In vacating the death sentence, we conclude that the jury deadlock instruction prescribed in CPL 400.27 (10) is unconstitutional under article I, § 6 of the State Constitution. We further conclude that this defect in the existing statute can only be cured by a new deadlock instruction from the Legislature.

I. FACTS

Around 12:30 P.M. on Saturday, May 31, 1997, the body of Cynthia Quinn was found in the woods near Mills Road in Yaphank, a village in Suffolk County. Her neck, chest, back and arms were covered with 73 puncture wounds made with a screwdriver-like instrument. She had been raped. She also had a broken rib, bruises on her arms and abrasions on many parts of her body.

About six hours earlier, she had left her home for her customary morning jog. Several Yaphank residents saw her running along her route. By 7:30 A.M., her husband Brian Quinn grew concerned that she had not returned home and began searching for her. He had expected her to return by 7:00 A.M. because, as a self-employed carpenter, he was scheduled to report to a work site at 7:30 A.M. He also knew that Cynthia, a high school track coach, had a track meet that same morning. Initially, Brian searched the surrounding area in his car, with his two young children, and then enlisted the help of fellow volunteer firefighters. Eventually, several units of the police department joined the search. The body was discovered by two volunteer firefighters.

Earlier that same morning, Monique Sturm was attacked and robbed by a man who bumped her car on a road in Port Jeffer-

son, which is about eight miles from where the body was found. She managed to escape through the passenger door when the man forced himself through the door on the driver's side. In the process, she bit his finger. In her call to 911, placed at 5:57 A.M., Sturm provided a description of the assailant and his car. Sturm's wallet was found around 11:40 A.M., not far from the murder scene.

Police investigators connected the two events, inferring that the same person was behind both. According to pretrial testimony, several weeks earlier a pedestrian was accosted by the driver of a car similar to that of defendant. Defendant was a suspect in that incident, and Sturm's description of the assailant and his car matched the description that woman gave. The police learned that in 1986 defendant was convicted of sexually assaulting a female driver he had bumped with his car and that he was on parole as the result of a burglary conviction. The police also learned that defendant's car was similar to a car seen near the crime scene about 6:30 A.M. that Saturday. That witness identified defendant's car as the car he had seen. Sturm, however, could not identify defendant's car as the one her assailant had been driving and could not definitively identify defendant in a photo array.

Two days after the murder, on June 2, 1997, the police arrested defendant in connection with the robbery after he was told to report to his parole officer. Defendant's right index finger had a cut. Defendant waived his *Miranda* rights and was interrogated. According to the trial testimony of the interrogating officer, defendant initially denied any involvement with Sturm. Eventually, he admitted that his car hit Sturm's car. Defendant told the police that the night prior to the encounter, he and his family had gone to dinner around 7:30 P.M. at a local restaurant. After dinner, he went to a comedy club, arriving at around 8:30 P.M. An hour later, he went to a pub named Harri-gan's, where he stayed for a few hours with his friend Phil Anderson and a man named Brett. After dropping off Phil at his home, defendant told the police, he and Brett went to a keg party, where they stayed for a few hours. At around 5:45 A.M., he dropped off a man named Tom near a 7-Eleven store. As defendant drove off, he turned a corner and he hit a car. When he pulled over, a female got out of the other car and began yelling at him and attacked him with her pocketbook. He took the pocketbook from her, and threw it over a fence. Defendant claimed that he tried to calm her down by pushing her into the

car, but that she hit him and kicked him. Defendant admitted to the police that he got inside her car, and she jumped out the passenger door and ran to a nearby house yelling for help. Defendant said he returned to his car and drove away. Defendant prepared a sketch of where the incident took place and gave the police permission to search his car and take samples of his hair, blood and saliva.

Defendant eventually confessed to the murder of Cynthia Quinn. He stated that while driving home, he had stopped on the road to urinate. A woman jogging on the road began yelling that he was a bum and should use a restroom. He became angry because people had been yelling at him his whole life, and walked toward her. Defendant told the police that the woman backed into the woods and began waving a long thin piece of metal, like a screwdriver, at him. Defendant could see that she was scared. Defendant grabbed the piece of metal away from her and started stabbing her. When she fell down, he raped her. Then, he started stabbing her again. According to defendant, he later sat down on a nearby log and cried. Defendant told the police that he ran back to his car and drove toward his house, discarding the weapon along the way. When he got home, he threw his clothes into a hamper. Defendant drew sketches of the murder scene and the weapon for the police.

On June 5, 1997, a grand jury indicted defendant for murder in the first degree (Penal Law § 125.27 [1] [a] [vii])—intentional murder in the course of committing or attempting to commit and in furtherance of rape in the first degree, or in the course of and furtherance of immediate flight after committing or attempting to commit rape in the first degree); three counts of murder in the second degree (Penal Law § 125.25 [1], [2], [3])—intentional murder, depraved indifference murder and felony murder),¹ and robbery in the first degree (Penal Law § 160.15 [2]). He was arraigned on June 9, 1997. On August 12, 1997, the People served notice of intent to seek the death penalty (CPL 250.40).

Opening statements commenced on June 8, 1999, and the trial lasted 17 days. The jury considered 41 prosecution witnesses and 180 exhibits, including evidence showing that defendant's DNA matched samples collected from the victim's

1. On motion of the prosecution, the trial court dismissed the depraved indifference murder and second degree felony murder counts (counts three and four respectively) prior to trial.

body and clothing. Defendant did not present any witnesses. Two days after summations, the jury found defendant guilty of first degree murder and one count of second degree murder (intentional murder) and found him not guilty of the robbery charge. After the jury's verdict, the trial court, pursuant to CPL 300.30 (4) and 300.40 (3) (b), dismissed the guilty verdict for murder in the second degree in light of the first degree murder verdict. The penalty phase began on August 3, 1999 and concluded on August 6 when the jury rendered a verdict that defendant be sentenced to death.

Throughout the proceedings below, defendant filed a flurry of motions, most of which the courts denied, and objected to numerous rulings. On appeal, defendant raises a number of issues. We conclude that defendant's guilt was established beyond a reasonable doubt, and that the verdict of guilt was not against the weight of the evidence. We consider first issues arising during the guilt phase and then turn to the penalty phase. We do so with the awareness both that death is different and that CPL 470.30 confers upon this Court unique powers of review (*see People v Harris*, 98 NY2d 452, 474 [2002]).

II. GUILT PHASE

A. JURY SELECTION

[1] Defendant argues that the trial court erred in failing to grant challenges for cause against jurors Nos. 16, 43, 79, 107 and 124, because they were not impartial and held views that substantially impaired their ability to consider a life sentence. None of these jurors sat on the case. The defense exhausted its peremptory strikes, and defendant argues for relief pursuant to CPL 270.20 (2), which states

“An erroneous ruling by the court denying a challenge for cause by the defendant does not constitute reversible error unless the defendant has exhausted his peremptory challenges at the time or, if he has not, he peremptorily challenges such prospective juror and his peremptory challenges are exhausted before the selection of the jury is complete.”

We disagree with defendant that the trial court erroneously failed to grant the challenges for cause.²

Under CPL 270.20 (1) (b), a prospective juror who “has a state of mind that is likely to preclude him from rendering an

2. We discuss only defendant's objection to juror No. 16 but conclude that his objections to the other jurors are also without merit. We also reject

(n. cont'd)

impartial verdict based upon the evidence adduced at the trial” must be excused for cause. “[A] prospective juror whose statements raise a serious doubt regarding the ability to be impartial must be excused unless the juror states unequivocally on the record that he or she can be fair and impartial” (*People v Chambers*, 97 NY2d 417, 419 [2002]).

Additionally, in a capital case, a prospective juror must also be excused for cause if he or she “entertains such conscientious opinions either against or in favor of such punishment as to preclude such juror from rendering an impartial verdict or from properly exercising the discretion conferred upon such juror by law in the determination of a sentence” (CPL 270.20 [1] [f]). As this Court held in *People v Harris*, “Where jurors express conscientious views concerning the death penalty yet still make clear that they are able to follow their oaths to act impartially, they cannot be excluded for cause from participating on the jury” (98 NY2d 452, 484 [2002]; see also *People v Cahill*, 2 NY3d 14, 47 [2003]).

Defendant argues that juror No. 16 should have been excused because he had already decided defendant was guilty, he was sympathetic and felt a common bond with the victim, he believed that police officers are more credible than other witnesses, and he was biased in favor of the death penalty in first degree murder cases. In moving to dismiss juror No. 16 at trial, defense counsel argued only that juror No. 16’s answers during voir dire were totally different from those on his written questionnaire and that he had a preconceived notion about the case and felt sympathy for the victim.

During voir dire, juror No. 16 expressed doubts about his initial impression, and recognized that “the system is supposed to be fair, everyone gets a fair trial, and I believe in that.” When questioned about his views about confessions, he again stated

defendant’s arguments that the trial court failed to respond meaningfully to a juror note on intent, and inadequately inquired into the possible tainting of a sworn juror; that the trial court allowed important testimony in defendant’s absence and then misled the jury to believe that defendant chose to be absent; that the trial court should have empaneled a new sentencing jury after the guilt phase; that defendant established a prima facie showing of discrimination against female jurors under *Batson v Kentucky* (476 US 79 [1986]); that venue should have been changed (see *People v Cahill*, 2 NY3d 14, 38 [2003]); that the trial court erroneously permitted joinder of the robbery count; and that the trial court should have allowed the jury to consider murder in the second degree (depraved indifference murder) as a lesser included offense of murder in the first degree, and to consider a jury charge of extreme emotional disturbance.

that while he initially thought defendant was guilty, he since realized that “we have to come into the courtroom with a blank slate and listen to evidence from both sides and make a decision.” Time after time, when asked to respond to answers from his questionnaire, juror No. 16 gave answers evidencing impartiality, such as, “We have to come into the courtroom and see what the facts are and make a decision based on that,” and “I try to be fair . . . I don’t always end up by being fair, but I do try to be fair . . . If I’m selected, I will do the very best job I can.” Defendant’s argument that juror No. 16 would find police officers more credible than other witnesses is unpreserved. In any event, juror No. 16 unequivocally indicated that he would follow the court’s instruction not to give police testimony more weight than that of other witnesses. Juror No. 16, like the deceased, was a runner. He stated that it would not affect him, and that he would base his decision on the evidence presented at trial. Additionally, this juror assured the trial court of his ability to be impartial (*see People v Johnson*, 94 NY2d 600, 613-614 [2000]).

On the subject of the death penalty, juror No. 16 indicated that he would consider whatever mitigation was required by law and that he had no preconceived notion of how defendant should be punished. He therefore did not hold a conscientious belief that would prevent or substantially impair his ability to exercise discretion during the penalty phase (*see Harris*, 98 NY2d at 484).

B. THE SELF-REPRESENTATION CLAIM

On the same day that jury selection began, February 16, 1999, defendant requested new attorneys, complaining that he was dissatisfied with his current counsel. He complained that his two lawyers “spend no time with each other” or with him, and “want to attack this case in two different ways.” Defendant said that he wished to “get this over and get this going as quick as” possible, but that “there’s so many things left undone.” His lead attorney, Robert Gottlieb, characterized the attorney-client relationship as broken. The court denied the application, urging defendant to cooperate with his lawyers. Defendant again complained that he wished to “be able to go over my case with my lawyers and have questions answered, and there’s so many things unanswered.”

On May 18, 1999, at defendant’s request, defendant and his attorneys met *ex parte* with the court. The source of the conflict

was crystallized. Gottlieb pointed to a severe disagreement over trial strategy. Counsel's strategy involved making certain "concessions [with respect to culpability] that would lead to credibility all down the line." Defendant, counsel complained, was uncooperative, even ordering his family not to cooperate with a private investigator. Defendant stated that problems over strategy arose once the prosecutor offered life without parole if defendant pleaded guilty. His lawyers and his family were urging him to accept the plea. Defendant explained that his strategy centered on denying any involvement with the murder and rape of Cynthia Quinn. As counsel put it, defendant wished to "fight everything tooth and nail to the end until it's determined."

After some discussion with the court in which defendant expressed his dissatisfaction with his lawyers as well as ambivalence as to whether he wished new lawyers or wanted the court to instruct his lawyers to abide by his strategy, defendant stated, "Your Honor, if you are telling me that I have to respect and listen to my lawyers['] views on how to attack this case, I would have to disagree with you. I would ask that you would dismiss my lawyers and if I could represent myself." The court responded, "That to me would be absolutely insane."

Defendant remained steadfast in his view that he could not follow any strategy other than one that proclaimed his innocence, adding, "The only thing I see and that's my last option is to represent myself, not that I want to, I don't know [anything] about the law, but at least I have a chance to prove my innocence." The court again responded, "[I]f you are asking me to dismiss your lawyers, I can't do that in good conscience. If you are asking me to allow you to represent yourself pro se at this point, I can't do that in good conscience because it would be absolutely disastrous." The court continued, "If I allowed you to represent yourself, everything I said [about protecting your rights] would be out the window . . . I just want you to think about that." Defendant responded that if the court was going "to deny me [the right] to represent myself, maybe take into consideration appointing two new lawyers." The court stated that it could not do that either. Explaining at length why self-representation would be a disaster, the court urged him "to think about what you have said." The court concluded the discussion with the statement, "Let the record reflect, he does have a smile on his face."

On May 24, 1999, a week before trial, Gottlieb moved to withdraw because there was "a total breakdown" in his rela-

tionship with defendant. Gottlieb made clear that he could not follow defendant's trial strategy. Associate counsel, Martin Efman, stated that he was willing to try the case as defendant wished, and defendant confirmed that he could proceed with Efman. The court granted Gottlieb's withdrawal motion, elevated Efman to lead counsel, and approved Charles Von Schmidt as associate counsel.

While the right to counsel has emerged as a cherished and valued right, it has not displaced the constitutional right of self-representation. The request to represent oneself must be invoked clearly and unequivocally (*Faretta v California*, 422 US 806 [1975]; *People v Davis*, 49 NY2d 114 [1979]). We have held that to ensure convicted defendants not "pervert the system by subsequently claiming a denial of their *pro se* right, the *pro se* request must be clearly and unconditionally presented to the trial court" (*People v McIntyre*, 36 NY2d 10, 17 [1974]). Before allowing a defendant to proceed *pro se*, the court must conduct a searching inquiry to ensure that the waiver of the right to appointed counsel is "unequivocal, voluntary and intelligent" (*People v Smith*, 92 NY2d 516, 520 [1998]). Denial of the right of self-representation is not subject to harmless error analysis (*McKaskle v Wiggins*, 465 US 168, 177 n 8 [1984]).

[2] We conclude that defendant's request to represent himself was not clearly and unequivocally presented and, therefore, the court did not err in acting as it did. Defendant gave the impression that he was not committed to self-representation. Rather, he was understandably hesitant considering the daunting task of undertaking self-representation in a capital case. After all, even lawyers who defend capital cases must receive special training. Initially, defendant made the conditional statement that if the court forced him to go along with the strategy of his attorneys, he would ask to represent himself. Defendant did not assertively state that he wanted to represent himself. Defendant then stated that he saw self-representation as his last option, though he did not want to represent himself because he did not know anything about the law. When defendant mentioned self-representation for the last time, he again couched it as a hypothetical, adding the request for new lawyers as an alternative. The court urged defendant to think about the perils of self-representation and did not make a definitive ruling. Defendant's statements do not reflect a definitive commitment to self-representation.

In contrast to this case, in *Williams v Bartlett*, a case that defendant relies upon, the defendant asserted, "I will represent

myself” (44 F3d 95, 97 [1994]) after being warned of the dangers of self-representation. The defendant had represented himself before the grand jury. On another occasion, defendant stated, “it’s . . . my intention[] now to go pro se. Before I wanted to have an attorney, but I can’t afford a private attorney. That’s why I’m going pro se” (*id.* at 98). The United States Court of Appeals for the Second Circuit found that on each occasion, defendant’s “statements show a ‘purposeful choice reflecting an unequivocal intent to forego the assistance of counsel’ ” (*id.* at 100, quoting *United States v Tompkins*, 623 F2d 824, 827-828 [2d Cir 1980]). In this case, defendant wavered, and when warned at length about the perils of self-representation, and asked to think about his request, he smiled and said nothing more.

While conditioning a request for new attorneys with a request for self-representation does not necessarily make the latter request equivocal, it is clear that in this case defendant raised the specter of self-representation as a means of procuring the dismissal of Gottlieb. Defendant and Gottlieb were intractably at odds over strategy. Defendant had sought to have Gottlieb removed on two occasions prior to the May 18th meeting. When Gottlieb announced in a meeting with the court and the other attorneys on May 24th that he wished to be relieved, the court later asked defendant for his view, and he stated, “I’m ready to proceed . . . with . . . Martin Efman. Me and Mr. Gottlieb cannot get along . . . Our whole trial strategies are different . . . Me and Mr. Efman are willing to go to trial the way I would like to go to trial.” The court later relieved Gottlieb. After the dismissal, defendant never said a word about wanting to represent himself. The issue of self-representation was closed, with defendant satisfied with Gottlieb’s dismissal, the elevation of Efman to lead counsel and the appointment of a new associate counsel.

C. WITHHOLDING OF EVIDENCE—BRADY MATERIAL

More than two months after the commencement of jury selection and more than two years after the murder, on April 29, 1999, the police obtained a written statement from John Doe,³ a friend of defendant. Doe stated that “[a]bout two years ago,” defendant had asked him to “hang out.” They went to another house, belonging to Richard and Maria, where the three men “partied and drank beers” in the basement. Doe and defendant

3. John Doe and Richard Roe are fictitious names. Neither Doe nor Roe testified at trial.

then drove to a bar, although neither drank there. They then drove around, and “had a couple of more beers.” Because he was tired, Doe called it a night. When defendant drove Doe home, it was still dark. Several days later, Doe heard that defendant had been arrested.

Richard Roe provided two statements. In the first, dated May 5, 1999, he stated that he met defendant during the Memorial Day weekend (May 24-26) of 1997. A couple of days later, on a Friday, he, defendant and John Doe went into the basement of his house where they “partied” for a few hours. Defendant drank two beers and seemed “docile.” According to Roe, defendant and Doe stayed for a few hours and then left.

The second statement, dated May 19, 1999, differed significantly from the first. Roe maintained that Doe and defendant arrived at Roe’s house around 9:30 or 10:30 P.M. Defendant had two beers, and they all smoked crack. They then left the house to purchase more crack from a drug dealer. The dealer wanted defendant “to fuck someone up and LaValle said he’d do it.” Roe allegedly told Doe to “get LaValle back, to leave.” Roe claimed he “was afraid what might happen.” According to this version, the three went back to the basement, and continued to smoke crack until about 1:30 to 2:00 A.M. when Roe told defendant and Doe that they had to go. Roe also claimed that he became nervous when defendant told him that his then-15-year-old daughter was pretty, and that guys would pursue her. The next day, a friend told Roe that defendant was a “dirt bag.” A couple of days later, he learned about the murder.

On June 2, 1999, about a week before trial, the prosecutor informed the defense that the police had obtained statements from a few witnesses who might have been with defendant the night before the murder. On July 1, defense counsel requested copies of the statements. Counsel referred in particular to the Doe statement, which he believed might have contained information beneficial to defendant. The court told the People to submit any statements falling under *Brady v Maryland* (373 US 83 [1963]) for in camera review. The prosecutor consented, adding that he had provided the defense with “a general outline” of the Doe statement. Defense counsel expressed the concern that “the People were trying to hold [any statements] for rebuttal if we called [the witnesses] in the first instance” and that it was “important now for us to see what’s in there or for the court, at least, to make a determination.” Defense counsel added that the defense had attempted to interview Doe, but that he

was “not very giving of information” and that “the most telling information might be in the statement he gave to the police.” In his written submission, defense counsel argued that despite reasonable diligence, the defense could not ascertain the contents of the statement.

In a written opinion, the court ruled that the statements were not *Brady* material since defendant knew of the contents of the statements and also knew that Roe and Doe had provided the statements. The court also ruled that during the penalty phase, the prosecutor would satisfy his *Brady* obligation by providing defendant with the identity of witnesses who may be a source of relevant mitigation evidence.⁴ After the close of evidence in the guilt phase, but before summations, defense counsel again requested the statements, arguing Roe and Doe were not forthcoming “about certain areas which might incriminate them.” Defense counsel raised the issue again after summation, arguing that the statements might be relevant as a mitigator, but the court adhered to its prior ruling.

On July 30, defense counsel renewed his motion for the disclosure of the Doe and Roe statements for use in the penalty phase. In his attached affirmation, counsel stated that prior to trial, the prosecutor had informed the defense of the existence of written statements by two witnesses. Counsel believed that the statements contained information that “defendant, together with these individuals, was under the influence of alcohol and narcotics for many hours immediately preceding the incident which is the subject of the indictment and First Degree Murder conviction.” This information was relevant to the circumstances of the case and as a mitigator.⁵ Counsel argued that the statements were admissible at the penalty phase as reliable hearsay and statements made against penal interest. In the other affirmation, defense counsel Charles Von Schmidt detailed his unsuccessful personal efforts to speak with Doe.

In *Strickler v Greene*, the Supreme Court summarized the “essential components of a *Brady* violation” (527 US 263, 280

4. Defense renewed the request on July 14 and July 30 and the court denied both requests.

5. Because of our conclusion on the deadlock issue, we need not address defendant’s argument that the trial court wrongfully permitted him to forego mitigation evidence, the prosecution’s arguments that the Legislature permitted but did not require a defendant to submit such evidence and what, if any, constitutional problems might arise where the jury heard no mitigation evidence, even if an independent source, such as a probation department, could provide it.

[1999]) as follows: “The evidence at issue must be favorable to the accused, either because it is exculpatory, or because it is impeaching; that evidence must have been suppressed by the State, either willfully or inadvertently; and prejudice must have ensued” (*id.* at 281-282). *Brady* held “that the suppression by the prosecution of evidence favorable to an accused upon request violates due process where the evidence is material either to guilt or to punishment, irrespective of the good faith or bad faith of the prosecution” (373 US at 87).

[3] We do not doubt that the statements contained some measure of favorable evidence.⁶ We conclude, however, that they were not suppressed by the prosecution and that, accordingly, there was no *Brady* violation in this case. Evidence is not suppressed where the defendant “knew of, or should reasonably have known of, the evidence and its exculpatory nature” (*People v Doshi*, 93 NY2d 499, 506 [1999]). Defendant knew or should have known that he drank alcohol and took drugs with Roe and Doe. Moreover, defense counsel, in an affirmation seeking the statements, admitted that the defense believed that the statements dealt with use of alcohol and drugs the night before the murder. The defense knew the identities and addresses of Roe and Doe. Possession of the statements would not have revealed any essential information that the defense did not already know (*see Allen v Lee*, 366 F3d 319, 325 [4th Cir 2004] [where defendant argued that the government withheld jail records indicating that he received antiwithdrawal medication, no *Brady* claim arose since defendant “had personal knowledge of any medication he might have received”]). Finally, we note that the prosecution submitted the statements to the court which decided that the prosecution had satisfied its *Brady* obligation.

Defendant argues that this case is indistinguishable from *Leka v Portuondo* (257 F3d 89 [2d Cir 2001]), where the Second Circuit determined that the government violated its *Brady* obligation. We disagree. *Leka* was a murder case in which the prosecutor’s evidence consisted of the testimony of a number of eyewitnesses. Early in the case, the prosecutor informed the defense that one of the witnesses was a police officer who would identify the defendant. Three business days before the trial, however, the prosecutor told defense counsel that the officer would not identify the defendant, but did not say anything about

6. The statements, which had been sealed as a court exhibit, were unsealed on appeal.

what the officer saw. Because the defense used a ruse to try to contact the officer, the court granted the prosecutor's request to foreclose access to the officer.

The Second Circuit held that the witness's favorable testimony was suppressed, finding that "the prosecutor never made specific disclosure of what [the witness] had seen. There is no doubt that the prosecutor had that information from the beginning of the case" (257 F3d at 100). The court rejected the government's argument that disclosure of the witness's name, and (presumably) the address, satisfied its *Brady* obligation, noting that the disclosure was "too little, too late" (*id.*). The court reasoned that "[t]he limited *Brady* material disclosed to Leka could have led to specific exculpatory information only if the defense undertook further investigation" (*id.* at 101). The court also noted that the defense used the ruse because the government failed to be forthcoming about what the officer knew. In addition, it was too much to expect defense counsel to seek an order vacating or modifying the court's order precluding contact with the officer on the eve of trial when counsel did not know whether the witness would provide useful information.

There are significant differences between *Leka* and this case. The defense in *Leka* knew nothing about what the witness knew. Here, the defense knew the essential information contained in the statements. The disclosure here was not too little, nor was it too late. The defense had a week prior to the start of the trial in which to subpoena Roe and Doe.

Defendant also relies on *Boss v Pierce* (263 F3d 734 [7th Cir 2001]). In *Boss*, the state relied on the testimony of one eyewitness to establish that two brothers, along with others, killed and robbed the victim. Defendants called four witnesses, one of whom was his girlfriend who provided an alibi. The girlfriend's sister partially corroborated her testimony. On the last day of the two-day trial, the state gave defendants an investigative report containing information unknown to defense counsel (*id.* at 737-738), namely that the sister told investigators that the government's witness had implicated himself in the killing and robbery, and only implicated the brothers to get them in trouble. The United States Court of Appeals for the Seventh Circuit rejected the state's argument that since the sister was defendants' witness, the defense had access to any information she possessed. The court held that defendants had no reason to suspect that the sister would know the information in the

report. Again, in this case, the defense knew the essential information contained in the report.

Another case defendant relies on, *United States v Severdija* (790 F2d 1556 [11th Cir 1986]), in which the United States Court of Appeals for the Eleventh Circuit found a *Brady* violation, is closer to this case. There, the captain of a ship was convicted of conspiracy to possess with intent to distribute marijuana found on his ship. Days before his arrest, the defendant told a member of the Coast Guard who boarded his ship that he had been hired to pick up a tow, that he did not know his crew very well and that he did not trust them. Defendant also suggested that the Coast Guard remain in the area because the boat would be carrying drugs. The member of the Coast Guard recorded defendant's statements. At the trial, defendant testified that he informed the Coast Guard about the marijuana, which had been placed on his boat over his objection.

While acknowledging that the defendant must have been aware of the statement he made, the court found that the evidence at issue was the recordation of the statement, not the statement itself. The statement could have corroborated defendant's defense. The court noted that had defendant testified about the statement, without corroborating evidence, jurors would likely have perceived it as a self-serving statement. It is significant, however, that the court reached this result after finding that "neither the identity of the [Coast Guard officer who recorded the statement] nor the contents of his report was disclosed to the defense until after the jury had returned its verdict" (*id.* at 1559). That was not the case here. Moreover, in this case, defendant did not present any testimony during the guilt phase that the statements would have corroborated. Indeed, defendant claimed he was not the person who committed the crime. The second Roe statement would have further tarnished defendant before the jury, by portraying defendant as a crack cocaine user, a voyeur of Roe's young daughter, a "dirt bag," and a person willing to assault another at the behest of a drug dealer.

D. "VICTIM-IMPACT" EVIDENCE

During the guilt phase the prosecutor opened with the statement that on the day of the murder, "Suffolk County became a lesser place. . . . On that day, we, as a community, lost Cindy Quinn to a brutal act of random predatory violence as she jogged near her home in Yaphank. Cindy was someone we all know, a

mother, a wife, a daughter, a sister, a friend, a teacher, a coach.” The prosecutor would urge the jury “to show [defendant] the same compassion he showed to [the mother of two young children].”

On June 14, defendant moved to preclude testimony of Brian Quinn, Cynthia’s husband, arguing that the testimony would inflame the jurors. Defense counsel offered to “stipulate to everything, her death and body being in that location.” The prosecution refused. The trial court allowed the testimony based on a timeline test, demarcating events prior to the murder as permissible, and those after as impermissible.

Quinn testified that he was a self-employed carpenter and that he built the family home with his own hands. On the day of the murder, he was awakened by the cries of his two-year-old son. Quinn identified a ruby earring his wife was wearing when she was found. He also provided other personal information regarding his wife—that she was a high school teacher with a Master’s degree, she coached the school’s track team, she had two living sisters, her parents were alive, and he and the deceased also had a four-year-old daughter. Every morning she would wake up near dawn to jog and would sometimes run with the children in a jogging stroller.

The defense objected to much of the testimony, characterizing it as victim-impact evidence. Defendant argues here that much of Quinn’s testimony constitutes an improper victim-impact statement through which the prosecutor advanced the theme of lost promise.

While it is only natural for jurors to react with horror at the brutality of a violent murder, jurors have an obligation to decide the issues in the case “in a judicial temper. Appeals to sympathy or prejudice can but be harmful” (*People v Caruso*, 246 NY 437, 443 [1927]). In *Caruso*, the prosecution, over objection, called the widow of the deceased who testified that they had been married for 18 months, had a six-month-old child, and that the deceased would sit on the baby’s crib and sing to her. The widow’s testimony, we concluded, constituted reversible error because it “had no materiality upon the issues before the jury” and was an “‘unseemly and unsafe’ appeal to prejudice” (*id.* at 444). In *People v Miller* (6 NY2d 152 [1959]), the prosecutor elicited from the deceased’s brother that the deceased had a wife and seven children. We again found, “There could be no purpose to this line of testimony but to conjure up in the minds

of the jurors undue prejudice against the defendant” (*id.* at 157).

In *People v Harris*, where the type of testimony of victims’ families was “indistinguishable from that in *Miller* and *Caruso*,” we stated, “Although family information about a victim is an important aspect of the victim’s life, generally, it has no bearing on defendant’s guilt or innocence” (98 NY2d at 491). There we found that, to the extent the claims were preserved, the error was harmless in light of the overwhelming evidence of guilt.

[4] Here, unlike *Caruso* and *Miller*, much of the testimony was material because it explained the sequence of events, from the husband’s discovery that his wife was missing to learning that his wife’s body had been found later in the day.⁷ To be sure, there was testimony that was irrelevant to the sequence of events, such as that Cynthia had a Master’s degree, but such testimony was minimal and harmless where the proof was overwhelming and there was no significant probability that, but for this error, the jury would have acquitted defendant (*see People v Crimmins*, 36 NY2d 230, 237 [1975]).

E. GUILT PHASE SUMMATION

Defense counsel’s summation reflected somewhat the initial conflict that permeated defendant’s relationship with his lawyers. Counsel argued that defendant was not the person who committed the murder. Alternatively, he argued that the person who did it had demons inside, and suddenly snapped at the slightest provocation. Counsel maintained that the circumstances surrounding the killing evinced lack of control. He also urged that “there’s some greater system in the world that determines when and how we die,” in an effort to shift blame away from defendant.

The prosecutor began by noting that “mere words are very inadequate to convey the horror of what occurred to Cindy Quinn that morning two years ago.” He added symbolically, “I know you have visited those woods on that Saturday attempting to see and feel what atrocity went on. I remind you now what the testimony of Lynn Weyant . . . My God. What sort of scream came from those woods to prompt that type of reaction? What sort of torture caused that scream? Now you know. You’ve seen it. You’ve seen what he did to Cindy Quinn.”

7. For much the same reason we also conclude that the testimony of firefighters and police officers involved in the search was material.

The prosecutor referred to Sturm as “quivering and shuddering” on the witness stand as she confronted her attacker, and contrasted her good fortune to the brutal death of Cynthia Quinn. Sturm “was lucky enough to go on with her life and now she has a beautiful little baby boy.” Cynthia’s two children, on the other hand, “have no mommy,” Brian has no wife, and her family has lost a daughter and a sister. The prosecutor told the jurors, “We can only pray that Cindy thought to take the time to pat them on the head or kiss them before she went out that morning.”

In conclusion, the prosecutor told the jurors that for 17 days they had “sat in the presence of evil.” And unlike defendant, Cynthia Quinn was buried 25 months earlier without the opportunity to present a defense. The prosecutor asked the jurors to look defendant in the eye and tell him, “[Y]ou’re a murderer, you’re a rapist, and you’re guilty, and you shall be held responsible.”

After the prosecutor’s summation, defense counsel moved for a mistrial, arguing that the prosecutor sought to inflame the jury. The court denied the motion.

On appeal, defendant argues that the prosecutor committed a number of improprieties during the guilt phase summation: inviting jurors to relive the victim’s suffering by expressing that words could not describe what she must have experienced; referring to Sturm’s good fortune and Quinn’s cruel fate; lamenting the pain of those Cynthia Quinn left behind; degrading defendant by characterizing him as a killer whale; arguing that defendant received the benefit of due process while Cynthia Quinn did not; and urging the community to avenge, and thereby heal.

Defendant’s arguments are similar to those raised in *People v Harris* and *People v Cahill*. In *Harris*, the defendant claimed “that the prosecutor invited the jury to punish defendant for exercising his rights to a trial and not to testify, that the prosecutor misstated the record, referred to facts not in evidence, and misused evidence, and that the prosecutor denigrated defendant’s defense and inflamed the jury” (98 NY2d at 491 n 18). We held that the claims were unpreserved, and, had we reviewed them, we would have concluded that the statements did not “exceed the broad bounds of rhetorical comment permis-

sible in closing argument” (*id.* [citation omitted]).⁸ We came to the same conclusion in *Cahill*, where the defendant argued that “the People made improper remarks throughout the trial, alluding to, among other things, the victim’s beauty and courage and defendant’s remorselessness” (2 NY3d at 72 n 45).

[5] As in *Harris* and *Cahill*, we conclude that defendant did not properly preserve the claims he makes on appeal. The motion for a mistrial was insufficient to preserve the arguments. Nevertheless, reviewing the merits of the claims, we conclude that while several of the prosecutor’s remarks were improper, reversal is not warranted (*see Crimmins*, 36 NY2d at 237).

III. PENALTY PHASE

We next address the constitutionality of the “deadlock instruction” the court delivered to the jury prior to its deliberation on the appropriate sentence for defendant. Pursuant to CPL 400.27 (10), the court instructed the jurors on their duty to decide whether defendant should be sentenced to death or to life without parole. Either choice had to be unanimous. The court further instructed the jurors, as required by statute, that if they failed to agree, the court would sentence defendant to life imprisonment with parole eligibility after serving a minimum of 20 to 25 years.⁹ Although defendant did not object when the instruction was given, he had sought a ruling prior to trial that CPL 400.27 (10) was unconstitutional under the Federal and State Constitutions, both on its face and as applied. His motion preserved the argument for appeal.

Like some other states with death penalty statutes, New York recognized that jurors should know the consequences of a deadlock (*see Berberich, Note, Jury Instructions Regarding Deadlock in Capital Sentencing*, 29 Hofstra L Rev 1301, 1324 [Summer 2001]). However, New York’s deadlock provision is unique in that the sentence required after a deadlock is less se-

8. We noted, “While prosecutors have wide berth to advocate for their case, there are limitations. Specifically, prosecutors ‘should not seek to lead the jury away from the issues by drawing irrelevant and inflammatory conclusions which have a decided tendency to prejudice the jury against the defendant’ ” (*Harris*, 98 NY2d at 492 n 18, quoting *People v Ashwal*, 39 NY2d 105, 110 [1976]).

9. CPL 400.27 (10) reads in part, “The court must also instruct the jury that in the event the jury fails to reach unanimous agreement with respect to the sentence, the court will sentence the defendant to a term of imprisonment with a minimum term of between twenty and twenty-five years and a maximum term of life.”

vere than the sentences the jury is allowed to consider. No other death penalty scheme in the country requires judges to instruct jurors that if they cannot unanimously agree between two choices, the judge will sentence defendant to a third, more lenient, choice.¹⁰

Studies have found that jurors tend to “grossly underestimate how long capital murderers not sentenced to death usually stay in prison” (Bowers and Steiner, *Death by Default: An Empirical Demonstration of False and Forced Choices in Capital Sentencing*, 77 Tex L Rev 605, 648 [Feb. 1999]).¹¹ Jurors’ beliefs with respect to the actual number of years a defendant will serve in prison are compelling and can even be decisive. As the study concluded, the “sooner jurors think a defendant will be released from prison, the more likely they are to vote for death and the more likely they are to see the defendant as dangerous” (*id.* at 703). A study of South Carolina jurors who served in capital cases “confirm[ed] that jurors’ deliberations emphasize dangerousness and that misguided fears of early release generate death sentences” (Eisenberg and Wells, *Deadly Confusion: Juror Instructions in Capital Cases*, 79 Cornell L Rev 1, 4 [Nov. 1993]; see also Garvey, *Aggravation and Mitigation in Capital Cases: What Do Jurors Think?*, 98 Colum L Rev 1538, 1560 [Oct. 1998] [finding that “(f)uture dangerousness appears to be one of the primary determinants of capital-sentencing outcomes”]). Thus, jurors might impose the death penalty on a defendant whom they believed did not deserve it simply because they fear that the defendant would not serve a life sentence.

10. Contrary to the People’s contention, New York’s deadlock provision is not similar to the provision upheld by the New Jersey Supreme Court in *State v Ramseur* (106 NJ 123, 524 A2d 188 [1987]). The New Jersey statute provides that the jury must be “informed that a failure to reach a unanimous verdict shall result in sentencing by the court pursuant to subsection b” (NJ Stat Ann § 2C:11-3 [f]). In 2000, the New Jersey Legislature amended subsection (b) so that once a defendant is death-eligible, the alternative to death is life without parole, with life without parole also being the sentence upon a deadlock (2000 NJ Session Law Serv ch 88, Senate No. 530). Thus, the jury can impose the deadlock sentence. The same is also true of two other states that inform jurors of the consequences of a deadlock (see Mo Ann Stat § 565.030 [4]; Or Rev Stat § 163.150 [2] [a]).

11. The researchers analyzed data compiled by the Capital Jury Project, a continuing research program of capital jurors’ sentencing decisions in different states (77 Tex L Rev at 643 n 186, 717). The participating states included California, Florida, Indiana, Kentucky, Pennsylvania, South Carolina, Texas, Virginia, Georgia, Louisiana, North Carolina, Tennessee, New Jersey and Alabama (Bowers, *The Capital Jury Project: Rationale, Design, and Preview of Early Findings*, 70 Ind LJ 1043, 1062-1072, 1078 nn 190-194 [1995]).

These studies provide the best available insight into jury behavior.

The New York Legislature determined that defendants convicted of capital first degree murder should either be sentenced to death or the most severe alternative sentence, life imprisonment without the possibility of parole. What, then, is the consequence of telling the jury that it may not impose a sentence of life with parole eligibility after 20 to 25 years, but that the court will impose that sentence if the jury cannot agree? The deadlock instruction interjects the fear that if jurors do not reach unanimity, the defendant may be paroled in 20 years and pose a threat to society in the future. Yet, in New York a defendant's future dangerousness is not a statutory aggravator the jury may consider.¹²

By interjecting future dangerousness, the deadlock instruction gives rise to an unconstitutionally palpable risk that one or more jurors who cannot bear the thought that a defendant may walk the streets again after serving 20 to 25 years will join jurors favoring death in order to avoid the deadlock sentence. Commentators have been harshly critical of New York's deadlock instruction.¹³ For jurors who are inclined toward life without parole, the choice is between death and life with parole, a Hobson's choice in light of the jurors' likely concerns over defendant's future dangerousness. The choice of death results not through "a comparison of views, and by arguments among the jurors themselves," but through fear and coercion (*Jones v United States*, 527 US 373, 382 [1999], quoting *Allen v United*

12. In contrast, in Texas the jury is asked to decide "whether there is a probability that the defendant would commit criminal acts of violence that would constitute a continuing threat to society" (Tex Code Ann Crim Proc, art 37.071, § 2 [b] [1]). The death penalty statutes of Oregon, Oklahoma, Virginia and Wyoming have similar provisions (see Or Rev Stat § 163.150 [1] [b] [B]; Okla Stat Ann, tit 21, § 701.12 [7]; Va Code Ann § 19.2-264.2; Wyo Stat Ann § 6-2-102 [h] [xi]). In most states, as in New York, future dangerousness plays no approved role.

13. "The only possible reason for having this cockeyed sentencing scheme—and for insisting that capital jurors be informed of it—is to put pressure on [jurors in the minority] holding out for life to switch to death so that the defendant is not made eligible for parole as a result of a nonunanimous verdict" (Liebman, *The Overproduction of Death*, 100 Colum L Rev 2030, 2118 n 215 [2000]). "Not wanting to risk the possibility of the defendant's release from prison twenty years hence, or believing that such a result would not be just, the jurors holding out for a sentence less than death may conclude that a capital sentence is the only acceptable alternative" (Acker, *When The Cheering Stopped: An Overview and Analysis of New York's Death Penalty Legislation*, 17 Pace L Rev 41, 133 [1996]).

States, 164 US 492, 501 [1896]). New York's statute is unique in its coercive effect.

The case closest in point to the one before us because of the instruction given to the jury is *Morris v Woodford* (273 F3d 826 [9th Cir 2001], *cert denied* 537 US 941 [2002]). There, the Court of Appeals for the Ninth Circuit held that because of a mistake, there was a reasonable likelihood that one or more jurors interpreted the court's instructions to mean that if the jury could not agree between death and life without parole, the defendant would be sentenced to life with parole. In other words, the coercive instruction mistakenly given in *Morris v Woodford* is the same instruction actually required here by CPL 400.27 (10). Remanding the case for a new penalty-phase trial, the court concluded that the instructions "would suggest to any holdout juror that, if he or she did not join the majority of the other jurors, then Petitioner would be eligible for parole. That suggestion is, of course, incorrect, and its coercive potential is obvious; in effect, it would place such a juror in the apparent position of choosing between death and life *with* parole" (273 F3d at 841).

Here, the trial court reasoned that it was more likely that jurors favoring life without parole would not switch to death since lack of unanimity would mean that the defendant would remain incarcerated for at least 20 to 25 years, an option preferable to death. But under the existing statute, life with parole was not one of the options available to the jury. New York's Legislature did not intend for jurors to choose life with parole. A juror who purposely chooses that option would fail to abide by the court's instruction to decide between death or life without parole. In any event, a juror who has found defendant guilty of a capital crime, and has heard weeks of arguments and a summation reviling the defendant and detailing the pain he has caused, is more likely to choose death than risk the prospect of defendant ever harming anyone in society again (*see Deadly Confusion*, *supra*, 79 Cornell L Rev at 12 ["The data suggest that the sentencing phase of a capital trial commences with a substantial bias in favor of death"]).

It is of course possible that one or more jurors who favor death might be coerced into choosing life without parole rather than have defendant be sentenced to life with parole. That, however, does not cure the coercive effect of the deadlock instruction before us. The coercive effect is not relieved by recognizing that some jurors may be coerced in the opposite direction.

[6] Because death is qualitatively different, there is a “corresponding difference in the need for reliability in the determination that death is the appropriate punishment in a specific case” (*Woodson v North Carolina*, 428 US 280, 305 [1976]).¹⁴ Whether a juror chooses death or life without the possibility of parole, the choice is driven by the fear that a deadlock may result in the eventual release of the defendant. Under New York’s deadlock instruction the choice is not, as it should be, the result of a reasoned understanding that it was the appropriate one. We hold today that the deadlock instruction required by CPL 400.27 (10) is unconstitutional under the State Constitution because of the unacceptable risk that it may result in a coercive, and thus arbitrary and unreliable, sentence.¹⁵

A. LEGISLATIVE DEBATE ON THE DEADLOCK INSTRUCTION

The New York State Legislature was aware of the danger that the deadlock instruction might result in coercive verdicts. During deliberations on the death penalty statute, Senator Richard Dollinger addressed the issue of coercion. He asked, “[H]ow do you avoid the problem of a jury that is hung up on the issue of either life in prison without parole or the death penalty of putting additional pressure on the jurors, knowing that if they failed to agree they are going to face a penalty that is less than either of the two penalties that they are currently in dispute over?” (New York State Senate Debate, Mar. 6, 1995, at 1912.) Senator Dale Volker responded that he did not believe the procedure was coercive, stating that in other jurisdictions “there is ample constitutional basis” for that conclusion (*id.*). As Senator Volker explained, “the jury—in order to enact the death penalty, it has to be a unanimous decision. If there’s no unanimous deci-

14. In asserting that the “consequences of a deadlock are no part of a jury’s proper concern” (dissenting op at 134), the dissent seems to equate this case with every other criminal proceeding despite the fact that capital cases are anything but ordinary. The elaborate sentencing procedure the Legislature enacted empowers, and indeed requires, a capital jury to determine sentence, whereas in other criminal cases a jury is told specifically, pursuant to CPL 300.10 (2), not to “consider or speculate concerning matters relating to sentence or punishment.”

15. The dissent distorts the Court’s opinion by arguing that it holds the deadlock provision is unconstitutional simply because it might work to the disadvantage of defendants. The truth is that the deadlock provision is unconstitutional because of the risk that it might coerce jurors into giving up their conscientious beliefs in order to reach a verdict. This risk deprives defendants of the well-established right to a fair trial under our case law and the State Constitution.

sion, if they can't arrive at a decision for life without parole, then the judge has the option then to make the decision to sentence the person to 25 years to life" (*id.* at 1912-1913).

Senator Dollinger persisted, asking whether giving the jury all three options had been considered. Senator Volker replied that such a procedure had been considered, as had the alternative of giving the judge the sentencing option of either life without parole or 20 to 25 years to life. The feeling was "if you are going to have a jury enact something as serious as the death penalty, you ought to have a unanimous jury" (*id.* at 1915). Therefore, "the decision was to give the jury the option for the most severe penalties and let them know that if they couldn't choose one of those more severe penalties then the judge would enact the lesser penalty which is 20-25 years to life" (*id.* at 1915-1916). Senator Dollinger again asked, "But isn't it inherently coercive to tell them that you have to do this; otherwise there is going to be another penalty imposed?" (*Id.* at 1916.) Senator Volker replied that there would be a problem if the jury was not informed as to the consequences of a hung jury. He thought that "that would be a much more serious constitutional problem" (*id.*).¹⁶

B. GUIDING AUTHORITY

The United States Supreme Court has not ruled on an instruction by which jurors are told that if they cannot agree on a verdict, the defendant will receive a lesser sentence than the ones they must consider. To be sure, the Supreme Court has held that defendants, and capital defendants in particular, are entitled to uncoerced verdicts (*see Lowenfield v Phelps*, 484 US 231 [1988]). In *Simmons v South Carolina* (512 US 154 [1994]), the Court held that if the state makes future dangerousness an issue, and the alternative sentence to death is life without parole, the defendant should be allowed to argue that he is parole ineligible.¹⁷ In other words, "[t]he State may not create a false dilemma by advancing generalized arguments regarding the defendant's future dangerousness while, at the same time, preventing the jury from learning that the defendant never will be released on parole" (*id.* at 171). Here, the choice of life

16. This point is also relevant to our discussion dealing with the infirmity of a statute that contains no deadlock instruction whatever (at 128-131, *infra*).

17. *See also Shafer v South Carolina*, 532 US 36 (2001).

without parole is rendered illusory by the fear that failure to unanimously agree will result in a parole eligible sentence.¹⁸

Moreover, in *Beck v Alabama* (447 US 625 [1980]), the Supreme Court invalidated a death penalty scheme that precluded jurors from considering a noncapital lesser included offense. The Court held that the failure to give jurors the power to convict defendant of the lesser included offense “would seem inevitably to enhance the risk of an unwarranted conviction. Such a risk cannot be tolerated in a case in which the defendant’s life is at stake. As we have often stated, there is a significant constitutional difference between the death penalty and lesser punishments” (*id.* at 637). The Court explained that “a jury might convict a defendant of a capital offense because of its belief that he is guilty of *some* crime, or, given the mandatory nature of the death penalty under Alabama law, the jury might acquit because it does not think that the defendant’s crime warrants death” (*California v Ramos*, 463 US 992, 1007 [1983] [discussing *Beck v Alabama*]). The statute interjected “irrelevant considerations into the factfinding process, diverting the jury’s attention from the central issue of whether the State has satisfied its burden of proving beyond a reasonable doubt that the defendant is guilty of a capital crime” (447 US at 642).

Although *Beck* involved the guilt/nonguilt phase, much of its reasoning applies to this case. Here, the statute precludes the jury from considering a third option—one that many jurors might find unpalatable—and yet it instructs that the third option will be imposed upon a deadlock. It thereby improperly interjects future dangerousness, a nonstatutory aggravator, into jury deliberations. It is unclear, however, whether the Supreme Court would apply *Beck*’s reasoning to this case because in *California v Ramos* (463 US at 1009), the Court held that “the risk of an unwarranted conviction is simply not directly translat-

18. According to the dissent, since the Supreme Court held that a defendant should be allowed to argue that he will not be eligible for parole if the state makes future dangerousness an issue, it follows that a state should be allowed to inform jurors that a defendant might be eligible for parole if they deadlock. New York did not make future dangerousness an aggravator. Thus, the jury should not focus on predicting defendant’s future dangerousness. The jury should instead focus on determining whether life or death is the appropriate punishment. The problem is that the deadlock instruction is likely to preclude it from undertaking the appropriate inquiry. What *Simmons* says is that a state may not do one thing (provide that the alternative sentence to death is life without parole) and then argue another (that defendant will pose a future threat to society).

able” to the penalty phase. There, the defendant challenged the instructing of jurors that a life sentence without parole could be commuted by the Governor. The Court found that the instruction focused the jury on the individual characteristics of the defendant and his offense, was accurate, and could be rebutted by defendant.

Subsequently, the California Supreme Court held the instruction unconstitutional on state due process grounds because it was “misleading and because it invites the jury to consider speculative and impermissible factors in reaching its decision” (*People v Ramos*, 37 Cal 3d 136, 159, 689 P2d 430, 444 [1984]). In so holding, the California high court quoted approvingly from the New Jersey decision in *State v White* (27 NJ 158, 177-178, 142 A2d 65, 76 [1958])—as do we:

“It is no more proper for a jury to conclude that death be the penalty because a life sentence may be commuted or the defendant paroled, th[a]n it would be for a trial judge in other criminal causes deliberately to impose an excessive sentence to frustrate the statutory scheme committing parole to another agency. That death should be inflicted when a life sentence is appropriate is an abhorrent thought.”

In concluding that the deadlock instruction is unconstitutional, we are persuaded by the rationale of those two high courts.

The People rely on *Jones v United States* (527 US 373 [1999]) where the defendant argued that because of the trial court’s erroneous instruction, the jury believed that the defendant would receive a sentence of less severity than life without parole upon a deadlock. To avoid the possibility of the defendant’s possible release, jurors who favored life without the possibility of parole could have changed their votes to death. The defendant had requested the trial court to instruct the jury that in the event of a deadlock, the sentence would have been life without the possibility of parole. In a divided opinion, the Supreme Court initially held that “the Eighth Amendment does not require that the jurors be instructed as to the consequences of their failure to agree” (*id.* at 381). The Court reasoned that the jury was not “affirmatively misled” by the trial court’s refusal to give the proposed instruction, which “has no bearing on the jury’s role in the sentencing process” (*id.* at 381, 382). Although the proposed instruction would have been accurate, the Court found that it might undermine the strong governmental inter-

est in securing unanimity. The Court declined to follow state cases that have required jurors to be informed as to the consequences of a deadlock.

Reviewing for plain error, the Court also held that the trial court did not mislead jurors into believing that the deadlock sentence would be of less severity. But even if the court had misled the jurors, the defendant could not “show the confusion necessarily worked to his detriment” since it was “just as likely that jurors, loath to recommend a lesser sentence, would have compromised on a sentence of life imprisonment as on a death sentence” (527 US at 394).

According to the People, the principle underlying *Jones* and *Ramos* is that as long as the information conveyed to the jury is accurate, it need not be balanced. Absent from the Court’s discussion in *Jones* is any mention about the heightened need for reliability in death penalty cases. Instead, the Court focused on the importance of securing jury unanimity, and the fact that the jury was not affirmatively misled. New York’s deadlock instruction gives jurors accurate information, and tilts toward unanimity. The risk of coercion, however, calls into question the reliability of the jury’s determination. Under our case law, the goal of jury unanimity may not undermine sentencing reliability, particularly where the sentence is death.

C. NEW YORK’S PRECEDENT ON COERCED VERDICTS

We have held that a coerced verdict “ought not to be allowed to stand in any case, and least of all, in one involving a human life” (*People v Sheldon*, 156 NY 268, 285 [1898]). Since *Sheldon*, we have consistently affirmed this principle. In *People v Faber* (199 NY 256, 259 [1910]), we held that “[t]he verdict of a juror should be free and untrammelled. In arriving at a verdict the judge presiding at the court must not attempt to coerce or compel the jury to agree upon a particular verdict, or any verdict” (see also *People v Dawkins*, 82 NY2d 226 [1993]; *Matter of Plummer v Rothwax*, 63 NY2d 243 [1984]; *People v Carter*, 40 NY2d 933 [1976]).

Generally, the source of the coercion has been the trial court. In well-meaning, though misguided, attempts to get juries to reach a decision after all the travails of a trial, courts have given coercive instructions. Although shocking to imagine, there was a time when jurors would be deprived of food and rest until they reached a verdict. In rejecting the practice, Chancellor Kent reasoned that a verdict reached under such conditions is

“founded not on temperate discussion and clear conviction, but on strength of body” and “does not . . . stand with conscience, but is altogether repugnant to a sense of humanity and justice” (*People v Olcott*, 2 Johns Cas 301, 309 [1801], quoted in *People v Sheldon*, 156 NY at 276). In *People v Sheldon*, we expressed sympathy with the trial court’s desire to see the case end with a verdict, but concluded that the court “fell into error, and, as a result, very likely coerced some members of the jury into an agreement with their fellow-members against their own personal convictions” (*id.* at 282-283). The error in *Sheldon* was keeping the jurors together in a cramped room for about 85 hours without beds or cots, and giving the impression that they would remain confined for longer if they did not reach a verdict.

Other jury instructions we have invalidated have not been as bluntly coercive as in *Olcott* or *Sheldon*. In *People v Faber*, the trial court instructed that a juror “should join with his co-jurors, and should make in some respects their opinion his own” (199 NY at 258). We held that “[t]he trial judge, in his apparent desire to have the jury agree, inadvertently overlooked the independent, individual and personal character of jurors composing the body who sit to determine controversies” (*id.*). The court’s instruction “may have resulted in an agreement by the jury where an agreement would not have been obtained if each juror in obedience to his right and duty had decided the case upon his own opinion of the evidence and upon his own judgment” (*id.* at 259). When a juror surrenders “conscientious views founded upon the evidence,” it must be due to “argument and comparison of views” (*id.* at 261).

In *People v Carter* (40 NY2d 933 [1976]), we relied on *Sheldon* and *Faber* in granting a new trial where the court had instructed the jurors that they would be held incommunicado until they reached a verdict, after the court had learned, during a polling, that a lone juror had voted not guilty. In *Matter of Plummer v Rothwax* (63 NY2d 243 [1984]), the judge declared a mistrial after jurors had declared further deliberations would be fruitless, and this Court found that “it was reasonable for the trial court to avoid any coaxing, inducing or pressuring the jury to return for further deliberations. Such action could have proven coercive and prejudicial and might have resulted in the denial of a fair verdict to the defendant or the People, a verdict which the jury might not otherwise support” (*id.* at 252-253; see also *People v Dawkins*, 82 NY2d 226 [1993]). In *People v Antommarchi* (80 NY2d 247, 252 [1992]), we held that an *Allen*

charge violated the Federal and State Constitutions because it coerced dissenting jurors into articulating a basis for their doubts, and impermissibly shifted the burden of proof. Most recently, we held that a coercive jury instruction deprived defendant of a fair trial (*People v Aponte*, 2 NY3d 304 [2004]).

There are distinctions between the foregoing cases and this case, but they do not warrant a different result. First, while it was the trial court that delivered the deadlock instruction, it did so at the behest of the Legislature, which drafted the instruction. Coercive instructions are improper whether they spring from the mind of an individual judge or the collective mind of the Legislature. Second, the jurors in this case did not express the view that they were deadlocked. But this is not surprising considering that they were given the deadlock instruction before they began their deliberations. What is dispositive is that the jurors in a capital case are given instructions that may coerce them into surrendering their conscientious beliefs. The fear in this case was not that jurors would be deprived of meals or rest, or that failure to agree would have wasted everyone's time. Rather, the motivating fear in the minds of a juror in a numerical minority is likely to be that a vote for life without the possibility of parole is really a vote for life with the possibility of parole.¹⁹

The dissent asserts that a deadlocked jury amounts to a failure of the system. It would be a far greater failure of the system that, as a result of legislative coercion, an individual could be sentenced to die. If all 12 jurors cannot reach an uncoerced unanimous conclusion that the death penalty is the appropriate sanction, the defendant must not be sentenced to death. Thus, if there is one lone juror who truly believes that the death sentence is not warranted, then a non-death sentence must be

19. The dissent maintains that requiring an anticipatory deadlock instruction providing for a sentence of life imprisonment without parole could invite life-favoring jurors, who think a life sentence is appropriate, to hold out and create a deadlock, thereby thwarting the will of the majority jurors who wish to impose the death penalty. What the dissent ignores is that holdout jurors can affect the outcomes of jury actions in every sphere of our criminal justice system. If the deadlock sentence had been life without parole, then jurors would have no reason to fear that a deadlock would result in the eventual release of the defendant. In that instance jurors committed to life without parole would not be coerced into giving up their conscientious belief in order to reach a verdict. In the event of a deadlock, the sentence would at least be one that the jury considered. As it stands now, in the event of a deadlock, the defendant might receive a sentence that none of the jurors could have considered or might even have considered palatable.

imposed (*see* CPL 400.27 [11] [a] [the jury may not direct imposition of a sentence of death unless it unanimously finds beyond a reasonable doubt that the aggravating factor(s) substantially outweigh the mitigating factor(s) established, if any, and unanimously determines that the penalty of death should be applied]).

This Court has repeatedly construed the State Constitution's Due Process Clause to provide greater protection than its federal counterpart as construed by the Supreme Court (*Sharrock v Dell Buick-Cadillac*, 45 NY2d 152, 159 [1978]). In doing so, we have often found that a Supreme Court rule represents a departure from an earlier rule, which was consistent with our own established law or with fundamental justice and fairness. For instance, in *Cooper v Morin* (49 NY2d 69 [1979]), we rejected a test of what constitutes punishment of pretrial detainees under the Eighth Amendment announced in *Bell v Wolfish* (441 US 520 [1979]), which was less probing than the test enunciated in *Kennedy v Mendoza-Martinez* (372 US 144 [1963]). Under the new test the Supreme Court adopted, a regulation did not violate due process if the regulation "has a legitimate purpose other than punishment and is not excessive in relation to that purpose" (*Cooper v Morin*, 49 NY2d at 79). We regarded that test as "one-sided" and instead adopted a test that balanced "the harm to the individual resulting from the condition imposed against the benefit sought by the government through enforcement" (*id.*). In *People v Vilardi* (76 NY2d 67 [1990]) we remained committed, as a matter of state due process, to the two-tiered framework the Supreme Court had adopted in *United States v Agurs* (427 US 97 [1976]) for analyzing the materiality element of a claim under *Brady v Maryland* (373 US 83 [1963]), rather than signing on to its more recent standard articulated in *United States v Bagley* (473 US 667 [1985]).

In this case, we regard *Jones v United States* (527 US 373 [1999]) as unfaithful to the often repeated principle that death is qualitatively different and thus subject to a heightened standard of reliability (*see Gregg v Georgia*, 428 US 153 [1976]; *Woodson, supra*; *Beck, supra*). There, rejecting defendant's argument that some jurors were essentially coerced into voting for death out of fear that defendant would receive a lesser sentence upon a deadlock, the Supreme Court found that even if jurors were confused, defendant could not show prejudice since it was just as likely that jurors in favor of death would vote for life imprisonment. As noted, the research evidence indicates that the opposite is more likely.

In any event, a vote for life imprisonment or death, driven by the fear that a defendant might be parole-eligible if jurors fail to reach unanimity, does not satisfy the heightened standard of reliability required by our State Constitution. Moreover, to require a defendant sentenced to death to show actual prejudice would be inconsistent with our case law holding that actual prejudice need not be shown for certain due process violations in noncapital cases (*People v Staley*, 41 NY2d 789, 792 [1977] [“failure to conduct a prompt prosecution, in a proper case, may require dismissal of the indictment even in the absence of prejudice to the defendant”]).

The dissent contends that the majority is ignoring the will of the Legislature. The Court, however, plays a crucial and necessary function in our system of checks and balances. It is the responsibility of the judiciary to safeguard the rights afforded under our State Constitution. While the Legislature may vote to have a death penalty, it cannot create one that offends constitutional rights. Thus, it is necessarily our responsibility to strike down the deadlock instruction in CPL 400.27 (10) because it creates the substantial risk of coercing jurors into sentencing a defendant to death in violation of our Due Process Clause. The deadlock instruction is invalid under our own case law condemning coercive instructions, and the State Constitution’s Due Process Clause, providing greater protection than its federal counterpart. Consequently, defendant’s death sentence must be set aside.

D. ABSENCE OF ANY INSTRUCTION

[7] We further conclude that the absence of any instruction is no better than the current instruction under our constitutional analysis, and thus we decline to adopt *Jones*. Like the flawed deadlock instruction, the absence of an instruction would lead to death sentences that are based on speculation, as the Legislature apparently feared when it decided to prescribe the instruction. As the studies previously cited indicate, jurors might fear that the failure to reach a unanimous verdict would lead to a defendant’s release, retrial or sentence to an even lesser term than the one currently prescribed in the deadlock scenario. Indeed, a key motivation for jurors to vote for the death penalty is undoubtedly their fear that a defendant will otherwise pose a danger on the streets (see *Garvey*, 98 Colum L Rev at 1559-1560; see also Blume, *Garvey and Johnson, Future Dangerousness in Capital Cases: Always “At Issue,”* 86 Cornell L Rev 397 [2001]). Our State Constitution does not permit a

death sentence imposed by jurors who may have chosen that option based on rank speculation about a defendant's eventual release into society.

The Attorney General points out, and the dissent recognizes, that the Legislature sought to fulfill the twin aims of minimizing juror speculation by providing an instruction, and encouraging unanimity. Our conclusion today identifies the preeminence of reducing juror speculation. As the Attorney General acknowledges (while supporting the constitutionality of the existing instruction), “[i]f no deadlock instruction is given, and jurors are kept in the dark as to what will happen in the event they cannot decide on sentence, speculation will flourish. As the research . . . demonstrates, this speculation is almost always to the defendant's detriment.” (Attorney General's Brief at 41.)

As noted, the *Jones* court held that “the Eighth Amendment [to the Federal Constitution] does not require that the jurors be instructed as to the consequence of their failure to agree” (527 US at 381). It bears reiterating here that “on innumerable occasions this [C]ourt has given [the] State Constitution an independent construction, affording the rights and liberties of the citizens of this State even more protection than may be secured under the United States Constitution” (*Sharrock v Dell Buick-Cadillac*, 45 NY2d at 159).²⁰ We hold that in this case the Due Process Clause of the New York Constitution requires a higher standard of fairness than the Federal Constitution as interpreted by the *Jones* majority (see NY Const, art I, § 6 [“No person shall be deprived of life, liberty or property without due process of law”]).²¹

In *Sharrock*, we noted that “historical differences between the Federal and State [D]ue [P]rocess [C]lauses make clear that they were adopted to combat entirely different evils” (45 NY2d at 160). Prior to the Fourteenth Amendment, the Federal Due Process Clause offered “virtually no protections of individual liberties” while “State Constitutions in general, and the New York Constitution in particular, have long safeguarded any

20. See also *Cooper v Morin*, 49 NY2d at 79 (“We have not hesitated when we concluded that the Federal Constitution as interpreted by the Supreme Court fell short of adequate protection for our citizens to rely upon the principle that that document defines the minimum level of individual rights and leaves the States free to provide greater rights for its citizens through its Constitution, statutes or rule-making authority”).

21. See also brief of amicus curiae, the Cornell Death Penalty Project, submitted in *People v Harris* (98 NY2d 452 [2002]).

threat to individual liberties” (*id.*). New York “recognized that unreasonable delay in prosecuting a defendant constitutes a denial of due process of law” before the Supreme Court similarly broadened the federal constitutional right to a speedy trial (*see People v Staley*, 41 NY2d 789, 791 [1977]). Similarly, our State Constitution provided a basis for the right to counsel well before the Supreme Court recognized comparable rights federally (*see People v Settles*, 46 NY2d 154, 160 [1978]). Now, recognizing the gravity of capital punishment and the concomitant need for greater certainty in the outcome of capital jury sentences, we hold that providing no deadlock instruction in the course of capital sentencing violates our Due Process Clause. Our conclusion is buttressed by the clear legislative intent that there be a jury instruction on the consequences of a deadlock.

We thus join eight other states that have determined, by court rule (Delaware, Louisiana and New Jersey) or legislative enactment (Idaho, Missouri, Oregon, Pennsylvania and Wyoming), that a jury instruction on the consequences of deadlock is required in a capital case. In *State v Williams*, the Louisiana high court, on rehearing, presciently considered whether a trial judge must inform jurors in a capital sentencing hearing that a defendant will be sentenced to life imprisonment “without benefit of probation, parole or suspension of sentence” (392 So 2d 619, 633 [La 1980]), if they are unable to reach a unanimous decision. The *Williams* court observed that because jurors were kept in the dark, they were left to speculate about the outcome if they could not agree, and “could rationally surmise that in the event of disagreement a new sentencing hearing, and perhaps a new trial, before another jury would be required” (392 So 2d at 634). The obvious danger in this type of speculation “may have swayed a juror to join the majority, rather than hold to his honest convictions” (*id.*).

Relying on Eighth Amendment principles, the *Williams* court concluded that the penalty of death had been imposed under a procedure that “created a substantial risk that it would be inflicted in an arbitrary and capricious manner” (*id.* at 635). Similarly, in *Whalen v State* (492 A2d 552, 562 [Del 1985]), the Supreme Court of Delaware concluded that a trial court’s failure to adequately inform jurors that a failure to unanimously agree on a sentence of death would lead to a sentence of life without parole was a “substantial denial of the defendant’s constitutional rights.”

In New Jersey, the Supreme Court acted in the exercise of its supervisory powers and was “guided as well by the constitu-

tional imperative in a capital case that jurors be made to understand the ultimate consequences of their decision” (*State v Ramseur*, 106 NJ at 309, 524 A2d at 283). Like us, the New Jersey court rejected the rationale of some other state courts which concluded that a trial court is not obligated to inform a capital jury of the consequences of its inability to agree.

We cannot, however, ourselves craft a new instruction, because to do so would usurp legislative prerogative. We have the power to eliminate an unconstitutional sentencing procedure, but we do not have the power to fill the void with a different procedure, particularly one that potentially imposes a greater sentence than the possible deadlock sentence that has been prescribed. As the Court noted in *People v Gersewitz* (294 NY 163, 169 [1945]), we have “no power to supply even an inadvertent omission of the Legislature.”²² We thus conclude that under the present statute, the death penalty may not be imposed. Cases in which death notices have been filed may go forward as noncapital first degree murder prosecutions.

E. REMEDY

CPL 470.30 (1) authorizes this Court to take corrective action upon a reversal or modification. CPL 470.30 (5) (c) authorizes this Court to “set the sentence aside and remand the case for resentencing by the court for a determination as to whether the defendant shall be sentenced to life imprisonment without parole or to a term of imprisonment for the class A-I felony of murder in the first degree other than a sentence of life imprisonment without parole.” Pursuant to these provisions, the case should be remitted to the trial court for imposition of a sentence of life imprisonment without parole or a sentence with a minimum of 20 to 25 years and a maximum of life. In light of our conclusion, the remaining penalty phase claims are academic.

Accordingly, the judgment should be modified by vacating the sentence of death and remitting to Supreme Court, Suffolk

22. Indeed, in *People v Smith* (63 NY2d 41, 79 [1984]), we declined to rewrite the death penalty statute to provide the constitutionally-required mitigating factors. Rejecting the Attorney General’s proposal that the Court construe the death statute in a manner that would pass constitutional muster, we found that this would be “wholly at odds with the wording of the statute and would require us to rewrite the statute” (*id.*). We recognized that the court in *United States v Harper* (729 F2d 1216 [9th Cir 1984]) faced a similar dilemma. It held that the death penalty provisions in the federal Espionage Act could not “be saved by judicial formulation of the missing, but essential, statutory guidelines” finding that “the guidelines must come from Congress, not from the courts” (*id.* at 1226, 1225; *see also State v Cline*, 121 RI 299, 303, 397 A2d 1309, 1311 [1979]).

County for resentencing in accordance with CPL 470.30 (5) (c) and Penal Law §§ 60.06 and 70.00 and, as so modified, affirmed.

ROSENBLATT, J. (concurring). Declaring a statute unconstitutional is not a celebratory event, but from time to time a necessary part of the judicial function and a pillar of our system of checks and balances. With that in mind, I write separately to emphasize why I fully concur with the Court.

While cogent, the dissent goes too far in asserting repeatedly that the Court is substituting its own preferences for the Legislature's. Many trial judges in the United States and in New York (myself included) have not shrunk from imposing death sentences on defendants even though, as judges, we might have qualms about it. The dissent makes this point, stating that it recognizes the Court's "obvious discomfort with the death penalty—indeed we [the dissenters] may share that discomfort." (Dissenting op at 149.) I take this as my colleagues' reminder—an apt and timely one—that judges should subordinate their personal predilections to the legislative will.

But there is another side of the coin, no less compelling. Just as judges should not shrink from carrying out the legislative will, so too should they not shrink from declaring statutes unconstitutional in proper cases, however distasteful *that* may be. In both instances, criticism (and occasionally, cynicism) is inevitable (e.g., "the court did not have the stomach to declare the death penalty law unconstitutional" or, from the other side, "the court did not have the stomach to carry out the death penalty").

My assessment is that most often, and surely in the case before us, judges are ruled not by their stomachs but by their minds, their judicial experience, and their constitutional training and analysis. Without doubt, that is true of the Court's decision today. The same, I am prepared to say, is true of the dissent. Although I disagree with it, I ascribe to it no personal or ideological bias any more than I do to the Court's writing. The case before us involves a difference of opinion on a point of constitutional law, and I side firmly with the Court.

The deadlock instruction at hand is coercive. Granted, it can coerce both ways. Death-prone jurors may well come over to life without parole so as to be assured that the defendant will never be released. But it is no less likely that the life without parole jurors will vote for death because it is the only way to guarantee that the defendant will always remain behind bars.

In terms of symmetry, this is nicely balanced, but as a constitutional matter it does not add up. If 5 of 10 defendants are executed based on coercion, there is little comfort knowing that the other five will be spared the death penalty. Sparing five does not offset the improper execution of the other five. This is not a point of personal predilection. A calculation of that kind simply cannot withstand scrutiny under our State Constitution.

The deadlock instruction is a critical part of the capital case machinery, and in holding it unconstitutional, the Court is not acting on some trifling or arcane technicality. The trial judge gives the jury the deadlock instruction at an exquisitely crucial time. It is a signpost at the very crossroads of life and death. If the directions are omitted or coercive, it could wrongfully mean someone's life. I stress this because no one should suppose that the Court is engaging in a didactic exercise involving angels dancing on the heads of pins. Contrary to the dissent's assertion, it is not part of a design to devise creative obstructions to the death penalty. Deadlock instruction jurisprudence is, literally, a matter of life and death, and the Court is right to declare that an execution based on an unreliable sentencing verdict is constitutionally unacceptable and cannot be justified in the name of deference to the Legislature.

I cannot imagine that the Legislature intended to coerce jurors into unreliable verdicts when it determined that a deadlock instruction was required. But neither can I imagine that, since the founding of our Republic, lawmakers deliberately have set out to draft unconstitutional statutes in hundreds of cases in which American courts have declared those statutes unconstitutional.

No other jurisdiction has enacted a deadlock instruction like this one. While I surely sense nothing willful or pernicious in the Legislature's motivation, it remains that the instruction is inexplicable and fatally defective.

Finally, for the reasons convincingly expanded upon by the Court, I agree that leaving the statute with no deadlock instruction at all is constitutionally untenable and that, as the Court has explained, it would be impermissible for us to rewrite or restructure the law. The dissent asserts that the Court's result is astonishing. For my part, under constitutional analysis, the Court can come to no other result.

R.S. SMITH, J. (dissenting). The Court today renders New York's death penalty statute unenforceable on the ground that

the statute fails to afford death penalty defendants a newly discovered constitutional right: the right to a penalty phase trial before a jury that is told, in advance, that a hung jury guarantees the same sentence that would result from a verdict of life imprisonment. The existence of such a right finds no support in precedent, and none in logic except on the premise that death penalty defendants are constitutionally entitled to every procedural advantage the human mind can devise. We dissent, and would hold that the deadlock instruction required by Criminal Procedure Law (CPL) § 400.27 (10) is not unconstitutionally coercive; that the statutory language requiring that instruction, even if invalid, is severable from the other statutory provisions authorizing the death penalty; and that the statute without the instruction is enforceable.

I

CPL 400.27 (10) sets forth the procedure to be followed at the penalty phase of a death penalty trial. The provision the majority holds unconstitutional is the fifth sentence of the section, which provides:

“The court must also instruct the jury that in the event the jury fails to reach unanimous agreement with respect to the sentence, the court will sentence the defendant to a term of imprisonment with a minimum term of between twenty and twenty-five years and a maximum term of life.”

The majority is correct in saying that this is an unusual provision, apparently with no counterpart in the laws of other states. It is quite possible to question the wisdom of this statute, and to believe that a different provision on the subject (or no provision at all) would have been a better choice. But an act of the Legislature is not unconstitutional because it is unique or because its wisdom may be questioned. This statute is constitutional unless obedience to its command violates due process by depriving a defendant of a fair trial. In our view, it meets this test.

The statute addresses the problem of what, if anything, to tell a jury in advance about the consequences of the jury's failure to reach unanimous agreement. The usual procedure is to tell jurors nothing—an approach for which there is much to be said. The consequences of a deadlock are no part of a jury's proper concern. A jury's job is to arrive unanimously at a verdict, if it can. If it cannot overcome its disagreements, its job is simply to

report its inability to reach a verdict, let the consequences be what they may. In accordance with these principles, it is the normal procedure, both in death penalty and non-death penalty cases, to omit all reference to the consequences of a deadlock from the court's initial instructions to the jury.¹

Thus, we think it quite clear that a legislature could properly choose *not* to require an “anticipatory” deadlock instruction—and we are astonished, as we explain further in the next section of this opinion, that the majority today holds otherwise. We also believe, however, that a legislature constitutionally may, as New York's Legislature did, decide that an anticipatory deadlock instruction is desirable. The Legislature did not have to, but could, guard against the possibility that jurors left in the dark about the consequences of a deadlock will speculate, and that the speculation may distort their deliberations. If the jury at the penalty phase of a death penalty trial conjectures, mistakenly, that a deadlock will result in a new trial and the significant delay, inconvenience and expense that would entail, some jurors may, consciously or not, be inclined to forego their own views for the sake of unanimity. To avoid the possibility that a verdict may be the result of inaccurate guesswork, the Legislature may choose to assure that jurors are accurately informed about the consequences of their failure to agree.

Plainly, the majority here finds nothing wrong with the principle of giving jurors information about the consequences of a deadlock—on the contrary, it finds an anticipatory deadlock instruction to be constitutionally required. The majority seems to recognize that the deadlock instruction required by New York's Legislature may be better for defendants, in many cases, than the traditional approach of leaving the jury in the dark. But the majority holds that the specific deadlock instruction provided in New York's statute is unconstitutional, because it might sometimes work to the defendant's disadvantage.

The majority objects to the instruction required by the statute because it tells the jury that the sentence in case of deadlock will be life imprisonment with the possibility of parole after either 20 or 25 years—a less severe sentence than either of the two (death or life without parole) for which the jury may return a verdict. The majority suggests that, since jurors may find the possibility of parole for someone who has committed first degree murder unacceptable, jurors who are result-oriented—who are

1. See the summary of practices in other jurisdictions below (at 144).

willing to go along with a verdict they do not like, in order to avoid a less palatable alternative—may be induced to compromise and avoid a deadlock.

This inducement to compromise can work either way. Indeed, in principle it is more likely to cause a pro-death juror to vote for life than the other way around. This is because a juror who favors the death penalty in a particular case will almost invariably prefer life without parole to a sentence that makes the defendant parole-eligible. But a juror opposed to the death penalty in a particular case may or may not be willing to accept that penalty in preference to a sentence of 20 or 25 years to life.

Admittedly, the theoretical possibility exists that, in some cases, a juror who favors a life without parole sentence will be motivated by the statutorily-required instruction to agree to a death sentence.² But our State Constitution has never been, and should not be, held to require the elimination from the system of every possibility of juror compromise. Jurors prone to compromise, like holdout jurors, “can affect the outcomes of jury actions in every sphere of our criminal justice system” (majority op at 126 n 19)—and the Constitution does not require giving preference to holdout over compromise.

Assuming that some jurors are result-oriented, *any* anticipatory deadlock instruction may affect their deliberations: it may provide some jurors either with an incentive to avoid a deadlock or an incentive to create one. The alternative instruction that New York’s Legislature might have chosen would say that the result of a deadlock will be life without parole, the same result as a unanimous penalty-phase verdict in the defendant’s favor. That instruction is an obvious invitation to a deadlock. It says to every juror who does not want to impose a death sentence: “If you hold out, you win.” The Legislature could reasonably have decided that offering this kind of encouragement to a hung jury was undesirable. The purpose of a jury trial is to obtain a verdict, and when a jury disagrees the system has failed.

2. The majority suggests that studies of juror misconceptions about the time a defendant will actually serve, and the impact of those misconceptions on sentencing, show that this possibility is a likely one (majority op at 117-118). But the studies the majority cites were done largely in states where courts or legislatures permit sentencing juries to consider the question of “future dangerousness.” It is unsurprising that many jurors in these states may be preoccupied with the question of when the defendant will be released from prison, but the studies shed little light on what New York jurors will do in making sentencing decisions, and even less on how, if at all, they will be influenced by an anticipatory deadlock instruction.

New York's Legislature chose to steer a middle course between telling jurors nothing about the consequences of a deadlock (thus perhaps encouraging speculation) and telling jurors that a deadlock is the equivalent of a verdict for life (thus encouraging deadlock). While most other states have chosen to pursue one of two goals—either avoiding speculation or encouraging unanimous verdicts—it was a reasonable legislative judgment for New York to value both goals, and try to advance them both. Neither the State nor Federal Constitution requires the Legislature to subordinate one goal to the other.

Our analysis of the case law confirms our view that the Legislature's chosen deadlock instruction is not unconstitutional. It is clear that, at least in noncapital cases, it is not forbidden to warn a jury that a deadlock may have adverse consequences. In *United States v Smith* (857 F2d 682 [10th Cir 1988]), for example, the court upheld an *Allen* charge stating: "If you fail to reach a verdict, the parties *will* be put to the expense of another trial and *will* once again have to endure the mental and emotional strain of a trial" (*id.* at 684). Instructions to this effect (usually not "anticipatory," but given after a jury has indicated difficulty in reaching agreement) are not unusual (*see e.g. Freeman v State*, 115 SW3d 183, 186 [Tex App 2003]; *State v Vega*, 789 A2d 896, 898 [RI 2002]; *Wright v State*, 274 Ga 305, 306-307, 553 SE2d 787, 789 [2001]; *People v Cowen*, 249 AD2d 560 [2d Dept 1998], *lv denied* 92 NY2d 895 [1998]; *State v Whitaker*, 255 Kan 118, 125, 872 P2d 278, 285 [1994]; *Wiggins v State*, 429 So 2d 666, 669 [Ala Crim App 1983]; *Griffin v State*, 2 Ark App 145, 148-149, 617 SW2d 21, 23 [1981]; *see also* Annotation, *Instructions Urging Dissenting Jurors in State Criminal Case to Give Due Consideration to Opinion of Majority [Allen Charge]*—*Modern Cases*, 97 ALR3d 96, § 2 [a]; §§ 3, 14 [b]).

There seem to be no appellate cases considering whether it is constitutional to tell a jury, where the law so provides, that the effect of a jury deadlock will be to make a defendant eligible for parole. Courts have, however, repeatedly considered an analogous question: May a jury be told that, if it chooses a life sentence over a death sentence, the defendant may some day go free? The law is quite clear that, as long as the information given to the jury is accurate, it is not unconstitutional to make a jury aware that a defendant sentenced to life may be released.

This precise question was decided in *California v Ramos* (463 US 992 [1983]). At issue in that case was a California statute

requiring a jury to be told that “a Governor may in the future commute or modify a sentence of life imprisonment without possibility of parole to a lesser sentence that would include the possibility of parole” (*id.* at 996). The Court held that this instruction did not offend the Federal Constitution. It was entirely proper, in the Court’s view, to invite the jury to consider, as a factor weighing in favor of a death sentence, the undesirable possibility that the defendant might “be permitted to return to society” (*id.* at 1003).

By contrast, it has repeatedly been held that it is unconstitutional to *mislead* a jury into believing that a defendant, if sentenced to life imprisonment, may someday be released. That was the holding in *Simmons v South Carolina* (512 US 154 [1994]), in which the Court held that, where the life sentence that the jury considered was, by state law, life without parole, the Constitution required that the jury be informed of that fact. Justice Blackmun’s plurality opinion noted that to withhold the information from the jury could reasonably have led to a “misunderstanding” that the jury faced “a false choice between sentencing petitioner to death and sentencing him to a limited period of incarceration” (*id.* at 161). Similarly, in *Morris v Woodford*, the court set aside a death sentence where, because of a typographical error, a jury was given the impression that a verdict of life would mean life “with the possibility of parole” (273 F3d 826, 837 [9th Cir 2001]). The majority says that *Morris* is “[t]he case closest in point” here (majority op at 119), but in a crucial respect it is not in point at all, because the impression given the jury in *Morris* was false.

Simmons itself makes clear that, where the possibility of parole really exists, making the jury aware of it violates no constitutional right. Justice Blackmun, speaking for four members of the *Simmons* court, said that “nothing in the Constitution prohibits the prosecution from arguing any truthful information relating to parole or other forms of early release” (512 US at 168). Justice O’Connor’s concurring opinion for three Justices agreed (“[i]n a State in which parole is available, the Constitution does not require [or preclude] jury consideration of that fact” [*id.* at 176]), as did Justice Scalia’s dissent for himself and Justice Thomas (“the Court has noted that ‘the wisdom of the decision to permit juror consideration of [post-sentencing contingencies] is best left to the States’ ” [*id.* at 183, quoting *Ramos*, 463 US at 1014]). Thus, in *Simmons*, all nine Justices recognized that, where a life sentence will make a de-

fendant eligible for parole, a jury may constitutionally be told so.³

It follows logically that, where—as under New York’s statute—a deadlocked jury will make a defendant eligible for parole, that fact too may be communicated to the jury. The defendant’s interest in being free from “coercion” is no greater where the defendant is seeking a hung jury than it is where he is seeking a verdict. Indeed, his interest in an uncoerced *verdict* in his favor is arguably more worthy of protection, for a verdict, not a hung jury, is the desired and intended outcome of a jury trial.

The majority implicitly agrees that, in deciding what a jury may be told about the consequences of a deadlock, we may look to cases involving the jury’s knowledge of the consequences of a verdict. The majority relies on *Beck v Alabama* (447 US 625 [1980]), in which the Court held that the death penalty could not be imposed for the offense of “robbery-intentional killing” where an Alabama statute prohibited allowing a jury to convict for the lesser included offense of felony murder. In the view of the *Beck* court, the Alabama procedure created an unacceptable risk that the jury would “convict for an impermissible reason—its belief that the defendant is guilty of some serious crime and should be punished,” even where the jury was not convinced that the defendant was guilty of the capital offense beyond a reasonable doubt (*id.* at 642).

In substance, then, the *Beck* court held the Alabama procedure unconstitutionally coercive. But it was coercive because it forced the jury to choose between conviction on the capital offense and *acquittal*—not between a death sentence and a sentence of 20 or 25 years to life (*id.* at 642-643). We accept the majority’s premise that *Beck* is relevant to what may be said in an anticipatory deadlock instruction. *Beck* no doubt implies that an instruction would be unconstitutionally coercive if it told the jury that a deadlock would set the defendant free at once. But, by the same logic, *Ramos* and *Simmons* establish that it is not unconstitutionally coercive to tell the jury that a deadlock will produce a life sentence with the possibility of parole.

3. The practice under a prior New York death penalty statute was consistent with this principle. Former Penal Law § 1045-a (4) required that a sentencing jury be instructed on “the law relating to the possible release on parole of a person sentenced to life imprisonment” (L 1963, ch 994, § 2; see *People v Dusablon*, 16 NY2d 9, 18 [1965]). We are aware of no authority suggesting that this requirement violated the State or Federal Constitution.

In addition to its reliance on *Beck*, the majority relies on the general proposition that coerced verdicts are bad—a proposition with which, in principle, no one can disagree. It is clear that “[a]ny criminal defendant, and especially any capital defendant, being tried by a jury is entitled to the uncoerced verdict of that body” (*Lowenfield v Phelps*, 484 US 231, 241 [1988]). *Lowenfield* also holds, however, that not every instruction that prods a jury to reach a verdict is “‘coercive’ in such a way as to deny . . . any constitutional right” (*id.*). The majority opinion appears to recognize that under the Supreme Court’s interpretations of the Federal Constitution in *Ramos* and in *Jones v United States* (527 US 373, 394 [1999]) (which we discuss in part II [B] of this opinion), New York’s deadlock instruction would pass muster (majority op at 122-124). Yet the majority holds that our State Constitution requires a different result.

In search of support for this view, the majority reaches all the way back to the days when jurors were “deprived of food and rest until they reached a verdict” or kept “in a cramped room for about 85 hours without beds or cots” (majority op at 125)—not very compelling analogues to the present case. Turning to more modern jurisprudence, the majority relies on cases where we found that particular versions of an *Allen* charge went too far in encouraging a jury to reach a verdict (majority op at 125-126). But these cases do not come close to supporting the majority’s reading of a new constitutional right into our State’s Due Process Clause. We have never relied on a distinct interpretation of the State Constitution in *Allen* charge cases, and we regularly cite federal authority in support of our holdings (*see e.g. People v Aponte*, 2 NY3d 304, 309 [2004], citing *Lowenfield*, 484 US at 240, and *United States v United States Gypsum Co.*, 438 US 422, 462 [1978]). Indeed, we generally do not invoke either the State or Federal Due Process Clause in deciding the propriety of an *Allen* charge. *People v Antommarchi* (80 NY2d 247, 252 [1992]) is an exception, but it relies on both the State and Federal Due Process Clauses, suggesting no distinction between the two.

The instructions involved in our *Allen* charge cases are distinguishable from New York’s anticipatory deadlock charge in several important ways. An *Allen* charge is, ordinarily, a supplemental instruction given to a jury that has indicated it is having difficulty reaching agreement. It directs jurors to return to the jury room, to consult with one another and to deliberate honestly by considering the views of others without surrender-

ing their own conscientiously held beliefs (*see* 1 CJI[NY] 42.60 [1983]). An instruction that tells a struggling jury to give deliberations another try has far more potential to be coercive than a part of the main charge, given before any problem has arisen, that informs the jury of the legal consequences of a deadlock (*see People v Ali*, 47 NY2d 920 [1979] [pointing out that *Allen* charges have less coercive potential when the jury's duty to listen to and consider the views of other jurors is described along with their other responsibilities]). The Legislature thus minimized the risk of coercion in capital cases by providing for an *anticipatory* deadlock instruction.

Despite the risk of coercion inherent in supplemental *Allen* charges, we have upheld them in many cases (*see e.g. People v Pagan*, 45 NY2d 725 [1978]), and where we have not upheld them it is for particular reasons—because the court belittled the seriousness of the decision facing the jury, threatened to sequester the jury indefinitely, singled out jurors holding the minority view, or gave an unbalanced charge that demanded a verdict without cautioning jurors not to surrender conscientiously held beliefs (*see e.g., People v Riley*, 70 NY2d 523 [1987]; *People v Diaz*, 66 NY2d 744 [1985]; *People v Carter*, 40 NY2d 933 [1976]). The anticipatory deadlock instruction of CPL 400.27 (10) suffers from none of these infirmities. To the extent that it may encourage a verdict, it does not depart from our *Allen* charge jurisprudence, which makes clear that that is an entirely permissible function of an instruction (*Aponte*, 2 NY3d at 308).

In short, the deadlock instruction of CPL 400.27 (10) is consistent with our *Allen* charge cases. But even if it were not—even if we would disapprove this charge, had a trial court given it without statutory authority—that would not make it unconstitutional. The Legislature has prescribed this particular instruction, and we must defer to the Legislature's wishes if there is any basis on which the enactment may be sustained (*see Matter of Atkinson v City of New York*, 96 NY2d 809, 810 [2001]; *Matter of Jacob*, 86 NY2d 651, 667 [1995]; *Bennett v County of Nassau*, 47 NY2d 535, 540 [1979]; *People v O'Brien*, 111 NY 1, 57 [1888]). To hold that because, in the majority's view, the statutorily-prescribed instruction says more than we would approve in an *Allen* charge, that instruction violates the Due Process Clause is a logical leap that the majority completely fails to justify. The majority has confused its own policy preferences with what the Due Process Clause requires.

We would hold that the anticipatory deadlock instruction provided in CPL 400.27 (10) is permissible under the United States and New York Constitutions.

II

Having found the deadlock instruction required by statute to be unconstitutional, the majority might be expected to consider whether it is severable from the remainder of the death penalty statute. The majority opinion, however, does not mention the issue of severability. Rather, it concludes that “under the present statute, the death penalty may not be imposed” (majority op at 131)—not because the deadlock instruction and the death penalty are not severable, but because, according to the majority, *some* deadlock instruction is constitutionally required, and the instruction can be fashioned only by the Legislature, not the Court.

We believe that the instruction and the rest of the statute are obviously severable. We also believe that the majority’s holding that a deadlock instruction is constitutionally required embodies an extreme version of the error we have already discussed—substituting the majority’s policy preferences for those of the Legislature.

A

The issue of severability is not at all difficult in this case. Addressing that issue “requires first an examination of the statute and its legislative history to determine the legislative intent and what the purposes of the new law were, and second, an evaluation of the courses of action available to the court in light of that history to decide which measure would have been enacted if partial invalidity of the statute had been foreseen” (*Matter of Westinghouse Elec. Corp. v Tully*, 63 NY2d 191, 196 [1984]). Here, “the legislative intent” and “the purposes of the new law” are not in doubt. The primary legislative purpose in enacting chapter 1 of the Laws of 1995 was “[t]o allow for the imposition of the death penalty upon a defendant’s conviction for certain types of intentional murder” (see Bill Jacket, L 1995, ch 1, at 20 [Mem of Assembly Codes Comm]; see e.g. *id.* at 5 [Governor’s Approval Mem], at 13 [Governor’s Program Bill Mem], at 44 [Attorney General’s Mem]). Nor is there any doubt of what the Legislature would have done “if partial invalidity of the statute had been foreseen.” The Legislature expressly said that “[i]f any section, part or provision of this act shall be

declared unconstitutional . . . such declaration shall be limited to the section, part or provision directly involved in the controversy in which such declaration was made and shall not affect any other section, part of provision thereof” (L 1995, ch 1, § 37).

Nor is there any mechanical obstacle to severance here. The offending provision of the statute consists of one sentence from CPL 400.27 (10), which is quoted in this opinion (at 134). No other part of the death penalty statute refers to, or logically depends on, this provision, and to excise it is as simple as taking out a pencil and drawing a line.

We thus conclude that the portion of the death penalty statute found unconstitutional here is severable from the remainder of the statute. The majority does not indicate that it disagrees.

B

The majority, however, concludes that the statute without the fifth sentence of CPL 400.27 (10) is unenforceable absent legislative action. The flaw in the statute shorn of the deadlock instruction, according to the majority, is that it does not affirmatively reassure jurors that a deadlock is a safe option. According to the majority, any jury instruction that is silent on the subject of the consequences of failure to agree is constitutionally forbidden because the court’s silence may lead jurors to engage in “rank speculation about a defendant’s eventual release into society” (majority op at 129), and their speculation may in turn lead them to acquiesce in a verdict they would otherwise resist. The majority therefore holds that the State Constitution requires that a deadlock instruction be given.

We find this, as we have said, an astonishing holding—much more so than the holding, with which we disagree, that the deadlock instruction chosen by the Legislature is unconstitutional. In invalidating that instruction, the Court strikes down a very unusual, indeed unique, statute. But in holding that the Constitution affirmatively requires a different instruction and forbids a jury charge that is silent on the subject of deadlock, the Court invalidates a procedure that always has been and still is followed almost everywhere—a procedure not only tested by time, but supported by weighty policy considerations. The majority’s holding contradicts the view of the United States Supreme Court, and is supported by no precedent in this or any other jurisdiction. We perceive no basis for it except the majority’s refusal to countenance any procedure in a capital

case other than the procedure thought least likely to produce a death sentence.

The practice of giving no anticipatory instruction on the consequences of a deadlock—the practice the majority holds unconstitutional—is the norm in this country. Outside the death penalty area, it is not unknown for the court’s initial charge to mention that a hung jury will result in a retrial (*e.g. People v Casner*, 20 Ill App 3d 107, 312 NE2d 709 [1974]), but silence on this subject is the general rule. In death penalty cases, some states follow the majority’s preferred procedure of telling the jury that a deadlock on sentencing will have the same result as a verdict for a life sentence, but most do not. Of the 37 states besides New York that have capital punishment, we are aware of only eight that employ an anticipatory instruction about the result of a deadlock. In none of these states has it been held that the instruction was necessary as a matter of due process. Five states have statutes requiring such a deadlock instruction,⁴ and courts in three states have adopted it in the exercise of their supervisory powers.⁵ Courts in 11 other states, however, have declined to hold that a deadlock instruction should be given.⁶

4. See Idaho Code § 19-2515 (7) (2004); Mo Ann Stat § 565.030 (4) (4) (2004); Or Rev Stat § 163.150 (2) (a) (2004); 42 Pa Cons Stat Ann § 9711 (a) (1); (c) (1) (iv) (2004); Wyo Stat Ann § 6-2-102 (b), (d) (ii) (2004).

5. (See *State v Williams*, 392 So 2d 619, 634-635 [La 1980]; *Whalen v State*, 492 A2d 552, 560 [Del 1985]; *State v Ramseur*, 106 NJ 123, 310-311, 524 A2d 188, 283-284 [1987].) As the majority notes (majority op at 130-131), these cases rely in part on cases interpreting the Constitution, but all of them, fairly read, rest on the supervisory power of the states’ highest courts. The Louisiana, Delaware and New Jersey courts had no occasion to decide, and did not decide, that a death penalty statute would be unenforceable if it did not authorize an anticipatory deadlock instruction.

6. See *State v Johnson*, 298 NC 355, 369-370, 259 SE2d 752, 761-762 (1979); *Justus v Commonwealth*, 220 Va 971, 979, 266 SE2d 87, 92 (1980); *Houston v State*, 593 SW2d 267, 278 (Tenn 1980), *overruled on other grounds by State v Brown*, 836 SW2d 530 (Tenn 1992) (upholding statutory prohibition against deadlock instruction); *State v Adams*, 277 SC 115, 124, 283 SE2d 582, 587 (1981), *overruled on other grounds by State v Torrence*, 305 SC 45, 406 SE2d 315 (1991); *Whisenant v State*, 482 So 2d 1225, 1236-1237 (Ala Crim App 1982), *affd in part* 482 So 2d 1241 (Ala 1983); *Calhoun v State*, 297 Md 563, 595, 468 A2d 45, 60 (1983), *cert denied* 466 US 993 (1984); *Stringer v State*, 500 So 2d 928, 945 (Miss 1986); *People v Kimble*, 44 Cal 3d 480, 514-516, 749 P2d 803, 824-826 (1988), *cert denied* 488 US 871 (1988) (relating to state’s 1977 statute); *Fox v State*, 779 P2d 562, 574 (Okla Crim App 1989); *Nobles v State*, 843 SW2d 503, 508-509 (Tex Crim App 1992); *Fugate v State*, 263 Ga 260, 263, 431 SE2d 104, 108 (1993).

The states that refuse to tell capital sentencing juries that a deadlock is the equivalent of a life verdict have valid reasons for their choice. We have already mentioned those reasons, but they bear repeating. To say that a deadlock has the same result as a verdict of life is to invite a deadlock—to tell every juror that he or she may, if so inclined, achieve a life sentence merely by ignoring the views of 11 other jurors. While hung juries are sometimes inevitable, it should not be the purpose or effect of a jury instruction to encourage them. Remaining silent about the consequences of deadlock encourages jurors to focus on their proper task—agreeing, if possible, on a verdict satisfactory to all—and not on the possible advantages of achieving a breakdown in the system.

This line of reasoning was given significant weight by the United States Supreme Court in *Jones v United States* (527 US 373 [1999]), where the Court squarely rejected the argument the majority accepts today. *Jones* arose under the Federal Death Penalty Act of 1994 (18 USC § 3591 *et seq.*), which, as interpreted by the Court, provided that if the jury could not agree on a sentence the court would impose a sentence of “life imprisonment without possibility of release.” The statute did not, however, say that the jury must be told the consequences of a deadlock in advance, and the Court declined to impose such a requirement, either as a matter of constitutional law or in the exercise of its supervisory power over federal courts. The Court rejected the petitioner’s constitutional argument in the following language:

“The truth of the matter is that the proposed [anticipatory deadlock] instruction has no bearing on the jury’s role in the sentencing process. Rather, it speaks to what happens in the event that the jury is unable to fulfill its role—when deliberations break down and the jury is unable to produce a unanimous sentence recommendation. Petitioner’s argument, although less than clear, appears to be that a death sentence is arbitrary within the meaning of the Eighth Amendment if the jury is not given any bit of information that might possibly influence an individual juror’s voting behavior. That contention has no merit. We have never suggested, for example, that the Eighth Amendment requires a jury be instructed as to the consequences of a breakdown in the deliberative process. On the contrary, we have

long been of the view that ‘[t]he very object of the jury system is to secure unanimity by a comparison of views, and by arguments among the jurors themselves.’ *Allen v. United States*, 164 U.S. 492, 501 (1896). We further have recognized that in a capital sentencing proceeding, the Government has ‘a strong interest in having the jury express the conscience of the community on the ultimate question of life or death.’ *Lowenfield v. Phelps*, 484 U.S. 231, 238 (1988) (citation and internal quotation marks omitted). We are of the view that a charge to the jury of the sort proposed by petitioner might well have the effect of undermining this strong governmental interest” (527 US at 382).⁷

The Court in *Jones* also declined to require an anticipatory instruction on the consequences of deadlock in the exercise of its supervisory power over federal courts. It noted that the New Jersey Supreme Court had exercised its supervisory power to require such an instruction in *State v. Ramseur* (106 NJ 123, 304-315, 524 A2d 188, 280-286 [1987]), but found the views of the state courts that had decided otherwise more persuasive. The Court in *Jones* quoted with approval the comment of the Virginia Supreme Court in *Justus v Commonwealth* (220 Va 971, 979, 266 SE2d 87, 92 [1980]), which noted that telling a jury that disagreement guaranteed a life sentence “would have been an open invitation for the jury to avoid its responsibility and to disagree.”

Jones was a 5-4 decision. The dissenters in *Jones*, however, did not say they disagreed with the majority on the issue that is relevant here—whether the Constitution requires an anticipatory deadlock instruction to the effect that a hung jury guarantees life without parole. The dissent expressly refrained from taking issue with the majority on the question: Justice Ginsburg said, “I . . . see no cause to dispute that ‘the Eighth Amendment does not require that the jury be instructed as to the consequences of their failure to agree’ ” (527 US at 417 n 20). The *Jones* dissenters did not even express disagreement

7. The Court pointed out in *Jones* (527 US at 382-383 n 6) that arguments similar to the petitioner’s had previously been rejected by federal appellate courts in four circuits and accepted by none (see *Coe v Bell*, 161 F3d 320, 339-340 [6th Cir 1998]; *Green v French*, 143 F3d 865, 890 [4th Cir 1998]; *United States v Chandler*, 996 F2d 1073, 1088-1089 [11th Cir 1993]; *United States v Jones*, 132 F3d 232, 245 [5th Cir 1998]).

with the refusal of the *Jones* majority to require an anticipatory deadlock instruction as a matter of policy. (The basis for the dissent in *Jones*, insofar as it related to the deadlock issue, was that the instructions given in that case had misled the jury.) In short, the practice that the majority here finds to be mandatory under our State Constitution failed in *Jones* to gain the endorsement of any Justice.

Nor does the majority's interpretation of the State's Due Process Clause find the slightest support in New York history or precedent. The jury's role in New York capital sentencing goes back to 1933—not long before our present Constitution was adopted. Beginning in that year, juries in some capital cases were given the option of recommending leniency (L 1933, ch 773, § 1, amending Penal Law § 1250 [allowing juries to make nonbinding recommendation of prison sentence in kidnaping capital cases]; see Acker, *New York's Proposed Death Penalty Legislation: Constitutional and Policy Perspectives*, 54 Alb L Rev 515, 520 [1990]). Later statutes expanded the jury's role (L 1937, ch 67, § 2, adding Penal Law § 1045-a [allowing juries to make nonbinding recommendation of life sentence in depraved mind and felony murder cases]; L 1963, ch 994, §§ 1, 2, amending Penal Law §§ 1045, 1045-a [authorizing juries to make binding sentencing decisions in all types of first degree murder cases]; see Acker, *supra*, 54 Alb L Rev at 520, 523). None of these statutes, and no case decided under them, required that a capital jury be told that a deadlock would lead to life imprisonment. Nothing in New York law, before today, even hints that such a requirement might exist.

There is in short no basis in precedent for the constitutional requirement the majority creates today. The majority's decision is based on nothing but its own policy judgment. It speculates about juror speculation, opining that the absence of a deadlock instruction might lead jurors to fear a defendant “on the streets” (majority op at 128). This is, in our view, quite implausible. Why would a juror who is told nothing about the consequences of deadlock assume that, if the jury is unable to agree between the two choices of death or life without parole, the result will be defendant's return to society? The majority makes no attempt to answer this question. Yet the majority's fear of

that possibility is the sole basis on which it holds a statute enacted by the Legislature to be unenforceable.⁸

The majority declines to “craft” a new deadlock instruction, saying that “to do so would usurp legislative prerogative” (majority op at 131). This deference to the Legislature is not just in sharp contrast to the approach taken in the rest of the majority opinion; it is probably illusory, for the majority’s opinion seems to leave only one possible deadlock instruction for the Legislature to “craft.” Logically, the only instruction that can eliminate the danger the majority is concerned about—a juror’s fear of the possibility of a defendant’s release—is one that tells the jury that no such possibility exists. Thus, it seems that the only deadlock instruction the majority would uphold is one that tells the jury that a deadlock would result in life without parole—and that the majority is, in effect, telling the Legislature that the death penalty statute cannot be enforced until such an instruction is enacted.⁹

Of course, a policy argument can be made for that instruction. Telling a jury that a deadlock will result in a life without parole sentence will indeed eliminate the possibility that the fear of a defendant’s parole will motivate a recalcitrant juror to accept a death sentence. But by the same token, it will offer an incentive for juror recalcitrance. It tells each juror, in effect, that he or she may sit as a jury of one, and achieve a life without parole sentence by refusing to deliberate. In short, the Court’s preferred instruction has both advantages and disadvantages, and it should be the Legislature’s preference, not this Court’s, which prevails.

The majority would certainly not set the Legislature’s wishes aside so readily in a noncapital case. The majority’s premise is that, because of the unique severity and finality of a sentence of

8. The majority says that “the studies previously cited indicate” that the kind of juror speculation it foresees is likely to occur (majority op at 128). But those studies indicate nothing of the kind. The studies are concerned with juror attitudes toward a verdict of life or death and show nothing about the extent to which juries anywhere speculate about the consequences of a deadlock, when they are not told what those consequences are.

9. The majority’s logic also requires that the jury have the option of imposing a life without parole sentence. If, by rejecting a death sentence, the jury would make the defendant’s future release on parole a possibility, then that possibility might influence some jurors to vote for death. The majority’s logic thus implies that every Supreme Court Justice was wrong to say, in *Simmons*, that a jury may be given accurate information to the effect that a defendant will be eligible for parole in the event of a life sentence (*see supra* at 138-139).

death, a defendant must be given every possible opportunity to escape from it. We do not criticize the majority's obvious discomfort with the death penalty—indeed, we may share that discomfort. It is true that the death penalty is uniquely severe, and irreversible once carried out, and we recognize that its application is subject to many established constitutional limitations. But all these limitations, we believe, were scrupulously observed in the enactment of New York's death penalty statute. By devising a novel limitation—a new constitutionally-required way of weighting the balance in the defendant's favor—the majority has gone much further than anything in death penalty jurisprudence, or the principles underlying it, can justify. Today's decision, in our view, elevates judicial distaste for the death penalty over the legislative will.

III

Accordingly, we dissent from the conclusions of the majority that the provision of CPL 400.27 (10) for an anticipatory deadlock instruction is unconstitutional and that New York's death penalty statute is unenforceable pending further legislative action.

Chief Judge KAYE and Judges CIPARICK and ROSENBLATT concur with Judge G.B. SMITH; Judge ROSENBLATT concurs in a separate concurring opinion; Judge R.S. SMITH dissents in another opinion in which Judges GRAFFEO and READ concur.

Judgment modified, etc.

[818 NE2d 642, 785 NYS2d 1]

In the Matter of NORMAN D., Appellant. COMMISSIONER OF THE
NEW YORK STATE OFFICE OF MENTAL HEALTH, Respondent.

Argued September 8, 2004; decided October 19, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 8, 2003. The Appellate Division affirmed so much of an order of the Supreme Court, Orange County (Jeffrey G. Berry, J.), as, in a proceeding pursuant to CPL 330.20 (16) and Mental Hygiene Law § 9.35 for a rehearing and review of an initial commitment order, had determined that appellant remained subject to the provisions of CPL 330.20.

Matter of Norman D., 309 AD2d 143, affirmed.

HEADNOTE

Mental Health — Person Acquitted of Crime by Reason of Insanity — Rehearing and Review of Initial Commitment Order — Track Status

Appellant's track one insanity acquittee status, as established by an initial commitment order finding that he suffered from a "dangerous mental disorder," could not be changed based upon the determination following a rehearing and review under CPL 330.20 (16) that he was "mentally ill" but no longer suffering from the dangerous mental disorder. Track status, as determined by the initial commitment order, governs an acquittee's level of supervision in future proceedings and may be overturned only on appeal from that order, not by means of a rehearing and review. While any order affecting an acquittee's terms of confinement and release may be challenged as of right at a rehearing and review or upon grant of an application to appeal, the rehearing and review proceeding was not designed as a substitute for appellate review of the initial commitment order, and a challenge to an acquittee's original track status may only be made pursuant to the appeal process outlined in CPL 330.20 (21) (a) (ii). Appellant's changed mental state did not alter the finding by the original court that, at the time closest to the commission of his crime, he was suffering from a dangerous mental disorder, and that for the future track one provided the appropriate level of supervision.

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By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 79-83, 86.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3852,
172:3861.

McKINNEY'S, CPL 330.20 (16), (21) (a) (ii).

NY JUR 2d, Criminal Law §§ 2567, 2576, 2580, 2585.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Incompetent and Insane Persons.

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Query: insan! /s acquit! /s track & level /4 supervision

POINTS OF COUNSEL

Mental Hygiene Legal Service, Mineola (Lisa Volpe, Sidney Hirschfeld and Dennis B. Feld of counsel), for appellant. I. Track placement at the initial commitment hearing has a significant effect on an acquittee's confinement. (*People v Stone*, 73 NY2d 296; *Matter of David B.*, 97 NY2d 267; *Matter of Jill ZZ.*, 83 NY2d 133; *People v Escobar*, 61 NY2d 431; *Matter of Stone*, 294 AD2d 59; *Matter of Oswald N.*, 87 NY2d 98; *Matter of George L.*, 85 NY2d 295; *Matter of Francis S.*, 87 NY2d 554.) II. Track status is necessarily challenged in the context of a rehearing and review of an initial commitment order. (*People ex rel. Barnes v Gardner*, 24 NY 583; *Burger v Burger*, 111 NY 523; *Matter of Coates*, 9 NY2d 242; *Matter of George L.*, 85 NY2d 295.) III. The Appellate Division's justifications for excluding the designation of track status from a rehearing and review of an initial commitment order are flawed. (*Broida v Bancroft*, 103 AD2d 88; *Block v Nelson*, 71 AD2d 509; *People ex rel. Barnes v Gardner*, 24 NY 583; *Matter of Daniel R. v Wack*, 167 Misc 2d 74; *Matter of Robert C. v Wack*, 167 Misc 2d 677; *Matter of Maureen A. v Wack*, 153 Misc 2d 600; *Matter of Barber v Rochester Psychiatric Ctr.*, 250 AD2d 87; *People v Stone*, 73 NY2d 296; *Cohen v Anne C.*, 301 AD2d 446; *Matter of Watkins R. v Berry*, 276 AD2d 492.)

Eliot Spitzer, Attorney General, Albany (Peter H. Schiff, Caitlin J. Halligan, Daniel Smirlock and Julie S. Mereson of counsel), for respondent. I. Defendant's track one status, established when the initial commitment order found that he suffered from a dangerous mental disorder, is not affected by the finding at the time of the rehearing and review proceeding that he is mentally ill but no longer suffers from a dangerous mental disorder. (*Matter of Jill ZZ.*, 83 NY2d 133; *Matter of Stone*, 294 AD2d 59; *People v Hudson*, 217 AD2d 53; *Matter of George L.*, 85 NY2d 295; *Matter of Alphonse P. v Palmer*, 262 AD2d 490; *Matter of Barber v Rochester Psychiatric Ctr.*, 250

AD2d 87; *Matter of Launcelot T. v Mullen*, 264 AD2d 697; *Matter of Maureen A. v Wack*, 153 Misc 2d 600; *Matter of Arnold A. v Sanchez*, 166 Misc 2d 493; *Matter of Torsney*, 47 NY2d 667.) II. A challenge to track status must be asserted in an appeal under CPL 330.20 (21), not on rehearing and review.

Donald A. Williams, District Attorney, Kingston (Paul Tsui of counsel), amicus curiae. I. Appellant's petition for a rehearing and review of the first retention order was moot as a matter of law. (*Aetna Life Ins. Co. v Haworth*, 300 US 227; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Matter of Sherry Lehmann, Inc. v New York State Liq. Auth.*, 160 AD2d 538; *Matter of Crumpley v Wack*, 212 AD2d 299, 86 NY2d 808; *Matter of David B.*, 97 NY2d 267; *Matter of Jill ZZ.*, 83 NY2d 133.) II. The rehearing and review was not the proper vehicle to challenge the initial track status denomination. Rather, an appeal to an intermediate appellate court should have been taken, and the Appellate Division's application of earlier case law was proper. (*Matter of Barber v Rochester Psychiatric Ctr.*, 250 AD2d 87; *Matter of Robert C. v Wack*, 167 Misc 2d 677; *Matter of Daniel R. v Wack*, 167 Misc 2d 74; *Matter of Maureen A. v Wack*, 153 Misc 2d 600; *Matter of Rose*, 109 Misc 2d 960; *People v Stone*, 138 AD2d 4.) III. As a matter of public policy, appellant should remain subject to the provisions of CPL 330.20 as a safeguard allowing the District Attorney to participate in monitoring appellant's status. (*People v Stone*, 73 NY2d 296; *Matter of George L.*, 85 NY2d 295; *Matter of Oswald N.*, 87 NY2d 98; *People v Helfman*, 91 AD2d 1034.)

OPINION OF THE COURT

Chief Judge KAYE.

Can an insanity acquittee's track status—as established by an initial commitment order finding that he suffers from a “dangerous mental disorder”—be changed when, pursuant to a rehearing and review under CPL 330.20 (16), he is later determined to be “mentally ill” but no longer suffering from the dangerous mental disorder? We answer that question in the negative, as did the Appellate Division. Track status, as determined by the initial commitment order, governs the acquittee's level of supervision in future proceedings and may be overturned only on appeal from that order, not by means of a rehearing and review.

Facts

On April 19, 1997, appellant (Norman D.) set fire to the trailer home he shared with his wife, their children and other family

members. On February 24, 1998, the case concluded by his entering a plea of not responsible by reason of mental disease or defect. Four months later, following an initial hearing conducted pursuant to CPL 330.20 (6), County Court determined that appellant suffered from a dangerous mental disorder and designated him a “track one” insanity acquittee.¹ Subsequently, appellant was remanded to Mid-Hudson Forensic Psychiatric Center, a secure facility, for an initial period of six months.

In a petition dated July 9, 1998, appellant sought a rehearing and review of his commitment order, as provided for by CPL 330.20 (16). Because of various delays, the court did not consider the merits of appellant’s application until nearly three years later, in April 2001. By that time he was, as all parties agreed, no longer suffering from a dangerous mental disorder. The court accepted the parties’ stipulation to his designation as mentally ill and his placement in a nonsecure psychiatric treatment facility. Appellant, however, argued that as someone now mentally ill but not suffering from a dangerous mental disorder, the court should reassess his track status. Because he suffered from a mental illness (and not a dangerous mental disorder) at the time of the rehearing and review, he urged that he should be reclassified as a track two acquittee, and thus the conditions of his treatment and oversight should be governed by the Mental Hygiene Law, not the Criminal Procedure Law. The Commissioner of Mental Health countered that a change in track status could result only from appeal of the original commitment hearing order, not from a rehearing and review.

Supreme Court undertook what was essentially appellate review of the original 1998 commitment hearing decision, though in the context of its de novo rehearing and review power. The court found that the 1998 decision was supported by credible evidence and, consequently, the original track one designation would continue to govern the conditions of appellant’s oversight, even if he no longer suffered from a dangerous mental disorder. The Appellate Division affirmed that part of the

1. CPL 330.20 establishes a three-tiered system, the levels of which have come to be known by courts and commentators as “tracks,” though that language does not appear in the statute itself. “The applicable tracks are premised upon findings either (i) that the defendant has a ‘dangerous mental disorder’ [track one]; or (ii) that the defendant does not have a dangerous mental disorder but is ‘mentally ill’ [track two]; or (iii) that the defendant does not have a dangerous mental disorder and is not mentally ill [track three]” (*People v Stone*, 73 NY2d 296, 300 [1989] [citations and internal quotation marks omitted]).

Supreme Court order holding that appellant would remain subject to the provisions of CPL 330.20 as a track one acquittee, noting that the rehearing and review proceeding was not the appropriate vehicle for review of track status (309 AD2d 143 [2d Dept 2003]). We agree.

Analysis

When a court accepts a plea of not responsible by reason of mental disease or defect it must conduct an initial hearing within 10 days following psychiatric examinations (ordinarily conducted within 30 days of the plea or verdict) (CPL 330.20 [2], [4], [6]). Based on its findings, the court then assigns the acquittee to one of the three tracks. The track designation places more dangerous acquittees under the purview of the Criminal Procedure Law, while less dangerous, though still mentally ill, acquittees are committed to the custody of the Commissioner of Mental Health and come under the supervision of the Mental Hygiene Law (CPL 330.20 [6], [7]).

These track designations arose out of the Insanity Defense Reform Act of 1980 (1981 Report of NY Law Rev Commn, Appendix A [1981 NY Legis Doc No. 65], *The Defense of Insanity in New York State*, reprinted in 1981 McKinney's Session Laws of NY, at 2251-2274). The Act was structured to strike a balance between public safety and the individual rights of the acquittee, and was intended to increase the court's involvement in postverdict supervision of insanity acquittees (*see Matter of Jill ZZ.*, 83 NY2d 133 [1994]; Governor Carey's Mem approving L 1980, ch 548, 1980 McKinney's Session Laws of NY, at 1879-1880). The statute set forth a detailed scheme that was, when appropriate, to mirror the Mental Hygiene Law, but that created new procedures for aspects of postverdict supervision applicable only to acquittees (*see Preiser, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, CPL 330.20*).

Postverdict supervision of insanity acquittees is the very problem presented to us by this case.

Track status designation, unique to insanity acquittees, is vitally important in determining the level of judicial and prosecutorial involvement in future decisions about an acquittee's confinement, transfer and release. With a track one designation an acquittee is subject to ongoing supervisory terms of court-issued commitment orders and subsequent retention orders; he or she must be confined to a secure psychiatric facility for an initial period of six months; a court order is required for any

transfer to a nonsecure facility, off-ground furlough, release or discharge; and the district attorney's office continues to be notified of, with the option of participating in, further court proceedings involving the acquittee (CPL 330.20 [6], [8]-[13]). However, if an acquittee is designated track two, then it is the Commissioner of Mental Health, in accordance with the Mental Hygiene Law, who controls subsequent orders of commitment and other oversight (CPL 330.20 [7]). In short, track one status is significantly more restrictive than track two status.

An acquittee can challenge those trial court orders affecting his or her personal liberty in one of two ways. An acquittee "dissatisfied" with a commitment order (or later retention or recommitment orders) can, as of right, demand a rehearing and review held before a different judge or a jury within 30 days after the order (CPL 330.20 [16]). Alternatively, an acquittee can seek leave to appeal the order to an intermediate appellate court pursuant to CPL 330.20 (21) (a) (ii). The appellate court must modify the order of the trial court if it determines that the record did not support the lower court's findings.

These two options, available in the alternative, are not coextensive. Rehearing and review is to be conducted in accordance with the provisions of sections 9.35 (mentally ill patients) and 15.35 (mentally retarded residents) of the Mental Hygiene Law (CPL 330.20 [16]). Those sections state that the court conducting the rehearing and review "shall cause a jury to be summoned and shall try the question of the mental [illness or retardation] and the need for retention of the [patient or resident] so authorized to be retained. Any such [patient or resident] . . . may waive the trial of [the or such] fact by a jury and consent in writing to trial of such fact by the court" (Mental Hygiene Law §§ 9.35, 15.35).

Such a proceeding, by judge or jury, is a review of the earlier record as well as any new evidence presented by the parties concerning the acquittee's mental status at the time of the rehearing and review. As such it is not a rehearing in the conventional sense, but a *de novo* evidentiary proceeding, with the findings a snapshot of the acquittee's condition at that moment.² It is a guarantee that the conditions of supervision

2. In 1909 the Legislature amended the analogous section, replacing the term "appeal" with the phrase "rehearing and a review of the proceedings already had" (L 1909, ch 155). In 1972 the Legislature enacted a recodified Mental Hygiene Law, with the "rehearing and review" section now requiring

(n. cont'd)

originally imposed are appropriate at the time of the new proceeding.

A CPL 330.20 (21) (a) (ii) appeal, on the other hand, is a review of the lower court's determination based on the record at the time of the earlier proceeding. While any order affecting an acquittee's terms of confinement and release may be challenged as of right at a rehearing and review or upon grant of an application to appeal, a person who, by plea or verdict, is adjudicated not responsible by reason of mental disease or defect and wishes to challenge his original track status may do so only pursuant to the appeal process outlined in CPL 330.20 (21) (a) (ii). The Appellate Division had it exactly right: an acquittee

“may seek permission to appeal [his or her track status] to an intermediate court, which has the power to modify the acquittee's track status if the evidence presented at the initial commitment hearing does not support a finding of dangerousness. However, the rehearing and review proceeding, which affords the acquittee a right to a jury trial on the issue of whether he or she currently suffers from a mental illness, is not designed as a substitute for appellate review of the initial commitment order” (309 AD2d at 149-150 [internal citation omitted]).

As we noted above, the statutory scheme fixes track status at the initial commitment hearing—that is the proceeding closest in time to the crime itself. Commission of the crime is a strong indication of how dangerous an acquittee's mental condition may become without proper treatment, or if treatment is unsuccessful. To best protect the public welfare and the acquittee's own safety, it is appropriate to determine the necessary level of supervision by potential dangerousness, as demonstrated by an acquittee's mental condition closest to commission of the criminal act.

Although insanity acquittees who contest the terms of their physical confinement have rehearing and review rights comparable to civilly committed patients, acquittees are not generally entitled to all the same heightened procedural and substantive

a jury trial on the issues of mental illness and continued retention (L 1972, ch 251, § 31.35). We agree with those lower courts that have held that the Legislature intended a de novo rehearing and review to assess a patient's present condition (*see e.g. Cohen v Anne C.*, 301 AD2d 446 [1st Dept 2003]; *Matter of Barber v Rochester Psychiatric Ctr.*, 250 AD2d 87 [4th Dept 1998]; *Matter of Maureen A. v Wack*, 153 Misc 2d 600 [Sup Ct, NY County 1991]).

protections that apply to involuntarily committed civil patients (see CPL 330.20 [16]; Mental Hygiene Law §§ 9.35, 15.35; Report of NY Law Rev Commn, 1981 McKinney's Session Laws of NY, at 2264; *Matter of George L.*, 85 NY2d 295, 305 n 3 [1995] [involuntary civil commitment requires greater protections than apply to insanity acquittees]). Further, it does not follow that acquittees are entitled to the same form of reconsideration of their track status, a determination that is unique to individuals who have committed criminal acts and inapplicable to involuntary civil patients. Reevaluation of the track determination, set forth as part of the initial commitment order, must be limited to an appeal.

Supreme Court's role in this case was as a rehearing and review tribunal, pursuant to CPL 330.20 (16) and Mental Hygiene Law §§ 9.35 and 15.35. In this capacity, Supreme Court should have conducted a de novo proceeding regarding appellant's mental state as of April 2001, the date of the rehearing and review. It should not have undertaken appellate review of the record developed in 1998, nor was it correct to review appellant's track status, even if that decision was to affirm the original court's finding.

The issue before us is not whether appellant is currently suffering from a dangerous mental disorder. He is not. As stipulated and accepted by the court, appellant currently suffers from a mental illness. His changed mental state, however, does not alter the finding by the original court that, at the time closest to his commission of arson, he was suffering from a dangerous mental disorder, and that for the future track one provided the appropriate level of supervision. That appellant's dangerous mental disorder has retreated to mental illness cannot, on rehearing and review, change his track status.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, without costs.

[818 NE2d 1113, 785 NYS2d 372]

In the Matter of HENRY R. BAUER, Judge of the Troy City Court,
Rensselaer County, Petitioner. STATE COMMISSION ON JUDICIAL
CONDUCT, Respondent.

Argued September 13, 2004; decided October 14, 2004

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated March 30, 2004. The Commission determined that petitioner should be removed from the office of Judge of the Troy City Court, Rensselaer County.

HEADNOTE

Judges — Disciplinary Proceedings

A determination of the State Commission on Judicial Conduct that petitioner City Court Judge should be removed from office was accepted. Petitioner often failed to advise defendants of their right to counsel, sentenced defendants in excess of the legal maximum, repeatedly jailed defendants when they could not meet the bail that petitioner set in excessive amounts, and coerced defendants into pleading guilty.

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AM JUR 2d, Judges §§ 17, 20.

CARMODY-WAIT 2d, Officers of Court §§ 3:111, 3:119, 3:125,
3:128, 3:129, 3:133.

NY JUR 2d, Courts and Judges §§ 435, 440, 441, 443.

ANNOTATION REFERENCE

Power of court to remove or suspend judge. 53 ALR3d
882.

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Query: remov! /s judge & excessive /s sentence bail & disciplin!

POINTS OF COUNSEL

Roche, Corrigan, McCoy & Bush, Albany (*Robert P. Roche* of counsel), for petitioner.

Robert H. Tembeckjian, New York City, *Cathleen S. Cenci* and *Kathryn J. Blake* for respondent. I. Petitioner engaged in a pattern of disregarding fundamental rights by effectively denying defendants counsel, depriving them of their liberty without due process of law and coercing them to plead guilty. (*People ex rel. Klein v Krueger*, 25 NY2d 497; *Matter of Sardino v State Commn. on Jud. Conduct*, 58 NY2d 286.) II. Petitioner's conduct warrants his removal from judicial office. (*Matter of Sardino v State Commn. on Jud. Conduct*, 58 NY2d 286; *Matter of La-Belle*, 79 NY2d 350; *Matter of McGee v State Commn. on Jud. Conduct*, 59 NY2d 870; *Matter of Reeves*, 63 NY2d 105; *Matter of Esworthy*, 77 NY2d 280; *Matter of Aldrich v State Commn. on Jud. Conduct*, 58 NY2d 279; *Matter of Duckman*, 92 NY2d 141; *Matter of Sims*, 61 NY2d 349.)

OPINION OF THE COURT

Per Curiam.

Petitioner, a Judge of the Troy City Court, seeks review of a determination of the State Commission on Judicial Conduct. With various members dissenting as to particular specifications, the Commission sustained 39 charges (containing 62 specifications) of misconduct and determined that petitioner should be removed from office (*see* NY Const, art VI, § 22; Judiciary Law § 44). Upon our plenary review of the record and after considering the evidence and legal arguments raised, we conclude that petitioner's conduct warrants removal.

By formal disciplinary complaint dated October 4, 2002, the Commission served petitioner with 51 charges, alleging that he often failed to advise defendants of their right to counsel, sentenced defendants in excess of the legal maximum, repeatedly jailed defendants when they could not meet the bail that petitioner set in excessive amounts, coerced defendants into pleading guilty and twice convicted defendants without a trial or guilty plea.

After petitioner submitted a verified answer in which he denied the allegations, the Commission appointed the Honorable Richard D. Simons as Referee to hear and report findings of fact and conclusions of law. Following a hearing conducted from July 28 through August 4, 2003, the Referee sustained all or part of 49 charges.

CPL 170.10 provides that upon arraignment the court must, among other things, inform defendants that they have the right to counsel at that time and at every subsequent stage of the ac-

tion (*see* CPL 170.10 [3]). Furthermore, if at arraignment the defendant is unrepresented, CPL 170.10 (3) obligates the court to inform the defendant of the right to an adjournment for the purpose of obtaining counsel (*see* CPL 170.10 [3] [a]), and of the right to communicate, free of cost, by letter or telephone, for the purpose of obtaining counsel and informing a relative or friend of the charge. In addition, the arraigning court must tell defendants that if they cannot afford an attorney the court will assign one. “[T]he court must . . . itself take such affirmative action as is necessary to effectuate [those rights].” (CPL 170.10 [4] [a].)

Based on the evidence presented, the Referee found, and the record establishes, that in many arraignments the petitioner did not inform defendants of the rights guaranteed in CPL 170.10. The Referee noted that petitioner sometimes “claimed that it was unnecessary because from their prior experiences defendants knew their rights.” Petitioner also contended that, in some cases, he delayed advising defendants of their right to appointed counsel until he was satisfied that the defendants had first sought paid counsel. Finally, petitioner apparently believed the instructions were not necessary when defendants “were not alert enough to understand the advice.” The Referee found those explanations insufficient and that petitioner’s conduct did not fulfill his obligations under the statute either on arraignment or at subsequent court appearances.

We agree. The law does not contemplate judicial assessments as to whether defendants are experienced enough to know their rights without being told, nor does it authorize judges to inform defendants selectively as to their right to assigned representation. Moreover, if a defendant is not alert enough to understand the advice, the judge should not forgo it but must make sure the defendant *does* understand before proceeding, even—if necessary—briefly deferring the arraignment.

CPL 510.30 sets forth the criteria for setting bail. In fixing the amount necessary to secure a defendant’s return to court, the judge must take into account the defendant’s character, reputation, habits and mental condition, employment, financial resources, family ties, length of residence in the community, prior criminal record and the apparent strength of the charges.

The Referee found, and the record confirms, that on many occasions, petitioner jailed defendants in lieu of bail, without regard for the required standards. In particular, petitioner often

set shockingly high bail and, in several cases, remanded defendants to jail for several days for failure to post bail on charges for which imprisonment was not a legally permitted penalty or upon legally insufficient accusatory instruments. The Referee further concluded, and the evidence establishes, that in some instances petitioner held defendants in lieu of bail for periods beyond the maximum sentence for the offense charged or beyond the period required by speedy trial rules. Moreover, petitioner induced some defendants to plead guilty without the advice of counsel and without informing them that they were entitled to counsel—and only after petitioner had jailed them for longer than the allowable maximum sentence. Further, petitioner imposed illegally excessive sentences in four marijuana possession cases, and twice convicted defendants without pleas of guilty or findings of guilt.

The Commission determined that petitioner violated 22 NYCRR 100.1 (requiring high standards of conduct to uphold the integrity of the judiciary); 22 NYCRR 100.2 (A) (mandating judges to respect and comply with the law and to act in a manner that promotes judicial integrity); 22 NYCRR 100.3 (B) (1) (obligating judges to be faithful to the law); 22 NYCRR 100.3 (B) (4) (requiring judges to perform judicial duties without bias or prejudice against or in favor of anyone); and 22 NYCRR 100.3 (B) (6) (obligating judges to accord litigants and lawyers the right to be heard according to law). The Commission concluded that, for a period of two years, petitioner engaged in a pattern of serious misconduct by repeatedly jailing defendants in violation of their rights. The Commission explained:

“[Petitioner] ignored well-established law requiring judges to advise defendants of the right to counsel and to take affirmative action to effectuate that right. In numerous cases he set exorbitant, punitive bail for defendants charged with misdemeanors and violations, even where incarceration was not an authorized sentence. He coerced guilty pleas from incarcerated, unrepresented defendants who, if they refused to accept [petitioner’s] plea offer, faced continued incarceration because of the unreasonably high bail he had set. He imposed illegal sentences in four marijuana cases, and on two separate occasions he convicted an incarcerated defendant in the defendant’s absence by announcing that the case was ‘a plea and time served,’ although the defen-

dants had not pled guilty. [Petitioner's] failure to recognize the impropriety of his procedures compounds his misconduct and suggests that defendants in his court will continue to be at great risk. Viewed in its totality, [petitioner's] conduct demonstrates a sustained pattern of indifference to the rights of defendants and establishes that his future retention in office 'is inconsistent with the fair and proper administration of justice.' " (Citation omitted.)

At the Commission and before us, petitioner has consistently maintained that he has done nothing wrong. In his brief to this Court he states that he "believes that his conduct was appropriate under the circumstances," citing the purported rationale for his conduct in each instance. Petitioner goes so far as to contend that the "findings of fact on which the Respondent Commission bases its proposed sanction are in fact findings of non-fact as they violate or contradict all the testimonial evidence which was adduced at the hearing which is set forth in the transcript of hearing and made a part of this record." At another point, while protesting the findings, he attacks the motives of the Commission staff and even the Referee.

The charges, however, are fully borne out by the record. The testimony reveals a pattern of abuse by which petitioner on numerous occasions not only failed to advise defendants of their rights but perverted CPL 170.10 by telling defendants that they must engage their own attorneys—concealing from them that the statute requires the court to assign counsel when warranted and to see to it that the right to counsel is protected (*see People v Witenski*, 15 NY2d 392 [1965]). Rather than follow the law, petitioner, in a number of instances, engaged in verbal sparring with defendants and evinced an intent to defeat, not advance, the right to assigned counsel.

Instead of recognizing these failures, petitioner asks us to "examine the credentials of the people who investigated this case, prepared this case, made this case and preferred the charges on behalf of the Commission." Impugning the integrity of the Commission staff and the Referee, however, does not distract us from the considerable proof against petitioner.

In 26 instances, and without regard to the statutory criteria, petitioner set bails ranging from \$10,000 to \$50,000 for defendants who were charged with petty crimes or violations. By jailing defendants (in lieu of bail) for offenses that rarely, if at all, carry jail sentences upon conviction, petitioner abrogated

his duty and abused his position as a judge. Punishing people by setting exorbitant bail, particularly where the offense does not carry a jail sentence, demonstrates a callousness both to the law and to the rights of criminal defendants. Moreover, when coupled with a failure to advise these defendants of their right to assigned counsel, petitioner's imposition of punitive bail all but guaranteed that defendants would be coerced into pleading guilty: it was the only way to get out of jail.

We recognize that bail is discretionary and that there may be a wide range in the amounts set by reasonable judges. In reviewing petitioner's conduct, however, we see not an isolated instance of high or injudicious bail-setting, but a pattern of exorbitant bail so extraordinary that we must characterize it as abusive and coercive in the extreme, particularly when accompanied by petitioner's withholding from defendants their right to assigned counsel. We disagree with the dissenters' apparent position that excessive bail can never form the basis for removal. Even when the petitioner set a bail within his lawful discretion, he failed on several occasions to protect defendants' right to counsel. We provide the following examples to illustrate the nature of the petitioner's misconduct, but we note that the record reflects many more incidents of excessive bail and denial of counsel.

In one example, a teenaged defendant was charged with a violation. After the teenager spent the weekend in jail in lieu of \$500 bail, he appeared before the petitioner without counsel. The petitioner made no offer of counsel to the defendant, and made no statement alerting the defendant to his right to counsel, even though an assistant public defender was in the courtroom at the time. The petitioner, without any appearance by a prosecutor or defense counsel, and without any explanation that the teenager's release from jail was not conditioned on his pleading guilty, told the defendant "If you plead guilty, I will impose a fine of \$30 and sentence you to time served. Is that understood and acceptable?" The Referee and Commission concluded, and we agree, that petitioner coerced the guilty plea by denying the defendant's right to counsel and by abusing his authority to jail a defendant in lieu of bail.

In another case, without informing the defendant of his right to counsel or determining whether he needed appointed counsel, petitioner set bail at \$25,000 for a defendant charged with riding a bicycle at night on a sidewalk and without appropriate lights. The maximum fine for the violations was \$100, without the pos-

sibility of any incarceration. Nevertheless, the defendant suffered seven days in jail because he could not afford to satisfy the illegally high bail. Petitioner then secured a guilty plea from the defendant without any appearance by defense counsel.

In deciding whether to accept the Commission's determination that petitioner be removed, we are taking into account that petitioner has received support from a number of sources asserting that he has generally behaved fairly, even admirably. Defense lawyers, including the Public Defender, supported the petitioner before the Commission. Furthermore, in a report conducted several years before the earliest specification here, the Fund for Modern Courts praised the petitioner for his fairness to defendants. Nevertheless, proof that the petitioner can behave appropriately when being monitored does not negate the abundant evidence in the record that he has engaged in grievous misconduct when unmonitored.

From our perspective, it is not surprising that petitioner's supervising judge only rarely reviewed petitioner's bail decisions. The right to counsel, in practical respects, remains absolutely fundamental to the protection of a defendant's other substantive rights (see *People v Felder*, 47 NY2d 287, 295 [1979]). It is therefore highly unlikely that a defendant without a lawyer would have the practical knowledge necessary to secure judicial review of a bail judgment. Indeed, petitioner's coercive conduct most likely convinced many defendants that any move to protect their rights would result in more jail time. Contrary to Judge Smith's implicit suggestion in dissent that the test for denial of the right to counsel involves a determination of prejudice to the defendant, petitioner was not free to withhold counsel from defendants on the assumption that a lawyer would not have made a difference. We are not prepared to relieve judges of their statutory responsibilities, nor can we agree that the presence of a lawyer—particularly at critical stages of the proceedings—in fact would not have mattered. Similarly, the Public Defender's apparent ignorance of the petitioner's illegal bail practices is not inconsistent with the Commission's findings, given that the record shows that the petitioner set excessive bail especially when the defendants *lacked representation* from the Public Defender or any other assigned counsel. The Public Defender's praise for the petitioner in cases in which defendants were granted representation does not begin to outweigh the strong evidence that the petitioner improperly denied representation to many defendants, especially given the

Public Defender's inconsequential performance, as noted by Judge Smith in dissent, in representing defendants when petitioner did assign counsel.

In view of the multiple specifications of severe misconduct upheld by the Commission and confirmed by the record, we cannot allow petitioner to remain on the bench. Petitioner's apparent lack of contrition is telling. In some instances contrition may be insincere, and in others no amount of it will override inexcusable conduct. Here, while petitioner's conduct was far from uniformly foul, his utter failure to recognize and admit wrongdoing strongly suggests that, if he is allowed to continue on the bench, we may expect more of the same.

Accordingly, the determined sanction should be accepted, without costs.

READ, J. (dissenting). The State Commission on Judicial Conduct effectively snapshots occasions when petitioner, a Judge of the Troy City Court, unquestionably failed to fulfill his obligations under CPL 170.10. We agree that this conduct cannot be condoned and should be sanctioned. Unlike the majority, however, we refuse to find misconduct based on the allegation that petitioner routinely set excessive bails. We dissent because censure is the appropriate remedy.

Our first disagreement with the majority involves the Commission's decision to charge misconduct in 26 cases where it believes petitioner set "excessive bail." Even were we to agree that bail was "shockingly" high in these cases (majority op at 161), we question whether the Commission's authority extends to this highly discretionary judicial realm (*see e.g.* CPL 510.30 [2]). One of the members of the Commission, in a dissent recommending censure rather than removal, explained that

"[t]hroughout its history, the Commission has cautiously refrained from intruding into areas that encroach upon judicial discretion. Expressing its reluctance to review a judge's bail determinations, the Commission stated in its 1991 annual report: 'Although the Commission has not authority to consider complaints that judges have abused their discretion in setting bail, it may consider complaints that judges have used the bail procedure for other than its intended purpose,' *e.g.*, to punish a defendant or coerce a guilty plea. I subscribe to this limitation upon our authority."

We agree.

The Commission's allegation that petitioner set excessive bails impinges on his discretion as a judge and is, in our opinion, outside the Commission's scope of authority. CPL 510.30 sets forth the factors on which an application for bail is determined. Critically, it provides that, except in specific circumstances prescribed by statute, "the issuance of an order of recognizance or bail and the terms thereof are *matters of discretion rather than of law*" (CPL 510.30 [2] [emphasis added]).

As the majority acknowledges, there is a "wide range in the amounts [of bail] set by reasonable judges" (majority op at 163). Because of this "wide range," bail determinations can only be reviewed on habeas corpus for an error of law, such as an abuse of discretion (*see People ex rel. Lazer v Warden*, 79 NY2d 839 [1992]). CPL 530.30 also provides relief from excessive bail, but it does not subject the arraigining judge's decision to review. Rather, it allows de novo review of a local criminal court's bail determination on application by the defendant to a superior court judge. A judge who abuses discretion in setting bail may err as a matter of law, but such errors of law are usually not grounds for judicial misconduct.

Bail determinations are not completely outside the Commission's scope of authority, however. In *Matter of LaBelle* (79 NY2d 350 [1992]), we concluded that by failing to follow the bail procedures in the CPL, petitioner "knowingly committed legal error and engaged in sanctionable conduct" (*id.* at 358). Here, the Commission refines its excessive bail argument by alleging that petitioner failed to "consider" the CPL 510.30 factors in setting bail, and improperly jailed defendants in lieu of bail. These charges, alleging a failure to follow statutory procedure, are firmly within the scope of the Commission's authority. We do not regard them to be sustainable, however, because petitioner testified that he did, in fact, "consider" the statutory factors, and we find no basis in the record to presume otherwise.¹

In its recommendation, the Commission also suggests that petitioner used bail for impermissible reasons, concluding that he wielded bail not "to insure that the defendants would return to court, but . . . to insure that these defendants spent time in

1. We note that petitioner represented in his brief that he set approximately 2,500 bails per year. Given this volume of bail determinations, we further question whether the 26 instances of excessive bail alleged by the Commission so permeate petitioner's practice as to warrant removal rather than censure.

jail.” If this charge were sustainable, it would be within the Commission’s authority as defined in its own annual report. But we find no basis upon which to conclude that petitioner’s goal was jail time rather than the defendant’s appearance in court. Maybe lower bails would have achieved this purpose, but it cannot be said that petitioner’s neglect to set lower bails amounted to misuse of the bail process.

Further, the Commission acknowledged that “the record does not establish that [petitioner] was motivated by bias against particular defendants or a class of defendants.” This is significant because without an improper motive, all that remains of the Commission’s allegation that petitioner was misusing the bail process is its conclusion that he was harsh. While the majority may be willing to imply misconduct from petitioner’s admittedly severe bail process, we are not.

The Commission’s real grievance is not the alleged excessiveness of bail standing alone, however. The Commission and the majority believe that the true misconduct in this record is that certain defendants, charged with crimes punishable only with fines, were secured by an order of bail and, being unable to meet bail, were jailed (majority op at 160-161). Nothing in the CPL forbids this result, as nothing restricts a judge’s securing options based on the punishments available for the crime (*see* CPL 510.10). This situation arises from the necessity of a securing order in all cases, and so does not demonstrate a violation of law or any other impropriety, and cannot support a charge of judicial misconduct.

Having rejected the Commission’s allegations concerning bail, we turn to the remaining charges. We agree that more should have been done to advise defendants of their rights under CPL 170.10. As the Referee concludes in his report, petitioner’s justifications for his conduct are “insufficient and . . . [his] conduct did not fulfill his obligations under the statute.” Had petitioner been censured, a change in his practice going forward would have been required.

But we caution that the Commission’s entire CPL 170.10 case against petitioner consists of 19 sustained charges, which occurred during two years of a 10-year judicial career. There is no way to discern whether these cases are exceptions to or representative of petitioner’s general conduct on the bench. Counsel for petitioner represented at oral argument that petitioner presides over approximately 3,400 arraignments a year, a

number which is in line with the statistical information in the record concerning case volume in Troy City Court. Moreover, at least four of the section 170.10 violations took place on Saturdays when no transcript was available. Unlike the majority, we are unwilling to infer from the absence of a record that a section 170.10 violation must have occurred (majority op at 164-165). We further note that no complaints were lodged against petitioner after the commencement of this investigation.

We also would refuse to sustain the allegations of “coerced guilty pleas” as independent acts of misconduct. The Commission offers no evidence that petitioner forced any defendant who wanted a trial to plead. The allegations are merely conclusions that the Commission reached based on its speculation about how petitioner’s other alleged failures affected defendants.

The remaining allegations involve legal errors on petitioner’s part, not knowing acts of judicial misconduct. The record shows that on two occasions, petitioner allowed pleas without the presence of the defendant,² and on four occasions, petitioner entered inaccurate fines and sentences, albeit with the consent of both the District Attorney and defense counsel. Petitioner admits these errors. We see nothing in these mistakes to transform them from ordinary judicial error into judicial misconduct.

Removal is a severe remedy—indeed a terminal remedy for a judge. “[T]he purpose of judicial disciplinary proceedings is not punishment but the imposition of sanctions where necessary to safeguard the Bench from unfit incumbents” (*Matter of Watson*, 100 NY2d 290, 303 [2003] [citation omitted]). None of the aggravating factors that have supported removal in past cases involving bail and section 170.10 are present here (*see e.g. Matter of Esworthy*, 77 NY2d 280 [1991] [failure to advise of right to counsel along with racist comments and intemperate manner warrants removal]; *Matter of Reeves*, 63 NY2d 105 [1984] [failure to advise of right to counsel, falsification of records, failure to obtain statutorily required financial statements from litigants and improper ex parte communication justify removal]; *Matter*

2. These two cases apparently involve CPL 340.20 (2) (a) which provides that “a plea to an information must be entered orally by the defendant in person *unless the court permits entry thereof by counsel upon the filing by him of a written and subscribed statement* by the defendant declaring that he waives his right to plead to the information in person and authorizing his attorney to enter a plea on his behalf as set forth in the authorization.” (Emphasis added.) The record does not contain a subscribed statement and thus demonstrates a violation of section 340.20 (2).

of *Sardino v State Commn. on Jud. Conduct*, 58 NY2d 286 [1983] [failure to advise defendants of right to counsel and improper bail determinations combined with improper judicial temperament justifies removal]). This record reveals no intemperate behaviors and no discriminatory comments or motivations.

Moreover, prior to the appearance of the Commission in his courtroom, petitioner had never been cautioned that his conduct was inappropriate. The cases petitioner arraigned were misdemeanors or less with minor punishments and so were unlikely to result in appeal. Thus, as a Commission member pointed out in a dissent recommending censure, there was no appellate court looking over petitioner's shoulder and correcting his errors. His administrative judge testified under subpoena that from February 1998 to July 2003, he received no complaints regarding petitioner, his bail or his counsel practices. His "supervising judge" testified under subpoena that he had never had any occasion to counsel petitioner regarding his bail or counsel practices.

Prior to his tenure on City Court, petitioner served as assistant public defender in Rensselaer County. The Commission looked to this experience as evidence of petitioner's knowledge that his conduct was wrongful. An equally supportable conclusion is that petitioner's conduct as a judge was guided by his experience as a public defender. The record establishes that for at least 20 years, the practice in Rensselaer County has been for the court to determine whether a defendant should be assigned counsel, and not the Public Defender's Office, as is apparently the case elsewhere in the state. Thus, petitioner was charged with carrying out the dual roles of guarding the public fisc and informing defendants of their right to seek assigned counsel. Perhaps he conflated these two arguably incompatible roles and, having decided that assigned counsel was not warranted in a particular case, failed to fulfill his obligations under section 170.10. We do not offer this to excuse petitioner's conduct, but rather to provide context.

This longstanding practice in Rensselaer County may also explain why the record is replete with support from members of the legal community, particularly members of the defense bar. The Rensselaer County Public Defender testified that in his eight years on the job, none of his assistants had complained to him "about the bail practices" of petitioner. Indeed, the Public Defender's only complaint was that his office was "assigned,

maybe, cases where [it] shouldn't be" by petitioner. An assistant public defender praised petitioner for "being very respectful of clients' rights." A prominent private defense attorney appeared without a subpoena at petitioner's hearing. While his testimony was properly struck, his support for petitioner was clear. Other local attorneys also wrote the Commission to commend petitioner.

The Executive Director of the local Treatment Alternatives to Street Crime and supervisor of drug court in Troy stated that "[petitioner] is very concerned and has always been concerned about individuals and the way that they get from the criminal justice system into treatment." Moreover, "[h]e is interested in defendants on a personal level and one sees that as he relates to each of these defendants personally every time they appear before him." The Fund for Modern Courts published a glowing review of petitioner in 1998, prior to the commencement of the Commission's investigation. Petitioner was observed on behalf of the Fund a total of 64 times by 18 different monitors on 32 different occasions.

Finally, the majority adverts to petitioner's "lack of contrition" as a compounding factor (majority op at 165). While we agree that contrition is important, we also caution that judges must be allowed to defend their actions before the Commission and at the same time express a willingness to change their practices. This has apparently occurred here.

In his own testimony before the Commission, petitioner acknowledged that his conduct had, in fact, changed. When asked whether he had "changed [his] practices regarding bail," petitioner responded "I still consider the same factors," an apparent reference to his assertion that he always had, in fact, considered the statutory factors when setting bail. When asked whether his practices concerning section 170.10 had changed, he responded "Yes, there's been some revision, and when you look at transcripts, and certainly, when you're quizzed on matters such as these, you give it more attention." We need not gauge the sincerity of petitioner's words (majority op at 165), because the Commission's own witness, an assistant public defender, testified in July 2003 that, in the previous year and a half to two years—a period coinciding with the Commission's investigation—petitioner "has become pretty scrupulous about advising people of their right to counsel . . . and tries to make sure that they have counsel before any important decisions are made."

In short, the sustainable misconduct here primarily involves petitioner's failure to "fulfill his obligations" under section 170.10, which is akin to the error of the petitioner in *LaBelle* where censure was imposed. Three members of the Commission, in fact, dissented and recommended censure rather than removal.

We find it impossible to conclude, on the basis of this record, that petitioner will not respond to a censure. Because there is no evidence that he is unfit to serve as a judge, we also conclude that censure, rather than removal, is the proper remedy. Accordingly, we respectfully dissent.

R.S. SMITH, J. (dissenting). Although I agree in substance with Judge Read's dissenting opinion, I write separately to present my own point of view on this difficult case.

Most of the accusations against petitioner charge two forms of misconduct: failing to advise defendants of their right to counsel, and setting excessive bail. In reading the Commission's findings, it is possible to get the impression that petitioner, on repeated occasions, denied counsel to indigent defendants and then took advantage of their unrepresented status to jail them by imposing excessive bail. If I thought this had occurred, I would vote for removal. I am convinced, however, that this impression is incorrect, and that petitioner's misconduct was somewhat less serious than it appears at first glance.

Petitioner did repeatedly fail to give defendants the information required by Criminal Procedure Law § 170.10 (3) and (4) (a), to the effect that the defendant has the right to counsel, to an adjournment to obtain counsel, to communicate for the purpose of obtaining counsel and to have counsel assigned if he or she cannot afford one. It does not seem, however, that petitioner's failure to recite the litany caused any defendant to be sent to jail. Conditions in the court in which petitioner sat apparently did not permit instantaneous, or even very rapid, action on behalf of a defendant by assigned counsel. This of course is troubling in itself, but it is not a problem that can be laid at petitioner's door. I see no indication in the record that any defendant who was remanded for failure to post bail would have avoided incarceration, or would have been released sooner, if he or she had had a court-appointed lawyer. Indeed, a number of the cases in which the Commission found that petitioner set excessive bail are cases in which the petitioner had appointed the Public Defender to represent the defendant, without apparent effect.

In short, the record does not show that, in failing to comply with the requirements of CPL 170.10 (3) and (4) (a), petitioner intended to, or did in fact, make the practical plight of indigent defendants significantly worse. Of course, this does not excuse his noncompliance; the rights of which the defendants should have been advised are very important ones, and petitioner should not have assumed that he was merely omitting an empty ritual. But to err in this way is not the same as deliberately depriving defendants of counsel in order to assure that bail rulings are not challenged.

I have thus concluded that the Commission's two main charges—the failure to inform defendants of their rights and the setting of high bail—are not parts of a single pattern of misconduct, but separate offenses, quite different in their gravity and their consequences; and I am satisfied that petitioner's failure to comply with CPL 170.10 would not, by itself, warrant a sanction more severe than censure.

I am much more troubled by petitioner's practices in setting bail. The Commission has identified more than a few instances of bail levels that are startling on their face: \$25,000 on a charge of trespass; \$25,000 on charges relating to the improper operation of a bicycle; \$20,000 on a charge of possession of marijuana; \$25,000 on a charge of loitering and jaywalking—the list goes on. When more closely scrutinized, some of the cases seem less egregious; some of the defendants may have been more serious malefactors—and thus perhaps more likely to abscond—than the relatively petty charges against them suggest. But the record contains at least one real horror story, the *Russell* case: a young man with no criminal record and strong community ties, arrested for loitering (in what he testified before the Referee, without contradiction, was merely a mixup by police officers), was remanded to jail in lieu of \$10,000 bail.

It is possible to infer from this record that petitioner used very high bail, improperly, to give a brief taste of jail to defendants he thought would benefit from it; and also that in so doing he inevitably made occasional misjudgments that caused severe and unjustified hardships. This gives me serious pause. Yet I conclude, essentially for the reasons stated by Judge Read, that it would be a mistake to remove petitioner from the bench solely or primarily because of his bail decisions. Indeed, the Commission conceded at oral argument that it would be hard-pressed to justify removal based on the bail decisions alone. Bail decisions are discretionary, and judges should not be disciplined

for exercising their discretion, even where they have repeatedly exercised it poorly. It seems that in every case except the *Russell* case respondent is able to present an argument (though often not a very convincing one) in favor of his bail decision. Issues like these are better scrutinized on appeal or habeas corpus than in judicial disciplinary proceedings.

I find the Commission's charges relating to matters other than the right to counsel and bail to be of relatively little moment. The accusation that petitioner "coerced" guilty pleas seems to me redundant of the charge that he set excessive bail. A high level of bail can indeed be a very effective spur to a guilty plea, but I cannot see what other conduct of petitioner in these cases can fairly be called "coercive." And the remaining acts of which the Commission complains are, as Judge Read points out, simply isolated cases of legal error.

As the majority notes, petitioner's response to the Commission's charges was most unfortunate. He might have spared himself much of his present trouble had he reacted to the Commission's investigation by saying, in substance: "I'm sorry. I made mistakes. I won't do it again." He reacted instead with outraged defiance, and with an ill-judged, and wholly unsuccessful, attempt to show that his disciplinary problems stemmed from an unholy alliance among the Commission's staff, the Commission's Referee and the American Civil Liberties Union. I thus agree with the majority that petitioner's lack of contrition may be taken into account here. But it does not, in my view, more than balance the mitigating factors summarized in Judge Read's opinion—evidence indicating that petitioner has been, in many important respects, quite a good judge.

While both absence of contrition and mitigation are relevant, I do not believe that either should be the decisive factor here, or in most cases involving judicial discipline. The central issue must be whether the petitioner's conduct was sufficiently bad to warrant his removal from the bench. In this case, I conclude by a narrow margin that it was not, and I therefore dissent from the Court's decision.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK and ROSENBLATT concur in per curiam opinion; Judge READ dissents in a separate opinion in which Judge GRAFFEO concurs; Judge R.S. SMITH dissents in another opinion.

Determined sanction accepted, without costs, and Henry R. Bauer removed from the office of Judge of the Troy City Court, Rensselaer County.

[818 NE2d 1110, 785 NYS2d 369]

In the Matter of CATHERINE G., Individually and as Parent and Guardian of BRITTANY G. and Others, Infants, Appellant-Respondent, v COUNTY OF ESSEX et al., Respondents-Appellants, and CRISIS CENTER OF CLINTON, ESSEX, AND FRANKLIN COUNTIES, INC., et al., Respondents.

Argued September 7, 2004; decided October 14, 2004

SUMMARY

CROSS APPEALS, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 3, 2003. The Appellate Division modified, on the law, an order of the Supreme Court, Essex County (James P. Dawson, J.), which had denied an application by petitioner Catherine G. for leave to file a late notice of claim in her individual capacity and on behalf of petitioner Marcie G., and had granted the application as made on behalf of petitioners Brittany G. and Melissa G. The modification consisted of reversing so much of the order as granted the application for leave to file a late notice of claim on behalf of Melissa G., and denying the application to that extent. The Appellate Division affirmed the order as modified.

Matter of Catherine G. v County of Essex, 307 AD2d 446, modified.

HEADNOTE

Municipal Corporations — Notice of Claim — Late Notice — Meritless Claim

It was an abuse of discretion to permit petitioners to file a late notice of claim against various county and school officials for allegedly failing to report to the statewide central register of child abuse and maltreatment that one of the infant petitioners was sexually abused by her 14-year-old half-brother. Petitioners' claim that respondents were required to report the abuse and could have prevented the abuse from continuing had they done so was patently meritless. Petitioner mother herself attempted to report the abuse to the central register, but was advised that the agency could not do anything because her son was not legally responsible for her daughter. For purposes of reporting to the central register, an abused child is defined as a child harmed by a "parent or other person legally responsible for" the child's care (Family Ct Act § 1012 [e]; Social Services Law § 412 [1]). Although in certain instances a sibling can be a guardian or custodian, this was not one of them. Moreover, even if the abuser were considered to be legally responsible for his half-sister, he was less than 18 years old and therefore too young to be the "[s]ubject of [a] report" to the central register (Social Services Law § 412 [4]). Mandatory reporters should not be required to furnish information to the central register if the reporters know the abuser cannot be the subject of a report.

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By the Publisher's Editorial Staff

AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 640, 641; AM JUR 2d, Municipal, County, School, and State Tort Liability §§ 575, 585.
CARMODY-WAIT 2d, Steps Preliminary to Bringing Suit; Leave to Sue §§ 14:27, 14:31; CARMODY-WAIT 2d, Proceedings Involving Abused and Neglected Children, Juvenile Delinquents, and Persons in Need of Supervision §§ 119A:19–119A:21.
McKINNEY'S, Family Ct Act § 1012 (e); Social Services Law § 412 (1), (4).
NY JUR 2d, Domestic Relations §§ 1671, 1673; NY JUR 2d, Public Welfare and Old Age Assistance §§ 305, 307, 314–316, 318.
SIEGEL, NY PRAC § 32.

ANNOTATION REFERENCE

See ALR Index under Abuse of Persons; Children; Notice of Claim.

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POINTS OF COUNSEL

O'Connell and Aronowitz, Albany (*Cornelius D. Murray* and *April M. Wilson* of counsel), for appellant-respondent. The Appellate Division erred in denying Melissa leave to file a late notice of claim. (*Matter of Kimberly S.M. v Bradford Cent. School*, 226 AD2d 85; *Ivan John M. v Catholic Home Bur.*, 182 AD2d 421; *Matter of Nathaniel TT.*, 265 AD2d 611; *Matter of Rachel G.*, 185 AD2d 382; *Matter of Angelina AA.*, 211 AD2d 951; *Matter of Christopher O.*, 211 AD2d 980; *Matter of Commissioner of Social Servs. [Kanisha W.]*, 233 AD2d 325; *Matter of Amanda LL.*, 195 AD2d 708; *Matter of New York State Assn. of Life Underwriters v New York State Banking Dept.*, 83 NY2d 353; *Matter of Howard v Wyman*, 28 NY2d 434.)

FitzGerald Morris Baker Firth P.C., Glens Falls (*John Dutton Aspland* of counsel), for County of Essex and others, respondents-appellants. I. Respondents-appellants did not violate any statutory duty established by Social Services Law

§ 413. (*Matter of Drozdal v Rensselaer City School Dist.*, 277 AD2d 645; *People v Carroll*, 93 NY2d 564; *Matter of Yolanda D.*, 88 NY2d 790; *People v Wong*, 81 NY2d 600; *People v Myers*, 201 AD2d 855; *People v Goddard*, 206 AD2d 653; *Matter of Kimberly S.M. v Bradford Cent. School*, 226 AD2d 85; *Saafir v Metro-North Commuter R.R. Co.*, 260 AD2d 462; *Matter of Ford v Town of Guilderland*, 85 AD2d 868; *Matter of Meredith C. v Carmel Cent. School Dist.*, 192 AD2d 952.) II. The absence of personal jurisdiction foreclosed the court's ability to grant leave to file a late notice of claim against the county respondents-appellants. (*Torres v City of New York*, 260 AD2d 368, 93 NY2d 815; *Matter of Eso v County of Westchester*, 141 AD2d 542; *Fashion Page v Zurich Ins. Co.*, 50 NY2d 265; *Marine Midland Realty Credit Corp. v Welbilt Corp.*, 145 AD2d 84; *Matter of Komanoff v Dodd*, 114 AD2d 344; *Berment v County of Erie*, 53 Misc 2d 366; *Fill-yow v Westchester County*, 33 Misc 2d 501; *Raynor v Kirk*, 30 Misc 2d 1041; *Charm-Tex, Inc. v Sears, Roebuck & Co.*, 222 AD2d 304, 87 NY2d 810; *De Zego v Bruhn*, 99 AD2d 823, 63 NY2d 770, 67 NY2d 875.) III. No duty to report extends to unknown cases of abuse and the Legislature did not envision such a duty. (*Riley v County of Broome*, 95 NY2d 455; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Bluebird Partners v First Fid. Bank*, 97 NY2d 456.)

Law Office of James M. Brooks, Lake Placid (*Jenifer R. Briggs* and *James M. Brooks* of counsel), for Lake Placid Central School District and others, respondents-appellants. I. The school respondents did not violate any statutory duty established by Social Services Law § 413. (*Matter of Kimberly S.M. v Bradford Cent. School*, 226 AD2d 85; *Matter of Swain v County of Albany*, 268 AD2d 747, 94 NY2d 764; *Matter of Katz v Town of Bedford*, 192 AD2d 707.) II. The Appellate Division properly reversed the order granting leave to file a late notice of claim on behalf of Melissa. (*Matter of Doe v Madrid-Waddington Cent. School Dist.*, 232 AD2d 922; *Matter of Donald E. v Gloversville Enlarged School Dist.*, 191 AD2d 749; *Matter of Drozdal v Rensselaer City School Dist.*, 277 AD2d 645; *De Jesus v County of Albany*, 267 AD2d 649; *Matter of Leiblein v Clark*, 207 AD2d 348.)

OPINION OF THE COURT

ROSENBLATT, J.

Pursuant to Social Services Law § 422, the Legislature established a statewide central register of child abuse and maltreatment (*see* L 1973, ch 1039, § 1). Petitioner sought leave

under General Municipal Law § 50-e (5) to file late notice of claim against various county and school officials. She maintains they were mandated to do so but failed to report to the central register evidence that her son abused one of her daughters. We conclude that it was an abuse of discretion to permit the late notice of claim because, in the circumstances present here, the claim is patently meritless.

In August 2000, petitioner had four children living in her home: a boy, aged 14; and three girls, Brittany, nine; Melissa, eight; and Marcie, four. The boy is the girls' half-brother. After discovering that her son may have been inappropriately touching Brittany, petitioner told Brittany's pediatrician about it. She also called the New York State Central Register of Child Abuse and Maltreatment hotline. The person who answered the call, however, explained to petitioner there was nothing the agency could do, because under these circumstances petitioner's son was not a "person legally responsible" for her daughter (*see, e.g., Social Services Law § 412 [3]*).*

In September 2000, petitioner raised the problem with school psychologist Dr. Randy Quayle, who referred Brittany to counseling at Crisis Center of Clinton, Essex, and Franklin Counties, Inc. Neither the pediatrician, the school psychologist, nor the crisis center counselor made reports to the state hotline.

An unknown third party called the hotline in January 2001 and reported incidents involving petitioner's son and Brittany. The hotline accepted this report. As a result, Dr. Laura Sowden, an employee of Essex County Mobile Mental Health, visited the family's home. After an investigation that included an interview with the boy, Dr. Sowden determined that because the matter involved an isolated incident of touching, no further threat existed. In her view, the matter was not serious enough for criminal prosecution or further intervention and would be best handled by mental health counseling.

Brittany eventually told her mother that the abuse extended beyond inappropriate touching and that her brother was subjecting her and her younger sisters to repeated acts of rape and sodomy. On behalf of herself and her daughters, petitioner sought to sue Essex County and the Lake Placid Central School District, claiming that, as mandatory reporters, their officials were required to report to the state hotline and thereby could

* The hotline confirmed this when petitioner called again in January 2001.

have prevented her son from harming her daughters. Because the deadline for filing the notice of claim had already passed, petitioner attempted a late filing under General Municipal Law § 50-e (5). Supreme Court granted the motion with respect to Brittany and the middle daughter but denied it with respect to petitioner and the youngest daughter. The court ruled that based on petitioner's September 2000 report, there was no reason to suspect any harm to the four year old.

The Appellate Division modified by allowing only Brittany's claim because the September 2000 report to school officials involved her alone. We modify and hold that leave to file late notice should have been denied with respect to Brittany's claim as well. General Municipal Law § 50-e (5) allows a late notice of claim when, in the court's discretion, it is justified (*see generally* Siegel, NY Prac § 32, at 34-38 [3d ed 1999]). Leave is not appropriate for a patently meritless claim (*see also Matter of Katz v Town of Bedford*, 192 AD2d 707, 708 [2d Dept 1993]).

For purposes of reporting to the statewide register, Social Services Law § 412 (1) defines an abused child as one so defined under the Family Court Act. Section 1012 (e) of the Family Court Act defines "[a]bused child" as a child harmed by a "parent or other person legally responsible for his care." It uses the same "parent or other person legally responsible for his care" in the definition of "[n]eglected child." (§ 1012 [f] [i].) Since the boy was obviously not a parent or guardian, the only question is whether he was a "person legally responsible for [Brittany's] care." Under the circumstances of this case, he was not.

Section 1012 (g) of the Family Court Act states that a "'[p]erson legally responsible' includes the child's custodian, guardian, [or] any other person responsible for the child's care at the relevant time." The plain meaning of these terms excludes petitioner's son. We recognize that the very next sentence provides that "Custodian may include any person continually or at regular intervals found in the same household as the child when the conduct of such person causes or contributes to the abuse or neglect of the child." The proof, however, rules out petitioner's son as a "custodian" of his half-sisters, as petitioner made it clear that she did not leave the girls in his charge.

We decline petitioner's invitation to interpret the statute so broadly as to include her son. If we did, custodianship would, for the purposes of this statute, extend to virtually anyone, even

a 10-year-old sibling. According to one commentator, the Legislature intended the custodial category to permit child protective petitions against parents' paramours (*see* Besharov, Practice Commentaries, McKinney's Cons Law of NY, Book 29A, Family Ct Act § 1012, at 373 [1999 ed]). While the classification could properly extend to adult members of a household and, under unusual circumstances, perhaps a minor sibling, we do not believe there was a legislative intent uniformly to include minor siblings within the statute's scope. Moreover, the purpose behind the child abuse provisions of Family Court Act § 1012 is set forth in section 1011, in which the lawmakers declared that article 10 is "designed to provide a due process of law for determining when the state, through its family court, may intervene against the wishes of a parent on behalf of a child." Plainly, the law contemplates intervention in relationships between children and their parents (or guardians or custodians). Although in certain instances a sibling can be a guardian or custodian, this is not one of them.

Our conclusion is supported by the Social Services Law's definition of the "[s]ubject of the report" as including "any parent of, guardian of, custodian of or other person eighteen years of age or older legally responsible for [a child]" (Social Services Law § 412 [4]). Accordingly, a 14-year-old boy could not be the subject of a report even if he were "legally responsible" for purposes of the statute. Moreover, it would make no sense to require mandatory reporters to furnish information to the state hotline if the reporters know the abuser cannot be the subject of a report.

Ordinarily, the State would not need to intervene when a minor is abusing a sibling. Parents would usually be the ones to take action. Petitioner never suggested that she was so bereft of control that she was unable to stop her 14-year-old boy from harming his siblings. The record reveals a mother who, as the person in charge of the household, appeared to be taking responsible measures to protect her daughters and obviate the need for governmental intervention. If there were evidence to the contrary, the officials involved would have been obligated to report her as a person who "allows to be committed an offense against [a] child" (Family Ct Act § 1012 [e] [iii]).

As the facts demonstrate, neither the mandatory reporters nor the state hotline itself considered a parent's report about her child's misconduct to fall within the reach of the reporting statutes. From his training and experience, Dr. Quayle knew

the state hotline would not ordinarily accept reports about a 14 year old inappropriately touching his sister. Dr. Quayle's assessment was correct: on the two occasions petitioner called the hotline, the case worker told her that the registry lacked authority over the matter. Under the circumstances, there is no reason to suppose a report from Dr. Quayle to the state hotline would have changed anything.

Indeed, when the state hotline actually took a report from a third person, the result was a home visit from a psychologist who determined that based on her investigation, the situation did not appear to warrant more drastic action or anything beyond counseling. It is safe to say that an earlier visit would not have prevented any abuse even if had taken place the same day as petitioner's report to Dr. Quayle.

The Legislature could have required mandatory reporting for each and every instance of abuse by one sibling against another, but chose not to do so. Reaching our conclusion on the facts of this case, we do not suggest any relaxation of statutory obligations of mandatory reporters. When in doubt about whether a case must be reported under Social Services Law § 413, they ought to err on the side of caution and make a report. It is for this reason that Social Services Law § 419 protects those who report in good faith by giving them immunity from liability from what may prove to have been an improvident report.

Because petitioner's claims were patently without merit, the motion court should have denied leave to file a late notice of claim.

Accordingly, the Appellate Division order should be modified, with costs to respondents-appellants, by denying the application to file a late notice of claim on behalf of Brittany and, as so modified, affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order modified, etc.

[818 NE2d 1100, 785 NYS2d 359]

CARVEL CORPORATION, Appellant, v ELIZABETH A. NOONAN et al.,
Respondents, et al., Defendants, et al., Special Masters.

Argued September 8, 2004; decided October 14, 2004

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.17, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Under applicable standards for a claim of tortious interference with prospective economic relations, did the evidence of the franchisor’s conduct in each of the three trials on review in these consolidated appeals permit a jury finding in favor of the franchisee? In answering this question, the Court of Appeals might wish to inform us whether, in the context of a tortious interference claim, New York would view the franchisor in this case as a competitor of the franchisees for purposes of determining the applicable standard, and, if so, whether a plaintiff must show that a competitor-defendant acted ‘wrongfully’ but show that a non-competitor defendant acted only ‘improperly.’ ” and “Is public harm required for a punitive damages claim by a franchisee against its franchisor for tortious interference with the franchisee’s prospective economic relations with its customers?”

HEADNOTE

Torts — Interference with Contractual Relations

Respondents, franchisees of appellant ice cream corporation who alleged to have sustained damages when the franchisor distributed its products through supermarkets that competed with the franchisees, did not have a valid tort claim for interference with prospective economic relations. The franchisor’s conduct in inducing customers to buy its ice cream products from supermarkets and not the franchisees did not constitute a crime or an independent tort and was not aimed solely at harming the franchisees. Nor was it the sort of egregious wrongdoing that might have supported a tortious interference claim in the absence of an independently unlawful act or evil motive. The franchisor’s motive in interfering with the franchisees’ relationships with their customers was normal economic self-interest. It was not acting solely to hurt the franchisees, but rather to reverse a period of business decline and make itself more profitable. The extent to which competition is allowed between franchisors and franchisees should be determined by the contracts between them, and not regulated by tort law.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Interference §§ 3, 7, 8, 13, 28.

NY JUR 2d, Franchises § 23; NY JUR 2d, Interference §§ 23, 35.

PROSSER AND KEETON, TORTS (5th ed) § 92.

ANNOTATION REFERENCE

Liability for interference with franchise. 97 ALR3d 890.

FIND SIMILAR CASES ON WESTLAW®

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POINTS OF COUNSEL

Gibson, Dunn & Crutcher LLP, New York City (*Mitchell A. Karlan, Marshall King, David Arroyo, Michelle Craven and Michael Passante* of counsel), for appellant. I. Under applicable standards for a claim of tortious interference with prospective economic relations, the evidence of the franchisor's conduct in each of the three trials on review in these consolidated appeals did not permit a jury finding in favor of the franchisee. (*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382; *Apple Records v Capitol Records*, 137 AD2d 50; *Boscorale Operating v Nautica Apparel*, 298 AD2d 330; *Polar Intl. Brokerage Corp. v Richman*, 291 AD2d 219; *Collins v E-Magine, LLC*, 291 AD2d 350; *Sommer v Federal Signal Corp.*, 79 NY2d 540; *Purchasing Assoc. v Weitz*, 13 NY2d 267; *Camp Cr. Hospitality Inns, Inc. v Sheraton Franchise Corp.*, 139 F3d 1396; *Williams v Barkley*, 165 NY 48; *Musman v Modern Deb*, 56 AD2d 752.) II. Public harm is required for a punitive damages claim by a franchisee against its franchisor for tortious interference with the franchisee's prospective economic relations with its customers. (*Walker v Sheldon*, 10 NY2d 401; *Rocanova v Equitable Life Assur. Socy.*, 83 NY2d 603; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Home Ins. Co. v American Home Prods. Corp.*, 75 NY2d 196; *Prozeralik v Capital Cities Communications*, 82 NY2d 466; *Cooper Indus., Inc. v Leatherman Tool Group, Inc.*, 532 US 424; *Garrity v Lyle Stuart, Inc.*, 40 NY2d 354; *Koufakis v Carvel*, 425 F2d 892; *Honda Motor Co., Ltd. v Oberg*, 512 US 415; *BMW of N. Am., Inc. v Gore*, 517 US 559.)

Duane Morris LLP, Philadelphia, Pennsylvania (*J. Manly Parks*, *Wayne A. Mack* and *James H. Steigerwald* of counsel), and *Aegis J. Frumento*, New York City, for respondents. I. Under applicable standards for a claim of tortious interference with prospective economic relations, the evidence of the franchisor's conduct in each of the three trials on review in these consolidated appeals permitted a jury finding in favor of the franchisee. (*Federal Waste Paper Corp. v Garment Ctr. Capitol*, 268 App Div 230, 294 NY 714; *Guard-Life Corp. v S. Parker Hardware Mfg. Corp.*, 50 NY2d 183; *Jews for Jesus Inc. v Jewish Community Relations Council of N.Y., Inc.*, 968 F2d 286; *Bogoni v Friedlander*, 197 AD2d 281; *Alexander & Alexander v Fritzen*, 68 NY2d 968; *NBT Bancorp v Fleet/Norstar Fin. Group*, 87 NY2d 614; *Pagliaccio v Holborn Corp.*, 289 AD2d 85; *Harden, S.P.A. v Commodore Elecs.*, 90 AD2d 733; *Coleman & Morris v Pisciotta*, 279 App Div 656; *A.S. Rampell, Inc. v Hyster Co.*, 3 NY2d 369.) II. Public harm is not required for a punitive damages claim by a franchisee against its franchisor for tortious interference with the franchisee's prospective economic relations with its customers. (*H & R Indus., Inc. v Kirshner*, 899 F Supp 995; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Rocanova v Equitable Life Assur. Socy.*, 83 NY2d 603; *Blank v Baronowski*, 959 F Supp 172; *Sauer v Xerox Corp.*, 95 F Supp 2d 125; *Queenie, Ltd. v Nygard Intl.*, 204 F Supp 2d 601, 321 F3d 282; *Buchwald & Assoc. v Rich*, 281 AD2d 329; *Walker v Sheldon*, 10 NY2d 401; *Giblin v Murphy*, 73 NY2d 769; *Rochelle Assoc. v Fleet Bank of N.Y.*, 230 AD2d 605.)

Boies, Schiller & Flexner LLP, Albany (*George F. Carpinello* of counsel), for *Caesars Entertainment, Inc.*, amicus curiae. I. New York law, in its current state, does not provide sufficient guidance as to the bounds of legitimate competition. (*Guard-Life Corp. v S. Parker Hardware Mfg. Corp.*, 50 NY2d 183; *A.S. Rampell, Inc. v Hyster Co.*, 3 NY2d 369; *Duane Jones Co. v Burke*, 306 NY 172; *Rice v Manley*, 66 NY 82; *Livoti v Elston*, 52 AD2d 444; *Gold Medal Farms v Rutland County Coop. Creamery*, 9 AD2d 473; *Lurie v New Amsterdam Cas. Co.*, 270 NY 379; *NBT Bancorp v Fleet/Norstar Fin. Group*, 87 NY2d 614.) II. "Wrongful means" should be defined as illegal or independently tortious conduct. (*National Data Payment Sys., Inc. v Meridian Bank*, 212 F3d 849; *Speakers of Sport, Inc. v ProServ, Inc.*, 178 F3d 862; *DP-Tek, Inc. v AT & T Global Info. Solutions Co.*, 100 F3d 828; *Amerinet, Inc. v Xerox Corp.*, 972 F2d 1483; *Great Escape, Inc. v Union City Body Co., Inc.*, 791 F2d 532; *Conoco Inc. v Inman Oil Co., Inc.*, 774 F2d 895; *MLI Indus. v New York*

State Urban Dev. Corp., 205 AD2d 998; *Union Car Adv. Co. v Collier*, 263 NY 386.) III. The “wrongful means” test should apply even where defendant is not technically a “competitor” of plaintiff. IV. Tortious interference should be actionable only when directed at the third party in plaintiff’s business relationship. (*G.K.A. Beverage Corp. v Honickman*, 55 F3d 762; *Piccoli A/S v Calvin Klein Jeanswear Co.*, 19 F Supp 2d 157; *Marilyn Miglin, Inc. v Gottex Indus., Inc.*, 790 F Supp 1245; *Feeley v Whitman Corp.*, 65 F Supp 2d 164; *Volvo N. Am. Corp. v Men’s Intl. Professional Tennis Council*, 857 F2d 55.) V. Motive should not be relevant on a claim for tortious interference with prospective economic relations where defendant’s actions are intended to advance its own economic interests. (*Beardsley v Kilmer*, 236 NY 80; *Biber Bros. News Co. v New York Evening Post*, 144 Misc 405; *Forken v CIGNA Corp.*, 234 AD2d 992; *Quail Ridge Assoc. v Chemical Bank*, 162 AD2d 917; *Terry v Dairy-men’s League Coop. Assn.*, 2 AD2d 494; *Reinforce, Inc. v Birney*, 308 NY 164; *Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *Squire Records v Vanguard Rec. Socy.*, 25 AD2d 190, 19 NY2d 797; *Impastato v Hellman Enters.*, 147 AD2d 788.) VI. “Economic pressure” should not be a basis for finding of wrongful means, unless such economic pressure violates antitrust laws or other well-established tort principles. (*NBT Bancorp. v Fleet/Norstar Fin. Group*, 87 NY2d 614; *Guard-Life Corp. v S. Parker Hardware Mfg. Corp.*, 50 NY2d 183; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Rocanova v Equitable Life Assur. Socy.*, 83 NY2d 603; *Catskill Dev., L.L.C. v Park Place Entertainment Corp.*, 217 F Supp 2d 423.) VII. Applying the proposed standard to the *Carvel* actions should result in dismissal.

Proskauer Rose LLP, New York City (*Dale A. Schreiber* and *Nancy Kilson* of counsel), for Independent Franchisees of Weight Watchers International, Inc., amicus curiae. I. Franchisees, like other contracting parties in New York, should be able to assert tort claims in appropriate cases. (*Apple Records v Capital Records*, 137 AD2d 50; *A.S. Rampell, Inc. v Hyster Co.*, 3 NY2d 369; *Collins v E-Magine, LLC*, 291 AD2d 350; *Boscorale Operating v Nautica Apparel*, 298 AD2d 330; *North Shore Bottling Co. v Schmidt & Sons*, 22 NY2d 171; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Rich v New York Cent. & Hudson Riv. R.R. Co.*, 87 NY 382; *Albemarle Theatre v Bayberry Realty Corp.*, 27 AD2d 172; *Sommer v Federal Signal Corp.*, 79 NY2d 540.) II. Franchisors should not be free from liability for any conduct motivated by economic self-interest, nor should the “wrongful

means” standard apply to franchisors. (*Guard-Life Corp. v S. Parker Hardware Mfg. Corp.*, 50 NY2d 183; *NBT Bancorp v Fleet/Norstar Fin. Group*, 87 NY2d 614; *Mobil Oil Corp. v Rubenfeld*, 48 AD2d 428, 40 NY2d 936.)

Law Offices of Michael B. Wolk, P.C., New York City (*Michael B. Wolk, Edmund F. Wolk, Peter J. Rossi and Michael E. Morrison* of counsel), for Inverraz Group, amicus curiae. I. This Court has indicated that the Restatements (Second) of Torts’ doctrinal approach is consistent with New York law in the tortious interference realm. (*Guard-Life Corp. v S. Parker Hardware Mfg. Corp.*, 50 NY2d 183.) II. The historical development, and common-law evolution, of a claim for tortious interference with prospective business relations indicates that this Court should reject most, if not all, of the “policy arguments” advanced in Carvel Corporation’s brief and in appellant’s amicus brief. (*Devlin v United States*, 352 F3d 525; *Guard-Life Corp. v S. Parker Hardware Mfg. Corp.*, 50 NY2d 183; *Browning v Clinton*, 292 F3d 235; *Rich v New York Cent. & Hudson Riv. R.R. Co.*, 87 NY 382; *North Shore Bottling Co. v Schmidt & Sons*, 22 NY2d 171; *Albemarle Theatre v Bayberry Realty Corp.*, 27 AD2d 172; *S & S Hotel Ventures Ltd. Partnership v 777 S.H. Corp.*, 108 AD2d 351; *Credit Agricole Indosuez v Rossiyskiy Kredit Bank*, 94 NY2d 541.) III. Under New York law, an adjudication of a claim for tortious interference with prospective business relations involves the application of a three-part, shifting burden of proof that imposes different pleading and proof obligations on the parties at different stages of the case. (*Guard-Life Corp. v S. Parker Hardware Mfg. Corp.*, 50 NY2d 183; *NBT Bancorp v Fleet/Norstar Fin. Group*, 87 NY2d 614; *A.S. Rampell, Inc. v Hyster Co.*, 3 NY2d 369; *Alexander & Alexander v Fritzen*, 68 NY2d 968; *Scutti Enters., LLC v Park Place Entertainment Corp.*, 322 F3d 211; *S & S Hotel Ventures Ltd. Partnership v 777 S.H. Corp.*, 108 AD2d 351; *Albemarle Theatre v Bayberry Realty Corp.*, 27 AD2d 172; *Felsen v Sole Cafe Mfg. Corp.*, 24 NY2d 682; *Bogoni v Friedlander*, 197 AD2d 281; *Unionport Shoes v Parkchester S. Condominium*, 205 AD2d 385.) IV. There is no compelling policy reason for vacating a jury’s award of punitive damages against a defendant, such as Carvel Corporation, whom a jury has found independently liable, in tort, for willfully violating an independent societally-imposed duty because of the happenstance that, under the circumstances, defendant’s intentionally tortious conduct also violated a privately-imposed contractual duty between the parties. (*Giblin v Murphy*, 73 NY2d 769; *Rocanova v Equitable Life Assur. Socy.*, 83 NY2d

603; *Buchwald & Assoc. v Rich*, 281 AD2d 329; *Queenie, Ltd. v Nygard Intl.*, 321 F3d 282; *Rich v New York Cent. & Hudson Riv. R.R. Co.*, 87 NY 382; *North Shore Bottling Co. v Schmidt & Sons*, 22 NY2d 171; *Albemarle Theatre v Bayberry Realty Corp.*, 27 AD2d 172; *S & S Hotel Ventures Ltd. Partnership v 777 S.H. Corp.*, 108 AD2d 351; *Guard-Life Corp. v S. Parker Hardware Mfg. Corp.*, 50 NY2d 183; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308.)

OPINION OF THE COURT

R.S. SMITH, J.

Several franchisees of Carvel Corporation sued it in federal court, complaining of the distribution of Carvel's products through supermarkets that competed with the franchisees. Juries awarded damages to three of the franchisees on tort and contract claims, and Carvel appealed to the United States Court of Appeals for the Second Circuit. That court has certified to us the question of whether the franchisees have a valid tort claim for "interference with prospective economic relations." We hold that they do not.

The Facts

Until the early 1990's, Carvel ice cream was distributed only through franchised stores, and Carvel had repeatedly told its franchisees it had no plans to sell through supermarkets. A decline in Carvel's fortunes caused it to change its mind, however, and Carvel adopted a "supermarket program." The program called for sales to supermarkets by Carvel itself and by those franchisees that chose to participate in the program—which required franchisees to pay substantial license fees and to upgrade their stores. Most franchisees chose not to participate. From 1993 to 2000, the supermarket program grew rapidly, while many franchised stores went out of business.

The franchisees assert that Carvel's supermarket program was harmful to them in itself, and that the details of the program's implementation made things worse. Among their grievances are that Carvel sold to supermarkets at bargain prices; that it issued coupons to customers that Carvel would redeem from supermarkets but not from franchisees; and that those coupons were printed on bags that Carvel required franchisees to use in their stores. They contend that, as their expert witness testified, Carvel's supermarket program was not "consistent with the customary practices and standards in the franchise industry."

The franchisees' claims, both in contract and tort, are illuminated by their written agreements with Carvel. Those agreements were of two types. The earlier agreements, known as "Type A," included a specific restriction on Carvel's rights to compete with its franchisees, providing that Carvel "will not establish or license another person to establish a Carvel Store" within a quarter mile of the franchisee's store on the same street. The Type A agreements contained other language, including a reference to "a unique system for the production, distribution and merchandising of Carvel products," that the franchisees interpret as prohibiting Carvel from implementing its supermarket program.

The later, "Type B," agreements also contained the "unique system" language, but not the quarter-mile restriction. They provided that the license granted to the franchisee was "non-exclusive," and that Carvel "in its sole and absolute discretion" could license other Carvel stores and could sell its products "through the same or different delivery systems or other distribution channels." The franchisees who signed Type B agreements had all received, before they signed the agreements, an offering circular saying that Carvel was free to sell through "supermarkets."

Of the three franchisees whose cases are now before us, two, Marsella and the Noonans, signed Type A agreements; the third, Giampapa, signed Type B. Each agreement contains a New York choice of law clause, and it is not disputed that New York law governs both the contract and tort claims.

The two franchisees who signed Type A agreements were allowed to go to juries on claims that Carvel "breached its franchise agreement" with them. One of them, the Noonans, got a favorable verdict on that claim. All three of the franchisees went to juries on claims that Carvel "breached the implied covenant of good faith and fair dealing" and "tortiously interfered with the [franchisee's] existing or prospective business relations," and all three got favorable verdicts on those two claims. Only the verdicts for tortious interference with business relations are now our concern.

The Certified Questions

The Second Circuit Court of Appeals certified the following two questions to us:

1. "Under applicable standards for a claim of tor-

tious interference with prospective economic relations, did the evidence of the franchisor's conduct in each of the three trials on review in these consolidated appeals permit a jury finding in favor of the franchisee?" (350 F3d 6, 23 [2003].)

2. "Is public harm required for a punitive damages claim by a franchisee against its franchisor for tortious interference with the franchisee's prospective economic relations with its customers?" (*Id.* at 26.)

We answer the first question "no." This answer renders the second question academic.

Discussion

The franchisees' tort claim is that Carvel unlawfully interfered with the relationships between the franchisees and their customers. The franchisees do not claim that the customers had binding contracts that Carvel induced them to breach; they allege only that, by implementing its supermarket program, Carvel induced the customers not to buy Carvel products from the franchisees. The juries have found that Carvel did so induce customers, and the question for us is whether that inducement was tortious interference under New York law. We conclude that it was not because Carvel's conduct, which did not constitute a crime or an independent tort and was not aimed solely at harming franchisees, was also not the sort of egregious wrongdoing that might support a tortious interference claim in the absence of such an independently unlawful act or evil motive.

We have recognized that inducing breach of a binding agreement and interfering with a nonbinding "economic relation" can both be torts, but that the elements of the two torts are not the same. Our leading cases, as the Second Circuit Court of Appeals noted, are *Guard-Life Corp. v S. Parker Hardware Mfg. Corp.* (50 NY2d 183 [1980]) and *NBT Bancorp Inc. v Fleet/Norstar Fin. Group, Inc.* (87 NY2d 614 [1996]). We said in *NBT*, summarizing what we had held in *Guard-Life*:

"[T]he degree of protection available to a plaintiff for a competitor's tortious interference with contract is defined by the nature of the plaintiff's enforceable legal rights. Thus, where there is an existing, enforceable contract and a defendant's deliberate interference results in a breach of that contract, a plaintiff may recover damages for tortious interfer-

ence with contractual relations even if the defendant was engaged in lawful behavior. Where there has been no breach of an existing contract, but only interference with prospective contract rights, however, plaintiff must show more culpable conduct on the part of the defendant.” (87 NY2d at 621 [citations omitted].)

By saying in *NBT* that a defendant who induced the breach of a binding contract could be liable “even if the defendant was engaged in lawful behavior,” we implied that the same was not ordinarily true where the plaintiff complained only of “interference with prospective contract rights.” This applies equally if not a fortiori, here, where the franchisees complain of interference not with “contract rights” but only with existing or prospective economic relations.

Under *NBT*, where a suit is based on interference with a nonbinding relationship, the plaintiff must show that defendant’s conduct was not “lawful” but “more culpable.” The implication is that, as a general rule, the defendant’s conduct must amount to a crime or an independent tort. Conduct that is not criminal or tortious will generally be “lawful” and thus insufficiently “culpable” to create liability for interference with prospective contracts or other nonbinding economic relations.

Since the franchisees have not shown that Carvel’s conduct was criminal or independently tortious, they cannot recover unless an exception to the general rule is applicable. Such an exception has been recognized where a defendant engages in conduct “for the sole purpose of inflicting intentional harm on plaintiffs” (*NBT Bancorp, Inc. v Fleet/Norstar Fin. Group, Inc.*, 215 AD2d 990, 990 [3d Dept 1995], *affd* 87 NY2d 614 [1996]), but that exception clearly does not apply here. It is undisputed that Carvel’s motive in interfering with the franchisees’ relationships with their customers was normal economic self-interest; Carvel wanted to reverse a period of business declines and make itself more profitable. It was not acting solely to hurt the franchisees; indeed, one of the franchisees’ prize pieces of evidence is a statement by a Carvel executive, in colorful terms, that he was completely indifferent to the franchisees’ fate.

We did not decide in *Guard-Life* or *NBT*, and we do not decide today, whether any other exception to the general rule exists—whether there can ever be other instances of conduct which, though not a crime or tort in itself, was so “culpable,” to use *NBT*’s word, that it could be the basis for a claim of tortious

interference with economic relations. That is a question we leave for another day, because no such egregious conduct was shown here.

The sort of “more culpable” conduct we had in mind in *NBT* was described in *Guard-Life*, where we referred to a Restatement section dealing with the issue of when a business competitor may recover against another for “tortious interference.” Where no binding contract is interfered with, and there is no “unlawful restraint of trade,” the Restatement provides that the competitor will not be liable so long as “the means employed are not wrongful.” (*Guard-Life*, 50 NY2d at 191, summarizing Restatement [Second] of Torts § 768.) Continuing to draw on the Restatement, we added in *Guard-Life*:

“ ‘Wrongful means’ include physical violence, fraud or misrepresentation, civil suits and criminal prosecutions, and some degrees of economic pressure; they do not, however, include persuasion alone although it is knowingly directed at interference with the contract ([Restatement (Second) of Torts] § 768, Comment *e*; § 767, Comment *c*).” (*Id.*)

The Restatement section on which *Guard-Life* relied refers to actions between business competitors, and the plaintiff and defendant in *Guard-Life* were competitors in a marketplace. The logic of *Guard-Life* and *NBT* does not, however, depend on the parties’ status as competitors. The existence of competition may often be relevant, since it provides an obvious motive for defendant’s interference other than a desire to injure the plaintiff; competition, by definition, interferes with someone else’s economic relations. Where the parties are not competitors, there may be a stronger case that the defendant’s interference with the plaintiff’s relationships was motivated by spite. But as long as the defendant is motivated by legitimate economic self-interest, it should not matter if the parties are or are not competitors in the same marketplace. Indeed, in *NBT*, while we referred to the defendant as the plaintiff’s “competitor” (87 NY2d at 617), it is not clear from the opinion whether we meant that they were competitors in their everyday business, or only that they were competing for the particular corporate acquisition that gave rise to the lawsuit.

Thus it is not relevant here whether we characterize Carvel and its franchisees as “competitors.” The question, under *Guard-Life* and *NBT*, is whether the “means” employed by

Carvel were “wrongful” or “culpable” as we used those terms in those cases. Most of the items in *Guard-Life*’s catalog of “wrongful means” are acts that would be criminal or independently tortious, and most are obviously absent here: Carvel did not drive the franchisees’ customers away by physical violence, or lure them by fraud or misrepresentation, or harass them with meritless litigation (*Guard-Life*, 50 NY2d at 191).

The franchisees claim that Carvel did use wrongful “economic pressure” (*id.*), but that argument is ill-founded for two independent reasons.

First, it is ill-founded because the economic pressure that must be shown is not, as the franchisees assume, pressure on the franchisees, but on the franchisees’ customers. As federal courts applying New York law have recognized, conduct constituting tortious interference with business relations is, by definition, conduct directed not at the plaintiff itself, but at the party with which the plaintiff has or seeks to have a relationship. (*G.K.A. Beverage Corp. v Honickman*, 55 F3d 762, 768 [2d Cir 1995] [claim dismissed because alleged conduct was not directed at plaintiff’s customers]; *Fonar Corp. v Magnetic Resonance Plus, Inc.*, 957 F Supp 477, 482 [SD NY 1997] [“(U)nder New York law, in order for a party to make out a claim for tortious interference with prospective economic advantage, the defendant must . . . direct some activities towards the third party . . .”]; *Piccoli A/S v Calvin Klein Jeanswear Co.*, 19 F Supp 2d 157, 167-168 [SD NY 1998] [claim must fail because “defendants’ alleged conduct concededly was not directed towards any third party with whom Piccoli had an existing or prospective business relationship”].) While economic pressure brought to bear by one contracting party on the other may, on rare occasions, be tortious (*see Albemarle Theatre, Inc. v Bayberry Realty Corp.*, 27 AD2d 172 [1st Dept 1967]; *Rich v New York Cent. & Hudson Riv. R.R. Co.*, 87 NY 382 [1882]), it cannot constitute the tort of interference with economic relations. Here, all Carvel did to the franchisees’ customers was to make Carvel goods available in supermarkets at attractive prices; this, in the language of *Guard-Life*, was not “pressure” on these third parties but legitimate “persuasion,” and thus tortious interference with economic relations was not established.

The franchisees’ argument is also ill-founded because the Carvel activities they complain of do not amount to the sort of extreme and unfair “economic pressure” that might be “wrong-

ful” under *Guard-Life* and *NBT*. The crux of the franchisees’ complaint is that Carvel distributed its products through competitive channels, to an extent and in a way that was inconsistent with the franchisor-franchisee relationship. But the relationship between franchisors and franchisees is a complex one; while cooperative, it does not preclude all competition; and the extent to which competition is allowed should be determined by the contracts between the parties, not by courts or juries seeking after the fact to devise a code of conduct.

The facts of this case illustrate the point. Both the Type A and Type B contracts between Carvel and its franchisees expressly dealt with the question of when competition would be forbidden and when permitted. To the extent that the express words of the contracts failed to prohibit some acts arguably inconsistent with the nature of the relationship, the franchisees could—and did—invoke the implied covenant of good faith and fair dealing. The intervention of tort law to regulate when a franchisor may or may not compete with its franchisees is neither necessary nor useful.

Apart from attacking the supermarket program in general as excessively and destructively competitive, the franchisees also attack the coupon-redemption element of that program as excessive “economic pressure.” The essence of the coupon program was to give customers who used coupons a better price when they shopped in supermarkets. This, like any other form of price competition, should be regulated, if at all, by the franchisor-franchisee contract, not by tort law. The mere institution of a coupon program was not “economic pressure” rising to the level of “wrongful” or “culpable” conduct in the *Guard-Life/NBT* sense.

The franchisees also claim that, by putting coupons on the bags used by the franchisees—and thus compelling them, in effect, to promote products sold in supermarkets in competition with their own—Carvel went beyond legitimate competitive activity. The evidence of this practice, however, is extremely thin. No such evidence was introduced by either Marsella or Giampapa. John Noonan testified that the Noonans “had to” give their customers bags supplied by Carvel, and that an exhibit counsel showed him, a copy of a bag containing a coupon, looked like “the kind of Carvel bags . . . used in [the Noonans’] Carvel store from time to time.” There was no evidence that the Noonans or any other franchisees complained of having to distribute these bags, or were threatened by Carvel with consequences if

they did not do so. There is no evidence of how many bags containing coupons were distributed, or what if any economic impact the coupons derived from bags had on any franchisee. At best for the franchisees, the record shows that the Noonans received some indeterminate number of coupon-bearing bags from Carvel “from time to time” and gave them to customers. This does not come close to showing the kind of “economic pressure” that might support a claim for tortious interference with economic relations—quite apart from the fact that, as explained above, that tort could exist only if the “pressure” were on the customers, not the franchisees.

The franchisees argue that their tort claim is supported by our decision in *A.S. Rampell, Inc. v Hyster Co.* (3 NY2d 369 [1957]), but *Rampell* is distinguishable. The defendant in *Rampell*, a manufacturer, had enticed away not its distributor’s customers, but the distributor’s key employees. The distributor claimed that, because of the “relation of confidence” between it and the manufacturer, the inducement was actionable “since its real purpose was the appropriation by [the manufacturer] of plaintiff’s sales organization and good will” (3 NY2d at 375). No similar claim is made here, and our decision upholding the complaint in *Rampell* does not alter our conclusion in this case.

Accordingly, the first certified question should be answered in the negative and the second not answered as academic.

GRAFFEO, J. (concurring). We concur that the first certified question should be answered in the negative because, under the particular facts and circumstances of this case, Carvel’s conduct was not sufficiently improper to support a claim for tortious interference with prospective contractual relations. We write separately, however, because we find that the standard applied by the majority is too restrictive. We would adopt the rule set forth in Restatement (Second) of Torts § 766B, which provides that improper conduct is the appropriate standard in a tortious interference with prospective contractual relations case involving noncompetitors.

The Restatement (Second) of Torts distinguishes between interference by a noncompetitor and interference by a market competitor. Section 766B, applicable to noncompetitors, provides that a defendant “who intentionally and improperly interferes with another’s prospective contractual relation . . . is subject to liability to the other for the pecuniary harm resulting from loss of the benefits of the relation.” In contrast, section 768 (1)

states that a “competitor” who interferes with another’s prospective contractual relation—where “the relation concerns a matter involved in the competition between the [parties]”—will be liable for such interference only where the interferer employed wrongful means. Thus, the relevant inquiry under the Restatement in determining the applicable standard is whether the interfering party is a market competitor of the plaintiff.

We have previously applied Restatement § 768’s wrongful conduct test in cases involving competitors. In *Guard-Life Corp. v S. Parker Hardware Mfg. Corp.* (50 NY2d 183 [1980]), we held that where the injured party and interfering party are “business competitors,” the injured party must establish that the interfering party employed wrongful means to state a claim for tortious interference with prospective contractual relations (*id.* at 190-191, citing Restatement [Second] of Torts § 768). In *NBT Bancorp Inc. v Fleet/Norstar Fin. Group, Inc.* (87 NY2d 614 [1996]), we relied on *Guard-Life* in affirming the dismissal of a tortious interference claim by a financial institution against a competing bank, holding that the plaintiff produced insufficient evidence that the defendant employed wrongful means.¹

Here, Carvel was not a “competitor” of its franchisees within the meaning of the Restatement. Rather, for the purposes of this claim, Carvel and its franchisees were more akin to economic partners, whose relationship contemplated cooperation, mutual promotion of Carvel products and a joint interest in maintaining consumer loyalty. Clearly, the expectations of these parties, particularly the franchisees, differed from that of commercial competitors with no product commonality. Moreover, to the extent that Carvel was technically “competing” with its franchisees for customers, such competition was not true free market competition, since Carvel was in a position of dominance by virtue of its franchisor-franchisee relationship. In this context, we therefore would apply section 766B of the Restatement rather than employ the section 768 wrongful means standard.

The majority concludes otherwise, holding that where a defendant acts in its own economic self-interest, the standard applicable to a tortious interference claim is whether the defen-

1. We have defined wrongful means “as representing ‘physical violence, fraud or misrepresentation, civil suits and criminal prosecutions, and some degrees of economic pressure; they do not, however, include persuasion alone although it is knowingly directed at interference with the contract’ ” (*NBT*, 87 NY2d at 624, quoting *Guard-Life*, 50 NY2d at 191).

dant employed “wrongful means” or committed “egregious wrongdoing.” The majority thus posits that “it is not relevant here whether we characterize Carvel and its franchisees as ‘competitors.’ ” (Majority op at 191.) The relevant inquiry under the Restatement, however, is directed to the nature of the parties’ relationship as competitors or noncompetitors. This issue regarding the interfering party’s economic self-interest is not determinative; rather, where the parties are noncompetitors, economic self-interest under the Restatement is but one of the factors—albeit a significant one—to consider in determining whether the interferer acted improperly.²

Section 767 of the Restatement (Second) of Contracts enumerates a variety of factors to consider when evaluating a claim of improper interference:

- “(a) the nature of the actor’s conduct,
- “(b) the actor’s motive,
- “(c) the interests of the other with which the actor’s conduct interferes,
- “(d) the interests sought to be advanced by the actor,
- “(e) the social interests in protecting the freedom of action of the actor and the contractual interests of the other,
- “(f) the proximity or remoteness of the actor’s conduct to the interference and
- “(g) the relations between the parties.”

Additionally, commentary to the Restatement categorizes economic pressure as one type of interference that may constitute improper conduct and specifies the factors to analyze:

“The question whether [economic] pressure is proper is answered in the light of the circumstances in which it is exerted, the object sought to be accomplished by the actor, the degree of coercion involved, the extent of the harm that it threatens, the effect upon the neutral parties drawn into the situation, the effects upon competition, and the gen-

2. Of course, we agree with the majority that conduct rising to the level of an independent tort or a crime, or conduct aimed solely at harming a plaintiff, would also support a tortious interference claim.

eral reasonableness and appropriateness of this pressure as a means of accomplishing the actor's objective" (Restatement [Second] of Torts § 767, Comment c).³

Although we conclude that the improper conduct standard should apply, we nonetheless concur with the majority holding because, based on the record in this case, the proof of economic pressure engaged in by Carvel does not rise to the level of improper conduct. Reviewing all of the factors listed in section 767, the franchisees' proof fails to establish that Carvel acted improperly with respect to either the Type A or Type B franchisees. As an initial matter, because the determination of whether economic pressure is improper must be reviewed "in the light of the circumstances in which it is exerted" and section 767 specifies that "the relations between the parties" is a consideration, Carvel's actions must be analyzed in the context of its contractual agreements with its franchisees.

Type B franchisees, like Giampapa, expressly agreed that Carvel could sell its products "through the same or different delivery systems or other distribution channels," and a disclosure form clarified that such alternative marketing channels could include "supermarkets." Because the Type B agreements expressly permitted Carvel's sale of ice cream cakes to supermarkets, and the franchisees under such contracts had full knowledge that Carvel products could be sold in retail venues other than Carvel stores, such sales do not constitute

3. In discussing "economic pressure" as wrongful means, the majority limits that theory solely to situations where the defendant directs such pressure at parties with whom the plaintiff seeks a contractual relationship. The majority relies on a number of federal cases in support of this proposition (see *G.K.A. Beverage Corp. v Honickman*, 55 F3d 762, 768 [2d Cir 1995] [tortious interference claim dismissed because plaintiffs made "no allegations that (the defendants) had any contact with the (plaintiffs') customers or that (the defendants) tried to convince the customers to make contracts with them rather than the (plaintiffs)"], *cert denied* 516 US 944 [1995]; *Piccoli A/S v Calvin Klein Jeanswear Co.*, 19 F Supp 2d 157, 167-168 [SD NY 1998] [tortious interference claim dismissed where "the defendants' alleged conduct concededly was not directed towards any third party with whom (the plaintiff) had an existing or prospective business relationship"]; *Fonar Corp. v Magnetic Resonance Plus, Inc.*, 957 F Supp 477, 482 [SD NY 1997] [quoting *Honickman*], *cert denied sub nom. Domenick v Fonar Corp.*, 522 US 908 [1997]). These cases suggest that the allegedly interfering party must have some direct contact with the third-party customers, thereby inducing them not to deal with the plaintiffs. In this case, Carvel did have contact with the franchisees' customers through the supermarket program. But these cases do not hold that "economic pressure" must be exerted on third parties.

economic pressure rising to the level of improper conduct sufficient to support a tortious interference claim by the Type B franchisees.

A closer case is presented with respect to the Type A franchisees. The Type A franchise agreements restrict Carvel from licensing other Carvel stores within a quarter of a mile of a franchisee, creating a relatively small sales territory for the franchisee. The agreements also refer to “a unique system for the production, distribution and merchandising of Carvel products.” The franchisees assert that Carvel’s supermarket program is inconsistent with the unique system of Carvel stores envisioned in their agreements and amounted to improper economic pressure. Because Carvel and its franchisees were not operating in an arm’s length environment, “the relations between the parties” factor weighs in the franchisees’ favor.

Balancing each of the factors, however, compels the conclusion that Carvel did not act improperly. Carvel’s conduct in selling ice cream cakes to supermarkets, in and of itself, is not coercive in nature and is not compelling evidence of improper economic pressure. Moreover, Carvel’s supermarket sales were not specifically aimed at inducing particular customers away from the franchisees; such sales were aimed at supermarket customers in general. Additionally, we agree with the majority that the franchisees’ evidence regarding Carvel’s practice of requiring them to use bags with printed coupons redeemable only at supermarkets is vague and insubstantial.

In accordance with section 767, the supermarket program must also be considered in light of Carvel’s motive, as well as the interests Carvel sought to advance through its implementation. As a result of declining sales due to growing competition in the frozen desserts industry, Carvel commissioned a study on its market decline. The study concluded that the creation of a supermarket program “is totally necessary if Carvel is to survive as a brand over the next decade.” Thus, in creating the supermarket program, which Carvel introduced in response to this study, Carvel was legitimately concerned with its future profitability and cannot be said to have been primarily motivated by a desire to interfere with relations between the franchisees and their customers.

Concluding that the franchisees’ claim does not meet the improper conduct standard, we therefore agree that the first certified question should be answered in the negative.

Judges G.B. SMITH, ROSENBLATT and READ concur with Judge R.S. SMITH; Judge GRAFFEO concurs in result in a separate opinion in which Judge CIPARICK concurs; Chief Judge KAYE taking no part.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.17 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.17), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question No. 1 answered in the negative and certified question No. 2 not answered upon the ground that it has been rendered academic.

[818 NE2d 1140, 785 NYS2d 399]

BLUE CROSS AND BLUE SHIELD OF NEW JERSEY, INC., Now Known as HORIZON HEALTHCARE SERVICES, INC., Doing Business as BLUE CROSS BLUE SHIELD OF NEW JERSEY and Others, et al., Respondents, v PHILIP MORRIS USA INCORPORATED et al., Appellants, et al., Defendants.

Argued September 7, 2004; decided October 19, 2004

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.17, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “1. Are claims by a third party payer of health care costs seeking to recover costs of services provided to subscribers as a result of those subscribers being harmed by a defendant’s or defendants’ violation of N.Y. Gen. Bus. Law § 349 too remote to permit suit under that statute? [and] 2. If such an action is not too remote to permit suit, is individualized proof of harm to subscribers required when a third party payer of health care costs seeks to recover costs of services provided to subscribers as a result of those subscribers being harmed by a defendant’s or defendants’ violation of N.Y. Gen. Bus. Law § 349?”

HEADNOTE

Consumer Protection — Deceptive Acts and Practices — Action against Tobacco Companies — Recovery for Derivative Injuries Barred

In an action for damages commenced by plaintiff insurer against defendant tobacco companies alleging that defendants engaged in deceptive practices designed to mislead the public regarding the harmful and addictive properties of cigarette smoking, plaintiff could not recover derivatively under General Business Law § 349 for injuries suffered by its insureds. In order to make out a valid section 349 claim, a plaintiff must allege both a deceptive act or practice directed toward consumers and that such act or practice resulted in actual injury to the plaintiff. Although here plaintiff alleged both that defendants misrepresented the dangers of smoking while encouraging consumers to smoke, and that such actions caused an increase in medical costs, resulting in actual damages to plaintiff, under common law an insurer may not recover derivatively for injuries suffered by its insured. Rather, an insurer’s sole remedy is in equitable subrogation. The Legislature did not intend to abrogate that common-law rule and permit recovery for derivative injuries when it enacted General Business Law § 349. Moreover, allowing plaintiff’s claim

would have effectively eliminated subrogation actions under section 349, a result that was not intended.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Consumer and Borrower Protection §§ 255, 258, 260, 262, 271, 279, 280; AM JUR 2d, Insurance § 1768.
 McKINNEY'S, General Business Law § 349.
 NY JUR 2d, Consumer and Borrower Protection §§ 5-8, 14, 15; NY JUR 2d, Insurance § 2176.

ANNOTATION REFERENCE

Who is "consumer" entitled to protection of state deceptive trade practice and consumer protection acts. 63 ALR5th 1.

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POINTS OF COUNSEL

Arnold & Porter, Washington, D.C. (*Murray R. Garnick* and *David S. Eggert* of counsel), for appellants. I. General Business Law § 349 incorporates the rule barring direct claims by insurers to recover for injuries caused to their subscribers. (*B & F Bldg. Corp. v Liebig*, 76 NY2d 689; *Associated Gen. Contrs. of Cal., Inc. v California State Council of Carpenters*, 459 US 519; *Holmes v Securities Inv. Protection Corp.*, 503 US 258; *United States v Standard Oil of Cal.*, 332 US 301; *Laborers Local 17 Health & Benefit Fund v Philip Morris, Inc.*, 191 F3d 229; *Mobile Life Ins. Co. v Brame*, 95 US 754; *Ferguson v Green Is. Contr. Corp.*, 36 NY2d 742; *Baker v Sterling*, 39 NY2d 397; *Longo v Butler Equities II*, 278 AD2d 97; *New Castle Siding Co. v Wolfson*, 97 AD2d 501, 63 NY2d 782.) II. General Business Law § 349 requires individualized proof of causation and damages. (*Desiano v Warner-Lambert Co.*, 326 F3d 339; *Small v Lorillard Tobacco Co., Inc.*, 252 AD2d 1; *Geiger v American Tobacco Co.*, 277 AD2d 420; *Barnes v American Tobacco Co.*, 161 F3d 127; *Castano v American Tobacco Co.*, 84 F3d 734; *Carnegie v H&R Block*, 269 AD2d 145; *Eastern States Health & Welfare Fund v Philip Morris Inc.*, 188 Misc 2d 638; *In re Fibreboard Corp.*, 893 F2d 706; *Broussard v Meineke Discount Muffler Shops, Inc.*, 155 F3d 331.)

Dewey Ballantine LLP, New York City (*Paul J. Bschorr*, *Joseph Angland*, *Michael C. Hefter*, *Robert J. Morrow* and *Alexander M. Kayne* of counsel), for respondent. I. Empire Healthchoice, Inc. has standing to assert claims on its own behalf under General Business Law § 349 so long as the violative conduct affects consumers. (*Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20; *Securitron Magnalock Corp. v Schnabolk*, 65 F3d 256; *Rooney v Tyson*, 91 NY2d 685; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Chianese v Meier*, 285 AD2d 315; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314; *Gaidon v Guardian Life Ins. Co. of Am.*, 96 NY2d 201; *Hanover Shoe, Inc. v United Shoe Mach. Corp.*, 392 US 481; *Karlin v IVF Am.*, 93 NY2d 282.) II. Use of aggregate proof to establish Empire Healthchoice, Inc.'s direct claim under General Business Law § 349 was proper. (*Stutman v Chemical Bank*, 95 NY2d 24; *Small v Lorillard Tobacco Co., Inc.*, 252 AD2d 1, 94 NY2d 43; *Erie R.R. Co. v Tompkins*, 304 US 64; *Muller v Eno*, 14 NY 597; *Otto Gerdau Co. v Bowne-Morton Stores*, 1 AD2d 581; *Bond Elec. Corp. v Gold Seal Elec. Co.*, 244 App Div 206, 271 NY 461; *Merco, Inc. v Schranze*, 21 Misc 2d 743; *Texpor Traders, Inc. v Trust Co. Bank*, 720 F Supp 1100; *In re Peterson*, 253 US 300; *Czarnikow-Rionda Co. v West Mkt. Grocery Co.*, 21 F2d 309.)

Herzfeld & Rubin, P.C., New York City (*Michael Hoenig*, *Aaron D. Twerski* and *Miriam Skolnik* of counsel), and *Hugh F. Young, Jr.*, Reston, Virginia, for Product Liability Advisory Council, Inc., amicus curiae. General Business Law § 349, which requires, inter alia, proof of injury, should not be read as an insurer protection statute permitting insurers to directly assert remote claims based on deceptive practices which do not lead to any loss or injury to the insurers. Rather, the carriers should be limited to pursuing traditional subrogation rights, a claim which Empire Healthchoice, Inc. failed to prove here. (*Ollendorff Watch Co. v Pink*, 279 NY 32; *Medical Malpractice Ins. Assn. v Community Gen. Hosp.*, 73 AD2d 867; *Orient Mut. Ins. Co. v Wright*, 23 How [64 US] 401; *Great Am. Ins. Co. v United States*, 575 F2d 1031; *Federal Ins. Co. v Arthur Andersen & Co.*, 75 NY2d 366; *Aetna Life Ins. Co. v Town of Middleport*, 124 US 534; *Ocean Acc. & Guar. Corp. v Hooker Electrochemical Co.*, 240 NY 37; *Wager v Providence Ins. Co.*, 150 US 99; *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd's of London*, 96 NY2d 583; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20.)

Eliot Spitzer, Attorney General, New York City (*Caitlin J. Hal-*

ligan, Thomas G. Conway, Robert H. Easton and Jane M. Azia of counsel), amicus curiae. General Business Law § 349 (h) requires only a practical or reasonable connection between a defendant's unlawful conduct and a plaintiff's injury. (*Laborers Local 17 Health & Benefit Fund v Philip Morris, Inc.*, 191 F3d 229, 528 US 1080; *Holmes v Securities Inv. Protection Corp.*, 503 US 258; *Desiano v Warner-Lambert Co.*, 326 F3d 339; *Stutman v Chemical Bank*, 95 NY2d 24; *New York v Feldman*, 210 F Supp 2d 294; *Securitron Magnalock Corp. v Schnabolk*, 65 F3d 256; *Excellus Health Plan, Inc. v Tran*, 287 F Supp 2d 167; *Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330; *Small v Lorillard Tobacco Co., Inc.*, 94 NY2d 43; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20.)

Kaye Scholer LLP, New York City (*David Klingsberg, Steven Glickstein and Maris Veidemanis* of counsel), for Pharmaceutical Research and Manufacturers of America, amicus curiae. I. The proposed new derivative cause of action under General Business Law § 349 could produce a “tidal wave of litigation” against pharmaceutical companies. (*Ultramares Corp. v Touche*, 255 NY 170; *McNulty v City of New York*, 100 NY2d 227; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20; *Enright v Eli Lilly & Co.*, 77 NY2d 377; *Laborers Local 17 Health & Benefit Fund v Philip Morris, Inc.*, 191 F3d 229; *Stutman v Chemical Bank*, 95 NY2d 24; *Southern Pac. Co. v Darnell-Taenzer Lbr. Co.*, 245 US 531; *Fisher v Qualico Contr. Corp.*, 98 NY2d 534; *Albala v City of New York*, 54 NY2d 269; *Matter of Bridgestone/Firestone, Inc.*, 288 F3d 1012.) II. Eliminating the requirement of individualized proof of harm would compound the problem, giving insurers far greater leverage against pharmaceutical manufacturers than individual product users have. (*Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314; *Martin v Hacker*, 83 NY2d 1; *Stutman v Chemical Bank*, 95 NY2d 24; *In re American Med. Sys., Inc.*, 75 F3d 1069.)

OPINION OF THE COURT

CIPARICK, J.

Plaintiff Empire Blue Cross and Blue Shield is one of several Blue Cross plans to commence this action against defendant tobacco companies alleging that defendants engaged in decep-

tive practices designed to mislead the public regarding the harmful and addictive properties of cigarette smoking.¹

The complaint, lodged in the United States District Court for the Eastern District of New York, raised various federal and state claims. By the time of trial, the remaining claims consisted of direct and subrogated actions for violations of the federal Racketeer Influenced and Corrupt Organizations Act (RICO) (18 USC § 1962), direct and subrogated actions for engaging in deceptive business practices in violation of New York General Business Law § 349, and a subrogation claim for common-law fraud.

The jury determined that Empire had proven its section 349 claims against defendant tobacco companies (with the exception of defendant British American Tobacco Co., Ltd.), and awarded Empire \$17,782,702 on its direct action and \$11,829,784 on its subrogated action.² After the verdict, defendants moved for judgment as a matter of law (*see* Fed Rules Civ Pro rule 50 [b]). The District Court denied the motion, finding that Empire's injury was not too remote to allow recovery under section 349 and that victims of indirect injuries could recover under the statute (*see Blue Cross & Blue Shield of N.J., Inc. v Philip Morris, Inc.*, 178 F Supp 2d 198, 230-232 [ED NY 2001]).

The United States Court of Appeals for the Second Circuit reversed the portion of the jury award on Empire's section 349 subrogation claim, because Empire failed to identify individually injured plan members for the purpose of allowing defendants to investigate and defend the action (*see Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.*, 344 F3d 211, 217-218 [2003]). The court further found that Empire's standing to bring an action under section 349 was not affected by the fact that it is not a consumer, and that Empire's aggregate proof on the issues of causation and damages was legally sufficient—unless individualized proof is required by section 349. The Second Circuit found, however, that there were unresolved issues of New York law that would be determinative of the present appeal, and certified the following questions for this Court's review:

1. The United States District Court ordered Empire's claims to be tried first, separate from the claims of the other Blue Cross plans (*see Blue Cross & Blue Shield of N.J., Inc. v Philip Morris, Inc.*, 113 F Supp 2d 345, 353 [ED NY 2000]). Thus, only Empire's claims are at issue for purposes of this appeal.

2. The District Court subsequently awarded plaintiff attorneys' fees in the amount of \$37,841,054.22 (*see Blue Cross & Blue Shield of N.J., Inc. v Philip Morris, Inc.*, 190 F Supp 2d 407, 429 [ED NY 2002]).

“1. Are claims by a third party payer of health care costs seeking to recover costs of services provided to subscribers as a result of those subscribers being harmed by a defendant’s or defendants’ violation of N.Y. Gen. Bus. Law § 349 too remote to permit suit under that statute?

“2. If such an action is not too remote to permit suit, is individualized proof of harm to subscribers required when a third party payer of health care costs seeks to recover costs of services provided to subscribers as a result of those subscribers being harmed by a defendant’s or defendants’ violation of N.Y. Gen. Bus. Law § 349?” (344 F3d at 229.)

We accepted certification (100 NY2d 636 [2003]) and answer the first question in the affirmative, rendering the second question academic.

Discussion

General Business Law § 349 is a consumer protection statute designed to protect against “[d]eceptive acts or practices in the conduct of any business, trade or commerce or in the furnishing of any service in this state” (General Business Law § 349 [a]). Though originally intended to be enforced by the Attorney General (*see* General Business Law § 349 [b]), the statute was amended in 1980 to include a private right of action (L 1980, ch 346). The amendment was intended to afford additional protection for consumers, allowing them to bring suit on their own behalf without relying on the Attorney General for enforcement (*see* Assembly Mem in Support, Bill Jacket, L 1980, ch 346; *see also* Mem of Atty Gen, Bill Jacket, L 1980, ch 346 [suggesting that the Attorney General must focus on those cases that have a widespread effect and that the measure would allow individuals to prosecute remaining actions]). Thus, “any person who has been injured by reason of any violation of this section may bring an action in his own name to enjoin such unlawful act or practice, an action to recover his actual damages or fifty dollars, whichever is greater, or both such actions” (General Business Law § 349 [h]).

As we have previously noted, the scope of the statute “is intentionally broad, applying ‘to virtually all economic activity’ ” (*Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314, 324 [2002], quoting *Karlin v IVF Am.*, 93 NY2d 282, 290 [1999]). In order to make out a valid section 349 claim, a plaintiff must al-

lege both a deceptive act or practice directed toward consumers and that such act or practice resulted in actual injury to a plaintiff (see *Small v Lorillard Tobacco Co., Inc.*, 94 NY2d 43, 55-56 [1999]; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20, 25-26 [1995]). The deceptive act or practice alleged here is that defendants, knowing that smoking causes cancer, misrepresented the dangers of smoking and engaged in a campaign to encourage consumers to smoke. Plaintiff further alleges that, as a consequence, medical costs increased, resulting in actual damages to plaintiff insurers who bore such costs.

Under common law, an insurer or other third-party payer of medical expenditures may not recover derivatively for injuries suffered by its insured. Rather, the insurer's sole remedy is in equitable subrogation. "Subrogation is the principle by which an insurer, having paid losses of its insured, is placed in the position of its insured so that it may recover from the third party legally responsible for the loss" (*Winkelmann v Excelsior Ins. Co.*, 85 NY2d 577, 581 [1995] [citations omitted]; see also *Allstate Ins. Co. v Stein*, 1 NY3d 416 [2004]; *Great Am. Ins. Co. v United States*, 575 F2d 1031, 1033 [2d Cir 1978] ["There is not a single reported case in American jurisprudence . . . which holds that upon an insurance carrier's payment to its insured, the insurer becomes vested with a claim arising out of an implied contract of indemnity with the tortfeasor who caused the damage necessitating payment by the carrier to the insured. On the contrary, the authorities and the cases unanimously hold that the insurer's recovery is premised exclusively upon subrogation"]).

Nevertheless, plaintiff argues that, in enacting General Business Law § 349, the Legislature intended to abrogate the common-law rule and permit recovery for derivative injuries. But neither the text of the statute nor the legislative history reflect an intent by the Legislature to authorize insurers to bring their own direct (nonsubrogated) actions based upon injuries to their insureds. "It is axiomatic concerning legislative enactments in derogation of common law, and especially those creating liability where none previously existed, that they are deemed to abrogate the common law only to the extent required by the clear import of the statutory language" (*Morris v Snappy Car Rental, Inc.*, 84 NY2d 21, 28 [1994] [citation omitted]).

To be sure, the language of the statute permits recovery by any person injured "by reason of" a deceptive business practice

(§ 349 [h]). But we will not presume an intent to include recovery for derivative injuries within the scope of the statute in the absence of a clear indication of such intent from the Legislature. Indeed, we have warned against “the potential for a tidal wave of litigation against businesses that was not intended by the Legislature” (*Oswego*, 85 NY2d at 26). Moreover, allowing plaintiff’s claim would effectively eliminate subrogation actions under section 349—a result which nothing in the legislative history shows was ever intended.

In holding that third-party payers cannot recover derivatively under the General Business Law, we recognize that section 349 is a broad, remedial statute and that the provision creating a private right of action employs expansive language. We are also mindful that the Attorney General asks us not to adopt an inflexible rule of proximate causation that would limit the tools and remedies available to protect consumers or undermine the State’s power to redress deceptive consumer practices. In concluding that derivative actions are barred, we do not agree with plaintiff that precluding recovery here will necessarily limit the scope of section 349 to only consumers, in contravention of the statute’s plain language permitting recovery by any person injured “by reason of” any violation (*see e.g. Securitron Magnalock Corp. v Schnabolk*, 65 F3d 256, 264 [2d Cir 1995], *cert denied* 516 US 1114 [1996] [allowing a corporation to use section 349 to halt a competitor’s deceptive consumer practices]; Mem of Atty Gen, Bill Jacket, L 1980, ch 346 [“a business itself will be able to use the private right of action against another business engaged in deceptive practices and thereby obtain increased legal protection”]).

Plaintiff, in arguing that proximate cause is not required under General Business Law § 349 and that plaintiff should as a result prevail, confuses the concept of indirect injury with causation. An injury is indirect or derivative when the loss arises solely as a result of injuries sustained by another party. Although Empire actually paid the costs incurred by its subscribers, its claims are nonetheless indirect because the losses it experienced arose wholly as a result of smoking related illnesses suffered by those subscribers.

The cases cited by plaintiff are not to the contrary. For example, in *Catania v 124 In-To-Go, Corp.* (287 AD2d 476, 477 [2d Dept 2001], *lv dismissed* 97 NY2d 699 [2002]), the plaintiff—permitted to sue a tavern owner under the Dram Shop Act—was the party directly injured in an assault by an intoxicated

person (*see* General Obligations Law § 11-101). But no third party was allowed to sue derivatively to recover moneys expended to treat that injury.

Of course, it is beyond dispute that section 349 (h) permits an actually (nonderivatively) injured party to sue a tortfeasor. We hold simply that what is required is that the party actually injured be the one to bring suit. Empire was not directly injured in this sense.

What plaintiff characterizes as an issue of causation is better viewed as a question of standing. Properly framed, the issue is not whether the deceptive practice is a sufficient cause of the plaintiff's injury, but what types of injuries are cognizable under the statute. Plaintiff's injuries are not. We therefore hold that a third-party payer has no standing to bring an action under General Business Law § 349 because its claims are too remote.³ In so holding, we do not leave plaintiff without remedy. As an insurer, Empire's traditional common-law remedy to recover excess amounts paid on behalf of an insured, arising from the misconduct of a third party, is an action in equitable subrogation.

We further reject Empire's argument that in view of the collateral source rule of CPLR 4545 (c), the effect of our decision is to immunize the tobacco companies from liability. The rule was enacted in 1986 in order to prevent duplicate recoveries for, among other things, costs of medical care (*see Fisher v Qualico Contr. Corp.*, 98 NY2d 534, 538-539 [2002]). This statute does not alter Empire's traditional remedy because "a defendant still may be held responsible in subrogation" (*Fisher*, 98 NY2d at 540). Although a subrogation action may be difficult for plaintiffs to prove—as they would be required to establish the elements of each subscriber's claim—it is the only remedy available to them. Insurers cannot sidestep their traditional remedy

3. We are thus in agreement with *A.O. Fox Mem. Hosp. v American Tobacco Co., Inc.* (302 AD2d 413, 414 [2d Dept 2003]) and *Eastern States Health & Welfare Fund v Philip Morris, Inc.* (188 Misc 2d 638, 646-647 [Sup Ct, NY County 2000]), which held that the plaintiffs' claims for deceptive trade practices were too remote to allow recovery because they were derivative of the harm to their patients/members. This outcome is also in accord with several other courts that recognize a remoteness bar to recovery under their state consumer protection statutes (*see e.g. Ganim v Smith & Wesson Corp.*, 258 Conn 313, 372-373, 780 A2d 98, 133-134 [2001]; *Oregon Laborers-Empls. Health & Welfare Trust Fund v Philip Morris Inc.*, 185 F3d 957, 968 [9th Cir 1999]; *compare Group Health Plan, Inc. v Philip Morris Inc.*, 621 NW2d 2, 9-10 [Minn 2001]).

of subrogation and sue directly for derivative injuries using a statute that creates a cause of action for a person directly injured.

Accordingly, the first certified question should be answered in the affirmative and the second certified question not answered upon the ground that it has been rendered academic.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.17 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.17), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question No. 1 answered in the affirmative and certified question No. 2 not answered upon the ground that it has been rendered academic.

[818 NE2d 1125, 785 NYS2d 384]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MICHAEL HENRIQUEZ, Appellant.

Argued September 9, 2004; decided October 19, 2004

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 21, 2003. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Martin Marcus, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree, criminal possession of a weapon in the second degree and endangering the welfare of a child.

People v Henriquez, 307 AD2d 863, affirmed.

HEADNOTE**Crimes — Right to Counsel**

Supreme Court did not violate defendant's Sixth Amendment rights by allowing a trial to proceed after defendant refused to permit his assigned counsel to participate in his defense and defendant declined to represent himself. Defendant must accept the decision he knowingly, voluntarily and intelligently made, and the consequences of his intentional actions and choices. Defendant's desire to prevent counsel's participation, coupled with his adamant refusal to represent himself, translated into an intentional failure to avail himself of his constitutional right to a fair opportunity to defend against the State's accusations. That defendant subsequently questioned the wisdom of his decision could not relieve him of the consequences of his request, and counsel could not be charged with failing to provide meaningful or effective representation.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1190, 1193, 1237–1241.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1676, 172:1728, 172:1776.

LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.1–11.4.

NY JUR 2d, Criminal Law §§ 727, 786–791.

US Const 6th Amend.

ANNOTATION REFERENCE

See ALR Index under Attorney or Assistance of Attorney.

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Query: right /2 counsel /s waiv! & refus! /4 assigned /2
counsel attorney

POINTS OF COUNSEL

Legal Aid Society Criminal Appeals Bureau, New York City (Allen Fallek and Laura R. Johnson of counsel), for appellant. Appellant was denied his Sixth Amendment right to a criminal trial in which the prosecution's case was tested by the adversarial process where defense counsel felt bound by appellant's direction to do nothing and the court ensured that counsel fully complied with appellant's direction. (*Strickland v Washington*, 466 US 668; *Wainwright v Sykes*, 433 US 72; *Jones v Barnes*, 463 US 745; *People v Ferguson*, 67 NY2d 383; *Taylor v Illinois*, 484 US 400; *People v Petrovich*, 87 NY2d 961; *People v Rivera*, 71 NY2d 705; *Wheat v United States*, 486 US 153; *Matter of Abrams [John Anonymous]*, 62 NY2d 183; *People v Claudio*, 85 AD2d 245.)

Robert T. Johnson, District Attorney, Bronx (Peter D. Coddington of counsel), for respondent. Having steadfastly barred defense counsel from presenting a defense, despite the repeated efforts by the court and defense counsel to convince him to allow defense counsel to actively represent him, appellant may not obtain a new trial based on a claim that he was deprived of his right to effective assistance of counsel or his right to a criminal trial in which the prosecution's case was tested by the adversarial process. (*People v Nieves*, 90 NY2d 426; *New Hampshire v Maine*, 532 US 742; *United States ex rel. Testamark v Vincent*, 496 F2d 641, 421 US 951; *Pizarro v Harris*, 507 F Supp 642; *Kates v Nelson*, 435 F2d 1085; *People v Kelly*, 60 AD2d 220, 44 NY2d 725; *People v Petrovich*, 87 NY2d 961; *People v Lineberger*, 98 NY2d 662; *People v Baghai-Kermani*, 84 NY2d 525; *People v McElveen*, 234 AD2d 228.)

OPINION OF THE COURT

GRAFFEO, J.

The issue in this case is whether Supreme Court violated defendant's Sixth Amendment rights by allowing a trial to proceed after defendant refused to permit his assigned counsel to participate in his defense and defendant declined to represent himself. Under the circumstances of this case, we conclude that the court did not violate defendant's right to a fair trial.

In March 1994, defendant Michael Henriquez approached a police car and informed an officer that he had just killed his

paramour. Police officers who arrived at defendant's residence found the victim dead from numerous gunshot wounds to her head. After he was taken to a police station for questioning, defendant provided detailed written and videotaped statements in which he confessed to shooting his girlfriend multiple times in the presence of their infant daughter. Defendant was subsequently charged with intentional murder in the second degree, illegal weapon possession and endangering the welfare of a child.

Huntley and *Sandoval* hearings were conducted prior to trial. Defendant's assigned counsel participated in those proceedings, securing the suppression of a statement by defendant on the basis that the prosecution failed to provide notice as required by CPL 710.30. During jury selection defense counsel questioned prospective jurors while defendant elected to be absent. Defendant returned to the courtroom for defense challenges to certain venire members.

Before opening statements were presented, defense counsel informed the trial judge that:

"defendant advised me this morning that . . . he is directing me not to cross-examine any witnesses, not to object to any line of questioning, not to . . . approach the bench, not to participate in any bench conferences or side bars, not to have any defense in this case, not to call any witnesses, not to sum up, not to do anything.

"He has indicated to me he just wants me to sit here and do nothing."

As a result of defendant's demands, counsel asked to be relieved of his assignment and requested that defendant be permitted to represent himself.

Defendant, however, indicated that he did not wish to proceed pro se. He declared, "I didn't ask to represent myself. You can't tell me I have to represent myself." The court confirmed the accuracy of defense counsel's recitation of defendant's commands and advised defendant that he did not have to act as his own attorney.

In response to further inquiry by the trial judge, defendant acknowledged that he had the right to make an opening statement, cross-examine the People's witnesses, testify on his own behalf, call witnesses and object to impermissible questioning by the prosecutor. Defendant also stated that he had discussed possible defenses with his lawyer and understood that they

would not be presented to the jury if his attorney remained mute. Despite the court's attempt to convince defendant that he was "foolish[ly]" waiving many "very important rights," defendant steadfastly refused to accept the participation of his counsel in trial proceedings. Faced with defendant's obstinacy in rejecting his attorney's participation while refusing to proceed pro se, the court denied defense counsel's application to withdraw and instructed him to remain available during the proceedings in the event defendant changed his mind and decided to consult with him or present a defense.

When an issue arose concerning the possible substitution of a juror, defense counsel advised the court that defendant would not allow him to provide any input on the matter and that the trial judge should act as he saw fit. Defendant also refused to take any position or allow counsel to comment on the court's proposed preliminary jury instructions at the outset of trial. Defense counsel renewed his application to be relieved, which the court denied by reiterating that counsel was expected to be ready to present a defense if defendant wished to do so. Before the jury was brought into the courtroom for opening statements, defendant reasserted that he was opting not to present a defense and was "not going to change [his] mind."

Defendant did not make an opening statement to the jury. Prior to the People presenting testimony, the court again secured defendant's "understand[ing]" that he was "free" to "change [his] mind" and allow his attorney "to make objections . . . or otherwise participate in the trial." Defendant did not do so and, therefore, his lawyer did not cross-examine the People's first witness.

The prosecutor then informed the court that he intended to introduce into evidence certain crime scene photographs and the murder weapon. Defendant told his counsel not to object. Two additional witnesses testified for the People without cross-examination by the defense. Before the next prosecution witness took the stand, defense counsel objected because the witness had been seated in the courtroom during the testimony of the earlier witnesses. In response to the court's concern that the objection had been raised without defendant's permission, counsel conferred with defendant and withdrew the objection. When adjourning for the evening, the court again urged defendant to reconsider how he was proceeding in the case.

The next morning, defendant stated that he was aware that he could change his mind to allow his attorney to participate in

the proceedings, but he insisted that counsel do nothing. When the People rested, both defendant and his attorney indicated that defendant had instructed counsel not to call any witnesses or make any motions on defendant's behalf. Although the court advised defendant that the affirmative defense of extreme emotional disturbance was available to him, defendant refused to seek a jury instruction related to that defense. Defendant declined to comment on jury instructions, telling the court to instruct the jury in whatever manner it deemed appropriate. No summation was presented on behalf of defendant. Nor did defendant object to any of the instructions given by the court to the jury before its deliberations.

The jury found defendant guilty of intentional murder in the second degree and other crimes. The Appellate Division upheld the conviction, concluding that defendant, after being consistently warned by the trial court about the pitfalls of his conduct, knowingly, intelligently and voluntarily waived his rights to present a defense, cross-examine or call witnesses, or testify on his own behalf. A Judge of this Court granted leave to appeal. We now affirm.

Defendant asserts that his constitutional right to a fair trial was violated because the trial court and defense counsel respected his desire to refrain from presenting a defense. This argument is premised on defendant's claim that he neither waived nor forfeited his Sixth Amendment right to the effective assistance of counsel. Defendant therefore contends that his attorney was ethically obligated to mount a defense and the trial court, by allowing counsel to remain mute, failed to insure that defendant's guilt be determined only after an adversarial proceeding.

The constitutional guarantee to due process of law provides criminal defendants with "the fundamental right to a fair trial" (*Strickland v Washington*, 466 US 668, 684 [1984]). The essential elements of this right are defined primarily by the Sixth Amendment:

"[i]n all criminal prosecutions, the accused shall enjoy the right to a speedy and public trial, by an impartial jury . . . and to be informed of the nature and cause of the accusation; to be confronted with the witnesses against him; to have compulsory process for obtaining witnesses in his favor, and to have the Assistance of Counsel for his defence."

With respect to an accused's right to counsel, "[t]he right of any defendant . . . to stand before a court with counsel at his side to safeguard both his substantive and procedural rights is inviolable and fundamental to our form of justice" (*People v Settles*, 46 NY2d 154, 161 [1978]; see *People v Felder*, 47 NY2d 287, 295-296 [1979]). Thus, an accused who requests legal representation cannot be forced to stand trial without the services of an attorney (see e.g. *Gideon v Wainwright*, 372 US 335, 344 [1963]; *Powell v Alabama*, 287 US 45, 71 [1932]).

It is also firmly established that, because "[t]he right to defend is given directly to the accused" (*Faretta v California*, 422 US 806, 819-820 [1975]), "the Constitution does not force a lawyer upon a defendant" (*Adams v United States ex rel. McCann*, 317 US 269, 279 [1942]; see *People v McIntyre*, 36 NY2d 10, 17 [1974]; *People v Bodie*, 16 NY2d 275, 279 [1965]). And "[w]hile the Sixth Amendment and the State Constitution afford a defendant the right to counsel or to self-representation, they do not guarantee a right to both. These are 'separate rights depicted on the opposite sides of the same [constitutional] coin' " (*People v Rodriguez*, 95 NY2d 497, 501 [2000], quoting *United States v Purnett*, 910 F2d 51, 54 [2d Cir 1990]). An accused awaiting trial therefore has only two choices regarding legal representation—proceed with counsel or waive the protection of the Sixth Amendment and proceed pro se.

In this case, the trial court was confronted with a defendant attempting to abuse the process. Despite defendant's refusals to allow his counsel to participate effectively on his behalf, he never asked that counsel be relieved and repeatedly rejected self-representation. The question that arises from this predicament is whether defendant could continue to have his counsel present at all stages of the proceedings but decide not to allow his lawyer to actively participate at his trial. Certainly trial courts need to discourage defendants from taking such a stance. It is far preferable for an accused, bent on controlling every aspect of the defense case and undermining counsel's ability to act as a zealous advocate, to accept self-representation and proceed pro se with assigned counsel serving not as an attorney but as a standby legal advisor. In this situation where defendant indisputably resisted pro se status, there was no comfortable solution to the dilemma facing the trial judge.¹

1. Nor is the dissent's analysis a prescription for an orderly adversarial process. On the contrary, such an approach may provoke disruptive,

(n. cont'd)

In cases where defendants have refused self-representation and restricted the participation of counsel, many courts have viewed defendants who adopt such postures as having voluntarily waived the right to the effective assistance of counsel (see *United States ex rel. Testamark v Vincent*, 496 F2d 641, 643-644 [2d Cir 1974], *cert denied* 421 US 951 [1975]).² Our precedent also leads to this conclusion.

In *People v Kelly* (44 NY2d 725 [1978], *affg* 60 AD2d 220 [1st Dept 1977]), the defendant rejected the services of his counsel after suppression motions but the trial court denied counsel's request to be relieved and directed the attorney to remain in court to be available to assist the defendant. In reviewing the defendant's claim of denial of his Sixth Amendment right to counsel, we agreed with the Appellate Division that the defendant's conduct did not equate to a request to proceed pro se and that the defendant was not denied the right to effective legal representation because he ordered his attorney not to participate in the trial. In such difficult circumstances, we concluded that it was appropriate for the trial court to deny counsel's motion to be relieved and direct the attorney to remain available to provide legal assistance if the defendant decided to present a defense. The Appellate Division in *Kelly* aptly observed that a defendant:

“should not be permitted to nullify a trial and require a new trial by the simple expedient of obstructing every effort of the court to assure to the defendant his legal rights and a fair trial. There comes a point where a defendant must bear the consequences of his conduct, in a courtroom as well as out of it” (60 AD2d at 224).

So too must defendant in this case now accept the decision he knowingly, voluntarily and intelligently made, and the conse-

“obstreperous” objections from a defendant (*People v Stroman*, 36 NY2d 939, 940 [1975]) which could impede the court's effort to assure a fair trial. It may even result in the removal of the accused from the courtroom, thereby impairing a defendant's right to be present.

2. See generally *Morton v Foltz*, 782 F2d 1042 (table; text at 1985 WL 14072, *2-3, 1985 US App LEXIS 13779, *9-10) (6th Cir 1985), *cert denied* 479 US 1036 (1987); *Richardson v Lucas*, 741 F2d 753, 757 (5th Cir 1984); *Maynard v Meachum*, 545 F2d 273, 278 (1st Cir 1976); *Boyden v United States*, 427 F2d 895, 896 (9th Cir 1970), *cert denied* 400 US 848 (1970); *Pizarro v Harris*, 507 F Supp 642, 647 (SD NY 1981); *Fowlkes v State*, 311 Md 586, 606, 536 A2d 1149, 1159 (1988); *Massey v State*, 278 Ark 625, 626, 648 SW2d 52, 53 (1983); *State v Harper*, 381 So 2d 468, 471 (La 1980); *State v Gaye*, 532 SW2d 783, 790 (Mo Ct App, 4th Div, 1975).

quences of his intentional actions and choices. Regardless of how unwise that decision may have been, it was his to make (see generally *People v Bodie*, 16 NY2d at 279; *Faretta v California*, 422 US at 821). The record establishes that the efforts by the trial court were aimed at explaining the magnitude of the decision facing defendant, and although defendant was repeatedly informed of his right to utilize the services of his attorney, he continually declined the assistance of counsel. Defendant's responses reveal that he acted with full knowledge and appreciation of the panoply of constitutional protections that would be adversely affected by counsel's inability to participate—the right to make an opening statement to the jury, to cross-examine the People's witnesses, to present exculpatory or mitigatory evidence, to testify on his own behalf and to request favorable jury instructions or the submission of lesser included offenses. Because the trial court directed defense counsel to remain available to assist defendant (see *People v Kelly*, 44 NY2d 725), defendant was keenly aware that he could change his mind at any time and counsel would mount a defense. Defendant's desire to prevent counsel's participation, coupled with his adamant refusal to represent himself, translates into an intentional failure to avail himself of his constitutional “right to a fair opportunity to defend against the State's accusations” (*Chambers v Mississippi*, 410 US 284, 294 [1973]). “That defendant now questions the wisdom of his decision cannot relieve him of the consequences of his request” (*People v Petrovich*, 87 NY2d 961, 964 [1996]) and counsel cannot be charged with failing to provide meaningful or effective representation because that right was waived by defendant.

Defendant's remaining contentions, including those raised in his pro se brief, are unavailing.

Accordingly, the order of the Appellate Division should be affirmed.

G.B. SMITH, J. (dissenting). Defendant was denied his constitutional rights to effective assistance of counsel and a fair trial when, after it became clear that defendant did not want to proceed pro se but wanted to have defense counsel serve as his legal representative, defense counsel followed defendant's directions not to do anything (e.g., cross-examine adverse witnesses and make objections) on defendant's behalf and, more importantly, the trial court allowed counsel not to do anything. The trial court and defense counsel did not adhere to the legal and

professional standards regarding the allocation of decision-making authority between the accused and defense counsel. This lack of adherence was illustrated when the trial court, although maintaining throughout the trial that defendant was represented by counsel, incorrectly accorded to defendant the right to make decisions regarding trial strategies and tactics, which decisions are generally reserved to counsel who has undertaken to represent one accused of a crime. As a result, the trial court and defense counsel failed to ensure that the adversarial testing process worked to produce a fair and just result in the instant case. I therefore dissent and vote to reverse defendant's conviction and remand for a new trial.

Colloquy Between the Court, Defendant and Defense Attorney

Defendant made statements to the police that, after finding his wife in a compromising situation with another man, he shot her numerous times and killed her. Defendant also stated that the other man got away. The circumstances of the incident raise the possibility of an affirmative defense of extreme emotional disturbance which could have lessened the conviction from murder in the second degree to manslaughter (Penal Law § 125.25 [1] [a]).

On March 25, 1996, prior to opening statements at trial and outside the presence of the jury, defendant, counsel who was appointed to represent defendant (Mr. Loverro) and the trial court engaged in the following colloquy:

“MR. LOVERRO: . . . The defendant advised me this morning that he . . . is directing me not to cross-examine any witnesses, not to object to any line of questioning, not to call—to go even further, not to approach the bench, not to participate in any bench conferences or side bars, not to have any defense in this case, not to call any witnesses, not to sum up, not to do anything.

“He has indicated to me he just wants me to sit here and do nothing . . .

“It subjects me to two major problems down the road. Number one, if and when this case is ever appealed, if it comes to that, this issue of ineffective assistance of counsel—and I am hoping to allay that by making a record now but still I think the argument might be made any way and any potential

disciplinary complaints which would be outrageous since my hands are tied—this is basically a ‘Catch 22’.

“Because of those concerns, legitimate concerns and the unreasonable demands that are being made on me, I am going to respectfully ask to be relieved on this matter and have this defendant represent himself.

“THE DEFENDANT: I didn’t ask to represent myself. You can’t tell me I have to represent myself.

“THE COURT: You don’t have to represent yourself Mr. Henriquez but I want to confirm that what your attorney is saying is true, that you have instructed him not to make an opening statement, not to cross-examine any witnesses presented by the People, not to call any witnesses yourself and on your behalf and not to make a closing statement; is that—

“MR. LOVERRO: Not to object.

“THE COURT: Not to object—

“MR. LOVERRO:—to any line of questioning and basically, I think the long and short of it is he doesn’t want me to do anything. He just wants me to sit here.

“THE COURT: Is that correct?

“THE DEFENDANT: Yes.

“THE COURT: You have to understand what it is that you are waiving by giving him those instructions.

“THE DEFENDANT: I do.

“THE COURT: What?

“THE DEFENDANT: I understand.

“THE COURT: Tell me what you are waiving.

“THE DEFENDANT: If I feel I want to do that, it shouldn’t be any problem. It shouldn’t be no problem.

“THE COURT: If you understand what you are doing. I just want to be sure.

“THE DEFENDANT: If I say I understand, there should be no problem.

“THE COURT: Look, I will determine the sufficiency of the record.

“THE DEFENDANT: What you are telling me is you can look in my mind and tell if I understand.

“THE COURT: I will ask you questions.

“THE DEFENDANT: I don’t have to answer.

“THE COURT: Do you understand you have a right to make an opening statement in this case?

“THE DEFENDANT: I know I have a right to make an opening statement, to question Officer Palmiotti, Detective McCarthy, comment on the video and written statement but I am refusing to.

“THE COURT: Do you understand you have a right to testify in your own behalf?

“THE [DEFENDANT]: Yes.

“THE COURT: To call witnesses on your own behalf?

“THE DEFENDANT: Yes.

“THE COURT: The prosecutor may ask questions that your attorney believes are not proper questions, that are impermissible questions. He has a right to object to such questions. If I agree with him that they are not proper questions, then I would not permit those questions to be put to the witnesses.

“You have instructed him not to object to any questions; is that right?

“THE DEFENDANT: Yes. If the DA knows he is not supposed to ask those questions, why is he going to ask them?

“THE COURT: Here’s the problem, okay. Sometimes it requires a ruling from the Court to be clear. Sometimes the questions he may want to ask, your attorney wouldn’t mind being asked because it would be—the answer might be helpful to you. Your attorney can decide whether to object or not to object.

“I determine whether a question is permissible or not. But if your attorney doesn’t object, I am not going to have the occasion to make a ruling because you are precluding me from doing that because you are not letting your attorney object. Do you understand that you are giving up your right to object to the questions?”

“THE DEFENDANT: I understand.

“THE COURT: You know I take it you have discussed your possible defenses in this case with your attorney?”

“THE DEFENDANT: I discussed it.

“THE COURT: You are not going to be able to present any of those defenses. You are not going to be able to argue through your attorney that any of those defenses are made out?”

The record then proceeds:

“THE COURT: You have at the very least, at the very least, the defense of extreme emotional disturbance to the murder charge. It is a defense that based on the videotape I would certainly present to the jury if you asked for it and maybe even if you don’t.”

Later, the trial court, apparently satisfied that defendant understood the trial rights he was “waiving” through his instruction to defense counsel and seeking to confirm that defendant wanted defense counsel to continue to represent him, had the following exchange with defendant:

“THE COURT: . . . In this courtroom you have not said you wanted to plead guilty so we are going to trial. If you want to raise no defenses at trial, if you want to ask no questions, if you want to make no opening statement, if you want to make no objections, if you want to have no closing argument made for you, if you want to call no witnesses, that’s what will happen. That’s what will happen but those are very, very important rights that you are waiving.

“You have, as I have indicated, defenses that you could raise in this case. You have discussed them with your attorney. Your attorney is anxious to make them on your behalf.

“THE DEFENDANT: I am not claiming anything. I just want to get it over with. I understand what you are saying. But I know the purpose of what you are saying. I know what you are saying. We can just get this finished with.

“THE COURT: You don’t want any defenses raised on your behalf? You don’t want to cross-examine the witnesses; is that right?

“THE DEFENDANT: Yes.

“THE COURT: You want Mr. Loverro to represent you. You don’t want to represent yourself?

“THE DEFENDANT: No.

“THE COURT: But you don’t want him to do anything on your behalf?

“THE DEFENDANT: No.”

Adherence to Defendant’s Wishes by Court and Defense Attorney

Defense counsel complied with defendant’s instructions. For example, when defense counsel sought to take positions as to whether certain evidence should be admissible or regarding proposed jury charges, he told the trial court that defendant did not permit him to take positions and no positions were taken. Additionally, the trial court felt bound to enforce defendant’s instructions and, on numerous occasions, did enforce the instructions. At one point, the trial court stated, “Mr. Henriquez, I am respecting your right to restrict your attorney in the way he defends you.” Moreover, the trial court repeatedly acknowledged during the trial that defendant was represented by counsel.

As a consequence of the trial court’s and defense counsel’s compliance with defendant’s instructions, the People’s case proceeded unchallenged. Defense counsel did not respond to the People’s opening statement, did not make any objections, cross-examine the People’s witnesses, make any oral motions at the close of the People’s case, put on a case, make a closing statement or provide any input regarding proposed jury charges because defendant did not want him to. The trial court allowed defendant’s instructions to control and allowed defense counsel not to do anything on defendant’s behalf. The end result is that the actions, and lack thereof, of the trial court and defense

counsel deprived defendant of his constitutional right to a fair trial because the instant trial was devoid of the adversarial process, in violation of the United States and New York State Constitutions. Moreover, defendant was deprived of his constitutional right to assistance of counsel.

The Federal and State Right to Counsel

Under the Sixth Amendment to the Federal Constitution, a criminal defendant has the right “ ‘to have the Assistance of Counsel for his defence.’ This is one of the safeguards of the Sixth Amendment deemed necessary to insure fundamental human rights of life and liberty” (*Johnson v Zerbst*, 304 US 458, 462 [1938]). “The purpose of the constitutional guaranty of a right to counsel is to protect an accused from conviction resulting from his own ignorance of his legal and constitutional rights, and the guaranty would be nullified by a determination that an accused’s ignorant failure to claim his rights removes the protection of the Constitution” (*id.* at 465). The Sixth Amendment right to assistance of counsel is made obligatory on the states by the Fourteenth Amendment to the Federal Constitution (*see Gideon v Wainwright*, 372 US 335 [1963]). Article I, § 6 of the New York State Constitution provides in pertinent part that a defendant “shall be allowed to appear and defend in person and with counsel.” New York State has provided greater protection to the right to counsel than required by the Federal Constitution (*see People v Bing*, 76 NY2d 331, 338-339 [1990]).

It is well settled that “the right to counsel is the right to the effective assistance of counsel” (*McMann v Richardson*, 397 US 759, 771 n 14 [1970]). Further, the United States Supreme Court has recognized on numerous occasions that “the Sixth Amendment right to counsel exists, and is needed, in order to protect the fundamental right to a fair trial” (*Strickland v Washington*, 466 US 668, 684 [1984]; *see also Powell v Alabama*, 287 US 45, 69 [1932]). A defense counsel has a duty to advocate the accused’s cause and “to bring to bear such skill and knowledge as will render the trial a reliable adversarial testing process” (*see Strickland*, 466 US at 688).

Under the Sixth Amendment, courts do not have the power “to deprive an accused of his life or liberty unless he has or waives the assistance of counsel” (*Zerbst*, 304 US at 463). “There is a presumption against the waiver of constitutional rights, . . . and for a waiver to be effective it must be clearly

established that there was ‘an intentional relinquishment or abandonment of a known right or privilege’ ” (*Brookhart v Janis*, 384 US 1, 4 [1966], quoting *Zerbst*, 304 US at 464 [internal citation omitted]). Whether an accused has properly and intelligently waived the right to counsel depends, “in each case, upon the particular facts and circumstances surrounding that case, including the background, experience, and conduct of the accused” (*Zerbst*, 304 US at 464).

The Right to Self-Representation

The right to the assistance of counsel must be afforded to a person accused of a crime before that person can be validly convicted and punished by imprisonment (*see Faretta v California*, 422 US 806, 807 [1975]). However, the United States Supreme Court has held that, under the Sixth Amendment, a criminal defendant has the constitutional right to represent himself at trial when he voluntarily and intelligently elects to do so and that the defendant may not be forced to have any attorney represent him when he insists that he wants to conduct his own defense (*see Faretta*, 422 US at 819-820; *People v Davis*, 49 NY2d 114 [1979]). The Court noted that “[w]hen an accused manages his own defense, he relinquishes . . . many of the traditional benefits associated with the right to counsel. For this reason, in order to represent himself, the accused must ‘knowingly and intelligently’ forgo those relinquished benefits” (*Faretta*, 422 US at 835, citing *Zerbst*, 304 US at 464-465). Further, the Court stated that a defendant “should be made aware of the dangers and disadvantages of self-representation, so that the record will establish that ‘he knows what he is doing and his choice is made with eyes open’ ” (*Faretta*, 422 US at 835 [citation omitted]). Before a defendant may proceed pro se, trial courts must conduct a “ ‘searching inquiry’ of the defendant to be reasonably certain that the ‘dangers and disadvantages’ of giving up the fundamental right to counsel have been impressed on the defendant” (*People v Sawyer*, 57 NY2d 12, 21 [1982] [citations omitted]).

Further, while a criminal defendant has a fundamental right to counsel and a fundamental right to defend himself, he does not have the right to counsel while conducting a pro se defense (*see People v Ferguson*, 67 NY2d 383, 390 [1986]; *People v Mirenda*, 57 NY2d 261, 265-266 [1982]). However, it should be noted that in a case where defendant is proceeding pro se, a court may, even over that defendant’s objection, appoint standby counsel to assist defendant if and when the defendant needs as-

sistance and be available to represent the defendant in the event that termination of defendant's self-representation becomes necessary (*see Faretta*, 422 US at 834-835 n 46; *Sawyer*, 57 NY2d at 22).

Here, it is undisputed that defendant was represented by counsel. Defendant clearly indicated that he wanted to be represented by counsel and not proceed pro se. Further, the trial court repeatedly announced during the trial that defendant was represented by counsel. As such, defendant had the constitutional right to the effective assistance of counsel during the trial.

Further, since defendant was represented by counsel at all times during the trial, he could not have waived his right to counsel. Accordingly, defense counsel was at all times under an affirmative obligation to represent defendant within the meaning of the law, i.e., provide effective assistance of counsel. Moreover, the trial court, as part of its overall duty to preside over a fair trial, had the responsibility of ensuring that defense counsel provided effective assistance to his client because failure in this regard would render the trial fundamentally unfair. The trial court and defense counsel failed in their respective duties to defendant and the trial process because they failed to appreciate the case law and professional standards regarding the allocation of decision-making authority between a criminal defendant and counsel who undertakes to defend a criminal defendant.

The Attorney's Authority in a Trial

A criminal defendant who is represented by counsel "relegates control of much of the case to the lawyer except as to certain fundamental decisions reserved to the client" (*see People v Ferguson*, 67 NY2d at 390; *People v Jordan*, 96 AD2d 1060, 1061 [2d Dept 1983], *affd* 62 NY2d 825 [1984]). These fundamental decisions are: whether to plead guilty, waive a jury, testify in his or her own behalf, or take an appeal (*see Jones v Barnes*, 463 US 745, 751 [1983]; *Wainwright v Sykes*, 433 US 72, 93 n 1 [1977] [Burger, C.J., concurring]; *People v White*, 73 NY2d 468, 478 [1989]; *Ferguson*, 67 NY2d at 390).

While criminal defendants are ultimately responsible for the above decisions, defense counsel are charged with managing the day-to-day conduct of defendant's case and making strategic and tactical decisions (*see Faretta v California*, 422 US at 820-821; *Wainwright*, 433 US at 93 [Burger, C.J., concurring]; *Brookhart v Janis*, 384 US at 8 [separate op of Harlan, J.]; *People*

v Jordan, 96 AD2d at 1061). As a practical matter, since the daily management of the defense rests with defense counsel, these strategic and tactical decisions, for example, if and when to object, call witnesses and develop particular defenses, have to be made without consulting defendant (*see Wainwright*, 433 US at 93 [Burger, C.J., concurring]). The wide discretion defense attorneys have regarding strategic and tactical decisions was also noted by former United States Supreme Court Justice Harlan: “I believe a lawyer may properly make a tactical determination of how to run a trial even in the face of his client’s incomprehension or even explicit disapproval. The decision, for example, whether or not to cross-examine a specific witness is, I think, very clearly one for counsel alone” (*Brookhart*, 384 US at 8 [separate op of Harlan, J.]).

American Bar Association Standards

The American Bar Association Standards for Criminal Justice Prosecution Function and Defense Function (3d ed [ABA Standards]) illustrate the recommended allocation of decision-making authority between the accused and defense counsel. The ABA Standards represent the prevailing norms of criminal defense practice and are guides used to determine what is reasonable regarding such practice (*see Strickland v Washington*, 466 US at 688). ABA Standard 4-5.2 entitled “Control and Direction of the Case” provides:

“(a) Certain decisions relating to the conduct of the case are ultimately for the accused and others are ultimately for defense counsel. The decisions which are to be made by the accused after full consultation with counsel include:

“(i) what pleas to enter;

“(ii) whether to accept a plea agreement;

“(iii) whether to waive jury trial;

“(iv) whether to testify in his or her own behalf;
and

“(v) whether to appeal.

“(b) Strategic and tactical decisions should be made by defense counsel after consultation with the client where feasible and appropriate. Such decisions include what witnesses to call, whether and how to

conduct cross-examination, what jurors to accept or strike, what trial motions should be made, and what evidence should be introduced.

“(c) If a disagreement on significant matters of tactics or strategy arises between defense counsel and the client, defense counsel should make a record of the circumstances, counsel’s advice and reasons, and the conclusion reached. The record should be made in a manner which protects the confidentiality of the lawyer-client relationship” (see ABA Standard 4-5.2 [3d ed 1993]).

ABA Standard 4-5.2 expanded the fundamental decisions reserved to a defendant under *Jones v Barnes* by adding the right to determine whether a proffered plea agreement should be accepted (see ABA Standard 4-5.2, Commentary, at 201 [3d ed 1993]). Further, under ABA Standard 4-5.2, when making any of the above fundamental decisions, “the accused should have the full and careful advice of counsel” (*id.*). “Ultimately, however, because of the fundamental nature of decisions such as these, so crucial to the accused’s fate, the accused must make the decisions himself or herself” (*id.*).

Regarding defense counsel’s decision-making authority, ABA Standard 4-5.2 grants wide discretion as evidenced by the fact that defense counsel must consult with defendant when, in counsel’s judgment, such consultation is both “feasible and appropriate” (*id.*). “The language ‘where feasible and appropriate’ . . . reflect[s] the fact that sometimes consultation is virtually impossible, e.g., in the middle of cross-examination” (see ABA Standard 4-5.2, History of Standard, at 200 [3d ed 1993]).

The Lack of Effective Representation in This Case

In the instant matter, as previously noted, defendant was represented by counsel at all times during the trial. While represented by counsel, defendant had ultimate responsibility over certain fundamental decisions; however, he necessarily delegated certain case management, strategic and tactical decisions to defense counsel (see *Faretta v California*, 422 US at 820-821 [where the United States Supreme Court noted that “law and tradition may allocate to the counsel the power to make binding decisions of trial strategy in many areas. . . . This allocation can only be justified, however, by the defendant’s consent, at the outset, to accept counsel as his representative” (internal citations omitted)]). This division of responsibility is

clear given the cited case law and professional standards. However, the trial court, by ensuring that defense counsel followed defendant's instructions prohibiting defense counsel from exercising his decision-making authority regarding case strategy and tactics, mistakenly increased defendant's rights at trial while at the same time limiting defense counsel's decision-making authority. This mistake was compounded when the trial court sought to determine whether defendant understood that he was waiving certain decisions pertaining to case strategy and tactics, e.g., to make an opening statement, to make objections and to cross-examine witnesses.

Former United States Supreme Court Chief Justice Burger noted that "[s]ince trial decisions are of necessity entrusted to the accused's attorney, the . . . standard of 'knowing and intelligent waiver' is simply inapplicable" (*Wainwright*, 433 US at 94 [concurring op]). Since defendant here was represented by counsel and did not have the privilege to make decisions regarding trial strategies and tactics, he could not waive them. Thus, the trial court's inquiry, regarding whether defendant understood the trial rights he was waiving based on his instructions to defense counsel, was improper.

By making strategic and tactical decisions in defense of one accused of a crime, an attorney renders effective representation and ensures that the adversarial process works to produce a just result. However, where, as in the instant case, the trial court allows defense counsel to follow defendant's instructions not to make the strategic and tactical decisions required in order to make the trial an adversarial proceeding, defendant is deprived of his right to effective assistance of counsel and a fair trial.

The Sixth Amendment right to effective assistance of counsel is fundamental to our criminal justice system because it affects a defendant's ability to assert any other rights he may have (see *United States v Cronic*, 466 US 648, 653-654 [1984]). The primary purpose of the right to effective counsel is to assure assistance by counsel at trial "when the accused [is] confronted with both the intricacies of the law and the advocacy of the public prosecutor" (*Cronic*, 466 US at 654). If no actual assistance at trial is provided, "then the constitutional guarantee has been violated" (*id.*)

The premise underlying our adversary system of criminal justice is the idea that "partisan advocacy on both sides of a

case will best promote the ultimate objective that the guilty be convicted and the innocent go free” (*Cronic*, 466 US at 655). Keeping this premise in mind, it is clear that the right to effective assistance of counsel requires the accused’s counsel to act as an advocate and that this right “‘is meant to assure fairness in the adversary criminal process.’ . . . Unless the accused receives the effective assistance of counsel, ‘a serious risk of injustice infects the trial itself’ ” (*Cronic*, 466 US at 656 [internal citations omitted]). Accordingly, the right to the effective assistance of counsel is the right of the accused, through his attorney, to subject the prosecution’s case to meaningful adversarial testing (*see id.*). Further, the accused’s attorney is responsible for ensuring “that the adversarial testing process works to produce a just result under the standards governing [the] decision” (*Strickland v Washington*, 466 US at 687). This means that even if there is no defense available to defendant at trial, defense counsel “must hold the prosecution to its heavy burden of proof beyond reasonable doubt” (*Cronic*, 466 US at 657 n 19). When a criminal trial is adversarial, “the kind of testing envisioned by the Sixth Amendment has occurred” (*Cronic*, 466 US at 656). However, where the trial is not an adversarial proceeding, the accused has been deprived of his right to effective assistance of counsel (*see Cronic*, 466 US at 656-657). In other words, counsel has rendered ineffective assistance to the accused.

When evaluating ineffective assistance of counsel claims, courts consider “whether counsel’s conduct so undermined the proper functioning of the adversarial process that the trial cannot be relied on as having produced a just result” (*Strickland*, 466 US at 686). To make out an ineffective assistance of counsel claim under the Federal Constitution, defendant must establish that counsel’s performance was deficient, that the deficient performance prejudiced defendant and thereby deprived defendant of a fair trial and reliable result, and that counsel acted unreasonably under the prevailing professional norms (*see Strickland v Washington*, 466 US at 686-694). Prejudice is established if “[t]he defendant . . . show[s] that there is a reasonable probability that, but for counsel’s unprofessional errors, the result of the proceeding would have been different. A reasonable probability is a probability sufficient to undermine confidence in the outcome” (*Strickland*, 466 US at 694).

In New York, however, courts evaluating ineffective assistance of counsel claims will consider whether the “evidence, the

law and the circumstances of a particular case, viewed in totality and as of the time of the representation, reveal that the attorney provided meaningful representation” to defendant (*People v Baldi*, 54 NY2d 137, 147 [1981]; *People v Benevento*, 91 NY2d 708, 712 [1998]; *People v Henry*, 95 NY2d 563, 565 [2000]). Accordingly, the standard for effective assistance of counsel in New York is whether the defendant was afforded meaningful representation (see *Benevento*, 91 NY2d at 712; *People v Berroa*, 99 NY2d 134, 138 [2002]; *People v Stultz*, 2 NY3d 277, 283 [2004]). In resolving ineffective assistance of counsel claims, the attorney’s performance should be evaluated to determine whether it is consistent with the performance of a “reasonably competent attorney” (see *Benevento*, 91 NY2d at 712). One major difference between the New York standard and the standard announced in *Strickland v Washington* is the way that prejudice is analyzed (see *Stultz*, 2 NY3d at 284). This Court indicated that under the New York standard, the prejudice test of *Strickland* need not be fully satisfied and that while a defendant’s showing of prejudice is important, it is not an “indispensable element in assessing meaningful representation” (*Stultz*, 2 NY3d at 284). Further, this Court noted that “[o]ur focus is on the fairness of the proceedings as a whole” (see *id.*; see also *Benevento*, 91 NY2d at 714).

Here, defense counsel, an officer of the court, was appointed to represent defendant; as such, he was bound to render service to defendant (see e.g. *Powell v Alabama*, 287 US 45, 73 [1932]). Moreover, it is undisputed that defense counsel was defendant’s legal representative throughout the trial. As defendant’s legal representative at trial, defense counsel’s role was very important because he was to be defendant’s advocate (see *Cronic*, 466 US at 656)¹ and act in defendant’s best interests.² Further, he was to subject the People’s case to meaningful adversarial testing and thereby ensure that defendant received a fair trial (see *id.*;

1. Additionally, ABA Standard 4-1.2 (b) provides: “[t]he basic duty defense counsel owes to the administration of justice and as an officer of the court is to serve as the accused’s counselor and advocate with courage and devotion and to render effective, quality representation” (see ABA Standard 4-1.2 [b] [3d ed 1993]).

2. New York Code of Professional Responsibility EC 7-9 provides in pertinent part: “[i]n the exercise of the lawyer’s professional judgment on those decisions which are for the lawyer’s determination in the handling of a legal matter, a lawyer should always act in a manner consistent with the best interests of the client.” (See Code of Professional Responsibility EC 7-9 [1970].)

Strickland v Washington, 466 US 668, 688 [1984]). Defense counsel did not do any of those things because of his mistaken belief that he had to follow defendant's instructions to do nothing on defendant's behalf and the trial court's enforcement of defendant's instructions.

It should be noted that defense counsel was under no duty to execute defendant's directive to do nothing because the directive resulted in a trial that did not comport with the law, i.e., a trial devoid of fairness, in direct contravention to prevailing professional standards (see ABA Standard 4-1.2 [3d ed 1993]).³ Moreover, defense counsel's failure to ensure that meaningful adversarial testing occurred deprived defendant of his right to counsel, resulted in a presumptively unfair and unreliable trial, and amounted to a complete denial of counsel (see *United States v Cronin*, 466 US 648, 659 [1984]). Thus, based on the fundamental importance of the right to counsel and the fact that defense counsel did not render any assistance, under either the federal standard or the New York standard, defense counsel's assistance was ineffective and consequently, the trial itself was unfair.

Additionally, the trial court facilitated the deprivation of defendant's rights. The United States Supreme Court has noted that "[t]he presumption that counsel's assistance is essential requires us to conclude that a trial is unfair if the accused is denied counsel at a critical stage of his trial" (*Cronin*, 466 US at 659). The Supreme Court has found violations of the right to effective assistance of counsel "without any showing of prejudice when counsel was . . . prevented from assisting the accused during a critical stage of the proceeding" (*Cronin*, 466 US at

3. ABA Standard 4-1.2 provides in pertinent part:

"(e) Defense counsel, in common with all members of the bar, is subject to standards of conduct stated in statutes, rules, decisions of courts, and codes, canons, or other standards of professional conduct. Defense counsel has no duty to execute any directive of the accused which does not comport with law or such standards. Defense counsel is the professional representative of the accused, not the accused's alter ego. . . .

"(h) It is the duty of defense counsel to know and be guided by the standards of professional conduct as defined in codes and canons of the legal profession applicable in defense counsel's jurisdiction. Once representation has been undertaken, the functions and duties of defense counsel are the same whether defense counsel is assigned, privately retained, or serving in a legal aid or defender program" (see ABA Standard 4-1.2 [3d ed 1993]).

659 n 25). Further, a trial court can violate “the right to effective assistance when it interferes . . . with the ability of counsel to make independent decisions about how to conduct the defense” (*Strickland v Washington*, 466 US 668, 686 [1984]). Here, the trial court, by enforcing defendant’s instructions, prevented defense counsel from assisting defendant and interfered with defense counsel’s ability to make independent decisions regarding how to conduct the defense. Although the trial court repeatedly asked defendant to let defense counsel put forth a defense, it also gave defendant unfettered discretion to restrict defense counsel’s activities regarding the defense.

As defendant exercised control over defense counsel, the trial devolved into a nonadversarial proceeding that, under the Federal and New York Constitutions, was presumptively unfair because defense counsel failed to subject the People’s case to meaningful adversarial testing. This means that only the People’s side of the case was presented and that it was presented unchallenged. It also means that defense counsel could not hold the People to their heavy burden of proof beyond a reasonable doubt by challenging the veracity of adverse witnesses or performing any of the other functions defense counsel must necessarily perform in order to make a trial an adversarial proceeding under the law.

The argument that since the evidence against defendant was overwhelming, his counsel’s ineffective assistance would not have changed the outcome of the trial is unavailing. Once it is determined that a defendant is going to trial, he is presumed innocent until proven guilty and his counsel is obliged to hold the prosecution to its heavy burden of proof beyond a reasonable doubt by engaging in meaningful adversarial testing. Additionally, the argument that defendant received the type of trial he wanted grants defendant too much power over the trial and affords defendant the opportunity to whittle away at the integrity of the trial process. Here, for example, the trial court allowed defendant to give instructions which eventually led to a trial that did not comport with the Federal and New York State Constitutions because it was fundamentally unfair.

It cannot be said that the instant trial promoted a just result or the ends of justice.

Accordingly, I dissent from the majority and vote to reverse defendant’s conviction and remand for a new trial.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, READ and R.S. SMITH concur with Judge GRAFFEO; Judge G.B. SMITH dissents and votes to reverse and order a new trial in a separate opinion.

Order affirmed.

[818 NE2d 1146, 785 NYS2d 405]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANA MARIE SANTI, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v PETER CORINES, Appellant.

Argued September 9, 2004; decided October 21, 2004

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 8, 2003. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Laura D. Blackburne, J.), which had convicted defendant, upon a jury verdict, of unauthorized practice of medicine (four counts).

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 8, 2003. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Laura D. Blackburne, J.), which had convicted defendant, upon a jury verdict, of unauthorized practice of medicine (four counts).

People v Santi, 308 AD2d 464, affirmed.

People v Corines, 308 AD2d 457, affirmed.

HEADNOTES

Crimes — Unauthorized Practice of Medicine — Licensed Individual Not Exempt from Prosecution

1. Defendant licensed physician was subject to prosecution under Education Law § 6512 (1) for aiding and abetting an unauthorized individual in the unlawful practice of medicine. While a fair and literal reading of the statutory text supported the interpretation that only individuals “not authorized to practice under [the Education Law]” may be prosecuted under the statute, such an interpretation ignored the legislative intent underlying the statute’s enactment. Moreover, such an interpretation would have enabled licensed individuals to engage in conduct that would otherwise be criminal, an unreasonable and absurd application of the law. The statute was designed to promote the public’s safety, a goal that would not be achieved if licensed physicians were allowed to aid and abet unauthorized individuals in the unlawful practice of medicine.

Crimes — Unauthorized Practice of Medicine — Sufficiency of Evidence — Necessity of Expert Witness

2. In the prosecution of defendant unlicensed physician for the unauthorized practice of medicine pursuant to Education Law § 6512 (1) based on her

administration of anesthesia to three patients, and of defendant licensed physician for aiding and abetting the unauthorized practice, the evidence at trial was legally sufficient to support their convictions. It was not necessary for the People to offer expert testimony about the effects of anesthesia. The administration of anesthesia, a commonly employed means of relieving pain during surgical procedures, was not a matter so foreign or esoteric as to require an expert explanation. The jurors, equipped with their everyday knowledge and experience, could reasonably have concluded that the sensations and experiences described by each of the complaining patients were caused by the administration of anesthesia.

Crimes — Instructions — Response to Request for Clarification

3. In the prosecution of defendant unlicensed physician for the unauthorized practice of medicine pursuant to Education Law § 6512 (1) based on her administration of anesthesia to three patients, and of defendant licensed physician for aiding and abetting the unauthorized practice, the trial court properly responded to the jury's request for clarification during deliberations by rereading the original charge given to the jury. The jury's inquiry as to whether defendant unlicensed physician was permitted to introduce an I.V. to a patient under the conditions of her license suspension did not express any confusion about the original jury charge. Simple reiteration of an original, accurate instruction may, under appropriate circumstances, constitute a meaningful response sufficient to satisfy the statutory mandate of CPL 310.30.

Crimes — Jurors — Misconduct of Juror

4. In the prosecution of defendant unlicensed physician for the unauthorized practice of medicine pursuant to Education Law § 6512 (1) based on her administration of anesthesia to three patients, and of defendant licensed physician for aiding and abetting the unauthorized practice, the participation during jury deliberations of a juror who worked at a hospital as a patient care associate did not rise to the level of juror misconduct. The juror, while perhaps assertive, was not an "expert," and her experiences in the medical field were limited. She did not conduct any experiment or investigation that was later used to influence the jury. Rather, she merely gave her lay opinions regarding the introduction of an I.V. line, drawing on both her life experiences and the trial evidence, which was proper.

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By the Publisher's Editorial Staff

- AM JUR 2d, Physicians, Surgeons, and Other Healers §§ 65, 70, 109–113; AM JUR 2d, Trial §§ 1541, 1542, 1577, 1578, 1650–1655.
- CARMODY-WAIT 2d, Criminal Procedure §§ 172:2817, 172:2818, 172:3775–172:3780, 172:3783, 172:3784.
- LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.8, 24.9.
- McKINNEY'S, CPL 310.30; Education Law § 6512.
- NY JUR 2d, Businesses and Occupations §§ 109, 112, 113; NY JUR 2d, Criminal Law §§ 2518, 2519, 2523; NY JUR 2d, Physicians, Surgeons, and Other Healers §§ 23, 24.

ANNOTATION REFERENCE

See ALR Index under Instructions to Jury; Jury and Jury Trial; Physicians and Surgeons.

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POINTS OF COUNSEL

Appellate Advocates, New York City (Lynn W.L. Fahey of counsel), for appellant in the first above-entitled action. I. The proof was insufficient to establish beyond a reasonable doubt that appellant practiced medicine, when the People relied exclusively on the testimony of three lay witnesses as to what they experienced and observed after appellant started intravenous lines in their hands to prove that she administered anesthetic medication to them. (*Jackson v Virginia*, 443 US 307; *People v Kenny*, 30 NY2d 154; *People v Abelson*, 309 NY 643; *Mosberg v Elahi*, 80 NY2d 941; *Fiore v Galang*, 64 NY2d 999; *McDermott v Manhattan Eye, Ear & Throat Hosp.*, 15 NY2d 20; *Koehler v Schwartz*, 48 NY2d 807; *Sawyer v Dreis & Krump Mfg. Co.*, 67 NY2d 328; *Cole v Fall Brook Coal Co.*, 159 NY 59; *Star v Berridge*, 77 NY2d 899.) II. Appellant, charged with administering anesthetic medication on four occasions, was denied her rights to due process and effective assistance of counsel when the court refused to respond meaningfully to a jury question about whether “introducing an IV” would, in and of itself, constitute the practice of medicine, thereby allowing the jury to convict appellant based on a theory that was at odds with the indictment, unsupported by the evidence, and consistent with innocence. (*People v Almodovar*, 62 NY2d 126; *People v Malloy*, 55 NY2d 296; *People v Weinberg*, 83 NY2d 262; *People v Miller*, 6 NY2d 152; *People v Lupo*, 305 NY 448; *People v Gonzalez*, 293 NY 259; *People v Bleau*, 276 AD2d 131; *People v Henning*, 271 AD2d 813; *People v Panetta*, 250 AD2d 710; *People v Pyne*, 223 AD2d 910.) III. Appellant was denied her rights to due process and confrontation when a juror employed at Beth Israel Hospital influenced the other jurors, based on knowledge purportedly gained from her unique work experience, to conclude that appellant was guilty of practicing medicine without a license for merely inserting an intravenous needle into a patient’s hand. (*Sheppard v Maxwell*, 384 US 333; *People v Maragh*, 94 NY2d 569; *People v Arnold*, 96 NY2d 358; *United States v Torres*, 128 F3d 38, 523 US 1065; *People v Brown*, 48 NY2d 388; *People v Flores*, 282 AD2d 688.) IV. The hearing court improperly precluded the defense from asking the jurors appropriate questions directly relevant to the *People v Maragh* (94 NY2d 569 [2000]) issue. (*People v Smith*, 59 NY2d 988.)

Eliot Spitzer, Attorney General, New York City (Laurie M. Israel, Michael S. Belohlavek and Robin A. Forshaw of counsel), for respondent in the first above-entitled action. I. The trial evidence, viewed in the light most favorable to the prosecution, was legally sufficient to establish defendant's guilt of the unauthorized practice of medicine. (*People v Bleakley*, 69 NY2d 490; *Jackson v Virginia*, 443 US 307; *People v Cabey*, 85 NY2d 417; *People v Contes*, 60 NY2d 620; *People v Ford*, 66 NY2d 428; *People v Williams*, 84 NY2d 925; *People v Rossey*, 89 NY2d 970; *People v Norman*, 85 NY2d 609; *People v Hines*, 97 NY2d 56; *People v Cronin*, 60 NY2d 430.) II. The trial court appropriately responded to the jury's note. (*People v Malloy*, 55 NY2d 296; *People v Esquilin*, 236 AD2d 245, 91 NY2d 902; *People v Solis*, 215 AD2d 789; *People v Almodovar*, 62 NY2d 126; *People v Spann*, 56 NY2d 469; *People v Davis*, 223 AD2d 376; *People v Gonzalez*, 293 NY 259; *People v Sanducci*, 195 NY 361.) III. The jurors did not act improperly in reaching their verdict of guilt. (*People v Williams*, 63 NY2d 882; *People v Brown*, 48 NY2d 388; *People v Maragh*, 94 NY2d 569; *People v Testa*, 61 NY2d 1008; *People v Arnold*, 96 NY2d 358; *People v James*, 112 AD2d 380; *People v Thomas*, 170 AD2d 549; *People v Leonti*, 18 NY2d 384; *People v Damiano*, 87 NY2d 477; *People v Arnold*, 96 NY2d 358.) IV. The trial court appropriately exercised its discretion in limiting the scope of questions posed during the juror misconduct hearing. (*Pennsylvania v Ritchie*, 480 US 39; *People v Alomar*, 93 NY2d 239; *People v Hameed*, 88 NY2d 232; *People v Testa*, 61 NY2d 1008; *People v Loliscio*, 187 AD2d 172; *United States v Ianniello*, 866 F2d 540; *People v Leonard*, 252 AD2d 740; *People v Corines*, 295 AD2d 445; *People v Friedgood*, 58 NY2d 467.)

Mark M. Baker, New York City, for appellant in the second above-entitled action. I. As a matter of statutory construction, as well as clear legislative intent, a duly licensed physician cannot be prosecuted under Education Law § 6512 (1) as an aider and abettor of a nonlicensed person. (*People v Varas*, 110 AD2d 646; *Remba v Federation Empl. & Guidance Serv.*, 149 AD2d 131, 76 NY2d 801; *People v Mauro*, 147 Misc 2d 381; *People v Allen*, 92 NY2d 378; *Matter of Scotto v Dinkins*, 85 NY2d 209; *Matter of Sutka v Connors*, 73 NY2d 395; *People v Lupinos*, 176 Misc 2d 852; *People v Jelke*, 1 NY2d 321; *People v Ching Fong*, 186 Misc 2d 477; *People v Chavis*, 91 NY2d 500.) II. Because the People's articulated theory of the case was based solely on codefendant Ana Marie Santi's alleged administering of anesthesia, the trial court's refusal to provide a meaningful response to the jury's note, by acknowledging that Santi's conceded insertion of

intravenous lines was not unlawful, constructively amended the indictment and deprived defendants of due process of law. (*People v Iannone*, 45 NY2d 589; *People v Perez*, 83 NY2d 269; *People v Grega*, 72 NY2d 489; *People v Livoti*, 166 Misc 2d 925; *People v Plaisted*, 1 AD3d 805; *People v Kaminski*, 58 NY2d 886; *People v Fata*, 184 AD2d 206, 80 NY2d 974; *People v Powell*, 153 AD2d 54; *People v Spann*, 56 NY2d 469; *People v Gachelin*, 237 AD2d 300.) III. Because the jury clearly convicted defendant based on Ana Marie Santi's conceded insertion of the intravenous needles into the three patients, and because no expert testimony was introduced by the People, the evidence was legally insufficient, as a matter of law, to establish that anesthesia had been administered. (*People v Contes*, 60 NY2d 620; *Matter of Morrissey v Sobol*, 176 AD2d 1147, 79 NY2d 754; *People v Amber*, 76 Misc 2d 267; *People v Cole*, 219 NY 98; *People v Allcutt*, 117 App Div 546, 189 NY 517; *People v Rubin*, 103 Misc 2d 227; *People v Lehrman*, 251 App Div 451; *Engel v Gerstenfeld*, 184 App Div 953; *Jackson v Virginia*, 443 US 307; *Maldonado v Scully*, 86 F3d 32.) IV. Because a certain juror, who was perceived by the other members of the panel as a medical professional, gratuitously shared her assumed expertise with her colleagues with respect to a material issue in the case which was not within the ken of the average juror, and which was treated by the other jurors as if it were evidence, the resulting misconduct severely prejudiced defendant, thereby warranting a new trial. (*People v Maragh*, 94 NY2d 569.)

Eliot Spitzer, Attorney General, New York City (Laurie M. Israel, Caitlin J. Halligan, Michael Belohlavek and Robin A. Forshaw of counsel), for respondent in the second above-entitled action. I. Neither the legislative history of Education Law § 6512 (1) nor rules of statutory construction support defendant's contention that, as a duly licensed physician, he could not be found guilty of the unauthorized practice of medicine. (*Matter of Delmar Box Co. [Aetna Ins. Co.]*, 309 NY 60; *Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151; *People v Coleman*, 104 AD2d 778; *People v Calkins*, 9 NY2d 77; *People v Irving*, 107 AD2d 944; *People v Evans*, 58 AD2d 919; *People v Merfert*, 87 Misc 2d 803; *People v Prainito*, 97 Misc 2d 66; *People v Reilly*, 85 Misc 2d 702; *People v Brody*, 298 NY 352.) II. The trial court appropriately responded to the jury's note. (*People v Malloy*, 55 NY2d 296; *People v Esquilin*, 236 AD2d 245, 91 NY2d 902; *People v Solis*, 215 AD2d 789; *People v Almodovar*, 62 NY2d 126; *People v Davis*, 223 AD2d 376; *People v Spann*, 56 NY2d 469; *People v Grega*, 72 NY2d 489; *People v Fata*, 184 AD2d 206;

People v Powell, 153 AD2d 54; *People v Gachelin*, 237 AD2d 300.) III. The People presented legally sufficient evidence of defendant's guilt. (*People v Bleakley*, 69 NY2d 490; *Jackson v Virginia*, 443 US 307; *People v Cabey*, 85 NY2d 417; *People v Contes*, 60 NY2d 620; *People v Ford*, 66 NY2d 428; *People v Williams*, 84 NY2d 925; *People v Rossey*, 89 NY2d 970; *People v Norman*, 85 NY2d 609; *People v Hines*, 97 NY2d 56; *People v Rivera*, 84 NY2d 766.) IV. The jurors did not act improperly in reaching their verdict of guilt. (*People v Williams*, 63 NY2d 882; *People v Brown*, 48 NY2d 388; *People v Maragh*, 94 NY2d 569; *People v Testa*, 61 NY2d 1008; *People v Arnold*, 96 NY2d 358; *People v James*, 112 AD2d 380; *People v Thomas*, 170 AD2d 549; *People v Leonti*, 18 NY2d 384; *People v Damiano*, 87 NY2d 477; *People v Arnold*, 96 NY2d 358.)

OPINION OF THE COURT

CIPARICK, J.

We are asked to determine whether a licensed physician is subject to prosecution under Education Law § 6512 (1) for aiding and abetting an unauthorized individual in the unlawful practice of medicine. We conclude that the only reasonable interpretation of the statute does not exempt licensed individuals from criminal prosecution. Additionally, questions regarding sufficiency of the evidence, a response to a jury inquiry and potential juror misconduct are all likewise resolved in the People's favor.

Both appeals here arise out of the same set of facts. Defendant Peter Corines, a licensed medical doctor, owned and operated two medical offices—Surgical Consultants, P.C. and Ambulatory Anesthesia, P.C.—in Queens County, New York. From 1997 to 1998 defendant Ana Marie Santi worked intermittently for Corines at Surgical Consultants. Defendant Santi was licensed to practice medicine in August 1972. Originally, Corines hired Santi as an anesthesiologist, but on March 16, 1998, the Department of Health suspended Santi's license to practice medicine. Despite her suspension, Santi continued to work, in some capacity, at Surgical Consultants. Corines described her as a "medical assistant."

The Attorney General charged each defendant with four counts of unauthorized practice of medicine under Education Law § 6512 (1). The charges stemmed specifically from the treatment of three patients of defendant Corines.

On June 22, 1998, Patient A visited Surgical Consultants to have laser surgery. Defendant Santi entered the operating room

where Patient A was waiting and started an intravenous, or “I.V.” line, placing the needle in the patient’s right hand. The patient testified she immediately felt relaxed. Corines subsequently entered the room. Patient A then became unconscious and Corines began the surgery.

During the procedure, Patient A awoke twice, nauseous and in pain. The second time she awoke, Corines was not present in the room. To calm her, Santi gave her an injection and laid her down. Ultimately, following the procedure, she was led to a recovery room and fell asleep.

On July 28, 1998, Corines treated Patient B at Surgical Consultants. As Patient B testified, shortly after his arrival there, Santi entered the examination room and directed him to lie on his back. Santi then prepped and cleaned Patient B’s right hand, unwrapped an I.V. needle and inserted it into the back of his hand. The needle was connected to tubing which led to an I.V. bag. Patient B said he felt a warm sensation and observed Santi adjust the flow of the liquid. Defendant Corines thereafter entered the room and performed the procedure. After it was complete, Santi returned and removed the needle from Patient B’s hand, at which point he said he felt “woozy” and “a bit weak.” He received no subsequent medical treatment from Corines.

Patient C testified that on December 4, 1998 she visited Surgical Consultants to have cosmetic eye surgery. Both Corines and Santi were present in the operating room. Corines, situated on Patient C’s right side, engaged her in conversation. Santi, standing to the patient’s left, inserted an I.V. into her left hand. Immediately after Santi placed the needle in her hand, according to Patient C, she felt the “medication” and fell into unconsciousness. When she awoke both Santi and Corines were in the room. Patient C remained a bit drowsy after she regained consciousness. Santi helped her dress and Patient C ultimately left the office. Following the surgery Patient C’s eyelids became infected and she returned to Surgical Consultants on December 30, 1998 for treatment. Again, she testified, both Santi and Corines were present in the operating room. Corines informed her that he was going to give her an injection to help ease the pain. Santi then placed an I.V. line in Patient C’s hand. Santi remained on the patient’s left side, where the I.V. line was located. Corines remained on Patient C’s right side, away from the I.V. line. Patient C felt the medication take effect. Corines then directed Santi to increase the flow of medication, and Patient C fell into unconsciousness.

At trial, the People proceeded on the theory that, in each of the aforementioned instances, Santi engaged in the unauthorized practice of medicine by administering anesthesia, and that Corines aided and abetted her. Defendants, by contrast, claim that the I.V. lines contained either a simple water and glucose, or glucose saline, solution and that the I.V. lines that Santi initiated contained no anesthesia, and that she merely prepared the patients and Corines administered the anesthesia.

Following the People's proof, Corines moved for a trial order of dismissal claiming that the evidence was insufficient to support the charges. Specifically, defendant claimed that no "qualified" individual testified to the use of anesthesia. Santi joined the motion and further noted that even "held in the light most favorable to the People . . . [t]here is no specific proof as to actual drugs or anesthesia having been administered." The court reserved decision, ultimately denying defendants' motion. Following their case, defendants again moved to dismiss.¹ The court again reserved decision. The jury convicted both Santi and Corines on each of the four counts of unauthorized practice in violation of Education Law § 6512 (1). After conducting an investigation that revealed what defendants believed to be misconduct by a juror that improperly influenced other members of the jury, defendants moved to set aside the verdict. The court denied the motion without a hearing and defendants appealed.

The Appellate Division remanded the case for a hearing on the juror misconduct issue (*see People v Corines*, 295 AD2d 445 [2d Dept 2002]; *People v Santi*, 295 AD2d 457 [2d Dept 2002]). Following the hearing, the court again denied defendants' motions. Defendants again appealed.

The Appellate Division, this time addressing the merits, affirmed. The Court conducted both a sufficiency and factual review and ultimately concluded that "[t]he evidence adduced at trial demonstrated that the defendant practiced medicine without a license . . . by administering anesthesia to three patients" (*People v Santi*, 308 AD2d 464, 465 [2d Dept 2003]; *see also People v Corines*, 308 AD2d 457, 457-458 [2d Dept 2003]). The Court further held, with regard to defendant Corines, that he "aided and abetted Santi in her unlicensed practice of medicine" (*Corines*, 308 AD2d at 458). A Judge of

1. This second motion to dismiss was actually made the day after summations, just before the judge's charge to the jury.

this Court granted leave to appeal, and we now affirm each of the appeals.

I. Education Law § 6512

[1] We begin our discussion with an analysis of defendant Corines' primary claim assailing the lower courts' interpretation of Education Law § 6512 (1). Specifically, defendant Corines contends that the plain language of section 6512 (1) exempts licensed individuals from criminal prosecution under the statute. We disagree.

Title VIII of the New York State Education Law regulates professional conduct and requires certain enumerated professionals, including physicians, to obtain a license in order to practice such professions lawfully (*see generally* Education Law § 6500 *et seq.*; Education Law §§ 6520, 6521). Education Law § 6512 (1) criminalizes the conduct of any individual who practices any of the enumerated professions in title VIII without authorization. Similarly, it criminalizes the conduct of anyone who aids and abets an unauthorized individual in the unlawful practice of any such profession (*see* Education Law § 6512 [1]; *see also* Penal Law § 20.00).

Specifically, Education Law § 6512 (1) provides that:

“Anyone not authorized to practice under this title who practices or offers to practice or holds himself out as being able to practice in any profession in which a license is a prerequisite to the practice of the acts, or who practices any profession as an exempt person during the time when his professional license is suspended, revoked or annulled, or who aids or abets an unlicensed person to practice a profession, or who fraudulently sells, files, furnishes, obtains, or who attempts fraudulently to sell, file, furnish or obtain any diploma, license, record or permit purporting to authorize the practice of a profession, shall be guilty of a class E felony.”

In interpreting the statute we are guided by a well-settled principle of statutory construction: courts normally accord statutes their plain meaning, but “will not blindly apply the words of a statute to arrive at an unreasonable or absurd result” (*Williams v Williams*, 23 NY2d 592, 599 [1969]; *see also Matter of Rouss*, 221 NY 81, 91 [1917]; *Holy Trinity Church v United States*, 143 US 457, 460 [1892]).

It is equally well settled that, “[i]n implementing a statute, the courts must of necessity examine the purpose of the statute and determine the intention of the Legislature” (*Williams*, 23 NY2d at 598). Indeed, “[t]he primary consideration of the courts in the construction of statutes is to ascertain and give effect to the intention of the Legislature” (McKinney’s Cons Laws of NY, Book 1, Statutes § 92 [a], at 177). Legislative intent drives judicial interpretations in matters of statutory construction (see *People v Allen*, 92 NY2d 378, 383 [1998]).

Corines claims that a plain reading of Education Law § 6512 (1) makes clear that only individuals “not authorized to practice under [the Education Law]” may be prosecuted under the statute. Defendant also contends that a comparison of the distinct language used in section 6512 (1) and Education Law § 6512 (2) further supports his reading of the statute and thereby renders subdivision (1) superfluous.² Both the trial court and the Appellate Division disagreed with defendant’s interpretation, as do we.

While we acknowledge that defendant’s interpretation of the statute represents a fair and literal reading of the text, such an interpretation ignores the legislative intent underlying the statute’s enactment. If the phrase “not authorized to practice under this title” modified the pronoun “[a]nyone,” as defendant urges, the statute would necessarily be applied in an unreasonable manner. For example, defendant’s interpretation of the statute would exempt any licensed or authorized individual from criminal prosecution if such person aided or abetted fewer than three people in the unlicensed and unauthorized practice of a profession. Following this reasoning, such a reading would allow for authorized or licensed individuals to fraudulently reproduce and distribute diplomas and licenses, an act similarly proscribed in the statute for lay individuals.

In effect, the statute, read as defendant asks, would enable licensed individuals of all professions under the purview of title VIII to engage in conduct that would otherwise be criminal. We

2. Education Law § 6512 (2) provides that

“[a]nyone who knowingly aids or abets three or more unlicensed persons to practice a profession or employs or holds such unlicensed persons out as being able to practice in any profession in which a license is a prerequisite to the practice of the acts, or who knowingly aids or abets three or more persons to practice any profession as exempt persons during the time when the professional licenses of such persons are suspended, revoked or annulled, shall be guilty of a class E felony.”

cannot accept that the Legislature intended to enable such conduct, nor do we believe that it intended to create such a disparity in the statute's application. Insofar as we must interpret a statute so as to avoid an "unreasonable or absurd" application of the law, we reject defendant's interpretation (*Williams*, 23 NY2d at 599). Instead, we look to the legislative intent underlying the statute's enactment for guidance. A review of the legislative history makes apparent that only one reasonable interpretation of the statute exists.

Title VIII has a clear regulatory purpose. Specifically, the statute's legislative introduction indicates that it "provides for the regulation of the admission to and the practice of certain professions" (Education Law § 6500). Indeed, it cannot be reasonably contested that the legislation attempts to provide for the safe interaction of the regulated professions and those individuals that would engage their services, namely, the public. Broadly stated, it is a statute clearly designed to promote the public's safety. Allowing licensed physicians to aid and abet unauthorized individuals in the unlawful practice of medicine does not in any way promote the general welfare or otherwise ensure public safety.

A deeper look at the legislative history underlying the enactment of Education Law § 6512 further supports our interpretation. In juxtaposing section 6512, as originally enacted in 1971, with the enactment of section 6512 (2) five years later, it is apparent that the Legislature did not intend to exempt licensed individuals from prosecution under the law for aiding and abetting fewer than three individuals in the unauthorized practice of a profession.

In 1971, as part of a greater revision of the Education Law, the Legislature enacted section 6512. At that time, it consisted of only a single section with wording substantially similar to that of section 6512 (1) as it exists today (L 1971, ch 987, § 2).³ The unauthorized practice of a profession, originally, was a class A misdemeanor.

3. The original 1971 enactment read as follows:

"§ 6512. Unauthorized practice a crime

"Anyone not authorized to practice under this title who practices or offers to practice or holds himself out as being able to practice in any profession in which a license is a prerequisite to the practice of the acts, or who aids or abets an unlicensed person to practice a profession, or who fraudulently sells, files, furnishes, obtains, or who attempts fraudulently to sell, file, furnish or obtain any diploma, license, record or permit purporting to au-

(n. cont'd)

In 1976, the Legislature increased the existent sanction by enacting section 6512 (2) (L 1976, ch 689). This section, as evidenced by the extensive legislative discussion that preceded its passage, was enacted primarily to combat the growing problem of massage parlor prostitution in urban areas (*see* Mem of Assembly Member Lipschutz, Bill Jacket, L 1976, ch 689). The Legislature passed the law with the hope that “increasing the penalty in cases where three or more persons are involved in the unauthorized practice of a profession would facilitate law enforcement efforts to eradicate certain evils such as the illicit practice of massage” (*id.*). In 1979 the Legislature, without explanation, raised the penalty for a violation of section 6512 (1) to a class E felony.

The statute’s evolution makes obvious that section 6512 (2) was enacted to combat a specific perceived evil, distinct from that covered in section 6512 (1). Again, there was no legislative discussion concerning an alteration in the scope of section 6512 (1). Neither is there any indication that the Legislature intended to exempt a certain class of individuals, licensed professionals, from criminal prosecution for aiding and abetting fewer than three people in the unauthorized practice of a profession. Absent such an express indication, we cannot and will not assume that the Legislature desired such an exemption.

We conclude that Education Law § 6512 (1) does not exempt licensed physicians from prosecution under the statute. To the contrary, section 6512 (1) allows for the prosecution of any individual, licensed or not, that aids and abets an unauthorized individual in the practice of medicine. Defendant Corines fits neatly within the statute’s scope. Furthermore, under the accessory liability statute, he is likewise liable as he knew defendant Santi was not authorized to practice medicine, and he “intentionally aided” her in the practice of medicine on his patients through the administration of anesthesia (*see* Penal Law § 20.00).⁴ Corines’s argument here is thus without merit. We next turn to the sufficiency claim raised by both defendants.

thorize the practice of a profession, shall be guilty of a class A misdemeanor” (L 1971, ch 987, § 2).

4. Penal Law § 20.00 provides that “[w]hen one person engages in conduct which constitutes an offense, another person is criminally liable for such conduct when, acting with the mental culpability required for the commission thereof, he solicits, requests, commands, importunes, or intentionally aids such person to engage in such conduct.”

II. Defendants' Sufficiency and Expert Witness Claims

Evidence is legally sufficient to support a conviction where, "if accepted as true, [it] would establish every element of an offense charged and the defendant's commission thereof" (CPL 70.10 [1]). This Court's role on sufficiency review is limited to determining whether, "after viewing the evidence in the light most favorable to the prosecution, *any* rational trier of fact could have found the essential elements of the crime beyond a reasonable doubt" (*Jackson v Virginia*, 443 US 307, 319 [1979]; *see also People v Contes*, 60 NY2d 620, 621 [1983]). Ultimately, so long as the evidence at trial establishes "any valid line of reasoning and permissible inferences [that] could lead a rational person" to convict, then the conviction survives sufficiency review (*People v Williams*, 84 NY2d 925, 926 [1994]).

Both defendants Corines and Santi contend that the evidence at trial was insufficient to support Santi's conviction for the unauthorized practice of medicine and Corines' conviction for aiding and abetting such unauthorized practice. They focus their claim on the People's failure to call an expert witness to testify to the effects of anesthesia. They assert on appeal that, in the absence of expert testimony establishing a causal connection between the sensations each of the complaining patients experienced and the typical effects attendant to the administration of anesthesia, the evidence at trial was insufficient to support their convictions.

Expert testimony is properly admitted "when it would help to clarify an issue calling for professional or technical knowledge . . . beyond the ken of the typical juror" (*De Long v County of Erie*, 60 NY2d 296, 307 [1983]). Admission of expert testimony is a matter largely left to the discretion of the trial court (*see People v Brown*, 97 NY2d 500, 505 [2002]).

[2] While expert testimony may be properly admitted in certain cases, it is not always required to prove a particular crime (*see e.g. People v Cratsley*, 86 NY2d 81, 87-88 [1995]). Additionally, an expert is not necessarily required to testify to the effects of a particular drug; lay testimony on this issue suffices in some instances (*see People v Kenny*, 30 NY2d 154, 156-157 [1972]). Simply, expert testimony is used to "aid a lay jury in reaching a verdict" (*People v Taylor*, 75 NY2d 277, 288 [1990]). Expert testimony was not required in this case.

We recognized long ago that "modern juries are not bereft of education and intelligent persons who can be expected to apply

their ordinary judgment and practical experience” (*Havas v Victory Paper Stock Co.*, 49 NY2d 381, 386 [1980]). The administration of anesthesia, a commonly employed means of relieving pain during surgical procedures, is not a matter so foreign or esoteric as to require an expert explanation. Jurors, equipped with their everyday knowledge and experience, could reasonably have concluded that the sensations and experiences described by each of the patient-witnesses were caused by the administration of anesthesia. Under the circumstances of this case, on this record, it is clear that the jury did not need expert assistance in determining whether Santi administered anesthesia to each of the complaining patients.

The three patient-witnesses described in detail their experiences with defendants. Each testified regarding a warm sensation following Santi’s introduction of the I.V. line. Both Patient A and Patient C fell into unconsciousness shortly after Santi started the respective I.V. line. After Corines directed Santi to increase the flow of the I.V., Patient C immediately lost consciousness. When one patient regained consciousness, she needed assistance dressing, and she remained weak and semi-conscious for a significant period following the procedure.

While Patient B did not lose consciousness, his medical records stated that he received sedatives to ease his pain. He recalled a warm, burning sensation that followed Santi’s insertion of the I.V. prior to Corines ever entering the room. Following the procedure Patient B was weak and “woozy.” He was unable to rise up off the operating table without holding on to something for support. This evidence, both direct and circumstantial, supported the People’s theory.

Furthermore, defendant Corines’ own testimony, and his own medical records, proved helpful to the People (*see generally People v Hines*, 97 NY2d 56, 61 [2001]). Corines described anesthesia as a type of pain reliever, and he described the manner in which anesthesia is typically administered, either through an I.V. line or via direct injection. Additionally, Corines confirmed that each of the patient-witnesses received anesthesia, and he admitted that defendant Santi, his “medical assistant,” attended each of the four procedures.

Reviewing the evidence in the light most favorable to the People, the jury could have used a clear and valid line of reasoning to convict Santi and, consequently, Corines as acting in concert on each of the four counts of the indictment.

III. Jury Inquiry and the Trial Court's Response

CPL 310.30 provides, in pertinent part, that during deliberations, upon a jury's request for clarification, "the court must direct that the jury be returned to the courtroom and, after notice to both the people and counsel for the defendant, and in the presence of the defendant, must give such requested information or instruction as the court deems proper." The court does not have discretion in deciding whether to respond (*see People v Almodovar*, 62 NY2d 126, 131 [1984]; *People v Malloy*, 55 NY2d 296, 301 [1982]; *People v Gonzalez*, 293 NY 259, 262 [1944]). Moreover, the court, in response, "must give meaningful supplemental instructions" (*Malloy*, 55 NY2d at 301). Therefore, while a trial court is without discretion in deciding whether to respond, the court does have discretion as to the substance of the response.

[3] Simple reiteration of an original instruction may, under appropriate circumstances, constitute a meaningful response sufficient to satisfy the statutory mandate (*see id.* at 298). Specifically, when the original instruction is accurate and "[w]here the jury expresses no confusion [regarding the original charge]," a simple reiteration of the original instruction suffices as a meaningful response (*id.* at 302). This case gives rise to the unique circumstances under which a rereading of the original charge suffices.

The trial court originally instructed the jury, in pertinent part, that:

"in order for you to find the defendant Ana Marie Santi guilty of the crime of practicing medicine without a license as charged in the four counts of this indictment, the People are required to prove from all of the evidence in the case beyond a reasonable doubt each of the following three elements."

In describing the third element, the trial judge instructed the jury that the People must prove defendant Santi "knowingly practiced medicine upon [each patient] through the administration of anesthesia."

During deliberations the jury inquired whether "[u]nder the conditions of Dr. Santi's suspension as performing the duties of a medical assistant, was Dr. Santi permitted to introduce an I.V. to a patient?" The trial judge, after hearing both parties, responded to the note by rereading the original instruction,

including the language specifically requiring proof that Santi administered anesthesia. While it might have been better to address the note more directly, here rereading the original, proper instruction was sufficient to convey the appropriate message to reasonable jurors. The jury's note had not expressed confusion about the meaning of that instruction. We therefore conclude that the trial judge provided a meaningful response to the jury's inquiry.

IV. Juror Misconduct

Finally, defendants claim that during deliberations a juror improperly influenced the others. The juror worked at a hospital as a patient care associate. Defendants claim that she asserted her medical expertise, became an "unsworn witness" in the jury room and improperly swayed the jury to convict.

[4] Firstly, we are presented with findings of fact made by Supreme Court on remittitur and affirmed by the Appellate Division. Therefore, our review here is limited to whether there is any "possible view of the evidence that would support the determination" below (*People v Damiano*, 87 NY2d 477, 486 [1996]). Clearly, there is record support for the trial court's factual findings and refusal to set aside the verdict based on juror misconduct.

Juror misconduct constitutes reversible error where "(1) jurors conduct[] personal specialized assessments not within the common ken of juror experience and knowledge (2) concerning a material issue in the case, and (3) communicat[e] that expert opinion to the rest of the jury panel with the force of private, untested truth as though it were evidence" (*People v Maragh*, 94 NY2d 569, 574 [2000]). It would be improper for a juror to "engage in experimentation, investigation and calculation that necessarily rely on facts outside the record and beyond the understanding of the average juror" (*People v Arnold*, 96 NY2d 358, 367 [2001]). Jurors are not, however, required to "check their life experiences at the courtroom door" (*id.* at 366).

The record indicates that the juror, while perhaps assertive, was not an "expert." Her experiences in the medical field were limited. Moreover, she did not conduct any experiment or investigation that was later used to influence the jury. Instead, the record makes clear that she merely gave her lay opinions regarding the introduction of an I.V. line, drawing on both her

life experiences and the trial evidence. This was proper. These record facts support the conclusion below that the juror's participation in the deliberations did not rise to the level of juror misconduct.

Defendants' remaining claims are without merit.

Accordingly, in each case, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

In each case: Order affirmed.

[819 NE2d 197, 785 NYS2d 729]

In the Matter of RICHARD A. GROSS et al., Respondents, v ALBANY COUNTY BOARD OF ELECTIONS, Respondent, and WILLIAM M. HOBLOCK et al., Appellants. (And Another Related Proceeding.)

Argued September 8, 2004; decided October 14, 2004

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered August 23, 2004. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, Albany County (Edward A. Sheridan, J.), which had (1) partially granted the petitions, in two proceedings pursuant to Election Law §§ 16-102, 16-106 and 16-112, to declare invalid certain absentee ballots cast for the office of Albany County Legislator, 26th and 29th Districts, in the April 27, 2004 special general election, and (2) otherwise denied the petitions.

Matter of Gross v Albany County Bd. of Elections, 10 AD3d 476, affirmed.

HEADNOTE

Elections — Absentee Ballots

Absentee ballots collected in violation of both a federal court order and article 8 of the Election Law were invalid. The federal court order directed that registered voters who had filed applications requesting absentee ballots for the previous general election would be sent absentee ballots for a special primary election and that the process for obtaining and counting absentee ballots for the special general election would be governed by the Election Law. However, the Board of Elections forwarded absentee ballots for the special general election to any voter who had requested one during the previous general election. The Legislature's carefully crafted procedure for ensuring the validity of absentee votes was circumvented by the Board's decision to forward absentee ballots to voters who had not applied for them. These voters never articulated why they were not able to vote at the polls on the day of the special general election, as article 8 of the Election Law and the federal court order required. Although there are instances where inconsequential deviations from the letter of the law will not be fatal, the Board's error here could not be characterized as technical, ministerial or inconsequential, because it was central to the substantive process by which voters are determined to be qualified to cast absentee ballots.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Elections §§ 331-334, 444.

CARMODY-WAIT 2d, Proceedings Under Election Laws
§§ 137:19, 137:74.

NY JUR 2d, Elections §§ 593–596, 629, 779, 839.

ANNOTATION REFERENCE

See ALR Index under Absentee Voting.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: absentee /2 ballot /s validity & court /2 order

POINTS OF COUNSEL

DerOhannesian & DerOhannesian, Albany (*Paul DerOhannesian II* of counsel), for appellants. I. Invalidating qualified voters' absentee ballots abrogates the right to vote. (*Yick Wo v Hopkins*, 118 US 356; *Reynolds v Sims*, 377 US 533; *Griffin v Burns*, 570 F2d 1065; *United States v Classic*, 313 US 299; *United States v Mosley*, 238 US 383; *Shannon v Jacobowitz*, 301 F Supp 2d 249; *Bush v Gore*, 531 US 98; *Matter of Hopper v Britt*, 203 NY 144; *Matter of Powers v Donahue*, 276 AD2d 157; *Matter of Staber v Fidler*, 65 NY2d 529.) II. Objections to the validity of an absentee application must be made before issuance of the absentee ballot to the voter. (*Sheils v Flynn*, 164 Misc 302, 252 App Div 238, 275 NY 446; *Matter of Mondello v Nassau County Bd. of Elections*, 6 AD3d 18; *Griffin v Burns*, 570 F2d 1065.) III. The Albany County Board of Elections acted ministerially when it issued the contested absentee ballots. (*Matter of Wicksel v Cohen*, 262 NY 446; *Matter of Graziano v County of Albany*, 309 AD2d 1062, 1 NY3d 507.) IV. Contested absentee ballots should be counted because of voters' unavoidable absence from the county on election day.

A. *Joshua Ehrlich*, Albany, for Richard A. Gross and another, respondents. I. The State Constitution and the Election Law require actual absence for an absentee ballot to be validly cast and canvassed. (*Sheils v Flynn*, 164 Misc 302, 252 App Div 238, 275 NY 446; *Matter of Cristiano v Otsego County Bd. of Elections*, 181 AD2d 941; *Matter of Sherwood v Albany County Bd. of Elections*, 265 AD2d 667; *Matter of Staber v Fidler*, 65 NY2d 529.) II. The affidavit on the ballot, as well as the application, controls whether the vote should be cast and canvassed. (*Matter of Cristiano v Otsego County Bd. of Elections*, 181 AD2d 941; *Matter of Sherwood v Albany County Bd. of Elections*, 265 AD2d 667.) III. The decisions of the Appellate Division departments

have led to a fundamental change in the conduct of elections in this state. (*Marks v Stinson*, 19 F3d 873; *Scheer v City of Miami*, 15 F Supp 2d 1338; *Matter of Staber v Fidler*, 65 NY2d 529.) IV. Both answers admitted that the 2004 absentee ballots should not count. V. The opponents' arguments are contradictory. Strict construction should be applied uniformly to all absentee ballots in this case.

OPINION OF THE COURT

Per Curiam.

This appeal concerns the validity of certain absentee ballots cast during a special general election for two seats on the Albany County Legislature.

In April 2003, the Albany County Legislature's redistricting plan was challenged in federal court. As a consequence of the litigation, the Albany County Board of Elections was enjoined from conducting the primary and general elections for particular districts of the Albany County Legislature that had been scheduled for fall 2003. A revised redistricting plan was accepted by the federal court in October 2003, but the resolution came too late to permit election officials to implement the new plan for the November elections. The United States Court of Appeals for the Second Circuit therefore determined that a special primary election would be conducted on March 2, 2004 (to coincide with the national primary elections), and ordered a special general election to be held "expeditiously thereafter" on terms established by the District Court on remittal (*Arbor Hill Concerned Citizens v County of Albany*, 357 F3d 260, 263 [2d Cir 2004]).

Consistent with the Second Circuit decision, the District Court issued a written order on February 2, 2004 dictating the manner in which the special primary and special general elections would be conducted. Pertinent to the issue on this appeal, the court directed that registered voters who had filed applications requesting absentee ballots for the fall 2003 elections would be sent absentee ballots for the special primary election scheduled for March 2, 2004 without having to file new applications. This accommodation was apparently made because there was insufficient time in the four-week period between the District Court order and the special primary to notify the public of the election, solicit and process absentee voter applications, and forward ballots to the affected voters as the New York Election Law ordinarily requires. With respect to the special general

election—scheduled for April 27, 2004—the court ordered that “[t]he process for obtaining and counting absentee ballots . . . shall be governed by Article 8 of the New York Election Law.” Under article 8, in order to become qualified to cast an absentee vote, the voter must file an application requesting an absentee ballot that particularizes why the voter is unable to vote at the polls on election day.¹

The Albany County Board of Elections followed the District Court directives on absentee balloting with respect to the special primary election but failed to do so with respect to the special general election, instead forwarding an absentee ballot to any voter who had requested one during the fall 2003 elections. As a result, a number of voters who cast absentee ballots during the special general election did not file applications establishing that they were eligible to do so as the Election Law and the federal court order required.

At issue in this case are races in two Albany County legislative districts—the 26th and 29th districts. After the machine counts revealed that the electoral results were close, the affected candidates and their counsel met at the Albany County Board of Elections on May 5, 2004 to canvass the absentee, military and special ballots filed in those districts. In addition to other objections not relevant to this appeal, the candidates asserted that certain absentee ballots were invalid due to the Board’s noncompliance with the federal court order and article 8 of the Election Law.

Having timely lodged their objections before the Board, the candidates filed cross petitions in Supreme Court under Election Law § 16-106 raising the question whether the absentee ballots collected in violation of the court order and the Election Law could be counted. At the hearing, the testimony indicated that the Board’s failure to require absentee ballot applications arose from a misinterpretation of the federal court order, with no allegation of fraud or other intentional misconduct. Supreme

1. Federal courts have held that they have the equitable power under the Voting Rights Act of 1965 (42 USC § 1973) to order special elections to remedy apportionment violations and, in doing so, that they may dictate the procedures under which those elections are to be conducted (*see Arbor Hill Concerned Citizens v County of Albany*, 357 F3d at 262-263). The impact of the District Court’s decision to order the Board to forward absentee ballots to voters in the special primary election without the specific application required under Election Law § 8-400 is not before us in this Election Law § 16-106 proceeding which challenges only the ballots cast in the special general election.

Court held that the noncompliant absentee ballots should not be canvassed. A majority of the Appellate Division affirmed but two Justices dissented prompting an appeal as of right to this Court. We agree with the determination of the courts below that the absentee ballots collected in violation of both a federal court order and article 8 of the Election Law are invalid and we therefore affirm the order of the Appellate Division.

Article II, § 2 of the New York Constitution, adopted in 1919, states that “[t]he legislature may, by general law, provide a manner in which, and the time and place at which, qualified voters who, on the occurrence of any election, may be absent from the county of their residence or . . . may be unable to appear personally at the polling place because of illness or physical disability, may vote and for the return and canvass of their votes.”² Thus, in New York, the right to vote by absentee ballot is purely a statutory right (*see* NY Const, art II, § 2; Election Law § 8-400).

The Legislature passed absentee voting legislation in 1920 (*see* L 1920, ch 875). New York was among the many states that “built in elaborate provisions to safeguard voter privacy and the integrity of the ballot” (J. Fortier and N. Ornstein, *The Absentee Ballot and The Secret Ballot: Challenges for Election Reform*, 36 U Mich JL Reform 483, 492-493 [2003]). The safeguards were adopted in recognition of the fact that absentee ballots are cast without the secrecy and other protections afforded at the polling place, giving rise to greater opportunities for fraud, coercion and other types of mischief on the part of unscrupulous partisans (*id.* at 492-493, 512-513).

Consistent with the limited circumstances contemplated in the Constitution, Election Law § 8-400 (1) provides that a voter may be qualified to cast an absentee ballot if he or she will be “unavoidably absent from the county of . . . residence” on election day, is “unable to appear personally at the polling place . . . because of illness or physical disability,” including due to treatment at a hospital, or is detained in jail awaiting trial or in prison after conviction for a nonfelony offense.

2. It appears that the decision to allow absentee voting was not without controversy. A New York Times article urged that the constitutional amendment authorizing the Legislature to enact an absentee voting scheme “ought to be beaten at the polls,” characterizing absentee voting as “a doubtful and even dangerous remedy” where “[t]he danger of fraud is palpable” (*Four Amendments*, New York Times, Oct. 15, 1919, at 16).

Like its predecessors, the current New York Election Law prescribes a detailed scheme for the issuance, collection and canvassing of absentee ballots. Prior to casting an absentee vote, the Election Law requires that the voter apply for an absentee ballot. Among other information, the written application must contain “[a] statement, as appropriate, that on the day of such election the applicant expects in good faith to be in one of the . . . categories” qualified to vote by absentee ballot (Election Law § 8-400 [3] [c]). The prospective voter must sign the application, certifying that the information in it is true and correct, and affirm an understanding “THAT THIS APPLICATION WILL BE ACCEPTED FOR ALL PURPOSES AS THE EQUIVALENT OF AN AFFIDAVIT AND, IF IT CONTAINS A MATERIAL FALSE STATEMENT, SHALL SUBJECT ME TO THE SAME PENALTIES AS IF I HAD BEEN DULY SWORN” (Election Law § 8-400 [5]). Significantly, the Election Law does not allow automatic renewal of absentee ballot applications unless a voter is determined to be “permanently disabled” or is a “hospitalized veteran” (*see* Election Law § 8-400 [4]; § 8-404); only then are election officials permitted to send absentee ballots without a specific request.

Upon receipt of an absentee ballot application, the local board of elections determines “upon such inquiry as it deems proper whether the applicant is qualified to vote and to receive an absentee ballot,” which may include conducting an investigation into the accuracy of the information provided (Election Law § 8-402 [1], [2]). If the board finds the application acceptable, the absentee ballot will be forwarded to the voter (Election Law § 8-402).

The form of the absentee ballot is dictated by Election Law § 7-122. Under the statute, the ballot is enclosed in an envelope bearing an affirmation that must be signed by the voter, as follows:

“I do declare that I am a citizen of the United States, that I am duly registered in the election district shown on the reverse side of this envelope and I am qualified to vote in such district; that I will be unable to appear personally on the day of the election for which this ballot is voted at the polling place of the election district in which I am a qualified voter because of the reason given on my application heretofore submitted . . .

“I hereby declare that the foregoing is a true state-

ment to the best of my knowledge and belief, and I understand that if I make any material false statement in the foregoing statement of absentee voter, I shall be guilty of a misdemeanor” (Election Law § 7-122 [8]).

Thus, at the time the completed ballot is forwarded to the board, the voter reaffirms that he or she continues to be unable to vote in person at the polls on the day of the election for the reason previously attested to in the application.

Once the ballot is returned to the board, it is subject to challenge by an inspector, watcher or any registered voter “upon the ground . . . that the voter was not entitled to cast an absentee . . . ballot,” among other grounds (*see* Election Law § 8-506 [1]). Following the election, the board meets “no more than ten days after a general election and no more than eight days after a special or primary election” to canvass absentee, military and other special ballots (Election Law § 9-209 [1] [a]; L 2003, ch 256, § 4 [for general elections, effective December 31, 2004, the time period was reduced from 13 days to 10]). The involved candidates, political parties and independent bodies may appoint watchers to attend the canvass who may object to the casting or canvassing of any ballot or the refusal to cast or canvass any ballot. Board inspectors are authorized to canvass a ballot if they find that “ministerial error” on the part of the board or its employees “caused such ballot envelope not to be valid on its face” (Election Law § 9-209 [2] [a] [2]). If no objection is lodged to the board’s decision to canvass or refuse to canvass a particular ballot during the canvass, that ballot cannot later be the subject of a judicial challenge (*see Sheils v Flynn*, 275 NY 446, 452 [1937]).

In the event of a timely objection, however, the board has three options: it may canvass the ballot, refuse to canvass the ballot, or, “[i]f the board cannot agree as to the validity of the ballot it shall set the ballot aside, unopened, for a period of three days at which time the ballot envelope shall be opened and the vote counted unless otherwise directed by an order of the court” (Election Law § 9-209 [2] [d]). Election Law § 16-106 (1) authorizes a summary judicial proceeding to resolve an objection, which proceeding was initiated by the candidates in this case to determine the validity of the absentee ballots. Like the board, in such a proceeding a court is empowered to overlook certain ministerial errors appearing on the face of the ballot envelope.

The primary objective of this comprehensive statutory scheme is to ensure fair elections by protecting the integrity of the ballot. We have previously recognized in the context of the Election Law that where, as here, the Legislature “erects a rigid framework of regulation, detailing . . . specific particulars,” there is no invitation for the courts to exercise flexibility in statutory interpretation (*Matter of Higby v Mahoney*, 48 NY2d 15, 20 n 2 [1979]). Rather, when elective processes are at issue, “the role of the legislative branch must be recognized as paramount” (*id.* at 21). “Broad policy considerations weigh in favor of requiring strict compliance with the Election Law . . . [for] a too-liberal construction . . . has the potential for inviting mischief on the part of candidates, or their supporters or aides, or worse still, manipulations of the entire election process” (*Matter of Staber v Fidler*, 65 NY2d 529, 534 [1985]). Strict compliance also “reduces the likelihood of unequal enforcement” (*id.*). The sanctity of the election process can best be guaranteed through uniform application of the law.

That being said, however, there are instances where inconsequential deviations from the letter of the law will not be fatal. For example, in *Matter of Weinberger v Jackson* (19 NY2d 995 [1967], *affg on op below* 28 AD2d 559, 559 [2d Dept 1967]), this Court held that ballots invalidated because voters marked the parallelogram next to the candidate’s name (the party emblem) instead of the voting square should have been counted, adopting the reasoning that “[t]he right of the voter to be safeguarded against disenfranchisement and to have his intent implemented wherever reasonably possible . . . transcends technical errors, particularly when induced” by a confusing ballot. There is no question that the “object of election laws is to secure the rights of duly qualified electors,” not to frustrate them by posing technical obstructions that bear no relationship to the policies underlying the statutes (*People ex rel. Hirsh v Wood*, 148 NY 142, 147 [1895]).

Absentee voting serves the laudable purpose of opening the voting process to a larger electorate but there are dangers inherent in the system that warrant adherence to article 8’s legislative prescriptions. Here, although we sympathize with the voters in this case who presumed they were submitting valid absentee ballots, the Board’s error simply cannot be characterized as technical, ministerial or inconsequential because it was central to the substantive process by which voters are deter-

mined to be qualified to cast absentee ballots.³ The Legislature’s carefully crafted procedure for ensuring the validity of absentee votes was circumvented by the Board’s decision to forward absentee ballots to voters who had not applied for them. These voters never articulated why they were not able to vote at the polls on April 27, 2004, the day of the special general election, as article 8 of the Election Law and the federal court order required.⁴ The Board therefore had no basis to conclude that these voters were qualified to cast absentee votes. In addition, as a result of the Board’s actions, the absentee ballot rules were not applied uniformly to all who voted in the special general election—some voters were required to comply with the application requirement while others (those who cast the ballots at issue) were excused from doing so.

Nor is this a case where a minor alteration of procedure can be viewed as substantial compliance with statutory directives. As a result of the failure to adhere to Election Law § 8-400, sev-

3. The dissent’s reliance on the “ministerial error” provision in Election Law § 16-106 is misplaced. By its terms, the statute authorizes a court to overlook a “ministerial error” that “caused such *ballot envelope* not to be valid *on its face*” (Election Law § 16-106 [1] [emphasis added]), the same power possessed by the board (*see also* Election Law § 9-209 [2] [a] [2]). The absentee ballots in this case were not invalidated due to facial defects on the ballot envelopes. Moreover, as used in this context, the phrase “ministerial error” suggests a clerical or other inconsequential mistake comparable to the situation in *Matter of Carney v Niagara County Bd. of Elections* (8 AD3d 1085 [4th Dept 2004] [where the Board failed to date/time-stamp a military ballot envelope that was timely filed]). In contrast, here the ballots were invalidated due to a substantive deficiency implicating voter qualification. Furthermore, it appears that the dissent is using the concepts of “ministerial error” and “ministerial duty” interchangeably; only the latter is addressed in *Matter of Wicksel v Cohen* (262 NY 446 [1933]) and we believe there are meaningful distinctions. But even if “ministerial error” means what the dissent says it means, the error here was not ministerial because it involved the Board’s exercise of judgment—the interpretation and implementation of a federal court order in the context of a special election—and affected the manner in which that body exercised its statutory obligation to determine absentee voter eligibility (*see* Election Law § 8-402). Although the Board performs many ministerial functions, this was not one of them.

4. We reject the appellants’ suggestion that the voters’ prior assertions made in their fall 2003 absentee ballot applications should be carried forward and applied to this election. Putting aside the fact that this is not what the statute or court order required, at the time the prior ballots were requested, it was unclear whether there would be a special general election, much less the date of that election. It would therefore have been impossible for these voters (who were not “permanently disabled” or “hospitalized veterans”) to have made a good faith statement of their inability to vote at the polls on the day of the special general election.

eral other provisions of the Election Law were also disregarded, including the duty to assess the validity of applications before forwarding absentee ballots (*see* Election Law § 8-406) and the requirement that voters reaffirm under penalty of criminal prosecution that they are unable to vote at the polls on the day of the election for the reason indicated in the application (*see* Election Law § 7-122 [8]). Hence, despite the absence of fraud or intentional misconduct, the fact remains that the voters who cast the ballots at issue were not determined to be “duly qualified electors” under the absentee ballot scheme, which distinguishes this case from many of those cited by appellants and the dissent. For example, the dissent relies on *People ex rel. Hirsh v Wood* (148 NY 142 [1895]), a case decided long before absentee voting was authorized in New York and which involved a post-election challenge to the form of the ballot.⁵ There, the clerk who drew up the ballot listed candidates on a minor party line even though they had not been nominated by that party. After the election, an opposing candidate sought to invalidate all the votes cast on that party line at the polls on election day. We declined to void the votes, noting that there was no question but that the votes had been cast by “duly qualified electors.”

The dissent suggests that the challenged absentee ballots should be canvassed despite the Board’s departure from the qualification process because the voters who cast the ballots were innocent of any wrongdoing. This is certainly true in the sense that the voters’ reliance on the Board’s mistake was understandable—but this same rationale could be applied virtually any time a board fails to comply with statutory directives governing voting. Reliance on board actions or directives will almost always be reasonable since few voters have sufficient familiarity with the Election Law to catch an error and most have little reason to question voting procedures. Thus, an exception predicated on voter innocence would swallow the rule, effectively relieving election officials of their obligation to adhere to the law. For these reasons, we agree with the Appellate Division majority that to overlook a substantive error of this magnitude would invite future impermissible deviation from statutory requirements that have been devised to ensure fair elections.

5. After *Hirsh* was decided, statutes were passed that provide for public inspection of ballots prior to the election so that errors can be detected and challenges to the form of the ballot resolved before votes are cast (*see* Election Law §§ 7-128, 16-104).

Accordingly, the order of the Appellate Division should be affirmed, without costs.

ROSENBLATT, J. (dissenting). The two most important interests of the Election Law are closely balanced in this case: on the one hand, the need for rigorous application of rules that govern elections; on the other, letting the voter's vote count. I appreciate the majority's dedication to enforcing rules designed to prevent irregularities. Experience has shown that too many elections have been touched, if not infused, by fraud, and that we need rules to keep the process honest. To be sure, some rules require the most stringent enforcement if the system is to function. Others, however, can and should tolerate some flexibility. This is particularly so when, as here, the strict application of the rule does not further the Election Law's objectives.

We have, at times, construed the Election Law's rules to disenfranchise voters. When we did, it was because we felt that on balance a more permissive interpretation would threaten the process or future elections. Thus, while I do not see the majority's opinion as grudging or as evincing a hidebound, technical character, the scales here tip in favor of the voter.

The voters did exactly as they were told—not by amateurs or partisan functionaries, but by the very governmental body whose job it is to interpret and apply the Election Law in all of its complexity. If the majority is correct, the voters, to have their votes counted, would have had to send their absentee ballots back to the Election Board and tell the Board that it misread both the Election Law and a federal court order. I can think of no voter endowed with the sophistication and audacity required to issue such a rebuke. This case is unusual, if not unique, in that the voters are being denied their vote for having followed the protocol established by the experts lawfully charged with running the election.

In this respect, the situation of the voters here should contrast with that of candidates who commit technical violations of the Election Law. In a significant number of cases, we have invalidated designating petitions when candidates failed to satisfy the requirements of the statute. When a candidate falls short of the mark and is expelled on technical grounds, it is no occasion for rejoicing. After all, the voters are being denied a choice. But candidates know, or should know, the perils of the Election Law. If they do not comply with its terms, we might say they bear the fault. We can take no such comfort here. These voters were

entirely innocent and had no reason to imagine that their votes were vulnerable.

The purpose of the Election Law's rules is to foster order and defeat fraud. If the Board of Elections were constituted by a single member, one might suspect that, for political gain, that partisan official could be tempted to ignore or misapply the federal court order. The Board, however, is bipartisan. There is not a hint of fraud here. More importantly, in a two-party contest, there is virtually no possibility of any fraud when Commissioners—who are political rivals—both agree in good faith as to how absentee balloting should be administered.

Finally, today's decision conflicts with both Election Law § 16-106 (1) and our venerable precedent, *People ex rel. Hirsh v Wood* (148 NY 142 [1895]).

I.

To deter fraud, Election Law § 8-400 (5) provides that statements made in an application for an absentee ballot “shall be accepted for all purposes as the equivalent of an affidavit” and that “a material false statement shall subject the person signing it to the same penalties as if he had been duly sworn.” Likewise, Election Law § 7-122 (8) requires absentee voters to subscribe to an oath on the ballot, affirming that they are unable to appear at the polling place on election day.

As the Court observes, however, the election at issue does not implicate the statute's concern with fraud or intentional misconduct. In affirming Supreme Court's decision to invalidate the ballots, the Appellate Division expressly found that the “voters were without fault.” (10 AD3d 476, 479 [2004].) No one doubts this. By all indications, when they applied for absentee ballots in the fall of 2003, the absentee voters truthfully stated that they would be unavoidably absent from Albany County.

Moreover, there is no evidence to suggest that, by following the format established by the Board for the special general election, the voters were acting fraudulently. On the contrary, the record reveals that a substantial majority (15 of 27) of the contested ballots were postmarked from outside Albany County. That the remaining 12 ballots originated from within the County is, at best, inconclusive evidence of an irregularity. An otherwise proper absentee ballot may be cast and canvassed, even if the voter is present in the county of residence on election day (*see Matter of Sherwood v Albany County Bd. of Elec-*

tions, 265 AD2d 667 [3d Dept 1999]). Furthermore, because their ballots were postmarked 11 to 15 days before the election, these 12 voters may well have been unavoidably absent from Albany County on election day.

To be sure, the voters here departed from the standard absentee ballot application procedures, but only because the Board told them that was the way to do it. Pursuant to the District Court's order, the Board mailed absentee ballots for the special primary election to all voters who had qualified for such ballots in the original general election. When, a month later, the voters received absentee ballots for the special general election, they had no reason to imagine that their ballots would be challenged.

II.

A faithful reading of the Election Law indicates that we should not disenfranchise these voters for the Board's good faith mistake. In pertinent part, Election Law § 16-106 (1) provides:

“If the court determines that the person who cast such ballot was entitled to vote at such election, it shall order such ballot to be cast and canvassed if the court finds that ministerial error by the board of elections or any of its employees caused such ballot envelope not to be valid on its face.”

The distinction between “ministerial” and “discretionary” acts may be muddled by the particularities of a given case, but in the abstract, the terms describe discrete polarities of official conduct. As Chief Judge Pound explained in *Matter of Wicksel v Cohen* (262 NY 446, 449 [1933]), “[t]he distinction between ministerial and judicial acts is that where the law prescribes the rule to be followed so as to leave nothing to the exercise of judgment or discretion, the act is a ministerial act.” By contrast, “where the act involves the exercise of judgment or discretion in determining whether the duty exists, the act is judicial” (*id.*).

Under this framework, the Board's error was quintessentially ministerial. The distribution of absentee ballots is not an activity that requires the exercise of discretion. Election Law § 8-402 unambiguously requires boards of elections to determine whether absentee ballot applicants meet the eligibility criteria set forth by Election Law § 8-400. Election Law § 8-406 further requires boards of elections to mail absentee ballots to all applicants who satisfy the section 8-400 criteria. Here, the record

reveals that the Commissioners thought that the federal court order obligated them to mail absentee ballots for the special general election to every voter who had applied for such a ballot in the fall of 2003.¹ The Board's bipartisan departure from the statutorily prescribed protocol for the issuance of absentee ballots was not so much a willful exercise of independent discretion as a mistaken attempt by the Commissioners to follow the federal court order, as they understood it.

III.

Even if the Board's error were not strictly ministerial, this Court's decisional law requires counting the contested ballots. In *People ex rel. Hirsh v Wood* (148 NY 142 [1895]), we considered the validity of ballots with a "latent defect" (*id.* at 146). Specifically, a county clerk charged with printing the ballots had inserted into them, without authority, the names of candidates who had not been nominated by their party. Writing for the Court, Chief Judge Andrews stated:

"We can conceive of no principle which permits the disfranchisement of innocent voters for the mistake or even the willful misconduct of election officers in performing the duty cast upon them. The object of elections is to ascertain the popular will and not to thwart it. The object of election laws is to secure the rights of duly qualified electors, and not to defeat them. Statutory regulations are enacted to secure freedom of choice and to prevent fraud, and not by technical obstructions to make the right of voting insecure and difficult" (*id.* at 146-147 [emphasis added]).²

The majority has attempted—unsuccessfully in my view—to

1. Deputy Commissioner Karen Shea testified that the Board issued absentee ballots for the special general election to everyone who had applied for such ballots in September and October of 2003 because "that's what we thought when we read the order from the judge. That's how we interpreted it. . . ." Asked how the Commissioners came to this conclusion, she responded, "I think we went over it in a meeting, that all four of us sat down and we looked it [the District Court order] over, and that's what we thought—you know." John Graziano, a Commissioner, testified that the "decision was [made] in a meeting with the two deputies and the two commissioners in trying to interpret what the judge was asking us to do, and that's what we decided to do. Then we followed up and did it."

2. See also *Griffin v Burns*, 570 F2d 1065 (1st Cir 1978) (holding that when a board of elections had no authority to issue absentee ballots for a special primary election, but when the issuance of such ballots followed a

(n. cont'd)

distinguish *Hirsh* from the case before us. It is incontestable, however, that if, under *Hirsh*, votes must be counted when there is outright fraud by election officials, surely they should be counted when a bipartisan board of elections makes an honest mistake.

As this Court observed in *Matter of Staber v Fidler* (65 NY2d 529, 534 [1985]), a lax construction of the Election Law may invite mischief by candidates or “manipulations of the entire election process,” but too strict a construction “beyond that necessary for the effectuation of those policies can also lead to injustice.” Accordingly, I respectfully dissent.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO and READ concur in per curiam opinion; Judge ROSENBLATT dissents in a separate opinion in which Judge R.S. SMITH concurs.

Order affirmed, without costs.

long-standing practice, it was unconstitutional to invalidate the absentee ballots cast by voters).

[819 NE2d 634, 786 NYS2d 116]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KENNETH H. PAYNE, Appellant.

Argued September 9, 2004; decided October 19, 2004

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 14, 2003. The Appellate Division affirmed a judgment of the Suffolk County Court (John N. Mullin, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Payne, 309 AD2d 820, reversed.

HEADNOTES

Crimes — Murder — Depraved Indifference Murder — Point-Blank Shooting of Victim

1. Defendant, who shot and killed his longtime friend and neighbor at point-blank range after the two exchanged words, did not commit depraved indifference murder. The use of a weapon can never result in depraved indifference murder when, as here, there is a manifest intent to kill. Depraved indifference murder is extremely dangerous and fatal conduct performed with a depraved kind of wantonness, but without specific homicidal intent. Indifference to the victim's life contrasts with the intent to take it.

Crimes — Appeal — Preservation of Issue for Review — Sufficiency of Evidence

2. In a homicide prosecution where the trial court reserved decision on defendant's CPL 290.10 motion for a trial order of dismissal, defendant's claim that he did not commit depraved indifference murder was preserved for appellate review. When a trial court denies a CPL 290.10 motion at the close of the People's case, a defendant who thereafter introduces proof waives the right to have the court consider the motion solely on the basis of the People's evidence. Where, however, the court has reserved decision, the defendant has preserved a claim of insufficiency, and the trial court would then rule on the CPL 290.10 motion as if the motion were made at the close of all the evidence.

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By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 237, 614; AM JUR 2d, Homicide §§ 10, 45, 87, 88.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3653, 172:3655, 172:3661, 172:4342, 172:4343.

McKINNEY'S, CPL 290.10.

NY JUR 2d, Criminal Law §§ 2424, 2430, 2431, 3125, 3126, 3798, 3799, 3866.

ANNOTATION REFERENCE

Validity and construction of statute defining homicide by conduct manifesting depraved indifference. 25 ALR4th 311.

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POINTS OF COUNSEL

Legal Aid Society of Suffolk, Inc., Appeals Bureau, Riverhead (Robert B. Kenney and Robert C. Mitchell of counsel), for appellant. I. It was reversible error for the trial court to have submitted the count of depraved indifference murder to the jury, where no reasonable view of the evidence can support the theory that the shooting of the victim at point-blank range with a shotgun was reckless. (*People v Wall*, 34 AD2d 215, 29 NY2d 863; *People v Gonzalez*, 302 AD2d 870, 99 NY2d 659; *People v Roe*, 74 NY2d 20; *People v Register*, 60 NY2d 270; *People v Sanchez*, 98 NY2d 373; *People v Hafeez*, 100 NY2d 253.) II. Since Penal Law § 125.25 (2), depraved indifference murder, is impermissibly vague in violation of both the New York State and the United States Constitutions, appellant's conviction for murder in the second degree should be reversed. (*People v Register*, 60 NY2d 270; *People v Roe*, 74 NY2d 20; *People v Sanchez*, 98 NY2d 373; *People v Hafeez*, 100 NY2d 253.) III. The trial court erred in denying appellant's request to charge the jury on the defense of justification. (*People v Watts*, 57 NY2d 299; *People v Wesley*, 76 NY2d 555; *People v Goetz*, 68 NY2d 96; *People v Daniels*, 248 AD2d 723; *People v Smith*, 234 AD2d 484; *People v Padgett*, 60 NY2d 142.)

Kenneth H. Payne, appellant pro se. I. (A) The People's evidence failed, as a matter of law, to establish a prima facie case of depraved indifference murder. (B) The People's evidence failed, as a matter of law, to establish Kenneth Payne's guilt beyond a reasonable doubt. (*People v Sanchez*, 98 NY2d 373; *People v Russell*, 91 NY2d 280; *People v Fenner*, 61 NY2d 971; *People v Register*, 60 NY2d 270; *People v Poplis*, 30 NY2d 85; *People v Reed*, 40 NY2d 204; *People v Santos*, 38 NY2d 173.) II. The trial court's refusal to charge the defense of justification to the jury deprived Kenneth Payne of his right to a fair trial. (*People v McManus*, 67 NY2d 541; *People v Padgett*, 60 NY2d 142; *People v Steele*, 26 NY2d 526; *People v Asan*, 22 NY2d 526; *People v Wag-*

man, 99 AD2d 519; *People v Miller*, 39 NY2d 543; *Matter of Y.K.*, 87 NY2d 430; *People v Goetz*, 68 NY2d 96; *Davis v Strack*, 270 F3d 111.) III. The prosecutor committed reversible error in his summation by characterizing Kenneth Payne as a liar, stating the defense was a fabrication and by vouching for his own case. (*People v Shanis*, 36 NY2d 697; *People v Whalen*, 59 NY2d 273; *People v Conyers*, 52 NY2d 454; *People v Spinelli*, 214 AD2d 135; *People v Wagman*, 99 AD2d 519; *People v Rosa*, 108 AD2d 531; *People v Jackson*, 143 AD2d 363; *People v Negron*, 161 AD2d 537; *People v Walters*, 251 AD2d 433; *People v Pelchat*, 62 NY2d 97.) IV. Statements Kenneth Payne made to the police, while in custody, were elicited in violation of his rights under US Constitution Amendments V, VI and XIV and NY Constitution, article I, § 6. (*People v Soto*, 183 AD2d 926; *People v Smith*, 150 AD2d 738; *People v Huffman*, 41 NY2d 29; *People v Shivers*, 21 NY2d 118; *People v Davis*, 224 AD2d 541; *Miranda v Arizona*, 384 US 436; *People v Quarles*, 58 NY2d 664; *People v Chapple*, 38 NY2d 112; *People v Bethea*, 67 NY2d 364; *People v Beames*, 149 AD2d 817.)

Thomas J. Spota, District Attorney, Riverhead (*Steven A. Hovani* and *Anne E. Oh* of counsel), for respondent. I. Defendant's conviction of depraved indifference murder is proper in all respects. The jury's unanimous guilty verdict should, therefore, remain undisturbed. (*People v Gray*, 86 NY2d 10; *People v Hines*, 97 NY2d 56; *People v Finger*, 95 NY2d 894; *People v Norman*, 85 NY2d 609; *People v Hines*, 97 NY2d 56; *Jackson v Virginia*, 443 US 307; *People v Rossey*, 89 NY2d 970; *People v Contes*, 60 NY2d 620; *People v Ford*, 66 NY2d 428; *People v Bleakley*, 69 NY2d 490.) II. The trial court's refusal to charge the defense of justification was proper. (*People v Butts*, 72 NY2d 746; *People v Watts*, 57 NY2d 299; *People v Steele*, 26 NY2d 526; *People v Reynoso*, 73 NY2d 816; *People v Collice*, 41 NY2d 906; *People v Adams*, 259 AD2d 299.) III. The prosecution's summation was fair comment on the trial evidence and defense counsel's closing argument. (*People v Utley*, 45 NY2d 908; *People v Cicchetti*, 44 NY2d 803; *People v Galloway*, 54 NY2d 396; *People v Morgan*, 66 NY2d 255; *Williams v Brooklyn El. R.R. Co.*, 126 NY 96; *People v Montez*, 203 AD2d 216; *People v Ortiz*, 2 AD3d 125; *People v Walters*, 251 AD2d 433; *People v Smart*, 96 NY2d 793; *People v Guzman*, 76 NY2d 1.) IV. Evidence of defendant's oral, written and videotaped statements, as well as the gun seized at the scene, were properly admitted at trial. (*People v Leonti*, 18 NY2d 384; *People v Winchell*, 64 NY2d 826; *People v Yukl*, 25 NY2d 585; *People v Prochilo*, 41 NY2d 759; *People v*

Miguel, 53 NY2d 920; *People v Friola*, 11 NY2d 157; *People v Brown*, 96 NY2d 80; *Horton v California*, 496 US 128; *People v Burr*, 70 NY2d 354; *People v Herring*, 179 AD2d 549.)

OPINION OF THE COURT

ROSENBLATT, J.

We once again address the crime of depraved indifference murder and where it fits within the Penal Law's statutory framework. In the appeal before us, defendant, armed with a 12-gauge shotgun, went to the deceased's home and shot him at point-blank range. Having acquitted defendant of intentional murder—the first count in a two-count indictment—the court convicted defendant of depraved indifference murder after the court improperly allowed the jury to consider that charge.

The Appellate Division affirmed, and a Judge of this Court granted leave to appeal. We reverse. Defendant did not commit depraved indifference murder.

I.

Defendant and the deceased, Curtis Cook, had been friends for nearly 20 years, but their relationship began to sour in 1998. In March of that year, Cook was arrested and accused of sexually abusing an eight-year-old girl, a playmate of defendant's daughter. Although defendant knew the girl and her father, he remained friendly with Cook.

On April 27, 1998, defendant drank large amounts of alcohol at a local bar, while Cook drank at home. When defendant's girlfriend arrived at the tavern to take him home, she told defendant that Cook telephoned her to complain about defendant's dog. This infuriated defendant, because Cook had been belligerent toward the girlfriend and defendant had warned him never to communicate with her.

Following a telephone conversation with Cook, defendant went to his closet and took out a 12-gauge shotgun. He referred to the weapon as an "elephant gun." With the loaded weapon in hand, defendant walked next door to confront Cook. After the two exchanged words, defendant shot Cook at point-blank range, killing him. The wound was below the heart and just above the navel. Defendant admitted the shooting and presented a justification defense, which by its verdict the jury rejected.¹

1. Neither side asked that the jury consider lesser included charges.

II.

This Court's recent holdings in *People v Gonzalez* (1 NY3d 464 [2004]), *People v Hafeez* (100 NY2d 253 [2003]) and *People v Sanchez* (98 NY2d 373 [2002]) have made it clear that depraved indifference murder may not be properly charged in the overwhelming majority of homicides that are prosecuted in New York. While we have identified instances in which a killing could qualify as depraved indifference murder, a point-blank shooting is ordinarily not one of them.

[1] Pursuant to Penal Law § 125.25 (2), a person is guilty of depraved indifference murder when “[u]nder circumstances evincing a depraved indifference to human life, he recklessly engages in conduct which creates a grave risk of death to another person, and thereby causes the death of another person.” In *People v Gonzalez* (1 NY3d 464 [2004]), the Court reversed a depraved indifference murder conviction for legal insufficiency. There, the defendant kicked in the door of a barber shop, pulled a gun from his waistband and, at close range, shot the victim several times. We held that because it evinced an intent to kill, a homicide of that type could not constitute depraved indifference murder. Indifference to the victim's life, we explained, contrasts with the intent to take it. Here, as in *Gonzalez*, the evidence established defendant's intent to kill.

The prosecution seeks to distinguish *Gonzalez*, asserting that here defendant's conduct was not “overtly intentional” in that he did not plan or contrive the shooting, and that the jury could have concluded that the homicide was merely instinctive—the result of a reckless act in arming himself before confronting Cook. This theory is flawed and reveals a fundamental misunderstanding of the concepts underlying depraved indifference murder.

To begin with, intentional murder does not require planning or contrivance. The premeditation element was eliminated in the 1967 Penal Law (see *People v Patterson*, 39 NY2d 288, 298 [1976]). Secondly, by the prosecution's theory, homicides could be routinely categorized and sustained as depraved indifference murder whenever the defendant brought a weapon to a contentious confrontation. Inasmuch as it is “reckless” to arm oneself under those circumstances or to wield a weapon carelessly (the argument goes) any homicide that results could qualify as depraved indifference murder. That is not the law. If it were, every homicide, particularly intentional ones, would be converted into depraved indifference murder.

Moreover, the prosecutor's position is based on the erroneous notion that the wanton disregard for human life inherent in every intentional homicide amounts to depraved indifference murder. In *Gonzalez*, this Court rejected that contention, holding that the reckless conduct must be "so wanton, so deficient in a moral sense of concern, so devoid of regard for the life or lives of others, and so blameworthy as to warrant the same criminal liability as that which the law imposes upon a person who intentionally causes the death of another" (1 NY3d at 469, quoting *People v Russell*, 91 NY2d 280, 287-288 [1998]).

The use of a weapon can never result in depraved indifference murder when, as here, there is a manifest intent to kill. In arguing that a point-blank shooting may constitute depraved indifference murder, the prosecution relies on *People v Sanchez* (98 NY2d 373 [2002]). In *People v Hafeez* (100 NY2d 253, 259 [2003]), however, the Court rejected the argument the prosecution makes here. The Court emphasized that *Sanchez* "involved the sudden shooting of a victim by a defendant who reached around from behind a door and fired into an area where children were playing, presenting a heightened risk of unintended injury." (*Id.*)

This Court thus differentiated cases like the one before us (and *Gonzalez*) from homicides in which a defendant lacking the intent to kill (but oblivious to the consequences and with depraved indifference to human life) shoots into a crowd or otherwise endangers innocent bystanders. *People v Jernatowski* (238 NY 188 [1924]) is a prominent example of this genre. There, the defendant fired shots into a house, killing the wife of a man with whom he had a confrontation. Similarly, in *People v Fenner* (61 NY2d 971 [1984]), defendant fired into a fleeing crowd. In *People v Russell* (91 NY2d 280 [1998]), defendant shot and killed an innocent bystander during a gun battle and in *People v Gomez* (65 NY2d 9 [1985]), defendant struck a child with a car, accelerated, and killed another child while speeding on crowded sidewalks. The case before us involves a crime directed at a single individual—and, moreover, an intentional killing—as opposed to the generalized depraved indifference exemplified in the above cases.

We have recognized another species of depraved indifference murder in which the acts of the defendant are directed against a particular victim but are marked by uncommon brutality—coupled not with an intent to kill, as in *Gonzalez* and the case before us, but with depraved indifference to the victim's plight.

Instances include where, without the intent to kill, the defendant inflicted continuous beating on a three-year-old child (*see People v Poplis*, 30 NY2d 85 [1972]), fractured the skull of a seven-week-old baby (*see People v Bryce*, 88 NY2d 124 [1996]), repeatedly beat a nine year old (*see People v Best*, 85 NY2d 826 [1995]) or robbed an intoxicated victim and forced him out of a car on the side of a dark, remote, snowy road partially dressed and without shoes in subfreezing temperatures (*see People v Kibbe*, 35 NY2d 407 [1974]; *see also People v Mills*, 1 NY3d 269 [2003]).

As the drafters of the Penal Law put it, depraved indifference murder is “extremely dangerous and fatal conduct performed without specific homicidal intent but with a depraved kind of wantonness: for example, shooting into a crowd, placing a time bomb in a public place, or opening the door of the lions’ cage in the zoo” (Denzler and McQuillan, Practice Commentary, McKinney’s Cons Laws of NY, Book 39, Penal Law § 125.25, at 235 [1967]).

Thus, if a defendant fatally shoots the intended victim once, it could be murder, manslaughter in the first or second degree or criminal negligence (or self-defense), but not depraved indifference murder. Moreover, it should be obvious that the more the defendant shoots (or stabs or bludgeons) the victim, the more clearly intentional is the homicide. Firing more rounds or inflicting more wounds does not make the act more depravedly *indifferent*, but more intentional. Absent the type of circumstances in, for example, *Sanchez* (where others were endangered), a one-on-one shooting or knifing (or similar killing) can almost never qualify as depraved indifference murder.²

2. *People v Roe* (74 NY2d 20, 22 [1989]) may be a rare exception—the only one in our decisional law. There, the defendant deliberately loaded a mix of live and dummy shells at random into the magazine of a 12-gauge shotgun. He pumped a shell into the firing chamber, not knowing whether it was a dummy or live round. The defendant pointed the gun directly at the victim and said “Let’s play Polish roulette. . . . Who is first?” (*Id.*) He then pulled the trigger and discharged a live round into the victim, killing him. This type of shooting is the antithesis of intentional murder because it evinces not an intent to kill, but an indifference—a depraved indifference—to the life or death of the victim. We note that the dissent in *Roe* argued that the majority mischaracterized depraved indifference murder’s core element as mere recklessness rather than depraved indifference, and that as long as depraved indifference murder and reckless manslaughter were identified as having the same core element—mere recklessness—depraved indifference murder could be improperly used as a proxy for reckless manslaughter (74 NY2d at 29-38;

(n. cont’d)

[2] Lastly, and contrary to the dissent, defendant has preserved his claim that he did not commit depraved indifference murder. The dissent relies on *People v Hines* (97 NY2d 56, 61 [2001]), where the trial court “promptly denied” a motion to dismiss made at the close of the People’s case. *Hines* does not govern the appeal before us. There, we did not address the issue of preservation where, as here, a trial court reserved decision on a CPL 290.10 motion. When a trial court denies such a motion at the close of the People’s case, a defendant who thereafter introduces proof waives the right to have the court consider the motion solely on the basis of the People’s evidence (*see Hines*, 97 NY2d at 61). Where, however, the court has reserved decision, the defendant has preserved a claim of insufficiency, and the trial court would then rule on the CPL 290.10 motion as if the motion were made at the close of all the evidence. We decline to expand *Hines* and elevate preservation to a formality that would bar an appeal even though the trial court, aware that the motion was pending, had a full opportunity to review the issue in question.³

Defendant did not commit depraved indifference murder within the meaning of the statute. Therefore, the order of the Appellate Division should be reversed and the indictment dismissed.

R.S. SMITH, J. (concurring). I join the Court’s opinion, though I appreciate the force of the dissent’s argument that it is difficult to distinguish *People v Hines* (97 NY2d 56 [2001]). In joining the majority, I am influenced to some degree by my doubt that the rule of *Hines* is a wise one. I think the majority is correct in giving *Hines* a restrictive reading.

READ, J. (dissenting). Defendant plainly failed to preserve the claim that his conviction of depraved mind murder is not supported by legally sufficient evidence. At the close of the People’s case, defendant moved for a trial order of dismissal of the depraved mind murder count of the indictment (*see* CPL 290.10). The trial court’s “fail[ure]” to grant this motion does

see also People v Sanchez, 98 NY2d at 398, 406-411 [dissenting op]; *People v Hafeez*, 100 NY2d 253, 260 [2003] [concurring op]). In seeking reversal, defendant, citing *Jones v Keane* (329 F3d 290 [2d Cir 2003], *cert denied* 540 US 1046 [2003]), has made that argument. We need not address it, because we conclude that under *any* hypothesis defendant did not commit depraved indifference murder.

3. To the extent the dissent relies on *People v Kirkpatrick* (32 NY2d 17 [1973]), we note that the case did not involve preservation.

not present an “issue of law” within our scope of review because “defendant waived review of the mid-trial decision by testifying himself” (*People v Hines*, 97 NY2d 56, 61 [2001], citing *People v Kirkpatrick*, 32 NY2d 17, 21 [1973], *appeal dismissed* 414 US 948 [1973]). “[I]n the absence of a motion to dismiss at the close of all the evidence” (*People v Hines*, 97 NY2d at 62), defendant has not preserved a claim that, “viewing the evidence at trial in its entirety, the People failed to establish [his] guilt [of depraved mind murder] beyond a reasonable doubt” (*id.* at 61-62). Accordingly, we respectfully dissent from the Court’s reversal of defendant’s conviction.

Preservation is not simply a “formality” (majority op at 273). Under the State Constitution, this Court, with limited exceptions not applicable here, can consider only “questions of law” (NY Const, art VI, § 3 [a]; *see also* CPL 470.35). Generally, a question of law is an issue that was preserved by a sufficiently specific and timely objection at trial (*see* CPL 470.05 [2]; *see also* *People v Gray*, 86 NY2d 10, 19 [1995]). In light of our decision in *Hines*, defendant does not present us with a preserved question of law on this appeal.

The defendant in *Hines* moved for a trial order of dismissal following the close of the People’s case. The trial court denied the motion, and the defendant proceeded to present evidence. Following a jury verdict of conviction, the trial court revisited the previously denied motion to dismiss in the guise of addressing a motion to set aside the verdict under CPL 330.30 (1). For reasons that should foreclose us from reviewing defendant’s claim here, we held in *Hines* that “the trial court lacked jurisdiction to address the sufficiency of the People’s case-in-chief” (*People v Hines*, 97 NY2d at 61).

CPL 330.30 (1) reflects the constitutional limitation on our jurisdiction to questions of law. This statute allows a trial court to set aside a verdict for “[a]ny ground appearing in the record which . . . would require a reversal or modification of the judgment *as a matter of law* by an appellate court” (CPL 330.30 [1] [emphasis added]). In other words, “[u]nder this statutory standard, an insufficiency argument may not be addressed unless it has been properly preserved for review during the trial” (*People v Hines*, 97 NY2d at 61). Significantly, we concluded in *Hines* that, “[b]ecause defendant waived review of the mid-trial decision by testifying himself and presenting the testimony of other witnesses . . . , this was not an issue of law that could properly be adjudicated in a CPL 330.30 motion” (*id.*).

Just as the trial court in *Hines* “lacked jurisdiction to address the sufficiency of the People’s case-in-chief in the context of the CPL 330.30 motion” (*id.*), we have no jurisdiction here to entertain a claim that the People did not present evidence legally sufficient to establish depraved mind murder. Quite simply, once a defendant puts on a case, a trial court’s “fail[ure]” (*id.*) to grant a CPL 290.10 motion made at the close of the People’s case does not present a question of law (*see id.*).

The trial court in *Hines* “promptly denied defendant’s CPL 290.10 motion at the close of the People’s case-in-chief” (*id.*), while here, the trial court reserved decision. Our holding in *Hines*, however, relied on *People v Kirkpatrick* (32 NY2d 17 [1973], *supra*), where “we . . . held that ‘a defendant who does not rest after the court *fails to grant* a motion to dismiss at the close of the People’s case, proceeds with the risk that he will inadvertently supply a deficiency in the People’s case’ ” (*People v Hines*, 97 NY2d at 61, quoting *People v Kirkpatrick*, 32 NY2d at 21 [emphasis added]). In *Kirkpatrick*, as was the case here, the trial court’s “fail[ure]” (*People v Kirkpatrick*, 32 NY2d at 21) to grant a midtrial dismissal motion resulted from a reservation of decision (*see id.*). Thus, whether a trial court “decline[s] to grant” (*People v Hines*, 97 NY2d at 61) a dismissal motion by outright denial, as in *Hines*, or by reserving decision, as occurred here and in *Kirkpatrick*, the effect is the same: when a defendant presents a case, the sufficiency of the People’s case and, concomitantly, the propriety of a trial court’s “fail[ure]” to grant a midtrial dismissal motion, does not present a question of law.¹

Several CPL provisions supply additional support for the conclusion that we lack jurisdiction to review defendant’s claim under the circumstances here. CPL 290.10 (1) allows for a defendant to move for a trial order of dismissal either “[a]t the conclusion of the people’s case or at the conclusion of all the evidence.” Thus, CPL 290.10 contemplates that when a defendant presents a case, the defendant must make a motion to dismiss, or at least renew an earlier motion on which the trial court has reserved decision, “at the conclusion of all the evidence” (CPL 290.10 [1]; *see also People v Hines*, 97 NY2d at 61-62).

1. In *Kirkpatrick*, the trial court sat as the factfinder (*see People v Kirkpatrick*, 64 Misc 2d 1055, 1056 [Crim Ct, NY County 1970]). We have emphasized, however, that the rules of preservation apply equally to jury and nonjury trials (*see e.g. People v Santos*, 86 NY2d 869, 870-871 [1995]).

CPL 290.10 affords a trial court the discretion either to grant a dismissal motion immediately or, alternatively, to “reserve decision on the motion until after the verdict has been rendered and accepted by the court” (CPL 290.10 [1]), which is what happened here. “Where the court has reserved decision and the jury thereafter renders a verdict of guilty, the court shall proceed to determine the motion upon such evidence as it would have been authorized to consider upon the motion had the court not reserved decision” (CPL 290.10 [1]).²

If a defendant does not present a case, the only evidence adduced at trial is the People’s proof. When a defendant presents a case, however, the equation changes, and the trial court is not “authorized to consider” only the sufficiency of the People’s evidence. Rather, a motion to dismiss must be predicated on “the evidence at trial in its entirety” (*People v Hines*, 97 NY2d at 61). As we recognized in *Hines*, “[c]onsistent with the overall truth-seeking function of a jury trial, the rationale underlying this rule is that a reviewing court should not disturb a guilty verdict by reversing a judgment based on insufficient evidence without taking into account all of the evidence the jury considered in reaching that verdict, including proof adduced by the defense” (*id.*).³

The directive in CPL 290.10 for a defendant who presents proof to move to dismiss at the “conclusion of all the evidence” dovetails with the purposes served by the preservation standards of CPL 470.05 (2). Both reflect the solicitude for the “truth-seeking function of a jury trial” voiced in *Hines*. Indeed, requiring a sufficiently detailed and “timely objection alerts all parties to alleged deficiencies in the evidence and advances [both] the truth-seeking purpose of the trial [and] the goal of

2. Defendant stated in his brief to us that “[t]he trial court denied defense counsel’s request for a trial order of dismissal”; at oral argument, the People characterized the motion as “implicitly denied.” There is no indication in the record that the trial court revisited the reserved motion. After the jury returned a guilty verdict, defendant asked only for the jurors to be polled; he did not ask the trial court to rule on any reserved motion.

3. CPL 290.10 (1) unambiguously refutes the majority’s assertion that a CPL 290.10 motion made at the close of the People’s case can somehow be treated by a trial court as if the motion had been made at the close of all the evidence (*see* majority op at 273). If this were the case, then the Legislature would not have taken pains to differentiate between these two situations, especially since they coincide only if a defendant presents no case. When, as is the case here, a defendant presents a case, CPL 290.10 expressly contemplates the need for a separate motion at “the conclusion of all the evidence” (CPL 290.10 [1]).

swift and final determinations of the guilt or nonguilt of a defendant” (*People v Gray*, 86 NY2d at 21).

Further, if a defendant presents a case, “the time . . . when the court had an opportunity of effectively” (CPL 470.05 [2]) dealing with a supposed evidentiary insufficiency is “at the conclusion of all the evidence” (CPL 290.10 [1]). Given that a defense case could “inadvertently supply a deficiency in the People’s case” (*People v Kirkpatrick*, 32 NY2d at 21), an evidentiary insufficiency that might have been present “[a]t the conclusion of the people’s case” may no longer exist at “the conclusion of all the evidence” (CPL 290.10 [1]). Accordingly, a defendant who believes that the trial evidence remains insufficient must move to dismiss “at the conclusion of all the evidence” (CPL 290.10 [1]).

“[A] party who without success has either expressly or impliedly sought or requested a particular ruling or instruction, is deemed to have thereby protested the court’s ultimate disposition of the matter or failure to rule or instruct accordingly sufficiently to raise a question of law with respect to such disposition or failure regardless of whether any actual protest thereto was registered” (CPL 470.05 [2]). Nonetheless, a motion to dismiss made at the close of the People’s case cannot be deemed to encompass a claim that the entire trial record, including evidence that the defendant may offer in defense, is insufficient. As previously noted, the defendant may “inadvertently” (*People v Kirkpatrick*, 32 NY2d at 21) close the evidentiary gap in the People’s case.

While *Kirkpatrick* did not “involve preservation” (majority op at 273 n 3), it nonetheless set the tone for what the trial court here could review, and, concomitantly, what defendant had to do to preserve his claim. As was the case in *Kirkpatrick*, the trial court was no longer “authorized to consider” (CPL 290.10 [1]) the sufficiency of the People’s case after defendant put in proof. Defendant never moved to dismiss in light of the trial evidence in its entirety, although he had the opportunity to do so at the close of his proof or at the charge conference. Thus, the majority is wrong to say that the trial court had a “full opportunity to review the issue in question” (majority op at 273).⁴

4. As originally enacted, CPL 290.10 did not provide for a trial court to reserve decision on a motion to dismiss for insufficiency of the evidence. The Legislature amended the statute in 1983 to endorse this procedure as a way to preserve the People’s right to appeal and reinstate a conviction after a trial or-

(n. cont’d)

At the close of the People's case, defendant articulated a reason to support his motion for dismissing the intentional murder count by referring to a statement that he made in a videotape interview conducted by the assistant district attorney. Specifically, when asked by the assistant district attorney "point-blank" whether he intended to kill the victim, defendant responded that this was "a tough question, he really didn't know." With respect to the depraved mind murder count, however, defendant argued only "that one shot from a shotgun is not depraved indifferent action as . . . contemplated by the legislature and enunciated by the courts in their decisions throughout the years." He neglected to say *why* a single shot is not depraved mind murder. He never specified the element of depraved mind murder for which sufficient proof was lacking.⁵ For all the trial court knew, defendant might have been arguing that the circumstances were not depraved because he fired a single, rather than multiple, gunshots (*cf. Gonzalez*, 1 NY3d at 468). Whatever the defendant may have meant, there is no reason to believe that his general objection adequately alerted the trial court to the claim that he now raises, informed by our subsequent decisions in *Sanchez* and especially *Hafeez* and

der of dismissal without implicating double jeopardy principles (*see* L 1983, ch 170, § 1; *see also People v Key*, 45 NY2d 111 [1978]). Thus, the direction for a reserved motion to be determined "upon such evidence as [the court] would have been authorized to consider upon the motion had the court not reserved decision" (CPL 290.10 [1]) postdated our observation in *Kirkpatrick* "that a defendant who does not rest after the court fails to grant a motion to dismiss at the close of the People's case, proceeds with the risk that he will inadvertently supply a deficiency in the People's case" (32 NY2d at 21). "The Legislature is . . . presumed to be aware of the decisional and statute law in existence at the time of an enactment" (*Arbegas v Board of Educ.*, 65 NY2d 161, 169 [1985]; *see also People v Robinson*, 95 NY2d 179, 184 [2000]).

5. By contrast, the defendants in *People v Sanchez* (98 NY2d 373 [2002]), *People v Hafeez* (100 NY2d 253 [2003]) and *People v Gonzalez* (1 NY3d 464 [2004]) formulated objections that did, at least, identify the element of depraved mind murder that they argued was lacking, or set forth an intelligible basis for the objection (*see e.g. Sanchez*, 98 NY2d at 390 [defendant objected to the charge, arguing that "[t]here is nothing to indicate in this record that defendant at any time acted in a depraved manner, which would require him to do some thinking about it, and recklessly, which would reach that particular point where murder in the second degree reckless and depraved should be charged"]; *see also Gonzalez*, 1 NY3d at 466 ["At the conclusion of the People's proof, defendant moved for a trial order of dismissal, arguing that the evidence was legally insufficient to establish his guilt of depraved indifference, as opposed to intentional, murder"]).

Gonzalez;⁶ namely, that one shot from a shotgun could *only* support a conviction for intentional murder.

Indeed, defendant's testimony (unmentioned by the majority) contradicts what he now argues. At trial, defendant protested that he had *not* acted intentionally. He told the jury that he grabbed his weapon for reasons of self-defense and to protect his girlfriend and young daughter. Defendant asserted that the victim had threatened him and his family, was drunk and had a gun. According to defendant, he fired his gun at the victim almost instinctively, perhaps carelessly, and certainly not intentionally.

At the charge conference, defendant's attorney asked the trial judge to instruct the jury on justification. When asked if the defense had any other requests with respect to the charge, defendant's attorney mentioned the voluntariness of defendant's statements. He also observed that he

“would also state for the record at this time that I am not—the defendant is not asking for any down charges, we’re not asking for any lesser included offenses to be charged. And I’d like [defendant], if possible, to acknowledge that on the record in your presence, your Honor, that he has specifically asked me not to ask for any lesser included defenses [*sic*], manslaughter, criminally negligent homicide—”

The defendant then jumped in, stating “That’s true. Let the charges, please, stand on the top charges that I was arrested on and no other charges.” Even after the trial judge refused to charge justification, defendant steadfastly rejected requesting the court to charge the jury on lesser included offenses. When the trial judge asked defendant one final time if it was his “wish [that] only the two counts charged in the indictment [be] given to the jury for their deliberations,” defendant responded “Yes, sir, it is.”

Nothing in defendant's testimony or this discussion at the charge conference would have motivated the trial judge to revisit the motion on the depraved mind charge of his own accord. If defendant had moved for a trial order of dismissal at the conclusion of his proof or had objected to the trial court's submission

6. These three decisions postdate the trial in this case. *Sanchez* and *Hafeez* were handed down before defendant's appeal was submitted in the Appellate Division; *Gonzalez* was handed down afterwards, but before briefing and oral argument in our Court.

(*cf. Sanchez*, 98 NY2d at 390) on the ground that he now advances—that he could only have acted intentionally, not recklessly—the trial judge would have had the opportunity to consider the motion on the entire record, and might have granted it. Whether or not the trial court granted the motion, defendant's making of it might have prompted the People to pursue a different course of action, perhaps by asking the trial judge to instruct the jury to consider manslaughter rather than acquiescing in defendant's request for the trial judge not to instruct the jury on any lesser included offenses. Given the option of manslaughter, the jury might have delivered a different verdict.

Defendant admittedly killed the victim. As the record discloses, he ultimately gambled on gaining acquittal by restricting the jury's choices to intentional and depraved mind murder, and lost. Now he seeks to reverse his conviction by resurrecting an ill-defined objection that he abandoned as the trial progressed. Because defendant did not move for a trial order of dismissal following the close of his case—or ask at that time to renew his earlier motion or object to the trial judge's submission or even ask the judge to rule on the reserved motion after the jury returned a guilty verdict—he has not preserved any claim that the evidence adduced during trial was legally insufficient to support his conviction for depraved mind murder (*see People v Hines*, 97 NY2d at 61-62). Accordingly, defendant has not presented us with a reviewable question of law (*see id.* at 62). However strongly some of our colleagues may feel that “depraved indifference murder may not be properly charged in the overwhelming majority of homicides that are prosecuted in New York” (majority op at 270), the Court does not properly reach the merits on this appeal.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK and R.S. SMITH concur with Judge ROSENBLATT; Judge R.S. SMITH concurs in a separate concurring opinion; Judge READ dissents in another opinion in which Judge GRAFFEO concurs.

Order reversed, etc.

[819 NE2d 206, 785 NYS2d 738]

TANYA BONNETTE, Individually and as Mother and Natural
Guardian of MAJHAN WIGGINS, Appellant, v LONG ISLAND
COLLEGE HOSPITAL et al., Respondents, et al., Defendants.

Argued September 14, 2004; decided October 21, 2004

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered August 4, 2003. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Kings County (Nicholas A. Clemente, J.), as had granted plaintiffs' motion to enforce a purported settlement in the principal sum of \$3,000,000, and (2) denied the motion. The following question was certified by the Appellate Division: "Was the decision and order of this court dated August 4, 2003, properly made?"

Bonnette v Long Is. Coll. Hosp., 307 AD2d 902, affirmed.

HEADNOTE

Stipulations — Stipulation of Settlement

To be enforceable under CPLR 2104, an out-of-court settlement must be adequately described in a signed writing. Thus, in a medical malpractice action, the parties' out-of-court oral settlement, although undisputed, was unenforceable because it was never sufficiently reduced to writing. Correspondence from defendant hospital forwarding the settlement papers did not constitute a sufficient writing to bring the agreement within the scope of CPLR 2104, because the hospital's letters did not incorporate all the material terms of the settlement. Moreover, plaintiff's invocation of the doctrines of substantial compliance and equitable estoppel did not permit enforcement of the settlement agreement in the absence of compliance with the literal terms of CPLR 2104.

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AM JUR 2d, Compromise and Settlement §§ 16, 17, 39, 52, 56.

CARMODY-WAIT 2d, Stipulations §§ 7:5–7:7, 7:10, 7:11, 7:19, 7:20, 7:57.

McKINNEY'S, CPLR 2104.

NY JUR 2d, Compromise, Accord, and Release §§ 33, 44, 49;

NY JUR 2d, Trial §§ 234–238.

SIEGEL, NY PRAC § 204.

ANNOTATION REFERENCE

See ALR Index under Compromise and Settlement; Stipulations.

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POINTS OF COUNSEL

Thomas Torto, New York City, and *Richard Frank, PC.*, for appellant. I. As a matter of law, the stipulation of settlement is enforceable since it substantially complies with CPLR 2104. (*Hallock v State of New York*, 64 NY2d 224; *Matter of Dolgin Eldert Corp.*, 31 NY2d 1; *Popovic v New York City Health & Hosps. Corp.*, 180 AD2d 493; *Van Ness v Rite-Aid of N.Y.*, 129 AD2d 931; *Morrison v Bethlehem Steel Corp.*, 75 AD2d 1001; *Golden Arrow Films v Standard Club of Cal.*, 38 AD2d 813; *Hub Press v Sun-Ray Light. Co.*, 100 Misc 2d 1055; *Monaghan v SZS 33 Assoc., L.P.*, 875 F Supp 1037; *La Marque v North Shore Univ. Hosp.*, 120 AD2d 572; *Bernstein v Salvatore*, 62 AD2d 945.) II. Alternatively, as a matter of law, failure to comply with technical requirements of CPLR 2104 does not preclude enforcement of the stipulation of settlement, since its terms are not disputed by defendants, the party to be charged, and there has been substantial performance by such party. (*Matter of Dolgin Eldert Corp.*, 31 NY2d 1; *Rose v Spa Realty Assoc.*, 42 NY2d 338; *Clark Constr. Corp. v BLF Realty Holding Corp.*, 300 AD2d 49.) III. Alternatively, defendants are estopped from relying upon a technical noncompliance with CPLR 2104. (*Van Ness v Rite-Aid of N.Y.*, 129 AD2d 931; *Monaghan v SZS 33 Assoc., L.P.*, 875 F Supp 1037; *Mutual Life Ins. Co. v O'Donnell*, 146 NY 275; *Kret v Gergely*, 64 AD2d 692; *Lee v Rudd*, 120 Misc 407; *Schwartz v Leasehold Corp. of N.Y.*, 181 Misc 666; *Smith v Lefrak Org.*, 142 AD2d 725; *Lowe v Steinman*, 284 AD2d 506; *La Marque v North Shore Univ. Hosp.*, 120 AD2d 572; *Hansen v Prudential Lines*, 118 Misc 2d 568.)

Bartlett, McDonough, Bastone & Monaghan, LLP, White Plains (*Edward J. Guardaro, Jr.*, of counsel), for respondents. I. No agreement to settle was ever consummated. (*Popovic v New York City Health & Hosps. Corp.*, 180 AD2d 493; *Mitchell v New York Hosp.*, 61 NY2d 208; *Morretta v Dyson*, 173 AD2d 257; *Hallock v State of New York*, 64 NY2d 224; *Wolstencroft v Sas-*

sower, 212 AD2d 598; *Citibank v Rathjen*, 202 AD2d 235; *Conlon v Concord Pools*, 170 AD2d 754; *Matter of Kanter*, 209 AD2d 365; *Harragan v Harragan*, 204 AD2d 686; *Daniel v Long Is. Univ.*, 184 AD2d 350.) II. No substantial performance occurred and the requirements of CPLR 2104 were not fulfilled. (*Matter of Dolgin Eldert Corp.*, 31 NY2d 1; *Avaltroni v Gancer*, 260 AD2d 590; *Johnson v Four G's Truck Rental*, 244 AD2d 319; *Phillips v Pamper Decorating Serv.*, 228 AD2d 425; *Zambrana v Memnon*, 181 AD2d 730; *Graffeo v Brenes*, 85 AD2d 656; *Richardson & Lucas v New York Athletic Club*, 304 AD2d 462; *Anostario v Vicinanza*, 59 NY2d 662; *Clark Constr. Corp. v BLF Holding Corp.*, 300 AD2d 49.) III. The doctrine of equitable estoppel is unavailable in this case. (*Matter of Janis C. v Christine T.*, 294 AD2d 496; *Nassau Trust Co. v Montrose Concrete Prods. Corp.*, 56 NY2d 175; *Triple Cities Constr. Co. v Maryland Cas. Co.*, 4 NY2d 443; *K. Bell & Assoc. v Lloyd's Underwriters*, 827 F Supp 985; *Metropolitan Life Ins. Co. v Childs Co.*, 230 NY 285; *Broadworth Realty Assoc. v Chock 336 B'way Operating*, 168 AD2d 299; *Van Ness v Rite-Aide of N.Y.*, 129 AD2d 931; *Buckingham Mfg. Co. v Frank J. Koch, Inc.*, 194 AD2d 886; *Conlon v Concord Pools*, 170 AD2d 754; *Rhulen Agency v Gramercy Brokerage*, 106 AD2d 725.)

Michaels & Smolak, P.C., Auburn (Michael G. Bersani of counsel), for New York State Trial Lawyers Association, amicus curiae. Public policy favors enforcement of this settlement. (*People v Stephens*, 52 NY 306; *Mitchell v New York Hosp.*, 61 NY2d 208; *Matter of Rose BB.*, 300 AD2d 868; *Kimmel v State of New York*, 172 Misc 2d 906; *Hallock v State of New York*, 64 NY2d 224; *Schwartz v Leasehold Corp. of N.Y.*, 181 Misc 666; *Mutual Life Ins. Co. v O'Donnell*, 146 NY 275; *Smith v Bach*, 82 App Div 608; *Schweinburg v Altman*, 131 App Div 795; *Kleinberg v Ambassador Assoc.*, 64 NY2d 733.)

OPINION OF THE COURT

ROSENBLATT, J.

The parties before us entered into an out-of-court oral settlement. On this appeal we must determine whether their agreement satisfies the statutory requirement that settlements be made in open court or in a signed, complete writing (*see* CPLR 2104). We conclude that the agreement, although undisputed, was never sufficiently reduced to writing, and was therefore unenforceable. We therefore affirm the Appellate Division order so holding.

I.

On June 27, 1996, plaintiff Tanya Bonnette commenced this medical malpractice action on her own behalf and on behalf of her daughter, Majhan, against Long Island College Hospital, Dr. Richard Bergeron and three other defendants. After lengthy discovery, in December 1998, Bonnette reached an oral agreement with the hospital and Dr. Bergeron, to settle the case for \$3,000,000 to be paid entirely by the hospital.¹ To finalize the agreement formally, the hospital required Bonnette to complete stipulations of discontinuance for both defendants, a stipulation of waiver for Dr. Bergeron and a general release, as well as to obtain an infant compromise order from the court. On February 29, 2000, the hospital sent the forms to Bonnette with a cover letter, saying, “enclosed are copies of closing documents required to effectuate [the] settlement.”

Bonnette delayed returning the necessary forms to the hospital while she sought an appropriate annuity plan from the hospital’s chosen annuity company. She also negotiated with the New York City Human Resources Administration which held liens against any award made to Majhan because of the City’s payment for much of the child’s medical expenses. After several months, Bonnette selected a payment plan with the hospital’s annuity company. She also concluded arrangements with the City. On July 11, 2000, Bonnette mailed a stipulation of discontinuance in favor of Bergeron, who would have no responsibility to fund the settlement under the agreement between Bonnette and the hospital. Bonnette did not, however, complete a stipulation relating to the hospital.

Barely two weeks later, on July 25, 2000, the child died. Bonnette informed the hospital of her death. The hospital responded on December 11, 2000, tersely informing Bonnette that because the settlement had not been finalized as required by CPLR 2104, the hospital considered no settlement to exist.

Bonnette then moved to enforce the settlement in Supreme Court. Although the hospital conceded the terms of its understanding with Bonnette, it argued that no binding agreement was established because the settlement was never reduced to writing. Supreme Court disagreed, granted Bonnette’s motion and issued an order to take effect upon Bonnette’s completion

1. Bonnette concluded a separate settlement with other defendants in the sum of \$950,000, an agreement that remains in force and is not part of the present dispute.

of the remaining forms, including the general release and stipulation of discontinuance, and upon execution of an infant compromise order. Bonnette promptly completed these requirements in compliance with the order.

The hospital appealed Supreme Court's enforcement of the settlement. The Appellate Division reversed, holding that Bonnette's failure to obtain any writing with the complete settlement terms or any recitation in open court of the settlement terms did not satisfy CPLR 2104 and precluded enforcement of the parties' agreement. An Appellate Division Justice dissented, and the Appellate Division granted leave to appeal to this Court. We affirm.

II.

Our analysis begins with the language of the statute. CPLR 2104 states, in relevant part, "An agreement between parties or their attorneys relating to any matter in an action . . . is not binding upon a party unless it is in a writing subscribed by him or his attorney."² Bonnette makes three arguments in support of her contention that the settlement should be enforced. First, she asserts that the correspondence from the hospital forwarding the settlement papers constitutes a sufficient writing to bring the agreement within the scope of CPLR 2104. We reject this argument because the hospital's letters, although acknowledging the existence of an agreement, do not incorporate all the material terms of the settlement (*see Matter of Galasso*, 35 NY2d 319, 321 [1974] [refusing to enforce a settlement that, although proposed in open court, did not reflect a complete agreement as to all material terms]).

Next, Bonnette argues that even if the correspondence does not constitute full technical compliance with CPLR 2104, there was enough in writing to show substantial compliance with the statute. Lastly, Bonnette invokes equitable estoppel, arguing that the parties have partially performed the settlement terms and that, to her detriment, the hospital induced her to rely on it. If there are rare occasions when these doctrines can permit enforcement of a settlement agreement where the literal terms of CPLR 2104 are not satisfied (a question which we do not decide), this is not one of them.

2. The statute also provides for settlements entered into orally in open court, but that issue does not arise in the case at bar.

The plain language of the statute directs that the agreement itself must be in writing, signed by the party (or attorney) to be bound (CPLR 2104). As we remarked over a century ago,

“[t]his rule is of somewhat ancient origin. It grew out of the frequent conflict between attorneys as to agreements made with reference to proceedings in actions, and was intended to relieve the courts from the constant determination of controverted questions of fact with reference to such proceedings” (*Mutual Life Ins. Co. of N.Y. v O'Donnell*, 146 NY 275, 279 [1895]).

To allow the enforcement of unrecorded oral settlements would invite an endless stream of collateral litigation over the settlement terms. This would run counter not only to the statute, which on its face admits of no exceptions, but also to the policy concerns of certainty, judicial economy, flexibility to conduct settlement negotiations without fear of being bound by preliminary offers and the prevention of fraud.

Furthermore, our State's strong policy promoting settlement (*see Hallock v State of New York*, 64 NY2d 224, 230 [1984]), repeatedly advanced by Bonnette as a reason to enforce the settlement here, actually convinces us that we cannot enforce the hospital's unwritten agreement with Bonnette. If settlements, once entered, are to be enforced with rigor and without a searching examination into their substance, it becomes all the more important that they be clear, final and the product of mutual accord. These concerns obviously lie at the heart of CPLR 2104, a neutral statute enacted to promote certainty in settlements, which benefits all litigants.

For all of these reasons, we hold that to be enforceable under CPLR 2104 an out-of-court settlement must be adequately described in a signed writing. Bonnette's settlement with the hospital did not meet that requirement. Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, etc.

[819 NE2d 1025, 786 NYS2d 409]

RHONDA COVINGTON, Appellant, v CARLTON WALKER, Respondent.

Argued September 14, 2004; decided October 26, 2004

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 4, 2003. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, Westchester County (Adrienne Hofmann Scancarelli, J.), which had denied plaintiff's motion for summary judgment and dismissed, with prejudice, her action for divorce based upon the ground of imprisonment under Domestic Relations Law § 170 (3).

Covington v Walker, 307 AD2d 908, reversed.

HEADNOTE

Husband and Wife — Divorce — Imprisonment

Plaintiff's cause of action for divorce on the ground of imprisonment pursuant to Domestic Relations Law § 170 (3), brought 16 years after the commencement of defendant's confinement, was not barred by the five-year statute of limitations as set forth in Domestic Relations Law § 210. The cause of action accrued on the date defendant completed his third consecutive year of incarceration, but the statute of limitations would not have begun to run until the date he was released from prison. The continuous wrong doctrine is applicable to divorce actions based on imprisonment. Each day of continued confinement beyond three years inflicted new injury on plaintiff, and the ground for divorce, which originally arose at the conclusion of the third year of imprisonment, continued to arise anew each day thereafter until the defendant's release from prison.

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AM JUR 2d, Divorce and Separation §§ 93, 139; AM JUR 2d, Limitation of Actions § 168.
CARMODY-WAIT 2d, Divorce §§ 114:51, 114:52, 114:72, 114:84.
1 LAW AND THE FAMILY NEW YORK (2d ed) § 6:26.
McKINNEY'S, Domestic Relations Law § 170 (3); § 210.
NY JUR 2d, Domestic Relations §§ 2079, 2080, 2120, 2134.

ANNOTATION REFERENCE

See ALR Index under Divorce and Separation; Limitation of Actions.

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POINTS OF COUNSEL

Morningside Heights Legal Services, Inc., New York City (Philip M. Genty, Peggy Cross and Edward Smock of counsel), for appellant. I. The trial court's application of the divorce statute of limitations violates accepted canons of statutory interpretation and the doctrine of continuing violations. (*Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Snyder v Town Insulation*, 81 NY2d 429; *Britt v Legal Aid Socy.*, 95 NY2d 443; *Pergolizzi v Pergolizzi*, 59 Misc 2d 1027; *Colascione v Colascione*, 57 Misc 2d 199; *Rusher Ford Sales v Glens Falls Ins. Co.*, 32 Misc 2d 468, 16 AD2d 1034; *Hotaling v General Elec. Co.*, 16 AD2d 339, 12 NY2d 310; *Schmidt v Merchants Despatch Transp. Co.*, 270 NY 287; *Zappone v Home Ins. Co.*, 55 NY2d 131.) II. The background and legislative history of Domestic Relations Law § 170 (3) and § 210 support appellant's position that the action is not time-barred, because respondent remains incarcerated. (*Association of Surrogates & Supreme Ct. Reporters within City of N.Y. v State of New York*, 78 NY2d 143; *Le Drugstore Etats Unis v New York State Bd. of Pharm.*, 33 NY2d 298; *Rankin v Shanker*, 23 NY2d 111; *Pergolizzi v Pergolizzi*, 59 Misc 2d 1027; *Short v Short*, 57 Misc 2d 762; *Matter of Lindewall*, 287 NY 347.) III. The Practice Commentary upon which the lower court relied has no basis in case law or legislative history. (*Pergolizzi v Pergolizzi*, 59 Misc 2d 1027; *Short v Short*, 57 Misc 2d 762; *Agin v Krest Assoc.*, 157 Misc 2d 994; *People v Jenkins*, 100 Misc 2d 935.)

Hancock & Estabrook, LLP, Syracuse (Alan J. Pierce of counsel), for respondent. The courts below correctly held that the statute of limitations for an imprisonment divorce under Domestic Relations Law § 170 (3) and § 210 accrues once at a definite time—the third anniversary of defendant spouse's incarceration—and expires five years later, rather than accruing continuously each and every day for an indefinite period of years or decades from the third anniversary of incarceration until five years after the imprisoned spouse's release from prison. (*Colascione v Colascione*, 57 Misc 2d 199; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Snyder v Town Insulation*, 81 NY2d 429; *Ackerman v Ackerman*, 200 NY 72; *Pajak v Pajak*,

56 NY2d 394; *Habib v Habib*, 278 AD2d 277; *McKilligan v McKilligan*, 156 AD2d 904; *Albert v Albert*, 44 AD2d 895; *I.S. v R.S.*, 117 AD2d 780; *Omahen v Omahen*, 289 AD2d 890, 97 NY2d 613.)

OPINION OF THE COURT

CIPARICK, J.

The issue presented by this appeal is whether plaintiff's cause of action for divorce on the ground of imprisonment pursuant to Domestic Relations Law § 170 (3), brought 16 years after the commencement of defendant's confinement, is barred by the five-year statute of limitations as set forth in Domestic Relations Law § 210. Resolution of this question turns on whether the statute of limitations is measured from the date of defendant's third consecutive year of incarceration or from the date of his release from prison (*see* Domestic Relations Law § 170 [3] [providing that an action for divorce may be maintained on the ground of the defendant's confinement in prison for a period of at least three consecutive years]). We conclude that the cause of action accrues on the date defendant completes his third consecutive year of incarceration, but the statute of limitations does not begin to run until the date he is released from prison. Thus, plaintiff's divorce action is not time-barred.

I.

On May 12, 1983, plaintiff wife and defendant husband were married. Thereafter, on January 28, 1984, defendant was arrested for the shooting death and robbery of a cab driver. In 1985, he was convicted, upon a jury verdict, of murder in the second degree, robbery in the first degree and criminal possession of a weapon in the second degree, and sentenced to a prison term of 25 years to life. Defendant has been incarcerated since the date of his arrest. Plaintiff, who was convicted for the same crimes as defendant, is also incarcerated.

On April 10, 2000, plaintiff commenced this action for divorce on the ground that defendant has been confined for a period of three or more consecutive years after their marriage (*see* Domestic Relations Law § 170 [3]). Plaintiff moved for summary judgment of divorce pursuant to CPLR 3212, contending that no triable issues of fact exist. In opposition, defendant asserted a number of defenses including the five-year statute of limitations (*see* Domestic Relations Law § 210). Arguing that the five-year limitations period begins to run from the end of his third

continuous year of incarceration, defendant urged that the action is time-barred as it was commenced long after his eighth successive year in prison. In fact, defendant had been incarcerated for over 16 years at the time the action was commenced. Plaintiff responded that accrual of this cause of action for divorce is properly measured from any time after three years of continuous incarceration up until the date on which defendant is released from prison and, therefore, her action is timely.

Supreme Court dismissed plaintiff's action on summary judgment. A divided Appellate Division affirmed, the majority concluding that "[t]he imprisonment ground for divorce arose once the defendant had been incarcerated for three years, a date which is more than five years before the commencement of this action" (307 AD2d 908, 908 [2d Dept 2003]). Two dissenting Justices held that "the imprisonment ground is a continuing ground which terminates upon the imprisoned person's release from prison" (*id.* at 909). Plaintiff appeals as of right from the Appellate Division order based on the two-Justice dissent. We agree with the dissenters and now reverse.

II.

In 1966, the Legislature enacted the Divorce Reform Law amending the former laws of this state which, since 1787, recognized adultery as the only ground for divorce (*see* L 1966, ch 254; *see generally* *Gleason v Gleason*, 26 NY2d 28 [1970]). The grounds were expanded to six, including divorce predicated on confinement in prison (*see* Domestic Relations Law § 170). Domestic Relations Law § 170 provides that:

"An action for divorce may be maintained by a husband or wife to procure a judgment divorcing the parties and dissolving the marriage on . . . the following ground[]: . . .

"(3) The confinement of the defendant in prison for a period of three or more consecutive years after the marriage of plaintiff and defendant."

The general purpose underlying the new statute was to "recognize grounds for divorce . . . as manifestations of dead marriages, marriages that should be terminated for the mutual protection and well being of the parties and, in most instances, of their children" (1966 Report of Joint Legis Comm on Matrimonial and Family Laws to Legislature of State of NY, at 85; *see also* *Gleason*, 26 NY2d at 35 [recognizing the legislative

policy of divorce actions based on separation agreements]). “The marriage, killed by separation, is the basis for divorce” on the grounds of imprisonment (1968 Report of Joint Legis Comm on Matrimonial and Family Laws to Legislature of State of NY, at 27). This ground was added to the statute so that a spouse would not have to endure the restrictions of marriage with none of its economic or emotional benefits (1966 Report, at 88).

The statute further creates a statute of limitations for these new causes of action. Pursuant to Domestic Relations Law § 210, “[n]o action for divorce or separation may be maintained on a ground which arose more than five years before the date of the commencement of that action for divorce or separation.” Statutory exemptions to section 210 exist only for divorce actions based on abandonment, adultery or a separation decree, judgment or agreement (*see* Domestic Relations Law § 210 [a]). While the statute makes the grounds and the period clear, it gives no indication as to when the limitations period begins to run against the plaintiff in a section 170 (3) action for divorce.

Defendant here essentially contends that, because section 170 (3) does not permit an action for divorce until the defendant has been confined for three years, the divorce action on this ground arises for statute of limitations purposes only on the date marking that third year. We reject this narrow construction as inconsistent with the statutory scheme (McKinney’s Cons Laws of NY, Book 1, Statutes § 96; *see also Council of City of N.Y. v Giuliani*, 93 NY2d 60, 69 [1999]). We hold that a cause of action for divorce based on the ground of imprisonment continues to arise anew for statute of limitations purposes on each day the defendant spouse remains in prison for “three or more consecutive years” until the defendant is released.

The purpose of the requirement that the defendant be incarcerated for three years prior to the commencement of an action for divorce is to give the convicted party an opportunity to obtain release from prison and to prevent the “natural but sometimes too rash inclination to dissolve a marriage” upon a spouse’s conviction (1966 Report of Joint Legis Comm on Matrimonial and Family Laws to Legislature of State of NY, at 89). Nothing in the legislative history suggests, however, that Domestic Relations Law § 170 (3) was intended to start the statute of limitations running against the plaintiff spouse as early as possible so as to create the potential for a spouse, who may have missed the five-year window—indeed, may have had young children and chose not to seek divorce earlier—to unwillingly remain in a dead marriage.

Defendant's proposed construction of Domestic Relations Law § 170 (3) would have us foster these very perils by establishing a rule that the statute of limitations may run against a plaintiff to bar a divorce action while the defendant remains incarcerated. Such a result would contravene the statute's underlying goals of liberalizing the grounds for divorce and encouraging parties to attempt reconciliation. The spouse, who is ready to move forward with life, would thereby become entrapped in the union.

Plaintiff further contends that the words "or more" in Domestic Relations Law § 170 (3) suggest that divorce actions based on imprisonment are actions involving recurring injuries to the parties which implicate the continuous wrong doctrine. We agree. This Court has applied the doctrine in certain cases such as nuisance or continuing trespass where the harm sustained by the complaining party is not exclusively traced to the day when the original objectionable act was committed (*see generally Jensen v General Elec. Co.*, 82 NY2d 77, 85 [1993]; *see also 509 Sixth Ave. Corp. v New York City Tr. Auth.*, 15 NY2d 48 [1964]; *Sorrentino v Mierzwa*, 30 AD2d 549 [1968], *rev'd on other grounds* 25 NY2d 59 [1969]). The rule is based on the principle that continuous injuries create separate causes of action barred only by the running of the statute of limitations against each successive trespass (*see Jensen*, 82 NY2d at 85; *see also 509 Sixth Ave.*, 15 NY2d at 52). The repeated offenses are treated as separate rights of action and the limitations period begins to run as to each upon its commission.

While this Court has never applied the continuous wrong doctrine in the context of a divorce action, the Appellate Division departments have consistently found the doctrine applicable in divorce actions where a continuous or recurring course of conduct is alleged (*see generally Grubman v Grubman*, 156 AD2d 200 [1st Dept 1989]; *La Mothe v La Mothe*, 148 AD2d 500 [2d Dept 1989]; *McKilligan v McKilligan*, 156 AD2d 904 [3d Dept 1989]; *Albert v Albert*, 44 AD2d 895 [4th Dept 1974]). Other jurisdictions have also adopted this approach (*see e.g. Bruce v Bruce*, 79 NC App 579, 582-583, 339 SE2d 855, 858 [1986]; *see also Poe v Poe*, 125 Ark 391, 392, 188 SW 1190 [1916]).

Under a continuous wrong or violation rule, where a defendant spouse is incarcerated for a consecutive period exceeding three years, each day of continued confinement beyond three years inflicts new injury on the plaintiff spouse. Thus, although this ground for divorce arises originally at the conclusion of the

third consecutive year of a defendant's incarceration, it continues to arise anew each day thereafter until the defendant is released from prison. An action based on this continuous wrong is barred only by the expiration of the five-year limitations period measured from the date upon which the defendant is released from prison.

Adopting a contrary rule—that an action for divorce based on imprisonment arises only once—would further none of the policy considerations at the heart of our statutes of limitations jurisprudence. “Statutes of Limitation were ‘designed to promote justice by preventing surprises through the revival of claims that have been allowed to slumber until evidence has been lost, memories have faded, and witnesses have disappeared’ ” (*Blanco v American Tel. & Tel. Co.*, 90 NY2d 757, 773 [1997] [citation omitted]). Other interests include “promot[ing] repose by giving security and stability to human affairs, judicial economy, discouraging courts from reaching dubious results, recognition of self-reformation by defendants, and the perceived unfairness to defendants of having to defend claims long past” (*Blanco*, 90 NY2d at 773 [internal quotation marks and citations omitted]). These considerations must be balanced against the injured person's stake in having a reasonable opportunity to assert a claim (*Britt v Legal Aid Socy., Inc.*, 95 NY2d 443, 449 [2000]).

In divorce actions predicated on confinement in prison these overriding policy concerns are not implicated; the only necessary proof is that the defendant has actually been incarcerated for three or more years—easily shown by Department of Correctional Services records. There is no evidence to be lost or surprise to be had. On the other hand, there is a strong interest in giving the plaintiff the continued right to maintain a cause of action for divorce where “[t]he marriage [has been] killed by separation” (1968 Report of Joint Legis Comm on Matrimonial and Family Laws to Legislature of State of NY, at 27).

The balance is thus best struck by defining the accrual date of plaintiff's cause of action from any time after the conclusion of a defendant's three years of continuous incarceration up until the time such spouse is released from prison and then running the statute of limitations for five years thereafter. The conduct giving rise to the cause of action—the imprisonment—has ceased by the time the limitations period begins to run, and the need for repose is satisfied. Applying these principles, we conclude that plaintiff's cause of action for divorce is not time-barred.

Accordingly, the order of the Appellate Division should be reversed, without costs, and the matter remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order reversed, etc.

[819 NE2d 998, 786 NYS2d 382]

PAULA FORREST, Appellant, v JEWISH GUILD FOR THE BLIND et al., Respondents.

Argued September 14, 2004; decided October 26, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 9, 2003. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Walter B. Tolub, J.), which had denied defendants' motion for summary judgment, (2) granted the motion, and (3) dismissed the complaint.

Forrest v Jewish Guild for Blind, 309 AD2d 546, affirmed.

HEADNOTES

Civil Rights — Discrimination in Employment — Race — Discriminatory Employment Action

1. In a racial employment discrimination action brought by an African-American woman formerly employed by defendant agency, plaintiff failed to raise a triable issue of material fact as to whether any adverse employment action she alleged to have suffered occurred under circumstances giving rise to an inference of discriminatory motive. Although plaintiff was a member of a protected class, was qualified to hold her position, and raised a triable issue of fact as to whether she was terminated from her employment, she failed to rebut defendants' proof that she was not terminated because of her race. Rather, plaintiff's purported termination was based on the ground of job abandonment for her repeated failure to submit the required documentation in support of her family medical leave, a legitimate and nondiscriminatory reason for ending her employment. Plaintiff failed to demonstrate any causal relationship between the racial epithets allegedly uttered by her supervisors, and her purported termination two years later.

Civil Rights — Discrimination in Employment — Race — Hostile Work Environment

2. In a racial employment discrimination action brought by an African-American woman employed for nine years by defendant agency, plaintiff's assertion that defendant supervisors used three racial slurs, in the absence of an affidavit from anyone who heard the alleged epithets, or of any written report filed by plaintiff or anyone else alleging the remarks, as a matter of law could not establish a hostile work environment. The epithets, although reprehensible, did not pervade plaintiff's work environment, having occurred on three occasions over nine years. A hostile work environment requires more than a few isolated incidents of racial enmity. Nor did plaintiff allege that the epithets interfered in any way with her job performance. Moreover, the use of racial slurs and insults by a supervisor without the knowledge or acquiescence of the employer does not constitute an unlawful discriminatory practice actionable under the State Human Rights Law.

Civil Rights — Discrimination in Employment — Race — Retaliation Claim

3. In a racial employment discrimination action brought by an African-American woman formerly employed by defendant agency, plaintiff failed to state a claim for unlawful retaliation for opposing discriminatory practices under the State and New York City Human Rights Laws (*see* Executive Law § 296 [7]; Administrative Code of City of NY § 8-107 [7]). No triable issue of fact existed that plaintiff engaged in a protected activity—that is, opposing or complaining about unlawful discrimination—or that defendant was aware of any such complaint. Although plaintiff filed numerous grievances claiming generalized “harassment,” she never alleged that she was discriminated against because of race, or invoked the article of the collective bargaining agreement prohibiting such practices. Moreover, plaintiff failed to submit sufficient evidence from which a jury could reasonably conclude a causal connection between any protected activity she engaged in and any adverse employment action.

Civil Rights — Discrimination in Employment — Race — Aiding and Abetting Claim

4. In a racial employment discrimination action brought by an African-American woman formerly employed by defendant agency, plaintiff failed to state a claim against defendants for aiding and abetting under the State and New York City Human Rights Laws (*see* Executive Law § 296 [6]; Administrative Code of City of NY § 8-107 [6]). Having failed to raise a triable issue of material fact that she was either retaliated against or discriminated against because of her race, plaintiff’s claims that defendants aided and abetted each other in any discrimination or retaliation could not survive.

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By the Publisher’s Editorial Staff

AM JUR 2d, Job Discrimination §§ 115, 734, 746, 750, 822, 827, 830–833, 924, 928, 932, 937, 941, 946–953, 2383–2386, 2504.

McKINNEY’S, Executive Law § 296 (6), (7).

NY JUR 2d, Civil Rights §§ 35, 39, 61, 140.

ANNOTATION REFERENCE

See ALR Index under Equal Employment Opportunity; Hostility; Retaliation and Revenge.

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POINTS OF COUNSEL

Tuckner, Sipser, Weinstock & Sipser, New York City (*William J. Sipser and Jack Tuckner* of counsel), for appellant. I. The Ap-

pellate Division erred in reversing the lower court and dismissing plaintiff's case when there were contested triable and material issues of fact concerning plaintiff's claims of color and race discrimination. (*Texas Dept. of Community Affairs v Burdine*, 450 US 248; *McDonnell Douglas Corp. v Green*, 411 US 792; *Ferrante v American Lung Assn.*, 90 NY2d 623; *Gregory v Daly*, 243 F3d 687; *Burlington Indus., Inc. v Ellerth*, 524 US 742; *Whidbee v Garzarelli Food Specialties, Inc.*, 223 F3d 62; *Torres v Pisano*, 116 F3d 625; *Richardson v New York State Dept. of Correctional Serv.*, 180 F3d 426; *Holtz v Rockefeller & Co., Inc.*, 258 F3d 62; *Howley v Town of Stratford*, 217 F3d 141.) II. The Appellate Division erred in reversing the lower court and dismissing plaintiff's case when there were contested triable and material issues of fact concerning plaintiff's claims of retaliation. (*Tomka v Seiler Corp.*, 66 F3d 1295; *Pace v Ogden Servs. Corp.*, 257 AD2d 101; *Francis v Chemical Banking Corp.*, 62 F Supp 2d 948, 213 F3d 626; *Ferrante v American Lung Assn.*, 90 NY2d 623; *Wanamaker v Columbian Rope Co.*, 108 F3d 462; *Galabya v New York City Bd. of Educ.*, 202 F3d 636; *Crady v Liberty Natl. Bank & Trust Co. of Ind.*, 993 F2d 132; *De la Cruz v New York City Human Resources Admin. Dept. of Social Servs.*, 82 F3d 16; *McDonnell Douglas Corp. v Green*, 411 US 792; *Richardson v New York State Dept. of Correctional Serv.*, 180 F3d 426.) III. The Appellate Division erred in reversing the lower court and dismissing plaintiff's case when there were contested triable and material issues of fact concerning plaintiff's claims that individual defendants aided and abetted discrimination under New York State and New York City laws. (*Peck v Sony Music Corp.*, 221 AD2d 157; *Patrowich v Chemical Bank*, 63 NY2d 541; *D'Amico v Commodities Exch.*, 235 AD2d 313; *Murphy v ERA United Realty*, 251 AD2d 469.)

Torys LLP, New York City (*Lauren Reiter Brody* and *Frances Kulka Browne* of counsel), for respondents. I. The Appellate Division was correct in granting summary judgment on Paula Forrest's race discrimination claims. (*McDonnell Douglas Corp. v Green*, 411 US 792; *Ferrante v American Lung Assn.*, 90 NY2d 623; *Matter of Aurecchione v New York State Div. of Human Rights*, 98 NY2d 21; *Galabya v New York City Bd. of Educ.*, 202 F3d 636; *Pena v Brattleboro Retreat*, 702 F2d 322; *De la Cruz v New York City Human Resources Admin. Dept. of Social Servs.*, 82 F3d 16; *Weit v Flaum*, 258 AD2d 286; *Hatter v New York City Hous. Auth.*, 165 F3d 14, 528 US 936; *Corcoran v GAB Bus. Servs., Inc.*, 723 F Supp 966; *Dister v Continental Group, Inc.*, 859 F2d 1108.) II. The Appellate Division was correct in grant-

ing summary judgment on Paula Forrest's retaliation claims. (*Torge v New York Socy. for Deaf*, 270 AD2d 153; *Taneus v Brookhaven Mem. Hosp. Med. Ctr.*, 99 F Supp 2d 262; *Sitkiewicz v Initial Servs. U.S.A.*, 213 F3d 626; *Parker v Chrysler Corp.*, 929 F Supp 162; *Ioele v Alden Press*, 145 AD2d 29; *Wanamaker v Columbian Rope Co.*, 108 F3d 462; *Galabya v New York City Bd. of Educ.*, 202 F3d 636; *Bennett v Watson Wyatt & Co.*, 136 F Supp 2d 236.) III. The Appellate Division was correct in granting summary judgment on Paula Forrest's aiding and abetting claims. (*Yerry v Pizza Hut of Southeast Kan.*, 186 F Supp 2d 178; *Patrowich v Chemical Bank*, 63 NY2d 541; *Foley v Mobil Chem. Co.*, 170 Misc 2d 1.) IV. Summary judgment may be affirmed on the alternative ground that the complaint is untimely. (*Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Emil v Dewey*, 49 NY2d 968; *Kordich v Povill*, 244 AD2d 112; *Matter of Pan Am. World Airways v New York State Human Rights Appeal Bd.*, 61 NY2d 542; *Acosta v Loews Corp.*, 276 AD2d 214.)

OPINION OF THE COURT

Chief Judge KAYE.

Racial discrimination has no place in society. Antidiscrimination laws must therefore be strictly enforced to root out this scourge whenever it occurs. But it is simply not the law that every dispute that arises between people of different races constitutes employment discrimination, or that every wrongful act perpetrated in the course of such a dispute is committed because of race. Simply put, animosity on the job is not actionable; unequal treatment based on racial animus is. Because plaintiff has failed to raise a triable issue of fact that she was unlawfully discriminated against on the basis of her race, we affirm the Appellate Division's award of summary judgment to defendants dismissing the complaint.

I. Facts and Procedural History¹

Founded in 1914, defendant Jewish Guild for the Blind is a not-for-profit, nonsectarian agency that provides educational, health care and social services to blind, visually impaired and multidisabled persons. Its stated mission is to help those with visual disabilities lead productive, independent, satisfying lives.

Plaintiff is an African-American woman who was hired by the Guild in 1985 as a music therapist in its Continuing Treatment

1. Except where noted, the facts are undisputed. They are also set out in a comprehensive writing by the Appellate Division (*see Forrest v Jewish Guild for Blind*, 309 AD2d 546, 547-552 [1st Dept 2003]).

Program (CTP). In 1990, plaintiff began an educational leave of absence from the Guild, which lasted for more than a year. By the time she returned, in August 1991, the Guild and the CTP had undergone a substantial reorganization as mandated by the State of New York. In order to continue to receive state funding, the Guild was thus required to implement certain procedures and policies of the State Office of Mental Health. As a result, the CTP was moved from the Guild's Educational Services Department to its Mental Health Services Department (directed by defendant Goldie Dersh), and was renamed the Continuing Day Treatment Program (CDTP).

Upon her return to the Guild, plaintiff was assigned to the CDTP, which was coordinated by defendant Eugenia Adlivankina. In order to reflect the terminology used by the State Office of Mental Health, the job titles of all art therapists, dance therapists and music therapists—including plaintiff—were changed to creative arts therapists.

As an employee of the CTP, plaintiff's responsibilities had been limited to providing music therapy—that is, using music to facilitate the development of goals, such as memory, sequencing or motor coordination. With programmatic restructuring, however, came changes in approach. In the CDTP, all professionals—both creative arts therapists and social workers—were viewed as members of an interdisciplinary team, charged with providing holistic services to program clients. As a result, all professional employees—no longer just social workers—were assigned cases and required to participate in developing treatment plans and maintaining accurate therapy records and documentation so as to comply with Office of Mental Health mandates. With the management of a caseload came such tasks as communicating with clients' family members, scheduling appointments, arranging transportation and attending meetings with other team members. Ultimately, in January 1992, to reflect the shared mission of both creative arts therapists and social workers—all of whom also continued to provide therapeutic services consistent with their own specialized training and qualifications—the job titles for all such professional employees were changed to case manager. Plaintiff's salary and benefits, however, did not change. At around the same time, the desks of all CDTP professionals were relocated into one large office so as to facilitate the shared exchange of client information.

From the start, plaintiff complained about having to share an office and resisted her additional case management responsibili-

ties, preferring to limit her efforts to the conduct of music therapy sessions. Conflict quickly arose. As early as November 1991, plaintiff wrote a memorandum to her union delegate complaining about her case management duties, while stating that she “was not adamantly refusing to cooperate.” Moreover, because social workers had always carried caseloads and performed attendant administrative tasks, plaintiff—who neither was trained for nor provided social work services—took the position that she had been forced to undertake the “dual” job of creative arts therapist and social worker, and therefore filed a grievance with her union in which she sought increased pay. In February 1992, plaintiff complained in a memorandum to Adlivankina that her current responsibilities did not allow enough time for her to complete her recordkeeping duties, suggested that she be “free[d] up” to focus on paperwork, and warned, “I see this as being a potential problem we’ll have to work out.”

In July 1992, after the State promulgated new policies and procedures mandating the use of standardized medical record forms, all staff members, including plaintiff, were provided special training in the completion of the new forms. Plaintiff, however, appears to have had difficulty in complying with her responsibility to maintain these state-mandated patient records. Explaining that the forms were constantly changing, plaintiff fell behind in keeping her patient notes current. Throughout the fall of 1992, plaintiff received oral and written warnings from her supervisors, Dersh and Adlivankina, setting forth instances in which plaintiff had allegedly failed to write progress notes when required, not completed her notes in a timely manner, misdated notes, and written them in an incorrect sequence. Patients who had been absent from therapy sessions were sometimes marked present on medical charts, which plaintiff’s supervisors had explained to her were legal documents. The supervisors further advised plaintiff that her notes were frequently unstructured and unrelated to client treatment plans and services provided. In some instances, notes were smudged or illegible.

By November 1992, plaintiff’s supervisors were expressing concern that the inaccuracies and omissions in her notes—including with respect to client attendance—threatened to place the Guild out of compliance with state-mandated recordkeeping guidelines for the provision of health services, and with documentation requirements for Medicaid reimbursement. Tell-

ing plaintiff they were worried that the Guild's licensing status and funding might be jeopardized at an upcoming audit by the State Office of Mental Health, plaintiff's supervisors relieved her of the bulk of her other responsibilities so that she could devote the majority of her time to her client charts. She was warned in writing about "what appears to be a lack of responsiveness on your part to previous guidance and instruction in these matters and what seems to be either an unwillingness or inability to properly perform charting tasks." Plaintiff filed grievances with her union concerning the warnings about her recordkeeping, alleging that she was being "harass[ed]."

In December 1992, plaintiff received a written warning for leaving her blind patients unattended. As undisputed by plaintiff, a holiday lunch was being offered to CDTP clients during plaintiff's scheduled lunch hour. Plaintiff nevertheless chose to help serve lunch to the patients. After leaving to take her own lunch 20 minutes into the hour, plaintiff did not return for an hour and 15 minutes—20 minutes after her therapy session was scheduled to begin. Plaintiff then dismissed her group 15 minutes later, in violation of state standards requiring that no group session may be shorter than 45 minutes.

The record reflects other conflicts as well. In June 1992, plaintiff took extended vacation to be with her ailing mother. Because she had failed to provide specific information on when she would return, the Guild eventually reached out to her in Florida in an effort to arrange for patient coverage. Plaintiff thereafter sent a telegram to the Guild, updating her supervisors on her mother's condition. On her return to work, she filed two grievances alleging "harassment" and seeking reimbursement for the cost of the telegram. In October 1992, plaintiff was disciplined for violating the policy that confidential patient records are never to be removed from the CDTP without supervisory permission, and for then refusing to discuss the issue with Adlivankina the morning after the incident on the ground that working hours had not yet begun.

Plaintiff filed complaints with the union and with defendant Carol Handfus, Director of Personnel at the Guild, because she did not like her assigned lunch hour, because a circle had been placed next to her name on a posted time sheet when she was (mistakenly, it turned out) thought to be late, and because Dersh had removed a pad from plaintiff's hand at a meeting. Other complaints were not formally filed because, according to plaintiff, the union "[f]ail[ed] to represent and pursue all of my

claims” and stated, “You are so self-centered and self-involved, all you ever think about are your grievances.” Plaintiff eventually filed a complaint against her union with the New York State Division of Human Rights. In January 1993, plaintiff requested transfer to the Guild’s Day Treatment Program (DTP), which was coordinated by her friend, defendant Patricia Finocchiaro, and which provides ongoing treatment for visually impaired adults with psychiatric diagnoses, and deaf and blind persons who are cognitively impaired. The DTP is separate from the CDTP and is operated under the auspices of the State Office of Mental Retardation and Developmental Disabilities.

Plaintiff’s problems with recordkeeping continued. In March 1994, Finocchiaro wrote a memorandum to plaintiff reflecting Finocchiaro’s discovery that, for more than five months, plaintiff had failed to make any progress notes in the records of several clients, though monthly patient progress notes were required. At the end of July 1994, plaintiff requested a three-month leave of absence to begin in August, pursuant to the Family and Medical Leave Act of 1993 (29 USC § 2601 *et seq.*) (FMLA), to care for her seriously ill father in Florida (*see* 29 USC § 2612 [a] [1] [C]). The Guild approved the request, subject to the submission by plaintiff of specified documentation of her father’s serious health condition (*see* 29 USC § 2613). Plaintiff was given the requisite form to complete and undertook to return it, with the necessary certification by her father’s physician, by August 22.

Between August and October 1994, the Guild sent several letters to plaintiff at the Florida address, by certified mail and Federal Express, requesting the required documentation and providing additional copies of the necessary form. The first certified letter was returned by the post office as unclaimed. The next informed plaintiff that, if she did not submit the mandated certification, she would be considered on unauthorized leave of absence and subject to termination. On October 6, 1994, plaintiff called the Guild and promised to provide the documentation by the following week.

In the meantime, plaintiff had applied for and received unemployment insurance benefits from the New York State Department of Labor on the ground that she was “available and seeking employment in the State of Florida.” On October 18, the Guild received a copy of a form requested by the Department of Labor’s Unemployment Insurance Division on September 6, and completed by a physician on October 7, diagnosing plaintiff’s father with “[h]ypertension, aging and prostate,”

recommending medication as treatment, and—in response to the question, “What home care, if any, is needed?”—stating, “Needs family member.”

Because the certification contemplated by the FMLA requires more specific information than was contained on the unemployment insurance form,² the Guild sent two more letters by express mail, informing plaintiff of the inadequacy of her submission and setting a new compliance deadline of October 31. Three days before the deadline, the Guild was notified by Federal Express that its last letter had been refused and that the courier had been advised by plaintiff’s father that plaintiff was not at that address. Handfus then called plaintiff’s father, who informed her that plaintiff had left his home three weeks earlier and gone to Hawaii, and that he had been living without any help at home since that time. Finally, on November 2, 1994, Handfus sent a letter to plaintiff detailing the events surrounding her leave, and advising her that her employment had been terminated on the ground of job abandonment.

Two days later, a resignation letter dated October 22, 1994, and “effective immediately,” arrived from plaintiff:

“I want to express my gratitude for the opportunity to serve, utilize my talents, and grow both professionally and personally. It was most rewarding for me to see the value of my contributions in helping others.

“Extenuating circumstances, the most paramount one being the care of my father, has brought me to this juncture in my life. That care is now required beyond the limitations of my leave of absence which the Guild has already granted.”

By November, plaintiff had begun a new job as a school teacher in Florida.

2. 29 USC § 2613 (b) provides that certification by a health care provider of the serious medical condition of an eligible employee’s family member shall be sufficient if it states the date on which the serious health condition commenced; the probable duration of the condition; the appropriate medical facts within the knowledge of the health care provider regarding the condition; and a statement that the eligible employee is needed to care for the family member and an estimate of the amount of time that such employee is so needed. The Guild’s form, which plaintiff agreed to submit, additionally requested her father’s regimen of treatment and schedule of medical visits or treatment; information from the physician concerning assistance her father might need for basic medical, hygiene or nutritional needs, safety, or transportation; and a statement from plaintiff as to the care she would be providing.

Meanwhile, in September 1994, after having started her FMLA leave, plaintiff filed a complaint with the New York City Commission on Human Rights and the Equal Employment Opportunity Commission (EEOC), alleging that defendants had discriminated against her on the basis of race and color and in retaliation. In her complaint, plaintiff alleged that in October 1992, she was told that Dersh had referred to her as an “uppity nigger.” In June 1997, plaintiff filed an amended complaint with the City Commission, alleging additional acts—including that Adlivankina had encouraged plaintiff’s coworkers to refer to her as “our Black American Princess”—that were purported to have occurred prior to the filing of the original complaint but omitted from that pleading.

Dissatisfied with the investigation conducted by Commission attorneys, plaintiff wrote letters regarding a supervisor’s “unwarranted attitude,” and accusing the Commission of racial discrimination and failure to render “unbiased assistance to all people”: “[M]y complaint against the employer with whom I encountered conflict has already been recorded. It is not an encouraging experience to have it occur within the Commission as well.” Because plaintiff failed, despite the Commission’s request, to rescind the right-to-sue letter she had received from the EEOC, as required in order for the Commission to continue its investigation, the Commission administratively closed her case. Within weeks, plaintiff filed suit against defendants in the United States District Court for the Southern District of New York, alleging violations of federal, state and city antidiscrimination laws. Three months later, she voluntarily dismissed that action.

In February 1998, more than three years after her employment with the Guild had ended, plaintiff commenced the instant lawsuit seeking several million dollars in damages, alleging that defendants discriminated against her on the basis of race and color and retaliated against her for complaining about such discrimination, in violation of the New York State Human Rights Law (*see* Executive Law § 296 [1] [a]; [7]) and the New York City Administrative Code (*see* Administrative Code of City of NY § 8-107 [1] [a]; [7]). In her complaint, plaintiff pleaded an additional racial slur made by Dersh, not previously alleged, said to have been uttered in 1992: “Why do we always have to stroke Blacks to get them to work?”

After plaintiff and three of the individual defendants were deposed, defendants moved for summary judgment dismissing

the complaint. Supreme Court denied defendants' motion, and the Appellate Division reversed. We now affirm.

II. Racial Discrimination

A. Discriminatory Employment Action

A plaintiff alleging racial discrimination in employment has the initial burden to establish a prima facie case of discrimination.³ To meet this burden, plaintiff must show that (1) she is a member of a protected class; (2) she was qualified to hold the position; (3) she was terminated from employment or suffered another adverse employment action; and (4) the discharge or other adverse action occurred under circumstances giving rise to an inference of discrimination (*see Ferrante v American Lung Assn.*, 90 NY2d 623, 629 [1997]). The burden then shifts to the employer “to rebut the presumption of discrimination by clearly setting forth, through the introduction of admissible evidence, legitimate, independent, and nondiscriminatory reasons to support its employment decision” (*id.* [citations omitted]). In order to nevertheless succeed on her claim, the plaintiff must prove that the legitimate reasons proffered by the defendant were merely a pretext for discrimination by demonstrating both that the stated reasons were false and that discrimination was the real reason (*see id.* at 629-630).

To prevail on their summary judgment motion, defendants must demonstrate either plaintiff's failure to establish every element of intentional discrimination, or, having offered legitimate, nondiscriminatory reasons for their challenged actions, the absence of a material issue of fact as to whether their explanations were pretextual. In that event, summary judgment would constitute “a highly useful device for expediting the just disposition of a legal dispute for all parties and conserving already overburdened judicial resources” (*Matter of Suffolk*

3. The standards for recovery under the New York State Human Rights Law (*see* Executive Law § 296) are the same as the federal standards under title VII of the Civil Rights Act of 1964 (42 USC § 2000e *et seq.*; *see Rainer N. Mittl, Ophthalmologist, P.C. v New York State Div. of Human Rights*, 100 NY2d 326, 330 [2003]). Thus, “[b]ecause both the Human Rights Law and title VII address the same type of discrimination, afford victims similar forms of redress, are textually similar and ultimately employ the same standards of recovery, federal case law in this area also proves helpful to the resolution of this appeal” (*Matter of Aurecchione v New York State Div. of Human Rights*, 98 NY2d 21, 26 [2002] [citation omitted]). Further, the human rights provisions of the New York City Administrative Code mirror the provisions of the Executive Law and should therefore be analyzed according to the same standards.

County Dept. of Social Servs. [Michael V.] v James M., 83 NY2d 178, 182 [1994]), inasmuch as no valid purpose is served by submitting to a jury a cause of action that cannot survive as a matter of law. Defendants have satisfied their burden.

The first two elements necessary to establish a claim of discrimination are not in dispute. Plaintiff is an African-American woman, qualified for the job she held at the Guild. She has, however, failed to raise a triable issue of material fact as to whether any adverse employment action she alleges she suffered occurred under circumstances giving rise to an inference of discriminatory motive. Preliminarily, plaintiff's proof of adverse action is in large measure wanting. She asserts three such actions: her "demotion" from music therapist to creative arts therapist and then to case manager; a series of interpersonal conflicts with her supervisors; and her ultimate termination.

An adverse employment action requires a materially adverse change in the terms and conditions of employment. To be materially adverse, a change in working conditions must be "more disruptive than a mere inconvenience or an alteration of job responsibilities. A materially adverse change might be indicated by a termination of employment, a demotion evidenced by a decrease in wage or salary, a less distinguished title, a material loss of benefits, significantly diminished material responsibilities, or other indices . . . unique to a particular situation" (*Galabya v New York City Bd. of Educ.*, 202 F3d 636, 640 [2d Cir 2000] [citations and internal quotation marks omitted]).

Plaintiff has offered no evidence that her change in job title constituted a demotion. Rather, the undisputed proof is that the title of creative arts therapist was adopted as part of the Guild's 1991 restructuring in an effort to be consistent with the terminology used by its state regulatory agency, and was applied to all similarly situated employees. Later, all professionals in the CDTP were restyled case managers to reflect the holistic approach valued by the program. Plaintiff's salary and benefits were unaffected by these changes.⁴

4. The concurrence's statement that plaintiff alleges a reduction in pay as a result of discrimination is misleading (*see* concurring op at 318, 328). Plaintiff's salary did not change when her job title changed from music therapist to creative arts therapist to case manager. When she later requested a voluntary transfer to a different department, which she does not claim was discriminatory, she accepted a different job at a lower pay grade.

Nor does the alleged mistreatment suffered at the hands of her supervisors rise to the level of adverse action as defined by law. The snatching of a pad from her hands, the patting of a seat in an allegedly humiliating way, the shouting at her in a meeting, the circling of her name on a time sheet, the rolling of eyes when she spoke—none of these constitutes a materially adverse change in the terms and conditions of plaintiff's employment (*see e.g. Fridia v Henderson*, 2000 WL 1772779, *7, 2000 US Dist LEXIS 17295, *22 [SD NY, Nov. 30, 2000] [excessive work, denials of requests for leave with pay and a supervisor's general negative treatment of the plaintiff are not materially adverse changes in the terms, conditions or privileges of employment]; *Katz v Beth Israel Med. Ctr.*, 2001 WL 11064, *14, 2001 US Dist LEXIS 29, *44 [SD NY, Jan. 4, 2001] ["Being yelled at, receiving unfair criticism, receiving unfavorable schedules or work assignments . . . do not rise to the level of adverse employment actions"]).

Plaintiff has, however, raised a triable issue of fact as to whether she was terminated from her employment. Clearly, termination constitutes an adverse action. Plaintiff concedes that she intended to resign from the Guild on October 22, 1994, effective immediately. But she asserts that she was nevertheless terminated because the Guild sent her a letter of discharge prior to its receipt of her resignation. Whether in these circumstances the Guild's action preempted and rendered ineffective her resignation presents a question of fact that a jury might resolve in her favor. But plaintiff still cannot avoid summary judgment for defendants because, even assuming that she has made a *prima facie* showing as to the fourth element, she has failed to rebut defendants' proof that the purported termination did not arise under circumstances giving rise to an inference of discrimination—that is, that she was not terminated "because of [her] race" (Executive Law § 296 [1] [a]; Administrative Code of City of NY § 8-107 [1] [a]).

Rather, the undisputed facts establish that plaintiff repeatedly failed to comply with her obligation to submit documentation in support of her family medical leave substantiating the nature of her father's serious illness. Plaintiff's lack of cooperation and failure to adhere to her commitments by themselves establish legitimate, nondiscriminatory reasons for ending her employment. And plaintiff's actions in traveling to Hawaii and leaving her father, without notifying the Guild of this substantial change, placed her in violation of statutory standards for entitle-

ment to family medical leave and provided further justification for the Guild's decision.⁵

In response to this showing by defendants that their actions were justified by plaintiff's conduct, plaintiff has offered no evidence that defendants' legitimate explanations were a pretext for unlawful discrimination—that is, that they were false and that racially motivated discrimination was the real reason.⁶ Indeed, plaintiff fails to demonstrate any causal relationship between the racial epithets allegedly uttered in 1992 by Dersh and Adlivankina, and her purported termination from Finocchiaro's department in 1994, that could conceivably demonstrate that the termination occurred under circumstances giving rise to an inference of discrimination (*see Price Waterhouse v Hopkins*, 490 US 228, 277 [1989] [O'Connor, J., concurring in judgment] ["statements by nondecisionmakers, or statements by decisionmakers unrelated to the decisional process itself," are insufficient to establish discriminatory intent]).

[1] Simply put, plaintiff has failed to raise an issue of fact as to whether she was discriminated against on the basis of her race. To be sure, the record establishes that there was no love lost between plaintiff and her supervisors. Indeed, as a cycle unfolded of supervisory dissatisfaction with plaintiff's work; the giving of warnings; complaints about the warnings; a perceived lack of improvement; and more warnings followed by more complaints, any number of fair inferences could be drawn from the record as to the motives underlying such events.

Racial animus, however, is not among them. Plaintiff herself was hard pressed at her deposition to articulate any basis for her claim that defendants' alleged unfair treatment and harassment was race-based, other than a repeated assertion—or as-

5. Of course, it matters not whether the Guild's stated reason for terminating plaintiff was a good reason, a bad reason, or a petty one. What matters is that the Guild's stated reason for terminating plaintiff was nondiscriminatory.

6. Plaintiff's mere assertion that defendants' explanations were pretextual is not enough. As the concurrence notes (*see* concurring op at 325), "a plaintiff's prima facie case, combined with sufficient evidence to find that the employer's asserted justification is false, may permit the trier of fact to conclude that the employer unlawfully discriminated" (*Reeves v Sanderson Plumbing Prods., Inc.*, 530 US 133, 148 [2000]). But plaintiff's prima facie case, combined with *no* evidence that the stated justification is false other than plaintiff's unsupported assertion that this is so, may not.

sumption—that she was the only one so treated:⁷ only she was told that she was jeopardizing the department (but only she had such difficulties with her charts); only she and another African-American employee had the spaces next to their names circled on a time sheet (but only they had not yet signed in and so were thought to be late); only she had to sign out for breaks (but when cross-examined, she admitted that others actually signed out as well); only she was refused overtime compensation (but although her overtime request arose from having stayed late to complete her reports, plaintiff did not dispute defendants’ evidence that overtime is simply not available to employees of the Guild and that compensatory time is available only for direct patient care, not paperwork).

Indeed, prior to having taken her final leave from the Guild, plaintiff did not complain of racial discrimination in any forum. Although her grievances made clear that she felt “harass[ed],” she never alleged that the harassment was racially motivated. Rather, her union grievances for harassment alleged violations of articles IV, VII and XVII of the Collective Bargaining Agreement—pertaining to management rights over employees’ job responsibilities, procedures for disciplining employees and vacation rights—not article V, which specifically prohibits discrimination, including racial discrimination. Nor did her resignation letter—thanking the Guild for “the opportunity to serve, utilize my talents, and grow both professionally and personally”—give any hint that she had ever been, or believed she had been, subjected to discrimination based on her race.

To be sure, discrimination, when it occurs, is a serious evil to be dealt with seriously. But mere personality conflicts must not be mistaken for unlawful discrimination, lest the antidiscrimination laws “become a general civility code” (*Faragher v City of Boca Raton*, 524 US 775, 788 [1998] [citation and internal quotation marks omitted]; see also *Gorley v Metro-North Commuter R.R.*, 2000 WL 1876909, *7, 2000 US Dist LEXIS 18427, *25-26 [SD NY, Dec. 22, 2000] [“Even if (plaintiff’s supervisor) did harbor personal animosity against plaintiff . . . Title VII

7. In other instances—the shift in job titles, the assumption of management responsibilities, the consolidation of professional employees’ offices—plaintiff continues to insist without explanation that these actions, when applied to her, were racially discriminatory, even while admitting that others were subjected to identical changes and policies. Such conclusory assertions cannot rebut the evidence proffered by defendants that the actions taken were nondiscriminatory.

provides relief only for racial discrimination, not fickleness’], *affd* 29 Fed Appx 764 [2d Cir 2002]; *Gibson v Brown*, 1999 WL 1129052, *12, 1999 US Dist LEXIS 18555, *34 [ED NY, Oct. 19, 1999] [“Personal animosity is not the equivalent of . . . discrimination and is not proscribed by Title VII. The plaintiff cannot turn a personal feud into a . . . discrimination case by accusation” (citations omitted)], *affd* 242 F3d 365 [table; text at 2000 WL 1843914, 2000 US App LEXIS 33119 (2d Cir 2000)]; *Padob v Entex Info. Serv.*, 960 F Supp 806, 813 [SD NY 1997] [“It might be just as likely that Plaintiff was excluded because of her acknowledged personality conflict with (her supervisor)—but such behavior is not prohibited by (antidiscrimination laws)’’].⁸

B. Hostile Work Environment⁹

[2] Even one racial epithet is inexcusable. Employers are therefore both free and well advised to adopt zero tolerance policies in the workplace. But in the absence of a single affidavit from anyone who heard the alleged epithets, or of any written report filed by plaintiff or anyone else, at any time, alleging the remarks, plaintiff’s assertion that defendants used three racial slurs—in one instance asserted for the first time nearly six years after the comment was purportedly made—as a matter of law cannot establish a hostile work environment.

A racially hostile work environment exists “[w]hen the workplace is permeated with discriminatory intimidation, ridicule, and insult that is sufficiently severe or pervasive to alter the conditions of the victim’s employment and create an abusive working environment” (*Harris v Forklift Sys., Inc.*, 510 US 17, 21 [1993] [citations and internal quotation marks omitted]). While deplorable, the use of three epithets over a nine-year employment history does not satisfy this test.

Whether an environment is hostile or abusive can be determined only by looking at all the circumstances, including “the frequency of the discriminatory conduct; its severity; whether it is physically threatening or humiliating, or a mere offensive ut-

8. While we agree with the conclusion reached by the Appellate Division, that Court should not have preliminarily left aside the asserted racial epithets in analyzing whether the remainder of the complained-of conduct occurred under circumstances giving rise to an inference of discrimination. All of the relevant facts and circumstances must be considered together.

9. Plaintiff’s claim that she has suffered disparate treatment in the workplace may be shown through proof either of discriminatory employment action or that she has been subjected to a hostile work environment.

terance; and whether it unreasonably interferes with an employee's work performance. The effect on the employee's psychological well-being is, of course, relevant to determining whether the plaintiff actually found the environment abusive" (*id.* at 23). Moreover, the conduct must both have altered the conditions of the victim's employment by being subjectively perceived as abusive by the plaintiff, and have created an objectively hostile or abusive environment—one that a reasonable person would find to be so (*see id.* at 21).

Of course, even a "mere[ly] offensive" (*id.* at 23) racial slur is reprehensible. But it is not actionable. Here, the epithets complained of did not pervade plaintiff's work environment, having allegedly occurred on three occasions over nine years. A hostile work environment requires "more than a few isolated incidents of racial enmity" (*Snell v Suffolk County*, 782 F2d 1094, 1103 [2d Cir 1986]). "[I]nstead of sporadic racial slurs, there must be a steady barrage of opprobrious racial comments" (*Schwapp v Town of Avon*, 118 F3d 106, 110 [2d Cir 1997] [citation omitted]; *see also Harris*, 510 US at 21 ["mere utterance of an . . . epithet which engenders offensive feelings in an employee . . . does not sufficiently affect the conditions of employment" (citation and internal quotation marks omitted)]; *Brown v Coach Stores, Inc.*, 163 F3d 706, 713 [2d Cir 1998] [no hostile work environment where supervisor made, on occasion, racist remarks, including one directed at the plaintiff]). Nor has plaintiff shown, or even alleged, that the egregious remarks interfered in any way with her job performance.

Moreover, the use of racial slurs and insults by a supervisor without the knowledge or acquiescence of the employer does not constitute an unlawful discriminatory practice actionable under the State Human Rights Law (*see Matter of General Motors Corp., Fisher Body Div. v State Human Rights Appeal Bd.*, 54 NY2d 905 [1981], *affg* 78 AD2d 1006 [4th Dept 1980]; *see also Hart v Sullivan*, 55 NY2d 1011 [1982], *affg* 84 AD2d 865 [3d Dept 1981]). For an "employer cannot be held liable [under state law] for an employee's discriminatory act unless the employer became a party to it by encouraging, condoning, or approving it" (*Matter of State Div. of Human Rights v St. Elizabeth's Hosp.*, 66 NY2d 684, 687 [1985], quoting *Matter of Totem Taxi, Inc. v New York State Human Rights Appeal Bd.*, 65 NY2d 300, 305 [1985]). Plaintiff has failed to offer any evidence that the Guild knew of, let alone condoned or acquiesced in, the epithets. The record is devoid of proof that plaintiff ever

reported any of the alleged remarks or indeed any other allegations of *racial* harassment to anyone at the Guild, or brought a complaint utilizing the procedures established pursuant to the Guild's antidiscrimination policy, which is contained in the record.¹⁰

Plaintiff's arguments reflect a fundamental misapprehension of the law of summary judgment. To be sure, plaintiff has identified disputed issues of fact. But factual disputes are not enough; they must relate to *material* issues. Whether Dersh snatched a pad from plaintiff's hand out of sheer rudeness or because she was struck by the quality of plaintiff's notetaking is irrelevant when, as a matter of law, in neither event would a claim of racial discrimination be established. Nor do we find material whether defendants' contemporaneous assessment of plaintiff's recordkeeping skills was justified. "The mere fact that [plaintiff] may disagree with [her] employer's actions or think that [her] behavior was justified does not raise an inference of pretext" (*Estrada v Lehman Bros., Inc.*, 2001 WL 43605, *5, 2001 US Dist LEXIS 288, *15 [SD NY, Jan. 18, 2001] [citations omitted]; see also *Jimoh v Ernst & Young*, 908 F Supp 220, 226 [SD NY 1995] ["As a matter of law, an employee's disagreement with an employer's business decision is insufficient to prove discriminatory conduct"]).

Similarly, a resolution of whether or not plaintiff's supervisors used racial epithets—an allegation denied by defendants—could not alter the conclusion that, even were they uttered, on this record they are insufficient to make out a hostile work environment.

III. Retaliation

Under both the State and City Human Rights Laws, it is unlawful to retaliate against an employee for opposing discriminatory practices (see Executive Law § 296 [7]; Administrative Code of City of NY § 8-107 [7]). In order to make out the claim,

10. Since plaintiff has failed to establish the elements of a hostile work environment claim with respect to either her state or city causes of action, we need not address the affirmative defense to such a claim against an employer—that the employer exercised reasonable care to prevent and correct promptly discriminatory conduct committed by its supervisory personnel, such as by promulgating an antidiscrimination policy with complaint procedure, and that the plaintiff unreasonably failed to take advantage of any preventive or corrective opportunities provided by the employer or to otherwise avoid harm (see *Burlington Indus., Inc. v Ellerth*, 524 US 742, 765 [1998]; *Faragher v City of Boca Raton*, 524 US 775, 805-808 [1998]).

plaintiff must show that (1) she has engaged in protected activity, (2) her employer was aware that she participated in such activity, (3) she suffered an adverse employment action based upon her activity, and (4) there is a causal connection between the protected activity and the adverse action.

[3] Plaintiff's showing fails on every prong. No triable issue of fact exists that plaintiff engaged in a protected activity—that is, opposing or complaining about unlawful discrimination¹¹—or, a fortiori, that the Guild was aware of any such complaint. Although plaintiff filed numerous grievances claiming generalized “harassment,” she never alleged that she was discriminated against because of race, or invoked the article of the Collective Bargaining Agreement prohibiting such practices.¹² Moreover, plaintiff has “failed to submit sufficient evidence from which a jury could reasonably conclude a causal connection between any protected activity [s]he engaged in and any adverse employment action” (*Francis v Chemical Banking Corp.*, 213 F3d 626 [table; text at 2000 WL 687715, *1, 2000 US App LEXIS 11896, *3 (2d Cir 2000)], *cert denied* 532 US 949 [2001]), or, as with her discrimination claim, to rebut defendant's evidence that any adverse action taken against her was justified by the legitimate, nondiscriminatory reasons already described.

Nor can plaintiff avoid summary judgment “by merely pointing to the inference of causality resulting from the sequence in time of the events” (*Chojar v Levitt*, 773 F Supp 645, 655 [SD NY 1991]; *see also Feliciano v Alpha Sector, Inc.*, 2002 WL 1492139, *12, 2002 US Dist LEXIS 12631, *35 [SD NY, July 12, 2002] [“As a matter of law, (t)he mere fact that the incidents of which (a plaintiff) complains occurred after . . . grievances

11. The concurrence states that “[f]or a union member, filing grievances with the union is a protected activity” (concurring op at 327). Under the New York State and City Human Rights Laws—the only statutes under which plaintiff has brought causes of action—retaliation is actionable only when it is done because the employee has, for example, filed a complaint, testified, or assisted in any proceeding, or opposed any practices forbidden “under this article” (Executive Law § 296 [7]) or “under this chapter” (Administrative Code of City of NY § 8-107 [7]). Filing a grievance complaining of conduct other than unlawful discrimination—as plaintiff did—is simply not a protected activity subject to a retaliation claim under the statutes at issue here.

12. Plaintiff's discrimination complaint with the New York City Commission on Human Rights was filed in September 1994, after plaintiff had begun her final leave of absence from the Guild. Plaintiff has offered no evidence that the Guild was made aware of this complaint before her alleged termination.

were filed does not create an issue of fact as to causality” (citations and internal quotation marks omitted)).¹³

[4] Further, because plaintiff has failed to raise a triable issue of material fact that she was either retaliated against or discriminated against because of her race, her claims that defendants aided and abetted each other in any discrimination or retaliation cannot survive (*see* Executive Law § 296 [6]; Administrative Code of City of NY § 8-107 [6]).

In short, we agree with the Appellate Division that, on this record, it does no favor to the litigants, or to the law, or to the rigorous enforcement of genuine discrimination claims, to deny summary judgment and allow this case to proceed to trial.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

G.B. SMITH, J. (concurring). The question on this appeal is whether appellant has raised a factual issue that precludes summary judgment. While appellant has sufficiently raised triable issues of fact on her claims of disparate treatment, hostile work environment and retaliation in the first instance, respondents have met their burden of giving nonracial reasons for her treatment and appellant has not demonstrated that those reasons are pretextual. I, therefore, concur in affirming the order of the Appellate Division.

Appellant began working for defendant as a music therapist in September 1985. From 1990 to 1991, she took a leave of absence to study for a Master’s degree in urban education.

I

Two separate but related analyses are relevant on this appeal, the standard governing summary judgment and the standard governing the allegations of racial discrimination alleged by plaintiff.

“To grant summary judgment, it must clearly appear that no material and triable issue of fact is presented” (*Glick & Dolleck v Tri-Pac Export Corp.*, 22 NY2d 439, 441 [1968]; *see also Zuck-*

13. Indeed, although plaintiff argues that the close proximity of the termination and complaints suggests that there may have been nonpermissible reasons for her firing, all of plaintiff’s grievances were filed in 1992. Plaintiff’s alleged termination, however, did not occur until early November 1994. And although plaintiff filed a complaint with the Commission on Human Rights in September 1994, there is no evidence that defendants had yet learned of the existence of this complaint prior to her termination.

erman v City of New York, 49 NY2d 557 [1980]). Summary judgment should not be granted where there is any doubt as to the existence of a factual issue or where the existence of a factual issue is arguable (*Glick & Dolleck v Tri-Pac*, 22 NY2d at 441). On a summary judgment motion, the moving party must set forth evidence that there is no factual issue and that it is entitled to summary judgment (*Zuckerman v City of New York*, 49 NY2d at 560-562). If the moving party establishes a basis for a grant of summary judgment, the opposing party must present evidence that there is a triable issue (*id.*).

“It is not the court’s function on a motion for summary judgment to assess credibility” (*Ferrante v American Lung Assn.*, 90 NY2d 623, 631 [1997]). “Credibility determinations, the weighing of the evidence, and the drawing of legitimate inferences from the facts are jury functions, not those of a judge, whether he [or she] is ruling on a motion for summary judgment or for a directed verdict” (*see Anderson v Liberty Lobby, Inc.*, 477 US 242, 255 [1986]).

Moreover, the facts must be viewed in the light most favorable to the nonmoving party (*see Matsushita Elec. Indus. Co., Ltd. v Zenith Radio Corp.*, 475 US 574, 587 [1986]). For the purposes of appealing a summary judgment motion, appellant’s allegations of fact must be taken as true (*see Rajcoomar v TJX Cos., Inc.*, 319 F Supp 2d 430, 433 n 4 [SD NY 2004] [“The Defendant concedes that for the purposes of this motion it takes Rajcoomar’s allegation of termination as true because all evidence must be viewed in a light most favorable to a plaintiff on a motion for summary judgment”]; *Catanzaro v Weiden*, 140 F3d 91, 93-94 [2d Cir 1998] [“All evidence presented by the nonmoving party must be taken as true, and all inferences must be construed in a light most favorable to the nonmoving party”]). Of course, the standard for determining the outcome of the motion is whether or not there are any genuine issues of material fact in dispute (*see Glick & Dolleck v Tri-Pac Export Corp.*, at 441). Moreover, for the purposes of review, the facts as stated by the nonmovant must be taken as true.

The second analysis relates to the showing appellant must make to support her claim of racial discrimination and to defeat summary judgment.

Forrest sues under Executive Law § 296 (1) (a)¹ and Administrative Code of the City of New York § 8-107 (1) (a)² proscribing racial discrimination in employment in New York State and New York City. The first cause of action is for race and color discrimination in violation of Executive Law § 296. The second cause of action is for race and color discrimination in violation of Administrative Code § 8-107. The third cause of action is for retaliation in violation of Executive Law § 296 (1) (e) and (7). The fourth cause of action is for retaliation in violation of Administrative Code § 8-107 (7). The fifth cause of action is for aiding and abetting in violation of Executive Law § 296 (6). The sixth cause of action is for aiding and abetting in violation of Administrative Code § 8-107 (6). The seventh cause of action is for constructive discharge pursuant to Executive Law § 296. The eighth cause of action is for constructive discharge in violation of Administrative Code § 8-107.

These New York State and New York City laws are in accord with the federal standards under title VII of the Civil Rights Act of 1964 (42 USC § 2000e *et seq.*; *Matter of Aurecchione v New York State Div. of Human Rights*, 98 NY2d 21, 25-26 [2002]; *Ferrante v American Lung Assn.*, 90 NY2d 623, 629 [1997]; *Quinn v Green Tree Credit Corp.*, 159 F3d 759 [2d Cir 1998]).³ The three-step framework established by the Supreme Court in *McDonnell Douglas Corp. v Green* (411 US 792 [1973]) for cases alleging violations of title VII of the Civil Rights Act of

1. Human Rights Law (Executive Law) § 296 (1) (a) states: “It shall be an unlawful discriminatory practice . . . [f]or an employer or licensing agency, because of the age, race, creed, color, national origin, sex, disability, genetic predisposition or carrier status, or marital status of any individual, to refuse to hire or employ or to bar or to discharge from employment such individual or to discriminate against such individual in compensation or in terms, conditions or privileges of employment.”

2. Administrative Code § 8-107 states:

“Unlawful discriminatory practices.

“1. Employment. It shall be an unlawful discriminatory practice:

“(a) For an employer or an employee or agent thereof, because of the actual, or perceived age, race, creed, color, national origin, gender, disability, marital status, sexual orientation or alienage or citizenship status of any person, to refuse to hire or employ or to bar or to discharge from employment such person or to discriminate against such person in compensation or in terms, conditions or privileges of employment.”

3. Plaintiff in *Ferrante* raised a triable issue of fact that he had been fired because of age discrimination. Specifically, plaintiff demonstrated that defendant’s reasons for terminating him could be pretextual for age discrimination.

1964 is relevant here. First, the appellant employee must make a prima facie showing of racial discrimination. Second, once the appellant has satisfied her burden, defendant must articulate a clear nondiscriminatory reason for the termination or other action. Third, appellant must show that the proffered reasons are pretextual.

II

Appellant claims that she has met her burden of showing that there was racial discrimination and that there are factual issues concerning whether the proffered reason for her termination was pretextual.

Appellant, Forrest, worked as a music therapist and case manager for the Jewish Guild for the Blind. On November 2, 1994, appellant was terminated, allegedly due to failure to provide documentation of her father's medical condition. Forrest was on a three-month approved leave of absence, without pay, in order to take care of her ailing father in Florida. The Guild requested that she provide proof of her father's condition. Part of that proof was a form, provided by the Guild, to be completed by a physician indicating her father's diagnosis, prognosis and a doctor's recommendation that appellant's father required an in-home caregiver. Appellant argues that she sent the required information on a form different from the one required by respondent.

Appellant alleges that during her employment with the Guild, she was subjected to several racially motivated statements and conduct directed at her by her supervisors. Specifically, appellant alleges that on or about October 19, 1992, Eugenia Adlivankina, appellant's immediate supervisor, told her that Goldie Dersh, who was the program director in the Continuing Day Treatment Program, called appellant "an uppity nigger." The assertion that Dersh made this statement was allegedly repeated to her by another employee, Dr. Dov Rappaport. Appellant alleges further that on or about October 26, 1992, at a staff meeting, Dersh stated, "Why is it necessary to stroke Blacks to get them to work?" The third comment, reportedly made to White staff members by Adlivankina "on at least four occasions" on the same day was that staff members should refer to Forrest as "our Black American Princess." Appellant claims that she filed grievances on two of these incidents, although on the advice of her union representative, the grievances were filed in general terms.

Appellant further asserts that she was required to perform the duties of two separate titles and was not compensated for overtime while White staff did receive such compensation. She also claims that her salary was reduced, that for over a year, she was required to sign in and out to go to the bathroom and for coffee breaks while White employees did not have to do the same. Her name, along with that of another African-American, was circled and highlighted on a sign-in sheet. Appellant reports that Adlivankina later came and apologized to her for circling her name. She alleges that she requested a description of her job duties and title, things that she was entitled to under the union agreement, but was denied them by her immediate supervisor. She claims that she filed grievances with her employer, but that these grievances were met with retaliation by means of threats, disciplinary actions that were not justified and by the assignment of additional duties. She claims that the conduct of her supervisors led to psychological problems for which she underwent treatment and incurred expenses. Finally, she claims that she was forced to resign because of defendants' actions.

Appellant filed five grievances with her union, Local 1199. The first, dated July 9, 1992, was filed to grieve "harassment of Paula Forrest in violation of contract and article IV, Section 1 and [article] XVII" of the Collective Bargaining Agreement (CBA).⁴ The complaint was denied. On July 22, 1992, appellant filed a second complaint for harassment in violation of article IV, section 1 and article XVII of the CBA. This complaint was never heard. On October 8, 1992, appellant filed a grievance for violations of the Collective Bargaining Agreement including article XXI, section 13 and article IV, section 1.⁵ On November 11, 1992, Carol Handfus denied the grievance of October 8, 1992 with a lengthy explanation concerning job classifications and job duties.⁶ This complaint was sent to arbitration on December 9, 1992.

4. Article IV, section 1 pertains to management rights and article XVII addresses vacation schedules.

5. Article XXI, section 13 pertains to job classification.

6. Letter to Thomas Winter from Carol Handfus in pertinent part—"In light of the foregoing, I have concluded that the addition of case management functions to the Grievant's job content does not justify a new classification nor prompt the need to negotiate an upgrade in compensation. And, while your argument that in job evaluation the whole can be greater than [sic] the sum of its parts is an interesting one, I take the traditional position that

(n. cont'd)

The fourth complaint was filed on November 19, 1992, grieving the “verbal warning of 11/3/92 and the written warning of 11/13/92 concerning job perform[ance]” and “in violation of the CBA including Article IV Section 2.”⁷ This grievance was sent to the personnel director. The final grievance was filed on December 4, 1992 for harassment and “abus[e of] power and authority in a capricious manner without just cause.” The grievance alleges violations of article IV, section 1 and article VII, section 1.⁸ The grievance was denied.

On November 4, 1992, appellant sent a letter to a supervisor, Handfus, concerning “Bias Treatment in CDTP/Soc[ial] Serv[ices]/Harassment.” This letter dealt specifically with choice of lunch time, and whether or not appellant was being treated differently based upon job title. Appellant transferred from the Continuing Day Treatment Program to the Day Treatment Program on January 8, 1993. Effective January 18, 1993, appellant assumed the job title of teaching specialist.

A settlement agreement, dated February 22, 1994, purportedly resolved “all allegedly outstanding grievances and the pending arbitration case arising out of or in connection with the Employee’s former employment in CDTP.” The settlement agreement addressed an increase in job classification, increase in pay, disciplinary written warnings, appellant’s new job title of teacher/human services professional in the Day Treatment Program, and withdrawal by the union of a pending arbitration case.

Respondents offer evidence rebutting appellant’s claims, including that the racially offensive statements were never made. Further, respondents allege that Forrest was terminated as a result of her failure to provide the necessary documentation for her extended leave of absence. Respondents also assert

salary upgrades are usually not warranted where an employee is asked to perform additional job duties that are of the same type as those being performed by other staff members, in a job classification that is in the same labor grade as that of the employee. This argument is particularly relevant when, as in this case, the new duties in question do not represent those that require the highest skill and attainment levels required by the other classification.

“For all of the foregoing reasons, I am denying this grievance and the remedies proposed by the Union.”

7. Article IV, section 2 addresses client care and the participation of employees in the process of client care.

8. Article VII, section 1 refers to discharge and penalties.

that appellant's work was inadequate and that she failed to comply with recordkeeping requirements. In addition, respondents argue that Forrest resigned before she was terminated. Respondents also state that appellant was not in Florida at the time she stated she was but she had traveled to Hawaii to visit her brother. Finally, respondents argue that the Guild has a nondiscrimination policy with respect to race and other matters.

III

Appellant commenced an action against respondents in 1998 in Supreme Court, New York County. In August 2002, Supreme Court denied defendants' motion for summary judgment. After referring to the factual allegations made by appellant, that court stated:

"Plaintiff has raised a prima facie case of discrimination. The allegations raised by plaintiff, when analyzed in a light most favorable to plaintiff, may permit a trier of fact to conclude that plaintiff was forced to work in a hostile work environment as a result of her race. In addition to claims of egregiously inappropriate statements made by the individual defendants and humiliation suffered during staff meetings, she alleges that she was transferred to other positions and given additional duties and responsibilities not assigned to other employees who are not African-American.

"The court cannot conclude that, when all the circumstances and individual acts are considered, the allegations do not constitute racial discrimination as a matter of law. Whether or not the explanations offered by defendants for transferring plaintiff to different departments and changing her responsibilities are pretextual also cannot be determined as a matter of law, especially when considered in conjunction with plaintiff's claims of persistent humiliation and hostility toward her. Upon this record, a trier of fact may conclude that the defendants' explanations for some of their actions are unpersuasive and that discrimination has occurred."

In October 2003, the Appellate Division reversed and granted defendants' summary judgment motion, finding that appellant had not shown that defendants' conduct toward her was racially

biased, or that the nondiscriminatory reasons for terminating appellant were pretextual. The Appellate Division decision stated the following:

“Certainly, the allegations of the complaint describe egregious conduct. However, on such a summary judgment motion, once the defendants have made a showing establishing a right to dismissal, the plaintiff’s burden in opposing the motion requires more than allegations that, if proven, establish conduct of which we disapprove. The plaintiff must offer evidentiary support not only to establish a *prima facie* case, but also evidence creating a material dispute of fact as to the showing made by the defendants. . . .

“Here, the submitted documentation satisfies defendants’ burden on a summary judgment motion of establishing their entitlement to dismissal of the complaint. They have established a legitimate and nondiscriminatory basis for almost all of the conduct of which plaintiff complains, leaving a remainder of claims that cannot alone serve as the basis for a claim of employment discrimination.

“Specifically, when we cull through plaintiff’s claims in light of the evidentiary submissions, it becomes apparent that, as defendants point out, many of plaintiff’s allegations are unsupported by, or actually disproved by, evidentiary materials, and that the conduct alleged to constitute discriminatory disparate treatment of plaintiff was based upon legitimate and nondiscriminatory reasons, unrelated to any racial animus. In response, plaintiff offers nothing tending to show that the proffered nondiscriminatory explanations are pretextual. All that then remains of plaintiff’s claims are the hotly disputed allegations of racial epithets, which are simply insufficient by themselves to support her claim of race discrimination. Ultimately, plaintiff has failed to provide sufficient support to create a question of fact as to whether her termination, or any adverse treatment of her during her employment, ‘occurred under circumstances giving rise to an inference of . . . discrimination’ ” (309 AD2d 546, 553-554 [2002] [citations omitted]).

This Court granted appellant leave to appeal.

IV

It is not often that an employer will use overt methods to discriminate (see *Matter of Holland v Edwards*, 307 NY 38, 45 [1954] [“Far more likely is it that he will pursue his discriminatory practices in ways that are devious, by methods subtle and elusive—for we deal with an area in which ‘subtleties of conduct . . . play no small part’ ”], quoting *National Labor Relations Bd. v Express Pub. Co.*, 312 US 426, 437 [1941]; *National Org. for Women v State Div. of Human Rights*, 34 NY2d 416, 420 [1974] [“(I)llegal discrimination will not be announced in public but will usually be effected by ‘subtle’ and ‘elusive’ means”]). Further, employers who discriminate are not likely to do so in an “open, plainly-appearing fashion” (see *Matter of Pace Coll. v Commission on Human Rights of City of N.Y.*, 38 NY2d 28, 40 [1975]).⁹ “Instead, there is likely to be covert resort to subtle tactics and the pretext of intermingled motives and reasons to obscure the substantial cause” (see *id.*).

Appellant’s allegations of discriminatory treatment fall into several categories. Each category will be discussed.

DISPARATE TREATMENT

Prima Facie Case of Racial Discrimination

Disparate treatment is the treatment of persons in a manner less favorable than others because of their race. (*International Bhd. of Teamsters v United States*, 431 US 324, 335 n 15 [1977]; see also *Raytheon Co. v Hernandez*, 540 US 44, 52-53 [2003].)¹⁰ “ ‘Disparate treatment’ . . . is the most easily understood type

9. Complainant filed a claim of gender discrimination and failure to promote against the former Pace College, now Pace University. The New York City Commission on Human Rights found that Pace discriminated against women faculty generally and complainant, Dr. Winsey, in particular. The Appellate Term set aside the decision, and Appellate Division affirmed for lack of sufficient evidence. The Court of Appeals determined that there was not enough evidence to determine that there was a pattern of discrimination but that there was enough to find that Pace had discriminated against Dr. Winsey.

10. After 25 years of employment as a product test specialist with Hughes Missile Systems, later Raytheon Company, complainant in *Raytheon* was forced to resign because of workplace misconduct. He tested positive for cocaine while at work. Two years later, he reapplied for his job but his application was denied. He later filed a complaint with the Equal Employment Opportunity Commission (EEOC) for discrimination based on the Americans with Disabilities Act (ADA). Complainant argued that he was denied his position because of his past drug and alcohol abuse but that he was now rehabilitated.

(n. cont’d)

of discrimination. The employer simply treats some people less favorably than others because of their race, color, religion, sex, or national origin. Proof of discriminatory motive is critical, although it can in some situations be inferred from the mere fact of differences in treatment” (*International Bhd. of Teamsters v United States*, 431 US at 335 n 15).

Disparate treatment applies to complaints about acts of discrimination against an individual brought under title VII of the Civil Rights Act of 1964 (78 US Stat 253 as amended, codified at 42 USC § 2000e *et seq.*).

In order to establish at trial a claim of disparate treatment in employment based upon race, a prima facie showing of racial discrimination must be made (*see McDonnell Douglas Corp. v Green*, 411 US 792, 802-804 [1973]).¹¹ According to *Ferrante*, in order to establish a prima facie case of racial discrimination, ap-

Complainant put forth claims of both disparate impact and disparate treatment. The District Court rejected the disparate treatment claim and denied review of the disparate impact claim as untimely. Petitioner’s summary judgment motion was granted.

The Court of Appeals, Ninth Circuit, determined that there were triable issues of fact regarding whether complainant was denied his position because of his past record of drug addiction. The Court of Appeals then applied a disparate impact analysis to a disparate treatment claim by determining that Raytheon’s legitimate reason for firing was illegitimate as applied to recovering drug addicts. Summary judgment was vacated.

The Supreme Court determined that the Ninth Circuit erred in its analysis, and thus, set out the proper analysis for both disparate treatment and disparate impact claims. Further, after applying the proper analysis to the disparate treatment claim, the Supreme Court held that the employer had met its burden in showing a legitimate reason for failing to rehire.

11. *McDonnell* is a seminal case in the area of disparate treatment. In this case, complainant worked for McDonnell for eight years as a mechanic and laboratory technician when he was laid off as a result of work force reduction. (*See* 411 US at 794.) Complainant as part of a civil rights protest of the racially discriminatory policies of the employer, engaged in civil disobedience by blocking the main roads to petitioner’s plant preventing workers from participating in the morning shift change. (*See id.*) Complainant was arrested for his participation in what was referred to as the “stall-in.” (*Id.*) Another civil rights action took place some weeks later but it was unclear to what extent complainant participated in the second action. Subsequently, petitioner advertised for mechanics and complainant applied for re-employment but was rejected.

Upon rejection, complainant filed a complaint with the EEOC. The Commission found discrimination based upon civil rights violations but not racial discrimination. The District Court found no discrimination in hiring and no discrimination based on civil rights activities. The Court of Appeals, Eighth Circuit, reversed and determined that an EEOC claim was not a judicial determination and that the trial court could make a finding based upon racial

(n. cont’d)

pellant has “the initial burden [of] prov[ing] by a preponderance of the evidence a prima facie case of discrimination” (90 NY2d at 629; *see also St. Mary’s Honor Ctr. v Hicks*, 509 US 502, 506 [1993]; *Texas Dept. of Community Affairs v Burdine*, 450 US 248, 252-254 [1981]; *McDonnell Douglas*, 411 US at 802). The following elements must be proven: (1) the complainant is a member of a class protected by the statute; (2) the complainant was actively or constructively discharged; (3) the complainant was qualified to hold the position from which she was terminated; (4) and the discharge occurred under circumstances giving rise to an inference of race discrimination.

Because Forrest is an African-American female, she is a member of a protected class. She resigned from her position, by letter effective October 22, 1994, but before the Guild received her letter, the Guild fired her, effective August 5, 1994, in a letter dated November 2, 1994. The resignation letter was marked by the Guild and received on November 4, 1994. In any event, the Guild states that it was not aware of the letter of resignation when the letter of termination was drafted and mailed. For the purposes of this motion for summary judgment, it must be assumed that Forrest was terminated. Accordingly, appellant meets criteria one and two of *Ferrante*.

There is no dispute that Forrest was qualified for the position as evidenced by her credentials and tenure on the job. She was a professional music therapist with graduate degrees in music therapy and urban education. Appellant argues that she was discharged after filing several grievances and a little more than two months after filing a complaint with the New York City Commission on Human Rights for race and color discrimination in September 1994.¹² Thus, taken together, the racial epithets and assertions of disparate treatment are sufficient to establish a prima facie case of racial discrimination.

discrimination. The United States Supreme Court granted certiorari to clarify standards for a claim of racial discrimination. The Court set out the standards for proving a title VII claim for disparate treatment based upon a prima facie showing of racial discrimination. The Court was especially concerned about complainant’s opportunity to rebut petitioner’s legitimate reason for its employment determination as pretext (*see id.* at 806).

12. A complaint was filed with the Commission on Human Rights in September 1994. The complaint was closed on June 30, 1997. Appellant filed an action in the Federal District Court for the Southern District of New York in July 1997 alleging discrimination raising federal, state, and New York City antidiscrimination claims. The complaint was withdrawn in October 1997.

Burden Shifts to Employer

Once appellant has established a prima facie case of racial discrimination, the burden shifts to the employer “to rebut the presumption of discrimination by clearly setting forth, through the introduction of admissible evidence, legitimate, independent, and nondiscriminatory reasons to support its employment decision” (see *Ferrante*, 90 NY2d at 629; *Burdine*, 450 US at 257-258; *Hicks*, 509 US at 507). The employer in this instance states that the reason for the termination was Forrest’s failure to complete the “Certification of Physician or Practitioner” form. Defendants assert that several requests were made to secure the documentation but appellant was unresponsive. Thus, defendants have put forward a nonracial reason for appellant’s termination.

Evidence That Respondents’ Claims Are Pretextual

On February 1, 1994, appellant filed a complaint with the New York State Division of Human Rights complaining that her grievances were not being taken seriously by the union. Forrest filed a complaint with the EEOC for racial discrimination just three months before the Guild fired her. The close proximity of the termination and complaints arguably suggests that there may have been nonpermissible reasons for her firing (see *Reeves v Sanderson Plumbing Prods., Inc.*, 530 US 133, 148 [2000] [“a plaintiff’s prima facie case, combined with sufficient evidence to find that the employer’s asserted justification is false, may permit the trier of fact to conclude that the employer unlawfully discriminated”]). However, in contending that the defendants’ reasons are pretextual, appellant must lay bare her proof on this motion for summary judgment.

Appellant must have a “full and fair opportunity” to demonstrate that the employer’s reason for termination is pretextual and that the real reason for termination was racially based (see *Burdine*, 450 US at 256; *Ferrante*, 90 NY2d at 629-630; *McDonnell Douglas*, 411 US at 805 [complainant may show that employer’s presumptively valid reasons for termination were a cover-up for racial discrimination]). Appellant contends that the employer used the failure to file the certification form as a pretext for racial discrimination (see *Matter of State Div. of Human Rights v County of Onondaga Sheriff’s Dept.*, 71 NY2d 623, 632 [1988] [employer’s reasons for termination gave rise to an inference of discrimination]; *Matter of Imperial Diner v State*

Human Rights Appeal Bd., 52 NY2d 72, 78 [1980]¹³ [anti-semitic statements made by employer to employee could give rise to constructive discriminatory discharge]).

Direct and Circumstantial Evidence in a Mixed Motive Case

A person alleging racial or other discrimination does not have to prove discrimination by direct evidence. It is sufficient if he or she proves the case by circumstantial evidence (*Desert Palace, Inc. v Costa*, 539 US 90 [2003]). Here, appellant could prove her case even if there were mixed motives for her firing, that is a legitimate and an illegitimate reason (*id.* at 99-102).

RACIALLY HOSTILE WORK ENVIRONMENT

An employee has a right under title VII of the Civil Rights Act of 1964 “to work in an environment free from discriminatory intimidation, ridicule, and insult” (*Meritor Sav. Bank, FSB v Vinson*, 477 US 57, 65 [1986]). “[W]hether an environment is ‘hostile’ or ‘abusive’ can be determined only by looking at all the circumstances. These may include the frequency of the discriminatory conduct; its severity; whether it is physically threatening or humiliating, or a mere offensive utterance; and whether it unreasonably interferes with an employee’s work performance” (*Harris v Forklift Sys., Inc.*, 510 US 17, 23 [1993]). The evidence is judged by the totality of the circumstances test (*see id.*; *Williams v County of Westchester*, 171 F3d 98, 100 [2d Cir 1999]; *Dooner v Keefe, Bruyette & Woods, Inc.*, 157 F Supp 2d 265, 281 [SD NY 2001] [(“T)he Plaintiff must demonstrate either that a single incident was extraordinarily severe, or that a series of incidents were sufficiently continuous and concerted to have altered the conditions of her working environment”], quoting *Cruz v Coach Stores, Inc.*, 202 F3d 560,

13. “As in other areas of discrimination it is unrealistic to hold that an employee can only be said to have been the victim of a discriminatory discharge when the employer has expressly fired him on the basis of race or creed or some other discriminatory ground. It is also possible, and perhaps more likely, that an employer who believes certain individuals are undesirable employees because of some discriminatory factor, will engage in conduct which encourages the employee to quit, in which case it may be said that there has been a constructive discriminatory discharge” (52 NY2d at 78).

Complainant was told by her company president that she was “Just like all the other f---ing Jewish broads around here” (52 NY2d at 76). The president then went on to say that in this diner the “f---ing Jewish women . . . think they are something special and deserve more than the others” (52 NY2d at 76). The president then refused to apologize for his comments. Complainant resigned. The Court of Appeals found that there was enough evidence to support a claim of constructive discharge.

570 [2d Cir 2000]; accord *Whidbee v Garzarelli Food Specialties, Inc.*, 223 F3d 62, 69 [2d Cir 2000]). “[T]he objective severity of harassment should be judged from the perspective of a reasonable person in the plaintiff’s position considering ‘all the circumstances’ ” (*Oncale v Sundowner Offshore Servs., Inc.*, 523 US 75, 81 [1998]; *Harris v Forklift*, 510 US at 23). Thus, plaintiff does not have to prove an intent to discriminate.

Addressing only the racial epithets, appellant should be entitled to show that such statements interfered with Forrest’s work environment (see *Schwapp v Town of Avon*, 118 F3d 106, 110 [2d Cir 1997] [opprobrious racial comments were evidence enough to deny summary judgment motion]). If White staff were encouraged to call appellant “our Black American Princess,” on several occasions, and/or she was perceived to be or stated to be “an uppity nigger,” and/or appellant and other African-Americans were perceived as lazy people requiring stroking in order to work, appellant has alleged enough to withstand summary judgment.

RETALIATION

In order to make a prima facie showing of retaliation, Forrest must show: (1) participation in a protected activity known to defendant; (2) an adverse employment action; and (3) a causal connection between the protected activity and the adverse employment action (see *Francis v Chemical Banking Corp.*, 62 F Supp 2d 948, 961 [ED NY 1999]). Forrest filed several grievances with the union and with personnel director, Carol Handfus. For a union member, filing grievances with the union is a protected activity (see *Vara v Mineta*, 2004 WL 2002932, *13-14, 2004 US Dist LEXIS 17961, *41-46 [SD NY, Sept. 7, 2004]; *Feingold v New York*, 366 F3d 138, 156 [2d Cir 2004]). Filing complaints with the EEOC and Human Rights Commission are also protected activities (*id.*). Defendants’ knowledge of appellant’s assertions is evidenced by the signatures of Carol Handfus and Dersh on the grievance letters and the meetings on the grievances.

Adverse actions are those which affect the “terms, privileges, duration, or conditions of the plaintiff’s employment” (see *Dortz v City of New York*, 904 F Supp 127, 156 [SD NY 1995] [citation omitted]). Forrest claims that after filing grievances, her job title, office space, vacation requests, and job duties were adversely affected. Appellant alleges that she was demoted from music therapist to creative arts therapist, case manager and/or

that she was required to perform the duties of both the creative arts therapist and case manager. Appellant filed a grievance concerning the increase in job duties without any commensurate increase in pay. Further, appellant claims that she suffered a reduction in pay of approximately \$2,500 as a result of her grievances.

Appellant claims retaliation by changing the conditions of her employment (e.g., change of her lunch hour, and constant complaints about her written work product). Appellant in a letter to Handfus complained about the denial of her previous lunch hour, and made a request for clarification concerning what if any changes had been made which would cause her to have a different lunch hour than prior to November 1992.

Respondent claims that any changes in job title and duties were the result of a state-mandated restructuring which occurred in 1991. Because of the restructuring, the employees with titles of music therapist were allegedly changed to creative arts therapist and later case manager. What restructuring was required is not shown in this record. However, even with the restructuring, many of the complaints of appellant to her supervisor came much later in 1992 and concerned the change in matters of benefits, not just job title. Further, appellant consistently stated that her credentials were superior to the new job duties, and that the new job was not the job she accepted with the Guild.

Whether or not these changes occurred as a result of the grievances filed by appellant would arguably be a question of fact for the jury. Further, whether or not appellant was terminated as a result of her grievances and for filing a complaint in September 1994 with the EEOC and New York City Human Rights Commission would also arguably be questions for the jury.

CLAIMS OF AIDING AND ABETTING RACIAL DISCRIMINATION

Appellant asserts that Handfus, Dersh, Adlivankina, and Finocchiaro aided and abetted the racial discrimination in employment against her. Appellant points to Executive Law § 296 (6) and Administrative Code § 8-107 (6) which both proscribe aiding and abetting in unlawful discrimination. The standard for proving aiding and abetting is that the defendants “actually participate[d]” in the alleged discriminatory acts (*see Dunson v Tri-Maintenance & Contrs., Inc.*, 171 F Supp 2d 103, 114 [ED

NY 2001] [finding of actual participation in firing]). The person alleged to have engaged in the discrimination does not have to have power to hire and fire, just “direct participation” in the discrimination (*see id.*).

Appellant claims that the Guild failed to act on her numerous grievances, and failed to remedy the problems of harassment. While there are no grievances explicitly stating racial harassment, appellant alleges that this was due to the advice and guidance of her union representative and there is a grievance for “harassment” and “special treatment” and for “a standard only being applied to me.”

Appellant has made out a *prima facie* case of racial discrimination. What is lacking in the record and in appellant’s presentation is an adequate showing that respondents’ claims are pretextual. The Appellate Division considered each of appellant’s claims and concluded that the respondents had met their burden of showing legitimate reasons for their actions. In response to respondents’ assertions, plaintiff had to lay bare her proof that these claims were pretextual.

There are several reasons why appellant’s responses on pretext are inadequate. First, appellant does not rebut respondents’ claims that some of their administrative moves were mandated by the State. A proper response would have been to show that there was no mandated state policy or that respondents did not address that policy in their actions involving appellant. Second, appellant does not adequately address the allegedly comprehensive settlement agreement of February 1994 and show that the settlement included racial matters or, if it did not, why not. Third, appellant does not address why she did not respond to the communications sent to her in Florida in the manner requested, specifically why she did not obtain from her father’s doctor the specific information sought. Finally, appellant does not present adequate medical evidence that her psychological treatment was related to the racial hostility of the defendants. In sum, appellant has not demonstrated that the respondents’ reasons for their various actions toward her were pretextual and that the real motivating factor was racial.

If appellant had met her burden of demonstrating that the respondents’ claims were pretextual, a jury should determine whether appellant’s evidence supported her claims of discrimination based on race. Thus, she would be entitled to present evidence of whether the racial epithets, combined with the alleged

actions toward her, were enough to alter her job conditions and work and even resulted in a constructive discharge (*see Matter of Imperial Diner v State Human Rights Appeal Bd.*, 52 NY2d 72 [1980], *supra*; *Matter of Pace Coll. v Commission on Human Rights of City of N.Y.*, 38 NY2d 28 [1975], *supra*). Similarly, whether or not the conduct towards her was the result of grievances filed and whether her termination resulted from her grievances and her filing a complaint in September 1994 with the EEOC and the New York City Human Rights Commission would be questions for a jury.

Because respondents have offered nonracial reasons for their actions and because appellant did not lay bare her proof and show that the respondents' claims were pretextual, I concur in the affirmance of the order of the Appellate Division.

Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur with Chief Judge KAYE; Judge G.B. SMITH concurs in result in a separate opinion.

Order affirmed, with costs.

[819 NE2d 1036, 786 NYS2d 420]

SANDRA KAZEL, Appellant, v SUSANA CORSELLO KAZEL, as
Administrator of the Estate of ROBERT KAZEL, Deceased,
Respondent.

Argued October 20, 2004; decided November 18, 2004

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered December 31, 2003. The Appellate Division affirmed so much of an order of the Supreme Court, Onondaga County (Brian F. DeJoseph, J.; op 192 Misc 2d 459), which had denied plaintiff's motion insofar as it sought to modify a qualified domestic relations order to award plaintiff a share of decedent's preretirement death benefits. The following question was certified by the Appellate Division: "Was the order of this Court entered December 31, 2003, properly made?"

Kazel v Kazel, 2 AD3d 1267, affirmed.

HEADNOTE

Husband and Wife — Equitable Distribution — Qualified Domestic Relations Order — Preretirement Death Benefits

The judgment of divorce and qualified domestic relations order (QDRO) awarding plaintiff an interest in her former husband's pension plan did not also entitle her to preretirement death benefits payable under the plan. The QDRO, by its plain terms, granted plaintiff an interest only in decedent's retirement annuity, and not in his death benefits, and the underlying judgment failed to reflect an express intent by the matrimonial court to distribute the death benefits. Pension benefits and death benefits are two distinct matters, and if the intent of divorcing parties is to distribute death benefits in addition to pension benefits, that should be separately, and explicitly, stated. Death benefits are presumed to be excluded from a distribution of pension benefits in the absence of an express provision including them.

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By the Publisher's Editorial Staff

AM JUR 2d, Divorce and Separation §§ 532, 536.

CARMODY-WAIT 2d, Spousal Support, Counsel Fees, Child Support, and Property Distribution in Matrimonial Actions § 118:174.

3B LAW AND THE FAMILY NEW YORK (2d ed) §§ 17:8, 17:9.

NY JUR 2d, Domestic Relations §§ 2478, 2516.

ANNOTATION REFERENCE

Pension or retirement benefits as subject to award or

division by court in settlement of property rights between spouses. 94 ALR3d 176.

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POINTS OF COUNSEL

Adorante, Turner & Associates, Camillus (Anthony P. Adorante of counsel), for appellant. Plaintiff is entitled to a supplemental qualified domestic relations order providing for a division of the death benefit provision of the decedent's pension plan. (*Irato v Irato*, 288 AD2d 952; *Moran v Moran*, 289 AD2d 544; *De Gaust v De Gaust*, 237 AD2d 862; *Samaroo v Samaroo*, 193 F3d 185.)

Sugarman Law Firm, LLP, Syracuse (Timothy J. Perry of counsel), for respondent. I. The Appellate Division properly affirmed the IAS court in concluding that plaintiff is not entitled to a share of death benefits under her former husband's Niagara Mohawk pension plan, and that there is no proper basis to amend the qualified domestic relations order. (*McCoy v Feinman*, 99 NY2d 295; *Egelhoff v Egelhoff*, 532 US 141; *Fort Halifax Packing Co. v Coyne*, 482 US 1; *Pilot Life Ins. Co. v Dedeaux*, 481 US 41; *Hokanson v Office of Personnel Mgt.*, 122 F3d 1043; *Majauskas v Majauskas*, 61 NY2d 481; *Irato v Irato*, 288 AD2d 952; *Keith v Keith*, 241 AD2d 820; *Wojtowicz v Wojtowicz*, 171 AD2d 1073; *Moran v Moran*, 289 AD2d 544.) II. No amendment of the 1990 order may be made to qualify the order as a qualified domestic relations order for survivor benefits after Robert Kazel's death. (*Samaroo v Samaroo*, 193 F3d 185; *Hopkins v AT & T Global Info. Solutions Co.*, 105 F3d 153; *Ablamis v Roper*, 937 F2d 1450.)

OPINION OF THE COURT

Chief Judge KAYE.

A judgment of divorce and qualified domestic relations order (QDRO) awarding an interest in the husband's pension plan do not automatically include preretirement death benefits available under the plan. If the intent is to distribute such benefits, that should be separately, and explicitly, stated.

After 28 years of marriage, Robert and Sandra Kazel were divorced in 1991. In accordance with a final posttrial judgment distributing the marital property by, among other things, divid-

ing the husband's pension plan between the parties pursuant to the equitable distribution formula established in *Majauskas v Majauskas* (61 NY2d 481 [1984]),¹ the matrimonial court entered a QDRO directing that plaintiff wife begin to receive a fixed percentage of her former husband's monthly allowance either at such time as he "has retired from and is actually receiving a monthly allowance from his . . . Pension Plan" or, at plaintiff's option, "after the earlier to occur of the first date for payments allowed under the plan or after [he] reaches the earliest retirement age under the Plan."

Robert Kazel died in 2001 before reaching retirement age, and therefore never received any payments under the plan. Following his death, plaintiff sought to share with decedent's widow in preretirement death benefits payable under decedent's pension plan. Because the QDRO, by its plain terms, granted plaintiff an interest only in decedent's retirement annuity, and not in his death benefits, the plan administrator denied plaintiff any share of those benefits.

Plaintiff, conceding that the QDRO failed to grant her an interest in her former husband's death benefits, sought to modify or supplement the QDRO to award her a share of such benefits. Supreme Court denied the motion, concluding that plaintiff had failed to establish that the intent of the underlying divorce decree had been to award her survivor benefits. The Appellate Division, one Justice dissenting, affirmed and granted leave to appeal to this Court, certifying the following question: "Was the order of this Court entered December 31, 2003, properly made?" We answer in the affirmative, and therefore affirm.

Discussion

The Employee Retirement Income Security Act of 1974 (29 USC § 1001 *et seq.*) (ERISA) and the Internal Revenue Code of 1986 (IRC) require all pension plans to provide survivor benefits to a participant's surviving spouse (*see* ERISA [29 USC] § 1055

1. *Majauskas* held that vested rights in a noncontributory pension plan are marital property to the extent they were acquired between the date of the marriage and the commencement of a matrimonial action, and that the matrimonial court may therefore order distribution to one spouse of an equitable portion of that part of the present value of the other spouse's pension rights earned during marriage, or may provide that upon maturity of the pension rights the recipient pay a portion of each payment received to the former spouse (*see* 61 NY2d at 485-486).

[a]; Internal Revenue Code [26 USC] § 401 [a] [11]; § 417). Pursuant to a divorce, however, a QDRO can provide that a former spouse be treated as a surviving spouse—to the exclusion of the actually surviving spouse if, as here, the decedent had remarried—for purposes of ERISA and the joint and survivor rules of the IRC (*see* ERISA [29 USC] § 1056 [d] [3] [F]; Internal Revenue Code [26 USC] § 401 [a] [11]; §§ 417, 414 [p] [5] [A]).² Thus, a former spouse can overcome the right of an actually surviving spouse to receive a survivor annuity only if specifically awarded such benefits by the matrimonial court. Further, such an award must be reflected in a QDRO, evidenced by clear language designating the former spouse as the surviving spouse for purposes of the survivor benefits. The QDRO must reflect the intent of the underlying judgment of divorce, and must comply with its terms.

Although plaintiff contends that the phrase “pension plan,” as contained in the underlying judgment of divorce, can encompass both retirement annuities and survivor benefits, the law is otherwise.

In *McCoy v Feinman* (99 NY2d 295, 303 [2002]), we explained that “*Majauskas* can govern equitable distribution of preretirement death benefits earned during the marriage, but mere mention of *Majauskas* does not by itself establish the parties’ intent to allocate those benefits” (emphasis in original). As we stated then and underscore now, pension benefits and death benefits are two distinct matters. Both ERISA and the IRC treat them as separate interests, and we therefore hold that reference to a pension plan or pension benefits will not be deemed to include death benefits. Indeed, even “a stipulation’s conclusory representation that the parties agreed to allocate to the nonemployee spouse all the benefits available . . . under the applicable section of the Internal Revenue Code—which authorizes but does not mandate assignment of survivor benefits (*see* 26 USC § 414 [p])—does not evince the parties’ intent to distribute each such benefit” (*McCoy*, 99 NY2d at 303 [internal quotation marks omitted]). Rather, any distribution of survivor benefits should be explicitly stated.

Plaintiff’s attempt to distinguish this case from *McCoy* is unavailing. There, the stipulation of settlement “clearly

2. Of course, a QDRO can provide that the former spouse receive all or only a portion of the survivor benefits, in which case the benefits would be shared with the actually surviving spouse.

expressed the parties' intention to award plaintiff *retirement benefits* under the plan. Critically, however, in no way did the stipulation provide or even suggest that the parties had agreed to allocate to plaintiff *preretirement death benefits*, and we cannot read the stipulation as if it had" (99 NY2d at 303 [emphasis in original]). Because the stipulation "was not ambiguous and did not cover preretirement death benefits, it did not entitle plaintiff to receive those benefits; nor did the judgment, which merely incorporated that stipulation" (*id.*).

True, *McCoy* involved a stipulation between the parties, rather than a decree issued after trial. But that distinction is immaterial. Fundamentally, the issue in *McCoy* was whether a stipulation, silent as to death benefits, could be read to reflect an intent to include such benefits. We held that it could not. Similarly, a divorce decree, silent as to death benefits, cannot be read to include them.

Whether the matrimonial court should have, or would have, equitably distributed the preretirement benefits, the fact remains that it did not.³ In the absence of evidence that the death benefits were ever considered by the matrimonial court, we will not infer from silence in the underlying trial record—let alone contrary language in the QDRO—that the intent of the court was other than to provide plaintiff with a share of any benefits actually received by her former husband during his lifetime, or that the matrimonial court's reference in its amended decision to "pension interests"—which clearly *were* meant to be divided—included death benefits. Although plaintiff would have us presume that death benefits are meant to be included within a distribution of pension benefits in the absence of an express provision excluding them, the law requires the contrary presumption.

Since the underlying judgment fails to reflect an express intent by the matrimonial court to distribute the death benefits, the QDRO was not, as plaintiff asserts, carelessly drafted, but rather correctly reflects—as it must—the terms of the decree from which it arises.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

3. On this record, the failure of the judgment of divorce to distribute preretirement death benefits is unsurprising. It appears that no evidence was adduced at trial with respect to any value, or even the existence, of such benefits.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO, READ
and R.S. SMITH concur.

Order affirmed, etc.

[819 NE2d 1032, 786 NYS2d 416]

In the Matter of 427 WEST 51ST STREET OWNERS CORP., Appellant, v DIVISION OF HOUSING AND COMMUNITY RENEWAL, Respondent.

Argued October 20, 2004; decided November 18, 2004

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 19, 2004. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, New York County (Leland DeGrasse, J.), entered in a proceeding pursuant to CPLR article 78, which had denied the petition and dismissed the proceeding.

Matter of 427 W. 51st St. Owners Corp. v Division of Hous. & Community Renewal, 4 AD3d 185, affirmed.

HEADNOTE

Landlord and Tenant — Rent Regulation — Petition for Administrative Review — Defect in Filing by Tenants' Authorized Representative

In a proceeding to review respondent Division of Housing and Community Renewal's (DHCR) determination that certain of petitioner's tenants were entitled to a rent reduction as the result of petitioner's reduction of building services, respondent's action allowing the tenants to remedy a defect in the authorization provided by the pro se tenant representative who had timely filed the petition for administrative review (PAR) on their behalf was not arbitrary or capricious or an abuse of discretion. DHCR's regulations provide that a PAR may be filed on behalf of tenants by a representative if the representative includes written evidence of his or her authorization to act, and DHCR's instructions accompanying the PAR form allow a representative of a building-wide tenant organization to file a PAR on behalf of all the organization's members. Here, the co-chair of the building-wide tenants' association timely filed the PAR on behalf of other tenants in the association. Although the required clear statement that she was filing on behalf of all members was lacking, the tenants' intention for her to represent them was clear, and respondent viewed the papers filed as a good faith effort in substantial compliance with its regulation and instructions.

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By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant §§ 1072–1074.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) § 2:40.

NY JUR 2d, Landlord and Tenant §§ 430, 437, 499.

NEW YORK REAL PROPERTY SERVICE § 74:71.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Rent.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: rent /2 stabiliz! & rent /2 reduc! & tenant! /3 represent!

POINTS OF COUNSEL

Kucker & Bruh, LLP, New York City (*Nativ Winiarsky* and *Patrick K. Munson* of counsel), for appellant. By soliciting tenants to join in a petition for administrative review determination four years after it was filed, the Division of Housing and Community Renewal has violated its own regulations and appellant's due process rights and acted in a manner that was clearly arbitrary. (*Matter of Dowling v Holland*, 245 AD2d 167; *Matter of LeHavre Tenants Assn. v New York State Div. of Hous. & Community Renewal*, 176 AD2d 877; *Matter of Lipes v State of N.Y., Div. of Hous. & Community Renewal*, 174 AD2d 571; *Rusty Realty Assoc. v New York State Div. of Hous. & Community Renewal*, 161 AD2d 207; *Matter of Black Realty Co. v State Div. of Hous. & Community Renewal*, 201 AD2d 432; *Matter of Kansas Leasing Ltd. Partnership v Division of Hous. & Community Renewal*, 255 AD2d 384; *Matter of Hart v New York State Div. of Hous. & Community Renewal*, 195 AD2d 381; *Matter of Boulevard Tenants Corp. v New York State Div. of Hous. & Community Renewal*, 264 AD2d 444; *Matter of S & M Dev. v State Div. of Hous. & Community Renewal*, 182 AD2d 995; *Matter of Eastern Pork Prods. Co. v New York State Div. of Hous. & Community Renewal*, 187 AD2d 320.)

Caroline M. Sullivan, New York City, and *Marcia P. Hirsch* for respondent. I. The Commissioner of the Division of Housing and Community Renewal's decision was rationally based on the record and in accord with applicable laws and regulations. (*Matter of Hyde Park Gardens v State of N.Y., Div. of Hous. & Community Renewal*, 140 AD2d 351, 73 NY2d 998; *Matter of ANF Co. v Division of Hous. & Community Renewal*, 176 AD2d 518; *Matter of Hyde Park Assoc. v Higgins*, 191 AD2d 440; *Matter of Hakim v Division of Hous. & Community Renewal*, 273 AD2d 3, 95 NY2d 887; *Matter of Weber v New York State Div. of Hous. & Community Renewal*, 190 AD2d 810; *Matter of M.J. Raynes, Inc.*

v State Div. of Hous. & Community Renewal, 136 Misc 2d 626; *Matter of Knobler v Division of Hous. & Community Renewal*, 257 AD2d 387; *Matter of Lighthouse Props. v New York State Div. of Hous. & Community Renewal*, 305 AD2d 283, 100 NY2d 516; *1 BK St. Corp. v New York State Div. of Hous. & Community Renewal*, 302 AD2d 263, 100 NY2d 516; *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144.) II. The Commissioner of the Division of Housing and Community Renewal's order should be affirmed. (*Greystone Mgt. Corp. v Conciliation & Appeals Bd.*, 94 AD2d 614, 62 NY2d 763; *Matter of Pell v Board of Educ.*, 34 NY2d 222; *Matter of Salvati v Eimicke*, 72 NY2d 784, 73 NY2d 995; *Matter of McMurray v New York State Div. of Hous. & Community Renewal*, 135 AD2d 235, 72 NY2d 1022, 73 NY2d 918; *Barklee Realty Co. v Division of Hous. & Community Renewal*, 159 AD2d 416, 76 NY2d 709, 844; *Matter of Krakower v State of N.Y., Div. of Hous. & Community Renewal*, 137 AD2d 688, 74 NY2d 613.)

OPINION OF THE COURT

READ, J.

On October 2, 1996, 51 tenants of a rent-stabilized building owned by respondent landlord applied to the Division of Housing and Community Renewal (DHCR) for a rent reduction based on a diminution of building services, including loss of 24-hour access to the basement (*see* 9 NYCRR 2520.6 [r]; 2523.4). On September 8, 1997, DHCR issued an order generally favoring the tenants and granting a rent reduction, but determining that the complained-of cutback in basement access was a *de minimis* condition not warranting a finding of decreased services (9 NYCRR 2523.4 [e]). On September 22, 1997, a tenants' representative filed a timely petition for administrative review (PAR) to contest the *de minimis* finding.

DHCR's regulations provide that a PAR may be filed on behalf of tenants by a representative who verifies the PAR "provided that such representative includes, at the time of the filing of the PAR, written evidence of authorization to act in such representative capacity for the purpose of filing the PAR" (9 NYCRR 2529.1 [b] [2]). Further, DHCR's instructions accompanying the PAR form allow a representative of a building-wide tenant organization to file a PAR on behalf of all the organization's members. The representative must attach "either a resolution of the organization authorizing such representative filing, or if an officer of the organization is empowered to authorize such representative filing, the authorization of such officer." The

instructions also require the representative to attach “a statement that the representative is filing on behalf of all members of the organization . . . and a current roster of the organization’s members.” In this case, a verified PAR was filed by the co-chair of the tenants’ association, who had corresponded with DHCR on the tenants’ behalf while the original complaint was pending. She attached a statement authorizing her to pursue the PAR in a representative capacity. This statement was signed by six individuals who identified themselves as members of the building’s tenants’ association committee. She also attached a copy of the lists of signatures and addresses of the 51 tenants provided with the original complaint, which included her own name and address as well as the names and addresses of the six members of the committee.

On April 22, 1998, DHCR granted the PAR insofar as there was insufficient basis for finding that curtailment of 24-hour access to basement facilities was *de minimis*. DHCR remanded the matter for further consideration, with notice to the tenants whose names were on the lists attached to the PAR. Thirty-three of the tenants responded, and these responses were forwarded to the landlord. DHCR held a hearing at which five of the tenants testified, including three whose names appeared only on the lists; the landlord did not appear.

On March 28, 2000, DHCR issued an order finding a reduction in service on account of the loss of 24-hour access to the basement, and directing a rent reduction for the 51 tenants. This caused the landlord to file a PAR on May 2, 2000 to challenge both the order’s substance and its scope. On October 3, 2000, DHCR issued an order upholding the finding of decreased services, but agreeing with the landlord that those tenants whose reproduced signatures appeared on the September 22, 1997 PAR had not properly appealed the original order. Accordingly, DHCR revoked its March 28, 2000 order with respect to those tenants.

The tenants commenced a CPLR article 78 proceeding to contest DHCR’s decision, and moved to modify DHCR’s October 3, 2000 order to include all 51 tenants. DHCR cross-moved to remit for reconsideration. On May 9, 2001, Supreme Court denied the tenants’ motion and granted DHCR’s cross motion. On October 15, 2001, DHCR sent letters to the 51 tenants, briefly outlining what had happened and advising that “proper procedure should have been for DHCR to have first given all of the complaining tenants a chance to submit an affirmation

authorizing the tenants' representative to sign the September [22], 1997 PAR on their behalf." DHCR enclosed its supplemental form for an application for a rent reduction based upon decreased building-wide services, and instructed the tenants to return the signed form within 21 days if they wished to authorize the tenants' association's co-chair to represent them in the September 22, 1997 PAR. Thirty-five tenants returned a signed form to DHCR.

On January 9, 2002, DHCR issued an order upon reconsideration determining that

"it was an error to . . . revok[e] the rent reduction for all but seven⁽¹⁾ of the tenants, because there was substantial compliance by the tenants in filing a proper PAR. Although the list of tenants attached to the September 22, 1997 PAR did not contain original signatures for all but six tenants, DHCR precedent has established that, for such a defect, the proper procedure is for DHCR to inform the tenants of the defect and allow time for them to correct it."

Consistent with this "proper procedure," DHCR modified its previous orders so as to grant the rent reduction to those 35 tenants who returned the signed authorization forms to DHCR.²

On March 11, 2002, the landlord brought this article 78 proceeding to challenge DHCR's January 9, 2002 order upon reconsideration. On August 15, 2002, Supreme Court denied the landlord's petition and dismissed the proceeding, concluding that DHCR had acted within its discretion under 9 NYCRR 2529.7 to correct technical deficiencies in a PAR. The Appellate Division subsequently affirmed, with two Justices dissenting (4 AD3d 185 [1st Dept 2004]).

The Rent Stabilization Code vests the DHCR Commissioner with discretion to permit correction of technical defects in a timely filed PAR, including (for good cause shown) to accept for filing any other papers even though not filed within the required time limitations (9 NYCRR 2529.7 [d]; see also *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144, 150 [2002] [Rent Stabilization Code permits DHCR

1. The September 22, 1997 PAR was consolidated with another PAR signed and filed at roughly the same time by an individual tenant. This tenant's name also appeared on the lists attached to the September 22, 1997 PAR.

2. The 35 tenants included those seven tenants for whom DHCR had previously authorized a rent reduction.

to accept new evidence for good cause shown at any point before the Commissioner enters a final order]). Here, a pro se tenant representative, the co-chair of the building-wide tenants' association, timely filed a PAR on behalf of other tenants in the association. DHCR's regulations and instructions do not, in fact, require a signed authorization from each member of the association under these circumstances; rather, the representative is directed to provide authorization from the organization as well as a list of the organization's members and a statement that the representative is filing on behalf of all members. In this case, a clear statement was lacking, but DHCR viewed the papers filed as a good faith effort in substantial compliance with its regulation and instructions.

"[T]he interpretation given to a regulation by the agency which promulgated it and is responsible for its administration is entitled to deference if that interpretation is not irrational or unreasonable" (*Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545, 548-549 [1997] [citations omitted]). DHCR's interpretation of its regulation permitting a PAR to be filed by an authorized representative (9 NYCRR 2529.1 [b] [2]) is neither irrational nor unreasonable. DHCR's action allowing the tenants to remedy a defect in authorization that it did not notice when accepting the PAR for filing (*see* 9 NYCRR 2529.7 [d]) was not arbitrary or capricious or an abuse of discretion. The tenants' intention for the co-chair of the tenants' association to represent them was clear, if imperfectly expressed. Moreover, the deficient authorization did not mislead the landlord into thinking that only seven individual tenants supported the PAR; 33 tenants responded to the notice of remand. The landlord did not question the authorization's legitimacy until after the hearing had been held and an order adverse to its interests issued. In light of these circumstances, DHCR reasonably afforded the tenants an opportunity to cure the deficiency in authorization.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur.

Order affirmed, with costs.

[819 NE2d 1029, 786 NYS2d 413]

ROGER MASON, Appellant, v CENTRAL SUFFOLK HOSPITAL et al.,
Respondents.

Argued October 12, 2004; decided November 18, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 19, 2003. The Appellate Division reversed, on the law, so much of an order of the Supreme Court, Suffolk County (Robert W. Doyle, J.), as had denied defendants' motion pursuant to CPLR 3211 (a) (7) to dismiss the complaint for failure to state a cause of action, (2) granted the motion, and (3) dismissed the complaint.

Mason v Central Suffolk Hosp., 305 AD2d 556, affirmed.

HEADNOTE

Hospitals — Medical Staff Privileges

No action for damages may be based on a violation of medical staff bylaws, unless clear language in the bylaws creates a right to that relief. It is preferable for hospital administrators who decide whether to grant or deny staff privileges to make those decisions free from the threat of a damages action against the hospital. However, a clearly written contract, granting privileges to a doctor for a fixed period of time, and agreeing not to withdraw those privileges except for specified cause, will be enforced.

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By the Publisher's Editorial Staff

AM JUR 2d, Hospitals and Asylums §§ 17–24, 44, 57.

NY JUR 2d, Hospitals and Related Health Care Facilities
§§ 22–25.

ANNOTATION REFERENCE

See ALR Index under Hospitals.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: hospital /s staff /s by-law rule /s violat! & damage

POINTS OF COUNSEL

Robert G. Spevack, New York City, and *Michael P. Barnes* for appellant. I. The holdings of the Appellate Division departments have deprived physicians of any effective remedy for violations

and abuse of hospital bylaws. (*Tedeschi v Wagner Coll.*, 49 NY2d 652; *Chalasani v Neuman*, 97 AD2d 806, 64 NY2d 879; *Gianelli v St. Vincent's Hosp. & Med. Ctr.*, 160 AD2d 227; *Bogdan v Peekskill Community Hosp.*, 168 Misc 2d 856; *Chime v Sicuranza*, 221 AD2d 401; *Falk v Anesthesia Assoc. of Jamaica*, 228 AD2d 326; *Gelbard v Genesee Hosp.*, 255 AD2d 882; *Moallem v Jamaica Hosp.*, 264 AD2d 621.) II. The Public Health Law was never intended to eliminate a physician's cause of action for monetary damages and replace it with a statutory cause of action for injunctive relief only. (*Gianelli v St. Vincent's Hosp. & Med. Ctr.*, 160 AD2d 227; *Wasserman v Maimonides Med. Ctr.*, 268 AD2d 425; *Leider v Beth Israel Hosp. Assn.*, 11 NY2d 205; *Chalasani v Neuman*, 97 AD2d 806; *Tedeschi v Wagner Coll.*, 49 NY2d 652; *Gelbard v Genesee Hosp.*, 87 NY2d 691; *Tassy v Brunswick Hosp. Ctr., Inc.*, 296 F3d 65; *Falk v Anesthesia Assoc. of Jamaica*, 228 AD2d 326; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Weiner v McGraw-Hill, Inc.*, 57 NY2d 458.) III. Plaintiff has stated a cause of action pursuant to CPLR 3211 (a) (7). (*Matter of Katz*, 81 AD2d 145, 55 NY2d 904.) IV. Even under the Appellate Division's view of the law, plaintiff has stated a prima facie case. (*Chuz v St. Vincent's Hosp.*, 186 AD2d 450; *Chime v Sicuranza*, 221 AD2d 401; *Wasserman v Maimonides Med. Ctr.*, 268 AD2d 425.) V. Plaintiff has sufficiently pleaded a case against Dr. Jon Zelen based upon tortious interference with contractual relations. (*Foster v Churchill*, 87 NY2d 744.)

Nixon Peabody LLP, Garden City (*Michael S. Cohen*, *James Fabian* and *Christopher J. Porzio* of counsel), for respondents. I. This Court should not recognize a contractual cause of action for monetary damages arising out of an alleged violation of hospital or medical staff bylaws. (*Guibor v Manhattan Eye, Ear & Throat Hosp.*, 46 NY2d 736; *Gelbard v Genesee Hosp.*, 87 NY2d 691; *Moallem v Jamaica Hosp.*, 264 AD2d 621; *Gelbard v Genesee Hosp.*, 255 AD2d 882, 93 NY2d 916; *Dolgin v Mercy Hosp.*, 127 AD2d 557; *Leider v Beth Israel Hosp. Assn.*, 11 NY2d 205; *Yates v Cohoes Mem. Hosp.*, 64 AD2d 726; *Rockland Physician Assoc., P.C. v Grodin*, 616 F Supp 958; *Tedeschi v Wagner Coll.*, 49 NY2d 652; *Maas v Cornell Univ.*, 94 NY2d 87.) II. Even if this Court does recognize a cause of action for damages for breach of medical staff bylaws, it should do so consistent with current Appellate Division precedent and affirm the dismissal of Dr. Roger Mason's claim. (*Wasserman v Maimonides Med. Ctr.*, 268 AD2d 425; *Chuz v St. Vincent's Hosp.*, 186 AD2d 450; *Saha v Record*, 177 AD2d 763; *Farooq v Millard Fillmore*

Hosp., 172 AD2d 1063; *Falk v Anesthesia Assoc. of Jamaica*, 228 AD2d 326, 89 NY2d 916; *Giordano v Victory Mem. Hosp.*, 273 AD2d 353; *Moallem v Jamaica Hosp.*, 264 AD2d 621; *Gelbard v Genesee Hosp.*, 255 AD2d 882, 93 NY2d 916; *Matter of Chong-Hwan Wee v City of Rome*, 233 AD2d 876; *Harris v Eisenberg*, 199 AD2d 305.) III. The proposed amended complaint fails to allege adequately any violation of the bylaws. (*Fried v Straussman*, 41 NY2d 376; *Maltz v New York Univ. Med. Ctr.*, 121 AD2d 323.) IV. Dr. Roger Mason has not adequately alleged any breach of contract induced by Dr. Jon Zelen, requiring an affirmation of the dismissal of the cause of action for tortious interference with contract. (*Foster v Churchill*, 87 NY2d 744; *Falk v Anesthesia Assoc. of Jamaica*, 228 AD2d 326, 89 NY2d 916; *Gelbard v Genesee Hosp.*, 255 AD2d 882.)

O'Connell and Aronowitz, Albany (Jane Bello Burke and J. Alex Augustin of counsel), for Healthcare Association of New York State, amicus curiae. I. A physician has no right, under common law or statute, to recover damages from a hospital for a denial of staff privileges. (*Gelbard v Genesee Hosp.*, 87 NY2d 691; *Matter of Cohoes Mem. Hosp. v Department of Health*, 48 NY2d 583; *Guibor v Manhattan Eye, Ear & Throat Hosp.*, 46 NY2d 736; *Fried v Straussman*, 41 NY2d 376; *Leider v Beth Israel Hosp. Assn.*, 11 NY2d 205; *Van Campen v Olean Gen. Hosp.*, 210 App Div 204, 239 NY 615; *Matter of Fritz v Huntington Hosp.*, 39 NY2d 339; *Moallem v Jamaica Hosp.*, 264 AD2d 621.) II. *Tedeschi v Wagner Coll.* (49 NY2d 652 [1980]) does not provide a basis to challenge a hospital staff privileges decision based upon a violation of the medical staff bylaws. (*Maas v Cornell Univ.*, 94 NY2d 87; *Matter of Amodei v New York State Chiropractic Assn.*, 77 NY2d 891; *Matter of De Petris v Union Settlement Assn.*, 86 NY2d 406; *Gertler v Goodgold*, 107 AD2d 481, 66 NY2d 946; *Chalasani v Neuman*, 97 AD2d 806, 64 NY2d 879; *Matter of Murphy v St. Agnes Hosp.*, 107 AD2d 685; *Bogdan v Peekskill Community Hosp.*, 168 Misc 2d 856; *Gianelli v St. Vincent's Hosp. & Med. Ctr.*, 160 AD2d 227; *Chime v Sicuranza*, 221 AD2d 401.) III. On public policy grounds, the decision should be affirmed. (*Sithian v Spence*, 283 AD2d 566.)

OPINION OF THE COURT

R.S. SMITH, J.

In *Gelbard v Genesee Hosp.* (87 NY2d 691, 698 [1996]), we left open the question “whether a breach of contract action can be predicated on a violation of medical staff bylaws.” We now

answer that question in part, holding that no action for damages may be based on a violation of medical staff bylaws, unless clear language in the bylaws creates a right to that relief.

Facts

Doctor Roger Mason was a member of the medical staff of Central Suffolk Hospital and a specialist in laparoscopic surgery (surgery performed by means of a narrow tube called a laparoscope inserted through the abdominal wall). On February 3, 1998, the Hospital suspended Dr. Mason's privileges to perform "advanced" laparoscopic procedures, and required him to obtain a concurring second opinion before performing certain other kinds of surgery. The Hospital based its decision on a review of Dr. Mason's cases by another doctor, who reported that in some of those cases Dr. Mason's skills and judgment appeared to be flawed, and that his failings may have caused patients to be injured.

Dr. Mason sought internal review of this decision pursuant to the Hospital's bylaws. Lengthy proceedings followed, with the net result that the Hospital found the initial suspension to be justified; discontinued the requirement for a second opinion, but required a period of monitoring of certain procedures; and provided for reinstatement of Dr. Mason's advanced laparoscopic surgery privileges on certain conditions. Dr. Mason then complained to the Public Health Council of the Department of Health, pursuant to Public Health Law § 2801-b. The Public Health Council rejected his complaint.

After the Public Health Council's ruling, Dr. Mason brought this action against the Hospital and Dr. Jon Zelen, a former employee of Dr. Mason's surgical practice group who had left before February 1998 to form a competing group. Dr. Mason alleged that Dr. Zelen had stood to gain from restrictions being placed on Dr. Mason's privileges, and that he had therefore made false accusations and stirred up an unwarranted investigation by the Hospital. Dr. Mason claimed that the Hospital's bylaws were a contract between him and the Hospital, and that the Hospital breached that contract by failing to follow the procedures the bylaws required and by suspending him "without legitimate cause." He sought damages from the Hospital for breach of contract, and from Dr. Zelen for inducing the breach.

Defendants' motion to dismiss the complaint for failure to state a cause of action was denied by Supreme Court. The Appellate Division reversed and ordered the complaint dismissed. We now affirm the Appellate Division's order.

Discussion

A number of our cases reject claims by doctors complaining of the denial of hospital privileges. One of these was *Leider v Beth Israel Hosp. Assn.* (11 NY2d 205, 208 [1962]), in which we held “that the plaintiff, a surgeon, has no vested right to the use of the hospital’s facilities for the care and treatment of his private patients.” In *Guibor v Manhattan Eye, Ear & Throat Hosp., Inc.* (46 NY2d 736, 737 [1978]), we cited *Leider* for the broad proposition that “[a]t common law, absent a contractual obligation to the contrary, a physician’s continued professional association with a private hospital was within the unfettered discretion of the hospital’s administrators.”

We noted in *Guibor* that “this seemingly harsh common-law rule” had been “tempered” by the enactment of Public Health Law § 2801-b. (*Id.*) The statute provides that it “shall be an improper practice” for a hospital’s governing body to “curtail, terminate or diminish in any way a physician’s . . . professional privileges in a hospital, without stating the reasons therefor, or if the reasons stated are unrelated to standards of patient care, patient welfare, the objectives of the institution or the character or competency of the applicant” (§ 2801-b [1]). It also provides that any person “claiming to be aggrieved by an improper practice as defined in this section” can make a complaint to the Public Health Council, which, if it upholds the complaint, shall direct the hospital’s governing body to review its actions (§ 2801-b [2], [3]); and that the statute’s provisions “shall not be deemed to impair or affect any other right or remedy” (§ 2801-b [4]). Public Health Law § 2801-c provides that Supreme Court “may enjoin violations or threatened violations of any provisions of this article.” In *Guibor*, we held that an action seeking an injunction under section 2801-c was premature where the doctor had not first presented his claim to the Public Health Council.

In *Gelbard v Genesee Hosp.* (87 NY2d 691 [1996]), a physician sought an order restoring his staff privileges, relying not on the Public Health Law, but on the hospital’s bylaws. Dr. Gelbard claimed, as Dr. Mason does here, that the bylaws were a contract, and he sought an injunctive remedy for their breach. Without reaching the merits of Dr. Gelbard’s claim we held that the lawsuit, as in *Guibor*, was premature; even where a doctor who is seeking reinstatement sues for breach of contract, his claim must first be presented to the Public Health Council, for otherwise the “statutory requirement of threshold [Public

Health Council] review” might be “circumvented by artful pleading” (*id.* at 697).

This case differs from *Gelbard* in two ways: Dr. Mason is not seeking reinstatement, but damages, and he has already presented his claim to the Public Health Council. No argument can be or is made that Dr. Mason’s suit is premature, and therefore we must decide in this case, as we did not need to do in *Gelbard*, whether the claim is legally sufficient.

While we have never decided whether hospital bylaws constitute a contract for breach of which a doctor may sue, several Appellate Division decisions have dealt with that question, producing mixed and perhaps inconsistent results. Some cases decline to dismiss complaints alleging breach of medical staff bylaws, holding them legally sufficient as suits for injunctive relief (*e.g.*, *Chalasani v Neuman*, 97 AD2d 806 [2d Dept 1983]) or damages (*Giannelli v St. Vincent’s Hosp. & Med. Ctr. of N.Y.*, 160 AD2d 227 [1st Dept 1990]; *Chime v Sicuranza*, 221 AD2d 401 [2d Dept 1995]). Other decisions, however, appear to limit the effect of these holdings in damages actions by rejecting complaints for wrongful termination of staff privileges based on alleged bylaw violations (*Falk v Anesthesia Assoc. of Jamaica*, 228 AD2d 326 [1st Dept 1996]; *Gelbard v Genesee Hosp.*, 255 AD2d 882 [4th Dept 1998]). There appears to be no appellate case in which a damages award for breach of medical staff bylaws has been upheld after trial.

The decisions of our Court, and many of those of the Appellate Division, are consistent with an important, though generally unexpressed, policy consideration: It is preferable for hospital administrators who decide whether to grant or deny staff privileges to make those decisions free from the threat of a damages action against the hospital. It is not just in a hospital’s interest, but in the public interest, that no doctor whose skill and judgment are substandard be allowed to treat or operate on patients. A decision by those in charge of a hospital to terminate the privileges of, or deny privileges to, a doctor who may be their colleague will often be difficult. It should not be made more difficult by the fear of subjecting the hospital to monetary liability.

This does not mean, of course, that the hospital may not expose itself to such liability if it chooses to do so. A clearly written contract, granting privileges to a doctor for a fixed period of time, and agreeing not to withdraw those privileges except for

specified cause, will be enforced. But the bylaws in this case are not such a contract.

Not a word in the bylaws that are now before us says or implies that doctors have a vested right to hospital privileges. The most relevant provisions of the bylaws are procedural, not substantive: They are contained in article V (Procedure for Appointment and Reappointment) and article VI (Hearing and Appeal Procedures). It is most unlikely that these bylaw provisions were intended by anyone to create a monetary claim in favor of a doctor for wrongful termination or suspension of privileges. Dr. Mason also relies on section 7.4 of the bylaws, which provides that no representative of the Hospital or staff shall be liable for action taken “in good faith and without malice” (subsection 7.4-1). Dr. Mason claims that the Hospital acted in bad faith and with malice, and that therefore he may sue. It is farfetched, however, to suggest that section 7.4, entitled “Immunity from Liability,” was intended to create a liability where one would otherwise not exist.

Dr. Mason claims that a rule imposing liability for a breach of institutional bylaws can be traced to our decision in *Tedeschi v Wagner Coll.* (49 NY2d 652 [1980]), but *Tedeschi* actually supports the rejection of Dr. Mason’s damages claim. We held in *Tedeschi* that the plaintiff, a college student, was entitled to a judgment directing the college that was seeking to suspend her to comply with its own written guidelines; but we also held that “[s]o much of the complaint as sought money damages . . . was properly dismissed . . .” (49 NY2d at 661-662). In *Maas v Cornell Univ.* (94 NY2d 87 [1999]), we distinguished *Tedeschi* in a case brought by a professor challenging a university’s disciplinary action. We held that the professor could not sue for breach of contract based on the university’s “failure to observe bylaws and procedures” (*id.* at 90). We see no reason why the bylaws of the Hospital here should be read to confer more rights on Dr. Mason than the institutional documents in *Tedeschi* and *Maas* did on the plaintiffs in those cases.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order affirmed, with costs.

[820 NE2d 855, 787 NYS2d 211]

DAVID LANG, Appellant, v HANOVER INSURANCE COMPANY et al.,
Respondents.

Argued October 12, 2004; decided November 18, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 30, 2003. The Appellate Division (1) reversed, on the law, an amended order of the Supreme Court, Tompkins County (Robert C. Mulvey, J.), which had denied defendants' motion to dismiss the complaint, (2) granted the motion, and (3) dismissed the complaint.

Lang v Hanover Ins. Co., 309 AD2d 1123, affirmed.

HEADNOTE**Insurance — Duty to Defend and Indemnify**

Insurance Law § 3420, which grants an injured plaintiff the right to sue a tortfeasor's insurance company to satisfy a judgment obtained against the tortfeasor, precludes a direct action against a tortfeasor's insurance company until a judgment has been secured against the tortfeasor and that judgment has been served on the insurance company but has remained unpaid for 30 days. Accordingly, a declaratory judgment action brought by the injured plaintiff while his personal injury action against the tortfeasor was pending, challenging the tortfeasor's insurer's disclaimer of coverage, was properly dismissed. CPLR 3001, which governs declaratory judgment actions, does not alter the precedent regarding an injured party's standing to sue a tortfeasor's insurer. Moreover, the tortfeasor's discharge in bankruptcy did not require a different result; the bankruptcy or insolvency of an insured is precisely the situation Insurance Law § 3420 was intended to address.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Declaratory Judgments § 37; AM JUR 2d, Insurance §§ 1435, 1442.

CARMODY-WAIT 2d, Declaratory Judgments §§ 147:13, 147:77.

COUCH ON INSURANCE (3d ed) §§ 104:7–104:10, 104:27.

McKINNEY'S, CPLR 3001; Insurance Law § 3420.

NY JUR 2d, Declaratory Judgments and Agreed Case §§ 68, 167; NY JUR 2d, Insurance §§ 1969–1977.

SIEGEL, NY PRAC §§ 436, 437.

ANNOTATION REFERENCE

See ALR Index under Declaratory Judgments or Relief;
Insurance and Insurance Companies.

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Database: NY-ORCS

Query: direct /2 action /s tortfeasor /3 insur! & declaratory /2 judgment

POINTS OF COUNSEL

Greene & Reid, LLP, Syracuse (*Jeffrey G. Pomeroy* of counsel), for appellant. I. Plaintiff-appellant, as an injured party and potential beneficiary under the subject policy of insurance, has standing to bring a declaratory judgment action against defendant-respondent, Hanover Insurance Company, prior to obtaining a judgment pursuant to Insurance Law § 3420 (a) (2). (*James v Alderton Dock Yards*, 256 NY 298; *Neubeck v McDonald*, 128 Misc 768; *Watson v Aetna Cas. & Sur. Co.*, 246 AD2d 57; *Jacob Goodman & Co. v New York Tel. Co.*, 309 NY 258; *Nationwide Mut. Ins. Co. v Dennis*, 14 AD2d 188; *Curreri v Allstate Ins. Co.*, 37 Misc 2d 557; *State Farm Fire & Cas. Co. v LiMauro*, 103 AD2d 514; *Reliance Ins. Co. v Garsart Bldg. Corp.*, 122 AD2d 128; *Costa v Colonial Penn Ins. Co.*, 204 AD2d 591; *Town of Islip v S. Zara & Sons Contr. Co.*, 207 AD2d 339.)

Roe, Shantz & Iacono, Liverpool (*Frederick F. Shantz* of counsel), for respondents. I. Because plaintiff is a stranger to the insurance contract and had no judgment against a purported insured under the policy, the lower court properly found that he had no standing to bring the present proceeding. (*Burke v London Guar. & Acc. Co.*, 47 Misc 171, 126 App Div 933, 199 NY 557; *Jackson v Citizens Cas. Co.*, 277 NY 385; *Clarendon Place Corp. v Landmark Ins. Co.*, 182 AD2d 6; *Greyhound Corp. v General Acc. Fire & Life Assur. Corp.*, 19 AD2d 419, 14 NY2d 380; *Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159; *Abdalla v Yehia*, 246 AD2d 373; *Tower Ins. Co. v Skate Key*, 273 AD2d 158; *University Garden Apts. v Nationwide Mut. Ins. Co.*, 284 AD2d 975; *Hershberger v Schwartz*, 198 AD2d 859; *New York Pub. Interest Research Group v Carey*, 42 NY2d 527.) II. Even if plaintiff is found to have standing to maintain the action, dismissal of the present action was appropriate because plaintiff failed to join as a necessary party the alleged tortfeasor for whom plaintiff sought to establish coverage. (*Bello v Employees Motor Corp.*, 240 AD2d 527; *Wrobel v La Ware*, 229 AD2d 861; *Watson v Aetna Cas. & Sur. Co.*, 246 AD2d 57; *White v Nationwide Mut. Ins. Co.*, 228 AD2d 940; *Green v Welsh*, 956 F2d 30.)

Ohrenstein & Brown, LLP, New York City (*Michael D. Brown*

of counsel), for CCC Insurance Company, Ltd. and another, amici curiae. I. Plaintiff has no standing to bring any action against insurer Hanover Insurance Company because he has no rights under the insurance policy and he has not fulfilled the requirements of Insurance Law § 3420. (*Clarendon Place Corp. v Landmark Ins. Co.*, 182 AD2d 6; *Richards v Select Ins. Co.*, 40 F Supp 2d 163; *University Garden Apts. v Nationwide Mut. Ins. Co.*, 284 AD2d 975; *Abdalla v Yehia*, 246 AD2d 373; *Hershberger v Schwartz*, 198 AD2d 859; *Vargas v Boston Chicken, Inc.*, 269 F Supp 2d 92; *Hartford Fire Ins. Co. v Mitlof*, 123 F Supp 2d 762; *175 E. 74th Corp. v Hartford Acc. & Indem. Co.*, 51 NY2d 585; *NAP, Inc. v Shuttletex, Inc.*, 112 F Supp 2d 369; *Tower Ins. Co. of N.Y. v Skate Key*, 273 AD2d 158.) II. New York declaratory judgment law does not permit an injured claimant to bring an action against an insurer prior to a finding of liability against the insured. (*Clarendon Place Corp. v Landmark Ins. Co.*, 182 AD2d 6; *Aetna Cas. & Sur. Co. v Liberty Mut. Ins. Co.*, 91 AD2d 317.) III. Allowing a declaratory judgment action by an injured claimant prior to obtaining a judgment against the insured would have serious adverse effects on captive insurers and on the liability insurance industry in New York overall.

OPINION OF THE COURT

GRAFFEO, J.

Insurance Law § 3420 grants an injured plaintiff the right to sue a tortfeasor's insurance company to satisfy a judgment obtained against the tortfeasor. The issue presented in this appeal is whether the injured party may bring a declaratory judgment action against the insurance company before securing a judgment against the tortfeasor. We hold that a judgment is a statutory condition precedent to a direct suit against the tortfeasor's insurer.

Plaintiff David Lang was injured when he was struck in the eye while playing "paintball" at the home of John and Elizabeth Durbin. The paintball shot that hit plaintiff was fired by Richard Bachman, a houseguest of the Durbins. When notified of the incident, defendant Hanover Insurance Company, the Durbins' homeowners' liability insurance carrier, promptly disclaimed coverage for Bachman's acts on the ground that Bachman was not an insured party under the terms of the policy.

A year after the incident, plaintiff commenced a personal injury action against Bachman seeking damages for his alleged negligent conduct. After serving the complaint, plaintiff learned

that Bachman had filed a chapter 7 bankruptcy petition. A bankruptcy discharge was issued in April 2002.

While the personal injury case was pending, plaintiff also initiated this declaratory judgment action against Hanover challenging the disclaimer of coverage. Plaintiff sought a declaration that Bachman was an insured under the Durbin policy and that Hanover was therefore obligated to compensate Lang for the injuries Bachman negligently caused. Hanover answered and moved to dismiss the complaint. Among other arguments, Hanover asserted that plaintiff lacked standing to sue Hanover directly because plaintiff had not yet obtained a judgment against Bachman, Hanover's purported insured.

Supreme Court denied the motion to dismiss. On appeal, the Appellate Division reversed and dismissed the declaratory judgment action on the ground that Insurance Law § 3420 precludes a direct action by an injured party against a tortfeasor's insurance company until a judgment has been secured against the tortfeasor and that judgment has been served on the insurance company but has remained unpaid for 30 days. We affirm.

There is no dispute that parties to an insurance contract—the issuer, a named insured or a person claiming to be an insured under the policy—may bring a declaratory judgment action against each other when an actual controversy develops concerning the extent of coverage, the duty to defend, or other issues arising from the insurance contract. The question presented in this case is whether, and under what circumstances, a stranger to the policy—an injured party who has sued a tortfeasor—can bring a direct action against the tortfeasor's insurance company for a determination of coverage issues.

Under the common law, “an injured person possessed no cause of action against the insurer of the tortfeasor” (*Jackson v Citizens Cas. Co.*, 277 NY 385, 389 [1938]). When a plaintiff acquired a judgment against the insured and the insured failed to satisfy the judgment due to insolvency, the plaintiff could not sue the insurance company directly because there was no privity of contract between plaintiff and the insurance carrier (*Burke v London Guar. & Acc. Co.*, 47 Misc 171 [Kings County 1905], *affd* 126 App Div 933 [2d Dept 1908], *affd* 199 NY 557 [1910]). A direct suit by an injured party against the tortfeasor's insurer was thus unknown to the common law (*Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159, 166 [1967]).

As a result, even when a tortfeasor had coverage under an existing insurance policy, the common-law rule created a hard-

ship for an injured party who lacked the means to sue the insolvent tortfeasor's insurance company directly and was therefore unable to gain access to available insurance proceeds. "[I]f the insured was insolvent, so that the person injured or the estate of one killed was unable to satisfy the judgment against him, the insurer in effect would be released. The policy being one of indemnity against loss suffered by the principal, it followed that the insured having suffered no damage, there was no loss for the insurer to indemnify" (*Jackson v Citizens Cas. Co.*, 277 NY at 389). Insurance companies thus were able to avoid paying judgments for losses that would have been covered under policies issued to their insureds.

In 1917, the Legislature remedied this inequity by creating a limited statutory cause of action on behalf of injured parties directly against insurers (*Coleman v New Amsterdam Cas. Co.*, 247 NY 271, 275 [1928]). That statutory right, presently codified at Insurance Law § 3420, requires that every insurance policy issued in New York contain a provision "that the insolvency or bankruptcy of the person insured, or the insolvency of his estate, shall not release the insurer from the payment of damages for injury sustained or loss occasioned during the life of and within the coverage of such policy or contract" (Insurance Law § 3420 [a] [1]).

Section 3420 (b) (1) authorizes "any person who . . . has obtained a judgment against the insured . . . for damages for injury sustained or loss or damage occasioned during the life of the policy or contract" to maintain an action against the insurer "[s]ubject to the limitations and conditions of paragraph two of subsection (a) hereof." Subsection (a) (2) states: "in case judgment against the insured . . . shall remain unsatisfied at the expiration of thirty days from the serving of notice of entry of judgment upon the attorney for the insured, or upon the insured, and upon the insurer, then an action may . . . be maintained against the insurer."

Insurance Law § 3420 therefore grants an injured party a right to sue the tortfeasor's insurer, but only under limited circumstances—the injured party must first obtain a judgment against the tortfeasor, serve the insurance company with a copy of the judgment and await payment for 30 days. Compliance with these requirements is a condition precedent to a direct action against the insurance company (*see Thrasher v United States Liab. Ins. Co.*, 19 NY2d at 166). As Chief Judge Cardozo described it, "[t]he effect of the statute is to give to the injured

claimant a cause of action against an insurer for the same relief that would be due to a solvent principal seeking indemnity and reimbursement after the judgment had been satisfied. The cause of action is no less but also it is no greater” (see *Coleman v New Amsterdam Cas. Co.*, 247 NY at 275). Once the statutory prerequisites are met, the injured party steps into the shoes of the tortfeasor and can assert any right of the tortfeasor-insured against the insurance company.

Here, it is undisputed that plaintiff did not obtain a judgment against Bachman, the alleged tortfeasor. Having failed to fulfill the condition precedent to suit, plaintiff could not pursue a direct action against Hanover and the Appellate Division properly granted Hanover’s motion to dismiss the complaint.

Plaintiff’s reliance on CPLR 3001, the statute that governs declaratory judgment actions, is misplaced. CPLR 3001 authorizes a court to declare “the rights and other legal relations of the parties to a justiciable controversy,” providing a procedure for parties to resolve disputes over existing rights and obligations. What distinguishes declaratory judgment actions from other types of actions or proceedings is the nature of the primary relief sought—a judicial declaration rather than money damages or other coercive relief (*Solnick v Whalen*, 49 NY2d 224, 229 [1980]). But nothing in the language of CPLR 3001 alters the precedent regarding an injured party’s standing to sue a tortfeasor’s insurer. Plaintiff has no common-law right to seek relief directly from a tortfeasor’s insurer, and the statutory right created in Insurance Law § 3420 arises only after plaintiff has obtained a judgment in the underlying personal injury action.

That Bachman has obtained a bankruptcy discharge does not change our analysis. Far from supplying a reason for disregarding the statutory requirements, the bankruptcy or insolvency of an insured is precisely the situation Insurance Law § 3420 was intended to address. The statute makes clear that bankruptcy does not relieve the insurance company of its obligation to pay damages for injuries or losses covered under an existing policy (Insurance Law § 3420 [a] [1]). Where there has been a discharge in bankruptcy, federal courts have held that the permanent injunction that follows does not bar a plaintiff in a personal injury action from obtaining a judgment against the bankrupt defendant for the limited purpose of pursuing payment from defendant’s insurance carrier (see e.g. *Green v Welsh*, 956 F2d 30 [2d Cir 1992]). Even if we were to assume that the potential

personal liability judgment was listed in Bachman's bankruptcy petition, the discharge would not prevent plaintiff from obtaining a judgment against Bachman, thereby satisfying the section 3420 condition precedent to suit against Hanover.

Finally, we note that an insurance company that disclaims in a situation where coverage may be arguable is well advised to seek a declaratory judgment concerning the duty to defend or indemnify the purported insured. If it disclaims and declines to defend in the underlying lawsuit without doing so, it takes the risk that the injured party will obtain a judgment against the purported insured and then seek payment pursuant to Insurance Law § 3420. Under those circumstances, having chosen not to participate in the underlying lawsuit, the insurance carrier may litigate only the validity of its disclaimer and cannot challenge the liability or damages determination underlying the judgment.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order affirmed, with costs.

[820 NE2d 840, 787 NYS2d 196]

SHARWLINE NICHOLSON, on Behalf of Herself, Her Infant Children, DESTINEE B. and Another, and All Others Similarly Situated, et al., Respondents, v NICHOLAS SCOPPETTA, Individually and as Commissioner of Administration for Children's Services, et al., Appellants, et al., Defendants.

Argued September 7, 2004; decided October 26, 2004

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.17, to review questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: "1. Does the definition of a 'neglected child' under N.Y. Family Ct. Act § 1012(f), (h) include instances in which the sole allegation of neglect is that the parent or other person legally responsible for the child's care allows the child to witness domestic abuse against the caretaker? 2. Can the injury or possible injury, if any, that results to a child who has witnessed domestic abuse against a parent or other caretaker constitute 'danger' or 'risk' to the child's 'life or health,' as those terms are defined in the N.Y. Family Ct. Act §§ 1022, 1024, 1026-1028? [and] 3. Does the fact that the child witnessed such abuse suffice to demonstrate that 'removal is necessary,' N.Y. Family Ct. Act §§ 1022, 1024, 1027, or that 'removal was in the child's best interests,' N.Y. Family Ct. Act §§ 1028, 1052(b)(i)(A), or must the child protective agency offer additional, particularized evidence to justify removal?"

HEADNOTES

Parent and Child — Abused or Neglected Child — Child Who Witnessed Domestic Violence — Sufficiency of Evidence of Neglect

1. In a neglect proceeding pursuant to Family Court Act article 10, evidence that the respondent parent has been the victim of domestic violence, and that the child has been exposed to that violence, without more, is insufficient to find that the child has been neglected as defined in Family Court Act § 1012 (f). In order to deem a child neglected under the statute, a petitioner must demonstrate, by a preponderance of evidence, actual or imminent danger of physical, emotional or mental impairment to the child, and the parent's failure to exercise a minimum degree of care in providing the child with proper supervision or guardianship. If emotional or mental impairment is alleged, it

must be clearly attributable to the parent's failure to exercise the prerequisite degree of care. Whether a parent who is a victim of domestic violence has actually failed to exercise a minimum degree of care is necessarily dependent on facts such as the severity and frequency of the violence, and the resources and options available to the parent.

Parent and Child — Abused or Neglected Child — Child Who Witnessed Domestic Violence — Postpetition Removal

2. Emotional harm suffered by a child exposed to domestic violence, where shown, may warrant removal of the child pursuant to Family Court Act § 1027 by court order after a petition is filed. The plain language of the statute and the legislative history supporting it, however, establish that a blanket presumption favoring removal was never intended. Upon identifying the existence of a risk of serious harm a court must also weigh, in the factual setting before it, whether the imminent risk to the child can be mitigated by reasonable efforts to avoid removal. It must balance that risk against the harm removal might bring, and it must determine factually which course is in the child's best interests. Additionally, the court must specifically consider whether imminent risk to the child might be eliminated by other means, such as issuing a temporary order of protection or providing services to the victim.

Parent and Child — Abused or Neglected Child — Child Who Witnessed Domestic Violence — Ex Parte Removal by Court Order

3. Emotional harm suffered by a child exposed to domestic violence, where shown, may warrant ex parte removal of the child by court order pursuant to Family Court Act § 1022 if the agency believes there is insufficient time to file a petition, if three factors are met: the parent is absent or, if present, was asked but refused to consent to temporary removal of the child and was informed of an intent to apply for an order; the child appears to suffer from abuse or neglect of a parent to the extent that immediate removal is necessary to avoid imminent danger to the child's life or health; and there is insufficient time to file a petition and hold a preliminary hearing. The court additionally must consider whether continuation in the child's home would be contrary to the best interests of the child, whether reasonable efforts were made to prevent or eliminate the need for removal from the home, and whether imminent risk to the child would be eliminated by the issuance of a temporary order of protection directing the removal of the person from the child's residence.

Parent and Child — Abused or Neglected Child — Child Who Witnessed Domestic Violence — Emergency Removal without Court Order

4. Emotional harm suffered by a child exposed to domestic violence, where shown, may warrant emergency removal of the child without court order pursuant to Family Court Act § 1024 in only the rarest of circumstances. Removal without a court order and without consent of the parent is only permitted if there is reasonable cause to believe that the child is in such urgent circumstance or condition that continuing in the home or care of the parent presents an imminent danger to the child's life or health, and there is not enough time to apply for an ex parte order under Family Court Act § 1022. Although it cannot be said that, for all future time, the possibility of the need for an emergency removal can never exist in the case of emotional injury or the risk of emotional injury caused by witnessing domestic violence, it must be a rare circumstance in which the time would be so fleeting and the danger so great that emergency removal would be warranted.

Parent and Child — Abused or Neglected Child — Child Who Witnessed Domestic Violence — Removal — Sufficiency of Evidence

5. In a neglect proceeding pursuant to Family Court Act article 10, there is no blanket presumption favoring removal of a child who witnesses domestic violence. Rather, particularized evidence must exist to justify removal, including, where appropriate, evidence of efforts made to prevent or eliminate the need for removal and the impact of removal on the child. Expert testimony is not required, although it may be difficult in some cases for an agency to show, absent expert testimony, that there is imminent risk to a child's emotional state, and that any impairment of emotional health is clearly attributable to the unwillingness or inability of the respondent to exercise a minimum degree of care toward the child.

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By the Publisher's Editorial Staff

AM JUR 2d, Infants §§ 16, 30; AM JUR 2d, Parent and Child §§ 16–18, 22, 26, 27.

CARMODY-WAIT 2d, Proceedings Involving Abused and Neglected Child, Juvenile Delinquents, and Persons in Need of Supervision §§ 119A:34, 119A:37–119A:39, 119A:42, 119A:45, 119A:46.

6 LAW AND THE FAMILY NEW YORK (2d ed) §§ 9:8–9:11.

McKINNEY'S, Family Ct Act § 1012 (f); §§ 1022, 1024, 1027.

NY JUR 2d, Domestic Relations §§ 1679, 1683, 1686, 1687, 1690, 1691–1694, 1728, 1737, 1746, 1762.

ANNOTATION REFERENCE

See ALR Index under Children; Neglect of Child.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: neglect! & violen! & imminent /2 danger & emotional /2 harm injur!

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Alan G. Krams, Leonard Koerner, Jonathan Pines, Martha A. Calhoun, Carolyn Wolpert and Kristin M. Helmers of counsel), for appellants. I. A child can be neglected within the meaning of section 1012 (f) (i) (B) of the Family Court Act when a parent who is a victim of domestic violence fails to take appropriate steps to protect her child from actual harm, or the risk thereof, resulting from witnessing the violence. (Matter of Nicole V., 71 NY2d 112; Matter of Tompkins County Support Collection Unit v Chamberlin, 99 NY2d 328; Matter of Jessica YY., 258 AD2d

743; *People v Carroll*, 93 NY2d 564; *Matter of Peterson Children*, 185 Misc 2d 351; *Matter of Daphne G.*, 308 AD2d 132; *People v Johnson*, 95 NY2d 368; *People v Malone*, 180 Misc 2d 744; *People v Hitchcock*, 98 NY2d 586; *People v Parr*, 155 AD2d 945.) II. In some cases, the risks of emotional injury arising from witnessing domestic violence can constitute imminent danger to life and health warranting removal. (*Matter of Commissioner of Social Servs. [R./S. Children]*, 168 Misc 2d 11; *Matter of Robert H.*, 307 AD2d 293; *Tenenbaum v Williams*, 193 F3d 581; *Matter of Christopher JJ.*, 281 AD2d 720; *Matter of Erika B.*, 268 AD2d 586; *Matter of Maria M.*, 244 AD2d 255; *Matter of Kasheena M.*, 245 AD2d 231.) III. The decision to remove or place a child because of witnessing domestic violence is based on an assessment of case-specific facts, not on a presumption that removal is necessary. (*Friederwitzer v Friederwitzer*, 55 NY2d 89; *Matter of Philip M.*, 82 NY2d 238; *Matter of Tami G.*, 209 AD2d 869, 85 NY2d 804; *Matter of Athena M.*, 253 AD2d 669; *Matter of Lonell J.*, 242 AD2d 58; *Matter of Deandre T.*, 253 AD2d 497; *Matter of Eric B.*, 299 AD2d 754; *Matter of Carlos M.*, 293 AD2d 617; *Matter of Marino S.*, 100 NY2d 361; *Matter of Marie B.*, 62 NY2d 352; *Matter of Bennett v Jeffreys*, 40 NY2d 543.)

Lansner & Kubitschek, New York City (David J. Lansner and Carolyn A. Kubitschek of counsel), and *Sanctuary for Families, Center for Battered Women's Legal Services* (Jill M. Zuccardy of counsel), for Subclass A respondents. I. A battered mother has not neglected her child where the sole allegation is that her child witnessed domestic violence against her. (*Matter of Scott M.*, 284 AD2d 589; *Matter of Jessica R.*, 230 AD2d 108; *People v Johnson*, 95 NY2d 368; *People v Jenkins*, 282 AD2d 926; *People v Alexander*, 97 NY2d 482; *Matter of H./R. Children*, 302 AD2d 288; *Matter of E.R. v G.S.R.*, 170 Misc 2d 659; *Wissink v Wissink*, 301 AD2d 36; *Samala v Samala*, 309 AD2d 798; *Matter of Finkbeiner v Finkbeiner*, 270 AD2d 417.) II. Possible future emotional harm to a child who has witnessed domestic violence does not justify removal from the victim parent. (*Matter of Dominique A.*, 307 AD2d 888; *Moodian v County of Alameda Social Servs. Agency*, 206 F Supp 2d 1030; *Tenenbaum v Williams*, 193 F3d 581, *cert denied sub nom. City of New York v Tenenbaum*, 529 US 1098; *Matter of Marie B.*, 62 NY2d 352; *Matter of Ronald FF. v Cindy GG.*, 70 NY2d 141; *Matter of Spence-Chapin Adoption Serv. v Polk*, 29 NY2d 196; *Matter of Tammie Z.*, 66 NY2d 1; *Matter of Ella B.*, 30 NY2d 352; *Matter of Karen L.*, 80 AD2d 681; *Matter of Roy Anthony A.*, 59 AD2d 662.) III. The City of New York must offer particularized evidence to justify

removal of a child, including proof that the harm of remaining in the home exceeds the harm of removal. (*Matter of John B. v Niagara County Dept. of Social Servs.*, 289 AD2d 1090; *Matter of Kimberly H.*, 242 AD2d 35; *Matter of Robert H.*, 307 AD2d 293; *Matter of Tantalyn TT.*, 115 AD2d 799; *Matter of Tammie Z.*, 66 NY2d 1; *Matter of Ella B.*, 30 NY2d 352; *Matter of Hofbauer*, 47 NY2d 648; *Matter of Ronald FF v Cindy GG.*, 70 NY2d 141; *Matter of Bennett v Jeffreys*, 40 NY2d 543; *Matter of Spence-Chapin Adoption Serv. v Polk*, 29 NY2d 196.)

Legal Aid Society, Juvenile Rights Division, New York City (*Judith Waksberg* and *Monica Drinane* of counsel), and *Lawyers For Children, Inc.* (*Karen Freedman* of counsel), for Subclass B respondents. I. The definition of a “neglected child” under Family Court Act § 1012 (f) and (h) does not include instances in which the sole allegation of neglect is that the parent or other person legally responsible for the child’s care allows the child to witness domestic abuse against the caretaker. (*Matter of Jason T.*, 2 AD3d 738; *Matter of Theresa CC.*, 178 AD2d 687; *Matter of Lonell J.*, 242 AD2d 58; *Matter of Nassau County Dept. of Social Servs. [Dante M.] v Denise J.*, 87 NY2d 73; *Matter of Jeremiah M.*, 290 AD2d 450; *Matter of Tami G.*, 209 AD2d 869; *People v Johnson*, 95 NY2d 368; *Matter of Michael G.*, 300 AD2d 1144; *Matter of Francis S.*, 296 AD2d 507; *Matter of Athena M.*, 253 AD2d 669.) II. The injury or possible injury, if any, that results to a child who has witnessed domestic abuse against a parent or other caretaker cannot constitute “danger” or “risk” to the child’s “life or health,” as those terms are defined in Family Court Act §§ 1022, 1024, 1026 and 1028. (*Kia P v McIntyre*, 235 F3d 749; *Tenenbaum v Williams*, 193 F3d 581; *Gottlieb v County of Orange*, 84 F3d 511; *Hurlman v Rice*, 927 F2d 74; *Good v Dauphin County Social Servs. for Children & Youth*, 891 F2d 1087; *Duchesne v Sugarman*, 566 F2d 817; *Matter of Robert H.*, 307 AD2d 293; *Matter of Maria M.*, 244 AD2d 255; *Franz v Lytle*, 997 F2d 784; *Matter of Kimberly H.*, 242 AD2d 35.) III. The fact that the child witnessed such abuse does not suffice to demonstrate that “removal is necessary” under Family Court Act §§ 1022, 1024 and 1027, or that “removal was in the child’s best interests” under Family Court Act §§ 1028 and 1052 (b) (i) (A), without the child protective agency offering additional particularized evidence to justify removal. (*Matter of Nicole V.*, 71 NY2d 112; *Matter of Nassau County Dept. of Social Servs. [Dante M.] v Denise J.*, 87 NY2d 73; *Matter of Philip M.*, 82 NY2d 238; *Matter of Marie B.*, 62 NY2d 352; *Matter of Cruz*, 121 AD2d 901; *Matter of Isaiah Keith B.*, 306 AD2d 343; *Matter*

of *Ronald M.*, 254 AD2d 838; *Matter of Daniella HH.*, 236 AD2d 715; *Matter of William T.*, 185 AD2d 413; *Matter of Synovia G.*, 163 AD2d 257.)

Greenberg Traurig LLP, New York City (*Alan Mansfield*, *Stephen L. Saxl*, *Hilary Ames* and *Jae J. Kim* of counsel), for National Coalition Against Domestic Violence and others, amici curiae. I. An interpretation of article 10 of the Family Court Act that would permit removal or neglect proceedings based solely on the fact that the custodial parent has been the victim of domestic violence would violate substantive due process. (*Troxel v Granville*, 530 US 57; *Washington v Glucksberg*, 521 US 702; *Tenenbaum v Williams*, 193 F3d 581; *Lehr v Robertson*, 463 US 248; *Meyer v Nebraska*, 262 US 390; *Duchesne v Sugarman*, 566 F2d 817; *Parham v J.R.*, 442 US 584; *Pierce v Society of Sisters of Holy Names of Jesus & Mary*, 268 US 510; *Matter of Bennett v Jeffreys*, 40 NY2d 543; *Moore v City of E. Cleveland, Ohio*, 431 US 494.) II. An interpretation of article 10 of the Family Court Act that would permit ex parte removal without a hearing or court ordered removal or neglect proceedings based solely on the fact that the custodial parent has been the victim of domestic violence would violate the procedural due process rights of plaintiff classes. (*Matter of Deanna E.*, 150 Misc 2d 1074; *Stanley v Illinois*, 405 US 645; *Wallis v Spencer*, 202 F3d 1126; *Mathews v Eldridge*, 424 US 319; *Tenenbaum v Williams*, 193 F3d 581; *Batten v Gomez*, 324 F3d 288; *Armstrong v Manzo*, 380 US 545; *Jordan by Jordan v Jackson*, 15 F3d 333; *Dykes v Hosemann*, 743 F2d 1488; *Matter of Adrian J.*, 119 Misc 2d 900.)

Mintz, Levin, Cohn, Ferris, Glowsky and Popeo, P.C., Washington, D.C. (*Michael C. Bisignano* of counsel), for National Network to End Domestic Violence, Inc., and others, amici curiae. I. Labeling a child who witnesses abuse “neglected” is wrong as a matter of law and policy. (*Planned Parenthood of Southeastern Pa. v Casey*, 505 US 833; *United States v Morrison*, 529 US 598.) II. The dangers and risks attendant to a child witnessing domestic violence must be balanced with dangers and risks of removal. III. New York law should require a particularized showing of harm.

Suzanne E. Tomkins, Buffalo, for New York State Coalition Against Domestic Violence and others, amici curiae. I. The findings in *Nicholson v Williams* (203 F Supp 2d 153 [2002]) are consistent with the model policies for child welfare cases involving domestic violence adopted by the State of New York. (*Thur-*

man v City of Torrington, 595 F Supp 1521; *Matter of Lonell J.*, 242 AD2d 58; *Matter of Griselda A.*, 304 AD2d 659; *Matter of Carlos M.*, 293 AD2d 617; *Matter of Francis S.*, 296 AD2d 507; *Matter of James MM. v June OO.*, 294 AD2d 630; *Matter of Michael G.*, 300 AD2d 1144; *Matter of Athena M.*, 253 AD2d 669.) II. This Court should reject any per se standards in child welfare cases involving domestic violence. (*Matter of Billy Jean II.*, 226 AD2d 767; *Matter of Tammie Z.*, 105 AD2d 463; *Matter of Tami G.*, 209 AD2d 869; *Matter of Nichole SS.*, 296 AD2d 618; *Matter of Jasmine R.*, 258 AD2d 361; *Matter of Kenny C.*, 245 AD2d 32.) III. Abused mothers and their children can remain together safely. IV. The most effective way to achieve safety for children is to pursue safety for mothers who are abused and to hold offenders accountable.

Arent Fox PLLC, Washington, D.C. (*Evan Stolove, Janine Carlan, Jennifer Myron and Marcy L. Karin* of counsel), for Pennsylvania Coalition Against Domestic Violence and others, amici curiae. I. Witnessing domestic violence does not constitute “neglect” by the battered mother. (*Matter of Lonell J.*, 242 AD2d 58; *Matter of Barber v Stanley*, 260 AD2d 744; *Matter of Bryan L.*, 149 Misc 2d 899; *Matter of Megan G.*, 291 AD2d 636; *People v Koertge*, 182 Misc 2d 183.) II. Forced separation of children from their nonabusive, protective mothers is not in their best interests. (*Matter of Loraida G.*, 183 Misc 2d 126; *Marisol A. by Forbes v Giuliani*, 929 F Supp 662.) III. The plain language and the legislative history of the Family Court Act do not permit the State of New York to remove children from their mothers because of witnessing domestic violence. IV. It is the *system*—not mothers—that is failing to protect children.

Deborah A. Widiss, New York City, *Christina Brandt-Young and Jennifer K. Brown* for Legal Momentum and others, amici curiae. I. Widespread persistent gender bias compromises government’s response to domestic violence, particularly when children are involved. (*Mississippi Univ. for Women v Hogan*, 458 US 718; *Craig v Boren*, 429 US 190; *Linda R. v Richard E.*, 162 AD2d 48; *Stanton v Stanton*, 421 US 7; *United States v Virginia*, 518 US 515.) II. This Court should interpret the Family Court Act to require a particularized showing of actions (or inactions) that constitute a failure to exercise a minimum degree of care. (*Childs v Childs*, 69 AD2d 406.) III. This Court should respond to the certified questions with guidelines that deter reliance on gender-based stereotypes.

Piper Rudnick LLP, Easton, Maryland (*Ray L. Earnest* of

counsel), for Appellate Advocacy Network and others, amici curiae. This Court should construe the Family Court Act as requiring that, in every proceeding to remove a child from his/her home, the court make a thorough inquiry into whether the child protection agency has made reasonable efforts to avoid removal. (*Stanley v Illinois*, 405 US 645; *Griswold v Connecticut*, 381 US 479; *Prince v Massachusetts*, 321 US 158; *Meyer v Nebraska*, 262 US 390; *Duchesne v Sugarman*, 566 F2d 817; *Covington v Harris*, 419 F2d 617; *Matter of Jacob*, 86 NY2d 651; *Kia P. v McIntyre*, 235 F3d 749; *Mathews v Eldridge*, 424 US 319; *May v Anderson*, 345 US 528.)

Yisroel Schulman, New York City, and *Kim Susser* for New York Legal Assistance Group and others, amici curiae. I. Appellant misappropriates the legislative history of Domestic Relations Law § 240 to support charges of neglect against battered mothers for failing to protect their children from exposure to domestic violence. (*People v Johnson*, 95 NY2d 368; *Matter of Bennett v Jeffreys*, 40 NY2d 543.) II. Appellant's policies and practice result in inconsistent and unrealistic demands imposed on battered mothers in custody and visitation proceedings and child protective proceedings. (*Matter of Blake v Blake*, 106 AD2d 916; *Matter of Smith v Purnell*, 256 AD2d 619; *Furman v Furman*, 298 AD2d 627; *Lorin B. v Michael S.*, 254 AD2d 126; *Matter of Thompson v Gibeault*, 305 AD2d 873; *Matter of J.D. v N.D.*, 170 Misc 2d 877; *Matter of E.R. v G.S.R.*, 170 Misc 2d 659; *Matter of Wissink v Wissink*, 301 AD2d 36; *Finn v Finn*, 176 AD2d 1132; *Entwistle v Entwistle*, 61 AD2d 380.) III. Appellants ignore successful models that exist to protect battered mothers and their children.

Wilbur McReynolds, amicus curiae.

Legal Aid Society, Cleveland, Ohio (*Alexandra M. Ruden* of counsel), and *Michael R. Smalz*, Columbus, Ohio, for Ohio Domestic Violence Network and another, amici curiae. I. An individualized assessment of harm to the child needs to be conducted. II. Removal is not always necessary or in the best interests of the child. (*Croft v Westmoreland County Children & Youth Servs.*, 103 F3d 1123.) III. Children should not be removed from a nonabusive parent because of exposure to parental domestic violence without a showing of harm to that child.

Paul Chill, Hartford, Connecticut, for Joseph L. Woolston and others, amici curiae. I. Removal from parents causes children

severe psychological harm, some of which may be mitigated if children are placed with relatives rather than strangers. (*Jordan by Jordan v Jackson*, 15 F3d 333.) II. No decision to remove a child should be made without considering the likely effects of the removal on the child's psychological health and without making a specific determination that the likely physical and psychological risk of continued exposure to violence outweighs the developmental risk likely to be caused by removal.

OPINION OF THE COURT

Chief Judge KAYE.

In this federal class action, the United States Court of Appeals for the Second Circuit has certified three questions centered on New York's statutory scheme for child protective proceedings. The action is brought on behalf of mothers and their children who were separated because the mother had suffered domestic violence, to which the children were exposed, and the children were for that reason deemed neglected by her.

In April 2000, Sharwline Nicholson, on behalf of herself and her two children, brought an action pursuant to 42 USC § 1983 against the New York City Administration for Children's Services (ACS).¹ The action was later consolidated with similar complaints by Sharlene Tillet and Ekaete Udoh—the three named plaintiff mothers. Plaintiffs alleged that ACS, as a matter of policy, removed children from mothers who were victims of domestic violence because, as victims, they “engaged in domestic violence” and that defendants removed and detained children without probable cause and without due process of law. That policy, and its implementation—according to plaintiff mothers—constituted, among other wrongs, an unlawful interference with their liberty interest in the care and custody of their children in violation of the United States Constitution.

In August 2001, the United States District Court for the Eastern District of New York certified two subclasses: battered custodial parents (Subclass A) and their children (Subclass B) (*Nicholson v Williams*, 205 FRD 92, 95, 100 [ED NY 2001]). For each plaintiff, at least one ground for removal was that the custodial mother had been assaulted by an intimate partner and

1. “ACS” includes all named city defendants, including the City of New York. Apart from defendant John Johnson (Commissioner of the State Office of Children and Family Services, which oversees ACS), state officials are named in the complaint with respect to the assigned counsel portion of the case, which is not before us.

failed to protect the child or children from exposure to that domestic violence.

In January 2002, the District Court granted a preliminary injunction, concluding that the City “may not penalize a mother, not otherwise unfit, who is battered by her partner, by separating her from her children; nor may children be separated from the mother, in effect visiting upon them the sins of their mother’s batterer” (*In re Nicholson*, 181 F Supp 2d 182, 188 [ED NY 2002]; see also *Nicholson v Williams*, 203 F Supp 2d 153 [ED NY 2002] [108-page elaboration of grounds for injunction]).

The court found that ACS unnecessarily, routinely charged mothers with neglect and removed their children where the mothers—who had engaged in no violence themselves—had been the victims of domestic violence; that ACS did so without ensuring that the mother had access to the services she needed, without a court order, and without returning these children promptly after being ordered to do so by the court;² that ACS caseworkers and case managers lacked adequate training about domestic violence, and their practice was to separate mother and child when less harmful alternatives were available; that the agency’s written policies offered contradictory guidance or no guidance at all on these issues; and that none of the reform plans submitted by ACS could reasonably have been expected to resolve the problems within the next year (203 F Supp 2d at 228-229).

The District Court concluded that ACS’s practices and policies violated both the substantive due process rights of mothers and children not to be separated by the government unless the parent is unfit to care for the child, and their procedural due process rights (181 F Supp 2d at 185). The injunction, in relevant part, “prohibit[ed] ACS from carrying out *ex parte* removals ‘solely because the mother is the victim of domestic violence,’ or from filing an Article Ten petition seeking removal on that

2. The District Court cited the testimony of a child protective manager that it was common practice in domestic violence cases for ACS to wait a few days before going to court after removing a child because “after a few days of the children being in foster care, the mother will usually agree to ACS’s conditions for their return without the matter ever going to court” (203 F Supp 2d at 170).

basis” (*Nicholson v Scoppetta*, 344 F3d 154, 164 [2d Cir 2003] [internal citations omitted]).³

On appeal, the Second Circuit held that the District Court had not abused its discretion in concluding that ACS’s practice of effecting removals based on a parent’s failure to prevent his or her child from witnessing domestic violence against the parent amounted to a policy or custom of ACS, that in some circumstances the removals may raise serious questions of federal constitutional law, and that the alleged constitutional violations, if any, were at least plausibly attributable to the City (344 F3d at 165-167, 171-176).⁴ The court hesitated, however, before reaching the constitutional questions, believing that resolution of uncertain issues of New York statutory law would avoid, or significantly modify, the substantial federal constitutional issues presented (*id.* at 176).

Given the strong preference for avoiding unnecessary constitutional adjudication, the importance of child protection to New York State and the integral part New York courts play in the removal process, the Second Circuit, by three certified questions, chose to put the open state statutory law issues to us for resolution. We accepted certification (1 NY3d 538 [2003]), and now proceed to answer those questions.⁵

Certified Question No. 1: Neglect

“Does the definition of a ‘neglected child’ under N.Y. Family Ct. Act § 1012(f), (h) include instances in which the sole allegation of neglect is that the parent or other person legally responsible for the child’s care allows the child to witness domestic abuse against the caretaker?” (344 F3d at 176.)

3. The injunction was stayed for six months to permit ACS to attempt reform on its own, free of the court’s involvement, and to allow for an appeal. Thereafter, the City and ACS appealed, challenging the District Court’s determination. The Second Circuit denied the City’s request for an additional stay pending appeal.

4. Chief Judge Walker dissented, concluding that the injunction should be vacated because the evidence did not support the District Court’s findings underpinning the injunction. In his view, the District Court’s central factual finding that ACS had a policy of regularly separating battered mothers and children unnecessarily was “simply unsustainable” (*id.* at 177).

5. We are not asked to, nor do we, apply our answers to the trial record, though recognizing that in the inordinately complex human dilemma presented by domestic violence involving children, the law may be easier to state than apply.

[1] We understand this question to ask whether a court reviewing a Family Court Act article 10 petition may find a respondent parent responsible for neglect based on evidence of two facts only: that the parent has been the victim of domestic violence, and that the child has been exposed to that violence. That question must be answered in the negative. Plainly, more is required for a showing of neglect under New York law than the fact that a child was exposed to domestic abuse against the caretaker. Answering the question in the affirmative, moreover, would read an unacceptable presumption into the statute, contrary to its plain language.

Family Court Act § 1012 (f) is explicit in identifying the elements that must be shown to support a finding of neglect. As relevant here, it defines a “neglected child” to mean:

“a child less than eighteen years of age

“(i) whose physical, mental or emotional condition has been impaired or is in imminent danger of becoming impaired as a result of the failure of his parent or other person legally responsible for his care to exercise a minimum degree of care . . .

“(B) in providing the child with proper supervision or guardianship, by unreasonably inflicting or allowing to be inflicted harm, or a substantial risk thereof, including the infliction of excessive corporal punishment; or by misusing a drug or drugs; or by misusing alcoholic beverages to the extent that he loses self-control of his actions; or by any other acts of a similarly serious nature requiring the aid of the court.”

Thus, a party seeking to establish neglect must show, by a preponderance of the evidence (*see* Family Ct Act § 1046 [b] [i]), first, that a child’s physical, mental or emotional condition has been impaired or is in imminent danger of becoming impaired and second, that the actual or threatened harm to the child is a consequence of the failure of the parent or caretaker to exercise a minimum degree of care in providing the child with proper supervision or guardianship. The drafters of article 10 were “deeply concerned” that an imprecise definition of child neglect might result in “unwarranted state intervention into private family life” (Besharov, *Practice Commentaries*, McKinney’s Cons Laws of NY, Book 29A, Family Ct Act § 1012, at 320 [1999 ed]).

The first statutory element requires proof of actual (or imminent danger of) physical, emotional or mental impairment to the child (see *Matter of Nassau County Dept. of Social Servs. [Dante M.] v Denise J.*, 87 NY2d 73, 78-79 [1995]). This prerequisite to a finding of neglect ensures that the Family Court, in deciding whether to authorize state intervention, will focus on serious harm or potential harm to the child, not just on what might be deemed undesirable parental behavior. “Imminent danger” reflects the Legislature’s judgment that a finding of neglect may be appropriate even when a child has not actually been harmed; “imminent danger of impairment to a child is an independent and separate ground on which a neglect finding may be based” (*Dante M.*, 87 NY2d at 79). Imminent danger, however, must be near or impending, not merely possible.

In each case, additionally, there must be a link or causal connection between the basis for the neglect petition and the circumstances that allegedly produce the child’s impairment or imminent danger of impairment. In *Dante M.*, for example, we held that the Family Court erred in concluding that a newborn’s positive toxicology for a controlled substance alone was sufficient to support a finding of neglect because the report, in and of itself, did not prove that the child was impaired or in imminent danger of becoming impaired (87 NY2d at 79). We reasoned, “[r]elying solely on a positive toxicology result for a neglect determination fails to make the necessary causative connection to all the surrounding circumstances that may or may not produce impairment or imminent risk of impairment in the newborn child” (*id.*). The positive toxicology report, in conjunction with other evidence—such as the mother’s history of inability to care for her children because of her drug use, testimony of relatives that she was high on cocaine during her pregnancy and the mother’s failure to testify at the neglect hearing—supported a finding of neglect and established a link between the report and physical impairment.

The cases at bar concern, in particular, alleged threats to the child’s emotional, or mental, health. The statute specifically defines “[i]mpairment of emotional health” and “impairment of mental or emotional condition” to include

“a state of substantially diminished psychological or intellectual functioning in relation to, but not limited to, such factors as failure to thrive, control of aggressive or self-destructive impulses, ability to

think and reason, or acting out or misbehavior, including incorrigibility, ungovernability or habitual truancy” (Family Ct Act § 1012 [h]).

Under New York law, “such impairment must be clearly attributable to the unwillingness or inability of the respondent to exercise a minimum degree of care toward the child” (*id.*). Here, the Legislature recognized that the source of emotional or mental impairment—unlike physical injury—may be murky, and that it is unjust to fault a parent too readily. The Legislature therefore specified that such impairment be “clearly attributable” to the parent’s failure to exercise the requisite degree of care.

Assuming that actual or imminent danger to the child has been shown, “neglect” also requires proof of the parent’s failure to exercise a minimum degree of care. As the Second Circuit observed, “a fundamental interpretive question is what conduct satisfies the broad, tort-like phrase, ‘a minimum degree of care.’ The Court of Appeals has not yet addressed that question, which would be critical to defining appropriate parental behavior” (344 F3d at 169).

“[M]inimum degree of care” is a “baseline of proper care for children that all parents, regardless of lifestyle or social or economic position, must meet” (Besharov at 326). Notably, the statutory test is “*minimum* degree of care”—not maximum, not best, not ideal—and the failure must be actual, not threatened (*see e.g. Matter of Hofbauer*, 47 NY2d 648, 656 [1979] [recognizing, in the context of medical neglect, the court’s role is not as surrogate parent and the inquiry is not posed in absolute terms of whether the parent has made the “right” or “wrong” decision]).

Courts must evaluate parental behavior objectively: would a reasonable and prudent parent have so acted, or failed to act, under the circumstances then and there existing (*see Matter of Jessica YY*, 258 AD2d 743, 744 [3d Dept 1999]). The standard takes into account the special vulnerabilities of the child, even where general physical health is not implicated (*see Matter of Sayeh R.*, 91 NY2d 306, 315, 317 [1997] [mother’s decision to demand immediate return of her traumatized children without regard to their need for counseling and related services “could well be found to represent precisely the kind of failure ‘to exercise a minimum degree of care’ that our neglect statute contemplates”]). Thus, when the inquiry is whether a mother—and domestic violence victim—failed to exercise a minimum

degree of care, the focus must be on whether she has met the standard of the reasonable and prudent person in similar circumstances.

As the Subclass A members point out, for a battered mother—and ultimately for a court—what course of action constitutes a parent’s exercise of a “minimum degree of care” may include such considerations as: risks attendant to leaving, if the batterer has threatened to kill her if she does; risks attendant to staying and suffering continued abuse; risks attendant to seeking assistance through government channels, potentially increasing the danger to herself and her children; risks attendant to criminal prosecution against the abuser; and risks attendant to relocation.⁶ Whether a particular mother in these circumstances has actually failed to exercise a minimum degree of care is necessarily dependent on facts such as the severity and frequency of the violence, and the resources and options available to her (*see Matter of Melissa U.*, 148 AD2d 862 [3d Dept 1989]; *Matter of James MM. v June OO.*, 294 AD2d 630 [3d Dept 2002]).

Only when a petitioner demonstrates, by a preponderance of evidence, that both elements of section 1012 (f) are satisfied may a child be deemed neglected under the statute. When “the sole allegation” is that the mother has been abused and the child has witnessed the abuse, such a showing has not been made. This does not mean, however, that a child can never be “neglected” when living in a household plagued by domestic violence. Conceivably, neglect might be found where a record establishes that, for example, the mother acknowledged that the children knew of repeated domestic violence by her paramour and had reason to be afraid of him, yet nonetheless allowed him several times to return to her home, and lacked awareness of any impact of the violence on the children, as in *Matter of James MM.* (294 AD2d at 632); or where the children were exposed to regular and continuous extremely violent conduct between their parents, several times requiring official intervention, and where caseworkers testified to the fear and distress the children were

6. The Legislature has recognized this “quandary” that a victim of domestic violence encounters (Senate Mem in Support, 2002 McKinney’s Session Laws of NY, at 1861). To avoid punitive responses from child protective services agencies, the Legislature attempted to increase awareness of child protective agencies of the dynamics of domestic violence and its impact on child protection by amending the Social Services Law to mandate comprehensive domestic violence training for child protective services workers (*id.*).

experiencing as a result of their long exposure to the violence (*Matter of Theresa CC.*, 178 AD2d 687 [3d Dept 1991]).

In such circumstances, the battered mother is charged with neglect not because she is a victim of domestic violence or because her children witnessed the abuse, but rather because a preponderance of the evidence establishes that the children were actually or imminently harmed by reason of her failure to exercise even minimal care in providing them with proper oversight.

Certified Question No. 2: Removals

Next, we are called upon to focus on removals by ACS, in answering the question:

“Can the injury or possible injury, if any, that results to a child who has witnessed domestic abuse against a parent or other caretaker constitute ‘danger’ or ‘risk’ to the child’s ‘life or health,’ as those terms are defined in the N.Y. Family Ct. Act §§ 1022, 1024, 1026-1028?” (344 F3d at 176-177.)

The cited Family Court Act sections relate to the removal of a child from home. Thus, in essence, we are asked to decide whether emotional injury from witnessing domestic violence can rise to a level that establishes an “imminent danger” or “risk” to a child’s life or health, so that removal is appropriate either in an emergency or by court order.

While we do not reach the constitutional questions, it is helpful in framing the statutory issues to note the Second Circuit’s outline of the federal constitutional questions relating to removals. Their questions emerge in large measure from the District Court’s findings of an “agency-wide practice of removing children from their mother without evidence of a mother’s neglect and without seeking prior judicial approval” (203 F Supp 2d at 215), and Family Court review of removals that “often fails to provide mothers and children with an effective avenue for timely relief from ACS mistakes” (*id.* at 221).

Specifically, as to *ex parte* removals, the Circuit Court identified procedural due process and Fourth Amendment questions focused on whether danger to a child could encompass emotional trauma from witnessing domestic violence against a parent, warranting emergency removal. Discussing the procedural due process question, the court remarked that:

“there is a strong possibility that if New York law

does not authorize *ex parte* removals, our opinion in *Tenenbaum* at least arguably could weigh in favor of finding a procedural due process violation in certain circumstances. If New York law does authorize such removals, *Tenenbaum* likely does not prohibit us from deferring to that judgment. In either case, the underlying New York procedural rules will also be an important component of our balancing. Thus, the state-law question of statutory interpretation will either render unnecessary, or at least substantially modify, the federal constitutional question” (344 F3d at 172).⁷

The court also questioned whether “in the context of the seizure of a child by a state protective agency the Fourth Amendment might impose any additional restrictions above and beyond those that apply to ordinary arrests” (*id.* at 173).

As to court-ordered removals, the Second Circuit recognized challenges based on substantive due process, procedural due process—the antecedent of Certified Question No. 3—and the Fourth Amendment. The substantive due process question concerned whether the City had offered a reasonable justification for the removals. The Second Circuit observed that “there is a substantial Fourth Amendment question presented if New York law does not authorize removals in the circumstances alleged” (*id.* at 176).

Finally, in certifying the questions to us, the court explained that:

“[t]here is . . . some ambiguity in the statutory language authorizing removals pending a final determination of status. Following an emergency removal, whether *ex parte* or by court order, the Family Court must return a removed child to the parent’s custody absent ‘an imminent risk’ or ‘im-

7. In *Tenenbaum v Williams* (193 F3d 581 [2d Cir 1999]), a child’s parents brought an action pursuant to 42 USC § 1983 challenging the New York City Child Welfare Administration’s removal of their five year old from her kindergarten class—under the emergency removal provision of Family Court Act § 1024—and taking her to the emergency room where a pediatrician and a gynecologist examined her for signs of possible sexual abuse. When they found none, the child was returned to her parents. The Second Circuit reversed the District Court’s judgment in pertinent part and held that a jury could have concluded that the emergency removal for the medical examination violated the parents’ and child’s procedural due process rights, and the child’s Fourth Amendment rights.

minent danger' to 'the child's life or health.' At the same time, the Family Court must consider the 'best interests of the child' in assessing whether continuing removal is necessary to prevent threats to the child's life or health. Additionally, in order to support removal, the Family Court must 'find[] that removal is necessary to avoid imminent risk.' How these provisions should be harmonized seems to us to be the province of the Court of Appeals" (344 F3d at 169 [internal citations omitted]).

The Circuit Court summarized the policy challenged by plaintiffs and found by the District Court as "the alleged practice of removals based on a theory that allowing one's child to witness ongoing domestic violence is a form of neglect, either simply because such conduct is presumptively neglectful or because in individual circumstances it is shown to threaten the child's physical or emotional health" (*id.* at 166 n 5).

It is this policy, viewed in light of the District Court's factual findings, that informs our analysis of Certified Question No. 2. In so doing, we acknowledge the Legislature's expressed goal of "placing increased emphasis on preventive services designed to maintain family relationships rather than responding to children and families in trouble only by removing the child from the family" (*see Mark G. v Sabol*, 93 NY2d 710, 719 [1999] [emphasis omitted] [construing Child Welfare Reform Act of 1979 (L 1979, chs 610, 611)]). We further acknowledge the legislative findings, made pursuant to the Family Protection and Domestic Violence Intervention Act of 1994, that

"[t]he corrosive effect of domestic violence is far reaching. The batterer's violence injures children both directly and indirectly. Abuse of a parent is detrimental to children whether or not they are physically abused themselves. Children who witness domestic violence are more likely to experience delayed development, feelings of fear, depression and helplessness and are more likely to become batterers themselves" (L 1994, ch 222, § 1; *see also People v Wood*, 95 NY2d 509, 512 [2000] [though involving a batterer, not a victim]).

These legislative findings represent two fundamental—sometimes conflicting—principles. New York has long embraced a policy of keeping "biological families together" (*Matter of Marino S.*, 100 NY2d 361, 372 [2003]). Yet "when a child's best

interests are endangered, such objectives must yield to the State's paramount concern for the health and safety of the child" (*id.*).

As we concluded in response to Certified Question No. 1, exposing a child to domestic violence is *not* presumptively neglectful. Not every child exposed to domestic violence is at risk of impairment. A fortiori, exposure of a child to violence is not presumptively ground for removal, and in many instances removal may do more harm to the child than good. Part 2 of article 10 of the Family Court Act sets forth four ways in which a child may be removed from the home in response to an allegation of neglect (or abuse) related to domestic violence: (1) temporary removal with consent; (2) preliminary orders after a petition is filed; (3) preliminary orders before a petition is filed; and (4) emergency removal without a court order. The issue before us is whether emotional harm suffered by a child exposed to domestic violence, where shown, can warrant the trauma of removal under any of these provisions.

The Practice Commentaries state, and we agree, that the sections of part 2 of article 10 create a "continuum of consent and urgency and mandate a hierarchy of required review" before a child is removed from home (*see* Besharov, Practice Commentaries, McKinney's Cons Laws of NY, Book 29A, Family Ct Act § 1021, at 5 [1999 ed]).

Consent Removal

First, section 1021 provides that a child may be removed "from the place where he is residing with the written consent of his parent or other person legally responsible for his care, if the child is an abused or neglected child under this article" (Family Ct Act § 1021; *see Tenenbaum v Williams*, 193 F3d 581, 590 n 5 [2d Cir 1999]; *Matter of Jonathan P.*, 283 AD2d 675 [3d Dept 2001]). This section is significant because "many parents are willing and able to understand the need to place the child outside the home and because resort to unnecessary legal coercion can be detrimental to later treatment efforts" (Besharov at 6).

Postpetition Removal

[2] If parental consent cannot be obtained, section 1027, at issue here, provides for preliminary orders after the filing of a neglect (or abuse) petition. Thus, according to the statutory continuum, where the circumstances are not so exigent, the agency should bring a petition and seek a hearing *prior to re-*

removal of the child. In any case involving abuse—or in any case where the child has already been removed without a court order—the Family Court must hold a hearing as soon as practicable after the filing of a petition, to determine whether the child’s interests require protection pending a final order of disposition (Family Ct Act § 1027 [a]). As is relevant here, the section further provides that in any other circumstance (such as a neglect case), after the petition is filed any person originating the proceeding (or the Law Guardian) may apply for—or the court on its own may order—a hearing to determine whether the child’s interests require protection, pending a final order of disposition (*id.*).⁸

For example, in *Matter of Adam DD.* (112 AD2d 493 [3d Dept 1985]), after filing a child neglect petition, petitioner Washington County Department of Social Services sought an order under section 1027. At a hearing, evidence demonstrated that respondent mother had told her son on several occasions that she intended to kill herself, and Family Court directed that custody be placed with petitioner on a temporary basis for two months. At the subsequent dispositional hearing, a psychiatrist testified that respondent was suffering from a type of paranoid schizophrenia that endangered the well-being of the child, and recommended the continued placement with petitioner. A second psychiatrist concurred. The Appellate Division concluded that the record afforded a basis for Family Court to find neglect because of possible impairment of the child’s emotional health, and continued placement of the child with petitioner.

While not a domestic violence case, *Matter of Adam DD.* is instructive because it concerns steps taken in the circumstance where a child is emotionally harmed by parental behavior. The parent’s repeated threats of suicide caused emotional harm that could be akin to the experience of a child who witnesses repeated episodes of domestic violence perpetrated against a parent. In this circumstance, the agency did not immediately remove the child, but proceeded with the filing of a petition and a hearing.

Upon such a hearing, if the court finds that removal is necessary to avoid imminent risk to the child’s life or health, it is

8. Under section 1028, a parent or person legally responsible for the care of a child may petition the court for return of the child after removal, if he or she was not present or given an adequate opportunity to be present at the section 1027 hearing. The factors to be considered when returning a child removed in an emergency mirror those considered in an initial determination under sections 1027 and 1022—best interests, imminent risk, and reasonable efforts to avoid removal.

required to remove or continue the removal and remand the child to a place approved by the agency (Family Ct Act § 1027 [b] [i]). In undertaking this inquiry, the statute also requires the court to consider and determine whether continuation in the child's home would be contrary to the best interests of the child (*id.*).⁹

The Circuit Court has asked us to harmonize the “best interests” test with the calculus concerning “imminent risk” and “imminent danger” to “life or health” (344 F3d at 169). In order to justify a finding of imminent risk to life or health, the agency need not prove that the child has suffered actual injury (*see Matter of Kimberly H.*, 242 AD2d 35, 38 [1st Dept 1998]). Rather, the court engages in a fact-intensive inquiry to determine whether the child's emotional health is at risk. Section 1012 (h), moreover, sets forth specific factors, evidence of which may demonstrate “substantially diminished psychological or intellectual functioning” (*see also Matter of Sayeh R.*, 91 NY2d 306, 314-316 [1997]; *Matter of Nassau County Dept. of Social Servs. [Dante M.] v Denise J.*, 87 NY2d 73, 78-79 [1995]). As noted in our discussion of Certified Question No. 1, section 1012 (h) contains the caveat that impairment of emotional health must be “clearly attributable to the unwillingness or inability of the respondent to exercise a minimum degree of care toward the child” (*see Matter of Theresa CC.*, 178 AD2d 687 [3d Dept 1991]).

Importantly, in 1988, the Legislature added the “best interests” requirement to the statute, as well as the requirement that reasonable efforts be made “to prevent or eliminate the need for removal of the child from the home” (L 1988, ch 478, § 5).¹⁰ These changes were apparently necessary to comport with federal requirements under title IV-E of the Social Security Act (42 USC §§ 670-679b), which mandated that federal “foster care maintenance payments may be made on behalf of otherwise eligible children who were removed from the home of a specified relative pursuant to a voluntary placement agreement, or as the result of a ‘judicial determination to the effect that continuation therein would be contrary to the welfare of

9. The order must state the court's findings which support the necessity of removal, whether the parent was present at the hearing, what notice was given to the parent of the hearing and under what circumstances the removal took place (Family Ct Act § 1027 [b] [i]).

10. The Legislature added these provisions to sections 1022 and 1028 as well.

the child and . . . that reasonable efforts [to prevent the need for removal] have been made' ” (Policy Interpretation Question of US Dept of Health & Human Servs, May 3, 1986, Bill Jacket, L 1988, ch 478, at 32-33). The measures “ensure[d] that children involved in the early stages of child protective proceedings and their families receive appropriate services to prevent the children’s removal from their homes whenever possible” (Mem from Cesar A. Perales to Evan A. Davis, Counsel to Governor, July 27, 1988, Bill Jacket, L 1988, ch 478, at 14).

By contrast, the City at the time took the position that

“[t]he mixing of the standards ‘best interest of the child’ and ‘imminent risk’ is confusing. It makes no sense for a court to determine as part of an ‘imminent risk’ decision, what is in the ‘best interest of the child.’ If the child is in ‘imminent risk’, his/her ‘best interest’ is removal from the home. A ‘best interest’ determination is more appropriately made after an investigation and a report have been completed and all the facts are available” (Letter from Legis Rep James Brennan, City of New York Off of Mayor, to Governor Mario M. Cuomo, July 27, 1988, Bill Jacket, L 1988, ch 478, at 23).

In this litigation, the City posits that the “best interests” determination is part of the Family Court’s conclusion that there is imminent risk warranting removal, and concedes that whether a child will be harmed by the removal is a relevant consideration. The City thus recognizes that the questions facing a Family Court judge in the removal context are extraordinarily complex. As the Circuit Court observed, “it could be argued that the exigencies of the moment that threaten the welfare of a child justify removal. On the other hand, a blanket presumption in favor of removal may not fairly capture the nuances of each family situation” (344 F3d at 174).

The plain language of the section and the legislative history supporting it establish that a blanket presumption favoring removal was never intended. The court *must do more* than identify the existence of a risk of serious harm. Rather, a court must weigh, in the factual setting before it, whether the imminent risk to the child can be mitigated by reasonable efforts to avoid removal. It must balance that risk against the harm removal might bring, and it must determine factually which course is in the child’s best interests.

Additionally, the court must specifically consider whether imminent risk to the child might be eliminated by other means, such as issuing a temporary order of protection or providing services to the victim (Family Ct Act § 1027 [b] [iii], [iv]). The Committee Bill Memorandum supporting this legislation explains the intent that “[w]here one parent is abusive but the child may safely reside at home with the other parent, the abuser should be removed. This will spare children the trauma of removal and placement in foster care” (Mem of Children and Families Standing Comm, Bill Jacket, L 1989, ch 727, at 7).

These legislative concerns were met, for example, in *Matter of Naomi R.* (296 AD2d 503 [2d Dept 2002]), where, following a hearing pursuant to section 1027, Family Court issued a temporary order of protection against a father, excluding him from the home, on the ground that he allegedly sexually abused one of his four children. Evidence established that the father’s return to the home, even under the mother’s supervision, would present an imminent risk to the health and safety of all of the children. Thus, pending a full fact-finding hearing, Family Court took the step of maintaining the integrity of the family unit and instead removed the abuser.

Ex Parte Removal by Court Order

[3] If the agency believes that there is insufficient time to file a petition, the next step on the continuum should not be emergency removal, but ex parte removal by court order (*see e.g. Matter of Nassau County Dept. of Social Servs. [Dante M.] v Denise J.*, 87 NY2d 73 [1995]). Section 1022 of the Family Court Act provides that the court may enter an order directing the temporary removal of a child from home *before* the filing of a petition if three factors are met.

First, the parent must be absent or, if present, must have been asked and refused to consent to temporary removal of the child and must have been informed of an intent to apply for an order. Second, the child must appear to suffer from abuse or neglect of a parent or other person legally responsible for the child’s care to the extent that immediate removal is necessary to avoid imminent danger to the child’s life or health. Third, there must be insufficient time to file a petition and hold a preliminary hearing.

Just as in a section 1027 inquiry, the court must consider whether continuation in the child’s home would be contrary to the best interests of the child; whether reasonable efforts were

made prior to the application to prevent or eliminate the need for removal from the home; and whether imminent risk to the child would be eliminated by the issuance of a temporary order of protection directing the removal of the person from the child's residence.¹¹ Here, the court must engage in a fact-finding inquiry into whether the child is at risk and appears to suffer from neglect.

The Practice Commentaries suggest that section 1022 may be unfamiliar, or seem unnecessary, to those in practice in New York City, "where it is common to take emergency protective action without prior court review" (Besharov, Practice Commentaries, McKinney's Cons Laws of NY, Book 29A, Family Ct Act § 1022, at 10 [1999 ed]). If, as the District Court's findings suggest, this was done in cases where a court order could be obtained, the practice contravenes the statute. Section 1022 ensures that in most urgent situations, there will be judicial oversight in order to prevent well-meaning but misguided removals that may harm the child more than help. As the comment to the predecessor statute stated, "[t]his section . . . [is] designed to avoid a premature removal of a child from his home by establishing a procedure for an early judicial determination of urgent need" (Committee Comments, McKinney's Cons Laws of NY, Book 29A, Family Ct Act § 322 [1963 ed]).

Whether analyzing a removal application under section 1027 or section 1022, or an application for a child's return under section 1028, a court must engage in a balancing test of the imminent risk with the best interests of the child and, where appropriate, the reasonable efforts made to avoid removal or continuing removal. The term "safer course" (see e.g. *Matter of Kimberly H.*, 242 AD2d 35 [1st Dept 1998]; *Matter of Tantalyn TT.*, 115 AD2d 799 [3d Dept 1985]) should not be used to mask a dearth of evidence or as a watered-down, impermissible presumption.

Emergency Removal Without Court Order

[4] Finally, section 1024 provides for emergency removals without a court order. The section permits removal without a court order and without consent of the parent if there is reasonable cause to believe that the child is in such urgent circumstance or condition that continuing in the home or care of the

11. The order must state the court's findings concerning the necessity of removal, whether respondent was present at the hearing and what notice was given.

parent presents an imminent danger to the child's life or health, and there is not enough time to apply for an order under section 1022 (Family Ct Act § 1024 [a]; see generally *Matter of Joseph DD.*, 300 AD2d 760, 760 n 1 [3d Dept 2002] [noting that removal under such emergency circumstances requires the filing of an article 10 petition "forthwith" and prompt court review of the nonjudicial decision pursuant to Family Ct Act § 1026 (c) and § 1028]; see also *Matter of Karla V.*, 278 AD2d 159 [1st Dept 2000]). Thus, emergency removal is appropriate where the danger is so immediate, so urgent that the child's life or safety will be at risk before an ex parte order can be obtained. The standard obviously is a stringent one.

Section 1024 establishes an objective test, whether the child is in such circumstance or condition that remaining in the home presents imminent danger to life or health.¹² In construing "imminent danger" under section 1024, it has been held that whether a child is in "imminent danger" is necessarily a fact-intensive determination. "It is not required that the child be injured in the presence of a caseworker nor is it necessary for the alleged abuser to be present at the time the child is taken from the home. It is sufficient if the officials have persuasive evidence of serious ongoing abuse and, based upon the best investigation reasonably possible under the circumstances, have reason to fear imminent recurrence" (*Gottlieb v County of Orange*, 871 F Supp 625, 628-629 [SD NY 1994], citing *Robison v Via*, 821 F2d 913, 922 [2d Cir 1987]). The *Gottlieb* court added that, "[s]ince this evidence is the basis for removal of a child, it should be as reliable and thoroughly examined as possible to avoid unnecessary harm to the family unit" (871 F Supp at 629).

Section 1024 concerns, moreover, only the very grave circumstance of danger to life or health. While we cannot say, for all future time, that the possibility can *never* exist, in the case of emotional injury—or, even more remotely, the risk of emotional injury—caused by witnessing domestic violence, it must be a rare circumstance in which the time would be so fleeting and

12. Section 1022 also requires that the child be brought immediately to a social services department, that the agency make every reasonable effort to inform the parent where the child is and that the agency give written notice to the parent of the right to apply to Family Court for return of the child.

the danger so great that emergency removal would be warranted.¹³

Certified Question No. 3: Process

Finally, the Second Circuit asks us:

“Does the fact that the child witnessed such abuse suffice to demonstrate that ‘removal is necessary,’ N.Y. Family Ct. Act §§ 1022, 1024, 1027, or that ‘removal was in the child’s best interests,’ N.Y. Family Ct. Act §§ 1028, 1052(b)(i)(A), or must the child protective agency offer additional, particularized evidence to justify removal?” (344 F3d at 177.)

[5] The Circuit Court has before it the procedural due process question whether, if New York law permits a presumption that removal is appropriate based on the witnessing of domestic violence, that presumption would comport with *Stanley v Illinois* (405 US 645 [1972] [recognizing a father’s procedural due process interest in an individualized determination of fitness]). All parties maintain, however, and we concur, that under the Family Court Act, there can be no “blanket presumption” favoring removal when a child witnesses domestic violence, and that each case is fact-specific. As demonstrated in our discussion of Certified Question No. 2, when a court orders removal, particularized evidence must exist to justify that determination, including, where appropriate, evidence of efforts made to prevent or eliminate the need for removal and the impact of removal on the child.

The Circuit Court points to two cases in which removals occurred based on domestic violence without corresponding expert testimony on the appropriateness of removal in the particular circumstance (*Matter of Carlos M.*, 293 AD2d 617 [2d Dept 2002]; *Matter of Lonell J.*, 242 AD2d 58 [1st Dept 1998]). Both cases were reviewed on the issue whether there was sufficient evidence to support a finding of neglect. In *Carlos M.*, the evidence showed a 12-year history of domestic violence between the parents which was not only witnessed by the children but also often actually spurred their intervention. In *Lonell J.*,

13. Section 1026 permits the return of a child home, without court order, in a case involving neglect, when an agency determines in its discretion that there is no imminent risk to the child’s health in so doing (Family Ct Act § 1026 [a], [b]). If the agency does not return the child for any reason, the agency must file a petition forthwith, or within three days if good cause is shown (Family Ct Act § 1026 [c]).

caseworkers testified at a fact-finding hearing about the domestic violence perpetrated by the children's father against their mother, as well as the unsanitary condition of the home and the children's poor health.

We do not read *Carlos M.* or *Lonell J.* as supportive of a presumption that if a child has witnessed domestic violence, the child has been harmed and removal is appropriate. That presumption would be impermissible. In each case, multiple factors formed the basis for intervention and determinations of neglect. As the First Department concluded in *Lonell J.*, moreover, "nothing in section 1012 itself requires expert testimony, as opposed to other convincing evidence of neglect" (242 AD2d at 61). Indeed, under section 1046 (a) (viii), which sets forth the evidentiary standards for abuse and neglect hearings, competent expert testimony on a child's emotional condition *may* be heard. The *Lonell J.* court expressed concern that while older children can communicate with a psychological expert about the effects of domestic violence on their emotional state, much younger children often cannot (242 AD2d at 62). The court believed that "[t]o require expert testimony of this type in the latter situation would be tantamount to refusing to protect the most vulnerable and impressionable children. While violence between parents adversely affects all children, younger children in particular are most likely to suffer from psychosomatic illnesses and arrested development" (*id.*).

Granted, in some cases, it may be difficult for an agency to show, absent expert testimony, that there is imminent risk to a child's emotional state, and that any impairment of emotional health is "clearly attributable to the unwillingness or inability of the respondent to exercise a minimum degree of care toward the child" (Family Ct Act § 1012 [h]). Yet nothing in the plain language of article 10 requires such testimony. The tragic reality is, as the facts of *Lonell J.* show, that emotional injury may be only one of the harms attributable to the chaos of domestic violence.

Accordingly, the certified questions should be answered in accordance with this opinion.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.17 of the Rules of

Practice of the Court of Appeals (22 NYCRR 500.17), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in accordance with the opinion herein.

[821 NE2d 108, 787 NYS2d 683]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RENE
RESEK, Appellant.

Argued October 21, 2004; decided November 23, 2004

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered August 7, 2003. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, New York County (Dorothy Cropper, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a controlled substance in the third degree.

People v Resek, 307 AD2d 804, reversed.

HEADNOTES

Crimes — Proof of Other Crimes

1. In the prosecution of defendant for criminal possession of a controlled substance, based in part on a search of the car he was driving, it was reversible error to allow police officers to testify that they had monitored the vehicle, based on a report that it was stolen, in order to enable the prosecution to explain why defendant was arrested. The testimony relating to defendant's possession of a stolen car deprived him of a fair trial since, unbeknownst to the trial jury, the grand jury had refused to indict defendant for possession of a stolen car. The prejudice to defendant outweighed the probative value of the evidence. By allowing the evidence to be given over objection and in the one-sided form requested by the prosecution, the court left the jury with an incomplete and prejudicial narrative. This reversible error was made worse by the court's limiting instruction that the jurors should not infer that defendant did or did not steal the car. It would have sufficed to instruct the jurors that the arrest was lawful and that they were not to speculate as to its reasons.

Crimes — Appeal — Preservation of Issue for Review

2. In the prosecution of defendant for criminal possession of a controlled substance, defendant's claim that it was error to admit testimony of an uncharged crime was preserved for review in view of defendant's persistent and pointed protests to the admission of such testimony. The court assured the defense that it had an exception, and defendant was not required to antagonize the court or test its patience further to preserve his claim.

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By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 222, 614, 690, 695; AM JUR
2d, Evidence §§ 404, 408–410, 419.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3002–
172:3006, 172:4470.

NY JUR 2d, Criminal Law §§ 1853–1855, 2467.7, 3125–3128, 3231, 3233, 3286.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Exclusion and Suppression of Evidence.

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POINTS OF COUNSEL

Office of the Appellate Defender, New York City (Richard M. Greenberg of counsel), for appellant. I. Rene Resek was denied his constitutional rights to a fair trial and due process of law where the trial court allowed the admission of evidence of a crime—possession of a stolen automobile—that was irrelevant to the charged crime and that previously had been considered and dismissed by the grand jury. (*People v Till*, 87 NY2d 835; *People v Hudy*, 73 NY2d 40; *People v Alvino*, 71 NY2d 233; *People v Beam*, 57 NY2d 241; *People v Allweiss*, 48 NY2d 40; *People v Ely*, 68 NY2d 520; *People v Ventimiglia*, 52 NY2d 350; *People v Molineux*, 168 NY 264; *People v Vails*, 43 NY2d 364; *People v Tosca*, 98 NY2d 660.) II. Detective Dailey’s expert testimony that an individual who, like Rene Resek, possesses 23 glassine envelopes of heroin is “probably a dealer” improperly and unfairly usurped the jury’s function with respect to the ultimate issue in the case and rendered the trial fundamentally unfair. (*People v Brown*, 97 NY2d 500; *People v Lee*, 96 NY2d 157; *People v Taylor*, 75 NY2d 277; *People v Cronin*, 60 NY2d 430; *Van Wycklyn v City of Brooklyn*, 118 NY 424; *People v Ingram*, 2 AD3d 211; *People v Tarver*, 292 AD2d 110, 98 NY2d 702; *People v Wright*, 283 AD2d 712; *People v Pratt*, 266 AD2d 318; *People v Lamont*, 227 AD2d 873.)

Robert M. Morgenthau, District Attorney, New York City (Walter J. Storey and Donald J. Siewert of counsel), for respondent. I. Defendant has failed to preserve his contention that Justice Cropper deprived him of his constitutional rights by admitting evidence that he was arrested in a stolen car. On the merits, Justice Cropper did not abuse her discretion in admitting the evidence at issue: it explained the police conduct leading to defendant’s arrest, and the Judge delivered clear and

forceful instructions limiting the jury's consideration of the evidence to that issue alone. (*People v Stephens*, 84 NY2d 990; *People v Iannelli*, 69 NY2d 684; *People v Santiago*, 52 NY2d 865; *People v Alvino*, 71 NY2d 233; *People v Ventimiglia*, 52 NY2d 350; *People v Vails*, 43 NY2d 364; *People v Molineux*, 168 NY 264; *People v Till*, 87 NY2d 835; *People v Montanez*, 41 NY2d 53; *People v Gines*, 36 NY2d 932.) II. Defendant has failed to preserve his challenge to a police expert's testimony that a person who possesses 23 glassines of heroin is "probably a dealer." In any case, the expert's testimony was helpful to the jury and did not remove the issue of defendant's intent from the jury. Any error in the witness's testimony was harmless. (*People v Patterson*, 39 NY2d 288, 432 US 197; *People v Graves*, 85 NY2d 1024; *People v Garcia*, 83 NY2d 817; *People v Tevaha*, 84 NY2d 879; *People v Harris*, 98 NY2d 452; *People v Padro*, 75 NY2d 820; *People v Taylor*, 75 NY2d 277; *People v Cronin*, 60 NY2d 430; *People v Hicks*, 2 NY3d 750; *People v Lee*, 96 NY2d 157.)

OPINION OF THE COURT

ROSENBLATT, J.

[1] Defendant was convicted of criminal possession of a controlled substance with intent to sell, based in part on a search of the car he was driving. To enable the prosecution to explain why defendant was arrested, the trial court allowed police officers to testify that they had monitored the vehicle, based on a report that it was stolen. In fact, and unbeknownst to the trial jury, the grand jury had refused to indict defendant for possession of a stolen car. Under the circumstances, the testimony relating to defendant's possession of a stolen car deprived him of a fair trial.

I.

While conducting surveillance of a reportedly stolen car, police saw defendant enter the vehicle and drive off. They followed and arrested him when he stopped at a gas station. During an inventory search of the car, police recovered nine glassines of heroin from the glove compartment and 14 more when searching defendant at the station house. Based on his possession of the 23 glassines of heroin, a grand jury indicted defendant for criminal possession of a controlled substance with intent to sell, but dismissed the charge of criminal possession of a stolen car.

Before jury selection, the prosecution asked the court to permit the arresting officers to testify as to why they arrested

defendant. The prosecutor asserted that if this evidence was kept from the jury, it might speculate that the police simply accosted defendant for no reason. Defendant (initially proceeding pro se) objected, arguing that the grand jury had “acquitted” him of charges relating to the stolen car and that introducing those charges at trial would be prejudicial. Agreeing with the prosecution, the court ruled that it was entitled to introduce evidence of the allegation of the stolen car to explain the actions of the police. Defendant’s attorney pressed the objection, again pointing out that the grand jury dismissed the stolen car charges. The court, however, adhered to its ruling after reciting its proposed limiting instruction, telling defendant’s attorney that “[y]ou have an exception.”

[2] At trial, when the court reaffirmed its intention to allow evidence as to the stolen car, defendant’s attorney again objected, stating, “And I just voice my prior objection to including uncharged crimes as evidence before the jury when they are not probative of the crime before the court, that being whether or not—.” At that point, the court cut him off, reiterating its position and stating, “Well, counsel you have your exception and you can have it as many times as you want.”¹

After the testimony of one of the police officers, the court instructed the jury that it could consider the evidence as to the stolen car only to explain the action of the officers. Moreover, even though it had been made aware that the grand jury had dismissed the stolen property charge against defendant, the court gave a “limiting” instruction to the jury that “[i]t is not in any way to be inferred by you that the *defendant did or did not steal the car* or anything of the kind.” (Emphasis added.) The jury found defendant guilty and a divided Appellate Division affirmed. A Justice of the Appellate Division granted leave to appeal to this Court, and we now reverse.

In *People v Tosca* (98 NY2d 660 [2002]), we held that the trial court did not abuse its discretion in admitting the police officers’ testimony concerning an unidentified cab driver’s report of

1. [2] Given defendant’s persistent and pointed protests, we cannot agree with the dissenters that defendant did not preserve his claim. After the court assured the defense that it had an exception (in what sounded very much like exasperation or a rebuke to desist in pressing the point for a *fourth* time), it is difficult to imagine what more defendant could have done. We will not impose a preservation rule so extreme that defendant, to succeed, would have to antagonize the court or test its patience even further. Such a rule would do nothing to advance the objectives of our preservation doctrine.

a recent (uncharged) encounter with the armed defendant. The trial court allowed the testimony not for its truth but—as in the case before us—to explain how and why the police pursued and confronted the defendant. Similarly, in *People v Till* (87 NY2d 835 [1995]), evidence of an uncharged robbery served to establish a motive for the defendant’s attempt to kill or assault the off-duty police officer and thus avoid capture. These cases and others like them may justify this type of evidence, in the court’s discretion.

[1] Under certain circumstances, and when coupled with proper limiting instructions, testimony of this kind may fill in gaps in “interwoven events” (*id.* at 837) and thus help the jury understand the case in context. But it is a delicate business, and there is the danger that uncharged crime testimony may improperly divert the jury from the case at hand or introduce more prejudice than evidentiary value (*see generally People v Rojas*, 97 NY2d 32, 37 [2001]). Here, in contrast to *Tosca* and *Till*, the prejudice to defendant outweighed the probative value of the evidence. Admission of the testimony under these circumstances was therefore error.

In seeking to introduce the stolen car testimony, the People pointed out that unless the jurors knew why the police arrested defendant, they might conclude that the police wrongfully targeted him or otherwise abused their authority. This was a legitimate concern, but by allowing the evidence to be given over objection and in the one-sided form requested by the prosecution, the court left the jury with an incomplete and prejudicial narrative. This was reversible error and was not ameliorated by the court’s limiting instruction. Indeed, the instruction made matters worse. Rather than simply reveal to the jury that the grand jury dismissed the charge for possession of a stolen car, the court told the jurors that they should not infer that defendant did or did not steal the car. The case before us is thus critically different from *Tosca* and *Till*. There was nothing in either of those cases to suggest that the defendant was cleared of the uncharged crime.

Our dissenting colleagues contend that the trial court acted within its discretion in allowing the stolen car testimony “to complete the narrative.” (Dissenting op at 391.) While in a *Molineux* context we have used this phrase in several cases (*People*

v Molineux, 168 NY 264 [1901]),² these decisions should not be interpreted as automatically allowing the prosecution to introduce evidence of uncharged crimes merely because the evidence is said to complete the narrative or furnish background information. On the contrary, under our *Molineux* jurisprudence, we begin with the premise that uncharged crimes are inadmissible and, from there, carve out exceptions (see *People v Rojas*, 97 NY2d 32 [2001]; see also Prince, Richardson on Evidence §§ 4-501—4-516, at 175-194 [Farrell 11th ed 1995]).

In appropriate instances, evidence of uncharged crimes may be allowable as background or narrative because juries might “wander helpless” trying to sort out ambiguous but material facts (*People v Green*, 35 NY2d 437, 441 [1974]). Here, however, there was no ambiguity that could not have been easily dealt with by far less prejudicial means. In order to allay the prosecutor’s concern that the jury might, without guidance, stray from its appointed task, it would have sufficed to instruct the jurors that the arrest was lawful and that they were not to speculate as to its reasons. Of course, if defendant had placed the propriety of the police action in issue, the events leading up to his arrest ought properly have been admitted to rebut the claim. Here, however, defendant conceded his possession of the recovered drugs he was charged with intending to sell.

Our result is congruent with cases in which we have held that uncharged crimes, although used to complete the narrative, were too prejudicial to be admitted (see, e.g., *People v Cook*, 42 NY2d 204 [1977]; *People v Stanard*, 32 NY2d 143 [1973]). We are unable to accept the dissent’s view that the trial court properly chose to “inform jurors about the underlying facts and circumstances” with detailed instructions on the limited purpose of the evidence (dissenting op at 391). Had the narrative in fact been completed, and the trial court told the jury *all* of the facts and circumstances, the jury would have learned that the grand jury cleared defendant of the stolen car charge.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

2. We used this language for the first time in *People v Gines* (36 NY2d 932, 932 [1975]), followed by *People v Cook* (42 NY2d 204, 208 [1977]) and most recently in *People v Till* (87 NY2d 835, 837 [1995]). In other cases we referred to the concept using words like “background material” or “background information” (see, e.g., *People v Montanez*, 41 NY2d 53, 58 [1976]; *People v Green*, 35 NY2d 437, 442 [1974]; *People v Stanard*, 32 NY2d 143, 147 [1973]; *People v Tosca*, 98 NY2d 660, 661 [2002]).

GRAFFEO, J. (dissenting). Our recent decisions in *People v Tosca* (98 NY2d 660 [2002]) and *People v Till* (87 NY2d 835 [1995]) illustrate that, in some circumstances, a trial court has the discretion to admit evidence of uncharged crimes closely related to the charges levied to provide the jury with necessary background information or to complete the narrative of relevant events if the probative value of such evidence exceeds its potential for prejudice. Discretion, by its very nature, provides a court with the flexibility to choose among viable alternative courses of action after considering relevant facts and circumstances with due regard for fundamental fairness to the accused. The trial court in this case faced a dilemma—suppress evidence that defendant possessed a stolen vehicle, which would possibly encourage speculation among the jury regarding the reason the police initially approached defendant, or inform jurors about the underlying facts and circumstances with detailed instructions on the limited purpose being served by the evidence. The court in this case, as we approved in *Tosca* and *Till*, chose the latter option. Under our precedent, that decision was not an abuse of discretion. I therefore dissent and would affirm the order of the Appellate Division.

My disagreement with the majority stems not from its view of the facts but from its failure to recognize that the outcome of this case is controlled by our decision in *People v Tosca* (98 NY2d 660 [2002]). There, the defendant was arrested for criminal possession of a weapon after the driver of a taxicab alerted the police that he had seen a handgun protruding from the defendant's waist when he tried to hail the cab. During the trial, the People were allowed to introduce evidence of this encounter in order to give the jury an explanation for why the police initially approached the defendant. We found no error by the trial court because "[t]he testimony was admitted not for its truth, but to provide background information as to how and why the police pursued and confronted [the] defendant" (*id.* at 661). We also noted that the jury had been instructed twice "on the limited use it could make of the testimony and that the testimony was not to be considered proof of the uncharged crime" (*id.*).¹

The facts of this case are parallel in all relevant respects. As in *Tosca*, the trial court in this case admitted evidence that de-

1. One of the instructions in *Tosca* informed the jury that the evidence was:

"offered solely for the purpose of giving you the full story of the events as they unfolded or completing the narrative as to pos-

(n. cont'd)

fendant was driving a stolen car in order to explain the actions of the police and thereby prevent the jury from speculating that he may have been approached and arrested without adequate justification. Here, too, the jury was twice instructed on the limited purpose for which the testimony was being admitted. The first instruction, issued immediately after the People's opening statement, informed the jury that the evidence would be admitted "for only one purpose and that is to explain whatever it is the police officer said he did thereafter, but there may be no inference whatever against the accused with respect to the theft of the car, whether it was stolen or anything of the sort." The second limiting instruction was given during the testimony of one of the police officers and reiterated that:

"the only purpose of the evidence that you have heard here with respect to the stolen vehicle is to explain the action of this officer with respect to that. It is not in any way to be inferred by you that the defendant did or did not steal the car or anything of the kind. It is not for that purpose. You may not draw any inferences whatever from it. The only weight that you may give it is whether or not it adequately explains the actions taken by the police thereafter."²

Despite the fact that defendant objected to the introduction of the factual background information at the outset of the trial, the record indicates that defendant was satisfied with the cautionary instructions provided to the jury. At no time did he object to either instruction, ask the court to supplement its instructions with more detailed language or seek to substitute another corrective charge. The defense also did not request any further clarification regarding the stolen vehicle in the judge's final charge to the jury. In the absence of a timely and specific request or objection to the instruction by defendant, it is unnecessary to reverse the conviction solely on an unpreserved argument regarding the adequacy of jury instructions (*see People v*

sibly explain why the police focused on the defendant, chased him, and ultimately arrested him.

"I charge you that such evidence may be considered by you only for this limited purpose and nothing else. It is not offered to show that the defendant [], in fact, had a dispute or altercation or any contact with a taxicab driver."

2. Nor did the trial court's efforts to ameliorate any prejudice to defendant cease at this point; the court also ordered that all references to the stolen car be redacted from defendant's statement to the police.

Whalen, 59 NY2d 273, 280 [1983]; *People v Santiago*, 52 NY2d 865, 866 [1981]).³

Nor do I see evidence in the record that the jury was “divert[ed]” (majority op at 389) from the charges defendant was facing or that defendant was unduly prejudiced by the actions of the trial court. The record in *Tosca* had the potential for greater prejudice to the defense than the case before us. At trial in *Tosca*, the People were permitted to characterize the defendant’s encounter with the taxi driver as an “attempted robbery.” Critically, however, there was nothing to suggest that *Tosca* actually had attempted to rob the taxicab driver—there was no evidence to indicate that the taxicab driver had been threatened with the firearm or that the defendant had tried to procure the driver’s property, and *Tosca* was not charged with robbery or any other crime arising from the interaction with the taxi driver. We affirmed *Tosca*’s conviction even though his jury was not told that he had been (to use the majority’s terminology) “cleared” of the robbery (majority op at 389).

The majority’s attempt to distinguish *People v Till* (87 NY2d 835 [1995]) is similarly unpersuasive. Charged with the attempted murder of a police officer, the defendant in *Till* challenged the admission of evidence regarding a series of robberies he allegedly committed, which had led to the confrontation with the police officer. Although *Till* was originally indicted for the robberies and the attempted murder, the People ultimately obtained a superceding indictment that did not charge robbery. The jury was not informed that the defendant had not been indicted for robbery by the second grand jury. Yet we found no error because the trial court twice cautioned the jury that “the uncharged robbery testimony was provided to it solely ‘for the purpose of background information’ and ‘for the continuity of the events’ and was not to be considered as proof of the crimes at issue” (*id.* at 837).

Those instructions, as in *Tosca*, are materially similar to the cautionary language utilized by the trial court in this case. No compelling justification has been advanced by the majority for its conclusion that the *Till* jury did not have to be told about

3. The majority misunderstands my posture on this issue. I agree that defendant preserved his objection to the introduction of the uncharged crime evidence. What he did not challenge were the limiting instructions issued by the trial court. As such, the propriety of those instructions is a question that is not properly before us, as our jurisdictional precedent establishes (*see Whalen*, 59 NY2d at 280; *Santiago*, 52 NY2d at 866).

the outcome of the grand jury proceeding but that the jury in this case should have been even in the absence of such a request by defendant. In the end, *Till*, like *Tosca*, supports the trial court's exercise of discretion and, in this case, undermines defendant's claim that he was deprived of a fair trial.

I disagree with the majority's conclusion that the situations in *People v Cook* (42 NY2d 204 [1977]) and *People v Stanard* (32 NY2d 143 [1973]) are "congruent" (majority op at 390) to the evidentiary determination in this case. To the contrary, in the residential burglary prosecution in *Cook*, the People introduced evidence that the defendant, one of three intruders, had exposed himself to the female victim and sexually assaulted her. We determined that "the prosecution . . . transcend[ed] legitimate bounds by probing the lurid and intimate details of the uncharged sex crime" because "there [wa]s no indication in the record, apart from the prosecutor's totally unfounded and highly improper suggestions on summation, that Cook was the individual who sexually abused" the victim (42 NY2d at 208-209). Here, of course, no claim is made that defendant was misidentified as the person who had been driving the stolen vehicle.

The perjury prosecution of a police officer in *Stanard* relied on extensive testimony by a fellow officer, Frank Serpico, whose testimony "embroiled the defendant and other officers in corruption involving a number of . . . specific transactions with specific gamblers at specific times and places" that were not remotely involved with the pending charges involving false statements to a grand jury (32 NY2d at 145-146). We reversed the defendant's conviction because Serpico's testimony of widespread, systemic police corruption, "none of which had any relevancy to the perjury charges . . . added facts involving the defendant and others in a web of activity which could only be considered by the jury reprehensible, resulting in the perjury testimony becoming only background for the evidence of police corruption" (*id.* at 147). In contrast to the record in this case, it cannot be said that the admission of the police officer's testimony referring to the stolen car was so prejudicial that the trial court exceeded the permissible boundaries of discretion. Thus, the prejudicial effect of the uncharged crime evidence in *Cook* and *Stanard* far exceeded the prejudicial potential of the testimony that was introduced in this case.

I further reject defendant's contention that the trial court abused its discretion by allowing a police officer to testify as an expert on the packaging and quantity of the narcotics recovered

from defendant. It is now settled that, in an appropriate case such as this, the People may introduce expert testimony to inform the jury about facts and circumstances indicative of an intent to sell drugs (*see People v Hicks*, 2 NY3d 750, 751 [2004]). In addition, to the extent defendant now complains that the expert's testimony strayed impermissibly into the "ultimate issue" in the case (whether defendant intended to sell or personally use the drugs), that argument was not preserved at trial (*see generally People v Everson*, 100 NY2d 609, 610 [2003]). Accordingly, in the absence of error by the trial court, defendant received a fair trial and his conviction should be upheld.⁴

Chief Judge KAYE and Judges G.B. SMITH and CIPARICK concur with Judge ROSENBLATT; Judge GRAFFEO dissents and votes to affirm in a separate opinion in which Judges READ and R.S. SMITH concur.

Order reversed, etc.

4. One final comment is necessary. The erroneous admission of uncharged crimes evidence does not necessarily require a new trial. Rather, such an error is amenable to harmless error analysis (*see e.g. People v Ventimiglia*, 52 NY2d 350, 361 [1981]; *People v Cook*, 42 NY2d at 208-209). The majority has apparently dispensed with harmless error analysis in this case.

[820 NE2d 860, 787 NYS2d 216]

ARTEMUS LYLES, Appellant, v STATE OF NEW YORK, Respondent.
(Claim No. 105774.)

Argued October 13, 2004; decided November 30, 2004

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 22, 2003. The Appellate Division affirmed an order of the Court of Claims (Terry Jane Ruderman, J.; op 194 Misc 2d 32) which had granted defendant's motion to dismiss the claim.

Lyles v State of New York, 2 AD3d 694, affirmed.

HEADNOTE**State — Claim against State — Statute of Limitations**

In a claim against the State of New York to recover damages for alleged violations of claimant's state and federal constitutional rights arising out of a State Police traffic stop, the State retained its immunity from liability in light of claimant's failure to comply with the time limitations set forth in Court of Claims Act § 10. The time limitations in the Court of Claims Act are distinctly concerned with the subject matter jurisdiction of the Court of Claims as the State has waived its sovereign immunity against suit only to the extent that claimants comply with the provisions of the statute. Accordingly, the claim was properly dismissed.

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By the Publisher's Editorial Staff

AM JUR 2d, Municipal Corporations, Counties, and Other
Political Subdivisions §§ 640, 643; AM JUR 2d, Municipal,
County, School, and State Tort Liability §§ 41–44.

CARMODY-WAIT 2d, Actions in the Court of Claims §§ 120:7,
120:50–120:53.

McKINNEY'S, Court of Claims Act § 10.

NY JUR 2d, Government Tort Liability §§ 262, 269, 274.

ANNOTATION REFERENCE

See ALR Index under Limitation of Actions; Governmental Tort Immunity or Privilege.

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Database: NY-ORCS

Query: court /3 claims & limitation & constitutional /s
traffic /2 stop.

POINTS OF COUNSEL

New York Civil Liberties Union Foundation, New York City (Arthur N. Eisenberg of counsel), for appellant. I. Appellant Artemus Lyles is not foreclosed from pursuing state constitutional claims in the Court of Claims. (*Brown v State of New York*, 89 NY2d 172; *Martinez v City of Schenectady*, 97 NY2d 78; *Lehman v Kornblau*, 134 F Supp 2d 281; *Csoka v County of Suffolk*, 85 F Supp 2d 117; *Costantakos v Board of Educ.*, 105 AD2d 825; *Harby Assoc. v City of Gloversville*, 82 AD2d 1003; *Almor Assoc. v Town of Skaneateles*, 231 AD2d 863; *New York Pub. Interest Research Groups v Levitt*, 62 AD2d 1074; *Cerilli v Kezis*, 306 AD2d 430; *Chevron Oil Co. v Huson*, 404 US 97.) II. Appellant Artemus Lyles is not foreclosed from pursuing causes of action in the Court of Claims directly under the Fourth Amendment to the Federal Constitution. (*Brown v State of New York*, 89 NY2d 172; *Jett v Dallas Ind. School Dist.*, 491 US 701; *Bivens v Six Unknown Named Agents of Fed. Bur. of Narcotics*, 403 US 388; *Mapp v Ohio*, 367 US 643; *Owens v Okure*, 488 US 235; *Board of Regents of Univ. of State of N.Y. v Tomanio*, 446 US 478; *Wilson v Garcia*, 471 US 261; *Pauk v Board of Trustees of City Univ. of N.Y.*, 654 F2d 856; *Chin v Bowen*, 833 F2d 21.)

Eliot Spitzer, Attorney General, Albany (Denise A. Hartman, Caitlin J. Halligan, Daniel Smirlock and Peter H. Schiff of counsel), for respondent. I. The claim must be dismissed because claimant did not file or serve his claim within the jurisdictional time limitations of the Court of Claims Act. (*Alston v State of New York*, 97 NY2d 159; *Lepkowski v State of New York*, 1 NY3d 201; *Brown v State of New York*, 89 NY2d 172; *Owens v Okure*, 488 US 235; *Santulli v Englert, Reilly & McHugh*, 78 NY2d 700; *Rutzing v Lewis*, 302 AD2d 653; *Havell v Islam*, 292 AD2d 210; *Lichtenstein v State of New York*, 93 NY2d 911; *Finnerty v New York State Thruway Auth.*, 75 NY2d 721; *Dreger v New York State Thruway Auth.*, 81 NY2d 721.) II. In view of claimant's alternative common-law tort remedies, the courts below properly dismissed his state constitutional claims because implying a constitutional damages remedy in this case is neither necessary to effectuate the purposes of the state constitutional provisions at issue nor appropriate to ensure full realization of claimant's rights. (*Brown v State of New York*, 89 NY2d 172; *Bivens v Six Unknown Named Agents of Fed. Bur. of Narcotics*, 403 US 388; *Martinez v City of Schenectady*, 97 NY2d 78; *People v Stultz*, 2 NY3d 277; *People v Robinson*, 97 NY2d 341; *Whren v United States*, 517 US 806; *Augat v State of New*

York, 244 AD2d 835, 91 NY2d 814; *Remley v State of New York*, 174 Misc 2d 523; *Bullard v State of New York*, 307 AD2d 676; *Harvey v State of New York*, 281 AD2d 846.) III. There is no basis for the Court to recognize a federal constitutional tort claim against the State of New York in the Court of Claims. (*Brown v State of New York*, 89 NY2d 172; *Matter of Thomasel v Perales*, 78 NY2d 561; *Federal Deposit Ins. Corp. v Meyer*, 510 US 471; *Bivens v Six Unknown Named Agents of Fed. Bur. of Narcotics*, 403 US 388; *Carlson v Green*, 446 US 14.)

OPINION OF THE COURT

CIPARICK, J.

This claim against the State of New York to recover damages for alleged violations of state and federal constitutional rights arose out of an early morning State Police traffic stop on March 27, 1999. Claimant Artemus Lyles was driving home from Westchester County in a 1986 Cadillac that he had recently purchased at an auction. As he traveled on Interstate 287, two New York State Troopers pulled him over explaining that his vehicle's exhaust pipe was emitting fumes. During the stop, the State Troopers issued claimant a ticket for the offense and conducted a consent search of his person. One of the troopers searched his car without his consent. Nothing remarkable was discovered and, after detaining claimant for an hour and 20 minutes, the State Troopers permitted him to drive away.

Shortly thereafter, the same officers stopped claimant a second time for driving with an obstructed windshield. They detained him for another hour during which a State Police sergeant arrived at the scene. According to claimant, he was handcuffed and made to open the car trunk for inspection. A search of its contents revealed only lawful items, which were allegedly thrown onto the road before being returned to the trunk. No ticket was issued and claimant was eventually allowed to leave.

On June 22, 1999, claimant served a timely notice of intention to file a claim for damages against the State. Detailing the incident, the notice set forth causes of action for unreasonable search and seizure, assault and battery, false imprisonment, denial of equal protection, and intentional and negligent injury to property. The claim was not served upon the Attorney General's office until March 18, 2002, and was filed with the Court of Claims on March 19, 2002. It sought damages exclusively for federal and state constitutional violations (*see Brown*

v State of New York, 89 NY2d 172, 183 [1996] [concluding that “claims against the State based upon violations of the State Constitution come within the jurisdiction of the Court of Claims”]; *see also Martinez v City of Schenectady*, 97 NY2d 78 [2001]). Specifically, the claim alleged that the search and seizure of claimant’s person and vehicle violated the Fourth Amendment of the United States Constitution and article I, § 12 of the New York State Constitution. Claimant further alleged that the State Troopers’ conduct was racially motivated and violated the Equal Protection Clauses of the Federal and State Constitutions (*see* US Const, 14th Amend, § 1; NY Const, art I, § 11).

The State moved to dismiss the claim on the ground that the court lacked subject matter jurisdiction because claimant failed to file his claim within the jurisdictional time limitations of Court of Claims Act § 10. In opposition, claimant essentially argued that section 10 governs only the filing deadlines for traditional common-law torts, not constitutional torts. He urged the court to determine the timeliness of his claim based on the statute of limitations period set forth in CPLR 213 (1), proposing a six-year limitations period for state constitutional claims and a three-year limitations period for federal constitutional claims.

The Court of Claims granted the State’s motion and dismissed the claim. The Appellate Division affirmed, holding that state constitutional tort claims cannot be maintained where alternative common-law tort remedies exist for the alleged wrongs. It further held that the Court of Claims properly dismissed the federal constitutional claims for lack of subject matter jurisdiction. The Court explicitly declined to address “the issue of the applicable statute of limitations” (2 AD3d 694, 696 [2003]). Claimant appeals to this Court as a matter of right, and we now affirm the order of the Appellate Division on different grounds.

The dispositive issue here is whether, under the terms of the waiver of sovereign immunity found in Court of Claims Act § 8, the State retained its immunity as to this claim because claimant failed to comply with the time limitations set forth in Court of Claims Act § 10. We conclude that the State retained its immunity and therefore that the claim was properly dismissed.

Preliminarily, a distinction must be drawn between statutes of limitations generally and the filing limitations of the Court of

Claims Act. It is well settled that statutes of limitations are designed to promote justice by preventing the revival of stale claims (see *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757, 773 [1997] [citation omitted]). The primary purpose of a limitations period, we have noted, is to ensure fairness to a defendant (see *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427, 429 [1969]). The time limitations in the Court of Claims Act, however, are distinctly concerned with the subject matter jurisdiction of the Court of Claims as the State has waived its sovereign immunity against suit only to the extent that claimants comply with the provisions of the statute (see *Alston v State of New York*, 97 NY2d 159, 163 [2001]).

Section 8 of the Court of Claims Act provides:

“The state hereby waives its immunity from liability and action and hereby assumes liability and consents to have the same determined in accordance with the same rules of law as applied to actions in the supreme court against individuals or corporations, *provided the claimant complies with the limitations of this article*” (emphasis added).

“Article II, section 10 of the Court of Claims Act could not be any clearer . . . that ‘[n]o judgment shall be granted in favor of any claimant unless such claimant shall have complied’ with the time limitations established in that section” (*Alston*, 97 NY2d at 163, quoting Court of Claims Act § 10).

Where the notice of intention to file a claim has been timely filed, Court of Claims Act § 10 (3) provides:

“[a] claim to recover damages for injuries to property or for personal injuries caused by the negligence or unintentional tort of an officer or employee of the state while acting as such officer or employee . . . shall be filed and served upon the attorney general within two years after the accrual of such claim.”

In contrast, also assuming a timely served notice of intention, a claim to recover for damages arising from an intentional tort of an officer or employee of the State “shall be filed and served upon the attorney general within one year after the accrual of such claim” (Court of Claims Act § 10 [3-b]).

Here, it is undisputed that claimant’s cause of action for federal and state constitutional torts accrued on March 27, 1999, and that he timely served his notice of intention to file a claim.

Claimant, however, did not file and serve his claim until March 2002—almost three years after the action accrued. Because claimant’s late filing and service places him beyond the two-year outer limits of section 10, and claimant did not seek late filing relief under Court of Claims Act § 10 (8) (a), the State was entitled to dismissal of this claim on sovereign immunity grounds. We need not determine whether the constitutional torts at issue should be categorized as negligent, unintentional or intentional torts for purposes of the court’s jurisdiction over this matter. As the claim is untimely under either Court of Claims Act § 10 (3) or (3-b), it was properly dismissed.

In light of our conclusion, the merits of claimant’s constitutional tort claims are not properly before us. Thus, we do not address the issue of whether a constitutional tort action may be maintained where alternative common-law tort remedies exist.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

[820 NE2d 863, 787 NYS2d 219]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ED-
ERICK FABRICIO, Appellant.

Argued October 21, 2004; decided December 2, 2004

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered August 28, 2003. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Carol Berkman, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and robbery in the first and second degrees.

People v Fabricio, 307 AD2d 882, affirmed.

HEADNOTES**Crimes — Right to be Present at Trial**

1. A sidebar conference held while defendant was on the witness stand and the jury was seated in the jury box did not constitute either a *Sandoval* or *Ventimiglia* hearing, at which defendant had a right to be present, since the conference focused on a pure question of law—whether defendant’s testimony “opened the door” to the use of his prior inconsistent statement and whether the People had a good faith basis to inquire about it. Defendant did not have a right to be present, as the subject legal discussion did not implicate his peculiar factual knowledge or otherwise present the potential for his meaningful participation.

Crimes — Appeal — Preservation of Issue for Review

2. Defendant’s claim that his absence from a sidebar conference violated his statutory and constitutional right to be present during material stages of the criminal proceeding was unpreserved for review. The sidebar concerned the issues of whether defendant’s testimony “opened the door” to the use of his prior inconsistent statement involving an uncharged crime and whether the People had a good faith basis to inquire about it. Defense counsel objected only on the ground that he had no notice or knowledge of defendant’s statement. The colloquy centered on that objection, and none of the parties to the conference made even a single inquiry about the uncharged crime itself. For these reasons, any claim based on defendant’s absence from the conference was unpreserved.

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AM JUR 2d, Appellate Review § 690; AM JUR 2d, Criminal
Law §§ 1100, 1107, 1115.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2789,
172:2791, 172:2793.

LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.2.

NY JUR 2d, Criminal Law §§ 2232, 3125–3127, 3130.

ANNOTATION REFERENCE

See ALR Index under Absence or Presence; Appellate Review; Sidebars.

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POINTS OF COUNSEL

Office of the Appellate Defender, New York City (*Michael Pinar*, *Richard M. Greenberg* and *Daniel A. Warshawsky* of counsel), for appellant. The trial court violated Ederick Fabricio's federal constitutional rights as well as his state constitutional and statutory rights when it conducted a *Sandoval/Ventimiglia* hearing during his cross-examination outside his presence, as Mr. Fabricio waited on the witness stand and while the jury remained in the courtroom. (*Snyder v Massachusetts*, 291 US 97; *People v Dokes*, 79 NY2d 656; *People v Spotford*, 85 NY2d 593; *People v Sandoval*, 34 NY2d 371; *People v Fardan*, 82 NY2d 638; *People v Rodriguez*, 85 NY2d 586; *People v Dickerson*, 87 NY2d 914; *People v Haywood*, 280 AD2d 282, 97 NY2d 641; *People v Corcos*, 288 AD2d 40.)

Robert M. Morgenthau, *District Attorney*, New York City (*Patrick J. Hynes* and *Hilary Hassler* of counsel), for respondent. Defendant had no right to be present at a sidebar discussion, held while he was testifying, during which the prosecutor informed the court of his good faith basis for inquiring about a prior inconsistent statement. (*People v Velasquez*, 1 NY3d 44; *People v Maher*, 89 NY2d 318; *People v Andrew*, 1 NY3d 546; *People v Cody*, 260 AD2d 718; *People v Antommarchi*, 80 NY2d 247; *People v Dokes*, 79 NY2d 656; *People v Robles*, 86 NY2d 763; *People v Narayan*, 54 NY2d 106; *People v Torres*, 267 AD2d 261; *People v Sprowal*, 84 NY2d 113.)

OPINION OF THE COURT

CIPARICK, J.

On this appeal, the issue presented is whether a sidebar conference held while defendant was on the witness stand and the jury was seated in the jury box constituted either a *Sandoval* or *Ventimiglia* hearing, at which defendant had a right to be

present (see *People v Sandoval*, 34 NY2d 371 [1974]; see also *People v Ventimiglia*, 52 NY2d 350 [1981]). Because the sidebar concerned only a legal issue, we conclude that the conference was not a *Sandoval* or a *Ventimiglia* hearing, and defendant's right to be present was not violated.

In connection with the robbery and shooting death of Jose Perez, defendant was arrested and charged with murder in the second degree, robbery in the first degree and robbery in the second degree. Under direct examination, defendant testified that he traveled by plane from Florida to New York on the day before the charged crimes took place. He further testified that Pedro Aviles, an accomplice, paid his airfare. During cross-examination, defendant again maintained that he did not pay for his airline ticket.

The People requested a sidebar conference which took place while defendant was on the witness stand and the jury was in the jury box. The record reflects that the trial judge, prosecutor and defense counsel were present at the conference. We do not know the exact location of the sidebar, but for purposes of our analysis will assume that all discussions were held out of defendant's presence. During the sidebar, the following colloquy took place:

“[PROSECUTOR]: I'd ask for a ruling on a Sandoval Ventimiglia situation. The defendant told Pedro and the cab driver on the trip from Kennedy [Airport] to Yonkers that he got the money for the ticket by doing a robbery. And that that is how he got up here.

“[DEFENSE COUNSEL]: That the defendant got the money—

“[PROSECUTOR]: The defendant did. And I want to inquire about that.

“[DEFENSE COUNSEL]: Obviously, I would object to first of all, I never seen the statement or heard about the statement at all. The statement allegedly made by the defendant as to where all the evidence has been, the defendant came up to New York and got the money. Got the ticket because Pedro had bought a pre-purchased ticket for him.

“[PROSECUTOR]: He never told any law enforcement that this is through the cab driver.

“[DEFENSE COUNSEL]: I am going to object to it.

“THE COURT: He has a good faith basis for asking. I don’t know if it is a Sandoval Ventimiglia.

“[PROSECUTOR]: It may not be.”

The sidebar was then concluded, and the court ordered a brief recess.

Cross-examination resumed, and defendant affirmatively recalled his previous testimony that he did not pay for his airline ticket. Thereafter, the prosecutor asked defendant “didn’t you explain to Pedro and to [the taxi driver] that in order to get the plane up here and pay for it, you had to commit a robbery?” Over objection, defendant answered in the negative. No further inquiries were made concerning the alleged statement.

At the conclusion of the trial, Supreme Court convicted defendant, upon a jury verdict, of murder in the second degree and robbery in the first and second degrees, and sentenced him to concurrent terms of 25 years to life, 12½ to 25 years and 5 to 15 years. Defendant appealed his conviction arguing that he was denied his right to be present at a material stage of trial by his exclusion from the sidebar conference, which he characterized as a *Sandoval/Ventimiglia* hearing (see *People v Sandoval*, 34 NY2d 371 [1974]; see also *People v Ventimiglia*, 52 NY2d 350 [1981]).

The Appellate Division, over a one-Justice dissent, rejected this argument and affirmed the conviction, reasoning that the record did not establish defendant’s absence from the sidebar and that, “[i]n any event, the conference concerned a pure issue of law as to whether the prosecutor had a good faith basis for questioning defendant about a prior inconsistent statement” (307 AD2d 882, 883 [2003] [citations omitted]). The dissenting Justice voted to reverse defendant’s conviction and remand the case for a new trial on the ground that the sidebar conference was a *Sandoval* hearing, at which defendant had a right to be present. By permission of the dissenting Justice, defendant appeals from the order of the Appellate Division, and we now affirm.

[1] Defendant argues that the challenged sidebar conference constituted a *Sandoval/Ventimiglia* hearing and that, as a result of his absence, he was denied his statutory and constitutional right to be present during material stages of the criminal proceeding (see CPL 260.20; US Const 6th, 14th Amends; NY Const, art I, § 6). The People effectively counter that the conference involved only questions of law, making defendant’s pres-

ence during the discussion unnecessary (see *People v Rodriguez*, 85 NY2d 586, 591 [1995]).

In determining whether a defendant has a right to be present during a particular proceeding, an essential factor is the potential for the defendant to meaningfully participate in the subject discussions (see *People v Spotford*, 85 NY2d 593, 596 [1995]; see also *People v Dokes*, 79 NY2d 656, 661 [1992]). An important consideration “is whether the proceeding involved factual matters about which [the] defendant might have peculiar knowledge that would be useful in advancing the defendant’s or countering the People’s position” (*Dokes*, 79 NY2d at 660). In the *Sandoval/Ventimiglia* context, the trial court balances the probative value of proposed evidence against its prejudicial impact, considering the nature of the defendant’s alleged prior bad acts and their similarity to the pending charges (see *Dokes*, 79 NY2d at 661).

Here, the sidebar conference focused on a pure question of law—whether defendant’s testimony “opened the door” to the use of his prior inconsistent statement and whether the People had a good faith basis to inquire about it. Defendant did not have a right to be present, as the subject legal discussion did not implicate his peculiar factual knowledge or otherwise present the potential for his meaningful participation (see *People v Rodriguez*, 85 NY2d 586, 591 [1995]). To be sure, in allowing the prosecutor to proceed with the inquiry, the trial court ruled that the People had a good faith basis for the question. The court correctly did not consider the application to be in the realm of *Sandoval* or *Ventimiglia*, requiring a balancing of prejudice and probative value (see *Dokes*, 79 NY2d at 661).

[2] Moreover, defense counsel objected only on the ground that he had no notice or knowledge of defendant’s statement. The colloquy centered on that objection, and none of the parties to the conference made even a single inquiry about the uncharged robbery itself.* For these reasons, any claim based on defendant’s absence from the conference is unpreserved for this Court’s review.

* It is noteworthy that the People made no further mention about the prior inconsistent statement or the alleged robbery but, during summation, stated that the evidence established that—as defendant testified—his accomplice Pedro Aviles paid his airfare.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed.

[821 NE2d 530, 788 NYS2d 292]

ALDO RUBEIS et al., Plaintiffs, v THE AQUA CLUB, INC., Doing Business as V.I.P. TENNIS & BEACH CLUB, LTD., et al., Defendants. THE AQUA CLUB, INC., Third-Party Plaintiff-Appellant, v VENEZIA IRON WORKS, INC., Third-Party Defendant-Respondent.

JORGE LARGO-CHICAIZA, Plaintiff, v WESTCHESTER SCAFFOLD EQUIPMENT CORP. et al., Defendants. VERMONT SLATE ROOF Co. et al., Third-Party Plaintiffs, and PETER B. McCAFFREY et al., Third-Party Plaintiffs-Appellants, v SALVATORE SANZO, Third-Party Defendant-Respondent.

THOMAS KNAUER, Respondent, v DIANE L. ANDERSON, as Executrix of WILLIAM F. ANDERSON, SR., et al., Defendants. DIANE L. ANDERSON, as Executrix of WILLIAM F. ANDERSON, SR., et al., Third-Party Plaintiffs, and B.T.S. SERVICES, INC., Third-Party Plaintiff-Respondent, v RONALD A. KNAUER, JR., Doing Business as KNAUER ELECTRIC, Third-Party Defendant-Appellant.

Argued October 12, 2004; decided November 23, 2004

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 27, 2003. The Appellate Division (1) reversed, on the law, so much of a judgment of the Supreme Court, Rockland County (Alfred J. Weiner, J.), as had, after a jury trial, granted the defendant/third-party plaintiff indemnification against the third-party defendant, (2) granted the third-party defendant's motion pursuant to CPLR 4401 for judgment as a matter of law dismissing the third-party complaint, and (3) dismissed the third-party complaint.

APPEAL, in the second above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 1, 2004. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Queens County (Frederick D. Schmidt, J.), as had denied that branch of the third-party defendant's cross motion which was for summary judgment, in effect, dismissing the third-party complaint, (2) granted that branch of the cross motion, and (3) dismissed the third-party complaint.

APPEAL, in the third above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 31, 2003. The Appellate Division affirmed a judgment of the Supreme Court, Erie County (Barbara Howe, J.), entered upon a jury verdict in favor of plaintiff, which had awarded plaintiff money damages against the third-party defendant.

Rubeis v Aqua Club, 305 AD2d 656, reversed.

Largo-Chicaiza v Westchester Scaffold Equip. Corp., 5 AD3d 355, reversed.

Knauer v Anderson, 2 AD3d 1314, affirmed.

HEADNOTE

**Workers' Compensation — Third-Party Action — Grave Injury —
Brain Injury Resulting in Permanent Total Disability**

A brain injury results in “permanent total disability” constituting a grave injury under Workers' Compensation Law § 11 when the evidence establishes that the injured worker is no longer employable in any capacity. Permanent total disability relates to the injured worker's employability, not his or her ability to function in society.

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By the Publisher's Editorial Staff

AM JUR 2d, Workers' Compensation §§ 50, 84, 381–383.

McKINNEY'S, Workers' Compensation Law § 11.

NY JUR 2d, Workers' Compensation §§ 81, 84, 478, 867.

ANNOTATION REFERENCE

Mental incapacity or disease as constituting total or permanent disability within insurance coverage. 22 ALR3d 1000.

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POINTS OF COUNSEL

Shaub, Ahmuty, Citrin & Spratt, LLP, Lake Success (Steven J. Ahmuty and Christopher Simone of counsel), for Aqua Club, Inc., defendant and third-party plaintiff-appellant in the first above-entitled action. I. Under the acquired brain injury category of “grave injury” in Workers' Compensation Law § 11, the

requirement of “permanent total disability” should be determined in reference to the injured worker’s employability, not the ability to engage in day-to-day functions. (*Castro v United Container Mach. Group*, 96 NY2d 398; *Meis v ELO Org.*, 97 NY2d 714; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Way v Grantling*, 289 AD2d 790; *Knauer v Anderson*, 2 AD3d 1314; *Schuler v Kings Plaza Shopping Ctr. & Mar.*, 294 AD2d 556; *Dunn v Smithtown Bancorp.*, 286 AD2d 701; *Fitzpatrick v Chase Manhattan Bank*, 285 AD2d 487; *Olszewki v Park Terrace Gardens*, 306 AD2d 128; *We’re Assoc. Co. v Cohen, Stracher & Bloom*, 65 NY2d 148.) II. In the event this Court concludes that “employability” is the controlling standard, then in light of the jury’s verdict finding that plaintiff sustained a “grave injury” under Workers’ Compensation Law § 11, Aqua Club is entitled to reversal of the Appellate Division’s order and reinstatement of the indemnification judgment in its favor. (*Alexander v Eldred*, 63 NY2d 460.)

Michael J. Hutter, Albany, for third-party defendant-respondent in the first above-entitled action. I. The requirement of an injured worker’s “permanent total disability” under the acquired brain injury category of “grave injury” in Workers’ Compensation Law § 11 must be determined in reference to the worker’s ability to engage in life’s daily activities, and where it is undisputed, as here, that the competent medical proof shows the employee has some ability, physical and mental, albeit on a diminished level, as compared to the worker’s preaccident abilities, there is no “permanent total disability” and thus no “grave injury.” (*Westchester Light. Co. v Westchester County Small Estates Corp.*, 278 NY 175; *Dole v Dow Chem. Co.*, 30 NY2d 143; *Ibarra v Equipment Control*, 268 AD2d 13; *Kelly v Long Is. Light. Co.*, 31 NY2d 25; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Castro v United Container Mach. Group*, 96 NY2d 398; *Meis v ELO Org.*, 97 NY2d 714; *Patrolmen’s Benevolent Assn. v City of New York*, 41 NY2d 205; *People v White*, 73 NY2d 468; *Council of City of N.Y. v Giuliani*, 93 NY2d 60.) II. Assuming arguendo that this Court concludes that “permanent total disability” is to be determined solely in reference to plaintiff’s ability to engage in employment, a new trial on the issue of whether plaintiff sustained a “permanent total disability” under that employability standard must be ordered.

Fishman, Dorfman & Callahan, Pearl River (*Jayne F. Monahan* of counsel), for third-party plaintiffs-appellants in the second above-entitled action. I. There are conflicts in the rul-

ings of the Appellate Division Departments on the interpretation of permanent total disability. (*Schuler v Kings Plaza Shopping Ctr. & Mar.*, 294 AD2d 556; *Dunn v Smithtown Bancorp.*, 286 AD2d 701; *Fitzpatrick v Chase Manhattan Bank*, 285 AD2d 487; *Way v Grantling*, 289 AD2d 790; *Knauer v Anderson*, 2 AD3d 1314.) II. The Second Department's definition of permanent total disability is too narrow. (*Castro v United Container Mach. Group*, 96 NY2d 398.) III. Plaintiff Jorge Largo-Chicaiza suffered a grave injury utilizing the definitions as set forth by the Third and Fourth Departments.

Baxter & Smith, P.C., White Plains (*Robert C. Baxter and Sim R. Shapiro* of counsel), for third-party defendant-respondent in the second above-entitled action. I. The Appellate Division, Second Department, has correctly defined the term "permanent total disability." (*Castro v United Container Mach. Group*, 96 NY2d 398; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Aguirre v Castle Am. Constr.*, 307 AD2d 901; *Trimble v Hawker Dayton Corp.*, 307 AD2d 452; *Way v Grantling*, 289 AD2d 790; *Tassone v Mid-Valley Oil Co.*, 291 AD2d 623; *Knauer v Anderson*, 2 AD3d 1314; *Schuler v Kings Plaza Shopping Ctr. & Mar.*, 294 AD2d 556; *Dunn v Smithtown Bancorp.*, 286 AD2d 701; *Rubeis v Aqua Club*, 305 AD2d 656.) II. Under the Appellate Division, Second Department's interpretation of "permanent total disability," plaintiff, Jorge Largo-Chicaiza, did not sustain a "grave injury" pursuant to Workers' Compensation Law § 11. (*Rubeis v Aqua Club*, 305 AD2d 656; *Schuler v Kings Plaza Shopping Ctr. & Mar.*, 294 AD2d 556; *Dunn v Smithtown Bancorp.*, 286 AD2d 701; *Barbieri v Mount Sinai Hosp.*, 264 AD2d 1.) III. Even using the definition of the Appellate Division, Third Department, in *Way v Grantling* (289 AD2d 790 [2001]) in which it held that "permanent total disability" relates to a plaintiff's employability, Jorge Largo-Chicaiza has not sustained a "grave injury."

Michael J. Hutter, Albany, and *Underberg & Kessler, LLP*, Buffalo (*J. David Sampson* of counsel), for third-party defendant-appellant in the third above-entitled action. I. The requirement of an injured worker's "permanent total disability" under the acquired brain injury category of "grave injury" in Workers' Compensation Law § 11 must be determined in reference to the worker's ability to engage in life's daily activities, and where it is undisputed, as here, that the competent medical proof shows the employee has some ability, physical and mental, albeit on a diminished level as compared to the worker's preaccident abili-

ties, there is no “permanent total disability” and thus no “grave injury.” (*Westchester Light. Co. v Westchester County Small Estates Corp.*, 278 NY 175; *Dole v Dow Chem. Co.*, 30 NY2d 143; *Ibarra v Equipment Control*, 268 AD2d 13; *Kelly v Long Is. Light. Co.*, 31 NY2d 25; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Castro v United Container Mach. Group*, 96 NY2d 398; *Meis v ELO Org.*, 97 NY2d 714; *Patrolmen’s Benevolent Assn. v City of New York*, 41 NY2d 205; *People v White*, 73 NY2d 468; *Council of City of N.Y. v Giuliani*, 93 NY2d 60.) II. Assuming arguendo that this Court concludes that “permanent total disability” is to be determined solely in reference to plaintiff’s ability to engage in employment, a new trial on the issue of whether plaintiff sustained a “permanent total disability” under that employability standard must be ordered.

Connors & Vilardo, LLP, Buffalo (*John T. Loss* and *Terrence M. Connors* of counsel), for respondent in the third above-entitled action. I. “Permanent total disability” must encompass an injury that results in the complete and permanent inability to be employed in any capacity whatsoever. (*Way v Grantling*, 289 AD2d 790; *Rubeis v Aqua Club*, 305 AD2d 656; *Largo-Chicaiza v Westchester Scaffold Equip. Corp.*, 5 AD3d 355; *Castro v United Container Mach. Group*, 96 NY2d 398; *Matter of Schurick v Bayer Co.*, 272 NY 217.) II. Knauer Electric’s proposed definition is radical, unprecedented, and contrary to what the Legislature intended. (*Way v Grantling*, 289 AD2d 790; *Matter of Schurick v Bayer Co.*, 272 NY 217; *Castro v United Container Mach. Group*, 96 NY2d 389.)

Gibson, McAskill & Crosby, LLP, Buffalo (*Norman B. Viti, Jr.*, *Victor Alan Oliveri* and *Timothy J. Graber* of counsel), for third-party plaintiff-respondent in the third above-entitled action. The Appellate Division, Fourth Department, correctly held that the plain meaning of “permanent total disability” as used in section 11 of the Workers’ Compensation Law in reference to “an acquired injury to the brain” relates to a plaintiff’s permanent total disability from employment and not to his or her ability to otherwise care for himself or herself and function in a modern society.

OPINION OF THE COURT

Chief Judge KAYE.

An employer’s liability for an on-the-job injury is generally limited to workers’ compensation benefits, but when an em-

ployee suffers a “grave injury” the employer also may be liable to third parties for indemnification or contribution. In the three actions before us, we are again asked to define the scope of an enumerated “grave injury” in Workers’ Compensation Law § 11—this time “an acquired injury to the brain caused by an external physical force resulting in permanent total disability.” We hold that a brain injury results in “permanent total disability” under section 11 when the evidence establishes that the injured worker is no longer employable in any capacity.

Rubeis v Aqua Club, Inc.

Aldo Rubeis, an ironworker, sustained a brain injury when he fell approximately 19 feet from a ladder while installing a steel cupola at the Aqua Club. At the time of the accident, Rubeis was employed by Venezia Iron Works, Inc. Rubeis commenced a personal injury action against Aqua Club, which then impleaded Venezia alleging a cause of action for common-law indemnification and contribution. Aqua Club claimed that plaintiff sustained a grave injury under Workers’ Compensation Law § 11 and thus plaintiff’s employer was liable.

At the close of the liability phase of trial, the court granted Aqua Club judgment on its claim against Venezia, subject to resolution of the question whether plaintiff sustained a grave injury, which it submitted to the jury. The court instructed the jury that

“[i]n order to prove a grave injury . . . the medical evidence must indicate that . . . plaintiff is unable to return to any employment. You may consider plaintiff’s ability to obtain other employment and should also consider his ability to perform the usual and customary tasks of ordinary day-to-day living, such as whether he is physically independent and ambulatory, in determining whether or not plaintiff suffered a grave injury. . . .”

The jury found that the plaintiff sustained a grave injury and awarded him approximately \$3.2 million in damages. The trial court denied Venezia’s motion to set aside the verdict, but the Appellate Division, Second Department, reversed and granted the motion. Relying on Second Department case law holding that brain injury does not result in permanent total disability where the employee is able to perform day-to-day functions, the Appellate Division concluded that plaintiff had not suffered a grave injury under Workers’ Compensation Law § 11.

Largo-Chicaiza v Westchester Scaffold Equipment Corp.

Jorge Largo-Chicaiza, a day-laborer, sustained a brain injury when he fell from the roof of a six-story house owned by Peter and Catherine McCaffrey while removing shingles. At the time of the accident, he was employed by the general contractor, Salvatore Sanzo. Largo-Chicaiza brought a personal injury action against the McCaffreys, Sanzo and the roofing subcontractors. In their answers, defendants each sought dismissal of the complaint and, in the alternative, cross-claimed for indemnification and contribution against Sanzo pursuant to Workers' Compensation Law § 11.

Sanzo sought summary judgment against plaintiff and dismissal of all cross claims against him on the ground that he was plaintiff's employer, and plaintiff's sole recovery against him were therefore workers' compensation benefits. The trial court granted Sanzo's motion for summary judgment as against plaintiff, but denied his motion seeking to prohibit impleader actions against him and converted defendants' cross claims into third-party actions against Sanzo. Citing *Way v Grantling* (289 AD2d 790, 792 [3d Dept 2001]) for the proposition that permanent total disability relates to the injured party's employability, not ability to function in society, the trial court concluded that the evidence raised material questions of fact. The Appellate Division, Second Department, reversed and, citing *Rubeis* (305 AD2d 656 [2003]), concluded that plaintiff's injuries were not a grave injury under Workers' Compensation Law § 11.

Knauer v Anderson

Thomas Knauer, an electrician employed by Knauer Electric, sustained a brain injury when he fell 17 feet from a ladder and crashed headfirst onto a gravel floor. Knauer commenced a personal injury action against the general contractor and the property owner. The defendants then brought a third-party action against plaintiff's employer for indemnification. The trial court denied the employer's motion for summary judgment, finding a triable issue of fact regarding whether plaintiff sustained a grave injury.

After trial, the court charged the jury that permanent total disability means permanent total disability from employment and does not require that plaintiff lack all capacity to perform personal or household activities. The jury found in plaintiff's favor, awarding him \$11 million, and the Appellate Division,

Fourth Department, affirmed, relying on *Way*. The Court reasoned, “evidence that a plaintiff has suffered the specified injury to the brain resulting in permanent total disability relates to his or her permanent total disability from employment, not to his or her ability to otherwise care for himself or herself and function in a modern society” (2 AD3d 1314, 1315 [4th Dept 2003] [internal quotation marks omitted]).

We granted leave to address this split among Departments on the meaning of “permanent total disability” under Workers’ Compensation Law § 11.

Analysis

Workers’ Compensation Law § 11 provides:

“An employer shall not be liable for contribution or indemnity to any third person based upon liability for injuries sustained by an employee acting within the scope of his or her employment for such employer unless such third person proves through competent medical evidence that such employee has sustained a ‘grave injury’ which shall mean only one or more of the following: death, permanent and total loss of use or amputation of an arm, leg, hand or foot, loss of multiple fingers, loss of multiple toes, paraplegia or quadriplegia, total and permanent blindness, total and permanent deafness, loss of nose, loss of ear, permanent and severe facial disfigurement, loss of an index finger or an acquired injury to the brain caused by an external physical force resulting in permanent total disability.”

Section 11 was enacted in 1996 as part of a comprehensive reform intended to reduce costs for employers while also protecting the interests of injured workers (Omnibus Workers’ Compensation Reform Act of 1996, L 1996, ch 635; Governor’s Approval Mem, Bill Jacket, L 1996, ch 635, at 54, 1996 NY Legis Ann, at 459). Before that, New York State stood alone in freely allowing a defendant in a personal injury action brought by an employee injured on the job to seek indemnification or contribution from the employer. Central to the reform was immunity from tort liability for employers who provide workers’ compensation coverage by exposing employers to third-party liability “only in cases involving *narrowly defined* ‘grave’ injuries” (Governor’s Approval Mem, Bill Jacket at 55, 1996 NY Legis Ann, at 460). The injuries enumerated as grave were

“deliberately both narrowly and completely described. The list is exhaustive, not illustrative: it is not intended to be extended absent further legislative action” (*id.*).

This legislative directive has consistently guided our determination as to whether a particular injury is a grave injury within the statute. In *Castro v United Container Mach. Group, Inc.* (96 NY2d 398 [2001]), for example, we held that the term “‘loss of multiple fingers’ cannot sensibly be read to mean partial loss of multiple fingers” (*id.* at 401). The word finger in the statute means the whole finger, not just its tip. And in *Meis v ELO Org., LLC* (97 NY2d 714, 716 [2002]), we concluded that loss of a thumb is not “permanent and total loss of use” of a hand, and thus not a grave injury.

In *Castro* and *Meis*, the words of the statute alone answered the question before us. Partial loss of multiple fingers, and loss of a thumb, simply do not fit the clear literal terms of the statute. The statutory words “an acquired injury to the brain caused by an external physical force resulting in permanent total disability,” however, do not alone answer the question whether a particular injury is a grave injury. That phrase *requires* interpretation.

The definition of “permanent total disability” within section 11 has, moreover, divided the Appellate Divisions. The Third and Fourth Departments conclude that the permanent total disability envisioned by the section “relates to the injured party’s employability and not his or her ability to otherwise care for himself or herself and function in a modern society” (*Way v Grantling*, 289 AD2d 790, 792 [3d Dept 2001]; *Knauer v Anderson*, 2 AD3d 1314 [4th Dept 2003]). In *Way*, the Third Department found a material issue of fact as to permanent total disability when evidence suggested that the employee’s postconcussive syndrome permanently disabled him from competitive employment in even the most menial tasks, and where he had been awarded Social Security disability benefits. When defining “permanent total disability” the Second Department, by contrast, has focused on the injured party’s ability to engage in day-to-day functions (*see Schuler v Kings Plaza Shopping Ctr. & Mar., Inc.*, 294 AD2d 556, 559 [2d Dept 2002] [no grave injury where injured plaintiff managed a limited social agenda and was able to, among other things, dress and feed himself and handle simple arithmetic]).

These appeals in fact place before us two possible definitions of permanent total disability: the Second Department’s stan-

dard essentially requiring a vegetative state, and the Third and Fourth Departments' standard essentially requiring unemployability. In choosing between these alternatives, our guiding principle is, of course, to implement the intent of the Legislature—in this case to narrow tort exposure for employers while also protecting the interests of injured workers—by considering both the language used and objects to be accomplished. While both definitions are plausible, the second, in our view, better fits section 11 and better effectuates the legislative purposes.

First, we consider the choices within the context of section 11 itself. The Legislature in section 11 has itself defined a grave injury to include “loss of multiple fingers,” “loss of multiple toes,” “loss of nose,” “loss of ear,” “permanent and severe facial disfigurement” and “loss of an index finger.” None of those enumerated grave injuries has the effect of preventing an employee from performing daily life activities. Limitation of permanent total disability to a vegetative state thus is too harsh a test, out of step with the balance of the section.

Next, we consider the two alternatives within the larger context of the Workers' Compensation Law, where the customary definition of “disability” relates to employment.* The Workers' Compensation Law deals with employment benefits, and the term “disability” generally refers to inability to work. Workers' Compensation Law § 201 (9) (A) and Department of Labor Rules and Regulations (12 NYCRR) § 363.1, for example, relate disability to inability to perform duties of employment. And section 37 (1), which refers to occupational diseases, states, “[d]isability’ means the state of being disabled from earning full wages at the work at which the employee was last employed.” The Workers' Compensation Law is about workers and their work.

Finally, we make clear that the test we adopt for permanent total disability under section 11 is one of unemployability *in any capacity*. “In any capacity” is in keeping with legislative intent and sets a more objectively ascertainable test than equivalent, or competitive, employment.

* “[P]ermanent total disability” is defined in section 15 (1)—which authorizes schedule compensation awards based on a worker’s wages at the time of the accident—to mean, “[l]oss of both hands, or both arms, or both feet, or both legs, or both eyes, or of any two thereof shall, in the absence of conclusive proof to the contrary, constitute permanent total disability.” The purpose there is, however, different from the section before us (*see Castro*, 96 NY2d 398, 401 n 2).

Accordingly, in *Rubeis v Aqua Club, Inc.*, the order of the Appellate Division should be reversed, with costs, and the order of Supreme Court, Rockland County, reinstated; in *Largo-Chicaiza v Westchester Scaffold Equipment Corp.*, the order of the Appellate Division should be reversed, with costs, and the third-party complaint reinstated; and in *Knauer v Anderson*, the judgment appealed from and order of the Appellate Division brought up for review should be affirmed, with costs.

READ, J. (dissenting). As between the two plausible definitions for a “permanent total disability” with respect to an acquired brain injury under Workers’ Compensation Law § 11, the narrower one is, in my view, more faithful to legislative intent. Accordingly, I dissent, and would affirm the orders in *Rubeis* and *Largo-Chicaiza* and reverse the order in *Knauer*.

The 1996 amendment of Workers’ Compensation Law § 11, which created the “grave injury” exception for indemnification or contribution claims against an injured worker’s employer (L 1996, ch 635, § 2), was heavily negotiated. The particular compromises struck to develop the list of grave injuries are unknowable and, in some cases, the results seem downright peculiar. Why, for example, is the loss of an index finger a grave injury while the loss of a thumb is not? We clearly know, however, what the Legislature intended, which was to curtail third-party actions against the employer of an injured worker sharply and to do so, in large part, by designating grave injuries that were “deliberately both *narrowly and completely described*,” “exhaustive, not illustrative” and “not intended to be extended further absent legislative action” (*Castro v United Container Mach. Group, Inc.*, 96 NY2d 398, 402 [2001], quoting Governor’s Approval Mem, Bill Jacket, L 1996, ch 635, at 55, 1996 NY Legis Ann, at 460).

Despite the Legislature’s best efforts to insulate the grave injuries in section 11 from judicial interpretation (and the perceived attendant risk of judicial expansion), the phrase “an acquired injury to the brain caused by an external physical force resulting in permanent total disability” is not self-explanatory. In adopting a standard for permanent total disability essentially requiring unemployability rather than the competing and narrower standard, the inability to perform the usual activities of daily living, the majority deploys tools of statutory interpretation that are tried-and-true, but unsuited to the particular task. Specifically, since many (but certainly not all) of the grave injuries listed in section 11 do not prevent an

employee from performing daily life activities, the majority reasons that “[l]imitation of permanent total disability to a vegetative state . . . is too harsh a test, out of step with the balance of the section” (majority op at 417). This kind of text-based analysis ill-fits section 11 since the list of grave injuries is, as previously noted, the singular product of legislative compromise, and is exhaustive, not illustrative. It is difficult to reason by analogy to the other grave injuries on the list when these are as various as the loss of a finger and quadriplegia.

The majority further observes that the word “disability” generally refers to employment within the “larger context” of the Workers’ Compensation Law (majority op at 417). But these employment-related definitions of “disability” appear in provisions of the statute relating to payment of compensation (*see e.g.* Workers’ Compensation Law § 15 [1]; §§ 37, 201 [9]). These provisions bear no relationship to section 11’s very different and overriding goal—to safeguard employers from impleader except in rare circumstances.*

When the Legislature adopted section 11, it intended to retrench an employer’s exposure to costly third-party actions, and thereby reduce the employer’s insurance premiums and out-of-pocket payments. The Legislature did this by barring third-party actions against employers except in the limited circumstances of a grave injury. As has been pointed out, the 1996 amendment of section 11 to carry out this goal “[was] at best indifferent to the employee, its aim being to protect the employer” (*Under Workers’ Compensation Reform Act, Loss of Thumb is Held to Mean Loss of Use of Hand, Supporting Impleader of Employer*, 109 Siegel’s Practice Review 1 [May 2001]). In light of this goal and the concomitant legislative intent for us to exercise our interpretive function particularly sparingly and narrowly with respect to grave injuries under section 11, I would adopt the more restrictive of the two plausible,

* In fact, the Legislature seems to have borrowed section 11’s definition of an acquired brain injury from Public Health Law § 2741, not from any other provision in the Workers’ Compensation Law. In relevant part, section 2741 defines “traumatic brain injury” to mean “*an acquired injury to the brain caused by an external physical force resulting in total or partial disability or impairment*” (emphasis added). The Legislature considerably limited this definition in section 11 by eliminating the words “partial” and “impairment” and adding the word “permanent” to describe, along with “total,” the profound extent of disability required to qualify as a grave injury. Nothing in section 2741 or article 27-CC of the Public Health Law relates the word “disability” to the concept of employability.

and equally workable, definitions for a “permanent total disability” developed by the Appellate Divisions; namely, that a “permanent total disability” with respect to an acquired brain injury means the inability to perform the usual activities of daily living, essentially requiring a vegetative state.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur with Chief Judge KAYE; Judge READ dissents and votes to affirm in a separate opinion.

In *Rubeis v Aqua Club, Inc.*: Order reversed, etc.

In *Largo-Chicaiza v Westchester Scaffold Equipment Corp.*: Order reversed, etc.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur with Chief Judge KAYE; Judge READ dissents and votes to reverse in a separate opinion.

In *Knauer v Anderson*: Judgment appealed from and order of the Appellate Division brought up for review affirmed, with costs.

[821 NE2d 519, 788 NYS2d 281]

DONNA McGRATH et al., Respondents, v TOYS “R” US, INC., Appellant.

Argued October 12, 2004; decided November 23, 2004

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.17, to review questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “1. In determining whether an award of attorney’s fees is reasonable under New York City Administrative Code § 8-502(f), does New York apply the standards set forth in *Farrar v. Hobby*, 506 U.S. at 114-15, i.e., (a) that ‘the most critical factor . . . is the degree of success,’ and (b) that when a party is awarded nominal damages, ‘the only reasonable fee is usually no fee at all?’”; “2. If the *Farrar* standard does not apply, what standard should a court use to determine what constitutes a reasonable fee award for a prevailing party who has received only nominal damages?”; “3. If the *Farrar* standard applies, does Administrative Code § 8-502(f) authorize a fee award to a prevailing plaintiff who receives only nominal damages but whose lawsuit served a significant public purpose?”; “4. If New York recognizes ‘service of a significant public purpose’ as a factor warranting an attorney’s fee award to a plaintiff recovering only nominal damages, would a plaintiff who is the first to secure a favorable jury verdict on a claim of unlawful discrimination against transsexuals in public accommodation, see N.Y. City Admin. Code § 8-107.4(a), be entitled to a fee award even though the law’s prohibition of discrimination against transsexuals in employment, see *id.* § 8-107.1(a), has previously been recognized?”

HEADNOTES

Civil Rights — Federal Civil Rights Claim — Counsel Fees

1. The conclusion of the United States Supreme Court in *Farrar v. Hobby* (506 US 103 [1992]) that a plaintiff in a federal civil rights action who obtains only nominal damages is a “prevailing party” eligible to apply for an attorney’s fee award but that an award in those circumstances would rarely be appropriate unless the litigation served a significant public purpose is applicable to attorney’s fees awarded under the New York City Human Rights Law

(Administrative Code of City of NY § 8-502 [f]). The attorney's fee provision of the New York City Human Rights Law is textually indistinguishable from the federal statutes interpreted in *Farrar* and there is nothing in the legislative history that directs a different standard.

Civil Rights — Federal Civil Rights Claim — Counsel Fees

2. An award of counsel fees pursuant to *Farrar v Hobby* (506 US 103 [1992]) would be appropriate for plaintiffs, preoperative transsexuals who alleged that they were harassed by store employees while shopping in defendant's store but were awarded only nominal damages upon a jury verdict finding that defendant's employees had violated the New York City Human Rights Law (Administrative Code of City of NY § 8-107 [4]), which prohibits discrimination in public accommodation, since it could be found that the litigation served a significant public purpose warranting such an award. This was the first public accommodation discrimination case to proceed to trial under the New York City Human Rights Law and the first case in which the rights of transsexuals were asserted and vindicated. In addition, at the time the action was commenced, it was unclear whether the New York City Human Rights Law covered transsexuals as the law was not amended to specifically include that class of individuals until just prior to trial.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Rights §§ 191, 193, 196, 263, 273.

NY JUR 2d, Civil Rights §§ 159, 160.

ANNOTATION REFERENCE

Propriety of amount of attorneys' fees awarded to prevailing parties under Civil Rights Attorneys' Fees Awards Act of 1976 (42 USCA § 1988). 118 ALR Fed 1.

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POINTS OF COUNSEL

Quirk and Bakalor, P.C., New York City (*H. Nicholas Goodman* and *Charles M. Henderson, III*, of counsel), for appellant. I. This Court should adopt the standards set forth in *Farrar v Hobby* (506 US 103 [1992]). (*Hughes v Rowe*, 449 US 5; *Christianburg Garment Co. v Equal Empl. Opportunity Commn.*, 434 US 412; *McIntyre v Manhattan Ford, Lincoln-Mercury*, 176 Misc 2d 325; *Umansky v Masterpiece Intl.*, 276 AD2d 692; *Cruz v Coach Stores, Inc.*, 202 F3d 560; *Farias v Instructional Sys., Inc.*, 259 F3d 91; *Shannon v Fireman's Fund Ins. Co.*, 156 F Supp 2d 279; *Cabrera v Jakabovitz*, 24 F3d 372; *Pino v Locas-*

cio, 101 F3d 235.) II. A new standard has no precedent in New York law. (*Matter of Freeman*, 34 NY2d 1; *Matter of Karp*, 145 AD2d 208; *Matter of Potts*, 213 App Div 59.) III. Adopting respondents’ position would encourage litigation of trivial cases. (*Adams v Rivera*, 13 F Supp 2d 550.) IV. To the extent this Court recognizes a significant public purpose exception to the *Farrar* rule, this Court should narrowly limit the exception to cases which lead to ground-breaking conclusions of law. (*Cabrera v Jakobovitz*, 24 F3d 372; *Cabrera v Fischler*, 814 F Supp 269; *LeBlanc-Sternberg v Fletcher*, 143 F3d 748; *Pino v Locascio*, 101 F3d 235; *Adams v Rivera*, 13 F Supp 2d 550; *Heymach v Cardiac Pacemakers*, 183 Misc 2d 584; *Marks v United States*, 430 US 188; *Campbell v St. Tammany Parish School Bd.*, 64 F3d 184.) V. This case does not qualify for the significant public purpose exception. (*McCardle v Haddad*, 131 F3d 43; *Baird v Boies*, *Schiller & Flexner LLP*, 219 F Supp 2d 510; *Texas State Teachers Assn. v Garland Ind. School Dist.*, 489 US 782; *Buckhannon Bd. & Care Home, Inc. v West Virginia Dept. of Health & Human Resources*, 532 US 598; *Marbley v Bane*, 57 F3d 224; *Matter of Wittlinger v Wing*, 289 AD2d 171; *Matter of Auguste v Hammons*, 285 AD2d 417; *Fish v St. Cloud State Univ.*, 295 F3d 849; *Hensley v Eckerhart*, 461 US 424; *Ciaprazi v County of Nassau*, 195 F Supp 2d 398.)

Shanahan & Associates, P.C., New York City (*Thomas D. Shanahan* of counsel), and *Meltzer Lopresti, LLP* (*Anthony A. LoPresti* of counsel), for respondents. I. This Court must not apply the *Farrar v Hobby* (506 US 103 [1992]) standard because the drafters of the Administrative Code of the City of New York explicitly stated that “judges interpreting the City’s Human Rights Law are not to be bound by restrictive state and federal rulings and are to take seriously the requirement that this law be liberally and independently construed.” (*Matter of Wittlinger v Wing*, 99 NY2d 425; *Shannon v Fireman’s Fund Ins. Co.*, 156 F Supp 2d 279; *McIntyre v Manhattan Ford, Lincoln-Mercury*, 176 Misc 2d 325; *Hensley v Eckerhart*, 461 US 424.) II. Precedent established by both this Court and the Second Circuit pre-*Farrar v Hobby* (506 US 103 [1992]), if applied broadly, provides the proper standard to determine what constitutes a reasonable fee award for a prevailing party who has received only nominal damages. (*Ruggiero v Krzeminski*, 928 F2d 558; *Ortiz v Regan*, 980 F2d 138; *Fassett By & Through Fassett v Haeckel*, 936 F2d 118; *Milwe v Cavuoto*, 653 F2d 80; *McCann v Coughlin*, 698 F2d 112; *Matter of Thomasel v Perales*, 78 NY2d 561; *Joseph v Ruffo*, 64 NY2d 980; *Matter of Johnson v Blum*, 58 NY2d 454;

Matter of Freeman, 34 NY2d 1; *Matter of Karp*, 145 AD2d 208.) III. Under *Farrar v Hobby* (506 US 103 [1992]) the Administrative Code of the City of New York still authorizes a fee award here because respondents' case did serve a significant public purpose under both a restrictive and broad interpretation of "significant public purpose" as mandated by the drafters of the Administrative Code. (*Carroll v Blinken*, 105 F3d 79; *Blanchard v Bergeron*, 489 US 87; *Quaratino v Tiffany & Co.*, 166 F3d 422; *Cabrera v Jakabovitz*, 24 F3d 372; *Farias v Instructional Sys., Inc.*, 259 F3d 91; *DeFilippo v Morizio*, 759 F2d 231; *Adams v Rivera*, 13 F Supp 2d 550; *LeBlanc-Sternberg v Fletcher*, 143 F3d 748; *Red Cloud-Owen v Albany Steel, Inc.*, 958 F Supp 94; *Ciaprazi v County of Nassau*, 195 F Supp 2d 398.) IV. Respondents' case served a significant public purpose where clear distinctions exist between prior cases; respondents' case was the first public accommodation case to proceed to trial and secure a favorable jury verdict and the law was so unclear that the New York City Council had to enact a law to clarify the Administrative Code of the City of New York. (*Maffei v Kolaeton Indus.*, 164 Misc 2d 547; *Matter of Rivera*, 165 Misc 2d 307; *Davidson v Aetna Life & Cas. Ins. Co.*, 101 Misc 2d 1; *Richards v United States Tennis Assn.*, 93 Misc 2d 713; *Matter of Denise R. v Lavine*, 39 NY2d 279.)

Lansner & Kubitschek, New York City (Carolyn A. Kubitschek of counsel), *Eugene B. Nathanson* and *Norman L. Reimer* for New York County Lawyers' Association, amicus curiae. I. The New York City Council's intent to encourage private enforcement of the Human Rights Law would be frustrated by a stringent standard for awarding attorney's fees. (*Carney v Philippone*, 1 NY3d 333; *Chambers v TRM Copy Ctrs. Corp.*, 43 F3d 29; *Newman v Piggie Park Enters., Inc.*, 390 US 400; *Christianburg Garment Co. v Equal Empl. Opportunity Commn.*, 434 US 412; *Northcross v Board of Educ. of Memphis City Schools*, 412 US 427; *Hughes v Rowe*, 449 US 5; *Farrar v Hobby*, 506 US 103; *Hensley v Eckerhart*, 461 US 424; *Ruggiero v Krzeminski*, 928 F2d 558; *Crue v Aiken*, 370 F3d 668.) II. This Court should adopt the attorney fee standard formulated in *Hensley v Eckerhart* (461 US 424 [1983]). (*City of Riverside v Rivera*, 477 US 561; *Texas State Teachers Assn. v Garland Ind. School Dist.*, 489 US 782.)

Michael A. Cardozo, Corporation Counsel, New York City (*Edward F.X. Hart* and *Tahirih M. Sadrieh* of counsel), for City of New York, amicus curiae. I. This Court should adopt the *Far-*

rar v Hobby (506 US 103 [1992]) standard in evaluating a reasonable attorney’s fee under the New York City Human Rights Law. (*Umansky v Masterpiece Intl.*, 276 AD2d 692; *Ferrante v American Lung Assn.*, 90 NY2d 623; *Farias v Instructional Sys., Inc.*, 259 F3d 91; *Hensley v Eckerhart*, 461 US 424; *Matter of Johnson v Blum*, 58 NY2d 454; *Newman v Piggie Park Enters., Inc.*, 390 US 400; *Northcross v Memphis Bd. of Educ. of Memphis City Schools*, 412 US 427; *Hooper Assoc. v AGS Computers*, 74 NY2d 487; *Baker v Health Mgt. Sys.*, 98 NY2d 80; *Matter of New York State Clinical Lab. Assn. v Kaladjian*, 85 NY2d 346.) II. New York should not adopt a public purpose exception to the *Farrar v Hobby* (506 US 103 [1992]) rule. (*Cabrera v Jakobovitz*, 24 F3d 372; *Cabrera v Fischler*, 814 F Supp 269; *Pino v Locascio*, 101 F3d 235; *Maffei v Kolaeton Indus.*, 164 Misc 2d 547; *Buckhannon Bd. & Care Home, Inc. v West Virginia Dept. of Health & Human Resources*, 532 US 598; *Texas State Teachers Assn. v Garland Ind. School Dist.*, 489 US 782; *Hensley v Eckerhart*, 461 US 424; *Hewitt v Helms*, 482 US 755.)

Craig Gurian, Brooklyn, for Anti-Discrimination Center of Metro New York, Inc., and others, amici curiae. I. Adoption of the *Farrar v Hobby* (506 US 103 [1992]) standards would contradict New York City’s intention that its Human Rights Law be construed independently and liberally to achieve the law’s broad, remedial objectives. (*Farias v Instructional Sys., Inc.*, 259 F3d 91; *Matter of Cahill v Rosa*, 89 NY2d 14; *Ruggiero v Krzeminiski*, 928 F2d 558; *Milwe v Cavuoto*, 653 F2d 80; *McCann v Coughlin*, 698 F2d 112; *Buckhannon Bd. & Care Home, Inc. v West Virginia Dept. of Health & Human Resources*, 532 US 598; *Matter of 119-121 E. 97th St. Corp. v New York City Commn. on Human Rights*, 220 AD2d 79; *Hughes v Rowe*, 449 US 5; *Christianburg Garment Co. v Equal Empl. Opportunity Commn.*, 434 US 412; *Estate of Farrar v Cain*, 941 F2d 1311.) II. Establishment of liability should in general be sufficient to justify the award of attorney’s fees. (*New York State Club Assn. v City of New York*, 69 NY2d 211; *Levin v Yeshiva Univ.*, 96 NY2d 484.)

OPINION OF THE COURT

GRAFFEO, J.

In *Farrar v Hobby* (506 US 103 [1992]), the United States Supreme Court concluded that a plaintiff in a federal civil rights action who obtains only nominal damages is a “prevailing party” eligible to apply for an attorney’s fee award but that an award in those circumstances would rarely be appropriate un-

less the litigation served a significant public purpose. Certifying four questions to this Court, the United States Court of Appeals for the Second Circuit has asked us to address whether the *Farrar* standard is applicable to attorney's fees awarded under the New York City Human Rights Law. Because the attorney's fee provision of the New York City Human Rights Law is textually indistinguishable from the federal statutes interpreted in *Farrar* and we find nothing in the legislative history that directs a different standard, we conclude that counsel fee awards under the City Human Rights Law are subject to the *Farrar* analysis.

I.

The three plaintiffs in this action, who identify themselves as preoperative transsexuals, commenced a federal action against defendant Toys "R" Us alleging that they were harassed by store employees while shopping in a Toys "R" Us store in December 2000. Plaintiffs contended that defendant's employees violated the New York City Human Rights Law, a civil rights statute that prohibits discrimination in public accommodation. In the complaint, plaintiffs sought compensatory and actual damages in an amount not less than \$100,000 for each plaintiff, punitive damages in an amount not less than \$100,000 for each plaintiff, attorney's fees and injunctive relief.

A nine-day jury trial ensued in June 2002. At trial, plaintiffs' attorney requested substantial compensatory and punitive damages, but did not seek injunctive relief. The jury rendered a verdict in favor of plaintiffs, finding that the conduct of defendant's employees violated plaintiffs' rights under the New York City Human Rights Law, but awarded damages of only \$1 for each plaintiff.

Following the trial, plaintiffs applied for attorney's fees in the amount of approximately \$206,000. Defendant opposed the request, arguing that a fee award was not warranted because plaintiffs had received only nominal damages. Noting that the attorney's fee provision in the New York City Human Rights Law is similar to the fee provisions in the federal civil rights statutes, the court applied the rule articulated by the United States Supreme Court in *Farrar v Hobby* (506 US 103 [1992]). In *Farrar*, the Supreme Court held that it will rarely be appropriate to grant attorney's fees in a case where plaintiff obtained only nominal damages unless the case served a significant public purpose. While recognizing that fee awards in nominal damages cases are not the norm, the District Court in this

case concluded that “[t]his case is one of those unusual and infrequent instances in which attorneys fees should be awarded.” The court observed that this was the first public accommodation discrimination case to proceed to trial under the New York City Human Rights Law and the first case in which the rights of transsexuals were asserted and vindicated. In addition, at the time this action was commenced, it was unclear whether the New York City Human Rights Law covered transsexuals as the law was not amended to specifically include that class of individuals until just prior to trial. Ultimately, the District Court awarded attorney’s fees in the amount of \$193,551, the “lodestar” figure calculated by multiplying the number of hours reasonably expended on the litigation by a reasonable hourly rate.

Defendant appealed the attorney’s fee determination to the Second Circuit, which noted that there are virtually no New York cases interpreting or applying the fee provision in the New York City Human Rights Law. Accordingly, the Second Circuit certified the following questions to this Court:

“1. In determining whether an award of attorney’s fees is reasonable under New York City Administrative Code § 8-502(f), does New York apply the standards set forth in *Farrar v. Hobby*, 506 U.S. at 114-15, i.e., (a) that ‘the most critical factor . . . is the degree of success,’ and (b) that when a party is awarded nominal damages, ‘the only reasonable fee is usually no fee at all’?

“2. If the *Farrar* standard does not apply, what standard should a court use to determine what constitutes a reasonable fee award for a prevailing party who has received only nominal damages?

“3. If the *Farrar* standard applies, does Administrative Code § 8-502(f) authorize a fee award to a prevailing plaintiff who receives only nominal damages but whose lawsuit served a significant public purpose?

“4. If New York recognizes ‘service of a significant public purpose’ as a factor warranting an attorney’s fee award to a plaintiff recovering only nominal damages, would a plaintiff who is the first to secure a favorable jury verdict on a claim of unlawful

discrimination against transsexuals in public accommodation, *see* N.Y. City Admin. Code § 8-107.4(a), be entitled to a fee award even though the law's prohibition of discrimination against transsexuals in employment, *see id.* § 8-107.1(a), has previously been recognized?" (*McGrath v Toys "R" Us, Inc.*, 356 F3d 246, 254 [2d Cir 2004].)

We accepted the certified questions and now answer questions 1, 3 and 4 in the affirmative, rendering question 2 academic.

II.

Although the District Court employed the *Farrar* standard when it awarded attorney's fees, plaintiffs now argue that this Court should decline to follow *Farrar* because the rule is unduly restrictive. Plaintiffs suggest that *Farrar* was a significant departure from prior federal fee award jurisprudence that will impede the ability of individuals who have suffered discrimination to retain counsel to prosecute a meritorious civil rights claim. In urging rejection of the federal approach, plaintiffs primarily rely on statements in the legislative history of the local law that suggest that the law is intended to be broadly construed to effectuate its remedial purposes.

In New York, civil rights are cherished and highly protected. Legislation at the state and local levels prohibits discrimination in many spheres, including housing, employment and public accommodation. The litigation in this case was brought under the public accommodation provision of the New York City Human Rights Law, which protects against discrimination based on "actual or perceived race, creed, color, national origin, age, gender, disability, marital status, sexual orientation or alienage or citizenship status" (Administrative Code of City of NY § 8-107 [4] [a]).

A private action under the New York City Human Rights Law has been authorized since 1991 when the City Council amended the Code to grant the right to sue to any individual in a protected class who is subjected to discriminatory treatment. The legislation also gave a private party who prevailed in the lawsuit the right to seek attorney's fees. The fee provision states: "[i]n any civil action commenced pursuant to this section, the court, in its discretion, may award the prevailing party costs and reasonable attorney's fees" (Administrative Code § 8-502 [f]).

The attorney's fee provision is indistinguishable from provisions in comparable federal civil rights statutes. For example,

title VII of the Civil Rights Act of 1964’s attorney’s fee statute authorizes a court, in its discretion, to “allow the prevailing party . . . a reasonable attorney’s fee . . . as part of the costs” (42 USC § 2000e-5 [k]). Similarly, 42 USC § 1988 (b), applicable to a myriad of civil rights claims, provides that “the court, in its discretion, may allow the prevailing party, other than the United States, a reasonable attorney’s fee as part of the costs.”

Where our state and local civil rights statutes are substantively and textually similar to their federal counterparts, our Court has generally interpreted them consistently with federal precedent (see *Forrest v Jewish Guild for Blind*, 3 NY3d 295, 305 n 3 [2004]; *Rainer N. Mittl, Ophthalmologist, P.C. v New York State Div. of Human Rights*, 100 NY2d 326 [2003]; *Matter of Aurecchione v New York State Div. of Human Rights*, 98 NY2d 21 [2002]; *Ferrante v American Lung Assn.*, 90 NY2d 623, 629 [1997]). For instance, we have held that federal burden-shifting standards apply to claims brought under the state and local Human Rights Laws (see *Forrest v Jewish Guild for Blind*, 3 NY3d at 305 n 3; *Mittl v New York State Div. of Human Rights*, 100 NY2d at 330-331). Where state and local provisions overlap with federal statutes, our approach to resolution of civil rights claims has been consistent with the federal courts in recognition of the fact that, whether enacted by Congress, the State Legislature or a local body, these statutes serve the same remedial purpose—they are all designed to combat discrimination.

Under the comparable federal civil rights statutes authorizing fee awards, federal courts employ a two-step process for determining whether a discretionary attorney’s fee award is appropriate (see *Hensley v Eckerhart*, 461 US 424, 433 [1983]). First, in order to be eligible to apply for an award, plaintiff must be a “prevailing party” in the litigation. If this threshold requirement is met, the court must then determine what constitutes a reasonable award, a discretionary inquiry that takes into account a multitude of factors, although “the most critical factor is the degree of success obtained” (*id.* at 436).¹ The determination is relatively straightforward when a plaintiff obtains

1. The factors are: “(1) the time and labor required; (2) the novelty and difficulty of the questions; (3) the skill requisite to perform the legal service properly; (4) the preclusion of employment by the attorney due to acceptance of the case; (5) the customary fee; (6) whether the fee is fixed or contingent; (7) time limitations imposed by the client or the circumstances; (8) the amount involved and the results obtained; (9) the experience, reputation, and ability of the attorneys; (10) the ‘undesirability’ of the case; (11) the nature and length of the professional relationship with the client; and (12) awards in sim-

(n. cont’d)

what amounts to complete relief—plaintiff is usually entitled to an award that compensates counsel for the time reasonably expended in the lawsuit (*id.* at 435). Commonly referred to as the “lodestar” method, the amount of the award is calculated by multiplying the number of hours reasonably expended by a reasonable hourly rate, a procedure that subsumes many of the factors (*id.* at 434 n 9).

Since its 1983 decision in *Hensley v Eckerhart*, the Supreme Court has made clear that where a plaintiff obtains only partial success, the procedure for assessing a reasonable counsel fee award is more complex. The inquiry is not answered merely by applying the lodestar formula because, if plaintiff “has achieved only partial or limited success,” an award based solely on the lodestar figure may be excessive (*id.* at 436). Emphasizing that calculation of an appropriate fee award is a discretionary procedure best left in the hands of trial courts who have a “superior understanding of the litigation,” the Court noted that the trial court “should make clear that it has considered the relationship between the amount of the fee awarded and the results obtained” (*id.* at 437). If plaintiff has attained only partial success, the award may be adjusted accordingly.

In its 1992 decision in *Farrar v Hobby*, the Supreme Court addressed a particular type of partial success case—the circumstance where a plaintiff obtains a favorable civil rights judgment on the merits but the only relief granted is nominal damages. The issue was whether a plaintiff who received only nominal damages was a “prevailing party” eligible to seek attorney’s fees. The District Court in *Farrar* had awarded plaintiffs attorney’s fees in the amount of \$280,000, but the Fifth Circuit vacated the award, concluding plaintiffs were not prevailing parties and, as such, were ineligible for an attorney’s fee award.

All nine members of the Supreme Court concluded that plaintiffs were prevailing parties under the federal statutes,

ilar cases” (*Hensley v Eckerhart*, 461 US at 430 n 3). New York courts have employed these factors to determine reasonable attorney’s fee awards in New York City Human Rights Law claims (see *McIntyre v Manhattan Ford, Lincoln-Mercury, Inc.*, 176 Misc 2d 325 [Sup Ct, NY County 1997], *appeal dismissed* 256 AD2d 269 [1st Dept 1998], *appeal dismissed* 93 NY2d 919 [1999], *lv denied* 94 NY2d 753 [1999] [where plaintiff received a judgment of more than \$3 million, trial court awarded \$268,156 in attorney’s fees]; *Bell v Helmsley*, 2003 NY Slip Op 50866[U] [Sup Ct, NY County 2003] [where plaintiff obtained verdict in the amount of \$11 million, later reduced to \$554,000, court awarded \$568,340 in attorney’s fees]).

clarifying that “the prevailing party inquiry does not turn on the magnitude of the relief obtained” (*Farrar v Hobby*, 506 US at 114). The Court explained that “a plaintiff ‘prevails’ when actual relief on the merits of his claim materially alters the legal relationship between the parties by modifying the defendant’s behavior in a way that directly benefits the plaintiff” (*id.* at 111-112). Because a damages judgment, whatever the amount, forces defendant to pay a sum to plaintiff that defendant would not otherwise be required to pay, it modifies defendant’s behavior in a manner beneficial to plaintiff, making plaintiff a prevailing party.

The Court split, however, on whether it should review the propriety of the amount of the award. Four Justices saw “no reason for the Court to reach out and decide what amount of attorney’s fees constitutes a reasonable amount in this instance” because “[t]hat issue was neither presented in the petition for certiorari nor briefed by petitioners” (*id.* at 123 [partial dissent]). In contrast, the majority reasoned that “[a]lthough the ‘technical’ nature of a nominal damages award or any other judgment does not affect the prevailing party inquiry, it does bear on the propriety of fees awarded” (*id.* at 114). In other words, the Court held that the fact that plaintiff obtained only nominal damages went to the second part of the attorney’s fee inquiry—the reasonableness of the award.

The Court emphasized its previous holding in *Hensley* that “the most critical factor in determining the reasonableness of a fee award is the degree of success obtained,” thereby reasserting that where a plaintiff achieves only limited success, an award determined solely by calculating the lodestar may be excessive (*id.* [internal quotation marks omitted]). Applying that principle, the Court concluded that “[w]hen a plaintiff recovers only nominal damages because of his failure to prove an essential element of his claim for monetary relief . . . the only reasonable fee is usually no fee at all” (*id.* at 115 [internal citation omitted]). Comparing the amount of damages sought by the plaintiff (\$17 million) with the amount recovered (\$1), the Court found that the plaintiff in *Farrar* had obtained only a de minimis victory rendering any fee award in that case unreasonable as a matter of law.

Justice O’Connor concurred, but wrote separately to clarify that the difference between the amount of damages recovered and the amount sought is not the only factor to be considered in determining the degree of a plaintiff’s success in a nominal

damages case. In appropriate cases, the court can consider the significance of the legal issue on which plaintiff prevailed and whether the litigation “accomplished some public goal other than occupying the time and energy of counsel, court, and client” (*id.* at 121-122 [concurring op]). This analysis has been referred to as the “significant public purpose” exception to the *Farrar* rule.

Federal courts have interpreted *Farrar* as holding that “while there is no *per se* rule that a plaintiff recovering nominal damages can never get a fee award . . . the award of fees in such a case will be rare” (*Pino v Locascio*, 101 F3d 235, 238 [2d Cir 1996]) and is appropriate only when plaintiff’s success can be viewed as significant despite the failure to obtain more meaningful relief. For example, in *Cabrera v Jakabovitz* (24 F3d 372, 393 [2d Cir 1994], *cert denied* 513 US 876 [1994]), the Second Circuit held that a defendant who was ordered to pay only nominal damages could nonetheless be subject to pay an attorney’s fee award because “plaintiffs prevailed on a significant legal issue—namely, that landlords can be held liable for employing real estate brokers who are engaged in racial steering.” Quoting Justice O’Connor’s concurrence, the court noted that “[o]ne does not search ‘in vain for the public purpose’ this litigation has served” (*id.*). But in a hostile work environment sexual harassment claim where plaintiff received only nominal damages and no new rule of law was recognized or applied, the Second Circuit relied on the *Farrar* standard to vacate an attorney’s fee award (*see Pino v Locascio*, 101 F3d at 239). In *Pino*, the court found that “[t]he vast majority of civil rights litigation does not result in ground-breaking conclusions of law, and therefore, will only be appropriate candidates for fee awards if a plaintiff recovers some significant measure of damages or other meaningful relief” (*id.*).

[1] Primarily relying on the legislative history of the 1991 amendment to the New York City Human Rights Law, plaintiffs in this case argue that the *Farrar* standard should not be applied to attorney’s fee claims under the local law notwithstanding the fact that the language in the fee provision is substantively indistinguishable from the federal attorney’s fee statutes. We are unpersuaded. There are many general statements in the legislative history indicating that the private right of action provision, adopted to keep the City at the forefront of human rights protection, should be liberally construed (*see e.g.* Report of Legal Div, Comm on Gen Welfare, at 12-13, Local Law Bill Jacket, Lo-

cal Law No. 39 [1991] of City of New York). As we recently observed when interpreting the punitive damages provision of the New York City Human Rights Law, added in the same 1991 legislation, “[t]hese statements merely reflect the broad policy behind the local law to discourage discrimination” (*Krohn v New York City Police Dept.*, 2 NY3d 329, 337 [2004]). But, in this instance, such broad expressions of overriding policy offer no basis to overlook the textual similarities between the local law fee provision and the federal statutes or to abandon our general practice of interpreting comparable civil rights statutes consistently, particularly since these broad policies are identical to those underlying the federal statutes.

There is sparse reference to the attorney’s fee provision—Administrative Code § 8-502 (f)—in the legislative history, much less an indication that it is to be interpreted differently from its federal counterparts. In the Report of the Legal Division prepared for the City Council, a distinction is drawn between the city law as amended and the State Human Rights Law (*see* Executive Law § 296) since the latter does not authorize attorney’s fee awards (Report of Legal Div, Comm on Gen Welfare, Section-by-Section Analysis, at 34-35, Local Law Bill Jacket, Local Law No. 39 [1991]). But no distinct standard for determining fee awards is described, nor is there any criticism of the federal approach to such awards. Certainly, there is no reference to the narrow issue we address today—how attorney’s fees are to be determined in nominal damages cases.

Granted, it is not surprising that the legislative history does not address the *Farrar* rule since the amendments predated *Farrar* by one year. But if *Farrar* constituted a departure from the attorney fee standard the City Council intended to adopt as plaintiffs suggest, we cannot discern it. The City Council has not hesitated in other circumstances to amend the New York City Human Rights Law to clarify its disagreement with evolving Supreme Court precedent. At the same time it added the private right of action provision in 1991, the City Council amended other parts of the Human Rights Law to expressly reject the Supreme Court’s then-recent disparate impact analysis in *Wards Cove Packing Co., Inc. v Atonio* (490 US 642 [1989]) and to adopt for purposes of the New York City Human Rights Law the approach taken in the Supreme Court’s prior decision in *Griggs v Duke Power Co.* (401 US 424 [1971]; *see* Administrative Code § 8-107 [17]; Report of Legal Div, Comm on Gen Welfare, Section-by-Section Analysis, at 22-23, Local Law Bill

Jacket, Local Law No. 39 [1991]).² Despite its evident willingness to amend the Human Rights Law to establish legal guidelines different from those of the Supreme Court, here the City Council has not acted to alter the attorney's fee provision in the 12 years since *Farrar*.³ And, perhaps most significantly, long before *Farrar*, the Supreme Court had emphasized in *Hensley* that the degree of success obtained was the critical factor in determining a reasonable award in a case where plaintiff obtained only limited success. If the City Council disagreed with that approach, it had ample opportunity to say so.

Instead, the City Counsel adopted a fee provision that appears to have been modeled after the federal statutes interpreted in *Farrar*. Because the provision is substantively and textually indistinguishable from its federal counterparts, and absent any basis in the legislative history for a different standard, we conclude that the *Farrar* standard is applicable to attorney's fee claims under the New York City Human Rights Law.

III.

[2] The Second Circuit has not asked us to apply the *Farrar* standard to the facts and circumstances of this case, or to review whether it was appropriate for the District Court to grant attorney's fees in the full lodestar figure given the extent of relief plaintiffs obtained. These tasks it has reserved to itself. As we understand question 4, we are to determine whether this claim could have fallen within the "significant public purpose" exception addressed in the *Farrar* concurrence even though, prior to this litigation, some courts had held that transsexuals were protected from employment discrimination under the New York City Human Rights Law. We answer the fourth question in the affirmative because we cannot say, as a matter of law, that a court that reached that conclusion would have abused its discretion.

New York City Administrative Code § 8-107 (4) (a) prohibits discrimination in public accommodation on the following

2. Consistent with this distinction between the local law and its state and federal counterparts, this Court applied the *Griggs* disparate impact analysis in *Levin v Yeshiva Univ.* (96 NY2d 484 [2001]) when determining whether plaintiffs had stated a claim for sexual orientation discrimination under the New York City Human Rights Law.

3. Notably, other aspects of the law have been amended during that time frame. As addressed in part III of this decision, the City Council amended the local law in 2002 by adding a new definition of "gender" to avoid what it viewed as an unduly narrow interpretation of that term by the courts.

grounds: “actual or perceived race, creed, color, national origin, age, gender, disability, marital status, sexual orientation or alienage or citizenship status.” Administrative Code § 8-107 (1)—which covers discrimination in employment—protects the same classes of individuals. At the time this litigation was commenced, the term gender was not defined in the Administrative Code and the term “sexual orientation” was defined as “heterosexuality, homosexuality, or bisexuality” (Administrative Code § 8-102 [20]). Thus, the former provision did not explicitly encompass discrimination based on transsexualism.

There were lower court decisions concluding that employment discrimination based on transsexualism fell under the anti-discrimination umbrella of the Code. For example, in *Maffei v Kolaeton Indus.* (164 Misc 2d 547 [Sup Ct, NY County 1995]), the trial court ruled that a person who identified herself as a transsexual had stated a claim under the New York City Human Rights Law’s prohibition of gender discrimination in employment, despite the failure of the Code to expressly cover transsexuals. The New York City Commission on Human Rights had reached the same conclusion in administrative decisions (*see e.g. Matter of Arroyo v New York City Health & Hosp. Corp.*, 1994 WL 932424 [NY City Commn on Human Rights 1994]).

About two months before this case went to trial, the City Council passed legislation that added a new definition of “gender” to the New York City Human Rights Law, erasing any doubt about whether transsexuals were protected under the Code (*see* Administrative Code § 8-102 [23]; Local Law No. 3 [2002] of City of New York).⁴ The legislative history of the local law indicates that the City Council believed that the scope of the existing gender-based discrimination provision required clarification (*see* Local Law 3, § 1 [“Legislative findings and intent”]). In other words, the City Council determined that, in its view, the Code already protected transsexuals but was concerned that, without the amendment, the law could be misinterpreted as excluding this class of individuals from coverage.

In the District Court and again in this Court, defendant has emphasized that at the time this action was commenced, there

4. The law now provides: “The term ‘gender’ shall include actual or perceived sex and shall also include a person’s gender identity, self-image, appearance, behavior or expression, whether or not that gender identity, self-image, appearance, behavior or expression is different from that traditionally associated with the legal sex assigned to that person at birth” (Administrative Code § 8-102 [23]).

were lower court decisions interpreting the Code as protecting transsexuals from discrimination in employment. As such, defendant argues that this litigation was not significant. We do not believe that the latter necessarily follows from the former. As was apparent to the City Council, the fact that a handful of lower courts had interpreted the statute broadly did not put to rest the scope of coverage issue.

In this case, the District Court reasoned that the verdict was significant and performed a public purpose because it involved a series of “firsts”—e.g., it was the first public accommodation case that went to verdict under the New York City Human Rights Law, and was the first judgment in favor of transsexuals. We cannot conclude that a judgment in favor of a historically unrecognized group can never serve an important public purpose; a groundbreaking verdict can educate the public concerning substantive rights and increase awareness as to the plight of a disadvantaged class. Particularly in the civil rights arena, a jury verdict can communicate community condemnation of unlawful discrimination. It is therefore reasonable for a court to consider whether the verdict served this function in determining the significance of the relief obtained, although this is neither the only factor that may be considered nor will it necessarily be determinative.

Given the uncertain state of the law at the time this action was commenced and the fact that the breadth of the Code was not clarified until shortly before trial, many city residents might have been unaware at the time of verdict that discrimination against transsexuals was prohibited. We are therefore unpersuaded that the fact that a few lower courts had interpreted the Code as covering transsexuals rendered plaintiffs’ verdict—the first of its kind—insignificant as a matter of law. In light of the procedural posture of this case, the fact-dependent nature of the “significant public purpose” inquiry and the limits of certified question 4, we have no occasion to further address the District Court determination in this regard.⁵

Accordingly, certified questions 1, 3 and 4 should be answered in the affirmative and certified question 2 not answered upon the ground that it has been rendered academic.

5. The factors addressed in the dissent may be relevant to the federal court that will be evaluating the propriety of the fee award in this case. However, we are not asked in certified question 4 to determine whether this particular fee was warranted under the facts and circumstances of this case.

READ, J. (dissenting). I dissent with respect to certified question 4 only, which I would answer in the negative.

In *Cabrera v Jakabovitz* (24 F3d 372 [2d Cir 1994])—the Second Circuit’s seminal case applying the “significant public purpose” exception of *Farrar v Hobby* (506 US 103 [1992])—the court approved attorney’s fees based on its conclusion that the plaintiffs had “prevailed on a significant legal issue—namely, that landlords can be held liable for employing real estate brokers who are engaged in racial steering” (24 F3d at 393). In *Cabrera*, the plaintiffs, by creating a new rule making landlords vicariously liable for the discriminatory actions of the real estate brokers that they employ, prevailed on a novel issue of law that served a significant public purpose. As the Second Circuit later stressed in *Pino v Locascio* (101 F3d 235, 239 [2d Cir 1996]), however, the holding in *Cabrera* was “limited.” “The vast majority of civil rights litigation does not result in ground-breaking conclusions of law, and therefore, will only be appropriate candidates for fee awards if a plaintiff recovers some significant measure of damages or other meaningful relief” (*id.*).

The plaintiffs here recovered only nominal damages and sought no injunctive relief. Under *Farrar* and the relevant Second Circuit precedent, *Cabrera* and *Pino*, adopted by us today, the question then becomes whether these plaintiffs achieved a “ground-breaking conclusion[] of law.”

“[W]hen courts speak of issues of first impression, they speak only of these relatively few cases, which require consideration of adjustments of substantive rules of law” (*Tancredi v Metropolitan Life Ins. Co.*, 256 F Supp 2d 196, 201 [SD NY 2003], *revd on other grounds* 378 F3d 220 [2d Cir 2004]). This is primarily because,

“[a]t too high a level of generality, there are no cases of first impression, while at too low a level, every case is one of first impression. . . . [A]lthough every motor vehicle accident case is one of ‘first impression,’ there are very few indeed in which the factual context from which they are born requires courts to give serious consideration to altering or adjusting legal rules in order to resolve them. So too in all areas of the law” (*id.*).

While in some instances the first jury verdict pursuant to a particular statutory provision may qualify as a case of first impression, this cannot be so where, as here, the purportedly groundbreaking legal principle—the recognition of transsexuals

as members of a protected class safeguarded against discrimination by the New York City Human Rights Law—had already been supported by the only courts to have considered the question (see *Maffei v Kolaeton Indus.*, 164 Misc 2d 547 [Sup Ct, NY County 1995]; *Rentos v Oce-Office Sys.*, 1996 WL 737215, 1996 US Dist LEXIS 19060 [SD NY, Dec. 24, 1996]). As the majority points out, the New York City Commission on Human Rights, the administrative agency responsible for interpreting and enforcing the New York City Human Rights Law, had endorsed the same reading of the Human Rights Law in its administrative decisions.

In *Maffei*, which preceded plaintiffs' action by over six years, Supreme Court expressly rejected the argument of a transsexual plaintiff's employer that the New York City Human Rights Law did not recognize transsexuals as a protected class. In refusing to adopt the employer's narrow interpretation of the statutory phrase "discrimination based on sex," the court explained that the "New York City law is intended to bar *all forms of discrimination* in the workplace and to be broadly applied" (164 Misc 2d at 555 [emphasis added]). In *Rentos*, the United States District Court for the Southern District of New York embraced *Maffei*'s interpretation, holding that the transsexual plaintiff's complaint, alleging employment discrimination based on "sex," "clearly allege[d] membership in what at least one court has found to be a protected class under city and state law" (1996 WL 737215, *9, 1996 US Dist LEXIS 19060, *26). The present litigation cannot be viewed as groundbreaking when the pioneering legal precedent had already been this firmly established.

Although believing that the New York City Human Rights Law already protected transsexuals against discrimination, the New York City Council adopted an amendment in 2002 to guard against any misinterpretation. The majority views the Council's action in this regard as further evidence of the uncertain state of the law when plaintiffs commenced this litigation. Once the amendment was enacted on April 30, 2002, however, plaintiffs' trial, which did not begin until about two months later, was rendered even more obviously irrelevant to establishing the protection of transsexuals under the New York City Human Rights Law.

In fact, the law was so certain that defendant Toys "R" Us never challenged plaintiffs' assertion that, as pre-operative transsexuals, they were members of a protected class under

Administrative Code § 8-107 (4). To the contrary, defendant acknowledged from the outset of this litigation that section 8-107 (4) of the Code, proscribing discrimination in places of public accommodation, applied to transsexuals and to plaintiffs as pre-operative transsexuals. Settlement talks collapsed on the eve of trial when plaintiffs demanded \$600,000 (just reduced from \$3.2 million plus attorney’s fees), and defendant signaled a willingness to enter into productive negotiations only if plaintiffs lowered their demand to \$60,000 (increased from a longstanding offer of \$10,000). At trial, the parties litigated only factual issues related to whether and to what extent defendant’s actions discriminated against plaintiffs. In short, defendant never contested the supposedly novel issue of law on which plaintiffs prevailed and premise their request for attorney’s fees.

An attorney’s fee provision in an anti-discrimination statute “is not a relief Act for lawyers” (*Farrar, supra*, 506 US at 122 [O’Connor, J., concurring] [citation and internal quotation marks omitted]). Rather, there is a strong “public interest in preventing dubious or trivial claims from flooding the . . . courts” (*Adams v Rivera*, 13 F Supp 2d 550, 553 [SD NY 1998]). If the fee provision in Administrative Code § 8-502 (f) encourages a gold rush of attorneys promoting doubtful or inconsequential claims, it will be of little value to either legitimate civil rights plaintiffs or the general public. Nor does the judicial system as a whole benefit from “a second [round of] litigation of significant dimension” over the propriety of attorney’s fees (*Texas State Teachers Assn. v Garland Ind. School Dist.*, 489 US 782, 791 [1989]).

An attorney’s fee provision in a civil rights statute is a tool that, used sparingly, “ensures the vindication of important rights, even when large sums of money are not at stake, by making attorney’s fees available under a private attorney general theory” (*Farrar*, 506 US at 122 [O’Connor, J., concurring]). Here, plaintiffs failed to accomplish any important public goal as private attorneys general by litigating a civil rights issue that had already been resolved in favor of transsexuals by the courts.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK and ROSENBLATT concur with Judge GRAFFEO; Judge READ dissents in part and votes to answer certified question 4 in the negative in a separate opinion in which Judge R.S. SMITH concurs.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the ques-

tions by this Court pursuant to section 500.17 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.17), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions 1, 3 and 4 answered in the affirmative and certified question 2 not answered upon the ground that it has been rendered academic.

[821 NE2d 537, 788 NYS2d 299]

In the Matter of MICHAEL M., a Person Alleged to be a Juvenile
Delinquent, Appellant.

Argued October 20, 2004; decided November 23, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 21, 2003. The Appellate Division affirmed an order of the Family Court, Bronx County (Alma Cordova, J.), which had adjudicated appellant a juvenile delinquent, upon a fact-finding determination that appellant had committed acts which, if committed by an adult, would have constituted the crimes of attempted robbery in the first degree, attempted robbery in the second degree, assault in the second degree (two counts), attempted grand larceny in the fourth degree, and attempted criminal possession of stolen property in the fifth degree.

Matter of Michael M., 309 AD2d 631, reversed.

HEADNOTES

Infants — Juvenile Delinquents — Sufficiency of Removal Order

1. In a juvenile delinquency proceeding that originated with the filing in Criminal Court of a felony complaint signed by a police officer and based on his interview of the victim, the order of removal to Family Court and the accompanying pleadings and proceedings containing only hearsay allegations were insufficient to satisfy the jurisdictional requirements for filing in Family Court. A removal order must be supported by nonhearsay factual allegations sufficient to establish every element of the crimes charged and the juvenile's commission of the crimes. Although a removal order and all associated pleadings and proceedings are deemed by Family Court Act § 311.1 (7) to be a petition to originate a juvenile delinquency proceeding in Family Court, the removal order and all associated pleadings and proceedings are not deemed to constitute a facially sufficient petition by virtue of section 311.1 (7)'s express terms. Section 311.1 (7) exempts a removal order from compliance with the requirement that a juvenile delinquency petition contain certain allegations required by section 311.1, but it does not excuse compliance with the requirement in section 311.2 (3) that petitions and/or supporting depositions must contain nonhearsay allegations.

Infants — Juvenile Delinquents — Sufficiency of Removal Order — Jurisdictional Defect is Nonwaivable

2. In a juvenile delinquency proceeding that originated with the filing in Criminal Court of a felony complaint signed by a police officer and based on his interview of the victim, the order of removal to Family Court and the accompanying pleadings and proceedings containing only hearsay allegations were insufficient to satisfy the jurisdictional requirements for filing in Family

Court. The jurisdictional defect was nonwaivable and thus reviewable for the first time on appeal.

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By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 615, 691; AM JUR 2d, Juvenile Courts and Delinquent and Dependent Children §§ 36, 37, 118, 119.

CARMODY-WAIT 2d, Proceedings Involving Abused and Neglected Children, Juvenile Delinquents, and Persons in Need of Supervision §§ 119A:256, 119A:258–119A:260; CARMODY-WAIT 2d, Criminal Procedure § 172:4495.

6 LAW AND THE FAMILY NEW YORK (2d ed) §§ 11:22, 11:26, 11:32.

McKINNEY'S, Family Ct Act § 311.1 (7); § 311.2 (3).

NY JUR 2d, Appellate Review §§ 72, 562, 600–603, 619; NY JUR 2d, Domestic Relations §§ 1368–1370, 1391, 1434.

ANNOTATION REFERENCE

Validity, construction, and application of child hearsay statutes. 71 ALR5th 637.

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POINTS OF COUNSEL

Legal Aid Society, Juvenile Rights Division, New York City (*Susan Clement* and *Monica Drinane* of counsel), for appellant. The Family Court Act's unique jurisdictional requirements were not satisfied where the removal petition failed to contain non-hearsay allegations establishing every element of the crimes charged and no nonhearsay supporting deposition was filed with the petition at the initial appearance in Family Court or at any future point in the delinquency proceeding. (*Matter of Jahron S.*, 79 NY2d 632; *Matter of Rodney J.*, 83 NY2d 503; *People v Finnegan*, 85 NY2d 53, 516 US 919; *Matter of Robert J.*, 2 NY3d 339; *Matter of David T.*, 75 NY2d 927; *People v Alejandro*, 70 NY2d 133; *Matter of Detrece H.*, 78 NY2d 107; *Matter of Angel A.*, 92 NY2d 430; *People v Swamp*, 84 NY2d 725; *Matter of Neftali D.*, 85 NY2d 631.)

Michael A. Cardozo, Corporation Counsel, New York City (*Sharyn Rootenberg* and *Larry A. Sonnenshein* of counsel), for

respondent. Pursuant to the express terms of Family Court Act § 311.1 (7), when a juvenile offender proceeding is commenced in Criminal Court and removed to Family Court, the order of removal, which consists of the Criminal Court pleadings and proceedings, is legally sufficient to constitute a valid petition notwithstanding that it does not contain nonhearsay allegations establishing each element of the crimes charged. Therefore, the failure to supplement the removal petition with a supporting deposition containing nonhearsay allegations is nonetheless jurisdictionally sound and, in any event, may not be challenged for the first time on appeal. (*Matter of Detrece H.*, 78 NY2d 107; *Matter of Desmond J.*, 246 AD2d 111, 93 NY2d 949; *Matter of David M.*, 229 AD2d 345; *Matter of Edward B.*, 80 NY2d 458; *Matter of Neftali D.*, 85 NY2d 631; *Matter of City School Dist. v New York State Pub. Empl. Relations Bd.*, 144 AD2d 35; *Matter of Allstate Ins. Co. v Libow*, 106 AD2d 110, 65 NY2d 807; *American Lodge Assn. v East N.Y. Sav. Bank*, 100 AD2d 281; *Sanders v Winship*, 57 NY2d 391; *Matter of Vega v Bell*, 47 NY2d 543.)

OPINION OF THE COURT

READ, J.

This appeal calls upon us to decide whether the jurisdictional requirements for filing in Family Court are met when an order of removal and the accompanying pleadings and proceedings contain only hearsay allegations; and, if they are not met, whether this deficiency is waivable. For the reasons that follow, we conclude that such a removal is jurisdictionally defective. Further, the defect is nonwaivable and thus is reviewable for the first time upon appeal.

I.

This case originated with the filing of a felony complaint on April 3, 2002 in Criminal Court, Bronx County. The complaint charged appellant Michael M., who was 14 years old at the time, with participating in a group assault on a 13-year-old boy to steal his bicycle. In the resulting melee, the 13 year old suffered a broken leg. The felony complaint was signed by a police officer and was based on his interview of the victim. In other words, the complaint contained only hearsay.

After Michael M. was arraigned, he was interviewed by the New York City Criminal Justice Agency, which recommended juvenile offender treatment. Accordingly, at a calendar call on May 15, 2002, the prosecutor asked Criminal Court to remove

the case to Family Court “pursuant to CPL 180.75 [and] 210.43,”¹ and handed up a form removal order for the judge to sign.² The prosecutor cited three factors to support her oral application: that Michael M. was not the “sole participant” in the attack; that removal would assure that the victim, who was of “tender age,” would not be “subjected to needless trauma”; and that removal would not negatively affect the criminal justice system (*see* CPL 180.75 [6] [b]). The judge asked if there were “[a]ny objections,” and Michael M.’s attorney replied “No.” The judge did not place on the record the reasons causing him to exercise his discretion to order removal (*cf.* CPL 180.75 [6] [a], [c]; *see also Matter of Raymond G.*, 93 NY2d 531, 538 [1999]). He immediately signed the order, which directed Michael M. to appear in Family Court a week later, on May 22, 2002.

At his initial Family Court appearance, Michael M. was served with the felony complaint, the removal order and the transcript of the Criminal Court proceeding. On November 14, 2002, Family Court found that Michael M. had committed acts which, if committed by an adult, would constitute the felonies of attempted robbery in the first degree, attempted robbery in the second degree, assault in the second degree (two counts), attempted grand larceny in the fourth degree and attempted criminal possession of stolen property in the fifth degree. By order

1. CPL 180.75 (4) provides that when a juvenile offender is arraigned before a local criminal court upon a felony complaint, the court shall order removal to Family Court at the District Attorney’s request if, upon consideration of criteria specified in CPL 210.43 (2), removal is determined to be “in the interests of justice.” These criteria, which the court must consider “to the extent applicable,” include the seriousness and circumstances of the offense, the extent of harm caused and the evidence of guilt, whether admissible or inadmissible at trial (CPL 210.43 [2]). Additional showings are required where the felony complaint charges murder in the second degree, rape in the first degree and other specified serious crimes (*see* CPL 180.75 [4]). Further, where a court directs removal to Family Court, the provisions of CPL 725.05 govern the order. For a removal order made pursuant to CPL 180.75 (4), the court must specify the act or acts it found “reasonable cause to allege” (CPL 725.05 [3]).

2. The form order purports to be an order for Supreme Court to remove a criminal proceeding to Family Court upon the People’s motion, acting pursuant to paragraph (a) of CPL 180.75 (4). This provision, which took effect on September 1, 1978 (*see* L 1978, ch 481, §§ 33, 67), was repealed when section 180.75 (4) was substantially amended, effective August 4, 1979 (*see* L 1979, ch 411, §§ 5, 26; Governor’s Approval Mem, 1979 McKinney’s Session Laws of NY, at 1800). Thus, the order is not only boilerplate, but outdated boilerplate.

of disposition dated November 22, 2002, Family Court placed him on probation for 24 months.

Michael M. challenged Family Court's jurisdiction in this matter for the first time on appeal, arguing that the removal order and its accompanying papers were facially insufficient because they contained only hearsay allegations. Citing to *Matter of Desmond J.* (93 NY2d 949 [1999]), the Appellate Division rejected Michael M.'s claim, stating that "[o]n this record, jurisdiction was sufficiently established" (309 AD2d 631 [1st Dep't 2003]). We now reverse.

II.

A juvenile delinquency proceeding "is originated [in Family Court] by the filing of a petition" (Family Ct Act § 310.1 [1]). Family Court Act § 311.1 specifies the delinquency petition's contents. As relevant on this appeal, Family Court Act § 311.1 (7) provides that a removal order from a criminal court to Family Court and all associated "pleadings and proceedings" (other than those not yet transcribed) "shall be deemed to be a petition filed pursuant to subdivision one of section 310.1 containing all of the allegations *required by this section* [i.e., Family Ct Act § 311.1] notwithstanding that such allegations may not be set forth in the manner therein prescribed" (emphasis added). Here, the presentment agency takes the position that by virtue of section 311.1 (7)'s express terms, the removal order and whatever other pleadings and proceedings may accompany it in an individual case are deemed to constitute a facially sufficient petition. We disagree.

[1] The need for nonhearsay allegations stems not from Family Court Act § 311.1 ("this section"), but instead from subdivision (3) of a different section—Family Court Act § 311.2. The latter provision mandates that the factual allegations of a petition and/or any supporting depositions must contain "nonhearsay allegations [to] establish, if true, every element of each crime charged and the respondent's commission thereof" (Family Ct Act § 311.2 [3]; *see also* Family Ct Act § 315.1 [1] [a]; [2]). Section 311.1 (7) exempts a removal order from compliance with the requirements of section 311.1; it does not excuse compliance with section 311.2 and its nonhearsay requirements. Accordingly, we conclude that removals must be supported by nonhearsay factual allegations to establish every element of the crimes charged and the juvenile's commission of these crimes.

Other provisions in the Family Court Act support our reading of Family Court Act § 311.1 (7). In 1978, the Legislature

amended former Family Court Act § 731 to add the removal provision as subdivision (3) (*see* L 1978, ch 481, § 48), which provided in relevant part as follows:

“When an order of removal . . . is filed with [Family Court] such order and the pleadings and proceedings transferred with it shall be and shall be deemed to be a petition filed pursuant to *subdivision one of this section* containing all of the allegations therein required notwithstanding that such allegations may not be set forth in the manner therein prescribed” (former Family Ct Act § 731 [3] [emphasis added]).

Subdivision (1) of former Family Court Act § 731, in turn, required the filing of a petition to originate a juvenile delinquency proceeding (comparable to Family Ct Act § 310.1 [1]). In addition, subdivision (1) required the petition to allege that the juvenile had committed an act that, if done by an adult, would constitute a crime and to specify the act as well as the time and place of its commission (former Family Ct Act § 731 [1] [a], restated in Family Ct Act § 311.1 [2], [3] [d], [e], [f], [g]); that the juvenile was under 16 years old at the time of the alleged act’s commission (former Family Ct Act § 731 [1] [b], restated in Family Ct Act § 311.1 [3] [c]); and that the juvenile required supervision, treatment or confinement (former Family Ct Act § 731 [1] [c], restated in Family Ct Act § 311.1 [3] [j]).

Thus, the removal provision enacted by the Legislature in 1978 as former Family Court Act § 731 (3) did not, by its express terms, exempt a removal from compliance with any of the former Act’s requirements except those in section 731 (1), which are broadly comparable to Family Court Act § 311.1’s requirements from which a removal pursuant to section 311.1 (7) is exempt. Underscoring this point, the Legislature expressly stated that other provisions of the former Family Court Act were inapplicable to a removal order. For example, the Legislature amended former Family Court Act § 733, which provided for various individuals to originate a juvenile delinquency proceeding, to specify that its provisions did “not apply to a proceeding originated by the filing of an order of removal” (L 1978, ch 481, § 49; *see also* ch 481, § 50 [providing that former Family Ct Act § 734, relating to procedures for initiation of juvenile delinquency proceedings by individuals, did not apply in the removal context; ch 481, § 51 [providing that former Family

Ct Act § 734-a, relating to various approvals for the filing of a petition, did not apply in the removal context]).³

Similarly, former Family Court Act § 739, which governed release or detention after the filing of a petition and prior to an order of disposition, was amended by adding language as subdivision (c) to require that “[w]here the petition consists of [a removal order], the petition shall be deemed to be based upon a determination that probable cause exists to believe the respondent is a juvenile delinquent and the respondent shall not be entitled to any further inquiry on the subject of whether probable cause exists” (L 1978, ch 481, § 52). This language was carried over into Family Court Act § 325.1 (5) when the Legislature recodified the Family Court Act’s juvenile delinquency provisions in 1982 (L 1982, ch 920, § 1). Interestingly, however, the Legislature provided an exception from section 325.1 (5) for a removal pursuant to CPL 725.05 (3)/CPL 180.75 (4)—the bases for Michael M.’s removal—provided that the juvenile was not afforded a probable-cause hearing for a reason other than waiver.⁴ The Legislature also enacted Family Court Act § 311.2 in 1982, but did not similarly provide any express exception from its nonhearsay requirements for a removal pursuant to CPL 725.05 (3)/CPL 180.75 (4).

Nor does our decision in *Matter of Desmond J.*, which also involved a felony complaint based solely on hearsay allegations, contradict our reading of Family Court Act § 311.1 (7). At the initial appearance in Family Court in *Matter of Desmond J.*, the presentment agency filed a supporting deposition containing nonhearsay allegations to comply with Family Court Act § 311.2 (3). The juvenile “objected, arguing that only the felony complaint and the other papers transferred from criminal court could properly be deemed the petition[, and] moved to dismiss the petition as jurisdictionally defective, as it did not contain non-hearsay allegations” (93 NY2d at 950). Both Family Court and the Appellate Division (246 AD2d 111 [2d Dept 1998]) rejected the juvenile’s claim.

3. When the Legislature recodified the Family Court Act’s juvenile delinquency provisions in 1982, it restricted origination of juvenile delinquency proceedings to presentment agencies (*see* Family Ct Act § 310.1 [2]; *see also* L 1982, ch 920, §§ 1, 28).

4. As a result, Michael M. would have been entitled to a probable-cause hearing in Family Court because he was not afforded a hearing to test the evidence in Criminal Court, and he did not waive his right to a hearing on the felony complaint.

The Appellate Division adopted the position pressed by the presentment agency here; i.e., that a removal order and whatever other pleadings and proceedings may accompany it are deemed by Family Court Act § 311.1 (7) to constitute a facially sufficient petition. The Appellate Division recognized that we had “consistently stated that a juvenile delinquency petition must contain nonhearsay factual allegations which support every element of the crimes charged to meet the legal sufficiency requirements of Family Court Act § 311.2” (246 AD2d at 113, citing *Matter of Neftali D.*, 85 NY2d 631 [1995]; *Matter of Rodney J.*, 83 NY2d 503 [1994]; *Matter of Edward B.*, 80 NY2d 458 [1992]; *Matter of Jahron S.*, 79 NY2d 632 [1992]; *Matter of Detrece H.*, 78 NY2d 107 [1991]; and *Matter of David T.*, 75 NY2d 927 [1990]). “All of these cases were decided upon the theory that because a juvenile delinquency petition may be used to deprive a juvenile of his liberty, the accuracy of the allegations contained therein must be reliable” (246 AD2d at 113-114). The Court concluded, however, that these considerations were not relevant in the removal context because “there will generally have been proceedings held [i.e., a felony hearing or grand jury proceeding] to test the case against the accused juvenile offender”; and, further, the Criminal Court “is required, depending upon the extent of action previously taken in Criminal Court, to make findings as to reasonable cause or evidentiary sufficiency” (*id.* at 115).

We affirmed the Appellate Division, but on different grounds entirely. As previously noted, the presentment agency had filed a supporting deposition satisfying the requirements of Family Court Act § 311.2 (3) at the initial appearance in Family Court. Because “[i]n a removal context, this was the earliest stage at which the deposition could have been filed,” we concluded that the petition was not improperly amended within the meaning of Family Court Act § 311.5 (93 NY2d at 951), and was therefore facially sufficient. Accordingly, in *Matter of Desmond J.* we did not need to reach the “broader question” that we now resolve. (*Id.* at 952.) In short, because the papers transferred from the Criminal Court, as supplemented at the earliest possible moment by the supporting deposition, in fact satisfied the requirements of section 311.2 (3), we did not need to decide in *Matter of Desmond J.* whether they were required to do so.

[2] We have, moreover, consistently viewed petitions failing to satisfy Family Court Act § 311.2 (3) as exhibiting a nonwaivable jurisdictional defect (*see Matter of Neftali D.*, 85 NY2d at 636-

637; *Matter of Rodney J.*, 83 NY2d at 507; *Matter of Jahron S.*, 79 NY2d at 637; *Matter of Detrece H.*, 78 NY2d at 109-110; *Matter of David T.*, 75 NY2d at 929).⁵ In *People v Casey* (95 NY2d 354 [2000]), we recently considered whether a hearsay pleading violation of CPL 100.40 (1), from which Family Court Act § 311.2 is derived, is jurisdictional and nonwaivable. We concluded that it was not. In doing so, however, we noted “the importance of the curability of a particular procedural defect as a factor weighing in favor of requiring preservation” (*id.* at 367). Because a legally insufficient juvenile delinquency petition under Family Court Act § 311.2 (3) cannot be cured by amendment, “we have held that hearsay pleading defects in delinquency petitions need not be preserved” (*id.*).

Finally, there may indeed be cases where the reliability of the charges in a felony complaint will have been tested at a hearing or in the grand jury or otherwise during the course of juvenile offender proceedings taking place in a criminal court prior to removal. In such cases, the juvenile may receive protections equivalent to a nonhearsay supporting deposition. In this case, however, no such equivalent protections were afforded Michael M.

Accordingly, the order of the Appellate Division should be reversed, without costs, and the petition dismissed.

R.S. SMITH, J. (dissenting). We dissent, and would hold that Michael M. waived his right to have a nonhearsay deposition filed in support of the juvenile delinquency petition when he failed to raise this issue at any time before taking an appeal.

I

On April 2, 2002, a 13-year-old boy with a bicycle was set upon by a gang of other boys near Yankee Stadium. The assailants, trying to steal the bicycle, punched the victim in the face, knocked him down and kicked him while he lay on the ground. Michael, 14, was arrested near the scene and identified by the

5. The dissent suggests that this disserves young people charged with juvenile delinquency. We do not doubt that among the purposes of a delinquency adjudication is the provision of necessary services to the delinquent. But we recognize as well that a system of justice must always ensure that procedural safeguards are met and legal requirements are fulfilled. Under our law, presentment agencies may only prosecute based on a facially sufficient petition. Because their failure to do so has consequences, we are confident that they will be vigilant about complying with their statutory mandate in the future.

victim and other witnesses as one of the participants in the assault.

Michael was arraigned on a felony complaint in Criminal Court. As is permissible (CPL 100.15 [3]), the Criminal Court complaint was based on hearsay; the arresting officer related what the victim had told him. Later, the prosecutor decided that a felony prosecution would not be necessary, and that a juvenile delinquency proceeding in Family Court would be preferable. On motion of the prosecution, and without objection, Michael's case was removed to Family Court.

Family Court complaints, unlike felony complaints in Criminal Court, must contain, or be supported by depositions that contain, "non-hearsay allegations" (Family Ct Act § 311.2 [3]). Thus, after the case was removed, the City of New York, which was presenting the delinquency petition, should have submitted to the Family Court a deposition from the victim supporting the officer's hearsay complaint (*Matter of Desmond J.*, 93 NY2d 949 [1999]). The City omitted to do this. Michael did not complain of, or call the Family Court's attention to, the omission.

The case proceeded to a hearing, and Family Court found that Michael had committed acts which, if committed by an adult, would have constituted attempted robbery in the first degree, assault in the second degree, and several other crimes. Michael was adjudged a juvenile delinquent and placed on probation for 24 months. The Family Court's order of disposition required that he receive counseling and obey curfews. Michael appealed from this order and on appeal argued, for the first time, that the proceedings against him were flawed because no deposition containing "non-hearsay allegations" had been filed.

II

It is an unquestioned rule, applicable in almost all cases, that a litigant may not complain on appeal of errors that he did not bring to the attention of the lower court. There are a few exceptions, for errors so fundamental that justice requires their correction, but there is no reason in principle why a violation of the "non-hearsay" requirement of Family Court Act § 311.2 (3) should be placed in that category. Michael's argument here, which the majority accepts, is based not on principle but on some peculiarities in our Court's case law.

One of the errors considered so fundamental that it may be raised for the first time on appeal is the failure of an accusatory

instrument to allege facts that constitute the charged crime. Where the acts the defendant allegedly committed do not violate the criminal statute on which the prosecution is based, we have permitted defendants to raise the issue on appeal even though they did not raise it below. We have grounded this result on the theory that an accusatory instrument that fails to allege essential facts is insufficient to confer jurisdiction on the trial court (*People v Case*, 42 NY2d 98 [1977]).

In *Case*, we stated the rule broadly: “A valid and sufficient accusatory instrument is a nonwaivable jurisdictional prerequisite to a criminal prosecution” (*id.* at 99; citation omitted). Language like this is open to the mistaken interpretation that not just a failure to allege facts constituting the charged crime, but every technical defect in the instrument, is a “nonwaivable jurisdictional” error. We made such a mistake, in dictum, in *People v Alejandro* (70 NY2d 133 [1987]). All we held in *Alejandro* was that a misdemeanor information charging defendant with resisting arrest was jurisdictionally deficient when the facts alleged failed to support an element of the charged crime—that the arrest in question was “authorized.” In stating the rule, however, we tracked the language of the statute governing misdemeanor informations, Criminal Procedure Law § 100.40 (1) (c)—which, like the Family Court Act section at issue in this case, contains a “non-hearsay” requirement. Thus, we said in *Alejandro* that an information which “lacked the necessary nonhearsay allegations which would establish, ‘if true, every element of the offense charged and the defendant’s commission thereof’ ” contained a “jurisdictional defect which was not waived by defendant’s failure to raise the issue until after completion of the trial” (*id.* at 134-135).

In *People v Casey* (95 NY2d 354, 362 [2000]) we found it necessary to “revisit” *Alejandro* and we retracted “*Alejandro*’s suggestion that the . . . non-hearsay requirement of CPL 100.40 (1) (c) was ‘jurisdictional’ and, thus, non-waivable and reviewable on appeal without preservation.” Our holding in *Casey* rests in part on an analysis of the background and purpose of CPL 100.40 (1) (c), but also in part on what we called “the general principles governing the narrow instances where this Court has departed from the requirement that errors in criminal proceedings have to be preserved at the trial court in order to be reviewable as an issue of law.” (*Id.* at 363.) We said in *Casey*:

“[T]he failure to preserve has been excused for only

the most fundamental procedural irregularities . . . [I]t is only ‘where “the error complained of goes to the *essential validity* of the proceedings conducted below” such that “the entire trial is *irreparably tainted*,” [that] it need not be preserved to present a question of law reviewable by this Court’ (*People v Agramonte*, 87 NY2d 765, 770 [quoting *People v Patterson*, 39 NY2d 288, 295-296] [emphasis supplied]). Pleading errors involving omission of elements of the charged crime are fundamental. They impair a defendant’s basic rights to fair notice sufficient to enable preparation of a defense and to prevent double jeopardy. *Hearsay pleading defects do not implicate any of those basic rights of an accused.*” (*Id.* at 366 [emphasis added in part]; accord *People v Keizer*, 100 NY2d 114, 121 [2003] [“a purported hearsay defect in an accusatory instrument is nonjurisdictional”].)

The reasoning of *Casey* is convincing, and logically it should control our decision here. A problem arises, however, because, in a two-sentence dictum near the end of the *Casey* opinion, we distinguished juvenile delinquency proceedings from proceedings on Criminal Court misdemeanor informations, thus seeming to imply that the *Casey* rule would not apply in delinquency cases. We said:

“Contrastingly, a legally insufficient juvenile delinquency petition under Family Court Act § 311.2 (3), the counterpart to CPL 100.40 (1) (c), cannot be cured by amendment (*see*, Family Ct Act § 311.5 [2] [b]). Thus, we have held that hearsay pleading defects in delinquency petitions need not be preserved (*see*, *Matter of Rodney J.*, 83 NY2d 503 []; *Matter of Detre H.*, 78 NY2d 107).” (95 NY2d at 367.)

This dictum, unlike the rest of the *Casey* opinion, will not withstand analysis. The first sentence of the dictum distinguishes juvenile delinquency from misdemeanor cases because a flaw in a delinquency petition, unlike a flaw in a misdemeanor information, “cannot be cured by amendment.” As we noted in *Casey*, the curability of a procedural defect is an important factor weighing in favor of requiring preservation. However, although a defect in a delinquency petition cannot be cured by *amendment*, it can be cured. Here, for example, if Michael had

made a timely motion to dismiss the petition, his motion presumably would have been successful, but the City could simply have brought another petition. Here, as in *Casey*, curability furnishes an important reason why preservation should be required.

The second sentence of the *Casey* dictum says “we have held” that hearsay defects in delinquency petitions are nonwaivable—but the two cases cited for that proposition do not support it. Neither *Matter of Rodney J.* (83 NY2d 503 [1994]) nor *Matter of Detrece H.* (78 NY2d 107 [1991]) involved any issue of waiver. In both cases, the alleged delinquent had preserved the defect in the petition by moving to dismiss in Family Court. The same is true of two other cases cited by the majority here, *Matter of Jahron S.* (79 NY2d 632 [1992]) and *Matter of Neftali D.* (85 NY2d 631 [1995]). There appears to be only one case, *Matter of David T.* (75 NY2d 927 [1990]) in which we held that a hearsay defect in a delinquency petition was nonwaivable—and *David T.* is a brief memorandum decision in which we relied exclusively on *Alejandro*. There is no reason why the *David T.* holding should have survived our decision in *Casey*, 10 years later, to revisit *Alejandro*.

We thus conclude that the majority errs in following the *Casey* dictum. We would instead follow the *Casey* holding and the powerful reasoning that supports it, and would conclude that a hearsay defect in a delinquency petition, like a hearsay defect in a criminal court misdemeanor information, is nonjurisdictional and may be waived.

III

The result in this case is unfortunate. It is always unfortunate—though, of course, it is sometimes inevitable—when a meritorious case fails because of a lawyer’s omission to file the right piece of paper, but it is especially so in juvenile delinquency cases. Such cases serve not only to protect the community from troubled young people like Michael, but to give these young people themselves, to the extent that an imperfect system can manage it, the help they need. The rule the Court adopts today, by magnifying the consequences of a procedural error, correspondingly reduces the chances of doing practical good. When a boy or girl is adjudicated delinquent, and a court orders the services that it thinks most appropriate, the services may or may not help—but they will certainly not help if they are terminated in midstream because a lawyer has belatedly

discovered a procedural glitch. Nor is it helpful to send the message to Michael, and to future Michaels, that violent and antisocial conduct will have no consequences if a lawyer can discover a long-neglected flaw in paperwork.

IV

Accordingly, we would affirm the decision of the Appellate Division.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK and ROSENBLATT concur with Judge READ; Judge R.S. SMITH dissents and votes to affirm in a separate opinion in which Judge GRAFFEO concurs.

Order reversed, etc.

[821 NE2d 130, 787 NYS2d 705]

In the Matter of WORD OF LIFE MINISTRIES, Petitioner, v NASSAU COUNTY et al., Respondents. (Proceeding No. 1.)

In the Matter of WORD OF LIFE MINISTRIES, Respondent, v INCORPORATED VILLAGE OF FREEPORT, Appellant. (Proceeding No. 2.)

Argued October 20, 2004; decided November 30, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 6, 2003. The Appellate Division affirmed a judgment of the Supreme Court, Nassau County (Peter B. Skelos, J.; op 191 Misc 2d 110), entered in two consolidated proceedings pursuant to CPLR article 78, which had annulled a determination of the Incorporated Village of Freeport denying petitioner's application pursuant to RPTL 462 for an exemption from real estate taxes on certain properties and directed that the application be granted.

Matter of Word of Life Ministries v Nassau County, 309 AD2d 760, affirmed.

HEADNOTE

Taxation — Exemptions — Parsonage Exemption

A full-time, ordained member of the clergy who presides over an established church's ecclesiastical services and ceremonies, conducts weddings and funerals, and administers the sacraments of the church—in short, one who “officiates”—is entitled to the real property tax exemption provided by RPTL 462. The statute states that “property owned by a religious corporation while actually used by the officiating clergymen thereof for residential purposes shall be exempt from taxation.” While “officiating clergymen” does not mean all clergymen, neither does it mean only one clergy person who presides over subordinates. The term “officiating” should be construed as looking outward to a cleric's relationship with his or her congregation, and not to the hierarchical structure of the various clergy persons.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation § 315.

CARMODY-WAIT 2d, Judicial Review of Assessments and Taxes §§ 146:12, 146:135.

McKINNEY'S, RPTL 462.

NY JUR 2d, Taxation and Assessment § 168.

NEW YORK REAL PROPERTY SERVICE § 60:17.

ANNOTATION REFERENCE

Taxation: exemption of parsonage or residence of minister, priest, rabbi, or other church personnel. 55 ALR3d 356.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: exemption /s parsonage /p officiat!

POINTS OF COUNSEL

Forchelli, Curto, Schwartz, Mineo, Carlino & Cohn, LLP, Mineola (*Richard A. Blumberg* and *Jessica L. Jamron* of counsel), for appellant. I. The assistant pastors are not officiating clergymen within the meaning of RPTL 462. (*Matter of City of Lackawanna v State Bd. of Equalization & Assessment*, 16 NY2d 222; *People ex rel. Untermeyer v McGregor*, 183 Misc 218, 269 App Div 779, 295 NY 237; *Matter of Holy Trinity Orthodox Church of E. Meadow v O'Shea*, 186 Misc 2d 880.) II. The applications submitted by respondent state that the assistant pastors are not officiating clergymen. III. There is nothing in the lower court proceeding to support a finding that the determinations of the Village Assessor and Village Board of Review were illegal, arbitrary, capricious or unauthorized. (*Arverne Bay Constr. Co. v Thatcher*, 278 NY 222; *Matter of Temple Israel of Lawrence v Plaut*, 6 AD2d 886; *Matter of Point Lookout Civic Assn. v Zoning Bd. of Appeals of Town of Hempstead*, 94 AD2d 744; *Matter of Campus v Delany*, 62 AD2d 990; *Corter v Zoning Bd. of Appeals for Vil. of Fredonia*, 46 AD2d 184; *Matter of Agoglia v Glass*, 35 AD2d 954; *Matter of Hiscox v Levine*, 31 Misc 2d 151; *Matter of General Cinema Corp. v Foley*, 60 AD2d 856; *Shoreham-Wading Riv. Cent. School Dist. v Town of Brookhaven*, 107 AD2d 219; *Moses v Koch*, 97 Misc 2d 243.) IV. The below CPLR article 78 proceeding was improper. (*Matter of Krugman v Board of Assessors of Vil. of Atl. Beach*, 141 AD2d 175.)

Joseph P. Infranco, Mineola, and *Charles E. Holster III*, for respondent. I. The parsonage exemption provided in Real Property Tax Law § 462 for property utilized by “officiating clergymen” clearly extends to residences of full time, ordained clergy who officiate in all aspects of religious services. (*Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Matter of Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *People ex rel.*

Watchtower Bible & Tract Socy. v Haring, 8 NY2d 350; *Matter of Legion of Christ v Town of Mount Pleasant*, 1 NY3d 406; *Matter of Holy Trinity Orthodox Church of E. Meadow v O'Shea*, 186 Misc 2d 880.) II. The appeal raises a hypothetical question and improperly seeks to have the judiciary intrude into ecclesiastical functions. (*Lemon v Kurtzman*, 403 US 602; *Serbian E. Orthodox Diocese v Milivojevich*, 426 US 696; *Corporation of Presiding Bishop v Amos*, 483 US 327.) III. Appellants are seeking review of factual findings by the trial court which were upheld by the Appellate Division. (*Beatty v Guggenheim Exploration Co.*, 223 NY 294; *White v Adler*, 289 NY 34; *El Gemayel v Seaman*, 72 NY2d 701; *Matter of Rashbaum v Tax Appeals Trib. of State of N.Y.*, 229 AD2d 723.) IV. A CPLR article 78 proceeding was the proper method to challenge appellant's determination. (*Matter of Dudley v Kerwick*, 52 NY2d 542; *Matter of Krugman v Board of Assessors of Vil. of Atl. Beach*, 141 AD2d 175.) V. If the Appellate Division is reversed, this case should be remanded for consideration of the application of estoppel, constitutional violations, and any other issues not considered in the original proceeding.

OPINION OF THE COURT

G.B. SMITH, J.

The issue here is whether renewal applications for four properties located in the Village of Freeport, Nassau County, are entitled to tax exemption pursuant to Real Property Tax Law § 462. We affirm the order of the Appellate Division holding that the properties are tax exempt.

On September 24, 1999, respondent, Word of Life Ministries, submitted to Nassau County renewal applications for tax exempt status for four properties on the ground that they were used as residences by "officiating clergymen." The applications mistakenly answered "yes" in response to the question whether the properties were used for purposes other than as residences of "the officiating clergy"—stating that they were used as the residences of assistant pastors. Before the tax authorities made a decision, respondent corrected the applications before the County to state that the properties were used as residences for officiating clergymen. After reviewing the applications, Nassau County concluded that the properties were not tax exempt under RPTL 462. Respondent submitted similar applications to the Village of Freeport on July 25, 2000, but the Village rejected respondent's attempt to correct its mistake. These applications were denied on or about August 15, 2000.

Respondent filed a CPLR article 78 petition against the County on July 17, 2000, and against the Village of Freeport on December 6, 2000. On March 20, 2001, the proceedings were consolidated.

After examinations before trial and a review of documentary evidence, Supreme Court determined that the applications were improperly denied, annulled the county and village decisions and granted the applications. Only the Village appealed to the Appellate Division, which affirmed the determination (*Matter of Word of Life Ministries v Nassau County*, 309 AD2d 760 [2d Dept 2003]). This Court granted the Village leave to appeal.

RPTL 462 states that “property owned by a religious corporation while actually used by the officiating clergymen thereof for residential purposes shall be exempt from taxation.” At issue here is whether the men living at the four residences in the Village of Freeport are “officiating clergymen.”

The Village asks us to construe the term “officiating clergymen”—undefined in the statute*—as limited to the “spiritual and settled leader” of a church. In effect, the Village argues that there will frequently be only one officiating clergy person per congregation—the cleric who has ultimate supervisory authority over the other clergy. In the Village’s view, an “assistant pastor,” by virtue of title alone, can rarely constitute officiating clergy within the meaning of the statute.

We decline to read the statute so narrowly. True, “officiating clergymen” does not mean all clergymen. But neither does it mean only one clergy person who presides over subordinates. Rather, we construe “officiating” as looking outward to a cleric’s relationship with his or her congregation, and not to the hierarchical structure of the various clergy persons. Thus, a full-time, ordained member of the clergy who presides over an established church’s ecclesiastical services and ceremonies, conducts weddings and funerals, and administers the sacraments of the church—in short, one who “officiates”—is entitled to the statutory tax exemption.

In arguing for a more restrictive definition, the Village points to New Jersey case law, which the Village contends interprets a

* Supreme Court looked for guidance to Religious Corporations Law § 2, which defines the term “clergyman” as “a duly authorized pastor, rector, priest, rabbi, and a person having authority from, or in accordance with, the rules and regulations of the governing ecclesiastical body of the denomination or order, if any, to which the church belongs, or otherwise from the church or synagogue to preside over and direct the spiritual affairs of the church or synagogue.”

similar New Jersey statute to limit that state's parsonage exemption to the "settled leader" of a church (*see* NJ Stat Ann § 54:4-3.6 [exempting from taxation "the buildings, not exceeding two, actually occupied as a parsonage by the officiating clergymen of any religious corporation"])). In truth, however, New Jersey's test imposes no such restriction and the Village's position is based on a misreading of that state's precedent.

The Village cites *Trenton Church of Christ v City of Trenton* (3 NJ Tax 267, 274 [1981]) for the proposition that a pastor seeking a parsonage exemption in New Jersey must be the "settled leader" of a church, which the Village takes to mean the supervising cleric. The Village cites several cases in which exemption was denied because the person was not the settled leader: *Friends of Ahi Ezer Congregation, Inc. v Long Branch City* (16 NJ Tax 591, 597-598 [1997] [rabbi who assisted the settled leader in various functions such as reading from the Torah and conducting religious classes not entitled to exemption]), *Shrine of Our Lady of Fatima v Mantua Twp.* (12 NJ Tax 392, 395, 399 [1992] [an appointed deacon whose duties included conducting mass twice a month and visiting nursing homes to serve Holy Communion not entitled to an exemption as an officiating clergyman]), and *City of Long Branch v Ohel Yaacob Congregation* (20 NJ Tax 511, 519 [2003] [visiting pastors not officiating clergymen]).

In *St. Matthew's Lutheran Church for the Deaf v Division of Tax Appeals* (18 NJ Super 552, 87 A2d 732 [1952]), the New Jersey Appellate Division granted tax exemption for a building occupied by a minister assigned to conduct worship services for the deaf. The court held that tax exemption could not be granted to the residence of an itinerant preacher but that an officiating clergy person "must be a settled or incumbent pastor . . . installed over a parish, church or congregation" and "must be serving the needs of a reasonably localized and established congregation" (18 NJ Super at 558, 87 A2d at 735). In *Congregation Ahavath Torah v Englewood City* (21 NJ Tax 318, 320 [2004]), the New Jersey Tax Court, in holding that the residences of a synagogue's rabbi and cantor both qualified for the parsonage exemption, explained that "it is not status or title, but the services performed that determine if the exemption will apply." Thus, New Jersey looks, as we do, to the character and "extent of the clergyman's activities" (*Friends of Ahi Ezer Congregation, Inc. v Long Branch City*, 16 NJ Tax at 595 [1997]; *see also Shrine of Our Lady of Fatima v Mantua*

Twp., 12 NJ Tax 392, 397-398 [1992]). “If the duties sound like those performed by congregational leaders of all religious denominations, the clergyman is considered an officiating clergyman of the religious corporation” (*Ahi Ezer*, 16 NJ Tax at 595).

Those lower New York courts that have addressed the issue have uniformly applied the correct test. Thus, in *Matter of Holy Trinity Orthodox Church of E. Meadow v O’Shea* (186 Misc 2d 880 [Sup Ct, Nassau County 2001]), the court held that the church choir director was not an officiating clergyman because, although he was ordained as a subdeacon and cantor within the church, he could not officiate at weddings or funerals and his sole ecclesiastical responsibility was to provide liturgical music for these ceremonies. By contrast, in *Temple Beth Sholom, Inc. of Roslyn, N.Y. v Nassau County Dept. of Assessment, Bur. of Exemptions* (2001 NY Slip Op 50147[U] [Sup Ct, Nassau County]), an assistant rabbi was held to be officiating clergy where he was employed full time by the synagogue; conducted secondary services on Sabbath and all holidays; taught Sisterhood and Men’s Club classes during the year; supervised youth groups; conducted weddings, funerals, and baby namings when the rabbi was not available; and visited members in hospitals and homes after the death of family members (*see also Full Gospel Tabernacle of Long Is., N.Y., Inc. v Board of Assessor of Town of Brookhaven*, NYLJ, Jan. 25, 1982, at 15, col 6 [Sup Ct, Suffolk County] [assistant pastor entitled to exemption as officiating clergy]; 5 Ops Counsel SBEA No. 54, at 105 [1976] [suggesting that an officiating clergy is someone ordained who “preach(es) on a regular basis”]).

We therefore conclude that respondent is entitled to a parsonage exemption for each of the challenged properties, declining to hold that the mere designation of one of the pastors here as the “Senior Pastor” means that as a matter of law he and he alone is the “officiating” clergy. All of the pastors, including those living at the residences in question, were ordained and held no outside employment. All took part in church services and shared in the preaching. All provided marital counseling, officiated at marriages and funerals, and administered the sacraments recognized by the church. They also ministered to the youth of the church and took part in outreach to the homeless. Indeed, the pastors ministered to at least 2,000 people weekly. Because the pastors’ salaries are low, respondent provides them with housing, located near the church. We thus reject the Vil-

lage's argument that the residents in question are not officiating clergy.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

[821 NE2d 122, 787 NYS2d 697]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v FRANKLIN RODRIGUEZ, Appellant.

Argued October 19, 2004; decided November 30, 2004

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 23, 2003. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Harold Silverman, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the second degree (three counts) and criminal use of a firearm in the first degree.

People v Rodriguez, 2 AD3d 296, affirmed.

HEADNOTE

Crimes — Alibi — Impeachment—Notice of Alibi

Where the defense disavowed reliance on its alibi notice (*see* CPL 250.20) but did not withdraw it, and introduced two alibi witnesses at trial who gave a new alibi relating to a different time frame, the trial court erred in permitting the prosecution to introduce defendant's notice of alibi on its rebuttal to impeach the credibility of the new alibi witnesses and to offer the notice as evidence of defendant's duplicity. If a defendant fails to supply a notice of alibi or calls a witness not specified in it, the statute gives the trial court discretion only to exclude the alibi testimony or receive it after granting the prosecution an adjournment (CPL 250.20 [3]). There was no basis to allow the sanction imposed here. However, the improper introduction of the alibi notice was harmless in view of overwhelming evidence of defendant's guilt.

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By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 705, 706, 710, 751; AM JUR 2d, Criminal Law §§ 223, 241, 243; AM JUR 2d, Witnesses §§ 811, 812.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2335, 172:2338, 172:2343, 172:2344, 172:3405, 172:4471, 172:4490.

McKINNEY'S, CPL 250.20 (3).

NY JUR 2d, Criminal Law §§ 1622, 1623, 1628, 1629.

ANNOTATION REFERENCE

Validity and construction of statute requiring defendant in criminal case to disclose matter as to alibi defense. 45 ALR3d 958.

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Query: alibi /2 notice /s impeach

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (Barbara Zolot and Robert S. Dean of counsel), for appellant. I. It was error (a) under *People v Burgos-Santos* (98 NY2d 226 [2002]) for the trial court to admit on rebuttal the factually mistaken notice of alibi appellant disavowed during trial; and (b) for the court, having admitted the notice, to then bar appellant's mother, the source of the information in the notice, from testifying about the notice to explain its inconsistency with the trial defense. (*Williams v Florida*, 399 US 78; *People v Rivera*, 58 AD2d 147, 45 NY2d 989; *People v Brown*, 98 NY2d 226; *People v Nelu*, 157 AD2d 864; *Brooks v Tennessee*, 406 US 605; *United States v McKeon*, 738 F2d 26; *People v Laing*, 79 NY2d 166; *People v Pelchat*, 62 NY2d 97; *Taylor v Illinois*, 484 US 400; *People v Dawson*, 50 NY2d 311.) II. The court erred in refusing to issue a missing witness charge against the People for their failure to produce Pacasio Beuno, a concededly material witness, where the prosecutor failed to demonstrate that any "diligent efforts" were made to locate him. (*Reid v Senkowski*, 961 F2d 374; *People v Savinon*, 100 NY2d 192; *People v Gonzalez*, 68 NY2d 424; *Graves v United States*, 150 US 118; *People v Kitching*, 78 NY2d 532; *People v Vasquez*, 76 NY2d 722; *People v Robertson*, 205 AD2d 243; *People v Gladden*, 180 AD2d 747; *People v Crimmins*, 36 NY2d 230.) III. The court violated appellant's constitutional and statutory right to be present by excusing a qualified sworn juror "on consent" in appellant's absence. (*People v Buford*, 69 NY2d 290; *People v Harris*, 99 NY2d 202; *People v Roman*, 88 NY2d 18; *People v Mullen*, 44 NY2d 1; *People v Maher*, 89 NY2d 318; *People v Davidson*, 89 NY2d 881; *People v Childs*, 247 AD2d 319; *People v Sprowal*, 84 NY2d 113; *People v Morales*, 80 NY2d 450; *People v Torres*, 80 NY2d 944.)

Robert T. Johnson, District Attorney, Bronx (Yael V. Levy, Joseph N. Ferdenzi and Stanley R. Kaplan of counsel), for respondent. I. Defendant's guilt was proven beyond a reasonable doubt by overwhelming evidence. II. The trial court properly (1) admitted defendant's alibi notice into evidence on the People's rebuttal case, and (2) precluded defendant's mother from testifying about the notice. (*People v Burgos-Santos*, 98 NY2d 226; *Williams v Florida*, 399 US 78; *People v Stephens*, 84 NY2d 990;

People v Iannelli, 69 NY2d 684; *People v Whitehead*, 305 AD2d 286, 100 NY2d 600; *People v Thomas*, 210 AD2d 935; *People v Parson*, 268 AD2d 208; *Taylor v Illinois*, 484 US 400; *People v White*, 228 AD2d 209; *United States v Chiavola*, 744 F2d 1271.)

III. The trial court properly declined to give a missing witness charge with respect to Pacasio Beuno. (*People v Stephens*, 84 NY2d 990; *People v Keen*, 94 NY2d 533; *People v Gonzalez*, 68 NY2d 424; *People v Savinon*, 100 NY2d 192; *People v Macana*, 84 NY2d 173; *People v Delacruz*, 276 AD2d 387; *People v Escalera*, 220 AD2d 259, 87 NY2d 846; *People v Smith*, 279 AD2d 259, 96 NY2d 835; *People v Vasquez*, 76 NY2d 722; *People v Robertson*, 205 AD2d 243.) IV. Defendant's right to be present at a material stage of his trial was not abridged by his absence from a discussion about a sworn juror's continued fitness to serve. (*People v Dokes*, 79 NY2d 656; *People v Robles*, 86 NY2d 763; *People v Sandoval*, 34 NY2d 371; *People v Metro*, 173 AD2d 282, 79 NY2d 1004; *People v Harris*, 99 NY2d 202; *People v Morales*, 80 NY2d 450; *People v Mullen*, 44 NY2d 1; *People v Aguilera*, 82 NY2d 23; *People v Darby*, 75 NY2d 449; *Snyder v Massachusetts*, 291 US 97.)

OPINION OF THE COURT

ROSENBLATT, J.

The Legislature has enacted a protocol in connection with alibi defenses in criminal cases. Pursuant to CPL 250.20 (1), the prosecution may compel the defense to serve a notice that spells out the particulars of an intended alibi defense. If a defendant fails to supply the notice or calls a witness not specified in it, the statute gives the trial court discretion to exclude alibi testimony or receive it after granting the prosecution an adjournment (CPL 250.20 [3]). In the case before us, the defense, after disavowing reliance on its alibi notice but not withdrawing it, introduced two alibi witnesses who gave a new alibi relating to a different time frame. Rather than strike their testimony, the court allowed the prosecution to introduce the notice of alibi on its rebuttal case. We agree with defendant that this was error.

I.

The jury heard evidence that in mid-August 1997, defendant had an altercation with Pacasio Beuno and James Hiciano. Defendant later encountered Beramy Garcia and told him that if defendant were ever to see Garcia with Beuno or Hiciano, he would shoot them all. In the early morning hours of August 28,

1997, Beuno, Garcia and Hiciano were walking together on a public street in the Bronx when a car with no lights cruised slowly by them. From the front passenger seat, defendant fired several shots, wounding all three men. Defendant was eventually apprehended and indicted for the shootings.

Defendant's first lawyer prepared an alibi notice stating that at "the date and time the alleged crime was committed," defendant was at a birthday party on Sheridan Avenue in the Bronx, in the presence of his uncle and another man.¹ The notice did not set forth any dates or times.²

During its case, the defense called defendant's girlfriend who testified she was asleep with defendant during the early morning hours of August 28th—when the shooting took place—and that they woke up together at about 10:00 A.M. Defendant did not list her as an alibi witness even though she was obviously furnishing an alibi and a time frame different from the one described in the notice. The People, however, did not object to her direct testimony or ask to have it stricken, nor did they ask for an adjournment to investigate the new alibi.

Partway through his cross-examination of this witness, the prosecutor asserted for the first time that the girlfriend's testimony violated CPL 250.20 and asked for a *Dawson* hearing to probe whether she was justified in withholding exculpatory information (see *People v Dawson*, 50 NY2d 311 [1980]). During the hearing, defendant's attorney told the court that he had been mistaken as to the timing of the alibi and had "just brought back from the Dominican Republic an alibi witness [defendant's uncle] who turns out not to be an alibi witness because I was looking at the wrong date." Although defendant did not withdraw the alibi notice, it became obvious from the girlfriend's surprise testimony that defendant was presenting a new and different alibi covering the early morning hours of

1. According to the subsequent defense counsel, the source of the information in the alibi notice was defendant's uncle who was in the Dominican Republic until mid-January 2000.

2. This alibi notice was dated November 9, 1998. Two days before the trial commenced—and more than a year after the date on the alibi notice—the newly assigned prosecutor asked defendant's subsequent lawyer for a copy of the alibi notice, because the prosecutor "couldn't find [the alibi notice]" in his file. More than 10 days into the trial, as of January 17 or 18, 2000, the prosecutor had still not investigated the notice of alibi, having just received the date of birth and address of the alibi witness. It is clear from this sequence of events that prior to trial the prosecutor neither investigated nor relied on the facts contained in the alibi notice.

August 28th, the time of the actual shootings. Defendant's attorney maintained that only after speaking with defendant's uncle did he realize that former counsel's alibi notice covered the wrong, earlier time span. At the conclusion of the *Dawson* hearing, the court allowed the prosecution to impeach the witness for her failure to come forward earlier.

The defense also called the witness's mother, who on cross-examination by the prosecution corroborated the new alibi. Again, the prosecution did not ask the court to preclude this testimony or seek an adjournment, but used the alibi notice in an attempt to refresh the mother's recollection. Further, on its rebuttal case and over defendant's objection, the prosecution introduced the alibi notice as a "judicial admission" to assail the credibility of defendant's girlfriend and her mother, even though neither made statements contained in the alibi notice.

The prosecutor declined the court's offer to strike defendant's girlfriend's alibi testimony. Both the girlfriend and the girlfriend's mother had already been severely discredited, the former by the *Dawson* hearing and the latter by the prosecutor's use of the conflicting, earlier alibi notice to "refresh her recollection"—even though the notice had no relevance to her testimony. Despite the effective cross-examination of the witnesses, the court further allowed the prosecutor to move the alibi notice into evidence during his rebuttal case.³ The prosecutor then argued in summation that the notice demonstrated defendant's deceptiveness and consciousness of guilt. The court thus gave the prosecutor a two-fold tactical advantage: first, it allowed him to impeach the credibility of the new alibi witnesses with the notice; it then permitted the prosecutor to offer the notice as evidence of defendant's duplicity.

The jury found defendant guilty of three counts of attempted murder in the second degree (Penal Law §§ 110.00, 125.25) and criminal use of a firearm in the first degree (Penal Law § 265.09). The Appellate Division affirmed, concluding that the use of the alibi notice did not warrant reversal. A Judge of this Court granted leave to appeal. Although we conclude that the use of the alibi notice was error, we affirm because the error was harmless.

3. The concurrence suggests that trial counsel did not preserve the argument that CPL 250.20 prohibits impeachment by prior alibi notice (concurring op at 471). We have no difficulty concluding that the 30 pages of argument over the admissibility of the notice preserved the issue for our review.

II.

CPL 250.20 rests on the premise that in criminal cases a state may impose a limited form of pretrial discovery—in the form of an alibi notice requirement—on defendants without violating their Fifth Amendment and due process rights.⁴ The question before us is whether the prosecution may use the notice at trial to discredit the testimony of defendant’s witnesses and as evidence of his guilt.

In *People v Burgos-Santos* (98 NY2d 226, 235 [2002]), we held that the People could not use an alibi notice to cross-examine the defendant when the defense had withdrawn the notice before trial.⁵ We also recognized the potential unfairness in allowing the prosecution to exploit a withdrawn alibi notice, and that permitting the prosecution to impeach a defendant who had abandoned an alibi defense before trial could have a “fixing” tendency (*id.* at 234), tying the defendant ineluctably to a strategy that, owing to circumstances, might no longer be valid. While we disfavor unprincipled experimentation with trial tactics, we have never held or suggested that it is improper for parties to alter their strategies based on developments during the litigation so long as the opposing party is not prejudiced and there is no evidence of bad faith.

Burgos-Santos is instructive but critically different from the case before us. Contrary to the prosecution’s contention, it may not be read as authorizing the prosecution to introduce an alibi notice on rebuttal to discredit the testimony of defense witnesses. Here, in contrast to *Burgos-Santos*, the prosecutor did not use the alibi notice to cross-examine defendant, its nominal maker. Instead, after defendant abandoned the notice, the prosecutor introduced it as evidence to rebut the testimony of two defense witnesses and in his summation as evidence of defendant’s consciousness of guilt. This is particularly inappropriate where, as here, defendant had a plausible basis for

4. See *Williams v Florida*, 399 US 78 (1970); *People v Copicotto*, 50 NY2d 222, 229-230 (1980); *People v Burgos-Santos*, 98 NY2d 226, 233 (2002). See generally 4 LaFare, Israel and King, Criminal Procedure § 20.4, at 887-908 (2d ed 1999).

5. We noted that the applicable Federal Rule of Criminal Procedure precludes impeachment with a withdrawn alibi notice without restricting when a defendant might withdraw (see *Burgos-Santos* at 234-235; Fed Rules Crim Pro rule 12.1 [f]; see also Conn Super Ct Rules § 40-25; Mass Rules Crim Pro rule 14 [b] [1] [F]; DC Super Ct Rules Crim Pro rule 12.1 [f]; SD Codified Laws § 23A-9-6).

abandoning the notice, with no claim of bad faith or prejudice to the prosecution.

If we adopted the prosecution's argument, a defendant who serves an alibi notice relying on a particular witness would risk the introduction of the notice if, for some reason, the witness becomes unavailable. Under those circumstances, using the notice as evidence of defendant's guilt could raise constitutional objections. The format projected by CPL 250.20 is carefully balanced, with rights and with remedies designed to redress violations. By authorizing the trial court to exclude alibi testimony (or to receive it after granting a prosecution adjournment), the statute shields the People from trial by ambush. The statute fosters procedural orderliness while protecting against fabricated or surprise testimony. It does not provide for any sanction other than an adjournment for the prosecution or an exclusion, in whole or in part, and we see no basis to allow the sanction imposed: introduction of the alibi notice on the prosecution's rebuttal to discredit the testimony of witnesses other than defendant—witnesses who themselves made none of the statements contained in the alibi notice—and to use the notice affirmatively as evidence of guilt.

The prosecutor did not pursue a statutory remedy. Instead of raising the appropriate objection and availing himself of a CPL 250.20 (3) remedy (exclusion or adjournment to investigate), the prosecutor sat by, failing to object as the defense elicited more than 30 pages of trial transcript from a witness to an alibi for which no notice had been given.⁶ When the prosecutor finally raised the issue while cross-examining defendant's girlfriend, he asked not for exclusion or an adjournment—which the court would have been compelled to grant before receiving testimony—but for a *Dawson* hearing, on which he prevailed. Having declined to seek a correct remedy, the prosecution cannot avail itself of an incorrect one.

Three of our colleagues would hold that the trial court properly admitted the alibi notice as evidence. We disagree. The statute offers two remedies. In its discretion, the trial court may preclude the alibi testimony (in whole or part) or it may receive it, provided the court first gives the prosecution a chance—an adjournment of not more than three days—to

6. Indeed, on these facts, it is difficult to see how the prosecutor was prejudiced by the disavowal of the alibi notice (concurring op at 473). On the eve of trial the prosecutor had not even seen the alibi notice, and partway through trial he had not even investigated it.

investigate. What the statute does *not* permit is the sanction the court allowed here. Despite the suggestion in the concurrence, our holding does not chill defendant's constitutional right to present a defense. The trial court could have allowed the alibi defense following an adjournment. We conclude, however, that neither the statute nor the rules of evidence supported the court's ruling here. We find it odd of our concurring colleagues to justify their affirmance based on the *absence* of error and to then characterize such an affirmance as somehow more protective of defendant's constitutional rights. Indeed, an affirmance in which we condone the misuse of the alibi notice could carry its own constitutional objections.⁷

Notwithstanding the improper introduction of the alibi notice, we do not believe this case merits reversal. There was overwhelming evidence of guilt, including the eyewitness testimony of two victims and his own announced intention to shoot the victims.⁸ We therefore conclude that the error was harmless (*see People v Crimmins*, 36 NY2d 230, 242 [1975]).

We have considered defendant's remaining contentions and find them without merit. Accordingly, the order of the Appellate Division should be affirmed.

GRAFFEO, J. (concurring). I would affirm the order of the Appellate Division because I conclude that the trial court did not abuse its discretion in allowing the introduction of evidence by both parties in this case.

After defendant was arrested and charged with attempted murder for allegedly shooting three people, his attorney prepared a notice of alibi pursuant to CPL 250.20¹ indicating that defendant was attending a birthday party at the time and date

7. In support of an *affirmance*, our concurring colleagues go so far as to aver that the preclusion of unnoticed alibi testimony may be unconstitutional—an argument that not even defendant has made. This issue is therefore not before us. Defendant raises no constitutional claims in this appeal.

8. We note that defense counsel, on realizing the mistake in the alibi notice, should have notified the court of the dilemma. Instead, in violation of section 250.20, the defense said nothing and elicited from defendant's girlfriend a line of testimony that furnished defendant with a brand new alibi. Had the defense acted properly and aired the issue in limine, the court could have heard both sides and exercised its discretion appropriately.

1. The statute provides that, upon demand by the People, the defendant must serve "a 'notice of alibi,' reciting (a) the place or places where the defendant claims to have been at the time in question, and (b) the names, the residential addresses, the places of employment and the addresses thereof of every

(n. cont'd)

of the shootings. During the trial, defendant's new counsel advised the People not to rely on the notice of alibi. Counsel claimed that the notice of alibi had been composed by his predecessor under the mistaken belief that the crime occurred at the same time as the party defendant purportedly attended when, in fact, the crime occurred approximately 18 hours earlier.

A revised alibi defense was introduced at trial when defense counsel called defendant's girlfriend to testify. She told the jury that defendant had been present at her home on the night in question. At this point, the prosecutor asserted that defendant had violated CPL 250.20 by presenting an alibi witness who was not identified in the notice of alibi.²

Although the prosecutor appropriately cited CPL 250.20, he apparently determined that it would be advantageous to impeach the new alibi evidence with the information stated in the prior notice. The prosecutor therefore did not seek to strike or preclude the testimony of defendant's girlfriend, and did not attempt to introduce the notice of alibi during his cross-examination of the girlfriend or otherwise question her about how her recollection contradicted the notice of alibi. Nor did the People use the alibi notice to undermine the new defense during the testimony of the girlfriend's mother, who stated she was also present in the home with defendant on the night of the shootings. Instead, the prosecutor used the notice of alibi in an attempt to refresh the mother's recollection, without revealing the nature or contents of the document to the jury.

It was only after all of the defense witnesses testified that the prosecutor sought to introduce the alibi notice into evidence as part of the People's rebuttal case for the purpose of impeaching the alibi evidence. Although defense counsel objected to the admission of the notice in evidence, the court ultimately allowed the People to use the notice of alibi but, to stem the possibility of unwarranted prejudice to defendant, instructed the jury that the notice was introduced for the sole purpose of

such alibi witness upon whom [the defendant] intends to rely." (CPL 250.20 [1].)

2. CPL 250.20 (3) states: "If at the trial the defendant calls such an alibi witness without having served the demanded notice of alibi, or if having served such a notice he calls a witness not specified therein, the court may exclude any testimony of such witness relating to the alibi defense. The court may in its discretion receive such testimony, but before doing so, it must, upon application of the people, grant an adjournment not in excess of three days."

impeaching the alibi defense and not as direct evidence of defendant's guilt.³

The question now presented is whether the trial court abused its discretion in determining that defendant should be permitted to offer new alibi evidence, despite his violation of CPL 250.20, while also allowing the People to address the discrepancy between defendant's notice of alibi and the alibi testimony by introducing the written notice into evidence. The majority concludes that the trial court erred in admitting the notice of alibi as evidence in rebuttal to the new defense. I disagree.

First, the argument the majority adopts—that impeachment with the notice of alibi was prohibited by CPL 250.20—was not made to the trial judge. Instead, defense counsel indicated to the court that it was “discretionary, that the document be allowed in.” Thus, the majority's position—that trial courts do not have such discretion—is not properly before us.

Second, the statute clearly authorizes a trial court to consider alternatives that further the truth-seeking function of the trial. CPL 250.20 (3) states that a court “*may* exclude” the testimony of an unnoticed alibi witness (emphasis added) and it “*may*” alternatively allow unnoticed alibi evidence to be presented to the jury after affording the People a reasonable adjournment to investigate the defense. The permissive nature of the statute indicates that the Legislature intended to provide a trial judge with appropriate latitude in deciding the extent of sanctions or how to otherwise address a request to introduce an eleventh-hour alibi. Even if the statute's language does not allow for such a permissive interpretation, I believe, as addressed below, such an interpretation is required by the Constitution.

Nor is the majority's analysis compelled by our recent decision in *People v Burgos-Santos* (98 NY2d 226 [2002]). We recognized that a notice of alibi cannot be used as an “informal judicial admission” to impeach the accused if the notice (1) is withdrawn before trial and (2) the defendant “elect[s] not to present an alibi defense at trial” (*id.* at 232, 235). The rationale

3. In light of the court's limiting instruction, it is inaccurate to claim that the People were permitted “to use the notice affirmatively as evidence of guilt” (majority op at 468; *see id.* at 467, 467-468). The jury was told that the notice was “to be considered by you as to whether the People have or have not disproved the defense of alibi. . . . It's not to be considered by you in the ultimate issue of guilt or innocence, only to be considered by whether the People have or have not proven the defendant's position of alibi. And that's the only purpose for that exhibit to be admitted.”

underlying this principle is straightforward—if a defendant chooses not to present an alibi defense, no violation of CPL 250.20 occurs; the notice, therefore, is neither material nor relevant to any issue in the case because there is nothing to impeach and any question concerning the defendant’s compliance with statutory obligations is academic.

But defendant in this case stands before us in an admittedly different posture than the defendant in *Burgos-Santos*. Here, defendant chose to present an alibi defense that conflicted with the information he provided to the People. He injected a new alibi into the case and failed to withdraw the previous notice. Thus, unlike the *Burgos-Santos* scenario, in this case we have a clear violation of CPL 250.20 that rendered the credibility of the alibi defense a material issue.⁴

The inadmissibility of the notice of alibi in *Burgos-Santos* was premised on two considerations that are not present in this case: that impeachment using a withdrawn notice against a defendant who does not assert an alibi defense at trial will “undermine the truth-seeking function that notice of alibi statutes were designed to foster” by “inhibit[ing] a defendant from abandoning a factually inaccurate defense posture” (*id.* at 235); and that the use of a withdrawn notice could “potentially implicate[] Fifth Amendment and due process concerns” (*id.* at 234) by locking a defendant into a particular defense at an early stage in the criminal justice process. In the case before us, the People’s use of the notice of alibi certainly did not inhibit defendant from abandoning the alibi he initially claimed. To the contrary, defendant, knowing that the notice allegedly was factually inaccurate and notwithstanding the possibility of preclusion under CPL 250.20, presented a contradictory explanation of his whereabouts. Because defendant was not “fixed” to the alibi he earlier noticed (*id.*), and to the extent any prejudice to him was caused by his failure to timely withdraw the notice, this case does not give rise to the Fifth Amendment implications that informed the result in *Burgos-Santos*.

In my view, the majority’s application of CPL 250.20 may unduly restrict an accused’s right to present a defense and

4. The majority’s concern that “a defendant who serves an alibi notice relying on a particular witness would risk the introduction of the notice if, for some reason, the witness becomes unavailable” (majority op at 468) is unwarranted. Unlike this case, a defendant in that situation presumably would not be presenting a new, unnoticed alibi defense in violation of CPL 250.20. I agree that, in such a situation, introduction of the notice into evidence most likely would be inappropriate, just as it was in *Burgos-Santos*.

therefore stands on dubious constitutional footing in light of an accused's Sixth Amendment rights. In a case such as this, where defendant first asserted his new alibi defense approximately 2¹/₂ years after the crime and relied on testimony by his girlfriend and her mother, providing the People with a short adjournment to investigate defendant's new claims may well have been useless, leaving preclusion of all alibi testimony as the only remedy available under the majority's rule. Although the Federal Constitution does not prohibit preclusion of defense evidence as a sanction or remedy for the violation of a discovery rule (*see Taylor v Illinois*, 484 US 400 [1988]), the United States Supreme Court has characterized preclusion as a "severe sanction" that "unquestionably implicates the Sixth Amendment" (*Michigan v Lucas*, 500 US 145, 153, 149 [1991]). The Supreme Court has, in fact, rejected the notion that "the imposition of a discovery sanction that entirely excludes the testimony of a material defense witness" will never offend the Sixth Amendment (*Taylor v Illinois*, 484 US at 409). The concept that emerges from this precedent is that, depending on the situation, preclusion of defense evidence may be justified, but in most cases lesser, "alternative sanctions would be 'adequate and appropriate'" (*Michigan v Lucas*, 500 US at 152, quoting *Taylor v Illinois*, 484 US at 413). Under the circumstances of this case, the preclusion of all alibi testimony would have prejudiced the rights of defendant.

In fact, this case highlights the constitutional difficulties inherent in the rule announced today. According to the majority, the People would have been entitled to preclusion of all alibi evidence offered by defendant, even though there was, as the majority recognizes, "a plausible basis for abandoning the notice, with no claim of bad faith or prejudice to the prosecution" (majority op at 467-468). Defense counsel explained that the discrepancy between the alibi notice prepared before trial and the alibi presented at trial was attributable to a mistake by defendant's former counsel, who apparently believed that the shootings occurred at the same time as the party when, as later discovered, the party began later in the evening on the day of the shootings. If the trial court had precluded the alibi evidence, defendant would have been left with no viable defense to explain his whereabouts at the time of the crime. Rather than imposing such a severe and prejudicial hardship on defendant, the trial court charted a more balanced course, allowing both parties to

present their version of the evidence as to defendant's whereabouts at the time of the crime. On this record, it cannot be said that the court abused its discretion by failing to impose on defendant the most extreme sanction allowed by law, especially when that remedy was never requested by the People.

Chief Judge KAYE and Judges G.B. SMITH and CIPARICK concur with Judge ROSENBLATT; Judge GRAFFEO concurs in result in a separate opinion in which Judges READ and R.S. SMITH concur.

Order affirmed.

[821 NE2d 114, 787 NYS2d 689]

In the Matter of JOHN A. GRAZIANO, as Election Commissioner of the County of Albany and as Member of the Board of Elections of the County of Albany, Appellant, v COUNTY OF ALBANY et al., Respondents.

Argued October 13, 2004; decided November 30, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 30, 2003. The Appellate Division (1) reversed, on the law, a judgment, as amended, of the Supreme Court, Albany County (Louis C. Benza, J.; op 2003 NY Slip Op 51035[U]), entered in a combined proceeding pursuant to CPLR article 78 and action for declaratory judgment, which had denied respondents' cross motion to dismiss the petition/complaint and granted petitioner's application to the extent of declaring that the Albany County Board of Elections has the complete authority to appoint personnel and each commissioner has the authority to appoint certain personnel as staff members; that the Board may expend the annual appropriation made by the Albany County Legislature on operations and in furtherance of its constitutional and statutory duties as it deems necessary and appropriate, including, but not limited to, authorizing the hiring of staff, both as a commission and to each commissioner on certain staff; that respondents' assertion that Board staff positions must be approved by the Committee to Fill Vacancies of the Albany County Legislature is an unconstitutional infringement on the Board's unfettered right to appoint staff as it deems appropriate within the confines of its budget; and that the Committee has no authority over the Board as to the Board's authority granted by statute to expend its funds as duly appropriated, and (2) dismissed the petition/complaint.

Graziano v County of Albany, 309 AD2d 1062, modified.

HEADNOTES

Elections — Board of Elections — Capacity of Single Election Commissioner to Bring Suit

1. In a combined declaratory judgment action and CPLR article 78 proceeding brought by petitioner election commissioner contesting the actions of respondent County relating to Board of Elections staffing and funding, petitioner lacked capacity to pursue the part of his claim predicated on the County's

interference with Board functions as a whole. The aspect of his claim alleging that the County's imposition of a hiring freeze and its refusal to authorize the expenditure of funds for training impaired the ability of Board staff to properly prepare for upcoming elections addressed the broad functioning of the Board. A lawsuit that raises concerns affecting the staff of both political parties is an "action" requiring approval of a majority of the commissioners under Election Law § 3-212 (2). Absent such approval, petitioner lacked capacity to pursue those complaints against the County.

Elections — Board of Elections — Capacity of Single Election Commissioner to Bring Suit

2. In a combined declaratory judgment action and CPLR article 78 proceeding brought by petitioner election commissioner contesting the actions of respondent County relating to Board of Elections staffing and funding, petitioner had the capacity to challenge County actions that allegedly impaired the equal representation of the major political parties in the staffing of the Board to his party's detriment. The right to pursue such a claim is implicit in the constitutional and statutory requirement of balanced partisan representation on local boards of elections. Although Election Law § 3-212 (2) requires that "[a]ll actions of the board shall require a majority vote," that statute is not implicated when a commissioner files a claim to assure equal representation on behalf of his or her political party. The initiation of a political imbalance lawsuit is not board action that requires a majority vote.

Elections — Board of Elections — Standing of Single Election Commissioner to Bring Suit

3. In a combined declaratory judgment action and CPLR article 78 proceeding brought by petitioner election commissioner contesting the actions of respondent County relating to Board of Elections staffing and funding, petitioner alleged an injury in fact sufficient to confer standing to pursue his claim challenging County actions that allegedly impaired the equal representation of the major political parties in the staffing of the Board to his party's detriment. Assuming the truth of petitioner's allegations and affording petitioner the benefit of every favorable inference, the petition stated a cognizable claim that the County's actions—particularly repeated delays in authorizing hiring requests without reasonable basis—resulted in unequal political representation on the Board on multiple occasions over a two-year period.

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By the Publisher's Editorial Staff

AM JUR 2d, Elections §§ 86, 89, 93, 95, 96.

McKINNEY'S, Election Law § 3-212 (2).

NY JUR 2d, Elections §§ 65, 68.

ANNOTATION REFERENCE

See ALR Index under Elections and Voting.

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POINTS OF COUNSEL

DerOhannesian & DerOhannesian, Albany (*Paul DerOhannesian II* of counsel), for appellant. I. The County of Albany's laws and actions violate the "equal representation" requirement of the New York Constitution and Election Law § 3-300. (*Matter of Fugazy v Kern*, 280 NY 375; *Matter of O'Keeffe v Cohen*, 275 NY 550; *County of Chautauqua v Chautauqua County Employees' Unit 6300 of Local 807 of Civ. Serv. Employees' Assn.*, 181 AD2d 1052; *Matter of Board of Elections v O'Rourke*, 210 AD2d 402; *Matter of Starr v Meisser*, 67 Misc 2d 297, 39 AD2d 712, 33 NY2d 748.) II. Commissioner Graziano has standing to challenge the County of Albany's violation of the New York State Constitution and Election Law § 3-300. (*Matter of Dairylea Coop. v Walkley*, 38 NY2d 6; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Matter of New York Assn. of Convenience Stores v Urbach*, 230 AD2d 338; *Silver v Pataki*, 96 NY2d 532; *Clinton v City of New York*, 524 US 417; *Baker v Carr*, 369 US 186; *Boryszewski v Brydges*, 37 NY2d 361.) III. The Appellate Division confused discretionary and ministerial acts. (*Matter of Wicksel v Cohen*, 262 NY 446; *Gagliardo v Colascione*, 153 AD2d 710; *Matter of Bridgham v Tutunjian*, 84 AD2d 853; *Matter of Lenihan v Blackwell*, 209 AD2d 1048.)

Michael C. Lynch, County Attorney, Albany, for respondents. I. The Appellate Division properly dismissed the petition for lack of standing in accord with Election Law § 3-212 (2) and § 3-300. II. The Board of Elections is subject to the County's "hiring freeze" and thus the Board's appointments of personnel must be preapproved by the County Committee to Fill Vacancies.

OPINION OF THE COURT

GRAFFEO, J.

The issue on appeal is whether a single election commissioner may bring suit to challenge county actions that allegedly impair the equal representation of the major political parties in the staffing of a local board of elections. We conclude that the right to pursue such a claim is implicit in the constitutional and statutory requirement of balanced partisan representation on local boards of elections.

The Albany County Board of Elections consists of two commissioners (*see* Election Law § 3-200 [2]), one from each of the two major political parties. Petitioner John Graziano, the Republican commissioner, commenced this combined declaratory judgment action and CPLR article 78 proceeding contest-

ing the actions of the County of Albany relating to Board staffing and funding. Petitioner sought a judgment declaring that the Board enjoyed independent discretion both to appoint and dismiss staff and to spend funds within its appropriation in furtherance of its statutory obligations. He also sought an order enjoining the County from interfering with Board appointments. Michael Monescalchi, the Democratic commissioner, did not authorize the litigation, nor did he join the suit.

The petition contains allegations raising two distinct claims. Petitioner alleges that the County had applied a hiring freeze in a manner that impaired Board functions and had failed to authorize spending to obtain training for Board employees that he claimed was essential to the proper functioning of the Board. In addition, petitioner asserted that the County had delayed and interfered with Board hiring decisions in a manner that resulted in political imbalance in staffing on the Board on multiple occasions over a two-year period to the detriment of his political party.

In response to the petition, the County moved to dismiss the proceeding relying on Election Law § 3-212 (2), which requires that all actions of local boards of elections be supported by “a majority vote of the commissioners.” The County argued that, as a single commissioner on Albany County’s two-commissioner Board of Elections, petitioner lacked the authority to pursue his claim because the lawsuit was not supported by majority vote of the Board.

Supreme Court denied the motion to dismiss. Without providing the County an opportunity to answer, Supreme Court addressed the merits, determining that the Board enjoyed complete authority to appoint personnel and that the County’s actions, principally the imposition of a hiring freeze, had improperly undermined Board authority.

The Appellate Division reversed the judgment and dismissed the petition, finding that as a sole commissioner of a two-commissioner board of elections, petitioner could not pursue his claim. We modify the judgment of the Appellate Division by reinstating petitioner’s claim in part and remitting this matter to Supreme Court for further proceedings.

The County’s challenge to petitioner’s ability to bring suit raises the related issues of capacity and standing. “Capacity to sue is a threshold matter allied with, but conceptually distinct from, the question of standing. As a general matter, capacity

concerns a litigant's power to appear and bring its grievance before the court" (*Silver v Pataki*, 96 NY2d 532, 537 [2001] [citation and internal quotation marks omitted]). The issue of capacity often arises in suits brought by governmental entities (see e.g. *Community Bd. 7 of Borough of Manhattan v Schaffer*, 84 NY2d 148 [1994]). "Being artificial creatures of statute, such entities have neither an inherent nor a common-law right to sue. Rather their right to sue, if it exists at all, must be derived from the relevant enabling legislation or some other concrete statutory predicate" (*id.* at 155-156). Capacity to sue may be expressly granted in enabling legislation or it may be inferred from review of the entity's statutory functions or responsibilities.

Standing involves a determination of whether "the party seeking relief has a sufficiently cognizable stake in the outcome so as to cast[] the dispute in a form traditionally capable of judicial resolution" (*id.* at 155 [internal quotation marks and citations omitted]). The two-part standing inquiry is designed to determine whether the party who is bringing suit is a proper party to request an adjudication of the dispute, as follows:

"First, a plaintiff must show 'injury in fact,' meaning that plaintiff will actually be harmed by the challenged . . . action. As the term itself implies, the injury must be more than conjectural. Second, the injury a plaintiff asserts must fall within the zone of interests or concerns sought to be promoted or protected by the statutory provision under which the agency has acted" (*New York State Assn. of Nurse Anesthetists v Novello*, 2 NY3d 207, 211 [2004] [citations omitted]).

Without both capacity and standing, a party lacks authority to sue.

In this case, the County did not dispute that the Board of Elections, a governmental entity, has the capacity to commence litigation. Rather, it argued that petitioner—a single election commissioner—lacked such authority because Election Law § 3-212 (2) requires that "[a]ll actions of the board shall require a majority vote of the commissioners prescribed by law for such board." The County therefore viewed the petition as an attempt to act on behalf of the Board absent the requisite vote of the other election commissioner.

[1] We agree with the County that petitioner lacked capacity to pursue the part of his claim predicated on the County's

interference with Board functions as a whole. Petitioner alleged that the County's imposition of a hiring freeze and its refusal to authorize the expenditure of funds for training impaired the ability of Board staff to properly prepare for upcoming elections. This aspect of the claim addressed the broad functioning of the Board. A lawsuit that raises concerns affecting the staff of both political parties is an "action" requiring approval of a majority of the commissioners under Election Law § 3-212 (2), in this case both petitioner and the Democratic commissioner. Absent such approval, petitioner lacked capacity to pursue those complaints against the County.

The same is not true of petitioner's other claim—that the County's actions resulted in intermittent political imbalance on the Albany County Board of Elections. This assertion implicates New York Constitution, article II, § 8, which mandates that all laws affecting the administration of boards of elections "shall secure equal representation of the two political parties which . . . cast the highest and the next highest number of votes." Election Law § 3-300 similarly requires "equal representation of the major political parties" on boards of elections. The requirement of bipartisanship on local boards of elections is an important component of our democratic process for its purpose is to ensure fair elections.

[2] Election commissioners are appointed by the county legislative body based on certificates of party recommendation filed by the chairman or secretary of the county committee of the appropriate political party (Election Law § 3-204). Thus, inherent in the statutory scheme is the requirement that each election commissioner be chosen by his or her party to represent its interests on the board of elections. As an individual election commissioner, petitioner therefore performs two distinct statutory functions—he assists his cocommissioner in the administration of the Board and he safeguards the equal representation rights of his party. When fulfilling the latter function, we conclude that petitioner may act alone to challenge the actions of the County. Petitioner's capacity to sue to vindicate political interests grounded in the language of the Constitution and the Election Law is inherent in petitioner's unique role as guardian of the rights of his party and must be implied from the constitutional and statutory requirement of equal representation. Recognition of such a right ensures that attempts to disrupt the delicate balance required for the fair administration of elections are not insulated from judicial review.

Election Law § 3-212 (2)'s requirement that "[a]ll actions of the board shall require a majority vote" does not require a different result. The constitutional and statutory equal representation guarantee encourages even-handed application of the Election Law and when this bipartisan balance is not maintained, the public interest is affected. But a concrete injury is not suffered by the board of elections as a whole—it is the political party that has sustained an actionable injury. Thus, when a commissioner files a claim to assure equal representation on behalf of his or her political party, Election Law § 3-212 (2) is not implicated because the initiation of a political imbalance lawsuit is simply not board action that requires a majority vote.

[3] We also conclude, contrary to the dissent, that petitioner alleged an injury in fact sufficient to confer standing to pursue his claim. Because the County's objection to petitioner's authority to bring suit was made in a pre-answer motion to dismiss, we must assume the truth of petitioner's allegations and afford petitioner the benefit of every favorable inference (*see 511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144, 151-152 [2002]). Applying this standard, the petition states a cognizable claim that the County's actions—particularly repeated delays in authorizing hiring requests without reasonable basis—resulted in unequal political representation on the Board on multiple occasions over a two-year period.

In addition to generally asserting that the County had delayed approving appointments causing a political imbalance in Board staffing, petitioner detailed a specific pattern of "delay, interference and rejection" of Board appointments, resulting in some cases in positions being left vacant for up to five months. Petitioner charted a comparison of the dates that particular positions were vacated against the dates the County eventually approved new appointees on the payroll, illustrating that vacancies frequently persisted for periods ranging from one to five months. Since the vacancies did not occur in pairs, we cannot presume that every time a Republican position was vacated there was a simultaneous vacancy in the Democratic staff. Rather, the petition alleges that the prolonged vacancies resulted in periods of political imbalance between the two segments of Board employees. Petitioner, of course, has no standing to complain of political imbalance suffered by the Democratic party—but he does have standing to contest the disadvantage to his own party. That the other political party may also have suffered periods of unequal representation does not rob petitioner

of the right to pursue his claim that the County unreasonably delayed in approving hiring requests to the detriment of his party.

Petitioner alleged that the periods of political imbalance were the result of intentional county delay, not a failure of the Board to find suitable employees in a timely manner. For example, petitioner noted that where one employee departed on December 5, 2002, the Board had selected another—Jessica Gaul—to start the next day. However, the County did not allow Gaul to join the payroll until February 12, 2003, delaying the appointment for two months. Petitioner stated that Gaul was a Republican and asserted that this instance of delay caused a political imbalance in Board staffing during the period the position remained vacant. This example indicates that the Republicans were short-staffed for two months. In sum, assuming his allegations to be true, petitioner has alleged an injury in fact to his party that is different in kind or degree from that suffered by the Board or the public at large.

As we have affirmed the dismissal of part of petitioner's claim, it is evident that we agree with the dissent's conclusion that some of petitioner's allegations did not involve political imbalance and therefore were insufficient to support his claim against the County. However, the unequal representation allegations detailed above were adequate to allege injury in fact sufficient to survive the motion to dismiss. The dissent has failed to assume the truth of these allegations and would effectively require petitioner to prove the merits of his claim in order to withstand the motion to dismiss. But, given the procedural posture of this case, we are obligated to give petitioner the benefit of every favorable inference. Thus, we do not find petitioner's statements that the County's actions caused periods of political imbalance to be conclusory—we see them as factual allegations that must be presumed to be true for purposes of resolving the motion to dismiss.

We hold that petitioner has capacity and standing and is entitled to resolution of his political imbalance claim. Therefore, the County's motion to dismiss should have been denied with respect to this claim only, the County should have answered the complaint and a hearing should have been held to resolve the factual issues, including whether the County interfered with personnel hiring within the Board's budget appropriation in a manner that resulted in periods of unequal political staff allocation. Because Supreme Court's merits analysis focused on the

general allegations of impairment of Board functions—the cause of action that should have been dismissed—rather than the political imbalance claim, this matter must be returned to Supreme Court for further proceedings.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with the opinion and, as so modified, affirmed.

ROSENBLATT, J. (dissenting in part). The plain language of Election Law § 3-212 (2) provides that the “majority” of a board of elections must authorize any action by the board. The Appellate Division unanimously concluded that this provision prohibits a single commissioner from bringing suit on behalf of a board of elections. No one can fault that Court for adopting this interpretation; indeed, it is difficult to read the statute any other way.

The majority, however, concludes that, because the State Constitution mandates equal partisan representation on boards of elections, Commissioner Graziano is authorized to go to court based only on his insufficient claims of imbalance. I dissent because Graziano has failed to allege an unequal representation. In my view, an aggrieved elections commissioner has capacity to sue, but a commissioner who does not allege an actionable grievance has no standing to do so.

I agree that in a proper case—one in which a single commissioner properly alleges a threat to a board’s partisan equilibrium—the statute’s plain language should yield and the commissioner should have capacity to sue. When a board of elections becomes unbalanced along party lines because of a practice imposed on it by an outside governmental entity, applying the facial command of Election Law § 3-212 (2) would impair the statutory and constitutional scheme set forth by Election Law § 3-300 and New York Constitution, article II, § 8. The threshold for suit, however, should not be easy to meet. Even when justified by a compelling constitutional purpose, I think it unacceptable to cast aside an explicit legislative command based on a claim so bereft of substance as the one before us. In short, Graziano lacks standing.

As this Court observed in *Society of Plastics Indus., Inc. v County of Suffolk* (77 NY2d 761, 772-773 [1991]), we require the party seeking review to allege an injury in fact to ensure that it “has some concrete interest in prosecuting the action

which casts the dispute ‘in a form traditionally capable of judicial resolution.’ The requirement of injury in fact for standing purposes is closely aligned with our policy not to render advisory opinions” (citations omitted). This interest becomes all the more pressing when, as here, we look beyond the plain reading of a duly enacted statute to find an implied cause of action in our State Constitution. In recognizing capacity to remedy an unconstitutional disequilibrium on a board of elections, we should not relax our well-established standing jurisprudence.

The majority insists that we fail both to assume the truth of Graziano’s allegations and give him the benefit of every favorable inference. On the contrary, no amount of assumption and inference can validate inadequate pleadings. Although it has industriously mined the pleadings, the majority has not identified a single claim by Graziano of an injury to the Republicans arising out of imbalance on the Board. We have plumbed the record for any and every inferences favorable to Graziano, and found it wanting.

In his effort to rebut the County’s argument that he lacked standing, Graziano fails to claim that the County’s hiring policies diminished his political party’s representation on the Board. In his petition, Graziano generically maintains that the County has “usurped the Board’s authority . . . to maintain a proper balance of staff positions between the two major parties.” Elsewhere, he argues that the County’s policies “caused an imbalance in the ‘equal representation of the two political parties’ that the Board is constitutionally required to maintain in its composition.”

These conclusory arguments do not amount to a claim of injury to the Republicans. Graziano’s submissions include a litany of allegations concerning delays and obstructions in the hiring of Board staff, which, he maintains, resulted in political imbalances on the Board. But the claims he articulates—and at great length—fall far short of the mark. Alleging repeated delays in authorizing new hires does not spell out a political disequilibrium detrimental to one’s own political party. In and of itself, a delay does not disserve one political party more than the other. Further, claiming county interference with Board hiring is different from alleging an injury unique to Republicans on the Board. Graziano includes a chart detailing the effects of a hiring freeze, but a hiring freeze and even a generalized workforce shortage do not constitute harm to *his* political party. Likewise, an allegation of interim shortages that alternately affect both

parties does not state a claim that the County's practices have placed Graziano's party at a consequential disadvantage. Rather, such impairments suggest an injury to the Board as a whole.

Graziano supplies this Court with a catalogue of alleged grievances that, as he presents them in his pleadings, do not address the issue of unequal Republican representation. I could accept as given that the County obstructed Board hiring. But a claim of county interference is readily distinguishable from a suit claiming that county interference uniquely disadvantaged Graziano's political party. To rebut the County's standing challenge, Graziano needed only to jump the shortest of pleadings hurdles, with a straightforward complaint alleging injury unique to his party. He does not.

When all is said and done, Graziano offers nothing more than the hollow assertion that the County's decision to block the appointment of two election specialists—one Democratic and one Republican—upsets the political equilibrium on the Board staff. On its face, however, these two vacancies reflect equal representation (or equal diminution), as opposed to an impermissible partisan tilt against Graziano's party. Graziano thus advances his claim of partisan imbalance without even suggesting, let alone alleging, that his own party was the least bit short-changed. Having failed to allege a legally cognizable injury to his party, Graziano lacks standing and his claim was properly dismissed.

I therefore respectfully dissent in part, and would affirm the order of the Appellate Division dismissing the petition.

Judges CIPARICK, READ and R.S. SMITH concur with Judge GRAFFEO; Judge ROSENBLATT dissents in part and votes to affirm in a separate opinion in which Chief Judge KAYE and Judge G.B. SMITH concur.

Order modified, etc.

[821 NE2d 133, 787 NYS2d 708]

DAVID J. TONKING et al., Plaintiffs, v PORT AUTHORITY OF NEW YORK AND NEW JERSEY et al., Defendants. (And a Third-Party Action.) BOVIS LEND LEASE LMB, INC., Formerly Known as LEHRER MCGOVERN BOVIS, INC., Second Third-Party Plaintiff-Appellant, v V.P.H. MECHANICAL CORP., Second Third-Party Defendant-Respondent.

Argued October 19, 2004; decided December 2, 2004

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 11, 2003. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, New York County (Sheila Abdus-Salaam, J.), which had granted a motion by second third-party defendant V.P.H. Mechanical Corp. for an order pursuant to CPLR 3211 (a) (1) and (7) dismissing the second third-party complaint.

Tonking v Port Auth. of N.Y. & N.J., 2 AD3d 213, affirmed.

HEADNOTE

Indemnity — Contractual Indemnification — Scope of Indemnification Clause

The third-party plaintiff, a firm that performed management services for the owner of a building, did not qualify as the owner's agent under the indemnification clause in a renovation contract between the owner and a contractor that obligated the contractor to indemnify the owner and the owner's agents for certain claims arising out of the project. When a party is under no legal duty to indemnify, a contract assuming that obligation must be strictly construed to avoid reading into it a duty which the parties did not intend to be assumed. Here, the language of the parties was not clear enough to enforce an obligation to indemnify. The indemnification clause contained no reference to the construction manager or to the third-party plaintiff by name; nowhere in the contract was the construction manager referred to as an agent of the owner; and in the section of the contract prohibiting the giving of gifts to the owner, the contracting parties used the terms "agent" and "construction manager" as separate classifications.

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By the Publisher's Editorial Staff

AM JUR 2d, Indemnity §§ 5, 8, 12, 17, 31.

NY JUR 2d, Contribution, Indemnity, and Subrogation
§§ 70-72, 80.

WILLISTON ON CONTRACTS (4th ed) § 30:15.

ANNOTATION REFERENCE

See ALR Index under Building and Construction Contracts and Work; Indemnity.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: contractual /2 indemni! & agent /s construction /2 manager

POINTS OF COUNSEL

Newman Fitch Altheim Myers, P.C., New York City (*Michael H. Zhu, Abraham S. Altheim and Steven N. Shapiro* of counsel), for second third-party plaintiff-appellant. An obligation on the part of V.P.H. Mechanical Corp. to indemnify Bovis Lend Lease LMB, Inc. is clearly expressed in the contract or at the very least can be implied from the contract between V.P.H. and the Port Authority of New York and New Jersey. (*Hooper Assoc. v AGS Computers*, 74 NY2d 487; *Laba v Carey*, 29 NY2d 302; *Kenny v Fuller Co.*, 87 AD2d 183; *Hartford Acc. & Indem. Co. v Wesolowski*, 33 NY2d 169; *Pensee Assoc. v Quon Indus.*, 241 AD2d 354; *Mazzola v County of Suffolk*, 143 AD2d 734; *Lipshultz v K & G Indus.*, 294 AD2d 338; *Matter of Wallace v 600 Partners Co.*, 205 AD2d 202.)

Callan, Koster, Brady & Brennan, LLP, New York City (*Michael P. Kandler and Jason E. Goldberg* of counsel), for second third-party defendant-respondent. I. Neither the language and purpose of the Port Authority of New York and New Jersey-V.P.H. Mechanical Corp. contract nor the surrounding facts and circumstances show that the parties intended to impose an obligation upon V.P.H. to indemnify Bovis Lend Lease LMB, Inc. Therefore, the lower courts properly dismissed Bovis's third-party action against V.P.H. (*Hooper Assoc. v AGS Computers*, 74 NY2d 487; *Levine v Shell Oil Co.*, 28 NY2d 205; *Kurek v Port Chester Hous. Auth.*, 18 NY2d 450; *Niagara Frontier Transp. Auth. v Tri-Delta Constr. Corp.*, 107 AD2d 450, 65 NY2d 1038; *Margolin v New York Life Ins. Co.*, 32 NY2d 149; *Inman v Binghamton Hous. Auth.*, 3 NY2d 137; *Lipshultz v K & G Indus.*, 294 AD2d 338; *Wisniewski v Kings Plaza Shopping Ctr. of Flatbush Ave.*, 279 AD2d 570; *Solomon v City of New York*, 111 AD2d 383, 70 NY2d 675; *A.R. Mack Constr. Co. v Patricia Elec.*, 5 AD3d 1025.) II. Under the strictly applied exclusive remedy provisions of section 11 of the Workers' Compensation Law, the indemnification clause at issue does not constitute a written

contract by which V.P.H. Mechanical Corp. “had expressly agreed to contribution to or indemnification of” Bovis Lend Lease LMB, Inc. (*Castro v United Container Mach. Group*, 96 NY2d 398; *Hooper Assoc. v AGS Computers*, 74 NY2d 487.) III. Third-party beneficiary clauses are strictly construed by the courts. (*Artwear, Inc. v Hughes*, 202 AD2d 76; *Fourth Ocean Putnam Corp. v Interstate Wrecking Co.*, 66 NY2d 38; *Internationale Nederlanden [U.S.] Capital Corp. v Bankers Trust Co.*, 261 AD2d 117; *Port Chester Elec. Constr. Corp. v Atlas*, 40 NY2d 652; *Hooper Assoc. v AGS Computers*, 74 NY2d 487; *A.R. Mack Constr. Co. v Patricia Elec.*, 5 AD3d 1025; *Lipshultz v K & G Indus.*, 294 AD2d 338.) IV. In the event that this Court reverses the Appellate Division’s decision and order and denies V.P.H. Mechanical Corp.’s motion to dismiss pursuant to CPLR 3211, Bovis Lend Lease LMB, Inc.’s cross motion for summary judgment should be denied and V.P.H. should be entitled to conduct discovery. (*Mejia v Trustees of Net Realty Holding Trust*, 304 AD2d 627.)

OPINION OF THE COURT

ROSENBLATT, J.

This case involves a dispute over the scope of an indemnification clause in a renovation contract between the owner of a building and a contractor. The agreement obligated the contractor to indemnify the owner and, among others, the owner’s “agents” for certain claims arising out of the project. The question before us is whether a firm that performed management services for the owner qualified as the owner’s agent under the indemnification clause. We hold that it did not.

In 1999, the Port Authority of New York and New Jersey entered into a renovation contract with V.P.H. Mechanical Corp. for heating and ventilation work at One World Trade Center. As owner, Port Authority also contracted with Bovis Lend Lease LMB, Inc. formerly known as Lehrer McGovern Bovis, Inc. for certain construction management services for the project. Plaintiff, an employee of V.P.H., was injured on the job and sued Port Authority and Bovis, alleging negligence and Labor Law violations.*

Port Authority commenced a third-party action against Bovis, which in turn brought a third-party action against V.P.H. Bovis

* Plaintiff obtained summary judgment on his Labor Law § 240 (1) claim against Port Authority and Bovis. Plaintiff received workers’ compensation benefits as a result of the accident. Supreme Court noted that he did not sustain a “grave injury” as defined in Workers’ Compensation Law § 11. That issue is not before us.

acknowledged that it had no contractual relationship with V.P.H., but asserted that it was nevertheless entitled to contractual indemnification based on an indemnity clause in the contract between V.P.H. and Port Authority. Supreme Court granted V.P.H.'s motion to dismiss the third-party complaint against it, concluding that Bovis was not entitled to indemnification. A divided Appellate Division affirmed, as do we.

The outcome of this appeal turns on the language of the contract and whether, as contracting parties, Port Authority and V.P.H. intended the indemnification clause to benefit Bovis. The relevant provisions read as follows:

“[V.P.H.] shall indemnify the Authority against [certain losses] to the extent caused by the negligent acts or omissions of [V.P.H.], including all expense incurred by it in the defense, settlement or satisfaction thereof . . .

“The provisions of this numbered clause shall also be for the benefit of the Commissioners, officers, *agents and employees of the Authority*, so that they shall have all the rights which they would have under this numbered clause if they were named at each place above at which the Authority is named, including a direct right of action against [V.P.H.] to enforce the foregoing indemnity” (emphasis added).

The contract does not define the term “agent.” Bovis maintains that it qualifies as Port Authority’s agent because the Authority retained supervision and control over Bovis’s work. Pursuant to its contract with Port Authority, Bovis was required to furnish the Authority with cost estimates and could start work only after the Authority approved the estimates. Further, Port Authority required Bovis to submit specifications and daily time records and could not subcontract any of its work without the Authority’s prior written approval. Moreover, all copies of documents and plans that Bovis generated became the property of Port Authority.

In arguing that Bovis was not Port Authority’s agent, V.P.H. asserts that while the contract between the Authority and V.P.H. refers to the “construction manager” more than 130 times, the indemnification clause contains no reference to the construction manager or to Bovis by name. V.P.H. further points out that nowhere in the contract is the construction manager referred to as an agent of Port Authority. V.P.H. also asserts that in the sec-

tion of the contract that prohibited V.P.H. from giving gifts to Port Authority, the contracting parties used the terms “agent” and “construction manager” as separate classifications.

We agree with the Appellate Division majority. Bovis has pieced together a number of factors that still fall short of an indemnity obligation. In *Hooper Assoc. v AGS Computers* (74 NY2d 487 [1989]), we set forth the governing rule. There, the issue was whether in a contract between a buyer and seller an indemnity clause entitled the buyer to recover counsel fees. In ruling against the plaintiff, we held that “[w]hen a party is under no legal duty to indemnify, a contract assuming that obligation must be strictly construed to avoid reading into it a duty which the parties did not intend to be assumed” (*id.* at 491 [citing cases]). In the case before us, as in *Hooper*, the language of the parties is not clear enough to enforce an obligation to indemnify, and we are unwilling to rewrite the contract and supply a specific obligation the parties themselves did not spell out. If the parties intended to cover Bovis as a potential indemnitee, they had only to say so unambiguously.

Our result is in keeping with the Omnibus Workers’ Compensation Reform Act of 1996 (L 1996, ch 635), by which the Legislature limited employers’ liability to third parties for injury to their employees (*see Castro v United Container Mach. Group, Inc.*, 96 NY2d 398 [2001]). Where the plaintiff has not sustained a “grave injury,” section 11 of the Workers’ Compensation Law bars third-party actions against employers for indemnification or contribution unless the third-party action is for contractual indemnification pursuant to a written contract in which the employer “expressly agreed” to indemnify the claimant. Requiring the indemnification contract to be clear and express furthers the spirit of the legislation.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

[821 NE2d 955, 788 NYS2d 651]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MARK
P. JONES, Appellant.

Argued November 17, 2004; decided, December 16, 2004

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 11, 2004. The Appellate Division affirmed a judgment of the Monroe County Court (Richard A. Keenan, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree.

People v Jones, 4 AD3d 853, affirmed.

HEADNOTES

Crimes — Instructions — Defense of Justification — No Duty to Retreat in Own Home

1. In the first degree manslaughter prosecution of defendant for choking his live-in girlfriend to death after she picked up a knife during a heated argument with him, the trial court erred in refusing to instruct the jury that because defendant was in his own home he had no duty to retreat before using deadly force. The exception in the self-defense statute that provides that someone attacked in his or her home need not retreat before using deadly force (*see* Penal Law § 35.15 [2] [a] [i]) applies when the assailant and the defender share the same dwelling.

Crimes — Justification

2. In the first degree manslaughter prosecution of defendant for choking his live-in girlfriend to death after she picked up a knife during a heated argument with him, the trial court's error in refusing to instruct the jury that because defendant was in his own home he had no duty to retreat before using deadly force did not warrant reversal of defendant's conviction. Defendant's girlfriend merely picked up a knife and tried to slap defendant before he grabbed her and choked her to death. Although defendant testified that he experienced fear after killing her, he never testified that he was fearful of being killed or harmed by her actions. Notably, defendant had a considerable height and weight advantage over the deceased, and he also knew that she had been drinking. There was no reasonable possibility that the verdict would have been different had the court given the requested instruction.

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By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 222, 711–714, 743; AM JUR
2d, Homicide §§ 239, 526, 531, 532.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:3736,
172:4438, 172:4490.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.8, 27.6.

McKINNEY'S, Penal Law § 35.15 (a) (2) (i).

NY JUR 2d, Criminal Law §§ 2478, 3234, 3291, 3461-3464, 3466, 3481, 3484, 3781.

ANNOTATION REFERENCE

Homicide: duty to retreat where assailant and assailed share the same living quarters. 67 ALR5th 637.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: instruct! /3 jury /s justif! /s deadly /p duty /3 retreat

POINTS OF COUNSEL

Edward J. Nowak, Public Defender, Rochester (Timothy P. Donaher of counsel), for appellant. The trial court erred in refusing to instruct the jurors that defendant had no duty to retreat from his own home before using deadly physical force against his cohabitant when the prosecutor implied that he had such a duty. (*People v Tomlins*, 213 NY 240; *People v McManus*, 67 NY2d 541; *Wilson v Arkansas*, 514 US 927; *Miller v United States*, 357 US 301; *Allen v United States*, 164 US 492; *Rowe v United States*, 164 US 546; *Brown v United States*, 256 US 335; *Shorter v People*, 2 NY 193; *People v Sullivan*, 7 NY 396.)

Michael C. Green, District Attorney, Rochester (Arthur G. Weinstein of counsel), for respondent. Where the jury heard nothing about the duty to retreat before using deadly force in self-defense, there was no reason for the court to explain the “dwelling” exception to that duty. (*People v Watts*, 57 NY2d 299; *People v Reynoso*, 73 NY2d 816; *People v Emmick*, 136 AD2d 892; *People v Tomlins*, 213 NY 240; *Brown v United States*, 256 US 335.)

OPINION OF THE COURT

ROSENBLATT, J.

In essence, our self-defense statute provides that a person attacked with deadly force may respond in kind only if unable to retreat with complete safety. Penal Law § 35.15 (2) (a) contains an exception relevant to this appeal: someone who would otherwise have to retreat need not do so if attacked at home (see Penal Law § 35.15 [2] [a] [i]). The question before us is

whether the exception applies when the assailant and the defender share the same dwelling. We hold that it does.

Defendant choked his live-in girlfriend to death after she picked up a knife during a heated argument with him. In its charge on justifiable homicide, the trial court refused to instruct the jury that because defendant was in his own home he had no duty to retreat before using deadly force. This refusal was error.

I.

Using a public telephone in his neighborhood, defendant called 911 and revealed that three weeks earlier he had killed his girlfriend in their Rochester apartment. He added that her body was still at the residence and that “I’m admitting to it; there’s no denying it. There ain’t nobody else’s fault. Just me.” The police picked defendant up and went to the apartment. On the way, defendant admitted that he and his girlfriend had a fight in which he “choked the shit out of her” and wanted the police to see for themselves. Inside the apartment, they saw the decayed body and, under the television set, discovered a knife.

After warning defendant of his *Miranda* rights, the police investigators took a signed statement from him. Defendant said that he and the deceased had been in an argument over money she owed a drug dealer. She called the police, at whose behest defendant left the premises for a short time to cool off. When defendant returned, there was a party going on, which irritated him and generated another argument. The girlfriend slapped defendant and picked up a steak knife. When she tried to slap him a second time, he grabbed her, and she dropped the knife on the floor. “I had her by the throat,” defendant said, and “ended up choking the crap out of her.” He called 911 to turn himself in after hearing a church sermon, following which he felt that “every man has to pay his dues for the sins and the crap that he does.” The medical examiner concluded that the likely cause of death was asphyxiation by manual strangulation.

By and large, defendant’s trial testimony tracked his confession. He said that he and his girlfriend had argued and that when she picked up a knife, he grabbed her neck, adding that he then blacked out and did not remember much until after he realized she was on the floor.¹ He lifted her up but did not call

1. On cross-examination, defendant stated the deceased was 47 years old, stood 5 feet, 1 inch or 5 feet, 2 inches and weighed about 100 to 105 pounds.

(n. cont’d)

for medical help to see if she could be revived. During cross-examination, the prosecutor several times implied that before strangling the deceased, defendant should have left the apartment and was entirely free to do so. Further, the prosecutor argued in summation that defendant could have walked out the door just as easily as he placed his hand on the deceased's neck.

At the precharge conference, the defense asked for a justification charge. The prosecutor objected, asserting that under no view of the evidence could a jury find defendant justified in using deadly force. The court instructed the jury as to the justifiable use of deadly force but refused defendant's request to tell the jury that under Penal Law § 35.15 (2) (a) (i) defendant owed no duty to retreat when under attack in his own home.

The jury found defendant guilty of manslaughter first degree, in violation of Penal Law § 125.20 (1). The Appellate Division affirmed, ruling that the trial court did not err in refusing to instruct the jury that defendant had no duty to retreat before using deadly force. The Court stated that it was preferable for the trial court to avoid any confusion on the part of the jury by not mentioning the duty to retreat at all, as opposed to mentioning a general duty to retreat and then qualifying that duty by delineating the applicable home exception. We disagree and conclude that the trial court erred in refusing to include the home exception instruction in its justification charge. For reasons that follow, however, we find the error harmless and affirm defendant's conviction.

II.

Penal Law § 35.15 (2) (a) provides that deadly force may not be used upon another person unless the defender reasonably believes that such other person is using or about to use deadly force. Even then, the defender may not use deadly force "if he knows that he can with complete safety as to himself and others avoid the necessity of doing so by retreating."

The duty to retreat reflects the idea that a killing is justified only as a last resort, an act impermissible as long as other reasonable avenues are open. This has been true throughout New

Defendant weighed 165 pounds and stood about 5 feet, 9 inches or 5 feet, 10 inches.

York's statutory and decisional law, which in turn grew out of the common law.²

Clause (i) of Penal Law § 35.15 (2) (a) creates an exception to the duty to retreat, under which the person attacked “is under no duty to retreat if he is . . . in his dwelling and not the initial aggressor.” The language underlying the home exception stems from the common-law teaching that people's homes are their castles, and that as such one's home is a place of sanctuary; a castle to which, and not from which, a person retreats.³ Thus, it has long been held that people might defend themselves “against felonious attack without retreating from [their castles], since that would be to give up the protection of a ‘castle’ which the law allows.”⁴

The rationale for standing one's ground when attacked at home is most obvious when defending against an assailant who is an intruder, or at least not a member of the defender's household. Although the home exception seems less obvious when the assailant and the defender are members of the same household (and thus, so to speak, share the same castle), we have unwaveringly applied the exception ever since the issue arose 90 years ago in *People v Tomlins* (213 NY 240 [1914]). There, the defendant shot and killed his son in a residence they shared. Judge Cardozo traced the common-law development of the general duty to retreat and the exception the “castle” doctrine by which a defender, attacked at home, need not become a “fugitive” before responding in kind. Most pertinent to the appeal before us, *Tomlins* (at 243-244) underscored that it makes

2. See e.g. *Ex parte Tayloe* (5 Cow 39 [1825]); *People v McLeod* (25 Wend 483, 587, 1 Hill 377, 420 [1841]); *People v Sullivan* (7 NY 396 [1852]); *Shorter v People* (2 NY 193 [1849]).

3. The home exception to the duty to retreat, sometimes referred to as the “castle” doctrine, may have been first articulated in *Semayne's Case* (5 Co Rep 91a, 91b, 77 Eng Rep 194, 195 [KB 1603] [“That the house of every one is to him as his castle and fortress, as well as for his defence against injury and violence, as for his repose. . . .”]). Blackstone noted that the “law of England has so particular and tender a regard for the immunity of a man's house, that it stiles it his castle, and will never suffer it to be violated with impunity” (4 Blackstone, Commentaries on Laws of England, at 223 [1765-1769]).

4. Beale, *Retreat From a Murderous Assault* (16 Harv L Rev 567, 574-575 [1903]); see also *Alberty v United States* (162 US 499, 505 [1896]; *Beard v United States* (158 US 550, 563-564 [1895]).

no difference “whether the attack proceeds from some other occupant or from an intruder.”⁵

[1] We affirm the castle doctrine in its application to occupants of the same household. This has been our decisional law at least since *Tomlins*, and it has particular importance in cases of domestic violence, most often against women.

Here, having instructed the jury on the use of deadly force, the court should have gone on to discuss the rules governing retreat, including the home exception, particularly because the prosecutor argued to the jury that defendant should have retreated. Under the circumstances of this case, however, this omission does not warrant reversal.

[2] Penal Law § 35.15 (2) (a) prohibited defendant from using deadly force unless he reasonably believed that the deceased was using or about to use deadly force. The proof supports no such belief. In his confession, defendant stated that, when the deceased tried to slap him, he grabbed her, she dropped the knife, and he had her by the throat. Moreover, in his trial testimony, defendant said that when the decedent picked up a knife, he grabbed her neck and blacked out. However we interpret this sequence, the predicate for the use of deadly force the reasonable belief that one is under deadly attack is lacking.

In *People v Watts* (57 NY2d 299, 302 [1982]), the sole basis for justification was the defendant’s statement to the police that the victim “came after [defendant] in his room with a kitchen knife.” This bare contention, we held, provided no possible basis to conclude that the defendant reasonably believed he was in imminent danger of being subjected to deadly force. In the

5. See also *People v Emmick* (136 AD2d 892 [4th Dept 1988]); *People v Primus* (178 AD2d 565 [2d Dept 1991]); *People v Emick* (103 AD2d 643, 656 [4th Dept 1984]). Most states have agreed, some citing *Tomlins*, in applying the castle doctrine to cohabitants as well as intruders. See e.g. *State v Phillips* (38 Del 24, 187 A 721 [1936]); *Weiland v State* (732 So 2d 1044 [Fla 1999]); *State v Leeper* (199 Iowa 432, 200 NW 732 [1924]); *People v Lenkevich* (394 Mich 117, 229 NW2d 298 [1975]); *State v Glowacki* (630 NW2d 392 [Minn 2001]); *State v Grantham* (224 SC 41, 77 SE2d 291 [1953]). But see *Cooper v United States* (512 A2d 1002, 1006 [DC 1986]); *State v Gartland* (149 NJ 456, 694 A2d 564, 569 [1997]); *State v Warren* (147 NH 567, 568-569, 794 A2d 790, 792 [2002]). See generally Etheredge, *The Castle Doctrine: Extension of the Rule to Co-Inhabitants*, 52 Fla L Rev 695 (2000); Wheatcroft, *Duty to Retreat for Cohabitants—In New Jersey a Battered Spouse’s Home is Not Her Castle* (30 Rutgers LJ 539 [1999]); Carpenter, *Of the Enemy Within, the Castle Doctrine, and Self-Defense* (86 Marq L Rev 653 [2003]). For a comprehensive catalog of cases, see Annotation, *Homicide: Duty to Retreat Where Assailant and Assailed Share the Same Living Quarters* (67 ALR5th 637).

case before us, there was even less of a basis. In *Watts*, the victim “came after” the defendant with the weapon; here, she merely picked up the knife and while she tried to slap defendant, he choked her to death. Although defendant testified that *after* killing her, he experienced fear, he never claimed, and there is no reason to believe, that he was fearful of being killed or harmed by the actions of the deceased. In this context we note that defendant had a considerable height and weight advantage over the deceased, and also knew that she had been drinking. Her blood alcohol level tested at .22.

In sum, the court gave an incomplete justification charge which, under the circumstances, was neutral if not to defendant’s benefit. The court’s failure to elaborate and add the home exception does not warrant reversal. The overwhelming evidence disproved the justification defense, and there is no reasonable possibility that the verdict would have been different had the court given the requested instruction (*see People v Crimmins*, 36 NY2d 230, 242 [1975]; *People v Stevens*, 245 AD2d 39 [1st Dept 1997]).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed.

[821 NE2d 935, 788 NYS2d 631]

In the Matter of FRANCISCO FELIX, Respondent, v NEW YORK
CITY DEPARTMENT OF CITYWIDE ADMINISTRATIVE SERVICES et
al., Appellants.

Argued October 19, 2004; decided November 30, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 21, 2003. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Alice Schlesinger, J.), entered in a proceeding pursuant to CPLR article 78, which had granted the petition to annul respondents' determination dismissing petitioner from his civil service position and directed that petitioner be reinstated to his employment with back pay.

Matter of Felix v New York City Dept. of Citywide Admin. Servs., 309 AD2d 626, reversed.

HEADNOTES

Civil Service — Termination of Employment — Failure to Establish New York City Residency — No Right to Preremoval Hearing

1. The failure of petitioner, a New York City employee with permanent, civil service status, to establish his City residency following notice of and an opportunity to contest the claimed nonresidency was a violation of the City's residency requirement that properly resulted in the forfeiture of his employment, and was not misconduct that entitled him to a preremoval hearing. The act of failing to maintain one's residence within the municipality is separate and distinct from an act of misconduct by a municipal employee in the performance of his or her work. Failure to maintain residence renders an individual ineligible for continued municipal employment under Administrative Code of the City of New York § 12-120, while an act of misconduct invokes the disciplinary procedures and protections of Civil Service Law § 75, including a preremoval hearing if removal of the municipal employee is contemplated.

Civil Service — Termination of Employment — Failure to Establish New York City Residency — Due Process

2. Petitioner, a New York City employee with permanent, civil service status, whose employment was terminated for his failure to establish his City residency as required by Administrative Code of the City of New York § 12-120, was afforded the requisite due process by the "notice of and the opportunity to contest the charge" procedure set forth in the Code provision. Petitioner was required and/or requested to produce various documents, e.g., tax documents, driver's license and voter's registration card, in order to establish a City residence. Such documents need not be subjected to the adversarial testing of a hearing in order for the municipality to determine whether a municipal employee has established that he or she resides in New York City. The

municipality need only review each document to make that determination. The documents petitioner submitted did not establish that his current residence was in New York City.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Service §§ 24, 63–65, 73.

McKINNEY'S, Civil Service Law § 75.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 348, 501, 502.

ANNOTATION REFERENCE

See ALR Index under Civil Service.

FIND SIMILAR CASES ON WESTLAW®

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Query: civil /2 service /s residency /5 fail!

POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Sharyn Rootenberg and Larry A. Sonnenshein of counsel), for appellants. I. The City of New York had the constitutional and statutory power to enact Administrative Code of the City of New York § 12-120, which imposes a residency requirement both as a condition precedent to city employment and as a qualification for continued employment. (*McCarthy v Philadelphia Civ. Serv. Commn.*, 424 US 645; *Lorenz v Logue*, 611 F2d 421; *Wardwell v Board of Educ. of City School Dist. of City of Cincinnati*, 529 F2d 625; *Winkler v Spinnato*, 72 NY2d 402; *Wright v City of Jackson, Miss.*, 506 F2d 900; *Uniformed Firefighters Assn. v City of New York*, 50 NY2d 85.) II. Administrative Code of the City of New York § 12-120 does not conflict with any state statute. Therefore, where respondent forfeited his position by operation of local law and his subsequent dismissal was not imposed as a discretionary disciplinary penalty, the lower courts erred in holding that respondent was entitled to a disciplinary hearing under Civil Service Law § 75. (*Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91; *Matter of Giliforte v City of Buffalo*, 54 AD2d 170; *Matter of Economico v Village of Pelham*, 50 NY2d 120; *Board of Regents of State Colls. v Roth*, 408 US 564; *Mandelkern v City of Buffalo*, 64 AD2d 279; *DeFranks v City of Buffalo*, 248 AD2d 992; *Ivey v State of New York*, 80 NY2d 474; *Matter of Consolidated Edison Co. v Department of Env'tl. Conservation*, 71 NY2d 186; *People v Newman*, 32 NY2d 379, 414

US 1163; *Alweis v Evans*, 69 NY2d 199.) III. The Department Advocate's determination that respondent was no longer qualified for employment based upon his violation of the residency rule was neither arbitrary or capricious nor in violation of his rights under the law. (*Matter of Pell v Board of Educ.*, 34 NY2d 222; *Matter of Clancy-Cullen Stor. Co. v Board of Elections*, 98 AD2d 635; *Matter of Berenhaus v Ward*, 70 NY2d 436; *Matter of Collins v Codd*, 38 NY2d 269; *Matter of Stork Rest. v Boland*, 282 NY 256; *Matter of Pesante v Abate*, 211 AD2d 504.)

Kennedy, Schwartz & Cure, P.C., New York City (*Stuart Lichten* of counsel), for respondent. A municipality may not dismiss a tenured employee except after a hearing upon stated charges. (*Matter of Seeley v Stevens*, 190 NY 158; *Matter of Morris v Neider*, 259 App Div 49; *Matter of Simpson v Wolansky*, 38 NY2d 391; *Matter of Heckt v City of Lackawanna*, 44 AD2d 763; *Matter of Verbeeck v Board of Educ., Shoreham-Wading Riv. Cent. School Dist.*, 118 AD2d 784; *Matter of Emerman v Nathan*, 34 AD2d 282; *Matter of Papasidero v Fasano*, 19 NY2d 440; *Matter of Wolff v Hodson*, 285 NY 197; *Matter of Bailey v Susquehanna Val. Cent. School Dist. Bd. of Educ.*, 276 AD2d 963; *Matter of Borrell v County of Genesee*, 73 AD2d 386.)

Joel Giller, New York City, and *Kim Hsueh* for District Council 37, American Federation of State, County and Municipal Employees, AFL-CIO, amicus curiae. I. Appellants' practice of terminating employees for alleged residency violations without a Civil Service Law § 75 hearing poses a great risk of erroneous deprivation of a vested property right. (*United States v James Daniel Good Real Prop.*, 510 US 43.) II. The essential principle derived from the Civil Service Law is that due process is required before a tenured civil servant can be removed. III. The requirement of compliance with Civil Service Law § 75 for alleged residency violations serves public policy and the rationale of the residency requirement. (*Matter of Seeley v Stevens*, 190 NY 158.) IV. Section 75 of the Civil Service Law preempts any municipal law. (*Matter of Lansdown Entertainment Corp. v New York City Dept. of Consumer Affairs*, 74 NY2d 761; *Vatore v Commissioner of Consumer Affairs*, 83 NY2d 645.) V. Appellants' reliance on the Fourth Department's decision in *Mandelkern v City of Buffalo* (64 AD2d 279 [1978]) is misplaced. (*Rawstorne v Maguire*, 265 NY 204; *Matter of Markowitz v Gumbs*, 122 AD2d 906; *Matter of Hosley v Curry*, 85 NY2d 447; *Matter of Newcomb*, 192 NY 238; *Matter of Ziehm v City of Buffalo*, 90 AD2d 677, 59 NY2d 757.) VI. The Administrative Code

of the City of New York's provision for forfeiture of employment supports the fact that employees may not be summarily terminated without due process. (*United States v James Daniel Good Real Prop.*, 510 US 43; *Mathews v Eldridge*, 424 US 319; *Matter of Duffy v Ward*, 81 NY2d 127.)

OPINION OF THE COURT

G.B. SMITH, J.

The issue before this Court is whether a person employed by the municipality of New York City, with permanent, civil service status, can be deemed to have forfeited his employment after failing to establish his city residency following notice of and an opportunity to contest the claimed nonresidency. We conclude that failure to establish residency is a violation of the City's residency requirement, which results in forfeiture of employment, and is not misconduct that would entitle the employee to a preremoval hearing.

On July 30, 1986, Edward I. Koch, then Mayor of the City of New York, signed into law a bill, sponsored at his request by members of the City Council of New York City, that required all nonuniformed employees in mayoral agencies, hired on or after September 1, 1986, to establish and maintain residence within the five boroughs of New York City as a condition of employment (*see* Transcript of Stenographic Record of Public Hearing on Local Laws [Koch], July 30, 1986, at 1-6, Mayoral Bill Jacket, Local Law No. 40 [1986]).¹ Prior to signing the bill into law, Mayor Koch specifically stated that “[f]ailure to establish or maintain City residence will constitute forfeiture of employment” (Transcript of Stenographic Record of Public Hearing on Local Laws [Koch], July 30, 1986, at 2). Local Law No. 40 (1986) of the City of New York, the law in question, amended sections 12-119, 12-120 and 12-121 of the Administrative Code of the City of New York. New York City Administrative Code § 12-120, as amended, provides:

“Except as otherwise provided in section 12-121, any person who enters city service on or after September first nineteen hundred eighty-six (i) shall

1. According to Mayor Koch, the residency requirement was meant to: (1) increase employment opportunities for New York City residents; (2) bolster the local economy; and (3) increase accountability of city employees and the level of concern and pride in the delivery of services to the City (*see* Transcript of Stenographic Record of Public Hearing on Local Laws [Koch], July 30, 1986, at 3).

be a resident of the city on the date that he or she enters city service or shall establish city residence within ninety days after such date and (ii) shall thereafter maintain city residence as a condition of employment. Failure to establish or maintain city residence as required by this section shall constitute a forfeiture of employment; provided, however, that prior to dismissal for failure to establish or maintain city residence an employee shall be given notice of and the opportunity to contest the charge that his or her residence is outside the city.”²

Even those employees who benefit from the protections of Civil Service Law § 75 are subject to New York City’s residency requirement.

In August 1993, respondent Felix was hired by appellant New York City Department of Citywide Administrative Services (DCAS) and permanently appointed to the competitive class position of high pressure plant tender. Accordingly, Felix’s employment was subject both to New York City Administrative Code § 12-120 and to Civil Service Law § 75. Moreover, in connection with his employment, on or about August 15, 1993, Felix completed, signed, swore to and had notarized a residency form in which he acknowledged that his employment was conditioned on maintaining residence in New York City and that if he failed to remain a New York City resident, he could forfeit his employment.³

2. New York City Administrative Code § 12-119 provides that “residence” means domicile, “resident” means domiciliary and the term “city service” means “service as an employee of the city or of any agency thereof other than service in a position which is exempted from municipal residence requirements pursuant to the public officers law or any other state law.”

New York City Administrative Code § 12-121 sets forth exceptions to New York City’s residency requirement. Felix does not contend that he falls within any of the section 12-121 exceptions.

3. Felix’s residency form states, in pertinent part:

“I, Francisco Felix, am or expect to be employed by the above agency or department on the date of appointment and in the position indicated above. I hereby certify that I reside at the above address which is in The City of New York. . . .

“I hereby agree that I will notify the head of the above agency and the Department of Personnel of The City of New York prior to any change of residence by me or my spouse during such time as I remain employed by The City of New York. I understand that if I fail to remain a resident during the period of my employment with The City of New York I may forfeit my employment

(n. cont’d)

Approximately nine years after Felix's appointment, DCAS began to suspect that Felix resided in Nassau County, in violation of New York City's residency requirement. In a memorandum, DCAS informed Felix of its suspicion, and directed Felix to attend a meeting on January 23, 2002, at which time he would have an opportunity to contest the allegation. The memorandum stated that if Felix planned to contest the allegation, he should bring documentation demonstrating his New York City residency including deeds and leases for real property, utility bills, his driver's license and vehicle registration, voter registration cards and federal and state tax returns. The memorandum further stated that "[t]ax returns are necessary documentation." Felix was advised that he could bring an attorney or union representative to the meeting.

Felix appeared at the January 23 meeting with a union representative and, in accordance with DCAS procedures, was asked to produce two forms of identification. He produced a New York State driver's license with a Corona (Queens County), New York address and an expiration date of June 3, 2004. DCAS requested additional documents regarding his residency, but Felix said that he did not bring any additional documentation with him. Felix further stated that he was not aware that he was required to be a New York City resident. DCAS then showed Felix the residency form he had completed and sworn to. In order to afford Felix the opportunity to produce additional documentation, DCAS adjourned the meeting for two days.

On January 25, 2002, the meeting reconvened and Felix again appeared with a union representative. This time, however, when asked to produce documentation to establish his place of residence, Felix submitted the following documents:

- (1) a letter from his sister, dated January 23, 2002, stating that he lived with her in Flushing (Queens County), New York;
- (2) a voter registration card, dated January 23, 2002;
- (3) an interim driver's license, issued on January 23, 2002;
- (4) a vehicle registration card, issued on January 24, 2002;

unless I have been granted an exemption from the residency requirements in accordance with the Mayoral Directive on Residence or Section 12-119 et seq. of the Administrative Code."

- (5) a New York State insurance identification card pertaining to an insurance policy with an effective date of January 23, 2002;⁴
- (6) a letter from Felix's union, dated January 24, 2002, stating that according to its records, Felix resided in Kew Gardens (Queens County), New York;
- (7) a delinquency notice from an out-of-state dentist's office, dated January 24, 2002, reflecting that Felix's address was in Flushing, New York; and
- (8) a W-2 form and federal income tax return for the tax year 2000 which both indicated that Felix resided in Valley Stream (Nassau County), New York.

In a letter dated January 28, 2002, DCAS advised Felix that, based on its review of the submitted documentation, it had determined that the evidence submitted by Felix did not credibly establish that he maintained residence in New York City as required by New York City Administrative Code § 12-120. DCAS concluded that all of the documentation reflecting Felix's residence in New York City was created after the January 23, 2002 meeting had adjourned for the sole purpose of establishing a New York City residence. Accordingly, DCAS found that Felix violated the residency requirement for his job and was deemed to have forfeited his position. He was immediately dismissed from his employment.

Felix filed a CPLR article 78 proceeding to challenge his dismissal, arguing that he was entitled to reinstatement with back pay because he was discharged without a preremoval hearing under Civil Service Law § 75 (1).⁵ Supreme Court granted Felix's petition. The Appellate Division affirmed, and this Court granted leave to appeal.

A municipal employee must be afforded procedural due process before he or she is dismissed from employment for violating New York City's residency requirement. Accordingly, this

4. Documents (2)-(5) indicated that Felix's address was in Flushing, New York.

5. Civil Service Law § 75 sets forth a procedure under which certain employees, including those with permanent, civil service status, may be removed or subjected to other disciplinary action for misconduct or incompetency. Civil Service Law § 75 (1) provides, in pertinent part:

"A person [holding a position by permanent appointment in the competitive class of the classified civil service] shall not be removed or otherwise subjected to any disciplinary penalty provided in this section except for incompetency or misconduct shown after a hearing upon stated charges pursuant to this section."

Court must determine two questions: first, whether Felix's nonresidency was a forfeiture of employment or misconduct for which he was entitled to a preremoval hearing and second, did the "notice of and the opportunity to contest the charge" procedure set forth under New York City Administrative Code § 12-120 satisfy due process.

[1] We note at the outset that the act of failing to maintain one's residence within the municipality is separate and distinct from an act of misconduct by a municipal employee in the performance of his or her work. Failure to maintain residence renders an individual ineligible for continued municipal employment under New York City Administrative Code § 12-120, while an act of misconduct invokes Civil Service Law § 75 disciplinary procedures, including a preremoval hearing if removal of the municipal employee is contemplated (*see e.g., Mandelkern v City of Buffalo*, 64 AD2d 279 [4th Dept 1978]). In *Mandelkern*, the Appellate Division, Fourth Department held that a City of Buffalo ordinance setting forth residency requirements for city employees did not violate Civil Service Law § 75 (1). In so holding, the Court noted that residency requirements define eligibility for employment, not misconduct to which civil service protections would apply. The Court stated as follows:

"[t]he local legislation and the Civil Service Law have different purposes. The [local legislation] is designed with the legitimate purpose of encouraging city employees to maintain a commitment and involvement with the government which employs them by living within the city [citations omitted]. When so viewed, it is clear that residence is a consideration unrelated to job performance, misconduct or competency. It is a qualification of employment, . . . and a qualification which the city may impose if it chooses to do so without running afoul of the Constitution or general laws of the State. The Civil Service Law, on the other hand, prescribes the procedures for removal of a protected employee charged with delinquencies in the performance of his job. It has nothing to do with eligibility for employment" (*Mandelkern*, 64 AD2d at 281).⁶

Similarly, the instant residency requirement has a different

6. It should be noted that *Mandelkern* was cited in a memorandum from the City of New York's Law Department advising the then Deputy Mayor for Operations that New York City can enact a residency law (*see* Mem from

(n. cont'd)

purpose than Civil Service Law § 75 (1) (*see* n 1 [at 501] for purpose of New York City's residency requirement). Accordingly, the procedural due process afforded under Civil Service Law § 75 (1), i.e., a preremoval hearing, is not necessarily required for dismissals pursuant to New York City Administrative Code § 12-120 (*see e.g.*, *Mandelkern*, 64 AD2d at 281; *Schirmer v Town of Harrison*, 1999 WL 61843, 1999 US Dist LEXIS 1292 [SD NY, Feb. 10, 1999]).⁷

[2] We next address the question whether the procedure itself comported with state and federal due process requirements. The instant residency requirement provides that a municipal employee “shall be given notice of and the opportunity to contest the charge that his or her residence is outside the city” (New York City Administrative Code § 12-120). To determine whether this procedure satisfied due process here, we necessarily take into account that Felix was required and/or requested to produce various documents, e.g., tax documents, driver's license and voter registration card, in order to establish a New York City residence. Documents such as these need not be subjected to the adversarial testing of a hearing in order for the municipality to determine whether a municipal employee has established that he or she resides in New York City. The municipality need only review each document to make that determination. As such, we conclude that the “notice of and the opportunity to contest the charge” procedure set forth in New York City's residency requirement satisfies due process.

Here, Felix was afforded the requisite due process; however, the documents he submitted did not establish that his current residence was in New York City. To the contrary, Felix submitted a driver's license with a New York City address he later admitted was no longer current, seven documents that were clearly created after the January 23 meeting for the sole purpose of establishing that Felix's residence was in New York City, and most significantly, two tax documents which established that Felix's residence was outside of New York City. Thus, DCAS correctly determined that Felix forfeited his position and that dismissal was warranted.

City of NY Law Dept, Nov. 4, 1985, at 9, Mayoral Bill Jacket, Local Law No. 40 [1986]).

7. The United States Supreme Court has stated that “[a] procedural rule that may satisfy due process in one context may not necessarily satisfy procedural due process in every case” (*Bell v Burson*, 402 US 535, 540 [1971]).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the petition dismissed.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order reversed, etc.

[822 NE2d 339, 789 NYS2d 88]

In the Matter of CITY COUNCIL OF THE CITY OF WATERVLIET et al., Appellants, v TOWN BOARD OF THE TOWN OF COLONIE, Respondent.

Argued October 13, 2004; decided December 2, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order (denominated memorandum and judgment) of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 30, 2003, in a proceeding initiated in that Court pursuant to General Municipal Law § 712. The Appellate Division (1) granted respondent's motion to dismiss the petition to determine whether the proposed annexation of property now located in the Town of Colonie to the City of Watervliet was in the overall public interest, and (2) dismissed the petition.

Matter of City Council of City of Watervliet v Town Bd. of Town of Colonie, 309 AD2d 1114, affirmed.

HEADNOTES

Environmental Conservation — Environmental Impact Statement — Review Required before Municipality Approves Annexation of Real Property

1. State Environmental Quality Review Act (SEQRA) review is required before a municipality adopts a resolution approving the annexation of real property from an adjacent municipality pursuant to General Municipal Law article 17. The extent of environmental assessment that must be undertaken, however, is dependent on the specific development plans associated with the transfer of territory. Although SEQRA is not explicitly incorporated into General Municipal Law article 17, it promotes the public interest purposes of article 17, and it is neither inconsistent with nor contrary to the procedures delineated in the General Municipal Law. Moreover, the Department of Environmental Conservation's classification of annexations as actions subject to SEQRA is not unreasonable.

Environmental Conservation — Environmental Impact Statement — Review Required before Municipality Approves Annexation of Real Property

2. In a proceeding pursuant to General Municipal Law article 17 to determine whether the proposed annexation of approximately 43 acres located in respondent's town to petitioner's city was in the overall public interest, the proposed annexation was an unlisted action for State Environmental Quality Review Act purposes, and an environmental assessment form (EAF) was the appropriate type of review to be completed before either municipality acted to adopt or reject the petition for annexation. Since the annexation proposal lacked a specific project plan that had been officially submitted or a rezoning

proposal that changed the use for which the property may be utilized, the EAF would necessarily be limited to the annexation itself and its effects.

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AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 56, 59, 60, 69.

McKINNEY'S, General Municipal Law art 17.

NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 46-51; NY JUR 2d, Environmental Rights and Remedies §§ 87, 88.

ANNOTATION REFERENCE

See ALR Index under Annexation of Property or Territory.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: environment! /s municipal! /s annexation

POINTS OF COUNSEL

DiMarco & Riley, Rochester (*Eugene Van Voorhis*, *Anne Dyring Riley* and *John P. Amuso* of counsel), and *Joseph F. Monaghan*, City Attorney, Watervliet, for appellants. I. Holding a public hearing under General Municipal Law § 705 is not an “action” within the meaning of article 8 of the Environmental Conservation Law requiring state environmental quality review. (*Programming & Sys. v New York State Urban Dev. Corp.*, 93 AD2d 733, 61 NY2d 738; *Matter of Mayerat v Town Bd. of Town of Ashford*, 185 AD2d 699; *Housing Justice Campaign v Koch*, 164 AD2d 656.) II. Municipal annexation proceedings and procedures are established by the Legislature through General Municipal Law article 17, which was enacted pursuant to constitutional mandate under article IX, § 1 (d) of the New York State Constitution and may not be materially amended or changed by regulations of the Commissioner of Environmental Conservation. (*Matter of Connell v Town Bd. of Town of Wilmington*, 113 AD2d 359, 67 NY2d 896; *Cross Westchester Dev. Corp. v Town Bd. of Town of Greenburgh*, 141 AD2d 796; *Matter of Common Council of City of Albany v Town Bd. of Town of Bethlehem*, 23 AD2d 381, 17 NY2d 594; *Matter of City Council of City of Mechanicville v Town Bd. of Town of Halfmoon*, 27 NY2d 369; *Mayor of Vil. of Mount Kisco v Supervisor of Town of Bedford*, 45 NY2d 335; *Matter of Settco, LLC v New York State*

Urban Dev. Corp., 305 AD2d 1026; *Matter of Cerro v Town of Kingsbury*, 250 AD2d 978; *Matter of Citizens For An Orderly Energy Policy v Cuomo*, 78 NY2d 398; *Matter of Abate v City of Yonkers*, 264 AD2d 517; *Matter of Doremus v Town of Oyster Bay*, 274 AD2d 390.) III. The Appellate Division's reliance on the SEQR Handbook regarding municipal annexations is totally at odds with the will of the people in adopting article IX, § 1 (d) of the New York State Constitution and the legislative intent of General Municipal Law article 17 to provide an impartial process to determine the overall public interest in municipal annexations. (*Matter of Rochester Tel. Mobile Communications v Ober*, 251 AD2d 1053; *Matter of Sour Mtn. Realty v New York State Dept. of Envtl. Conservation*, 260 AD2d 920; *Matter of Merson v McNally*, 90 NY2d 742; *Matter of Kahn v Pasnik*, 90 NY2d 569; *Akpan v Koch*, 75 NY2d 561; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Matter of Gordon v Rush*, 100 NY2d 236; *Matter of City Council of City of Mechanicville v Town Bd. of Town of Halfmoon*, 27 NY2d 369; *Mayor of Vil. of Mount Kisco v Supervisor of Town of Bedford*, 45 NY2d 335.) IV. If state environmental quality review be applicable to municipal annexations, then the environmental review should be conducted by the referees as lead agency (especially in view of the quasi-legislative role of the Appellate Division under General Municipal Law § 712) in order to preserve the impartiality of the process. (*Matter of Mayerat v Town Bd. of Town of Ashford*, 185 AD2d 699; *Matter of Common Council of City of Albany v Town Bd. of Town of Bethlehem*, 23 AD2d 381, 17 NY2d 594; *Matter of City Council of City of Mechanicville v Town Bd. of Town of Halfmoon*, 27 NY2d 369; *Mayor of Vil. of Mount Kisco v Supervisor of Town of Bedford*, 45 NY2d 335.) V. New York courts have been reluctant to halt annexation proceedings for alleged lack of full state environmental quality review compliance where no specific or definitive plans for development have been put forward. (*Cross Westchester Dev. Corp. v Town Bd. of Town of Greenburgh*, 141 AD2d 796; *Programming & Sys. v New York State Urban Dev. Corp.*, 93 AD2d 733, 61 NY2d 738; *Matter of People for Westpride v Board of Estimate of City of N.Y.*, 165 AD2d 555; *O'Keeffe v Bonelli*, 170 Misc 2d 218; *Matter of David's Lane—Pondview Preserv. Assn. v Planning Bd. of Inc. Vil. of E. Hampton*, 216 AD2d 389; *Hudson Riv. Sloop Clearwater v Cuomo*, 222 AD2d 386; *Matter of City of Yonkers v County of Westchester*, 183 AD2d 823; *Matter of Board of Trustees of Vil. of Spring Val. v Town of Clarkstown*, 292 AD2d 450; *Matter of Incorporated Vil. of Ilion v*

Town Bd. of Frankfort, 261 AD2d 952; *Matter of Taxpayers Opposed to Floodmart v City of Hornell Indus. Dev. Agency*, 212 AD2d 958.) VI. If lack of state environmental quality review were to render the initial annexation petition legally defective, such defect should have been dealt with under General Municipal Law § 711 (3) through CPLR article 78. (*Matter of City Council of City of Saratoga Springs v Town Bd. of Town of Greenfield*, 29 AD2d 167.) VII. If state environmental quality review be applicable to municipal annexations, then appellants should have the right to cure without stopping the proceedings under General Municipal Law § 712. (*Matter of City of Gloversville v Town of Johnstown*, 210 AD2d 760; *Matter of Weinstein Enters. v Town of Kent*, 171 AD2d 874.)

Arnis Zilgme, Town Attorney, Newtonville (*Danielle M. Demers* of counsel), for respondent. I. State Environmental Quality Review Act (SEQRA) review is required within the context of an annexation proceeding and appellants' assertion that SEQRA does not apply to annexation proceedings is contrary to law. (*Matter of Sour Mtn. Realty v New York State Dept. of Envtl. Conservation*, 260 AD2d 920; *Cross Westchester Dev. Corp. v Town Bd. of Town of Greenburgh*, 141 AD2d 796; *Matter of Connell v Town Bd. of Town of Wilmington*, 113 AD2d 359, 67 NY2d 896; *Matter of Village of Saugerties v Town of Saugerties*, 201 AD2d 52; *Matter of City of Gloversville v Town of Johnstown*, 210 AD2d 760; *Matter of Taxpayers Opposed to Floodmart v City of Hornell Indus. Dev. Agency*, 212 AD2d 958; *O'Keeffe v Bonelli*, 170 Misc 2d 218; *Common Council of City of Middletown v Town Bd. of Town of Wallkill*, 143 AD2d 215; *Matter of New York State Lawncare Assn. v County of Albany*, 292 AD2d 719; *Programming & Sys. v New York State Urban Dev. Corp.*, 93 AD2d 733, 61 NY2d 738.) II. The court below did not hold that the joint hearing under General Municipal Law § 705 was an "action" for purposes of the State Environmental Quality Review Act. (*Matter of Taxpayers Opposed to Floodmart v City of Hornell Indus. Dev. Agency*, 212 AD2d 958, 85 NY2d 812; *Matter of Programming & Sys. v New York State Urban Dev. Corp.*, 61 NY2d 738; *Cross Westchester Dev. Corp. v Town Bd. of Town of Greenburgh*, 141 AD2d 796.) III. The Appellate Division cannot act as lead agency for State Environmental Quality Review Act compliance in an annexation proceeding. (*Matter of Tri-County Taxpayers Assn. v Town Bd. of Town of Queensbury*, 55 NY2d 41; *Matter of Village of Saugerties v Town of Saugerties*, 201 AD2d 52; *Matter of City Council of City of Saratoga Springs v Town Bd. of Town of Greenfield*, 29 AD2d 167.) IV. Noncompli-

ance with the State Environmental Quality Review Act does not render the annexation petition itself legally insufficient and as such respondent was not precluded from bringing a motion to dismiss on this issue. (*Matter of City Council of City of Saratoga Springs v Town Bd. of Town of Greenfield*, 29 AD2d 167; *Matter of Village of Saugerties v Town of Saugerties*, 201 AD2d 52.) V. The State Environmental Quality Review Act requires “literal compliance” and as such appellants cannot now cure after the fact. (*Matter of Tri-County Taxpayers Assn. v Town Bd. of Town of Queensbury*, 55 NY2d 41; *Chinese Staff & Workers Assn. v City of New York*, 68 NY2d 359; *Matter of King v Saratoga County Bd. of Supervisors*, 89 NY2d 341; *Matter of City of Gloversville v Town of Johnstown*, 210 AD2d 760.)

Eliot Spitzer, Attorney General, Albany (Peter Lehner, Caitlin J. Halligan, Daniel Smirlock, Denise Hartman, John J. Sipos, James Tierney and Philip M. Bein of counsel), for New York State Department of Environmental Conservation, amicus curiae. I. Annexation of territory by a municipality is subject to the State Environmental Quality Review Act. (*Matter of Sour Mtn. Realty v New York State Dept. of Envtl. Conservation*, 260 AD2d 920, 93 NY2d 815; *Matter of New York City Coalition to End Lead Poisoning v Vallone*, 100 NY2d 337; *Matter of WEOK Broadcasting Corp. v Planning Bd. of Town of Lloyd*, 165 AD2d 578, 79 NY2d 373; *Stop-The-Barge v Cahill*, 1 NY3d 218; *Matter of Tri-County Taxpayers Assn. v Town Bd. of Town of Queensbury*, 55 NY2d 41; *Matter of Sun Beach Real Estate Dev. Corp. v Anderson*, 98 AD2d 367; *New York SMSA Ltd. Partnership v Town of Riverhead Town Bd.*, 118 F Supp 2d 333; *East Hampton Airport Prop. Owners Assn., Inc. v Town Bd. of E. Hampton*, 72 F Supp 2d 139; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Stettine v County of Suffolk*, 66 NY2d 354.) II. The Department of Environmental Conservation properly classifies annexation decisions as subject to State Environmental Quality Review Act. (*Cross Westchester Dev. Corp. v Town Bd. of Town of Greenburgh*, 141 AD2d 796; *Matter of Taxpayers Opposed to Floodmart v City of Hornell Indus. Dev. Agency*, 212 AD2d 958, 85 NY2d 812; *O’Keeffe v Bonelli*, 170 Misc 2d 218; *Matter of Young v Board of Trustees of Vil. of Blasdell*, 221 AD2d 975; *Matter of New Scotland Ave. Neighborhood Assn. v Planning Bd. of City of Albany*, 142 AD2d 257; *Ginsburg Dev. Corp. v Town Bd. of Town of Cortlandt*, 150 Misc 2d 24; *Matter of Neville v Koch*, 79 NY2d 416; *Matter of Brew v Hess*, 124 AD2d 962; *Matter of Kirk-Astor Dr. Neighborhood Assn. v Town Bd. of Town of Pittsford*, 106 AD2d 868, 66 NY2d 896; *Matter of*

Argyle Conservation League v Town of Argyle, 223 AD2d 796.)
III. Environmental review should have been completed before the City Council of the City of Watervliet's approval of annexation. (*Stop-The-Barge v Cahill*, 1 NY3d 218; *Matter of Sun Beach Real Estate Dev. Corp. v Anderson*, 98 AD2d 367; *Matter of WEOK Broadcasting Corp. v Planning Bd. of Town of Lloyd*, 165 AD2d 578; *Matter of Tri-County Taxpayers Assn. v Town Bd. of Town of Queensbury*, 55 NY2d 41; *Matter of Schultz v Jorling*, 164 AD2d 252, 77 NY2d 810; *Matter of Taxpayers Opposed to Floodmart v City of Hornell Indus. Dev. Agency*, 212 AD2d 958; *Matter of Brew v Hess*, 124 AD2d 962; *Matter of Kirk-Astor Dr. Neighborhood Assn. v Town Bd. of Town of Pittsford*, 106 AD2d 868; *Matter of Argyle Conservation League v Town of Argyle*, 223 AD2d 796; *Matter of Programming & Sys. v New York State Dept. of Urban Dev. Corp.*, 61 NY2d 738.)

OPINION OF THE COURT

GRAFFEO, J.

We are asked in this case whether State Environmental Quality Review Act (SEQRA) review is required before a municipality adopts a resolution approving the annexation of real property from an adjacent municipality. We conclude that SEQRA requirements apply to all annexations under article 17 of the General Municipal Law, but that the extent of environmental assessment that must be undertaken is dependent on the specific development plans associated with the transfer of territory.

When a municipality seeks to acquire territory that lies within the boundaries of an adjacent municipality, article 17 of the General Municipal Law—known as the Municipal Annexation Law—sets forth the public interest concerns that must be weighed and the requisite procedural steps to be followed.¹ Generally, a proposed annexation is initiated by a petition signed by either 20% of the persons residing within the territory who are qualified to vote or by the owners of a majority of the assessed valuation of land in the area proposed to be transferred (*see* General Municipal Law § 703). Upon notice to the public and af-

1. “Annexation” is defined as “[a]n alteration of the boundaries of a county, city, town or village which has the effect of adding territory to it. Such term shall not include the creation or dissolution of a county, city, town or village, or the consolidation of two or more counties, two or more cities, two or more towns or two or more villages, respectively, or the diminution of the area of a village pursuant to section 18-1804 of the village law” (General Municipal Law § 701 [1]).

affected residents, the governing boards of the affected municipalities conduct a joint public hearing on the issue whether the annexation is in the overall public interest (*see* General Municipal Law §§ 704, 705). Within 90 days after the hearing, the governing board of each locality must adopt a resolution and issue a written order regarding whether annexation is in the overall public interest (*see* General Municipal Law § 711). In the event the local governments disagree, application may be made to the appropriate Appellate Division department to determine whether the proposed annexation is in the overall public interest (*see* General Municipal Law § 712).²

In this case, petitioner East-West Realty Corporation is the owner of approximately 37 acres of vacant property located in the Town of Colonie and adjacent to the City of Watervliet. The property is currently zoned to permit single family residences. East-West inquired of the Town about the possibility of constructing a senior citizen assisted-living development at the site and claims that the informal response from the Town was unfavorable. East-West then filed a petition with respondent Town Board of the Town of Colonie and petitioner City Council of the City of Watervliet seeking to have approximately 43 acres, including its 37 acres, transferred by annexation to Watervliet in accordance with article 17 of the General Municipal Law.³

In December 2002, Colonie and Watervliet held a joint public hearing on the petition. East-West did not present a formal development plan, but indicated “the property is proposed to be developed as potentially assisted living senior apartments.” Watervliet subsequently passed a resolution approving of the annexation and declaring the transfer of realty to be in the overall public interest. Colonie meanwhile adopted a resolution denying the petition on the ground that annexation was not in the overall public interest. Colonie took the position that review of potential environmental impact under SEQRA was necessary to fully assess whether annexation was in the public interest.

Faced with conflicting municipal resolutions, Watervliet commenced this proceeding in the Appellate Division, and East-West intervened as a petitioner. In its answer and by motion to

2. If the municipalities agree, “such determination shall be final and conclusive” (General Municipal Law § 711 [4]).

3. The premises affected by the annexation petition consists of several parcels: 36.6 acres owned by East-West, 2.8 acres owned by Rait Highland Club, LLC and a 3.8 acre Niagara Mohawk utility corridor. The latter two owners are not parties to this proceeding.

dismiss the amended petition, Colonie asserted that Watervliet failed to comply with SEQRA requirements prior to approving the proposed annexation.⁴ East-West cross-moved for an order appointing three referees to hear and report to the Court. The Appellate Division dismissed the petition and agreed with Colonie to the extent it held that “an appropriate form of SEQRA review of an annexation ‘action’ is required” before either municipality could adopt a resolution regarding the annexation (309 AD2d 1114, 1116 [2003]). We granted Watervliet and East-West leave to appeal and now affirm.

SEQRA’s primary purpose “is to inject environmental considerations directly into governmental decision making” (*Matter of Coca-Cola Bottling Co. v Board of Estimate*, 72 NY2d 674, 679 [1988]). The Legislature’s intent is reflected in the statute, which requires that “[s]ocial, economic, and environmental factors [] be considered together in reaching decisions on proposed activities” (ECL 8-0103 [7]). The procedures necessary to fulfill SEQRA review are carefully detailed in the statute and its implementing regulations (*see* ECL 8-0101—8-0117; 6 NYCRR part 617; *see also Matter of New York City Coalition to End Lead Poisoning v Vallone*, 100 NY2d 337, 347-348 [2003]), and we have recognized the need for strict compliance with SEQRA requirements (*Matter of Merson v McNally*, 90 NY2d 742, 750 [1997]).

In this case, Watervliet and East-West initially argue that SEQRA does not apply to municipal annexations because article 17 of the General Municipal Law, which does not incorporate SEQRA explicitly, provides the exclusive process for annexations. They also contend that General Municipal Law § 718 (5) indicates that “[t]he provisions of [article 17] shall be controlling notwithstanding any inconsistent act of the legislature to the contrary,” and therefore article 17 exempts annexations from SEQRA. We conclude, however, that SEQRA is neither inconsistent with nor contrary to the procedures delineated in the General Municipal Law.

[1] It is well established that SEQRA “is a law of general applicability” (*Matter of Sour Mtn. Realty, Inc. v New York State Dept. of Envtl. Conservation*, 260 AD2d 920, 923 [1999], *lv denied* 93 NY2d 815 [1999]). Moreover, the Legislature has declared

4. We agree with the Appellate Division that Colonie properly raised the SEQRA issue as an affirmative defense in its answer to the petition. Because Colonie served the answer within four months of Watervliet’s adoption of its resolution approving the annexation, the objection was timely (*see* CPLR 217).

“that ‘to the fullest extent possible’ statutes should be administered by the State and its political subdivisions in accordance with the policies set forth in SEQRA and that environmental factors should be considered in reaching decisions on proposed projects” (*Matter of Tri-County Taxpayers Assn. v Town Bd. of Town of Queensbury*, 55 NY2d 41, 46 [1982] [quoting ECL 8-0103 (6)]). The overriding goal of article 17 of the General Municipal Law is to assess whether a proposed annexation is in the best interest of the public. After a joint hearing predicated upon a petition for annexation is held (*see* General Municipal Law § 705), each municipality must, within 90 days of the hearing, decide whether annexation is in the “over-all public interest” (General Municipal Law § 711 [1]). Where the involved municipalities disagree on whether annexation is in the public’s best interest—as happened in this case—the Appellate Division may be called upon to consider “whether the proposed annexation is in the over-all public interest” (General Municipal Law § 712 [1], [10]). The aims of SEQRA are congruous—the objective is to determine “‘whether or not a project or activity should be approved or undertaken in the best over-all interest of the people of the State’” (*Matter of WEOK Broadcasting Corp. v Planning Bd. of Town of Lloyd*, 79 NY2d 373, 380 [1992], quoting *Matter of Town of Henrietta v Department of Env’tl. Conservation*, 76 AD2d 215, 222 [1980]). We believe that SEQRA promotes, rather than undermines, the public interest purposes of article 17 of the General Municipal Law and therefore conclude that General Municipal Law § 718 (5) does not exempt the annexation process from SEQRA review.⁵

Watervliet and East-West further submit that SEQRA review is not required because annexation, in and of itself, is not an “action” as defined in article 8 of the Environmental Conservation Law. They contend that a proposed annexation must be accompanied by a specific development plan before SEQRA is triggered. Because East-West has no definite plans for the site and has not filed any formal application for development of its property, they claim that any SEQRA analysis is premature. We disagree.

Article 8 of the Environmental Conservation Law creates the procedural and substantive requirements for governmental enti-

5. Notably, article 17 of the General Municipal Law was enacted in 1963 (*see* L 1963, ch 844), 12 years before SEQRA was adopted in 1975 (*see* L 1975, ch 612).

ties to follow when reviewing the environmental consequences of proposed projects or “actions” (see *Matter of WEOK Broadcasting Corp.*, 79 NY2d at 381). “Action” is a term of art in the SEQRA statute and is broadly defined to include:

“(i) projects or activities directly undertaken by any agency; or projects or activities supported in whole or part through contracts, grants, subsidies, loans, or other forms of funding assistance from one or more agencies; or projects or activities involving the issuance to a person of a lease, permit, license, certificate or other entitlement for use or permission to act by one or more agencies; [and]

“(ii) policy, regulations, and procedure-making” (ECL 8-0105 [4]).⁶

Pursuant to its authority under section 8-0113 of the Environmental Conservation Law, the New York State Department of Environmental Conservation (DEC) has promulgated regulations that refine the definition of “actions” for SEQRA purposes. For example, under DEC’s regulations, “actions” include “agency planning and policy making activities that may affect the environment and commit the agency to a definite course of future decisions” and the “adoption of agency rules, regulations and procedures, including local laws, codes, ordinances, executive orders and resolutions that may affect the environment” (6 NYCRR 617.2 [b] [2], [3]).

In 1987, apparently in response to *Matter of Connell v Town Bd. of Town of Wilmington* (113 AD2d 359 [1985], *affd* 67 NY2d 896 [1986]),⁷ DEC amended its regulations to clarify that the annexation of 100 or more contiguous acres constitutes a Type I action (see 6 NYCRR 617.4 [b] [4]). In doing so, DEC implicitly determined that an annexation of less than 100 acres is an

6. SEQRA also specifies that

“‘[a]ctions’ do not include:

“(i) enforcement proceedings or the exercise of prosecutorial discretion in determining whether or not to institute such proceedings;

“(ii) official acts of a ministerial nature, involving no exercise of discretion; [and]

“(iii) maintenance or repair involving no substantial changes in existing structure or facility” (ECL 8-0105 [5]).

7. In *Connell*, the Appellate Division held that a municipality’s adoption of a resolution approving an annexation “was not an ‘action’ as defined by SEQRA” and therefore SEQRA review was unnecessary (113 AD2d at 361). We affirmed on the narrow ground that the proceeding was untimely.

“unlisted action” (see *Cross Westchester Dev. Corp. v Town Bd. of Town of Greenburgh*, 141 AD2d 796, 797 [1988]; SEQRA Handbook, at 105 [1992 ed]).⁸

In urging that a proposed annexation, absent a formal development project, cannot be an “action” for SEQRA purposes, Watervliet and East-West in effect assert that DEC’s regulation is invalid. Because DEC is entitled to deference in its construction and application of environmental conservation statutes, our standard of review is limited to whether DEC’s interpretation is unreasonable or irrational (see *Matter of Rodriguez v Perales*, 86 NY2d 361, 367 [1995]; *Matter of Astoria Generating Co. v General Counsel of N.Y. State Dept. of Env’tl. Conservation*, 299 AD2d 706, 707 [2002]).

We cannot say that DEC’s classification of annexations as actions subject to SEQRA is unreasonable. Annexations are often the first step toward the development of real property and may involve a change in municipal services or land use regulation. A principal goal of SEQRA is “to incorporate environmental considerations into the decisionmaking process at the earliest opportunity” (*Matter of Neville v Koch*, 79 NY2d 416, 426 [1992]; see also 6 NYCRR 617.1 [c]). Based on SEQRA’s broad definition of “actions,” which should be liberally construed to facilitate SEQRA’s salutary purposes, it is not irrational to require SEQRA review of annexations while municipalities contemplate the ramifications of an annexation proposal.

Matter of Programming & Sys. v New York State Urban Dev. Corp. (61 NY2d 738 [1984]) does not dictate a contrary result. In that case, the Urban Development Corporation (UDC) had been involved with the City of New York in attempting to redevelop a neighborhood surrounding a building leased by the petitioner. The petitioner, whose lease would be terminated

8. The regulations classify actions as Type I, Type II or unlisted, depending on the potential effects on the environment (*Matter of Merson v McNally*, 90 NY2d 742, 750 [1997]). A Type I action “carries with it the presumption that it is likely to have a significant adverse impact on the environment and may require an EIS [environmental impact statement]” (6 NYCRR 617.4 [a] [1]). A Type II action is not subject to SEQRA review because it has “been determined [by DEC] not to have a significant impact on the environment or [is] otherwise precluded from environmental review under Environmental Conservation Law, article 8” (6 NYCRR 617.5 [a]). Finally, all remaining actions are classified as “unlisted” actions (6 NYCRR 617.2 [ak]). Type I and unlisted actions are subject to SEQRA review, and Type I actions “are more likely to require the preparation of an EIS than Unlisted actions” (6 NYCRR 617.4 [a]).

without compensation in the event of an eminent domain proceeding, commenced a proceeding against the UDC, alleging that before it could proceed any further, the UDC had to prepare and file an environmental impact statement. The UDC countered that any redevelopment in the area was still in the planning stage and therefore such environmental review was not required. We affirmed the dismissal of the petition, holding that although the UDC had taken preliminary steps in its redevelopment plan, “an environmental impact statement is not required until a specific project plan for the development is actually formulated and proposed” (*id.* at 739).

Programming is distinguishable for three reasons. First, although East-West’s tenuous plans may be analogous to the lack of a definite project plan in *Programming*, this case involves a specific request for governmental action—approval of an annexation proposal. Second, unlike *Programming*, a DEC regulation designates the proposed governmental activity at issue as an “action” for purposes of SEQRA application. Finally, whereas the particular issue in *Programming* was whether an environmental impact statement was necessary, the issue here is whether any form of SEQRA review is required.

Having concluded that SEQRA applies to municipal annexations in general, we next address the appropriate extent or level of environmental review applicable to the proposed annexation before us. DEC’s regulations contemplate two types of environmental review: the environmental assessment form (EAF) and the environmental impact statement (EIS). All “actions” subject to SEQRA (i.e., Type I and unlisted actions) initially require the preparation of an EAF, whose purpose is to aid an agency “in determining the environmental significance or nonsignificance of actions” (6 NYCRR 617.2 [m]; *see also* 617.6 [a] [2], [3]).⁹ After reviewing the EAF, if the lead agency (which can be a designated municipality) determines “that the action may include the potential for at least one significant adverse environmental impact,” a positive declaration must be issued and completion of an EIS becomes necessary (6 NYCRR 617.7 [a] [1]; *see also* ECL 8-0109 [2]). The EIS is a more

9. Type I actions require the preparation of a “full” EAF whereas unlisted actions may use either the “full” or “short” EAF (6 NYCRR 617.6 [a] [2], [3]; *see also* 6 NYCRR 617.20 Appendices A, C). The agency may waive the requirement of an EAF if a draft EIS is submitted instead (6 NYCRR 617.6 [a] [4]).

comprehensive evaluation of environmental impact.¹⁰ Conversely, an EIS will not be required and the agency may issue a negative declaration where it concludes “that there will be no adverse environmental impacts or that the identified adverse environmental impacts will not be significant” (6 NYCRR 617.7 [a] [2]). Thus, “[w]hile an EAF is used to determine significance or nonsignificance, the purpose of an EIS is to examine the identified potentially significant environmental impacts which may result from a project” (*Matter of Merson*, 90 NY2d at 751).

[2] Here, because the proposed annexation of approximately 43 acres is an unlisted action, an EAF is appropriate and must be completed before Watervliet or Colonie acts to adopt or reject the petition for annexation. Since the annexation proposal lacks a specific project plan that has been officially submitted or a rezoning proposal that changes the use for which the property may be utilized, the EAF will necessarily be limited to the annexation itself and its effects. Where, on the other hand, an annexation is premised upon a formal project plan, environmental review will be more extensive and must address the specific use of the property in evaluating the related environmental effects

10. If a lead agency decides that an EIS is necessary, a draft EIS (DEIS) must be prepared. After the agency accepts a DEIS, it must be filed with DEC and copies made available to members of the public on request (ECL 8-0109 [4]; 6 NYCRR 617.12 [b]). The agency can also conduct a public hearing on notice (6 NYCRR 617.9 [a] [4]). Unless the agency withdraws the proposed action or determines that it “will not have a significant adverse impact on the environment,” the agency must prepare a final EIS (FEIS) 45 days after any hearing or 60 days after the filing of the DEIS, whichever occurs later (6 NYCRR 617.9 [a] [5]). Before issuing final approval, the agency must consider the FEIS and make written findings that the requirements of SEQRA have been met (6 NYCRR 617.11).

As to content, the EIS must include a description of the proposed action, its environmental impacts and any unavoidable adverse effects (ECL 8-0109 [2] [a]-[c]); “alternatives to the proposed action” (ECL 8-0109 [2] [d]), including a “no action alternative” (6 NYCRR 617.9 [b] [5] [v]); and “mitigation measures proposed to minimize the environmental impact” (ECL 8-0109 [2] [f]; *see also* 6 NYCRR 617.9 [b] [5] [iv]). An agency must “make an explicit finding that the requirements of [SEQRA] have been met and that consistent with social, economic and other essential considerations, to the maximum extent practicable, adverse environmental effects revealed in the environmental impact statement process will be minimized or avoided” (ECL 8-0109 [8]; *see generally Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400, 415-416 [1986]).

(see *Programming*, 61 NY2d at 739; see also *Cross Westchester Dev. Corp.*, 141 AD2d at 797).¹¹

We have considered Watervliet's and East-West's remaining arguments and found them to be without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order affirmed, with costs.

11. If annexation includes a rezoning proposal that would change the permissible use of the parcel, "environmental review may be conducted on a conceptual basis" even where no specific project is proposed because the new zoning requirements provide the parameters to conduct meaningful review (*Matter of Neville*, 79 NY2d at 426; see also *Matter of Brew v Hess*, 124 AD2d 962, 965 [1986]; *Matter of Kirk-Astor Dr. Neighborhood Assn. v Town Bd. of Town of Pittsford*, 106 AD2d 868, 869 [1984], appeal dismissed 66 NY2d 896 [1985]).

[821 NE2d 942, 788 NYS2d 638]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SIMEON
DUGGINS, Appellant.

Argued October 14, 2004; decided December 2, 2004

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered November 10, 2003. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Anne G. Feldman, J.), which had convicted defendant, upon a jury verdict, of murder in the first degree.

People v Duggins, 1 AD3d 450, affirmed.

HEADNOTES

Crimes — Murder — First-Degree Murder — Same Criminal Transaction

1. In the first-degree murder prosecution of defendant pursuant to Penal Law § 125.27 (1) (a) (viii) for killing, in a 90-minute time span, two people that he believed were prepared to carry out a contract to kill him, the trial court, in charging the jury, properly construed the statutory term of art “criminal transaction” in Penal Law § 125.27 (1) (a) (viii) by reference to the technical definition given the phrase in CPL 40.10 (2). Accordingly, liability under Penal Law § 125.27 (1) (a) (viii) attaches only to a defendant who commits an intentional murder and “causes the death of [at least one] additional person” (Penal Law § 125.27 [1] [a] [viii]) by engaging in “two or more or a group of acts either . . . so closely related and connected in point of time and circumstance of commission as to constitute a single criminal incident, or . . . so closely related in criminal purpose or objective as to constitute elements or integral parts of a single criminal venture” (CPL 40.10 [2]). Limiting liability to only those intentional killers so situated fulfills the Legislature’s goal of narrowing the potential class of intentional murderers exposed to capital punishment.

Crimes — Murder — First-Degree Murder — Same Criminal Transaction

2. In the first-degree murder prosecution of defendant pursuant to Penal Law § 125.27 (1) (a) (viii) for killing, in a 90-minute time span, two people that he believed were prepared to carry out a contract to kill him, the People adduced legally sufficient evidence that defendant committed first-degree murder by killing multiple victims during the “same criminal transaction” (Penal Law § 125.27 [1] [a] [viii]). By his own admission, defendant armed himself and set about “squash[ing]” the contract on his life by “catch[ing]” the person whom he held responsible for placing the contract. Approximately 90 minutes before finding and killing that person, defendant happened upon and fatally shot another person he viewed as a likely candidate to carry out the hit. The spatial and temporal proximity of defendant’s homicidal acts, all of which were fueled by a common motivation, established that he acted during the same criminal transaction.

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AM JUR 2d, Homicide §§ 39, 180.
CARMODY-WAIT 2d, Criminal Procedure §§ 172:1092,
172:1962.
McKINNEY'S, CPL 40.10; Penal Law § 125.27 (1) (a) (iii).
NY JUR 2d, Criminal Law §§ 1767, 3783, 3786.5.

ANNOTATION REFERENCE

See ALR Index under Homicide.

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POINTS OF COUNSEL

Warren S. Landau, New York City, and Lynn W.L. Fahey for appellant. I. The evidence was insufficient to establish that appellant killed Wayne Flowers “as part of the same criminal transaction” in which he killed Franklin Dennis in a different location an hour and a half later, and the court erred in importing the broad definition of a “criminal transaction” contained in CPL 40.10 (2) for double jeopardy purposes into the first-degree murder statute when it defined that crime under Penal Law § 125.27 (1) (a) (viii) for the jury. (*Jackson v Virginia*, 443 US 307; *People v Fernandez*, 173 Misc 2d 938; *People v Finnegan*, 85 NY2d 53; *People v Walker*, 81 NY2d 661; *Pajak v Pajak*, 56 NY2d 394; *Segar v Youngs*, 45 NY2d 568; *People v McNamara*, 78 NY2d 626; *People v Neumann*, 51 NY2d 658; *People v Powell*, 54 NY2d 524; *People v Hernandez*, 98 NY2d 8.) II. When the People relied almost exclusively on appellant’s confessions, which he testified were involuntary, the trial court’s error in revising its *Sandoval* ruling to permit inquiry about appellant’s prior violent crime was harmful because the evidence of guilt was far from overwhelming when properly assessed “without reference to the error” and, in any event, there was a significant probability of acquittal but for the error. (*People v Sandoval*, 34 NY2d 371; *People v Fardan*, 82 NY2d 638; *People v Cooper*, 92 NY2d 968; *People v Morgan*, 171 AD2d 698; *People v Melendez*, 55 NY2d 445; *People v Moore*, 92 NY2d 823; *Richardson v Marsh*, 481 US 200; *People v Moore*, 71 NY2d 684; *People v Lugo*, 218 AD2d 711; *People v Rojas*, 97 NY2d 32.)

Charles J. Hynes, District Attorney, Brooklyn (Victor Barall and Leonard Joblove of counsel), for respondent. I. Defendant's contention that, under a correct definition of the term "criminal transaction," the evidence was legally insufficient to sustain his first-degree murder conviction is without merit. The CPL 40.10 definition of "criminal transaction" applied to Penal Law § 125.27 (1) (a) (viii), and under that definition, the evidence of defendant's guilt was legally sufficient. (*People v Reed*, 265 AD2d 56; *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662; *Matter of SIN, Inc. v Department of Fin.*, 71 NY2d 616; *People v Cruz*, 48 NY2d 419; *People v McNamara*, 78 NY2d 626; *People v Fernandez*, 173 Misc 2d 938; *People v Mateo*, 93 NY2d 327; *Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d 166; *People v Hernandez*, 98 NY2d 175; *People v Cahill*, 2 NY3d 14.) II. The trial court properly modified its *Sandoval* ruling. In any event, if the court erred, the error was harmless because the evidence of defendant's guilt, without reference to the error, was overwhelming, and there is no significant probability that the jury would have acquitted defendant had the court not modified its *Sandoval* ruling. (*People v Smith*, 97 NY2d 324; *People v Hopkins*, 58 NY2d 1079; *People v Lawson*, 293 AD2d 338; *People v Sandoval*, 34 NY2d 371; *People v Fardan*, 82 NY2d 638; *People v Crimmins*, 36 NY2d 230; *People v Gray*, 84 NY2d 709; *People v Smith*, 97 NY2d 324; *People v Hopkins*, 58 NY2d 1079; *People v Schaeffer*, 56 NY2d 448.)

OPINION OF THE COURT

READ, J.

We hold that the People adduced legally sufficient evidence that defendant committed first-degree murder by killing multiple victims during the "same criminal transaction" (Penal Law § 125.27 [1] [a] [viii]). In affirming defendant's conviction, we conclude that the statutory term of art "criminal transaction" in Penal Law § 125.27 (1) (a) (viii) should be construed as incorporating the technical definition given the phrase in CPL 40.10 (2).¹

1. Penal Law § 125.27 (1) (a) (viii) provides that "[a] person is guilty of murder in the first degree when . . . [w]ith intent to cause the death of another person, he causes the death of such person or of a third person; and . . . as part of the same criminal transaction, the defendant, with intent to cause serious physical injury to or the death of an additional person or persons, causes the death of an additional person or persons." A "criminal transac-

(n. cont'd)

I.

Defendant killed two people in a 90-minute time span. The first killing occurred about 1:40 A.M. on July 4, 1999, and the second took place nearby at roughly 3:10 A.M. The evidence against defendant consisted of statements and confessions that he made after being arrested; specifically, one that the police reduced to writing, which defendant signed, and another in a 50-minute videotaped interview conducted by an assistant district attorney. Additionally, the People presented several witnesses at trial who corroborated details of defendant's confessions.

Defendant, who acknowledged being friendly with members of the "Bloods," fatally shot his two victims, who he claimed were members of the "Crips," because he believed that they were prepared to carry out a contract to kill him. The two homicides occurred within a relatively small area of a housing project where defendant had lived until two weeks beforehand. He moved away after a conflict with someone named "Snag." Defendant subsequently learned that Snag, who had abandoned the Bloods to become a Crip, had issued an order or contract, called a "187" in gang parlance, directing any member of the Crips to kill him. Armed with a .38 caliber snub-nosed handgun, defendant returned to the housing project on July 3, 1999 to "squash" this contract on his life. As defendant put it, he intended to "catch[]" Snag.

Initially, defendant encountered a man known to him as "Callie" standing with another man. According to defendant, these men, like Snag, belonged to the Crips, and were "hench[es]" who could carry out the hit. When defendant tried to talk to the two men, they said nothing. He then entered a building in the housing project to visit a friend. From a window, defendant observed Callie and his companion, now standing with a third man. Fearing that the three men were armed and on the lookout for him, defendant and his unarmed friend decamped to the building's roof, where defendant remained for nearly four hours.

Despite his professed fear for his life, defendant eventually left the roof—now alone, but still armed—and went to a fast-

tion" is defined in CPL 40.10 (2) as "conduct which establishes at least one offense, and which is comprised of two or more or a group of acts either (a) so closely related and connected in point of time and circumstance of commission as to constitute a single criminal incident, or (b) so closely related in criminal purpose or objective as to constitute elements or integral parts of a single criminal venture."

food restaurant outside the housing project. After eating, he returned and observed Callie standing with four men, none of whom he knew to be Crips. Believing that Callie would no longer be armed, defendant decided to confront him regarding the contract. They argued. Backing away, defendant drew his gun and fired three shots at Callie, fatally wounding him in the head. In his videotaped confession, defendant said that he intended only to hurt, not kill, Callie.

As defendant ran away after shooting Callie, he realized that as a result of what he had just done, Snag would now surely want him dead. He circled back to the roof, a vantage point from which to look out for Snag, "the dude [he] had the main beef with," and watched as police officers placed crime scene tape near Callie's body. Defendant saw Snag approach the crime scene on a bike "to see what happened to . . . his gang members," then leave. Defendant reloaded his gun. As he explained, "I went this far [so] I better go on with it or . . . I'm gonna wind up dead."

When defendant next spied Snag, standing on the sidewalk below and smoking marijuana, he climbed down a fire escape from the roof to street level and crept towards him. With his gun at the ready, defendant ducked behind a wall on which Snag's male and two female companions were sitting. Then defendant called out, causing Snag to turn. Although he saw no weapon in Snag's hands, defendant fired three shots, inflicting a fatal chest wound.² Again, defendant claimed that he wanted his victim to "feel it," but not to die.

Following the second killing, defendant hid in a vacant apartment in the housing project; he left the following day, disguised in women's clothing. The police arrested him approximately 2½ weeks later.³

2. In his confessions, defendant identified his friend Marcus as Snag's male companion. Marcus testified for the People, corroborating defendant's statement that Marcus had, indeed, been present when Snag was shot. According to Marcus, Snag uttered an expletive, which caused Marcus to turn and look in the same direction as Snag. When he did so, Marcus saw a "flash" and heard gunshots. He observed defendant near the flash, about 12 to 13 feet away from Snag.

3. Defendant testified at trial, claiming that he had invented his confessions under duress, and had not even been present at the housing project on the day of the murders. For example, defendant stated in his confessions that he hid in a vacant apartment with his friend "Snoop" after the shootings. While there, he phoned "Fife," from whom he had borrowed the murder

(n. cont'd)

Defendant stood trial on two counts of first-degree “same transaction” murder (Penal Law § 125.27 [1] [a] [viii]). The first count charged defendant with intentionally killing Callie, and then, as part of the same criminal transaction and with intent either to kill or cause serious physical injury, causing Snag’s death; the second count reversed the order of the victims, listing Snag as the primary one. At the close of trial, the judge submitted both counts to the jury. Rejecting defendant’s request to define “criminal transaction” by reference to dictionary definitions, the trial court instead supplied the definition in CPL 40.10 (2). The jury convicted defendant of intentionally killing Snag (the second count), and acquitted him of the other count. The jury did not consider any lesser-included offenses because the trial judge had instructed the jurors to do so only if they acquitted defendant on both first-degree murder counts.

A divided Appellate Division affirmed defendant’s judgment of conviction (1 AD3d 450 [2d Dept 2003]), and a dissenting Justice of that Court granted him leave to appeal to us. We now affirm.⁴

II.

Defendant asserts that the phrase “criminal transaction” in subdivision (1) (a) (viii) of the first-degree murder statute must be understood by its ordinary meaning and not by reference to the definition in CPL 40.10 (2). We disagree. Courts generally ascribe statutory words an “ordinary and usual” meaning only if a statute contains “words of ordinary import” (McKinney’s

weapon, and arranged for someone to come and pick up the gun from him. As defendant told it in his confessions, a girl named “Sin” ultimately came to the apartment to get the gun, which he had placed in a bag. In his trial testimony, however, defendant claimed to have “made up” Sin. In rebuttal, the People presented a witness named Cindy Jean. She testified that, around July 4, 1999 (she couldn’t recall the exact date), her boyfriend, Fife, sent her to the housing project to pick up a package. When she arrived, Snoop met her, brought her to an apartment and handed her a bag to take to Fife. She remembered having seen defendant in the apartment.

4. Defendant did not raise his current claim concerning the definition of “criminal transaction” in the Appellate Division. The claim is fully amenable to our review, however, because defendant properly preserved it at trial (*see* CPL 470.35 [1] [“Upon an appeal to the court of appeals from an order of an intermediate appellate court affirming a judgment, sentence or order of a criminal court, the court of appeals may consider and determine . . . any question of law involving alleged error or defect in the criminal court proceedings resulting in the original criminal court judgment, sentence or order, regardless of whether such question was raised, considered or determined upon the appeal to the intermediate appellate court”]).

Cons Laws of NY, Book 1, Statutes § 232, at 392-393). A different rule applies when statutory language has “received a technical or peculiar significance from long habitual construction, or by legislative definition” (*id.* at 393-394).

“Words of technical or special meaning are construed according to their technical sense, in the absence of anything to indicate a contrary legislative intent” (Statutes § 233). Put somewhat differently, when a statute does not define a particular term, it is presumed that the term should “be given its ‘precise and well settled legal meaning in the jurisprudence of the state’ ” (*Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d 166, 173 [1988], quoting McKinney’s Cons Laws of NY, Book 1, Statutes § 233).

[1] Moreover, “[w]hen terms of art or peculiar phrases are used, it is supposed that the Legislature had in view the subject matter about which such terms or phrases are commonly employed” (McKinney’s Cons Laws of NY, Book 1, Statutes § 233, at 397). As a corollary, “[w]here the same word or group of words is used in . . . different statutes, if the acts are similar in intent and character the same meaning may be attached to them” (McKinney’s Cons Laws of NY, Book 1, Statutes § 236, at 401-402). Applying these standard rules of statutory construction, we conclude that the trial court properly construed “criminal transaction” in subdivision (1) (a) (viii) of the first-degree murder statute by reference to the definition in CPL 40.10 (2), a conclusion shared by the two intermediate appellate courts of this state which have considered the issue (*see People v Reed*, 265 AD2d 56, 66-67 [2d Dept 2000]; *People v Mower*, 280 AD2d 25, 28 [3d Dept 2001], *affd on other grounds* 97 NY2d 239 [2002]).

It is difficult to imagine a clearer example of “[w]ords of technical or special meaning” (McKinney’s Cons Laws of NY, Book 1, Statutes § 233) than the phrase “criminal transaction” as defined in CPL 40.10 (2). This phrase is a legislative term of art, appearing in many statutes in addition to CPL 40.10 and the first-degree murder provision at issue here (*see e.g.* CPL 40.40 [1]; 40.50 [2], [3]; 200.20 [2] [a]; 200.40 [1] [c]; 240.20 [1] [a], [g]; Penal Law § 60.27 [4] [a]; § 70.25 [2-f]; §§ 130.53, 145.05 [1]; §§ 215.15, 215.16, 215.17, 450.10 [4] [c]; § 460.10 [4] [b]; § 470.03 [1], [2]; § 480.00 [7] [b]; *see also* CPLR 1310 [4-b] [b]; ECL 71-4401 [9]; Family Ct Act § 311.6 [2]; Vehicle and Traffic Law § 1690 [1]). Importantly, whatever the meaning of the phrase in these other statutes, nothing in the text or legislative

history of the first-degree murder statute suggests that the Legislature intended for “criminal transaction” to have a meaning different from CPL 40.10 (2) (see *Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d at 173; see also McKinney’s Cons Laws of NY, Book 1, Statutes § 233).

Further, applying the species of dictionary definition proposed by defendant would render the statute vague, something the Legislature surely did not intend for a statute drafted to “narrow” the potential class of intentional murderers exposed to capital punishment (see *People v Harris*, 98 NY2d 452, 476 [2002] [the United States Supreme Court has “recognized that a state’s capital sentencing scheme must genuinely narrow the class of persons eligible for the death penalty” (internal quotation marks and citations omitted)]; see also *People v Cahill*, 2 NY3d 14, 68 [2003] [“(T)he Legislature crafted Penal Law § 125.27 (1) (a) to narrow the class of eligible offenders”]). The impracticability of using dictionary definitions is easily shown. By way of example, according to the Random House Unabridged Dictionary (2d ed 1993), to “transact” is to “carry on or conduct (business, negotiations, activities, etc.) to a conclusion or settlement.” This definition (suggested by defendant) begs the questions of what kind of “activities” a factfinder should view and how to determine when the “activities” have reached a “conclusion.” By contrast, CPL 40.10 (2) defines exactly what criminal conduct, both temporal and motivational, will lead to liability under subdivision (1) (a) (viii) of the first-degree murder statute.

Thus, liability under Penal Law § 125.27 (1) (a) (viii) attaches only to a defendant who commits an intentional murder and “causes the death of [at least one] additional person” (Penal Law § 125.27 [1] [a] [viii]) by engaging in “two or more or a group of acts either . . . so closely related and connected in point of time and circumstance of commission as to constitute a single criminal incident, or . . . so closely related in criminal purpose or objective as to constitute elements or integral parts of a single criminal venture” (CPL 40.10 [2]). Limiting liability to only those intentional killers so situated fulfills the Legislature’s narrowing goal (see *People v Cahill*, 2 NY3d at 68).

Defendant makes two arguments to counter the importation of CPL 40.10 (2)’s definition of “criminal transaction” into Penal Law § 125.27 (1) (a) (viii). First, he points out that CPL 40.10 states that “[t]he following definitions are applicable to this article.” Citing *People v McNamara* (78 NY2d 626 [1991])

and *People v Neumann* (51 NY2d 658 [1980]), he contends that the definition of “criminal transaction” in CPL 40.10 is, thus, inapplicable to any other statute unless the Legislature expressly provides otherwise. Both *McNamara* and *Neumann*, however, involved attempts to define a particular substantive offense by reference to definitions applicable to another offense aimed at proscribing different conduct (see *People v McNamara*, 78 NY2d at 630 [refusing to apply definitions applicable to article 245 of the Penal Law to article 240 because the former, as contrasted with the latter, “is directed to offenses against ‘public sensibilities,’ not ‘public order,’ and proscribes different conduct”]; *People v Neumann*, 51 NY2d at 665 [definition sharing between weapons offenses and perjury offense would not lie “(b)ecause neither (of the weapons offenses) is related in any way to a prosecution for perjury”]). Here, by contrast, we are simply determining that a statutory term of art common to both statutes under consideration should be understood in light of the technical meaning supplied by CPL 40.10 because nothing in Penal Law § 125.27 indicated that the Legislature intended otherwise.

Defendant also argues that, at most, only the “single criminal incident” definition in subdivision (2) (a) of CPL 40.10 should be imported into Penal Law § 125.27 (1) (a) (viii). According to defendant, incorporating the “single criminal venture” definition of subdivision (2) (b) into subdivision (1) (a) (viii) of the first-degree murder statute would render subdivision (1) (a) (xi) of the latter statute superfluous. To support his argument, he asserts that there is no difference between a “group of acts . . . so closely related in criminal purpose or objective as to constitute elements or integral parts of a single criminal venture” (CPL 40.10 [2] [b]) and a “common scheme or plan” as used in Penal Law § 125.27 [1] [a] [xi]. Defendant is wrong.⁵

Initially, there is no basis for incorporating only half of CPL 40.10 (2)’s definition of “criminal transaction” into Penal Law § 125.27 (1) (a) (viii). If the Legislature had intended this result, it would have so stated, as it has both in other sections of the

5. Penal Law § 125.27 (1) (a) (xi) provides that “[a] person is guilty of murder in the first degree when . . . [w]ith intent to cause the death of another person, he causes the death of such person or of a third person; and . . . the defendant intentionally caused the death of two or more additional persons within the state in separate criminal transactions within a period of twenty-four months when committed in a similar fashion or pursuant to a common scheme or plan.”

Penal Law (*see* Penal Law § 480.00 [7] [b] [for purposes of the criminal forfeiture provisions of the Organized Crime Control Act, defining a “(s)pecified felony offense” as “three or more violations of” certain enumerated felonies, “which violations do not constitute a . . . single criminal transaction, as defined in paragraph (a) of subdivision two of section 40.10 of the criminal procedure law”]), and in other statutes (*see* CPLR 1310 [4-b] [b] [same with regard to civil forfeiture]).

Additionally, the potential superfluity of which defendant complains would exist only if he is correct that a “common scheme or plan” is equivalent to a “single criminal venture.” The Legislature, however, has treated these two terms of art as distinct. CPL 200.40 (1), for example, provides for joinder of multiple defendants in a single indictment if either “all the offenses charged are based upon a common scheme or plan; or . . . all the offenses charged are based upon the same criminal transaction as that term is defined in subdivision two of section 40.10” (CPL 200.40 [1] [b], [c]). If the “single criminal venture” portion of CPL 40.10 (2) meant the same as a “common scheme or plan,” there would have been no need for the Legislature to differentiate as it did in CPL 200.40 (1). In fact, accepting defendant’s argument that a “single criminal venture” as defined in CPL 40.10 (2) is equivalent to a “common scheme or plan” would render CPL 200.40 (1) partially redundant or superfluous, the very result that defendant claims that he seeks to avoid.

The plain language of Penal Law § 125.27 also eliminates any potential superfluity. Subdivision (1) (a) (viii) premises liability on committing multiple homicides during the “same criminal transaction” while subdivision (1) (a) (xi) applies only if the homicides occurred in “separate criminal transactions.” A “same” transaction obviously cannot also be a “separate” transaction.

Further, under CPL 40.10 (2), a “[c]riminal transaction” means conduct . . . comprised of two or more or a group of acts.” An “[a]ct” is a “bodily movement” (Penal Law § 15.00 [1]), while “[c]onduct” normally consists simply of “an act or omission and its accompanying mental state” (Penal Law § 15.00 [4]). By definition then, liability under subdivision (1) (a) (viii) is predicated upon committing at least two homicidal acts sharing either the temporal proximity necessary to be a “single criminal incident” under CPL 40.10 (2) (a), or the motivational unity called for in CPL 40.10 (2) (b) so as to “con-

stitute elements or integral parts of a single criminal venture.” The latter is what defendant suggests may be indistinguishable from a “common scheme or plan” homicide under Penal Law § 125.27 (1) (a) (xi). What defendant overlooks, however, is that subdivision (1) (a) (viii) contemplates a virtual simultaneity, or at least contemporaneity, between the “two or more or a group of acts” necessary to establish “same transaction” first-degree murder, even acts that are “elements or integral parts of a single criminal venture” (CPL 40.10 [2] [b]). By contrast, subdivision (1) (a) (xi) applies in the absence of contemporaneity.

By way of explanation, the first-degree murder statute provides that “[a] person is guilty of murder in the first degree when . . . [w]ith intent to cause the death of another person, he *causes* the death of such person or of a third person” (Penal Law § 125.27 [1] [emphasis added]). The Legislature’s use of the present tense (“causes”) carries into subdivision (1) (a) (viii), but not into subdivision (1) (a) (xi).

Specifically, liability under subdivision (viii) attaches solely if, “as part of the same criminal transaction, the defendant, with intent to cause serious physical injury to or the death of an additional person or persons, *causes* the death of an additional person or persons” (Penal Law § 125.27 [1] [a] [viii] [emphasis added]). Thus, as called for by the present tense “causes,” any additional homicides must be contemporaneous with the threshold intentional murder. If not, a defendant may simply have committed separate second-degree murders, or perhaps a second-degree murder and first-degree manslaughter (*see People v Cahill*, 2 NY3d at 64 [the first-degree murder “statute begins by declaring that every first degree murder must include an intentional (second degree) murder. An additional aggravating factor—murder ‘plus’—raises the crime to murder in the first degree”]).

By contrast, subdivision (1) (a) (xi) speaks in the past tense (“caused”), not the present tense (“causes” as used in subparagraph [viii]). Liability attaches under subparagraph (xi) solely “when . . . [w]ith intent to cause the death of another person, he *causes* the death of such person or of a third person; and . . . the defendant intentionally *caused* the death of two or more additional persons within the state in separate criminal transactions within a period of twenty-four months” (Penal Law § 125.27 [1] [a] [xi] [emphasis added]).

Thus, subdivision (1) (a) (xi) contemplates that the additional homicides necessary to aggravate a threshold intentional second-

degree murder to first-degree murder (*see People v Cahill*, 2 NY3d at 64) will have occurred in the past. Aggravation occurs under subdivision (1) (a) (viii), however, only if the additional homicides are sufficiently contemporaneous with the threshold intentional murder. There is consequently no danger of conflating “separate criminal transactions . . . common scheme or plan” murder under Penal Law § 125.27 (1) (a) (xi) with “single criminal venture” (CPL 40.10 [2] [b]) “same criminal transaction” murder under Penal Law § 125.27 (1) (a) (viii).⁶

[2] Because we conclude that the trial court properly charged the jury using the CPL 40.10 definition for “criminal transaction,” we now turn to whether the People adduced legally sufficient evidence that the homicides committed by defendant occurred during the “same criminal transaction.” Viewed in the light most favorable to the People (*see People v Cunningham*, 2 NY3d 593, 595 n 1 [2004]), we conclude that the evidence of defendant’s guilt was clearly sufficient.

By his own admission, defendant armed himself and set about “squash[ing]” the contract on his life by “catch[ing]” Snag, the person whom he held responsible for placing the contract. Before finding Snag, though, defendant happened upon Callie, whom he viewed as Snag’s enforcer and therefore a likely candidate to carry out the hit. As part of his effort to “squash” the contract, defendant decided to confront Callie and, as a result of this motivation, he killed Callie.

After killing Callie, defendant raced back to an area less than a block away where he knew he would likely encounter Snag. Although defendant had a 90-minute interval during which to leave, he instead chose to stay, determined to “go on with it.” Carrying through on his continuing motivation to “squash” the contract, defendant indeed went “on with it” by reloading his gun and lying in wait for an opportunity to “catch[]” Snag. Ultimately, defendant completed exactly what he had set out to

6. The dissent seems to read subdivision (1) (a) (xi)’s requirement of “separate” criminal transactions as somehow negating the motivational linkage contemplated by CPL 40.10 (2) (b)’s “single criminal venture” definition. What the dissent overlooks is that acts constituting “separate” homicidal transactions lack, not motivational unity, but rather the contemporaneous conduct required to be the “same criminal transaction.” Thus, when different intentional murders are remote enough (due to a lack of the continuous conduct present in this case) to constitute “separate criminal transactions,” those murders may nonetheless have been carried out “pursuant to a common scheme or plan.”

do: he came down from his rooftop sanctuary, sneaked up on Snag and shot him to death.

The spatial and temporal proximity of defendant's homicidal acts, all of which were fueled by a common motivation, establish that he acted during the "same criminal transaction." Indeed, defendant's various acts were both "so closely related and connected in point of time and circumstance of commission as to constitute a single criminal incident" (CPL 40.10 [2] [a]) and "so closely related in criminal purpose or objective as to constitute elements or integral parts of a single criminal venture" (CPL 40.10 [2] [b]). Put differently, defendant's two homicidal acts were part of a continuous course of conduct sufficient to establish the contemporaneity necessary to constitute "same transaction" first-degree murder.⁷ Defendant's remaining claim does not warrant reversal of his judgment of conviction. Accordingly, the order of the Appellate Division should be affirmed.

R.S. SMITH, J. (dissenting). I agree with the majority that the evidence was sufficient to permit a correctly-charged jury to convict defendant of first degree murder, and that the *Sandoval* error of which defendant complains was harmless. I dissent from affirmance of the conviction, however, because I believe the jury was incorrectly charged on the definition of "criminal transaction." The definition used in the charge, while broadening the scope of the subparagraph of the Penal Law involved in this case, shrinks an important part of another subparagraph—the "common scheme or plan" branch of the serial murder statute—to the vanishing point.

Murder in the first degree is defined in Penal Law § 125.27 (1). Section 125.27 (1) (a) lists, in 13 subparagraphs, the aggravating factors that can convert second degree murder to first degree murder. Two of those subparagraphs—subparagraph (viii), the one at issue here, and subparagraph (xi), the serial murder subparagraph—use the term "criminal transaction." Section 125.27 (1) (a) (viii) provides that first degree murder occurs where:

7. While it may have been the case here, we are not suggesting that a defendant's acts must establish both parts of the CPL 40.10 (2) definition of "criminal transaction." Indeed, the trial court charged the jury in the disjunctive (*compare People v Mateo*, 2 NY3d 383, 406 [2004], *cert denied* — US —, 124 S Ct 2929 [2004] [rejecting the defendant's claim "that the jury be unanimous on one theory (of first-degree murder liability) or the other"]], as the Criminal Jury Instructions recommend (*see* CJI2d[NY] Penal Law § 125.27 [1] [a] [viii], at 125-2).

“(viii) *as part of the same criminal transaction*, the defendant, with intent to cause serious physical injury to or the death of an additional person or persons, causes the death of an additional person or persons; provided, however, the victim is not a participant in the criminal transaction” (emphasis added).

Section 125.27 (1) (a) (xi) says a killing may be murder in the first degree where:

“(xi) the defendant intentionally caused the death of two or more additional persons within the state *in separate criminal transactions* within a period of twenty-four months when committed in a similar fashion or pursuant to a common scheme or plan” (emphasis added).

Thus subparagraph (viii) applies only where crimes are committed “as part of the same criminal transaction” and subparagraph (xi) only where they are committed “in separate criminal transactions.” The two subparagraphs are mutually exclusive, and to expand or contract the definition of “criminal transaction” is a zero sum game: the more cases the definition includes, the more cases will fit within subparagraph (viii) and the fewer within subparagraph (xi). The flaw in the majority opinion, I believe, is that it never addresses this aspect of the statute. It discusses at some length another difference between subparagraphs (viii) and (xi)—that the former uses the present tense and the latter the past. But that discussion is irrelevant to my point, which is that the definition of “criminal transaction” affects each subparagraph in a fundamentally opposite way. For that reason the term should, if possible, be defined in a way that gives meaningful scope to both subparagraphs.

The Legislature has left it to the courts to select a definition. It did not define the term “criminal transaction” for purposes of Penal Law § 125.27; it could have, but did not, adopt the definition contained in CPL 40.10 (2), which is as follows:

“ ‘Criminal transaction’ means conduct which establishes at least one offense, and which is comprised of two or more or a group of acts either (a) so closely related and connected in point of time and circumstance of commission as to constitute a single criminal incident, or (b) so closely related in criminal purpose or objective as to constitute elements or integral parts of a single criminal venture.”

Like the majority, I do not read into the Legislature's failure to adopt the CPL definition an implied rejection of it. I agree that we are free to adopt that definition for purposes of Penal Law § 125.27 if we think it the best available. But we are not compelled to adopt it, and in my view it is not the best available. I would adopt instead only subsection (a) of CPL 40.10 (2), and I would define "criminal transaction" to mean "conduct which establishes at least one offense, and which is comprised of two or more or a group of acts so closely related and connected in point of time and circumstance of commission as to constitute a single criminal incident."

If this definition is adopted, Penal Law § 125.27 (1) (a) (viii) will continue to have substantial content. Anyone who kills two people where the killings are sufficiently close in time and circumstance of commission will be guilty of first degree murder under subparagraph (viii). This definition would clearly permit the present defendant to be convicted of first degree murder. His two killings were only about an hour and a half apart and were linked by a continuous chain of circumstances: a jury could well have found that they were parts of "a single criminal incident."

But it is a mistake, in my view, to include the second half of the CPL definition—acts "so closely related in criminal purpose or objective as to constitute elements or integral parts of a single criminal venture"—when defining "criminal transaction" for Penal Law § 125.27 purposes. When this part of the definition is applied to Penal Law § 125.27 (1) (a) (xi) it produces a result that is strange at best. Subparagraph (xi) applies to crimes that occur "in separate criminal transactions . . . pursuant to a common scheme or plan." Under the definition the majority adopts, this must mean crimes that are *not* "so closely related in criminal purpose or objective as to constitute elements or integral parts of a single criminal venture" and yet are part of "a common scheme or plan." The language seems almost perfectly self-contradictory; I cannot think of a single case to which it would apply, and neither the People's brief in this case nor the majority opinion offers an example. Thus the majority's definition effectively nullifies the "common scheme or plan" branch of Penal Law § 125.27 (1) (a) (xi). Subparagraph (xi) would have meaning only as applied to crimes committed in "separate criminal transactions . . . in a similar fashion." When the Legislature added the words "or pursuant to a common scheme or plan" it was apparently wasting its breath.

Accordingly, I would reverse the defendant's conviction on the ground that the trial court erroneously adopted the definition of "criminal transaction" contained in CPL 40.10 (2) (b).

Judges G.B. SMITH, ROSENBLATT and GRAFFEO concur with Judge READ; Judge R.S. SMITH dissents and votes to reverse in a separate opinion in which Chief Judge KAYE and Judge CIPARICK concur.

Order affirmed.

[821 NE2d 952, 788 NYS2d 648]

In the Matter of the Arbitration between R.M. KLIMENT & FRANCES HALSBAND, ARCHITECTS, Respondent, and MCKINSEY & COMPANY, INC., Appellant.

Argued November 17, 2004; decided December 16, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 13, 2004. The Appellate Division (1) reversed, on the law, so much of a judgment of the Supreme Court, New York County (Richard F. Braun, J.; op 2003 NY Slip Op 50864[U]), as had denied the petition to stay arbitration, and (2) granted the petition.

Matter of R.M. Kliment & Frances Halsband, Architects (McKinsey & Co.), 3 AD3d 143, affirmed.

HEADNOTE

Limitation of Actions — Architect's Malpractice

Respondent's claim against petitioner architectural firm for damages based upon petitioner's alleged breach of a provision in the parties' architectural contract requiring that plans, drawings, and specifications comply with applicable building codes was barred by the three-year statute of limitations applicable to nonmedical malpractice actions (CPLR 214 [6]). The purpose of the statute was best served by applying the three-year statute of limitations applicable to all nonmedical professional malpractice claims, and not the more generous six-year contract limitations period. Although compliance with the relevant building code was an express term of the contract and may have been a particular bargained-for result, that result was not inconsistent with an architect's ordinary professional obligations. Making such ordinary obligations express terms of an agreement does not remove the issue from the realm of negligence, nor can it convert a malpractice action into a breach of contract action.

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By the Publisher's Editorial Staff

AM JUR 2d, Architects §§ 24–27, 30; AM JUR 2d, Limitation of Actions §§ 134, 143.

CARMODY-WAIT 2d, Limitation of Actions § 13:159.

MCKINNEY'S, CPLR 214 (6).

NY JUR 2d, Limitations and Laches §§ 171, 172; NY JUR 2d, Malpractice § 29.

SIEGEL, NY PRAC § 35.

ANNOTATION REFERENCE

See ALR Index under Architects and Architecture.

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214.

POINTS OF COUNSEL

Stroock & Stroock & Lavan LLP, New York City (Brian M. Cogan and Tom A. Hakemi of counsel), for appellant. This Court should reverse because the decision below erroneously applies CPLR 214 (6) to an action in contract when CPLR 214 (6) applies only to an action for malpractice. (*Caminetti v United States*, 242 US 470; *Zaldin v Concord Hotel*, 48 NY2d 107; *Golub v Baer, Marks & Upham*, 172 AD2d 489; 530 E. 89 Corp. v Unger, 54 AD2d 848; *Incorporated Vil. of Rockville Ctr. v Spiegel, Peter & Liu, Architects*, 295 AD2d 479.)

Ingram Yuzek Gainen Carroll & Bertolotti, LLP, New York City (Larry F. Gainen and Joan Walter of counsel), for respondent. The First Department's decision granting R.M. Kliment & Frances Halsband, Architects' petition to permanently stay the arbitration on statute of limitations grounds should be affirmed. (*Chase Scientific Research v NIA Group*, 96 NY2d 20; *Ruffolo v Garbarini & Scher*, 239 AD2d 8; *Sears, Roebuck & Co. v Enco Assoc.*, 43 NY2d 389; *Video Corp. of Am. v Frederick Flatto Assoc.*, 58 NY2d 1026; *Santulli v Englert, Reilly & McHugh*, 78 NY2d 700; 530 E. 89 Corp. v Unger, 54 AD2d 848, 43 NY2d 776; *Carr v Lipshie*, 8 AD2d 330, 9 NY2d 983; *Matter of Landow & Landow Architects v Shorefront Jewish Geriatric Ctr.*, 289 AD2d 492; *Breslin Realty Dev. Corp. v Lituchy*, 269 AD2d 554; *Brushton-Moira Cent. School Dist. v Fred H. Thomas Assoc.*, 91 NY2d 256.)

OPINION OF THE COURT

CIPARICK, J.

In 1996, the Legislature amended CPLR 214 (6) to provide that the limitations period in nonmedical malpractice claims is three years, whether the complaint is cast in contract or in tort. In this case we are called upon to determine whether the breach of a provision in an architectural contract requiring that plans, drawings and specifications comply with applicable building codes is governed by the three-year statute of limitations for malpractice claims or the more generous six-year contract limitations period. We hold that the purpose of the statute is best

served by applying the three-year statute of limitations applicable to all nonmedical professional malpractice claims.

In January 1998, McKinsey & Company, Inc. entered into an agreement with R.M. Kliment & Frances Halsband, Architects (K&H) through which K&H would perform architectural and interior design services in connection with 13,000-plus square feet of office space McKinsey had leased in Stamford, Connecticut. The parties agreed that disputes arising from the contract would be subject to arbitration.

Upon K&H's completion of the project, the Stamford Building Department issued a certificate of occupancy for the premises dated November 3, 1998. However, four years later, McKinsey claimed K&H failed to provide fire protection in compliance with the Connecticut Building Code and as specified in the parties' agreement and that McKinsey was required to install fire protection at its own expense. Section V (A) of the agreement, entitled "ARCHITECT'S RESPONSIBILITY FOR DOCUMENTS," states that:

"All plans, drawings, specifications and other documents prepared by Architect or its consultants or engineers in connection with the Project . . . shall be in compliance with all laws, codes, ordinances and other requirements applicable to the Project (including, without limitation, the relevant building code, the requirements of the local board of fire underwriters or similar body, and any permits for the work)"

In April 2002, McKinsey submitted a demand for arbitration. K&H responded by commencing the instant CPLR article 75 special proceeding for a permanent stay of arbitration, arguing that the claim was barred by the CPLR 214 (6) three-year statute of limitations for nonmedical malpractice actions. K&H further sought to dismiss McKinsey's claim with prejudice.¹ Supreme Court denied the petition, finding that McKinsey's claim was one for breach of contract rather than malpractice because the architects failed to perform a contractual obligation. Supreme Court determined that the claim was timely under CPLR 213 (2)—the six-year contract statute of limitations—and directed the parties to proceed to arbitration.

1. Supreme Court originally granted K&H's application for a permanent stay upon McKinsey's default. However, the court granted McKinsey's motion to reargue—characterizing it as a motion to vacate the default—vacated the default and permitted McKinsey to serve an answer.

The Appellate Division reversed, holding that the contract provision did not guarantee code compliance, but was an ordinary contractual term by which the parties agreed K&H would provide services in a professional manner. The Court stated that “whether petitioner’s alleged failure to comply with the applicable code provisions was a breach of contract or tortious in nature is immaterial for statute of limitations purposes, since the resulting noncompliance is the same, as is the remedy sought” (3 AD3d 143, 146 [2004]). The Appellate Division held that the claim was barred by CPLR 214 (6)—the three-year statute of limitations. We granted leave to appeal and now affirm.

Analysis

CPLR 214 (6) states that “an action to recover damages for malpractice, other than medical, dental or podiatric malpractice, regardless of whether the underlying theory is based in contract or tort” is subject to a three-year statute of limitations. The Legislature specifically amended this statute in 1996 to counteract the effect of decisions by this Court that “abrogat[ed] and circumvent[ed] the original legislative intent” by allowing actions that were technically malpractice actions to proceed under a six-year contract statute of limitations (Revised Assembly Mem in Support, Bill Jacket, L 1996, ch 623).

Prior to the 1996 amendment, we determined the appropriate statute of limitations in nonmedical malpractice actions based upon the proposed remedy instead of the theory of liability (*see e.g. Santulli v Englert, Reilly & McHugh, P.C.*, 78 NY2d 700, 708 [1992]; *Sears, Roebuck & Co. v Enco Assoc., Inc.*, 43 NY2d 389, 394-395 [1977]). These cases held that liability would not have existed between the parties without the contractual relationship and that there was an implied agreement to perform professional services using due care (*see Santulli*, 78 NY2d at 707; *Sears*, 43 NY2d at 396). Parties were permitted to maintain a malpractice action under a breach of contract theory within the six-year statute of limitations, but were limited to damages available in a contract action if the three-year malpractice limitations period had expired (*see Santulli*, 78 NY2d at 709).

It is the effect of these decisions that the amendment to CPLR 214 (6) was intended to change. The legislative history makes clear that “where the underlying complaint is one which essentially claims that there was a failure to utilize reasonable care or where acts of omission or negligence are alleged or

claimed, the statute of limitations shall be three years if the case comes within the purview of CPLR Section 214 (6), regardless of whether the theory is based in tort or in a breach of contract” (Revised Assembly Mem in Support, Bill Jacket, L 1996, ch 623).

Subsequent to the amendment, we again addressed CPLR 214 (6) and stated that it “was intended not only to remediate the *Sears* line of cases but also to reduce potential liability of insurers and corresponding malpractice premiums, and to restore a reasonable symmetry to the period in which all professionals would remain exposed to a malpractice suit” (*Chase Scientific Research, Inc. v NIA Group, Inc.*, 96 NY2d 20, 27 [2001] [citations omitted]; see also *Brothers v Florence*, 95 NY2d 290, 299-300 [2000]). The Court recognized that a malpractice claim could “theoretically also rest on breach of contract to obtain a particular bargained-for result” (*Chase*, 96 NY2d at 25, citing Kirby, *The Six-Year Legal Malpractice Statute of Limitations: Judicial Usurpation of the Legislative Prerogative?*, 66 NY St BJ 14 [Dec. 1994]). The pertinent inquiry is thus whether the claim is essentially a malpractice claim.

McKinsey argues that this case is not a malpractice claim because it is not alleging that K&H failed to exercise due care in the performance of its professional obligations. Rather, McKinsey argues that this is a breach of contract claim as there is an express contractual provision stating that the plans, drawings and specifications will comply with the relevant building code and K&H breached its promise to comply with certain fireproofing requirements. McKinsey asserts that CPLR 214 (6) pertains to malpractice actions brought as contract actions for the breach of an *implied* contractual term requiring a professional to perform services in a nonnegligent manner, not for breach of a bargained-for contract provision.

McKinsey correctly notes that this case differs from the cases previously decided by this Court in that it alleges the breach of an express, rather than implied, term of the agreement. However, while compliance with the relevant building code may have been a particular bargained-for result, that result is not inconsistent with an architect’s ordinary professional obligations.² Making such ordinary obligations express terms of an agreement does not remove the issue from the realm of

2. This result is not meant to imply that an architect’s failure to comply with a relevant building code is negligence per se.

negligence as argued by McKinsey, nor can it convert a malpractice action into a breach of contract action.

K&H did not guarantee a particular result or agree to perform a service above or beyond that which it might be expected to accomplish using due care even in the absence of the specific term in the agreement. Allowing this claim to proceed would accomplish the precise result the Legislature sought to prevent—allowing what is essentially a malpractice claim to be couched in breach of contract terms in order to benefit from the six-year statute of limitations. McKinsey’s claim is fundamentally a claim that K&H failed to perform services in a professional, nonnegligent manner by neglecting to comply with the relevant building codes as promised in the agreement. As a result, the claim is barred by CPLR 214 (6).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

[821 NE2d 959, 788 NYS2d 655]

ROBERT FLEMING et al., Appellants, v RUDOLPH W. GIULIANI, as
Mayor of the City of New York, et al., Respondents.

Argued November 17, 2004; decided December 21, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 21, 2003. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Marcy Friedman, J.), which, in an action seeking a declaratory judgment concerning the application to plaintiffs of New York City Charter § 1127, had (1) denied plaintiffs' motion for summary judgment and (2) granted defendants' cross motion for summary judgment to the extent of dismissing the complaint as to all plaintiffs except Josen and Berkowitz. The modification consisted of (1) granting defendants' cross motion for summary judgment in its entirety, (2) declaring that section 1127 was applicable to all income of non-resident City employees, however or wherever derived, and (3) declaring that section 1127 applied to plaintiffs Josen and Berkowitz notwithstanding the City's inability to locate agreements signed by those defendants in compliance with section 1127. The Appellate Division affirmed the order as modified.

Fleming v Giuliani, 307 AD2d 866, affirmed.

HEADNOTES

**Civil Service — Residence Requirement — Payments in Lieu of
Personal Income Taxes — Total Taxable Income to be Used in
Calculation**

1. New York City Charter § 1127 requires an applicant for city employment to enter into a contract with the City in which the prospective employee agrees to make payments in lieu of personal income taxes should he or she reside outside the City. These condition of employment payments are to be computed using total taxable income, not just the city salary earned by the employee. Section 1127 treats nonresident city employees as if they were residents of the City by requiring them to agree to make payments equivalent to the city personal income tax, which by definition includes all taxable income (subject to specified deductions, exemptions and modifications), to the extent that amount exceeds any city earnings tax already paid to the City. Section 1127 therefore indicates that the computation of these payments is premised on an employee's entire taxable income as reflected in the employee's federal adjusted gross income. Calculating section 1127 payments using total taxable income places resident and nonresident city employees on equal footing, thereby promoting the legislative goal of encouraging employees to maintain their residences in the City.

**Civil Service — Residence Requirement — Payments in Lieu of
Personal Income Taxes — Payments Not an Unconstitutional Tax**

2. New York City Charter § 1127 requires an applicant for city employment to enter into a contract with the City in which the prospective employee agrees to make payments in lieu of personal income taxes should he or she reside outside the City. The use of total taxable income in determining the payments due does not constitute an unconstitutional tax. Any payments made pursuant to a section 1127 agreement arise from voluntary contractual employment arrangements. No constitutional provision prevents a nonresident city employee from contracting to make payments to the City based on total income and not just income derived from a city salary.

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AM JUR 2d, Civil Service § 24; AM JUR 2d, State and Local
Taxation §§ 408, 430.

NY JUR 2d, Civil Servants and Other Public Officers and
Employees §§ 348, 349; NY JUR 2d, Taxation and Assess-
ment §§ 1089, 1090.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Taxes.

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POINTS OF COUNSEL

Dienst & Serrins, LLP, New York City (*Richard A. Dienst* of counsel), for appellants. I. The Court of Appeals decision upholding the constitutionality of the predecessor of New York City Charter § 1127 in *Matter of Legum v Goldin* (55 NY2d 104 [1982]) was not asked to consider a city income tax on the total income of those executing a New York City Charter § 1127 waiver; the ruling should be limited to appellant's salary only. (*Criscione v City of New York*, 97 NY2d 152; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Castro v United Container Mach. Group*, 96 NY2d 398; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Desiderio v Ochs*, 100 NY2d 159; *Matter of Erie County Agric. Socy. v Cluchey*, 40 NY2d 194; *Allen v Minskoff*, 38 NY2d 506; *Lawrence Constr. Corp. v State of New York*, 293 NY 634; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *City of Rochester v Bloss*, 185 NY 42.) II. New York City Charter § 1127 (b) clearly states that when the

Charter or the Administrative Code of the City of New York employs the term “salary,” “compensation,” or “any other word or words having a similar meaning,” such terms shall be deemed to be construed and mean the scheduled salary or compensation of any employee of the City of New York. (*City of New York v State of New York*, 94 NY2d 577; *Matter of Legum v Goldin*, 55 NY2d 104; *City of New York v McLean*, 170 NY 374; *Cobble Hill Nursing Home v Henry & Warren Corp.*, 74 NY2d 475.) III. New York City Charter § 1127 violates the Due Process Clause of the New York State Constitution which prohibits government from depriving a person of life, liberty or property without “due process” of law. (*Matter of Zelinsky v Tax Appeals Trib. of State of N.Y.*, 1 NY3d 85; *Shaffer v Carter*, 252 US 37; *Safe Deposit & Trust Co. of Baltimore, Md. v Virginia*, 280 US 83; *National Educ. Assn., Inc. v Lee County Bd. of Pub. Constr.*, 467 F2d 447; *In re Lorber Indus. of Cal. Inc.*, 675 F2d 1062; *City of New York v Feiring*, 313 US 283; *In re Camilli*, 94 F3d 1330.) IV. In the absence of New York City producing a signed New York City Charter § 1127 waiver no other documents can substitute for a voluntary contract. (*Matter of Ganley v Giuliani*, 94 NY2d 207; *Matter of Legum v Goldin*, 55 NY2d 104.) V. Appellants are not guilty of laches and respondents were not prejudiced. (*Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801.)

Michael A. Cardozo, Corporation Counsel, New York City (*Jane L. Gordon and Pamela Seider Dolgow* of counsel), for respondents. Plaintiffs accepted the benefits of New York City employment and cannot therefore avoid the plain requirements of that employment, including compliance with the express terms of New York City Charter § 1127, which, as the lower courts agreed, requires a condition of employment payment for all of an employee’s taxable income, and not just his or her city salary. (*Matter of Ganley v Giuliani*, 94 NY2d 207; *Matter of Legum v Goldin*, 55 NY2d 104; *Matter of City of New York v Lieutenants Benevolent Assn.*, 285 AD2d 329; *Matter of New York City Dept. of Probation v MacDonald*, 205 AD2d 372; *Matter of Schulz v State of New York*, 81 NY2d 336; *General Motors Acceptance Corp. v Clifton-Fine Cent. School Dist.*, 85 NY2d 232.)

O’Donnell, Schwartz, Glanstein & Lilly LLP, New York City (*Joel C. Glanstein and David M. Glanstein* of counsel), for Lieutenants Benevolent Association of the City of New York, amicus curiae. I. Pursuant to the express text of New York City Charter § 1127, there must be a signed prehire agreement for a

New York City employee to be subject to salary withholding. (*Matter of Ganley v Giuliani*, 94 NY2d 207; *Matter of Ocean Hill-Brownsville Governing Bd. v Board of Educ. of City of N.Y.*, 30 AD2d 447, 23 NY2d 483; *Golden v Koch*, 49 NY2d 690; *Matter of Judge Rotenberg Educ. Ctr. v Maul*, 91 NY2d 298; *Bender v Jamaica Hosp.*, 40 NY2d 560; *Matter of Jose R.*, 83 NY2d 388; *New York State Bankers Assn. v Albright*, 38 NY2d 430; *Schrader v Carney*, 180 AD2d 200.) II. Laches cannot bar the claims of Avtar Josen and Israel Berkowitz since there is no showing of prejudice or that their delay was unreasonable or inexcusable. (*Cohen v Krantz*, 227 AD2d 581; *Matter of Kuhn v Town of Johnstown*, 248 AD2d 828; *Matter of Ganley v Giuliani*, 94 NY2d 207.)

OPINION OF THE COURT

GRAFFEO, J.

New York City Charter § 1127 requires an applicant for city employment to enter into a contract with the City in which the prospective employee agrees to make payments in lieu of personal income taxes—so-called “condition of employment payments”—should he or she reside outside the City. The primary issue we are asked to resolve in this case is whether these condition of employment payments are to be computed using total taxable income or only the city salary earned by the employee. Based on the provisions of section 1127, as well as its underlying purpose, we conclude that the City is entitled to use total taxable income in determining the payments due and that such application is constitutional.

The Administrative Code of the City of New York requires city residents to pay a city personal income tax on all of their taxable income received during the year, subject to certain enumerated deductions, exemptions and modifications (*see* Administrative Code of City of NY §§ 11-1701, 11-1711, 11-1712). In contrast, individuals who are employed in the City but reside outside the City pay a city earnings tax on their wages or on their net earnings if self-employed (*see* Administrative Code § 11-1902). In 1973, the City adopted New York City Charter § 1127 (originally codified at section 820, and subsequently at section 822), which directs that all persons seeking employment with the City must enter into a written agreement, as a condition precedent to municipal employment, obligating city employees—if they are or become nonresidents of the City during

the course of their employment—to make payments as if they were city residents paying city personal income taxes.¹

Plaintiffs are 13 physicians employed part-time by the New York City Police Department, holding the civil service title of “District Surgeon.” All of the plaintiffs reside outside the City and some have been employed by the City for over 20 years. In addition to their city employment, plaintiffs apparently derive income from their private practices and other sources. Plaintiffs commenced this action seeking injunctive relief and a declaration that the City improperly deducted section 1127 payments from their salaries. Alleging that they had not executed section 1127 preemployment agreements, plaintiffs asserted that all payments withheld under that City Charter provision were therefore unlawful. After joinder of issue, plaintiffs Avtar Josen, Israel Berkowitz, Bernard White and Stuart Eigen moved for summary judgment on the ground that they had never signed section 1127 agreements.

The City cross-moved for summary judgment to dismiss the complaint in its entirety, and in support of its motion, submitted written agreements signed by 10 of the plaintiffs, including Eigen, that required the payments delineated in section 1127. The City also tendered a certification signed by White, indicating that he agreed to “conform to Chapter 49 of the Charter,”² but it acknowledged that the relevant preemployment agreements for Josen or Berkowitz could not be located. In response, Eigen and the remaining nine plaintiffs argued that, even though they had executed section 1127 agreements, the City had wrongfully determined the amount of the section 1127 payments owed by each plaintiff because the City based its calculations on total income rather than just their salaries from city employment.

Supreme Court denied plaintiffs’ motion for summary judgment and granted, in part, the City’s cross motion for summary judgment. The court held that section 1127 computation of income covers all income and that the City therefore properly withheld payments from the 10 plaintiffs who undisputedly signed section 1127 agreements, as well as from White, since his chapter 49 certification constituted his consent to comply with section 1127. The court concluded, however, that Josen and

1. The City indicates that between 700 and 1,000 agreements pursuant to section 1127 are filed annually.

2. Section 1127 is contained in chapter 49.

Berkowitz had raised triable issues of fact as to whether they had entered into section 1127 agreements. The Appellate Division granted the City's motion for summary judgment in its entirety, concurring with Supreme Court that section 1127 applies to total income and determining that the Josen and Berkowitz claims were barred under the doctrine of laches. We granted plaintiffs leave to appeal.

Plaintiffs contend that section 1127 payments should apply only to the salaries they earn from their city employment and not to any other income they derive from other sources. They alternatively claim that the City's withholding of payments on the basis of total income amounts to an unconstitutional tax on nonresidents. The City counters that the plain language of section 1127 demonstrates that nonresident employees are to make payments equal to the city personal income tax and calculated as if they were city residents and that this application is constitutional. We agree with the City.

New York City Charter § 1127, entitled "Condition precedent to employment," provides:

"a. Notwithstanding the provisions of any local law, rule or regulation to the contrary, every person seeking employment with the city of New York or any of its agencies regardless of civil service classification or status shall sign an agreement as a condition precedent to such employment to the effect that if such person is or becomes a nonresident individual . . . such person will pay to the city an amount by which a city personal income tax on residents computed and determined as if such person were a resident individual . . . during such employment, exceeds the amount of any city earnings tax and city personal income tax imposed on such person for the same taxable period.

"b. Whenever any provision of this charter, the administrative code of the city of New York or any rule or regulation promulgated pursuant to such charter or administrative code employs the term 'salary', 'compensation', or any other word or words having a similar meaning, such terms shall be deemed and construed to mean the scheduled salary or compensation of any employee of the city of New York, undiminished by any amount payable pursuant to subdivision a of this section."

We previously discussed the operation of the predecessor statute to section 1127 in *Matter of Legum v Goldin* (55 NY2d 104 [1982]). In that case we upheld the validity of section 1127's predecessor determining that the obligation imposed by this provision does not constitute a tax payment; instead it is a valid payment pursuant to a contract voluntarily entered into as a condition precedent to municipal employment. In *Matter of Ganley v Giuliani* (94 NY2d 207 [1999]), we further clarified that section 1127 does not apply to nonresidents who have not executed section 1127 agreements and whose employment was transferred from a public benefit corporation to city agencies as a result of a merger. But in neither case did we have occasion to address whether section 1127 applies to all taxable income of a nonresident employee or only to the employee's city salary.

We first analyze whether section 1127 covers total taxable income attributed to a nonresident city employee. Section 1127 (a) requires that an individual seeking city employment must enter into an agreement with the City wherein the prospective employee promises to pay the City, if the employee resides or later moves outside the City during the course of employment, the difference between the "city personal income tax . . . determined as if [the nonresident] were a resident" and "any city earnings tax and city personal income tax" actually imposed on the nonresident. To understand how this provision operates, it is necessary to compare the definition of "city personal income tax," which is paid by city residents, with the definition of "city earnings tax," which all nonresidents who work in the City must pay.

[1] The city personal income tax is imposed on the "city taxable income" of all city residents (Administrative Code § 11-1701).³ The term "city taxable income" refers to a resident's "city adjusted gross income less his city deduction and city exemptions" (Administrative Code § 11-1711 [a]). Significantly, the term "city adjusted gross income" is denoted as a resident's "federal adjusted gross income as defined in the laws of the United States for the taxable year, with the modifications specified in this section" (Administrative Code § 11-1712 [a]). Hence, the city personal income tax is clearly a tax imposed on all taxable income of city residents—subject to appropriate deduc-

3. Based on the amount of a resident's city taxable income, the city personal income tax rate in 2004, for example, varies between 2.907% and 4.45% (Administrative Code § 11-1701 [g] [1] [B]).

tions, exemptions and modifications—and not a tax limited to city wages.

In contrast, the city earnings tax is paid by all persons who are employed in the City but reside elsewhere. Currently, the tax consists of “[a] tax at the rate of one-fourth of one per cent on all wages” and “[a] tax at the rate of three-eighths of one per cent on all net earnings from self-employment” (Administrative Code § 11-1902 [a] [1] [i], [ii]). Unlike the city personal income tax, which encompasses taxable income from all sources, the city earnings tax applies only to city wages and self-employment earnings.

Based on the foregoing definitions, plaintiffs’ contention that section 1127 applies only to their city salaries finds no support in the language of the City Charter. Simply put, section 1127 treats nonresident city employees as if they were residents of the City by requiring them to agree to make payments equivalent to the city personal income tax, which by definition includes all taxable income (subject to specified deductions, exemptions and modifications), to the extent that amount exceeds any city earnings tax already paid to the City. Section 1127 therefore indicates that the computation of these payments is premised on an employee’s entire taxable income as reflected in the employee’s federal adjusted gross income.

Plaintiffs’ reliance on the terminology used in section 1127 (b) is misplaced. Section 1127 (a), the dispositive provision here, incorporates express references to the “city personal income tax” and “city earnings tax.” By the corresponding definitions, the provision is not limited to the salary or wages earned from city employment. Although section 1127 (b) defines the terms “salary” and “compensation” for purposes of the City Charter and the Administrative Code, those terms do not appear in section 1127 (a). Rather, section 1127 (b) merely explains that section 1127 (a) payments do not diminish a city employee’s salary for purposes of, for example, pension benefits.

Our interpretation is fully consistent with the legislative purpose of section 1127. The statutory provision later embodied in section 1127 was adopted more than 30 years ago to discourage city employees from moving out of the City for tax purposes (see 2 Proceedings of Council of City of NY, Dec. 13, 1972, at 1543; see also *Ganley*, 94 NY2d at 216; *Matter of City of New York v Lieutenants Benevolent Assn.*, 285 AD2d 329, 331 [2001] [section 1127 enacted “to mitigate such a financial incentive

that otherwise might contribute to City employees relocating their residences outside of the City”)). If, as plaintiffs allege, section 1127 applies only to a nonresident’s city salary, a considerable financial incentive would still exist for city employees to reside outside the City. As viewed by plaintiffs, a city employee who lives in the City would be required to pay the city personal income tax on all taxable income while a city employee residing outside the City would only have to pay an amount equal to the city personal income tax owed on the employee’s city salary. Calculating section 1127 payments using total taxable income, on the other hand, places resident and nonresident city employees on equal footing, thereby promoting the City Council’s goal of encouraging employees to maintain their residences in the City.

[2] We next address plaintiffs’ contention that the application of section 1127 in this case amounts to an unconstitutional tax. Plaintiffs’ reliance on *Matter of Zelinsky v Tax Appeals Trib. of State of N.Y.* (1 NY3d 85 [2003])⁴ “confuses the fundamental distinction between a tax imposed by the sovereign and a contractual provision agreed to by two parties” (*Legum*, 55 NY2d at 107). We established in *Legum* that any payments made pursuant to a section 1127 agreement arise from voluntary contractual employment arrangements. Plaintiffs have not cited any constitutional provision that would prevent a nonresident city employee from contracting to make payments to the City based on total income and not just income derived from a city salary. The argument that section 1127 imposes an unconstitutional tax on employees who sign section 1127 agreements therefore fails.⁵

Finally, the Appellate Division did not abuse its discretion as a matter of law in concluding that Josen’s and Berkowitz’s claims are barred by the doctrine of laches (see *Matter of Vickery v Village of Saugerties*, 64 NY2d 1161, 1163 [1985]; *Amster-*

4. In *Zelinsky*, we stated that “[a]lthough a state may tax all the income of its residents, even income earned outside the taxing jurisdiction, it may constitutionally tax nonresidents only on their income derived from sources within the state” (1 NY3d at 89-90).

5. We decline to consider whether New York City Charter § 1127 applies to the income attributed to the spouse of a nonresident city employee because this case does not differentiate the implications of the tax elections available to spouses under Administrative Code § 11-1751.

dam Sav. Bank v City View Mgt. Corp., 45 NY2d 854, 856 [1978]).⁶ Plaintiffs' remaining contentions are without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order affirmed, with costs.

6. We also agree with the Appellate Division's conclusion that White's "certification stating 'I have read and shall conform to Chapter 49 of the City Charter' (in which section 1127 is found) constitutes his agreement to have section 1127 applied to his income" (307 AD2d 866, 868 n [2003]).

[822 NE2d 763, 789 NYS2d 456]

JOHN J. SHEEHY, Respondent, v CLIFFORD CHANCE ROGERS & WELLS LLP, as Successor-in-Interest by Merger to ROGERS & WELLS, Appellant.

Argued September 7, 2004; decided October 26, 2004

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered November 20, 2003. The Appellate Division order, insofar as appealed from, modified, on the law, an order of the Supreme Court, New York County (Karla Moskowitz, J.), which had granted defendant's cross motion for summary judgment dismissing the complaint and denied plaintiff's motion for partial summary judgment or, alternatively, for dismissal of defendant's affirmative defenses. The modification consisted of denying defendant's cross motion as to plaintiff's first cause of action for breach of contract, except insofar as that cause seeks damages for the present value of future installment payments not yet due, and to reinstate that cause to that extent, and granting plaintiff's motion insofar as to dismiss the second, third, fourth, and fifth affirmative defenses. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the order of the Supreme Court[,] properly made?"

Sheehy v Clifford Chance Rogers & Wells, 1 AD3d 225, reversed.

HEADNOTE

Frauds, Statute of — Agreement Not to be Performed within One Year — Oral Promise of Certain Retirement Benefits

Plaintiff's claim for the recovery of certain retirement benefits orally promised to him in exchange for his agreement to take early retirement from defendant law firm was barred by the statute of frauds. Under the partnership agreement, supplemental retirement payments (SRPs), which were paid for life beginning in the fifth year after the partner's retirement, were not to be paid to a partner taking early retirement unless the Executive Committee chose to enter into a written agreement authorizing such payments. Here, there was an alleged oral promise but no written agreement between the parties entitling plaintiff to SRPs, which would not have begun until five years after his retirement. It was defendant's alleged obligation to make payments beginning in the fifth year after plaintiff's retirement and ending with his death that brought the agreement within the parameters of the statute of frauds. The performance of defendant's alleged promise of SRPs could not have been completed within one year of the agreement, and in the absence of

a written agreement concerning the SRPs, plaintiff's claim was barred by the statute of frauds.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Statute of Frauds §§ 12, 33.

CALAMARI AND PERILLO, CONTRACTS (5th ed) §§ 19:17–19:20.

NY JUR 2d, Frauds, Statute of §§ 20–22, 30.

WILLISTON ON CONTRACTS (4th ed) § 28:9.

ANNOTATION REFERENCE

See ALR Index under Frauds, Statute of.

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POINTS OF COUNSEL

Holland & Knight LLP, New York City (*H. Barry Vasios* and *Anthony J. Harwood* of counsel), for appellant. I. The Appellate Division erred in concluding that the partnership documents permitted an oral agreement to pay supplemental retirement payments to a partner “treated as if” he were taking early retirement. (*Brooke Group v JCH Syndicate* 488, 87 NY2d 530; *Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *Reiss v Financial Performance Corp.*, 97 NY2d 195; *Intercontinental Planning v Daystrom, Inc.*, 24 NY2d 372; *Messner Vetere Berger McNamee Schmetterer Euro RSCG v Aegis Group*, 93 NY2d 229; *Frank Corp. v Federal Ins. Co.*, 70 NY2d 966; *Backer v Lewit*, 180 AD2d 134; *Chadirjian v Kanian*, 123 AD2d 596.) II. Plaintiff-respondent's breach of contract claim is barred by the statute of frauds. (*D & N Boening v Kirsch Beverages*, 63 NY2d 449; *Martocci v Greater N.Y. Brewery*, 301 NY 57; *Cron v Hargro Fabrics*, 91 NY2d 362; *Acacia Natl. Life Ins. Co. v Kay Jewelers*, 203 AD2d 40; *Romar v Alli*, 120 AD2d 420; *Meyers v Waverly Fabrics*, 65 NY2d 75; *Zupan v Blumberg*, 2 NY2d 547; *Cohen v Bartgis Bros. Co.*, 264 App Div 260, 289 NY 846; *Blake v Voight*, 134 NY 69; *Kane v Rodgers*, 21 AD2d 773, 15 NY2d 544.) III. The Appellate Division's decision may be reversed on the additional ground that John J. Sheehy's alleged oral agreement is

barred by General Obligations Law § 15-301. (*Backer v Lewit*, 180 AD2d 134; *Ganisin v Noeth*, 163 AD2d 828; *Chadirjian v Kanian*, 123 AD2d 596; *Bakhshandeh v American Cyanamid Co.*, 8 AD2d 35, 8 NY2d 981; *DFI Communications v Greenberg*, 41 NY2d 602.) IV. The purported oral agreement is an unenforceable agreement to agree. (*Joseph Martin, Jr., Delicatessen v Schumacher*, 52 NY2d 105; *Cobble Hill Nursing Home v Henry & Warren Corp.*, 74 NY2d 475; *Willmott v Giarraputo*, 5 NY2d 250.)

Coblence & Warner, New York City (Kenneth E. Warner and Lewis S. Fischbein of counsel), for respondent. I. The Appellate Division properly ruled that the oral agreement alleged in the complaint is not barred by the statute of frauds. (*Hubbell Elec. v State of New York*, 153 Misc 2d 810; *Cron v Hargro Fabrics*, 91 NY2d 362; *Weiner v McGraw-Hill, Inc.*, 57 NY2d 458; *Lichtman v Estrin*, 282 AD2d 326; *Cabrini Med. Ctr. v KM Ins. Brokers*, 142 AD2d 529; *Pando v Fernandez*, 127 Misc 2d 224, 118 AD2d 474; *Kane v Rodgers*, 21 AD2d 773, 15 NY2d 544; *Kastner v Gover*, 19 AD2d 480, 14 NY2d 821; *RTC Props. v Bio Resources*, 295 AD2d 285, 99 NY2d 531; *Unicorn Enters. v Stonewall Contr. Corp.*, 232 AD2d 404.) II. The Appellate Division properly ruled that article X (b) of the Partnership Agreement, including its reference to a “written agreement,” has no relevance to John J. Sheehy’s claim for supplemental retirement payments under the Retirement Plan. (*Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396; *Muzak Corp. v Hotel Taft Corp.*, 1 NY2d 42; *Reiss v Financial Performance Corp.*, 97 NY2d 195.) III. The Appellate Division properly ruled that neither section 6.1 nor section 2.5 (b) of the Retirement Plan undermines John J. Sheehy’s right to supplemental retirement payments under section 5 of the Plan. IV. The Appellate Division properly ruled that John J. Sheehy’s right to receive supplemental retirement payments is not prohibited by General Obligations Law § 15-301 (1). (*Backer v Lewit*, 180 AD2d 134; *Chadirjian v Kanian*, 123 AD2d 596.) V. The Appellate Division properly ruled that the oral agreement at issue here is not an unenforceable agreement to agree. VI. All material factual disputes must be referred to trial. (*International Customs Assoc. v Bristol-Myers Squibb Co.*, 233 AD2d 161.)

OPINION OF THE COURT

G.B. SMITH, J.

In this breach of contract action, plaintiff John Sheehy, a for-

mer partner of defendant law firm's predecessor Rogers & Wells, alleges that he was wrongfully denied certain retirement benefits orally promised to him in exchange for his agreement to take early retirement. The issue presented on this appeal is whether plaintiff's claim for the recovery of the benefits based on this alleged oral agreement is barred by the statute of frauds. We conclude that the statute of frauds does bar plaintiff's claim and therefore reinstate the order of Supreme Court dismissing the complaint.¹

At all times relevant to this case, the firm's retirement plan, incorporated by reference into the partnership agreement, provided for early retirement for partners between the ages of 60 and 64. Partners who reached the age of 65 were eligible for normal retirement, while mandatory retirement began at age 70. The retirement benefits available to partners taking normal or mandatory retirement included four years of payments equal to 37.5% of the distribution of partnership profits which the partner would have received had he or she not retired (the four-year payout), participation in the firm's medical and life insurance plans, use of office space and secretarial assistance, and supplemental retirement payments (SRPs), which are paid for life beginning in the fifth year after the partner's retirement.

By contrast, partners taking early retirement would receive the amount in the partner's net capital account, actual cash distributions made to the partner on or before the date of retirement and the partner's share of the partnership profits accrued during the year of retirement. Partners taking early retirement were not entitled to subsequent profit distributions or SRPs. According to the partnership agreement, early retiring partners could receive additional payments only if the Executive Committee, in the exercise of its discretion, entered into a written agreement authorizing such payments. Moreover, the retirement plan stated that SRPs "shall not be paid to a Partner who takes Early Retirement, except at the specific written request of the Executive Committee."

In December 1994, the firm's Executive Committee requested plaintiff's resignation. According to plaintiff, he then met with James Asher, the supervising partner and member of the Executive Committee, who asked plaintiff to withdraw from the firm

1. We have also been asked to decide whether the complaint should be dismissed based on the plain language of the firm's retirement plan and partnership agreement. However, we need not reach this issue because we conclude that the statute of frauds bars plaintiff's claims.

effective January 1, 1996. Asher allegedly told plaintiff that in return for his resignation, he would be treated as having taken early retirement at the firm's request. Asher also allegedly promised that plaintiff would receive the four-year payout, SRPs and other retirement benefits under the partnership agreement. Plaintiff, then age 57, retired from the firm as of January 1, 1996, with the status of senior counsel. Senior counsel status, according to the retirement plan, is reserved for partners who retire "in accordance with the provisions of [the retirement plan]." p]lan."

From 1996 until 1999, plaintiff indisputably received the four-year payout, consisting of annual profit distribution payments of approximately \$200,000. Plaintiff maintained that he also participated in the firm's health and life insurance benefits, and utilized firm office space and secretarial assistance. According to the complaint, the firm hired an outside actuary and later directed the firm's controller to calculate the amount of SRPs that plaintiff would receive. The controller prepared a memorandum stating that plaintiff was entitled to receive SRPs in the amount of \$81,245 each year beginning January 1, 2000. However, the firm subsequently refused to pay SRPs to plaintiff.

Plaintiff brought this lawsuit against the firm alleging breach of contract, unjust enrichment and breach of fiduciary duty arising from the failure to pay him SRPs. The firm raised various affirmative defenses, including the statute of frauds and the lack of a written agreement for the payment of SRPs in accordance with the provisions of the partnership agreement and the retirement plan. Plaintiff subsequently moved for an order, pursuant to CPLR 3212 (b), granting partial summary judgment, or alternatively, pursuant to CPLR 3211 (b), dismissing the firm's affirmative defenses. Defendant cross-moved for summary judgment dismissing the complaint in its entirety for failure to comply with the statute of frauds or, in the alternative, for partial summary judgment dismissing so much of the complaint seeking damages for the present value of future installment payments not yet due. Supreme Court denied plaintiff's motion and granted defendant's summary judgment motion dismissing the complaint in its entirety. In so doing, the court concluded that the statute of frauds barred plaintiff's claims because the firm's alleged obligation to make annual payments to him beginning five years after plaintiff's retirement could not be performed within one year. Therefore, the court concluded, the contract was required to be in writing in

order to be enforceable. The court further concluded that even if the statute of frauds did not bar the lawsuit, under the terms of the partnership agreement and the retirement plan, plaintiff was not entitled to SRPs because the firm made no specific written request for his early retirement.

The Appellate Division modified the order of Supreme Court, on the law, denied defendant's cross motion as to plaintiff's cause of action alleging breach of contract (except insofar as that cause sought damages for the present value of future installment payments not yet due), reinstated that cause of action to that extent and granted plaintiff's motion dismissing certain affirmative defenses, and otherwise affirmed the order. Citing this Court's decision in *Kane v Rodgers* (21 AD2d 773 [1964], *aff'd* 15 NY2d 544 [1964]), the Appellate Division held that the statute of frauds did not bar plaintiff's claim because the oral agreement between the parties had been completely performed within a year of its making and the payment of SRPs to plaintiff concerned only the enforcement of existing rights under the firm's retirement plan. According to the Court, the oral agreement between the parties was for plaintiff to resign in exchange for the firm deeming him to have taken early retirement at the specific written request of the Executive Committee, thereby entitling plaintiff to receive SRPs under the retirement plan. The Court stated that this change of plaintiff's status—from partner to early retired partner—was capable of, and indeed was, performed within one year of making the agreement. The Court concluded that because plaintiff's right to collect SRPs was fixed upon his change of status, and the computation of the payment amount was a "ministerial act" (1 AD3d 225, 229 [2003]), the mere fact that the payments would extend into the future did not bring the agreement within the scope of the statute of frauds. The Appellate Division also concluded that nothing in the partnership agreement or the retirement plan prohibited an oral agreement between the firm and the partner taking early retirement allowing for the payment of SRPs. One Justice dissented, and would have affirmed the trial court.

The Appellate Division granted defendant leave to appeal, and we now reverse the order of the Appellate Division, insofar as appealed from, and reinstate the order of Supreme Court dismissing the complaint.

The statute of frauds, as incorporated in section 5-701 (a) (1) of the General Obligations Law, provides that an agreement is

void if it is not in writing and “subscribed by the party to be charged therewith” when the agreement “[b]y its terms is not to be performed within one year from the making thereof.” The statute of frauds was intended to prevent “fraud in the proving of certain legal transactions particularly susceptible to deception, mistake and perjury” (*D & N Boening, Inc. v Kirsch Beverages, Inc.*, 63 NY2d 449, 453 [1984]). Because memories fail over time, the statute requires a written contract for an agreement that is not to be performed within one year of its making. In order to remove an agreement from the application of the statute of frauds, both parties must be able to complete their performance of the contract within one year (see *Cron v Hargro Fabrics*, 91 NY2d 362, 367-368 [1998]; *Meyers v Waverly Fabrics*, 65 NY2d 75, 79 [1985]). Here, it is the firm’s alleged obligation to make payments beginning in the fifth year after plaintiff’s retirement and ending with his death that brings the agreement within the parameters of the statute of frauds.

In this case, plaintiff concedes that no written agreement exists between the parties entitling him to SRPs. Nor does he dispute that such payments were not to begin until five years after his retirement. However, relying on *Kane v Rodgers* (21 AD2d 773 [1964], *affd* 15 NY2d 544 [1964]), plaintiff argues that the oral agreement is not barred by the statute of frauds because the payment of SRPs concerns only the enforcement of plaintiff’s existing rights under the retirement plan.

In *Kane*, plaintiffs claimed they had an oral agency agreement with the defendants who, as agents of plaintiffs, had entered into written agreements with another defendant, Pisa, for the transfer of stock. Plaintiffs, as principals, thus claimed rights under the written agreements although they were not named in the agreements. Pisa alleged that the statute of frauds barred the claim, because his obligation to perform continued for more than one year. The Court held, and this Court affirmed, that the fact that the transfer of the stock was to take place over a period in excess of one year did not bring the oral agreement establishing the agency relationship within the statute of frauds (21 AD2d 773 [1964]). The oral agreement was fully capable of being performed within one year. The transfer of the stock, however, concerned only the enforcement of the plaintiffs’ rights under the written agreement.

Here, plaintiff argues that this case is analogous to the situation presented in *Kane*. According to him, “[t]he oral agreement gives [plaintiff] the status of Early Retirement at the Firm’s

request under the Firm's written Retirement Plan. That status entitles [plaintiff] to certain benefits under the Plan, including the right to SRPs. As in *Kane*, it does not matter for purposes of the statute of frauds that those benefits are to be performed for more than one year, because that performance is governed entirely by a written agreement—which makes the statute of frauds irrelevant and inapplicable.”

We disagree. In *Kane*, the acts to be performed beyond a year concerned enforcement of plaintiffs' rights under the written agreement, not the oral agency agreement. Here, plaintiff has no right to SRPs under the written partnership documents, and his claim of entitlement to SRPs does not flow from the oral agreement giving him the status of early retired partner. As previously noted, the benefits to which an early retired partner is entitled under the retirement plan are significantly less than those available to a partner taking normal or mandatory retirement. Generally, a partner taking early retirement is not entitled to SRPs. Under the partnership agreement, an early retired partner may receive additional payments, including SRPs, if the Executive Committee chooses to enter into a written agreement authorizing such payments. Here, there was no such written agreement. *Kane*, thus, is inapplicable.

Under the retirement plan, a partner taking early retirement is not entitled to receive SRPs unless the early retirement was made at the specific *written* request of the Executive Committee. While the Executive Committee here asked plaintiff to withdraw from the firm, that request was never made in writing. Therefore, plaintiff's change of status from partner to early retired partner (at the oral request of the firm) did not entitle him to SRPs under either the retirement plan or the partnership agreement. Accordingly, plaintiff's claim of entitlement to SRPs is based not on the Executive Committee's oral request for him to take early retirement, but on a separate oral promise to provide monetary benefits in addition to those normally provided to early retired partners. In order for plaintiff to enforce this alleged promise of SRPs, the performance of which could not possibly have been completed within one year of the agreement, it was necessary that the agreement be reduced to writing and subscribed by the firm's representative. In the

absence of such a writing, the statute of frauds bars plaintiff's claim.²

Finally, the Appellate Division determined that the parties had orally agreed that in exchange for plaintiff's departure from the firm, he would be "deemed to have taken early retirement at the specific written request of the executive committee." (1 AD3d at 228-229.) However, the complaint states only that plaintiff was told that if he were to withdraw from the firm, he would be treated as taking early retirement at the firm's request. Nothing in the complaint alleges that the firm's request for plaintiff's retirement was to be deemed to have been made in writing. Moreover, we conclude that the Appellate Division's theory that the parties could orally "deem" the existence of a written request is unpersuasive. Here, there was no written request for plaintiff's retirement, and without such a writing, plaintiff's status was merely one of an early retired partner. Thus, plaintiff's change of status did not entitle him to receive SRPs under the retirement plan. Such an entitlement must have been the result of an additional promise, and in order to satisfy the statute of frauds, the terms of that agreement must have been in writing.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, the order of Supreme Court reinstated and the certified question answered in the negative.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur; Judge CIPARICK taking no part.

Order, insofar as appealed from, reversed, etc.

2. Plaintiff asserts that various documents prepared by the firm sufficiently satisfied the writing requirement of the statute of frauds, including his change of status form designating him a senior counsel, a letter from the firm's business administrator incorporating the "Rogers & Wells Benefit Plans Guide for Partners," a handwritten note prepared by the firm's outside actuary and a memorandum from the firm's controller. None of these documents, however, satisfy the statute of frauds. Neither the change of status form nor the letter from the business administrator, incorporating the firm's benefit guide, makes any reference to plaintiff's entitlement to SRPs. In addition, the note from the actuary cannot satisfy the statute of frauds because the firm did not prepare it. Finally, the memorandum prepared by the firm's controller merely reports the calculations of the outside actuary. It does not state that the firm agreed to pay SRPs to plaintiff. More importantly, the memorandum was not signed by anyone with authority to do so on behalf of the firm.

[822 NE2d 331, 789 NYS2d 80]

In the Matter of MALTA TOWN CENTRE I, LTD., Respondent, v
TOWN OF MALTA BOARD OF ASSESSMENT REVIEW, Appellant.

Argued October 19, 2004; decided November 18, 2004

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 4, 2003. The Appellate Division affirmed a judgment (denominated decision and order) of the Supreme Court, Saratoga County (Thomas D. Nolan, Jr., J.; op 195 Misc 2d 619), which had granted petitioner's motion for summary judgment, directed respondent to fix the 2002 assessment of petitioner's real property at \$7,800,000, and denied respondent's cross motion for an order striking all causes of action related to Real Property Tax Law § 727 and a determination that, as a matter of law, the Town of Malta's 2002 annual reassessment project under RPTL 1573 constituted a town-wide reassessment within the meaning of RPTL 727 (2) (a).

Matter of Malta Town Ctr. I v Town of Malta Bd. of Assessment Review, 2 AD3d 957, reversed.

HEADNOTE

Taxation — Assessment — Prohibition against Change in Assessment for Three-Year Period Following Court-Approved Assessment — Exception for Town-Wide Revaluation

In a tax certiorari proceeding requesting court review of the assessed valuation of petitioner's property, which had been assessed at an amount 25% greater than the amount the parties had stipulated to just four months earlier in settlement of a prior tax certiorari proceeding, respondent's proof of an annual reassessment pursuant to the state reassessment aid program under RPTL 1573 was evidence that there had been "a revaluation or update of all real property on the assessment roll" exempting the property from the three-year grace period normally following a court-ordered assessment (RPTL 727 [2] [a]). Although one focus of the three-year respite provision in RPTL 727 was to address the situation requiring taxpayers to bring successive suits to challenge assessments that had previously been reduced by court order, the interest in reduced litigation must be balanced against the importance of maintaining current and equitable assessment rolls. Reassessment, revaluation, and update have the same meaning for purposes of both RPTL 727 and 1573. Moreover, the requirements to satisfy annual reassessment under RPTL 1573 are more stringent than those needed to constitute a revaluation or update under RPTL 727 (2) (a), and proof of a systematic analysis of all locally assessed properties in satisfaction of RPTL 1573 constitutes evidence that there has been a revaluation or update under RPTL 727 (2) (a).

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AM JUR 2d, State and Local Taxation §§ 717, 721, 723, 735, 736.
CARMODY-WAIT 2d, Judicial Review of Assessments and Taxes §§ 146:18, 146:144.
MCKINNEY'S, RPTL 727 (2) (a); 1573.
NY JUR 2d, Taxation and Assessment §§ 435, 440, 443-448.
NEW YORK REAL PROPERTY SERVICE § 62:48.

ANNOTATION REFERENCE

See ALR Index under Taxes.

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/3 re-assess! re-valuation!

POINTS OF COUNSEL

Tuczinski, Cavalier, Burstein & Collura, P.C., Albany (Daniel G. Vincelette of counsel), for appellant. I. Successful completion of an annual reassessment voids the three year moratorium of Real Property Tax Law § 727. (*Matter of Owens Corning v Board of Assessors*, 279 AD2d 118; *Matter of Rosen v Assessor of City of Troy*, 261 AD2d 9; *Matter of American Cyanamid Co. v Board of Assessors*, 288 AD2d 213; *Matter of Hellerstein v Assessor of Town of Islip*, 37 NY2d 1; *Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122.) II. Petitioner was not entitled to summary judgment as the record contradicts the court's holding that the record was "devoid of any detail" of the annual reassessment program conducted by the Town of Malta. (*Zuckerman v City of New York*, 49 NY2d 557; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Ayotte v Gervasio*, 81 NY2d 1062; *Wahila v Kerr*, 204 AD2d 935; *Wenger v Goodell*, 288 AD2d 815, 98 NY2d 605; *Empire Magnetic Imaging v Comprehensive Care of N.Y.*, 271 AD2d 472; *Matter of Akey v Town of Plattsburgh*, 300 AD2d 871; *Hasbrouck v City of Gloversville*, 102 AD2d 905.)

Pott and Naviasky, LLP, Schenectady (Laurence Naviasky of counsel), for respondent. I. The determination that an annual reassessment under RPTL 1573 is not equivalent to a revaluation or update as contemplated by RPTL 727 (2) (a) is supported by the language and intent of the respective statutes.

(*Matter of Viacom Corp. v Board of Assessors of Town of Horseheads*, 295 AD2d 791; *Matter of Owens Corning v Town of Bethlehem*, 279 AD2d 118; *Matter of Hellerstein v Assessor of Town of Islip*, 37 NY2d 1; *Matter of Rosen v Assessor of City of Troy*, 261 AD2d 9; *Matter of Chasalow v Board of Assessors of County of Nassau*, 202 AD2d 499; *People ex rel. Hagy v Lewis*, 280 NY 184; *Nash v Assessor of Town of Southhampton*, 168 AD2d 102; *Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122.) II. The trial court correctly held that appellant failed to submit admissible proof sufficient to create a genuine issue of fact that it engaged in a town-wide revaluation or update. (*Hedrick v Genesee Mgt.*, 246 AD2d 858; *Koppers Co. v Empire Bituminous Prods.*, 35 AD2d 906; *Ascher v Garafolo Elec. Co.*, 113 AD2d 728; *Stainless, Inc. v Employers Fire Ins. Co.*, 69 AD2d 27, 49 NY2d 924; *Matter of Akey v Town of Plattsburgh*, 300 AD2d 871; *Hasbrouck v City of Gloversville*, 102 AD2d 905, 63 NY2d 916; *Phillips v Bronx Lebanon Hosp.*, 268 AD2d 318; *Barrette v General Elec. Co.*, 144 AD2d 983.)

OPINION OF THE COURT

CIPARICK, J.

The issue presented by this appeal is whether proof of an annual reassessment pursuant to the state reassessment aid program under RPTL 1573 is evidence that there has been “a revaluation or update of all real property on the assessment roll” for the purposes of RPTL 727 (2) (a). We conclude that it is evidence of a revaluation or update sufficient to defeat petitioner’s motion for summary judgment.

Petitioner, Town Centre, commenced a prior RPTL article 7 tax certiorari proceeding to challenge its assessments for the 1998, 1999, 2000 and 2001 tax years. In December 2001, the parties resolved the proceeding by a stipulation reducing the assessed value of the property to \$7,800,000.¹ The Supreme Court order and judgment authorizing the stipulation specified that the assessed valuation of the property would remain “subject to the provisions of Real Property Tax Law § 727 . . . [and that] the assessed valuation of the subject properties shall not be changed, subject to the provisions of RPTL § 727 (2), for such properties for the next three succeeding assessment rolls.” Both parties reserved all rights under section 727 to challenge future assessments.

1. The prior assessed value of the property was \$8,375,000 for each year in question, with the exception of 1999, for which the assessed value was \$8,785,000.

The Town of Malta participates in an annual real property reassessment program administered by the New York State Office of Real Property Services (ORPS). Pursuant to article 15-B of the RPTL, this program provides financial assistance to assessing units that comply with the standards set forth in the statute for the preparation of an annual assessment roll at a uniform percentage of current value. As part of the 2002 annual reassessment, the Town Assessor conducted the statutorily required analysis and all values were brought to 100% of full market value as of the January 1, 2002 valuation date.

In April 2002, the Town Assessor sent Town Centre a notice that the assessed valuation of the property had been increased to \$9,750,000.² Town Centre then submitted a complaint to respondent Board of Assessment Review, arguing that the Town was prevented from changing the assessed value of the property for three years under RPTL 727³ or, in the alternative, that the assessed value exceeded the fair market value of the property. The Board found Town Centre's proof insufficient to warrant a change.

Town Centre then commenced the instant article 7 tax certiorari proceeding requesting court review of the assessed valuation. Petitioner argued both that the assessment was excessive and that it was conducted in violation of section 727. In response to Town Centre's requests under the Freedom of Information Law (FOIL) (Public Officers Law § 84 *et seq.*) the Town of Malta submitted documents indicating that the Assessor may

2. The notice reflected that the property's prior assessed value was \$8,375,000, rather than the stipulated value of \$7,800,000.

3. RPTL 727 states that:

"1. Except as hereinafter provided, . . . where an assessment being reviewed pursuant to this article is found to be unlawful, unequal, excessive or misclassified by final court order or judgment, the assessed valuation so determined shall not be changed for such property for the next three succeeding assessment rolls prepared on the basis of the three taxable status dates next occurring on or after the taxable status date of the most recent assessment under review in the proceeding subject to such final order or judgment. . . .

"2. An assessment on property subject to the provisions of subdivision one of this section may be changed on an assessment roll where:

"(a) There is a revaluation or update of all real property on the assessment roll; . . .

"3. No petition for review of the assessment on such property shall be filed while the provisions of subdivision one of this section are applicable to such property" (RPTL 727).

have relied upon outdated information to ascertain the 2002 assessment value—the same information used in the earlier article 7 proceeding that established the property’s market value for 1998 and 1999. Town Centre moved for summary judgment, arguing that the Assessor failed to conduct a proper revaluation or update in compliance with RPTL 727 and that the assessed value should be reduced to \$7,800,000.

The Board cross-moved to strike Town Centre’s section 727 causes of action. In support of its cross motion, the Board submitted the affidavit of the Town Assessor. The Assessor’s affidavit indicated that she had “analyze[d] and re-evaluate[d] the market data and assessed values of *all* commercial properties within the Town.” The affidavit further stated that ORPS had determined that the Town’s plan “was in compliance with [the] State’s annual reassessment plan.” Attached as exhibits to the Assessor’s affidavit were ORPS documents concerning the Board’s compliance with the state annual reassessment aid program and a letter from ORPS documenting successful completion of the reassessment program. The affidavit also indicated that the Assessor consulted income questionnaires from 1995 and 1998.

Supreme Court granted Town Centre’s motion, ordered the Board to reduce the assessment to \$7,800,000—the stipulated amount in the earlier proceeding—and denied the Board’s cross motion (*Malta Town Ctr. I, Ltd. v Town of Malta Bd. of Assessment Review*, 195 Misc 2d 619 [Sup Ct, Saratoga County 2003]). The court found the Board’s motion papers insufficient to show that there had been a town-wide revaluation or update. The court also concluded that RPTL 1573’s⁴ annual reassessment criteria are not the equivalent of “revaluation” or “update”

4. RPTL 1573 provides, as relevant here, that:

“2. State assistance pursuant to subdivision one of this section shall be payable as follows for each separately assessed parcel appearing on the applicable assessment roll, excluding parcels which are wholly exempt or assessed by the state board: . . .

“(b) (i) Annual reassessment aid in the amounts specified in subparagraph (ii) of this paragraph when the state board determines that the assessing unit has maintained an equitable assessment roll. Such determination shall be made in accordance with standards established pursuant to regulations promulgated by the state board, . . . and shall be based upon criteria including but not limited to:

“(A) annually maintaining assessments at the percentage of value specified in subdivision one of this section;

(n. cont’d)

under RPTL 727 (2) (a) and therefore the Town's participation in the section 1573 state aid program did not qualify as an exception under RPTL 727 (2). The Appellate Division affirmed for the reasons stated by Supreme Court (*Matter of Malta Town Ctr. I, Ltd. v Town of Malta Bd. of Assessment Review*, 2 AD3d 957 [3d Dept 2003]). This Court granted leave to appeal and we now reverse.

The Board argues that the Town's successful completion of an annual reassessment under section 1573 is sufficient to abrogate the section 727 three-year period prohibiting any change in assessed valuation. Town Centre asserts that an annual reassessment under section 1573 is something less stringent than a "revaluation or update" under section 727 (2) (a) and that the two actions are not equivalent. Town Centre further argues that the purpose behind section 727 would be defeated if successful participation in the annual reassessment program is equivalent to a revaluation or update under section 727 (2) (a).

As this is a question of statutory interpretation, we turn first to the plain language of the statutes as the best evidence of legislative intent (*see Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). Section 727 of the Real Property Tax Law provides a three-year respite from any change in the assessed valuation of property "where an assessment being reviewed pursuant to this article is found to be unlawful, unequal, excessive or misclassified by final court order or judgment" (RPTL 727 [1]; *see also* RPTL 727 [3] [prohibiting petitions for review of assessments for property subject to section 727 (1)]). The statute permits certain exceptions to this three-year grace period, most relevantly, where there has been "a revaluation or update of all real property on the assessment roll" (RPTL 727 [2] [a]).

Although section 727 does not define a "revaluation or update," the terms are defined elsewhere in the RPTL. "'Revaluation', 'reassessment' or 'update' means a systematic review of the assessments of all locally assessed properties, valued as of the valuation date of the assessment roll containing

"(B) annually conducting a systematic analysis of all locally assessed properties using a methodology specified in such regulations;

"(C) annually revising assessments as necessary to maintain the stated uniform percentage of value" (RPTL 1573 [2]).

those assessments, to attain compliance with the standard of assessment set forth in [RPTL 305 (2)]”⁵ (RPTL 102 [12-a]).

Legislative history indicates that one focus of the three-year respite provision was to address the situation requiring taxpayers to bring successive suits to challenge assessments that had been previously reduced by court order (*see* Governor’s Approval Mem, Bill Jacket, L 1995, ch 693 [stating that “by locking in the judicially-reduced assessments on most properties for the following three tax years, the bill will spare all parties the time and expense of repeated court intervention”]). The result we reach is not contrary to that intent, as a town-wide revaluation—or reassessment—is one of the specific exceptions that allows an assessment to be changed during that three-year time period (*see* RPTL 727 [2] [a]). That exception seems to recognize that the importance of a three-year grace period is diminished if the value of the property is kept current by annual reassessments. The interest in reduced litigation contemplated by the statutory respite period must be balanced against the importance of maintaining current and equitable assessment rolls. The question before us is whether a RPTL 1573 reassessment can constitute an exception under RPTL 727. We conclude that it can.

RPTL 1573 authorizes state aid for municipalities that keep assessment rolls up to date at a uniform percentage of current market value (*see* RPTL 1573 [1] [a], [b]). The statute specifically provides that annual reassessment aid will be awarded to a municipality that keeps an “equitable assessment roll” which includes “annually conducting a systematic analysis of all locally assessed properties using a methodology specified in . . . regulations [promulgated by the state board; and] annually revising assessments as necessary to maintain the stated uniform percentage of value” (RPTL 1573 [2] [b] [i] [B]-[C]). The implementing regulation likewise defines reassessment as “a systematic analysis of the assessments of all locally assessed properties, valued as of the valuation date of the assessment roll containing those assessments to attain compliance with the statutory standard of assessment” (9 NYCRR 201-2.5 [c] [1]).

The language of these provisions makes clear that reassessment, revaluation and update have the same meaning for the

5. RPTL 305 (2) states that “[a]ll real property in each assessing unit shall be assessed at a uniform percentage of value (fractional assessment) . . .” (RPTL 305 [2]).

purposes of both RPTL 727 and RPTL 1573. In addition, the definition of reassessment, revaluation or update is virtually identical to a criterion for annual reassessment aid under section 1573 (*compare* “systematic review of the assessments” [RPTL 102 (12-a)] *with* “systematic analysis of all locally assessed properties” [RPTL 1573 (2) (b) (i) (B)]). This similarity further supports the conclusion that an annual reassessment under section 1573 is evidence of a revaluation or update under section 727.⁶

This interpretation is also bolstered by the legislative history. Section 102 (12-a) was amended in 1998 to establish a uniform definition for reassessment, revaluation and update (*see* Mem in Support, Bill Jacket, L 1998, ch 319). The previous version of the statute defined revaluation and update separately and did not define reassessment at all (*see* Mem in Support, Bill Jacket, L 1998, ch 319). ORPS participated in the drafting of the amended section 102 (12-a). The legislative history indicates that ORPS “determined that the consistent and efficient administration of its programs require a common understanding of what local valuation activity constitutes a reassessment for participation in or compliance with the agency’s programs” (Mem in Support, Bill Jacket, L 1998, ch 319). ORPS further found that regular reassessment would help municipalities attain equity on their tax rolls (*see* Mem in Support, Bill Jacket, L 1998, ch 319).

It is thus clear from both the legislative history and the text of RPTL 102 (12-a) that the Legislature intended to provide a consistent definition of the three terms. The memorandum in support of the amendment to section 102 specifically states that the “bill would amend the definitions of revaluation and update

6. The dissent notes that the triennial aid provision of section 1573 (2) (a) specifically includes the phrase “revaluation or update” (*see* dissenting op at 574-575). In order to receive aid under that provision, however, the municipality must also reinspect and reappraise all properties in connection with the revaluation or update (*see* RPTL 1573 [2] [a]). The reinspection and reappraisal is in excess of what is required by the “revaluation or update” exception in section 727 (2) (a) (*see also Guidelines for Annual Reassessment*, New York State Office of Real Property Services, May 2002, at 6 <<http://www.orps.state.ny.us/reassess/seguide.pdf>>, cached at <<http://www.courts.state.ny.us/reporter/webdocs/seguide.pdf>> [stating that yearly reappraisal is not required for annual reassessment]). Further, although section 1573 (2) (b) (i) (B) does not contain the “revaluation or update” phrase, the purpose of the section is to provide annual *reassessment* aid. As the dissent also points out, “[r]evaluation,” “reassessment” and “update” all have the same meaning under RPTL 102 (12-a) (*see* dissenting op at 575).

to incorporate the policy of [ORPS] in regard to local reassessment activity” (Mem in Support, Bill Jacket, L 1998, ch 319). The minor differences in terminology do not support the conclusion, reached by Supreme Court and affirmed by the Appellate Division, that these terms have a different meaning where the intent of the Legislature was to harmonize them.

Further, the requirements to satisfy annual reassessment under section 1573 are, if anything, more stringent than those needed to constitute a revaluation or update under section 727 (2) (a). The “systematic analysis” is only one factor that must be met (*see* RPTL 1573 [2] [b] [i] [B]). For example, the assessing unit must also demonstrate that there is a program established to reappraise and physically inspect each property at least once within a six-year period (*see* RPTL 1573 [2] [b] [i] [D]). As a result, proof that there has been “a systematic analysis of all locally assessed properties” in satisfaction of section 1573 constitutes evidence that there has been a revaluation or update under section 727 (2) (a).

Finally, the Assessor’s affidavit, incorporating the ORPS documents as exhibits and stating that ORPS found the Town to be “in compliance with [the] State’s annual reassessment plan,” was sufficient to show compliance with section 1573 and thus, to defeat Town Centre’s motion for summary judgment.⁷ Contrary to the dissent’s contention, since we hold that evidence of annual reassessment under section 1573 is equivalent to a “revaluation or update of all real property” under section 727 (2) (a), the Assessor’s affidavit incorporating ORPS documents was indeed adequate proof that such revaluation or update occurred. That proof was not limited to a statement that the Assessor analyzed only commercial properties. The ORPS documents show the Assessor inspected all parcels (*see* dissenting op at 575). Although there has been a town-wide reassessment satisfying both section 1573 and section 727, the question as to whether the assessment value for this particular parcel was accurate is referred to Supreme Court.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the matter remitted to Supreme Court for further proceedings in accordance with this opinion.

R.S. SMITH, J. (dissenting). Real Property Tax Law § 727

7. To the extent Town Centre contends the Board failed to provide evidence in admissible form, that issue is apparently unpreserved as it was not specifically raised in Town Centre’s reply affirmation before the trial court.

provides that, once the assessed valuation of a parcel has been challenged and a court has altered it, the new valuation is frozen for three years. An exception exists where, within those three years, “[t]here is a revaluation or update of all real property on the assessment roll” (RPTL 727 [2] [a]).

Under RPTL 1573, towns or other assessing units are entitled to financial aid when they meet certain standards of real property tax administration. There are two kinds of aid—triennial and annual. To receive triennial aid, a town must carry out “a revaluation or update that includes the reinspection and reappraisal of all locally assessed properties” (RPTL 1573 [2] [a]). Annual aid is based on a number of criteria, one of which is “annually conducting a systematic analysis of all locally assessed properties” (RPTL 1573 [2] [b] [i] [B]).

The main question here is whether a town that has met the criterion for *annual* aid specified in section 1573 (2) (b) (i) (B) automatically escapes from the three-year freeze of section 727. The majority holds that it does. I dissent, because I think this reading creates a loophole in section 727 that the Legislature did not intend and that will undermine the purpose of the statute.

The relevant language from section 727, providing both for the three-year freeze and for the exception to it, is as follows:

“1. Except as hereinafter provided . . . where an assessment being reviewed pursuant to this article is found to be unlawful, unequal, excessive or misclassified by final court order or judgment, the assessed valuation so determined shall not be changed for such property for the next three succeeding assessment rolls

“2. An assessment on property subject to the provisions of subdivision one of this section may be changed on an assessment roll where:

“(a) There is a revaluation or update of all real property on the assessment roll.”

The relevant language from section 1573 (2), providing both for triennial and annual aid to assessing units, is as follows:

“State assistance . . . shall be payable as follows . . . (a) Triennial aid . . . on an assessment roll on which there has been implemented a revaluation or update that includes the reinspection and reappraisal of all locally assessed properties . . .

“(b) (i) Annual reassessment aid . . . when the state board determines that the assessing unit has maintained an equitable assessment roll. Such determination . . . shall be based upon criteria including but not limited to: . . .

“(B) annually conducting a systematic analysis of all locally assessed properties using a methodology specified in . . . regulations.”

In reading these two statutes, what is most striking is the resemblance between the language used in creating an exception to the three-year freeze requirement—“a revaluation or update of all real property on the assessment roll”—and the language used in authorizing *triennial* aid: “a revaluation or update that includes the reinspection and reappraisal of all locally assessed properties.” It seems obvious, and the parties to this action do not dispute, that a “revaluation or update” sufficient to obtain triennial aid is also a “revaluation or update” sufficient to nullify the three-year freeze requirement.

But here the Town contends, and the majority holds, that meeting the “systematic analysis” criterion for annual aid is also enough to nullify a three-year freeze. No one simply reading the above-quoted statutory language would readily come to that conclusion. On the contrary, it seems evident that the annual “systematic analysis of all locally assessed properties” referred to in section 1573 (2) (b) (i) (B) is something different from, and less momentous than, the “revaluation or update that includes the reinspection and reappraisal of all locally assessed properties” in section 1573 (2) (a). If that is true, it is a reasonable inference that the “systematic analysis” is also insufficient to constitute the “revaluation or update of all real property” that is required for an exception to the three-year freeze under section 727 (2) (a).

The conclusion derived from this exercise in verbal logic is also supported by a commonsense interpretation of the two statutes. The policy behind the three-year freeze in RPTL 727 (1) is obviously to provide some respite from litigation. Where a dispute over valuation has been resolved by court order, both the town and the taxpayer should be allowed to rely on that resolution for a reasonable period of time. But it would be unfair to leave the freeze in effect to the benefit (or detriment) of a recent litigant when every other taxpayer in town is being subjected to a reexamination of the value of his or her property.

The exception in section 727 (2) exists to prevent such unfairness.

It is entirely consistent with the purpose of the exception that it is triggered when a town conducts the “revaluation or update that includes the reinspection and reappraisal of all locally assessed properties” that entitles it to triennial aid from the State. Triggering the exception in this way does not greatly interfere with the effectiveness of the three-year freeze, because triennial aid, as its name implies, can be obtained no more frequently than once in three years. But if the town, by meeting one of the criteria for annual aid, automatically escapes from the freeze, then the freeze has no meaning in any town in which that criterion is met.

The majority nevertheless concludes that conducting the “systematic analysis” that is one of the criteria for annual aid is enough to trigger the exception to the freeze requirement. The main basis for the majority’s conclusion is the definition section of the Real Property Tax Law, which provides (RPTL 102 [12-a]):

“ ‘Revaluation’, ‘reassessment’ or ‘update’ means a systematic review of the assessments of all locally assessed properties, valued as of the valuation date of the assessment roll containing those assessments, to attain compliance with the standard of assessment set forth in subdivision two of section three hundred five of this chapter.”

The majority finds this language to be “virtually identical” to the criterion for annual reassessment set forth in RPTL 1573 (2) (b) (i) (B), and thus concludes that to meet that criterion automatically constitutes doing a “revaluation” or “update.” I do not agree. The words of the definition section—“systematic review of the assessments of all locally assessed properties” and the words describing the annual aid criterion—“systematic analysis of all locally assessed properties”—are similar, but they are not identical or virtually so. Read in context, “review of the assessments” and “analysis” suggest different meanings; the difference is between setting out to revise the data and merely examining it. Nor is it plausible that the authors of section 1573 (2) (b) (i) (B), when they specified a “systematic analysis of all locally assessed properties,” meant exactly the same thing as a “revaluation or update.” If that is what they meant they could have used the words “revaluation or update”—the very words

they did use in the same statute, when they provided for triennial aid in section 1573 (2) (a).

The majority says that the legislative history of the definition section supports its interpretation. I believe it supports mine. Section 102 (12-a), defining “[r]evaluation”, “reassessment” or “update,” was added to the RPTL by amendment in 1998. Nothing indicates that a purpose of the amendment was to equate the terms “revaluation” or “update” with the criterion for annual aid in section 1573 (2) (b) (i) (B). The legislative history does not mention section 1573 (2) (b) (i) (B) at all; rather, it shows that the purpose of the bill was to provide that the three words “[r]evaluation,” “reassessment” and “update” all meant the same thing, and that all denoted a process designed to assure that assessments be at the same percentage of current value (Mem in Support, Bill Jacket, L 1998, ch 319). If the authors of the definition had intended to track section 1573 (2) (b) (i) (B) the language of the two sections would not be similar, but identical. I conclude from the legislative history that the similarity between section 102 (12-a) and section 1573 (2) (b) (i) (B) is essentially fortuitous.

My view that compliance with section 1573 (2) (b) (i) (B) does not constitute a “revaluation” or “update” within the meaning of section 727 (2) (a) is reinforced by the facts of this case. It seems clear that the Town of Malta here did meet the section 1573 (2) (b) (i) (B) criterion, at least in the view of the state agency that dispenses aid under section 1573. But, as Supreme Court’s opinion demonstrates, the evidence submitted by the Town utterly fails to show that it performed a “revaluation or update of all real property on the assessment roll,” as section 727 (2) (a) requires. The affidavit submitted by the Town Assessor conspicuously omits any assertion that, in complying with section 1573 (2) (b) (i) (B), she annually revalues, reviews or updates the values of all properties in the Town. Instead, she makes the much more limited statement: “I analyze and re-evaluate the market data and assessed values of all *commercial* properties within the Town for each annual reassessment plan” (emphasis omitted and added). It is literally true, as the majority points out, that state documents show that the Assessor “inspected all parcels”—but the majority omits to note that this was a drive-by inspection (“from the public right of way”) done to collect “inventory data.”

Because the Town did not perform the “revaluation or update of all real property” that would trigger the exception to the

three-year freeze requirement, I would affirm the order of the Appellate Division.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO and READ concur with Judge CIPARICK; Judge R.S. SMITH dissents and votes to affirm in a separate opinion.

Order reversed, etc.

[822 NE2d 768, 789 NYS2d 461]

EXCESS INSURANCE COMPANY LTD. et al., Respondents, v FACTORY MUTUAL INSURANCE COMPANY, Formerly Known as ALLENDALE MUTUAL INSURANCE COMPANY, Appellant.

Argued October 13, 2004; decided December 2, 2004

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 4, 2003. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Karla Moskowitz, J.), which had denied plaintiffs' motion for partial summary judgment and granted defendant's cross motion for partial summary judgment to the extent of declaring that the limit clause and the follow the settlements condition of the reinsurance contract, read together, are unambiguous, and that the portion of the reinsurance contract requiring plaintiffs to bear their proportionate share of any expenses incurred, whether legal or otherwise, in the investigation and defense of any claim is not subject to the contract limit of \$7 million; (2) denied defendant's cross motion; and (3) granted plaintiffs' motion so as to declare that the portion of the reinsurance agreement between the parties requiring plaintiffs to bear their proportionate share of expenses incurred in the investigation and defense of any claim under the underlying policy is subject to the \$7 million limit stated in the agreement. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of Supreme Court, properly made?"

Excess Ins. Co. v Factory Mut. Ins. Co., 2 AD3d 150, affirmed.

HEADNOTE

Insurance — Reinsurance — "Follow the Settlements" Clause — Obligation under Clause Subject to Indemnification Limit

Plaintiff reinsurers' obligation to pay sums for certain loss adjustment expenses arising from a "follow the settlements" clause in the parties' reinsurance contract was subject to the \$7 million indemnification limit stated in the reinsurance policy. Plaintiffs could not be required to pay loss adjustment expenses in excess of the stated limit in the reinsurance policy. Any obligation on plaintiffs' part to reimburse defendant, whether for settling the original insurance claim or for their proportionate share of the \$35 million in expenses incurred in the protracted litigation that ensued, must have been capped by the negotiated limit under the policy. If not, plaintiffs would have been subject to limitless liability, and the liability cap would have been rendered a nullity.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 1811, 1819, 1823.
COUCH ON INSURANCE (3d ed) § 9:25.
NY JUR 2d, Insurance §§ 2199, 2207, 2210.

ANNOTATION REFERENCE

See ALR Index under Insurance and Insurance Companies; Reinsurance.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: re-insur! & follow /3 settlement & indemni!

POINTS OF COUNSEL

London Fischer LLP, New York City (*Bernard London*, *James L. Fischer* and *James Walsh* of counsel), for appellant. I. A property reinsurance contract should not be interpreted by reference to liability insurance precedents. (*Bellefonte Reins. Co. v Aetna Cas. & Sur. Co.*, 903 F2d 910; *Unigard Sec. Ins. Co., Inc. v North Riv. Ins. Co.*, 4 F3d 1049; *Great N. Ins. Co. v Mount Vernon Fire Ins. Co.*, 92 NY2d 682; *Becarie v Union Bank of Switzerland*, 272 AD2d 162; *Port Auth. of N.Y. & N.J. v Affiliated FM Ins. Co.*, 311 F3d 226; *Ryan v Royal Ins. Co. of Am.*, 916 F2d 731; *Allendale Mut. Ins. Co. v Excess Ins. Co.*, 992 F Supp 271, 62 F Supp 2d 1116; *Commercial Union Ins. Co. v Seven Provinces Ins. Co., Ltd.*, 217 F3d 33, 531 US 1146; *Kass v Kass*, 91 NY2d 554; *Aetna Cas. & Sur. Co. v Home Ins. Co.*, 882 F Supp 1328.) II. Alternatively, the reinsurance agreement is ambiguous as a matter of law. (*Sumitomo Mar. & Fire Ins. Co. v Cologne Reins. Co. of Am.*, 75 NY2d 295; *United Fire & Cas. Co. v Arkwright Mut. Ins. Co.*, 53 F Supp 2d 632; *Eskimo Pie Corp. v Whitelawn Dairies, Inc.*, 284 F Supp 987; *Menke v Glass*, 898 F Supp 227; *Canusa Corp. v A & R Lobosco, Inc.*, 986 F Supp 723; *Board of Mgrs. of Yardarm Condominium II v Federal Ins. Co.*, 247 AD2d 499; *Preminger v Columbia Pictures*, 49 Misc 2d 363, 25 AD2d 830, 18 NY2d 659; *Fox Film Corp. v Springer*, 273 NY 434; *Franklin Sugar Ref. Co. v Lipowicz*, 247 NY 465; *Newhall v Appleton*, 114 NY 140.)

Kaplan & von Ohlen, Chicago, Illinois (*Richard A. Walker*, of the Illinois Bar, admitted pro hac vice of counsel), and *D'Amato & Lynch*, New York City (*Jan H. Duffalo* of counsel), for

respondents. I. The reinsurance agreements “limit” of \$7,000,000 caps plaintiffs-appellants’ entire liability to defendant-respondent Factory Mutual Insurance Company. (*West 56th St. Assoc. v Greater N.Y. Mut. Ins. Co.*, 250 AD2d 109; *Sanabria v American Home Assur. Co.*, 68 NY2d 866; *Rhodes v Newhall*, 126 NY 574; *Bracher v Equitable Life Assur. Socy.*, 186 NY 62; *Allendale Mut. Ins. Co. v Excess Ins. Co., Ltd.*, 970 F Supp 265, 992 F Supp 271; *Ruttenberg v Davidge Data Sys. Corp.*, 215 AD2d 191; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.*, 79 NY2d 576; *Bellefonte Reins. Co. v Aetna Cas. & Sur. Co.*, 903 F2d 910; *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd’s of London*, 96 NY2d 583; *Christiania Gen. Ins. Corp. of N.Y. v Great Am. Ins. Co.*, 979 F2d 268.) II. The courts below correctly determined, as a matter of law, that the reinsurance agreement at issue is unambiguous. (*Mallad Constr. Corp. v County Fed. Sav. & Loan Assn.*, 32 NY2d 285; *Unisys Corp. v Hercules Inc.*, 224 AD2d 365; *West, Weir & Bartel v Mary Carter Paint Co.*, 25 NY2d 535; *Ruttenberg v Davidge Data Sys. Corp.*, 215 AD2d 191; *Airco Alloys Div., Airco Inc. v Niagara Mohawk Power Corp.*, 76 AD2d 68; *Bethlehem Steel Co. v Turner Constr. Co.*, 2 NY2d 456; *United Fire & Cas. Co. v Arkwright Mut. Ins. Co.*, 53 F Supp 2d 632; *Menke v Glass*, 898 F Supp 227; *Canusa Corp. v A & R Lobosco, Inc.*, 986 F Supp 723; *Board of Mgrs. of Yardarm Condominium II v Federal Ins. Co.*, 247 AD2d 499.)

OPINION OF THE COURT

G.B. SMITH, J.

The issue presented by this appeal is whether respondents’ obligation to pay sums for certain loss adjustment expenses arising from a “follow the settlements” clause is subject to the indemnification limit stated in a reinsurance policy. Like the Appellate Division, we conclude that it is, and therefore affirm the order of the Appellate Division.

In December 1990, appellant Factory Mutual Insurance Company (formerly known as Allendale Mutual Insurance Company) entered into an agreement with Bull Data Systems Inc. to provide property insurance with an indemnification limit of \$48 million. Specifically, the policy covered against the risk of loss or damage to Bull Data’s personal computer inventory stored in a warehouse located in Seclin, France. In turn, Fac-

tory Mutual obtained facultative reinsurance¹ from various London reinsurers which have severally subscribed to the reinsurance agreement at issue in this litigation. The reinsurance policy states, in pertinent part:

<u>“REASSURED:</u>	ALLENDALE INSURANCE COMPANY
<u>“ASSURED:</u>	BULL DATA CORPORATION and/or as original.
<u>“PERIOD:</u>	Twelve months at 1st June, 1991 and/or as original. Both days inclusive.
<u>“LOCATIONS:</u>	Bull Data Corporation, Seclin, France as original.
<u>“INTEREST:</u>	Goods and/or Merchandise incidental to the Assured’s business consisting principally of personal computers and/or as original.
<u>“LIMIT:</u>	US\$ 7,000,000 any one occurrence p/o US\$ 13,500,000 any one occur- rence excess of US\$ 25,000,000 any one occurrence.
<u>“CONDITIONS:</u>	As original and subject to same valuation, clauses and conditions as contained in the original policy or policies but only to cover risks of All Risks of Physical Loss or Dam- age but excluding Inventory Short- age. Including Strikes, Riots, Civil Commutations and Malicious Damage risks if and as original. Premium payable as in original. Reinsurers agree to follow the settlements of the Reassured in all respects and to bear their proportion of any expen- ses incurred, whether legal or otherwise, in the investigation and defence of any claim hereunder. Ser- vice of Suit Clause (U.S.A.). In- solvency Clause.”

In June of 1991, a fire that generated a spate of litigation, in

1. “Facultative reinsurance is policy-specific, meaning that all or a portion of a reinsured’s risk under a specific contract of direct coverage will be indemnified by the reinsurer in the event of loss” (*Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd’s of London*, 96 NY2d 583, 587 [2001]).

the United States and abroad, destroyed the warehouse. Bull Data presented a claim to Factory Mutual and, suspecting that the fire was the result of arson, Factory Mutual refused to satisfy it.

Bull Data brought suit in the courts of France to recover under its insurance policy. Factory Mutual also commenced an unsuccessful litigation against Bull Data in the United States District Court for the Northern District of Illinois, claiming that the loss was due to arson, and the limit of liability under the insurance policy was \$48 million. After incurring approximately \$35 million in litigation expenses, both lawsuits were terminated and Factory Mutual settled the claims with Bull Data for nearly \$100 million.

Factory Mutual thereafter sought payment from respondent reinsurers. The reinsurers refused payment and filed an action in the courts of England seeking a declaration that the reinsurance contract was invalid. The English courts dismissed the case for lack of jurisdiction. During that period, Factory Mutual commenced a declaratory judgment action in the United States District Court for the District of Rhode Island seeking \$7 million from the reinsurers and an additional \$5 million in loss adjustment expenses, allegedly the proportionate share of expenses that the reinsurers owed Factory Mutual for having defended the Bull Data claim. Factory Mutual later discontinued the action upon stipulation and commenced a similar action in the United States District Court for the Southern District of New York.

District Judge Shira A. Scheindlin granted partial summary judgment to the reinsurers and dismissed Factory Mutual's claim for loss adjustment expenses (*Allendale Mut. Ins. Co. v Excess Ins. Co. Ltd.*, 970 F Supp 265 [SD NY 1997], *amended upon rearg* 992 F Supp 271 [SD NY 1997]). During the pendency of Factory Mutual's appeal to the United States Court of Appeals for the Second Circuit, that court decided an unrelated case which affected the subject matter jurisdiction of the pending case, resulting in dismissal of the appeal and vacatur of the judgment of the District Court (*Allendale Mut. Ins. Co. v Excess Ins. Co. Ltd.*, 62 F Supp 2d 1116 [SD NY 1999]).

The reinsurers thereafter commenced this declaratory judgment action in Supreme Court, New York County, seeking to annul the reinsurance agreement based on material nondisclosures and misrepresentations or, in the alternative, a judgment

awarding damages.² Factory Mutual interposed a counterclaim, seeking the \$7 million indemnification limit under the reinsurance policy as well as \$5 million in loss adjustment expenses incurred by Factory Mutual in the litigation of the original claim with Bull Data. Both Factory Mutual and the reinsurers moved for partial summary judgment on Factory Mutual's counterclaims seeking loss adjustment expenses in excess of the amount stated in the indemnification limit. Supreme Court denied the reinsurers' motion, granted Factory Mutual's cross motion and declared that the reinsurers' obligation to pay their proportionate share of the loss adjustment expenses was not subject to the stated indemnity limit of \$7 million.

The Appellate Division reversed by granting the reinsurers' motion and denying Factory Mutual's cross motion. The Court thus declared that any portion of the loss adjustment expenses that the reinsurers were obligated to bear was subject to the \$7 million limit stated in the reinsurance policy. The Appellate Division granted Factory Mutual leave to appeal to this Court. We now affirm the order of the Appellate Division.

In resolving the issue before us, we are mindful that in interpreting reinsurance agreements, as with all contracts, the intention of the parties should control. To discern the parties' intentions, the court should construe the agreements so as to give full meaning and effect to the material provisions (*see Breed v Insurance Co. of N. Am.*, 46 NY2d 351, 355 [1978]; *see also Greenfield v Philles Records, Inc.*, 98 NY2d 562, 569 [2002]; *Slatt v Slatt*, 64 NY2d 966, 967 [1985]).

Here, there is no dispute that the reinsurance agreements set the policy limit at \$7 million per occurrence. The so-called "follow the settlements" clause is thereafter set forth in the section of the policy entitled "CONDITIONS."³ As provided in the agreement, the clause requires the reinsurers to pay their por-

2. Factory Mutual moved Supreme Court to dismiss the action on the grounds of forum non conveniens and also commenced an action in the Superior Court of Providence, Rhode Island. Supreme Court granted Factory Mutual's motion. While the reinsurers appealed the order, they sought a preliminary injunction in Supreme Court to enjoin the Rhode Island proceeding, which that court denied. While the Rhode Island court was considering Factory Mutual's motion for partial summary judgment on its claims for loss adjustment expenses in excess of the indemnification limit, the Appellate Division reversed the order of Supreme Court, reinstated the reinsurers' lawsuit and enjoined the Rhode Island litigation.

3. In the reinsurance industry a "follow the settlements" clause "refers to the duty to follow the actions of the cedent in adjusting and settling claims"

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tion of expenses incurred in the investigation and defense of any claim under the agreement. The reinsurers, however, contend that their liability to pay is subject to the \$7 million cap negotiated under the policy. By contrast, Factory Mutual argues that the reinsurers' liability to pay the defense expenses is separate and apart from the indemnification cap on the policy.

We agree with the reinsurers and hold that they cannot be required to pay loss adjustment expenses in excess of the stated limit in the reinsurance policy. Once the reinsurers have paid the maximum amount stated in the policy, they have no further obligation to pay Factory Mutual any costs related to loss adjustment expenses. In so holding, we follow the decisions of the United States Court of Appeals for the Second Circuit as expressed in *Bellefonte Reins. Co. v Aetna Cas. & Sur. Co.* (903 F2d 910 [2d Cir 1990]) and *Unigard Sec. Ins. Co., Inc. v North Riv. Ins. Co.* (4 F3d 1049 [1993]). In both cases, the ceding insurers claimed that a similar "follow the fortunes" clause required the reinsurers to reimburse litigation costs beyond the stated limit in the policy. The court in both cases concluded that such a reading of the policy would render meaningless the liability cap negotiated in the policy. According to the *Bellefonte* court, to "allow[] the 'follow the fortunes' clause to override the limitation on liability—would strip the limitation clause and other conditions of all meaning; the reinsurer would be obliged merely to reimburse the insurer for any and all funds paid. . . . The 'follow the fortunes' clauses in the certificates are structured so that they coexist with, rather than supplant, the liability cap. To construe the certificates otherwise would effectively eliminate the limitation on the reinsurers' liability to the stated amounts" (903 F2d at 913).

Likewise here, the parties negotiated an indemnity limit of \$7 million per occurrence. Thus, any obligation on the part of the reinsurers to reimburse Factory Mutual, whether it be for settling the original insurance claim with Bull Data or for the loss adjustment expenses incurred in the protracted litigation that ensued, must be capped by the negotiated limit under the policy. Otherwise, the reinsurers would be subject to limitless liability. Indeed, this case well illustrates such an injustice as Factory Mutual now seeks to saddle the reinsurers with a portion of a

(Barry R. Ostrager and Thomas R. Newman, 2 Handbook on Insurance Coverage Disputes § 16.01 [b], at 1020 [12th ed 2004]). Thus, the reinsurers will be bound by the settlement or compromise agreed to by the cedent unless they can show impropriety in arriving at the settlement (*id.*).

litigation bill that exceeds the negotiated policy limit by more than 70%.⁴ To permit such a result would render the liability cap a nullity.

Factory Mutual asserts that this case is distinguishable from *Bellefonte* and *Unigard* in that those cases involved liability insurance while this case involves property insurance. According to Factory Mutual, a liability insurance product normally encompasses the obligation to pay the legal defense costs on behalf of the insured as well as the cost of the loss itself. Thus, the risk to be spread in reinsurance would already include loss adjustment expenses. However, a property insurance product would cover only the value of the property item to be insured. Under those circumstances, Factory Mutual contends, an insurer would have no contractual obligation to incur investigation or litigation costs and the risk of those costs is not already included in the reinsurance product. We find this argument unpersuasive and conclude that this distinction does not provide a sufficient basis to extend the reinsurers' liability beyond the limit stated in the reinsurance policy.

The limit clause in the policy is intended to cap the reinsurers' total risk exposure. Although Judge Scheindlin's decision in *Allendale* was vacated and is not binding, we find her reasoning persuasive, "Whether [the reinsurers] reimburse [Factory Mutual] for claims for property losses or defense costs makes no difference to them. Reinsurers of property insurance policies have the same interest in controlling their maximum exposure as do reinsurers of liability insurance policies. Thus, *Bellefonte* and *Unigard*'s holdings that the limit clauses define the reinsurers' bargained-for maximum exposure to liability inclusive of all costs and expenses are applicable even where the underlying insurance policy does not oblige the insurer to cover the insured's defense costs" (992 F Supp at 277).

Of course, both parties were well aware of the type of product that was being reinsured. It would be far from unreasonable to expect that at the time of procuring reinsurance, Factory Mutual could anticipate the possibility of incurring loss adjustment expenses in settling a claim from Bull Data. Certainly, nothing prevented Factory Mutual from insuring that risk either by expressly stating that the defense costs were excluded from the

4. Such an outcome would be particularly unfair given that the "follow the settlements" clause gave the reinsurers no control over the management of the unsuccessful litigation that Factory Mutual launched against Bull Data and no voice in limiting the \$35 million litigation expense.

indemnification limit or otherwise negotiating an additional limit for loss adjustment expenses that would have been separate and apart from the reinsurers' liability on the insured property. Failing this, the reinsurers were entitled to rely on the policy limit as setting their maximum risk exposure.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

READ, J. (dissenting). I see no way to tell from the plain language of this certificate whether the parties intended for costs and expenses to be included in the reinsurance limit or excluded from it. Further, in my view the majority has misinterpreted *Bellefonte Reins. Co. v Aetna Cas. & Sur. Co.* (903 F2d 910 [2d Cir 1990]) in ways that augur further expansion of its much debated holding. Accordingly, I dissent.

I.

The certificate pertains to reinsurance of a \$13,500,000 layer (\$25,000,000 to \$38,500,000) of a \$48,000,000 *property* insurance policy issued by Factory Mutual. Two provisions are at issue. The first provides that the "LIMIT" is "US\$ 7,000,000 any one occurrence [part of] US\$ 13,500,000 any one occurrence excess of US\$ 25,000,000 any one occurrence."¹ The second notes several "CONDITIONS," including one whereby the certificate is made "subject to same valuation, clauses and conditions as contained in the original policy" (a "following form" provision) and one whereby "[r]einsurers agree . . . to bear their proportion of any expenses incurred" (a "follow the settlements" provision).

In essence, the majority concludes that the only reasonable interpretation of these provisions is that the policy contains a \$7,000,000 limit (any one occurrence) which is cost-inclusive. This conclusion rests too heavily on the "follow the settlements" provision of the certificate, and fails to consider the "following form" provision. An equally plausible reading is that the parties, who "conditioned"² the certificate on the same "valuation, clauses and conditions" as exist in the primary *property* policy—

1. Sorema N.A. reinsured the remaining \$6,500,000 of the \$13,500,000 layer. Unlike Excess, Sorema paid up to its limit and also paid its proportion of costs.

2. The word "conditions" is not illuminative. Restatement (Second) of Contracts § 224 defines a condition as "an event, not certain to occur, which must occur, unless its non-occurrence is excused, before performance under a

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where costs are commonly paid in addition to the policy limit³—could have intended to create a cost-exclusive reinsurance limit. Moreover, the parties did not expressly state that the limit was “subject to” the conditions and therefore capped all liability under the certificate (*see e.g. Bellefonte*). Because the certificate may reasonably be interpreted in either of two ways, I conclude that it is ambiguous (*see Evans v Famous Music Corp.*, 1 NY3d 452 [2004]).⁴

Moreover, I disagree with the majority’s apparent reading of *Bellefonte*. In *Bellefonte*, Aetna issued primary and excess *liability* policies to A.H. Robins Co., the manufacturer of the Dalkon Shield. Aetna reinsured the excess policies with various reinsurers. After an “explosion” of litigation over the device, Aetna and Robins disputed the extent of Aetna’s liability for defense expenses under the excess policies, and ultimately reached a monetary settlement in excess of the limit stated in the excess policy. Aetna then looked to the reinsurers for the excess paid on the underlying policy. The reinsurers refused to pay, arguing that their liability was limited by the reinsurance certificate.

The certificate stated that the reinsurance was provided “subject to the . . . amount of liability set forth herein” (903 F2d at 911). The court concluded that this created a cap on the reinsurers’ liability whether reached through payment of expenses or settlement of claims. The Second Circuit reasoned that “[a]ny other construction of the reinsurance certificates would negate” the “subject to” provision of the certificate (*id.* at 914; *see also Unigard Sec. Ins. Co. v North Riv. Ins. Co.*, 4 F3d 1049

contract becomes due.” As the Comments note, the term “condition” “is used with a wide variety of other meanings in legal discourse” (Restatement [Second] of Contracts § 224, Comment *a*).

3. The courts below did not determine whether or not this was the case here.

4. Indeed, the history of this case betokens ambiguity: five courts have now interpreted the certificate with varying results. Supreme Court and the Rhode Island Superior Court concluded that the certificate does not contain a cap and therefore the limit is cost-exclusive (*see Factory Mut. Ins. Co. v Excess Ins. Co.*, Super Ct, Providence, RI, May 22, 2001, Hurst, J., PC 00-0760 [litigation enjoined 285 AD2d 351 (1st Dept 2001)]; *Excess Ins. Co. v Factory Mut. Ins. Co.*, Sup Ct, NY County, Aug. 22, 2002, Moskowitz, J., Index No. 605759/99). The majority now joins the Appellate Division and the United States District Court for the Southern District, which found that the limit is cost-inclusive (*see* 2 AD3d 150 [1st Dept 2003]; *Allendale Mut. Ins. Co. v Excess Ins. Co. Ltd.*, 970 F Supp 265 [SD NY 1997], *rearg granted and original decision adhered to* 992 F Supp 271 [1997], *vacated* 172 F3d 37 [table, text at 1999 WL 55313, 1999 US App LEXIS 1735 (2d Cir 1999)]).

[2d Cir 1993] [following *Bellefonte* as certificate included same “subject to” language]).

The *Bellefonte* court also considered and rejected a second argument made by Aetna, which the Appellate Division applied below (2 AD3d 150 [1st Dept 2003]) and the majority now adopts. Aetna argued that the “follow the fortunes” doctrine, as embodied in a clause in the certificate,⁵ obligated the reinsurers to pay all Aetna’s settlements even if they were in excess of the liability limit in the reinsurance policy. The *Bellefonte* court rebuffed this argument, noting that “[t]he ‘follow the fortunes’ clauses in the certificates are structured so that they coexist with, rather than supplant, the *liability cap*. To construe the certificates otherwise would effectively eliminate the limitation on the reinsurers’ liability to the stated amounts” (903 F2d at 913 [emphasis added]). Critically, this prong of the court’s analysis was based on its conclusion that the certificate created a cap on liability through the “subject to” and the “limitation” clauses, and that “the ‘follow the fortunes’ doctrine does not allow Aetna to recover defense costs beyond the express cap stated in the certificates” (*id.*).

The Appellate Division disregarded the “subject to” analysis in *Bellefonte*, as does the majority, summarily concluding that “all contracts are subject to their terms and conditions” (2 AD3d at 152). Instead, the Appellate Division relied on *Bellefonte*’s “follow the fortunes” analysis, and concluded that the “overriding determination in *Bellefonte* and *Unigard* was that the ‘follow the fortunes’ clauses of the reinsurance contracts considered there coexisted with, and did not supplant, the contract limitations” (*id.*). In my view, this was error.

Bellefonte’s holding was not intended as a general rule applicable to any and all reinsurance certificates (*see* Goldstein, *Bellefonte Lives*, 8-10 Mealey’s Litig Rep Reinsurance 9 [1997] [noting that *Bellefonte* should have been limited to “the specific contract language” in the certificate]). The holding relies on specific certificate language—“the first two provisions of the re-

5. The clause provided that “the liability of the Reinsurer . . . shall follow that of [Aetna]” (903 F2d at 911). These clauses are generally construed to mean that “the reinsurer follows the insurer’s fortunes under the latter’s insurance policies, subject to the stated exclusions and limitations in the reinsurance agreement . . . Without such a concept—and on occasion even with it—the reinsurer could successfully assert a defense to a claim under the reinsurance agreement, that was not asserted by the insurer with respect to the insurance claim, leaving the insurer with an unidentified liability” (Staring, Reinsurance § 18:1).

insurance certificates” (903 F2d at 913)—which the court determined contained a “cap” on the reinsurers’ liability. Because the certificate had a cap, the “follow the fortunes” clause in the certificate could not supplant the cap, which therefore limited expenses.⁶

The Appellate Division and now the majority have converted a rule unique to the specific certificate language in *Bellefonte* into a general principle that a “follow the fortunes” clause never supplants a policy limit. Thus, the majority, like the Appellate Division before it, expands *Bellefonte* from a contract-specific holding into a rule of general applicability.

When the holding of *Bellefonte*—that the reinsurance certificate’s specific policy language controls whether costs are included or excluded from the limit—is applied here, it is easily distinguished. There is no “subject to” language in the reinsurance certificate at issue on this appeal. Rather, the certificate contains two discrete provisions—“LIMIT” and “CONDITIONS”—and neither offers any guidance as to whether the “CONDITIONS” are subject to the “LIMIT.”

Further, it is worth observing that practitioners in the reinsurance industry have consistently criticized *Bellefonte*. Specifically, commentators have noted that in ruling “based solely on a textual interpretation of the language of the certificates,” the *Bellefonte* court ignored important extrinsic evidence of industry custom and practice showing that the nature of the underlying policy often controlled whether the reinsurance limit was cost-inclusive or cost-exclusive (see Goldstein, *Bellefonte Lives* [(n)otwithstanding *Bellefonte* . . . the industry for the most part has continued to follow the custom and practice of reinsurers providing coverage for expenses in addition to limits where the reinsured policy also covers expenses in addition to limits’’]). There was a fear “that the *Bellefonte* rule would be applied to the same certificate language but where the reinsured policy covered defense costs in addition to limits” (*id.*).

6. Our decision in *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd’s of London* (96 NY2d 583 [2001]) is not to the contrary. There, we were asked whether a “follow the fortunes” clause negated an insurer’s obligation to apply the allocation methodology contained in the reinsurance policy. In rejecting this argument, we agreed with the “rationale” of the Second Circuit that the follow the fortunes doctrine “does not alter the terms or override the language of reinsurance policies” (*id.* at 596). Thus, *Travelers* supports the proposition that each reinsurance policy must be interpreted according to its own terms.

When *Unigard* was decided, this fear was realized. There, the certificate language was nearly identical to that in *Bellefonte*. The Second Circuit rejected extrinsic evidence that the reinsurers covered expenses in addition to the policy limit, instead choosing to rely on its holding in *Bellefonte* and the similar certificate language (4 F3d at 1071).

Commentators have similarly faulted *Allendale Mut. Ins. Co. v Excess Ins. Co. Ltd.* (970 F Supp 265 [SD NY 1997], *rearg granted and original decision adhered to* 992 F Supp 271 [1997], *vacated* 172 F3d 37 [table, text at 1999 WL 55313, 1999 US App LEXIS 1735 (2d Cir 1999)]). The federal District Court in *Allendale* was the first court to rule on the case now before us, holding that the plain language of the certificate meant that expenses were included in the policy limit.⁷ Citing *Bellefonte* and *Unigard*, the court rejected Factory Mutual's request to distinguish these cases on the basis of the specific certificate language or the nature of the underlying policies (992 F Supp at 274-275). *Allendale* was thus judged to be "a significant extension" of *Bellefonte* on both fronts (*see* Goldstein, *Bellefonte Lives; see also* Goldstein, *For Whom Does Bellefonte Toll? It Tolls for Thee*, 9-7 Mealey's Litig Rep Reinsurance 12 [1998] ["Because *Allendale* involved reinsurance of a property policy, rather than a liability policy that provided a defense for the insured, and because the contract at issue lacked certain critical language contained in the *Bellefonte* and *Unigard* certificates, *Allendale* clearly expanded the breadth of the *Bellefonte* Rule"]⁸).

7. On reargument, however, the *Allendale* court acknowledged that "[i]n a purely semantic sense, the Reinsurance Agreement is ambiguous" (992 F Supp at 276). Nonetheless, the judge concluded that the certificate was only reasonably interpreted to be cost-inclusive. The *Allendale* court (like the majority) seemed concerned that a reinsurer would otherwise accept open-ended liability for costs (992 F Supp at 276 n 4), and thus appears to have "alter[ed] the contract to reflect its personal notions of fairness and equity" (*Greenfield v Philles Records*, 98 NY2d 562, 570 [2002]).

8. Other courts have regarded *Bellefonte* and *Unigard* skeptically. *Aetna Cas. & Sur. Co. v Philadelphia Reins. Corp.* (1995 WL 217631, 1995 US Dist LEXIS 4806 [ED Pa, Apr. 13, 1995]) followed *Bellefonte*, but only because Aetna was a party in *Bellefonte* and therefore was collaterally estopped from relitigating the issue. The court in *Philadelphia Reinsurance* preferred the analysis used in *Penn Re, Inc. v Aetna Cas. & Sur. Co.* (1987 WL 909519, 1987 US Dist LEXIS 15252 [ED NC, June 30, 1987]). There, the court (deciding the issue prior to *Bellefonte*) interpreted a reinsurance policy containing a "subject to" provision and found that the reinsurer was liable for costs in addition to the limit of the policy. *Bellefonte* rejected the analysis of *Penn Re*. In *North Riv. Ins. Co. v CIGNA Reins. Co.* (52 F3d 1194 [3d Cir 1995]), the court was

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Today, the majority adopts the *Allendale* rationale, and suggests that Factory Mutual should have negotiated language “expressly stating that the defense costs were excluded from the indemnification limit,” or otherwise setting forth “an additional limit for loss adjustment expenses that would have been separate and apart from the reinsurers’ liability on the insured property” (majority op at 584-585). But Factory Mutual first obtained the relevant certificate in London in December 1990, about eight months after the Second Circuit decided *Bellefonte*. It seems harsh and unrealistic for us to fault Factory Mutual for not having drafted this certificate to conform with a recently decided case whose potential future reach could hardly have been predicted at the time.

II.

Here, both parties moved for summary judgment, arguing that the certificate was unambiguous. Although neither party argued that the certificate was ambiguous, ambiguity is an issue of law for the courts (*Greenfield*, 98 NY2d at 569). Factory Mutual opposed the reinsurers’ motion for summary judgment with extrinsic evidence of industry custom and practice, and thereby created a question of fact concerning the parties’ intent (*Mallad Constr. Corp. v County Fed. Sav. & Loan Assn.*, 32 NY2d 285, 290-293 [1973]). Our precedent establishes that where there is ambiguity in a reinsurance certificate, the surrounding

faced with a *Bellefonte* question, which it avoided by holding that whether the certificate placed a cap on the policy was not timely raised. In *TIG Premier Ins. Co. v Hartford Acc. & Indem. Co.* (35 F Supp 2d 348, 350 [SD NY 1999]), the court sidestepped *Bellefonte* by applying California law, which allows use of extrinsic evidence to reveal a “latent ambiguity” in a contract that “appears unambiguous on its face.” Accordingly, the court reviewed extrinsic evidence showing that reinsurers commonly pay expenses in addition to limits. Finding a genuine issue of fact, the court denied the motion for summary judgment. In addition, arbitrators have apparently declined to follow *Bellefonte*, at least in some cases (see Monin and Brady, *Reinsurance Disputes: Death of the Handshake*, 61 Def Couns J 529, 538 n 22 [Oct. 1994]; Monin and Brady, *Updating Reinsurance Law Developments: The Gloves are Beginning to Come Off*, 63 Def Couns J 219, 223 [Apr. 1996]; see also Wilker and Lenci, *Much Ado About Nothing: A Response Regarding Bellefonte’s Reach*, 9-10 Mealey’s Litig Rep Reinsurance 16 [1998] [stating that “arbitration panels, even those sitting in the Second Circuit, are free to ignore *Bellefonte*, *Unigard*, and *Allendale*” and suggesting that “most properly constituted arbitration panels will not follow those decisions or any generalized *Bellefonte* rule unless it is shown that it was clearly the cedent’s and reinsurer’s intention not to cover expenses in addition to the liability limit of the certificate in question”]).

circumstances, including industry custom and practice, should be taken into consideration (see *London Assur. Corp. v Thompson*, 170 NY 94 [1902];⁹ see also *Christiania Gen. Ins. Corp. of N.Y. v Great Am. Ins. Co.*, 979 F2d 268, 274 [2d Cir 1992] [citing *London Assur.*]; 1 Couch on Insurance 3d § 9:15, at 9-53).

Accordingly, I would modify the order of the Appellate Division by denying both motions, and remand the matter for further proceedings consistent with this opinion.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur with Judge G.B. SMITH; Judge READ dissents and votes to modify by denying both motions for summary judgment in a separate opinion.

Order affirmed, etc.

9. “Reinsurance, like any other contract, depends upon the intention of the parties, to be gathered from the words used, taking into account, when the meaning is doubtful, the surrounding circumstances. Custom or usage is presumed to enter into the intention when it is found as a fact, not only that it existed, but was uniform, reasonable and well settled, and either known to the parties when the contract was made, or so generally known as to raise a presumption that they had it in mind at the time” (170 NY at 99).

[822 NE2d 777, 789 NYS2d 470]

U.S. UNDERWRITERS INSURANCE COMPANY, Appellant, v CITY CLUB HOTEL, LLC, et al., Appellants-Respondents, and MAREK SZPAKOWSKI et al., Respondents.

Argued November 16, 2004; decided December 16, 2004

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.17, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “1. Whether, in a case in which an insurance company has brought a declaratory judgment action to determine that it does not have obligations under the policy but has defended in the underlying suit, a defendant prevailing in the declaratory judgment action should be awarded attorneys’ fees expended in defending against that action? 2. Whether, in the special circumstances of this case, attorneys’ fees should be awarded to one or more of the defendants?”

HEADNOTE

Insurance — Duty to Defend and Indemnify — Declaratory Judgment Action to Determine Insurer’s Obligation — Prevailing Insured Entitled to Recover Attorneys’ Fees

An insured who prevails in an action brought by an insurer seeking a declaratory judgment that it has no duty to defend or indemnify the insured may recover attorneys’ fees expended in defending against the declaratory judgment action regardless of whether the insurer provided a defense to the insured. An insurer’s duty to defend an insured extends to the defense of any action arising out of the occurrence, including a defense against an insurer’s declaratory judgment action.

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By the Publisher’s Editorial Staff

AM JUR 2d, Declaratory Judgments §§ 135, 261–263.

COUCH ON INSURANCE (3d ed) § 205:85.

NY JUR 2d, Insurance §§ 1931, 1942.

ANNOTATION REFERENCE

See ALR Index under Declaratory Judgments or Relief; Insurance and Insurance Companies.

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POINTS OF COUNSEL

Bryan Cave LLP, New York City (*Mark J. Bunim*, *Alan Garten* and *Matthew K. Fleming* of counsel), for appellants-respondents. I. An insured who prevails in a declaratory judgment action should be awarded costs and attorneys' fees. (*Mighty Midgets v Centennial Ins. Co.*, 47 NY2d 12; *U.S. Underwriters Ins. Co. v Mesiftah Eitz Chaim of Bobov*, 210 AD2d 218; *United States Fid. & Guar. Co. v New York, Susquehanna & W. Ry. Corp.*, 277 AD2d 1026; *Christiansburg Garment Co. v Equal Empl. Opportunity Commn.*, 434 US 412; *Alyeska Pipeline Serv. Co. v Wilderness Socy.*, 421 US 240; *F.D. Rich Co., Inc. v United States for Use of Indus. Lbr. Co., Inc.*, 417 US 116; *Nationwide Mut. Ins. Co. v Welch*, 988 F Supp 629; *Chase Manhattan Bank v Each Individual Underwriter Bound to Lloyd's Policy No. 790/004A89005*, 258 AD2d 1; *U.S. Underwriters Ins. Co. v Weatherization, Inc.*, 21 F Supp 2d 318.) II. Appellants should be awarded costs and attorneys' fees based upon the special circumstances of this case. (*First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64; *Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028; *Allegany Co-op Ins. Co. v Williams*, 216 AD2d 894; *U.S. Underwriters Ins. Co. v Weatherization, Inc.*, 21 F Supp 2d 318; *U.S. Underwriters Ins. Co. v Manhattan Demolition Co.*, 250 AD2d 600.)

Miranda & Sokoloff, LLP, Mineola (*Steven Verveniotes* and *Jason B. Gurdus* of counsel), for appellant. I. The insurance contract, the applicable law and sound public policy warrant a response in the negative to the questions presented to the Court. (*Rekemeyer v Empire Mut. Ins. Co.*, 60 AD2d 492; *Nationwide Mut. Ins. Co. v Welch*, 988 F Supp 629; *Mighty Midgets v Centennial Ins. Co.*, 47 NY2d 12; *Great N. Ins. Co. v Dayco Corp.*, 637 F Supp 765; *New York Mar. & Gen. Ins. Co. v Tradeline [L.L.C.]*, 266 F3d 112; *Safeguard Ins. Co. v Angel Guardian Home*, 946 F Supp 221; *Greenburgh Eleven Union Free School Dist. v National Union Fire Ins. Co. of Pittsburgh, PA*, 304 AD2d 334; *Broquedis v Employers Mut. Liab. Ins. Co. of Wis.*, 45 AD2d 591; *Sukup v State of New York*, 19 NY2d 519; *Employers Mut. Cas. Co. v Key Pharms.*, 75 F3d 815.) II. The special circumstances of this case constitute further reason not to penalize an

insurance carrier that has acted reasonably towards its insured and sought to adjudicate the rights and obligations of all concerned as to several claims asserted against/amongst the various defendants. (*Johnson v General Mut. Ins. Co.*, 24 NY2d 42; *National Cas. Ins. Co. v City of Mount Vernon*, 128 AD2d 332; *Allstate Ins. Co. v Aetna Cas. & Sur. Co.*, 123 Misc 2d 932; *United States Fid. & Guar. Co. v New York, Susquehanna & W. Ry. Corp.*, 277 AD2d 1026; *U.S. Underwriters Ins. Co. v Mesif-tah Eitz Chaim of Bobov*, 210 AD2d 218.)

Melito & Adolfsen, P.C., New York City (*Ignatius John Melito* and *S. Dwight Stephens* of counsel), and *Wiley Rein & Fielding LLP*, Washington, D.C. (*Laura A. Foggan*, *John C. Yang* and *David P. Sullivan* of counsel), for Complex Insurance Claims Litigation Association, amicus curiae. I. The established rule in the United States is that litigants pay for their own court expenses. (*Buckhannon Bd. & Care Home, Inc. v West Virginia Dept. of Health & Human Resources*, 532 US 598; *Chambers v NASCO, Inc.*, 501 US 32; *Alyeska Pipeline Serv. Co. v Wilderness Socy.*, 421 US 240; *Day v Woodworth*, 13 How [54 US] 363; *Arcambel v Wiseman*, 3 Dallas [3 US] 306; *Fleischmann Distilling Corp. v Maier Brewing Co.*, 386 US 714; *Blue Cross & Blue Shield of N.J., Inc. v Philip Morris, Inc.*, 190 F Supp 2d 407; *Key Tronic Corp. v United States*, 511 US 809; *Unbelievable, Inc. v National Labor Relations Bd.*, 118 F3d 795; *Roadway Express, Inc. v Piper*, 447 US 752.) II. The American Rule should apply here and not the policyholder's attempt to broaden a narrow exception. (*Mighty Midgets v Centennial Ins. Co.*, 47 NY2d 12; *Employers Mut. Cas. Co. v Key Pharms.*, 75 F3d 815; *City of Buffalo v J.W. Clement Co.*, 28 NY2d 241; *Sukup v State of New York*, 19 NY2d 519; *Johnson v General Mut. Ins. Co.*, 24 NY2d 42; *Puritan Ins. Co. v Eagle S.S. Co. S.A.*, 779 F2d 866; *Great N. Ins. Co. v Dayco Corp.*, 637 F Supp 765; *Safeguard Ins. Co. v Angel Guardian Home*, 946 F Supp 221; *Chicago Tit. Ins. Co. v Federal Deposit Ins. Corp.*, 172 F3d 601; *Newmont Mines Ltd. v Hanover Ins. Co.*, 784 F2d 127.) III. Extending the exception to the American Rule to the situation where an insurer has defended its policyholder would disserve the public interest. (*Buckhannon Bd. & Care Home, Inc. v West Virginia Dept. of Health & Human Resources*, 532 US 598; *Alyeska Pipeline Serv. Co. v Wilderness Socy.*, 421 US 240; *Sukup v State of New York*, 19 NY2d 519; *Barnes Found. v Township of Lower Merion*, 242 F3d 151; *Nationwide Mut. Ins. Co. v Welch*, 988 F Supp 629; *Fleischmann Distilling Corp. v Maier Brewing Co.*, 386 US 714; *F.D. Rich Co., Inc. v United States for Use of Indus. Lbr. Co., Inc.*, 417 US 116.)

Nixon Peabody LLP, New York City (*Aidan M. McCormack* and *Rajika Bhasin* of counsel), for CNA Insurance Companies, amicus curiae. I. The American Rule is a fundamental principle of jurisprudence that should not be undone by this Court. (*Matter of A.G. Ship Maintenance Corp. v Lezak*, 69 NY2d 1; *Bank of N.Y. v Fleet Bank*, 176 Misc 2d 21; *United States Fid. & Guar. Co. v Braspetro Oil Servs. Co.*, 369 F3d 34; *Summit Val. Indus. Inc. v United Bhd. of Carpenters & Joiners of Am.*, 456 US 717; *Arcambel v Wiseman*, 3 Dallas [3 US] 306; *Great N. Ins. Co. v Dayco Corp.*, 637 F Supp 765; *Grimsey v Lawyers Tit. Ins. Corp.*, 31 NY2d 953; *Gold v Nationwide Mut. Ins. Co.*, 273 AD2d 354; *Mazzuocolo v Cinelli*, 245 AD2d 245; *Prime Ins. Syndicate, Inc. v B.J. Handley Trucking, Inc.*, 363 F3d 1089.) II. There is no “inherent inequity” in the American Rule. (*Mighty Midgets v Centennial Ins. Co.*, 47 NY2d 12; *Johnson v General Mut. Ins. Co.*, 24 NY2d 42; *Glens Falls Ins. Co. v United States Fire Ins. Co.*, 41 AD2d 869, 34 NY2d 778; *Sukup v State of New York*, 19 NY2d 519; *American Motorists Ins. Co. v E.R. Squibb & Sons*, 95 Misc 2d 222; *Brown v United States Fid. & Guar. Co.*, 46 AD2d 97; *Doyle v Allstate Ins. Co.*, 1 NY2d 439; *Safeguard Ins. Co. v Angel Guardian Home*, 946 F Supp 221.) III. Departing from the American Rule would provide no incentive for insurers to submit disputes to the courts. (*Nationwide Mut. Ins. Co. v Welch*, 988 F Supp 629.)

Anderson Kill & Olick, P.C., New York City (*Eugene R. Anderson* and *William G. Passannante* of counsel), and *Amy Bach*, San Francisco, California, for United Policyholders, amicus curiae. I. Insurance policies are not ordinary commercial contracts. II. There is a quagmire when the insurance company breaks its promise. (*Mighty Midgets v Centennial Ins. Co.*, 47 NY2d 12; *Alyeska Pipeline Serv. Co. v Wilderness Socy.*, 421 US 240.) III. That *insurance is different* is shown in the growing trend towards awarding attorneys’ fees to successful policyholders. (*Riviera Beach Volunteer Fire Co., Inc. v Fidelity & Cas. Co. of N.Y.*, 388 F Supp 1114.) IV. New York law provides guidance to clarify the recovery of attorneys’ fees by policyholders regardless of a breach of the duty to defend. (*Mighty Midgets v Centennial Ins. Co.*, 47 NY2d 12.)

OPINION OF THE COURT

G.B. SMITH, J.

The United States Court of Appeals for the Second Circuit, by two certified questions, has asked this Court to clarify whether

an insured who prevails in an action brought by an insurer seeking a declaratory judgment that it has no duty to defend or indemnify the insured, may recover attorneys' fees expended in defending against the declaratory judgment action regardless of whether the insurer provided a defense to the insured. We answer that question in the affirmative.

Plaintiff, U.S. Underwriters Insurance Company, issued a commercial general liability policy for the policy period of May 15, 1999 to May 15, 2000, to defendants City Club Hotel, LLC and Shelby Realty, LLC, as named insureds, in connection with renovation work City Club was to perform on Shelby's property. On April 27, 2000, while performing the renovation work, Marek Szpakowski, a construction worker employed by City Club, fell from a scaffold and sustained serious injuries. In July 2000, U.S. Underwriters received notice of Szpakowski's claim and a copy of his counsel's letter to Shelby informing it that it might be sued. When the insurer confirmed receipt of the notice of claim, it identified City Club and Shelby as "Our Insured."

In November 2000, Mr. Szpakowski and his wife brought a personal injury action in Supreme Court asserting various labor and industrial law claims against Shelby, Forthright Development, LLC and Metropolitan Hotels, LLC. A copy of the verified complaint was sent to U.S. Underwriters on or about December 13, 2000. By letter dated December 20, 2000, approximately five months after it received notice of the claim, the insurer disclaimed coverage of City Club and Shelby with respect to the claims based on the employee exclusion clause of the policy, but nonetheless provided Shelby a defense in the underlying action.

In September 2002, U.S. Underwriters, asserting diversity jurisdiction, brought the instant action in the United States District Court for the Southern District of New York seeking a declaratory judgment that it has no duty to defend or indemnify defendants Shelby, City Club, Forthright and Metropolitan, or their named officers. The insurer moved, and defendants subsequently cross-moved, for summary judgment. The District Court granted summary judgment to defendants on the issue of disclaimer of coverage, finding that the disclaimer was untimely as a matter of law. The court, however, denied defendants' motion to recover attorneys' fees incurred in successfully defending the declaratory judgment action, ruling that attorneys' fees were not warranted because U.S. Underwriters did not breach the duty to defend.

In its appeal to the Second Circuit, U.S. Underwriters challenged the District Court's finding that its disclaimer of cover-

age was untimely. Defendants challenged the denial of attorneys' fees. The Second Circuit affirmed and held that U.S. Underwriters' disclaimer of coverage as to Shelby, Forthright and Metropolitan was untimely as a matter of law; that U.S. Underwriters is obliged to defend and indemnify Shelby in the underlying action; and that the complaint against defendants City Club and the named officers must be dismissed as these parties do not seek coverage under the policy. As to whether attorneys' fees can be awarded to defendants, the Second Circuit noted a division in interpreting the relevant law and certified the following two questions to this Court:

"1. Whether, in a case in which an insurance company has brought a declaratory judgment action to determine that it does not have obligations under the policy but has defended in the underlying suit, a defendant prevailing in the declaratory judgment action should be awarded attorneys' fees expended in defending against that action?

"2. Whether, in the special circumstances of this case, attorneys' fees should be awarded to one or more of the defendants?" (369 F3d 102, 113 [2d Cir 2004].)

We accepted certification (2 NY3d 787 [2004]) and now answer the first question in the affirmative as to Shelby, a named insured under the policy. Since it is not clear what is meant by the "special circumstances of this case,"* we decline to answer the second question, concluding it is more appropriate for the District Court or the Second Circuit to resolve this issue.

It is well settled in New York that a prevailing party may not recover attorneys' fees from the losing party except where authorized by statute, agreement or court rule (see *Chapel v Mitchell*, 84 NY2d 345, 349 [1994], quoting *Hooper Assoc., Ltd. v AGS Computers, Inc.*, 74 NY2d 487, 491 [1989]; *Mighty Midgets, Inc. v Centennial Ins. Co.*, 47 NY2d 12, 21-22 [1979]). However, an insured who is "cast in a defensive posture by the legal steps an insurer takes in an effort to free itself from its policy obligations," and who prevails on the merits, may recover attorneys' fees incurred in defending against the insurer's action (*Mighty Midgets*, 47 NY2d at 21). The reasoning behind *Mighty Midgets* is that an insurer's duty to defend an insured extends to the

* In their briefs and at oral argument before this Court, counsel had differing views as to what the "special circumstances" were.

defense of any action arising out of the occurrence, including a defense against an insurer's declaratory judgment action.

In the instant case, it is undisputed that Shelby, a named insured under the policy, was cast in a defensive posture by U.S. Underwriters in their dispute over whether the insurer had a duty to defend and indemnify Shelby in the underlying personal injury action. Further, it is undisputed that Shelby successfully defended against the insurer's summary judgment motion and thereby prevailed in the matter.

Based on *Mighty Midgets*, Shelby is entitled to recover attorneys' fees. We hold that under *Mighty Midgets*, an insured who prevails in an action brought by an insurance company seeking a declaratory judgment that it has no duty to defend or indemnify the insured may recover attorneys' fees regardless of whether the insurer provided a defense to the insured. Given that the expenses incurred by Shelby in defending against the declaratory judgment action arose as a direct consequence of U.S. Underwriters' unsuccessful attempt to free itself of its policy obligations, Shelby is entitled to recover those expenses from the insurer. In other words, Shelby's recovery of attorneys' fees is incidental to the insurer's contractual duty to defend.

Accordingly, certified question No. 1 should be answered in the affirmative and certified question No. 2 not answered.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.17 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.17), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question No. 1 answered in the affirmative and certified question No. 2 not answered.

[Next page is 601.]